

Official transcripts of the final hearing

BV20D01752 · Zahmoul v Zahmoul · High Court, Family Division · before MacDonald J
Six sitting days · 496 pages · Marten Walsh Cherer Ltd, reference MWCMOJCF06836

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IN PRIVATE

Case No: BV20D01752

IN THE HIGH COURT OF JUSTICE
FAMILY DIVISION

Royal Courts of Justice
Strand, London
WC2A 2LL

Date of hearing: 20 February 2024

Start Time: 10:34 Finish Time: 15.37

Before:

MR JUSTICE MacDONALD

Between:

NADIA ZAHMOUL

Applicant

- and -

KARIM ZAHMOUL

Respondent

MR B MOLYNEUX KC (instructed by **AFP Bloom Solicitors**) for the **Applicant**

MS A CAMPBELL KC and **MS S-A AMAOUCHE** (instructed by **Stowe Family Law**) for
the **Respondent**

PROCEEDINGS
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(Transcript prepared without access to case documentation)

A

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: Good morning, my Lord. You know the personnel.

MR JUSTICE MacDONALD: Yes.

B

MR MOLYNEUX: I was appearing on behalf of Mrs Zahmoul on the last occasion. Ms Campbell KC has appeared on behalf of Mr Zahmoul previously, not on the last occasion, but appears for the trial.

MR JUSTICE MacDONALD: Yes.

C

MR MOLYNEUX: And Ms Amaouche sits behind her as a new entrant.

MR JUSTICE MacDONALD: Yes.

D

MR MOLYNEUX: Can I just apologise first of all for the gross lateness of the production of my position statement. I have explained and I apologise again for that. I should say on behalf of Mrs Zahmoul that she did attempt yesterday afternoon to confirm that the contents of it were agreed, alongside her section 25 statement, and there was some difficulties with the transmission of that email, which she has confirmed to those instructing me. So, we still have been very late, but it would not have been quite as late as it ended up being. So that is no real excuse, but just an explanation of the end game for that lateness.

E

I should say, and I know that Ms Campbell has already referenced this in her note, that whilst you have seen Mr Zahmoul's section 25 statement, because it was filed, I think on time ----

F

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: -- you will not have seen my client's because that was not produced until yesterday.

G

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: Indeed, Ms Campbell and her team have only seen that literally in the last few minutes. They have not had a chance to read it. They have not had an opportunity to determine whether any of the material in it is privileged or should not be admitted, it being a document that has been prepared fundamentally by my client herself.

H

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: Understandably, I would have to accept they will want the opportunity to read that. I want the opportunity to read Mr Zahmoul's statement as well as to reflect on the contents of Mrs Zahmoul's. So I am going to ask that Ms Campbell agrees to this

A

for an hour, but I think that the one qualification that she would make is that she has an opportunity before you look at it to skim it over the course of 15 minutes and then to return to you at the end of that 15 minutes, if need be, to tell you: please do not read it because this is inadmissible.

B

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: Now I do not know whether she will do that or not, but she obviously wants the opportunity. I do not object to that at all.

C

MR JUSTICE MacDONALD: Well, I have not read it because, given its lateness and the fact it is in breach of a direction, you will, Mr Molyneux, need permission to rely on it.

MR MOLYNEUX: I will, yes.

MR JUSTICE MacDONALD: And I took the view that I should not therefore read the statement until I have determined that permission application in any event.

D

MR MOLYNEUX: My Lord, yes.

MR JUSTICE MacDONALD: I will maintain that position until I hear further.

MR MOLYNEUX: I am grateful.

MR JUSTICE MacDONALD: In the first instance I will allow... Sorry, Ms Campbell.

E

MS CAMPBELL: No, my Lord. I will come back to you, as I say, I anticipate within the next 15 minutes to let you know whether we are happy for you to read it.

MR JUSTICE MacDONALD: Well, if you could send an email to my clerk with that indication, that will make the position clear.

F

MS CAMPBELL: Thank you. Thank you, my Lord.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: I hope by now you have also received the final version of the single joint expert crypto report, because the one that I think was in the bundle was a previous iteration. There have been three of them, or four of them.

G

MR JUSTICE MacDONALD: I am not sure that I have. Unfortunately, Mr Molyneux, my clerk is ill. I will just check with her whether she is still receiving and dealing with emails, and if not, we will provide you with an alternative email for you to send that to.

H

MR MOLYNEUX: I am grateful. I know that Ms Knight emailed seeking the final version of it. I think that has now been sent to her.

MR JUSTICE MacDONALD: I see.

MR MOLYNEUX: But it might be that you prefer a hard copy or a soft copy. I am in your hands.

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A

MR JUSTICE MacDONALD: I will take a hard copy, yes. That is probably the easiest way to do it. Then I can be certain I have it. Yes, 25 to 12.

MR MOLYNEUX: Thank you very much.

MR JUSTICE MacDONALD: Thank you very much.

B

MS CAMPBELL: Thank you.

(A short adjournment)

MR JUSTICE MacDONALD: Yes.

C

MR MOLYNEUX: Thank you for the time that you have given us. I am going to hand over to Ms Campbell because I know she wants to make an application in relation to the statement. I know, to foreshadow what will follow, that I will require some time to take instructions and maybe to reflect more broadly on where this application will take us.

MR JUSTICE MacDONALD: I see. Yes, Ms Campbell.

D

MS CAMPBELL: Thank you, my Lord. We wanted to come back in so that we were not keeping you waiting in the dark, and at the very least, Mr Pinto is outside, so that is one aspect ----

MR JUSTICE MacDONALD: Indeed.

E

MS CAMPBELL: -- that we can continue with. Having read the statement quickly, but I am fairly certain that there is nothing in there that will prejudice either Mr Molyneux or myself in carrying on to our examination of Mr Pinto.

MR JUSTICE MacDONALD: I see.

F

MS CAMPBELL: So, that can proceed. Let me deal then with the statement, if I may.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: Alexis, you just carry on, okay. This is not meant to be a rude interruption.

G

MS CAMPBELL: Of course. I object to the statement being admitted in its current form.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: I am content for it to be admitted if all conduct references are redacted.

H

There is a very simple way of doing this and I will not give you any detail other than to say there are paragraphs 9 through to 26 ----

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: -- which are all under the heading of "conduct". You will know that you made very clear directions for conduct pleadings. Those were filed very late, in detail and at length. Mrs Zahmoul has had her opportunity to plead conduct.

A MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: It is not appropriate to use a Section 25 statement to further elaborate and expand on an argument that was specifically dealt with elsewhere.

MR JUSTICE MacDONALD: Yes.

B MS CAMPBELL: Just by way of detail, my client has difficulty reading English and reading generally and has dyslexia. He reads long documents by way of having them read back to him over his telephone.

MR JUSTICE MacDONALD: Yes.

C MS CAMPBELL: So, he feeds them in and then reads back to him. So he has not yet had an opportunity to read this. This is for my reading of the documents. But I am content and he is prepared to be bound by me now to allow that statement to proceed in, if we can agree those redactions.

D MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: What I am not prepared to do is to waste court time outside trying to negotiate with Mr Molyneux. Those paragraphs are all under two separate headings of "conduct".

E MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: They are very clearly conducted. It is self-contained. It can be easily removed.

MR JUSTICE MacDONALD: Yes.

F MS CAMPBELL: That is the first part. The second part is that behind the statement there are then some 110 pages thereabouts of various exhibits.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: Some of these are tables that we have seen before but appear to be slightly different.

G MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: I am going to need time to look at those so I have reserve my position in relation to those tables.

H MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: Then follows another document at page 26 which is effectively another statement in a statement. So, it is a statement. I have not read it. It should not be an exhibit. It is a free-floating statement. That should come out.

MR JUSTICE MacDONALD: Yes.

A MS CAMPBELL: I have expressed some of this to Mr Molyneux and he is aware of this.

Pages 35 through to 40 are repeats of what is already in the bundle. They add nothing.
They are my client's documents.

MR JUSTICE MacDONALD: Yes.

B MS CAMPBELL: They should come out. There are more tables, again, which I reserve the
right to consider. That is at 41 through to 53.

MR JUSTICE MacDONALD: Yes.

C MS CAMPBELL: Then at 54 through to -- well, 54 certainly through to 56 is a statement
from a direct lawyer who acts on behalf of Mrs Zahmoul. It is dated 12 February. We
have never seen it before. It presents as a legal document from a lawyer expressing his
view. That seems to me to be an attempt to adduce expert evidence ----

MR JUSTICE MacDONALD: Yes.

D MS CAMPBELL: -- and there is no permission for this. I have no means to question this
expert, so that should come out. And there is a risk that this is of course waiving
privilege, which is another argument I have not yet considered.

MR JUSTICE MacDONALD: No.

E MS CAMPBELL: Then at 60 onwards is another statement from an accountant, which again
appears to be an expert document. It refers to his qualifications: Jeff Wilkinson. There
are two documents related to him, one dated 13 February and one 16 February. Again,
you gave very clear directions about expert evidence. We have had a multitude of
opportunities to receive and consider expert evidence, none of which was served
F anywhere near the time limits that you directed, my Lord.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: So, they should come out. And then there are more tables, again, as I have
said, which I have reserved my position in relation to.

G MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: Then at internal page 58, of the report bundle or the statement bundle 83,
there is another affidavit from the wife, which is just another freestanding affidavit ----

MR JUSTICE MacDONALD: Right.

H MS CAMPBELL: -- which needs to come out. And then there are a number of detailed
tables and schedules which look like further tables of evidence which I have not had an
opportunity to look at. So, in summary, my Lord, I make this application. Either the
whole document is not admitted; or the body of the statement, except for the conduct

A allegations, is allowed in. There is material which I think this court will find helpful, my Lord. There is a lot of material with relates to income needs, expenditure.

MR JUSTICE MacDONALD: Yes.

B MS CAMPBELL: I can understand the need for that to go in. But all of the exhibits I ask to be held back, although a ruling was made in relation to the internal affidavits, the expert evidence that I have identified. And then Ms Amaouche and I will consider the more detailed documents, probably overnight, and I imagine we will be able to either agree with Mr Molyneux what can go in, or if we have to have a discussion about it, we can do that tomorrow morning when we have an opportunity to review them.

C MR JUSTICE MacDONALD: Yes. Thank you very much indeed. Mr Molyneux.

MR MOLYNEUX: My Lord, I did not get a complete note of those parts of the exhibit in respect of which redaction is sought. I will need to speak to Ms Campbell about that.

D MR JUSTICE MacDONALD: Yes.

E MR MOLYNEUX: Let me just make some more broad-brush observations and then look at the statements themselves. My client, and this is something to say she feels passionately about would probably not do justice to the strength of her feelings, or indeed the nexus between feeling that her story has been told, that her voice has been heard, and her capacity to participate in these proceedings. She was extremely -- extremely distressed outside court at the prospect of the section 25 statement that she had always thought of as being her opportunity to tell her story, her lived experience, and finding now at the 11th hour, a minute to midnight, that that was going to be redacted, that she would be stopped from doing that.

F I understand everything that Ms Campbell has said about conduct and conduct statements and the duplication of some elements of this statement with the conduct statement, but that is of course something that both parties have done and it would be wrong, I think, in my respectful submission, to penalise one without adopting a similar approach to the other. It may well be better, having regard to what I say about the strength of my client's feelings, and everybody wants this litigation to be resolved over the course of the next 10 days without any further adjournments or any further mishaps, it would be wrong to redact her statement and to leave the husband's statement untouched. It would be wrong to redact her statement full stop, would be my primary submission.

A Can I just say that if you look at Mr Zahmoul's statement, which you have read, which is already within the court documents, because I am not objecting to it, or I have not objected to it, and indeed you read it before; you had an opportunity to discover whether anyone objected to it, but if you look at it, on the third page, at paragraph 16 -- and again, this is according to Mr Zahmoul, background.

B
C
D "Around May 2010, Nadia initiated a relationship with Professor Stebbing (mother's oncologist). I learned about the affair from Amy's Stebbing only in 2012 from Professor Stebbing's wife at the time. I was quite shocked to learn that Nadia was having an affair with Professor Stebbing. She attended a six-week rehab programme in Cottonwood, Arizona, and I accompanied her during the Family Week to help people struggling with addiction. Despite my awareness of her infidelity, I stood by her and tried to help her to the best of my ability and help her as the mother of my children to recover. After returning from Cottonwood, she relapsed into alcohol and cocaine addiction. Her infidelity continued. Her four-year affair resulted in a pregnancy which was terminated in July 2013. Due to her affair and health as well as alcohol and drug addiction, our relationship continued to deteriorate..."

E That continued before becoming resurrected again as we move through the statement and we arrive at paragraph 67, because there Mr Zahmoul dedicates the next 20 paragraphs, certainly the next 18 paragraphs, to conduct.

F "The conduct of each of the parties if that conduct is such that it would, in the opinion of the court, be inequitable to disregard it."

F Indeed, at the beginning of the next page, paragraph 71, he purports to attach to this a transcript of a conversation with his daughters as illustration of what he says is my client's poor conduct.

G So what this Campbell objects to on the part of my client is exactly what her client has done and how he has approached this. So you might ----

MR JUSTICE MacDONALD: Was it on time, Mr Molyneux?

MR MOLYNEUX: We have that done that on time, absolutely but the timing does not detract from the duplication of material from his previous conduct statement and its repetition in this.

H MR JUSTICE MacDONALD: No. The timing brings the wife's statement well outside of the rules.

A MR MOLYNEUX: It does, and I appreciate that I would need your permission to rely on it
because she is in breach of that rule. But he is in breach of -- if there is a prohibition on
conduct he would be in breach of that and I think that the principal objection is not the
lateness; it is more the material because my learned friend accepts that the statement
B should go in, save for these parts which she says are impermissible. So, just drawing
those strands together, what is good for Mr Zahmoul should be good for Mrs Zahmoul.

C It is important in a case, in my respectful submission, where the parties have
committed so much blood and treasure to the litigation that at the end of the litigation
they should each have felt that their voices have been heard. This is a very, very
important part of her presentation and one I suspect that she would wish to articulate
orally in the event even that it was redacted, although I understood that the court would
prohibit that. She, of course, would have to take notice of what the court says, but I
D know that it would leave her with a profound feeling of unhappiness and regret were she
not able to participate properly, as she would see it, in the proceedings by setting out her
account of the background -- and this to her is as much background as the date when the
parties married, the date when their children were born, their ages and their occupations.

E MR JUSTICE MacDONALD: I have, do I not, already her evidence regarding conduct. It is
all set out in documents that were filed, albeit not on time, but filed with sufficient notice
to the other side to make the reliance on it fair.

F MR MOLYNEUX: My Lord, yes. What she did in her conduct statement, to be fair to her,
was to focus on financial conduct, financial misconduct, whereas what Mr Zahmoul has
done is to elide what he regards as being financial conduct with a broad sprinkling of or
a seasoning of marital misconduct. My client wants to set that record straight, wants you
to understand the reality of the party's relationship and does not want to feel at this very,
G very late stage shut out. The advantages, in my very respectful submission, if I can
gently push at this door before it closes, the advantages to the parties and to the court of
being able to get on with things, of you attaching whatever weight you think should be
attached to this and disregarding what you think should be disregarded, may well
H outweigh the technical advantage of strict observance with the rules or strict prevention
of material being advanced at a late stage.

MR JUSTICE MacDONALD: I understand.

MR MOLYNEUX: I will sit down.

MS CAMPBELL: My Lord, there comes a point when the court has to back its own orders.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: There may be some substance in what Mr Molyneux says, but it is too late. There comes a point when the court makes a direction for proper filing and the parties should have had an opportunity to consider each other's documents. If this had proceeded as you directed, as you ordered, I could have had a conversation with Mr Molyneux and we could have each agreed and made representations about parts that were to come out.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: Because I have been robbed of that opportunity, it is not fair now for Mr Molyneux to lean on his conduct, or his client's poor conduct, and say you should deal fairly with both parties in the presentation of their cases, because Mrs Zahmoul feels strongly about it. The direction you made as long ago as 1 November for conduct to be pleaded by 12 December. My client complied with that direction on time. The wife did not file hers until 16 January and then today, at 10:29, I have sight of another four or five pages -- and it is simply not appropriate for these orders to be ignored. It is not appropriate for Mr Molyneux to then make substantive arguments about how far either party has stretched the boundaries of the court's patience. It simply should not be permitted, and I should not have to respond to those arguments at this late stage.

MR JUSTICE MacDONALD: Thank you. Now, Ms Campbell, I have heard submissions from both of you. Do you invite me now to read the statement or to pronounce on it on the basis of the submissions I have heard? Because of course the disadvantage I have at the moment is that I have obeyed the instruction from counsel not to read it.

MS CAMPBELL: My Lord, in my submission, you do not need to read it. The broad description that Mr Molyneux and I both agreed on, we have not got any issue between us as to the substance. I say that the conduct should be ignored because it is too late. Mr Molyneux says, well the conduct -- allow it because the husband has breached a little bit too.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: My Lord, I say that it is too late for that substantive argument. That opportunity has gone.

MR JUSTICE MacDONALD: Thank you.

(See separate transcript for judgment)

A MS CAMPBELL: My Lord, I am very grateful. What you will not know because you haven't read the documents, and I apologise, but one paragraph, paragraph 21, effectively lifts a whole section of one of the affidavits in the exhibits. So that needs to come out ----

B MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: -- as a means of your earlier ruling. So if that can be redacted, then everything else can go ahead.

MR JUSTICE MacDONALD: Thank you very much. Yes, Mr Molyneux.

C MR MOLYNEUX: I think we can start.

MR JUSTICE MacDONALD: Mr Pinto, I believe.

MR MOLYNEUX: Yes. I was not going to open because ----

D MR JUSTICE MacDONALD: I had an opportunity, if it assists, Mr Molyneux, obviously to read the extremely helpful documents provided by leading and junior counsel. I have also had an opportunity to read those parts of the reading list that were sent through. And obviously over the last hour I have had an opportunity to read full the latest iteration of Mr Pinto's report.

E MR MOLYNEUX: I am very grateful, thank you.

Mr MARLON PINTO, Sworn

Examined by MR MOLYNEUX

THE WITNESS: My Lord, my name is Marlon Pinto.

F MR JUSTICE MacDONALD: Thank you. Do take a seat if you would be more comfortable. Yes, Mr Molyneux.

MR MOLYNEUX: Good morning. Can you give the judge your full name, please, and your professional address?

G A. My Lord, name is Marlon Pinto. I am Director of Investigations of Another Day. We're based at 67 Lombard Street, London.

Q. You have produced a number of reports. I am not going to slavishly take you through the bundle so you can confirm them because we all understand that the latest iteration, which is dated 16 February, is probably the one we should focus on?

H A. Yes, my Lord.

Q. I know you are not here to do continuing education for the Bar, but if you will indulge me for a moment, because you will understand that these -- although I suspect Mr Zahmoul is very familiar with it and I know Mrs Zahmoul has a degree of familiarity,

A

but it may be that the others in the courtroom do not have as much familiarity as they or, of course, you do. So just help me with a few things. When we talk about accounts and wallets, is there a distinction or is that a synonym? An account and a wallet, is that the same thing?

B

- A. My Lord, I would say to summarise that, a wallet would be almost like a digital wallet. So, if you were to bring that into a real world, it would be almost like a little wallet that you own possession of and that you control. An account, I would say, I would almost tie that in and attribute that to what would be like a crypto exchange. So, it's similar as in a bank account. It's kind of similar, I would say, if you put those into two perspectives, a wallet, a little wallet that you have would be a custodial wallet with crypto, and a bank account would be an account as an exchange.

C

MR JUSTICE MacDONALD: Yes.

D

MR MOLYNEUX: And when we talk about addresses and wallets, are they the same thing or are they different things?

E

- A. I would suggest that they are different. You have a wallet address that is attributed to a wallet and similarly where you deposit, I would say, crypto digital assets to a wallet, you would have an address that that is associated to. So a wallet could have hundreds of addresses associated to it.

F

- Q. So, again, a beginner's course in crypto: just explain to his Lordship -- he may not need this, but I am going to ask the question anyway. If his Lordship were opening an account, if he wanted to trade in crypto, wanted to buy a Bitcoin, and then wanted to transfer that Bitcoin to somebody else, what would the procedures be? How could he do that?

G

- A. I think the most simplest way would be using a service provider, so for the likes of -- like say Coinbase as an example. Coinbase in a real world would be similar to like a bank account, like NatWest. You'd open an account with them. You would set up an account and they would create a digital wallet or you would use one of their, let us say, wallets that they own custody of. And if you wanted to send funds or digital assets to another person, you simply put in the address and execute that.

H

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: Opening an account with Coinbase is straightforward because they set up the account for you and ----

- A. That is probably the most easiest way, yes.

A

Q. They create the wallet for you?

A. They would create -- they'd say they would create an account.

Q. They create an account, okay. And then you purchase your Bitcoin and you decide you want to transfer it out. And is that different from or the same as a self-storage wallet?

B

A. The self-storage wallet, you can generate a self-storage wallet if you wanted, so where you have custodial wallets whereby I would say you know Coinbase and exchanges have control of the wallets, self-custodial wallets would be, for example, you could have a USB stick to put it in the most simplest terms.

C

MR JUSTICE MacDONALD: Yes.

A. You would create and generate the seeds which are the seed phrases to generate a wallet. So those are, I would say -- I don't know the actual statistics but you know it's like one in something like... No, sorry, to put it in perspective, it would probably take about 1,000 - - sorry, 1,900 years or something to come up with the actual seed phrase to try and break it.

D

MR MOLYNEUX: So the seed phrase being the phrase that will ultimately lead to the creation ----

E

A. The creation of a wallet, that's correct. And you would create a wallet in that sense by generating the seed phrases. You can use -- there are certain platforms, websites, etcetera that allows you to do that. And once you create that wallet and you have access to those seed phrases, you can keep regenerating that wallet using a seed phrase and so on and so forth.

F

Q. So just help me with that, You talk about keeping on regenerating that wallet. What does that mean?

A. So in hindsight if, for example, if you had the seed phrase for a wallet ----

G

MR JUSTICE MacDONALD: Yes.

A. -- and you then say you lost access, you could not get access to that wallet, you could use that seed phrase to regenerate that wallet.

Q. Yes. And just for my own curiosity, you then have two wallets that have been generated by the same seed phrase in your example?

H

A. Yes.

Q. Both wallets then proceed forward towards the ultimate creation of a Bitcoin?

A. Yes.

Q. I see.

A

A. So to kind of bring it even further, just to kind of go on that point, for example, we've dealt -- or I've dealt with certain incentive frauds whereby you have a wallet and a fraudster would use the seed phrase to regenerate that wallet ----

Q. Yes.

B

A. And then execute the transactions to send them onwards.

MR JUSTICE MacDONALD: I see, yes. Yes, Mr Molyneux.

MR MOLYNEUX: So Coinbase and self-storage, they are entirely different things?

A. Yes.

C

Q. Coinbase is somebody else doing all of that for you and having your own self-storage wallet is you taking more of the risk?

A. Correct.

Q. Because what are the risks of each of those methods of owning crypto?

D

A. Ultimately, if you use a custodial wallet, say for the likes of Coinbase, you don't ultimately control the seed phrases to generate the wallets. They are liable to be hacked, for example. Ultimately, you just don't have ultimate control of it. Whereby if you had your own self-custodial wallets, you can regenerate those; you can secure those in any way that you want, and ultimately you can also take those offline. So, where you have what we refer to as hot and cold storage wallets, you can take them offline, which would then be cold wallets.

E

Q. And if you forget how to get into your cold storage wallet, you are in difficulty?

F

A. You can use your seed phrases to regenerate them. If you forget your seed phrases, then ultimately you're pretty -- in a bad way.

Q. And that is why you have these orphan assets of cryptocurrencies that no one can access?

G

A. Yes, exactly.

Q. And what's a multi-bit wallet?

A. A multi-bit wallet is a wallet that allows you -- it's essentially a self-custodial wallet.

H

Q. Okay. Now, if we were dealing with bank accounts, you would have a sort code and an account number and you would be able to tell from the sort code which banks you are with -- whether it is a NatWest sort code or HSBC, whatever it might be. Is there any way when you look at a wallet address that you can tell either the contents of the wallet or whether it is a cold storage or whether it is with Coinbase -- or does it not work like that?

A

A. Through some analytics you can do. There are certain platforms that allow you to do that. You can look at, for every transaction, you can look at perhaps the change address, so where that change address has gone to, and whether or not that change address is attributed to a known exchange.

B

Q. Yes.

A. But ultimately, you won't always be able to tell whether or not it's attributed to a hot or cold storage wallet.

C

Q. And one of the reasons, as I understand it, that people like cryptocurrency is it is totally separate from fiat currency. It is totally separate from the government. And it offers almost complete secrecy if you wanted to. Is that right?

A. If you wanted to, yes.

Q. So if you saw a wallet address in isolation, would there be any way of you being able to tell who that wallet belonged to?

D

A. The ultimate answer to that is "no", unless there is, I would say, open source information out there that attributes a wallet to an individual. What I mean by that, your Lordship, is for example, a fraudster uses wallet address ABC123. That on its own, you would not be able to tell who that's attributed to. And that's why lots of people like trading in crypto. It is the anonymity that sits behind it. But as a fraudster, that someone may have been a victim of fraud using that wallet address, and they may post it online. And so we would do the research behind it, and then perhaps you could draw the conclusion that that wallet is attributed to Mr X, the fraudster, as an example.

E

F

Q. So it really is old-fashioned detective work?

A. Unfortunately so, yes.

Q. So if, for example, I take his Lordship again as an example, he has got his Bitcoin and he wants to purchase something using that Bitcoin, so he transfers a fraction of that Bitcoin to his service provider. You would not know that it was his Lordship who was making the transaction just by looking at the wallet, but you might be able to work it out if you went to the service provider and they said: "Yes, I was transferred it by X in satisfaction of money that he owed me."

G

H

A. Correct.

Q. So you would work back from that.

A. Yes.

A

Q. So you need to have all of this other material in order to understand who is the owner of the account?

A. Exactly.

Q. And the other way is, I guess, KYC -- Know Your Client?

A. Exactly.

B

Q. But that only works if it is held by someone like Coinbase. Tell me whether I am getting this wrong or getting it right?

A. Yes, it depends really on each exchange service provider. Some of them would take KYC information; some might not, but Coinbase would, from my experience.

C

MR JUSTICE MacDONALD: Yes.

A. But then you do have offshore type exchanges whereby the KYC processes and onboarding processes aren't as stringent as they would be with the likes of Coinbase.

MR JUSTICE MacDONALD: Yes.

D

MR MOLYNEUX: So just looking at -- we will do some worked examples now. Look at page 9 of your most recent report, please. I do not know what page that is in the bundle because it was not in the bundle until very recently.

E

MR JUSTICE MacDONALD: Well, can we first check whether it is in fact in the witness bundle that is in the box? If it is not, then I think a paper copy will be needed.

MR MOLYNEUX: That is probably better.

A. Thank you so much.

MR JUSTICE MacDONALD: Did you say page 9?

F

MR MOLYNEUX: Page 9 please. I will just make sure I am looking at the right page. (To the witness) And you said in relation to all of these transactions which come from Coinbase -- so this is, I think everybody accepts, Mr Zahmoul's Coinbase account?

A. Yes.

G

Q. And there are lots of smallish transactions. And you say:

H

“The below transactions are of Bitcoin sent to wallet addresses after the original analysis. They reveal that the same amount of assets sent to the wallets, apart from T6 at the time of writing in November 2022, remain unspent within the wallet. Mr Zahmoul, however, stated that most are small amounts that were given when trying to educate how cryptocurrency works to individuals.”

Then at page 10 you develop that by showing the original wallet and then the little transactions which are going out of them. You say on the right hand side:

A

“Our analysis at the time of November 2022 report show that there are no onward transactions beyond these wallet addresses. Additionally, the inbound transactions to these wallets are the only transactions stated within each wallet, meaning that there are no other wallet addresses linked to the address that have not been disclosed.”

B

So it is like, if I can use a very simplistic analogy, it would be like paying £50 into another bank account, £50 pounds into another one, £50 pounds -- multiple £50, and then being able to evidence that there were no withdrawals or deposits into those bank accounts that the £50 pounds are being paid into?

A. Exactly.

C

Q. Okay. At page 11 you say:

“The below table shows these transactions and the current balances of each wallet at the time of writing the report in November 2022. It was evident that there was 1.137 Bitcoin currently associated with the wallet addresses that Mr Zahmoul had sent assets to.”

D

And I think that your explanation or the explanation that you were provided with was that this was Mr Zahmoul educating, as a crypto educator, transferring small amounts of crypto into the accounts of third parties. Am I right about that?

E

A. Yes.

Q. And indeed, you say at page 5, do you not, which is your executive summary, two thirds of the way down: “Mr Zahmoul has made...” -- It is the fifth bullet point up from the bottom:

F

“Mr Zahmoul has made various payments for educational services due to the value sent and Mr Zahmoul being ... crypto, there is no reason to contest these.”.

A. Yes.

G

Q. But that's your opinion. I might have a different opinion. His Lordship might have a different opinion. That is not your expert opinion, is it? That is just: well, it seems plausible to me. Is that fair?

A. That's fair to say.

H

Q. Because it is not evidence-based, is it, other than what Mr Zahmoul has told you about that?

A. No.

Q. I mean, it could be -- could be that these are all his own wallets that he has transferred these four bits of crypto in, and there would be no way of you gainsaying that. All you

A

know is that they were his. He has transferred what in today's money is, what, \$16,000 worth of crypto into various other wallets, and they remain there.

A. Yes, that's my opinion.

B

Q. Yes. Well, that is your expert opinion in that you can tell his Lordship that that is what has happened. What you cannot do, because you do not know (no criticism) what you cannot do is tell his Lordship that those belong to other people because you just do not know. You know what Mr Zahmoul has told you?

A. Correct.

C

Q. And there would be no way, would there, there would be no expert way of identifying who the owners of those other wallets were, the recipients of these bits of Bitcoin that are being transferred to them, would there?

D

A. I would say the only other way of actually trying to identify that is if every single one of those recipients at those addresses were to be spoken to and they could then evidence them actually accessing the wallets to show that they are in control of those wallets.

MR JUSTICE MacDONALD: Yes.

E

MR MOLYNEUX: So, if we look at page 12, there was one transaction which was queried and that was transaction 6. Additional checks -- this is page 12 of your report:

F

“Additional checks made on 24th January 2024 reveal that all balances bar transaction 6 remain the same. Transaction 6 suggested that 0.99 of Bitcoin was sent to wallet address BC1QG. Mr Zahmoul provided information to suggest the initial payment was made to Lila. Despite the payment being made to Lila, it is my opinion there is no rational reason for this to be sent to a further wallet over the two years after transaction 6 took place unless it was to amalgamate all assets.”

Just explain to his Lordship what that means.

G

A. So essentially all of the assets... So if we look at all the addresses that go along the other side ----

MR JUSTICE MacDONALD: Yes.

H

A. -- we know the explanation given by Mr Zahmoul that it was for educational purposes. Now, the wallet transaction 6, which I think, if I am not mistaken, all those transactions were received -- I think it was the largest sum of that, yes. Now, if that was for, say, educational purposes, the person who was in control of that wallet would ultimately either leave it there, or they would, if they wanted to cash it out, send it to the likes of

A Coinbase or use a platform to extract those. To leave it in there, in my opinion, for over two years, and then move it onwards to another wallet would not, in my opinion, make any sense.

B MR JUSTICE MacDONALD: I mean we come, Mr Molyneux, to the point you made earlier on. What is the forensic basis of that opinion, because it looks like you are talking about someone's motivation for doing something and not doing something. So what is the forensic underpinning of that conclusion?

C A. That is a very good question, your Lordship. I don't think there is a forensic opinion that sits behind that. It would just ultimately... From my experience dealing with crypto and transactions, ultimately someone would not want to move them on unless it was either one, to cash out, or to amalgamate those with another. But when I say "amalgamate", it's just so they can control all assets in one wallet as opposed to having loads of sporadic wallets.

D MR JUSTICE MacDONALD: I see, thank you. Yes. Sorry, Mr Molyneux. I interrupted it.

E MR MOLYNEUX: It is lay opinion rather than expert opinion, that bit, is it not? It is what do you think someone would do, and we all might have different opinions as to what motivation would be. But let us just look in relation to this transaction, because initially, Mr Zahmoul's explanation was that it went to his daughter. And you would have had no reason to doubt that, because if he tells you that, there is no forensic reason to believe that that is not true. Correct?

F A. Correct.

G Q. But it was not true because he told you. And if we look at 14, we will see how his explanation in relation to this has changed. It is not the only time we will look at this, but we will look at this one first. So, a request from Mr Zahmoul to explain whether BC1QG was his because you, through instinct rather than forensics, wanted to press him on this transaction, resulted in his response on 8 February. So two weeks ago. He says this:"

H "Upon a more detailed review, I acknowledge an error in my initial identification of transaction 6 relating to [daughter]. The one Bitcoin I gifted to her occurred on December 17, 2017 which is distinct from the one Bitcoin that I transferred on the 1 June, 2019. That's currently under scrutiny. I initially mistook this transaction due to its proximity to her birthday. I currently read my records to confirm the recipient of the June 1 transaction, which I now believe may have been to Olivia. As per the attached, I have also reached out to Coinbase

A International Legal Team for assistance and I expect to receive an inventive response within 48 hours, which I will promptly forward to you.”

You say:

B “Based on the above, this is an error made by Mr Zahmoul. However, further enclosures supplied on 14 February 2024 from Mr Zahmoul, reveal a letter from Coinbase which details that he did not make a payment to his own Coinbase account, and that 18BK7, which is the wallet, are not associated with his personal Coinbase accounts.”

So we know that he has transferred that to somebody else is all we can say?

C A. Correct.

Q. And we got those two different explanations. The one I think that he is opting for now, the one that he says is true, is that it was to his ex-girlfriend rather than to his daughter. You do not know.

D A. Correct.

Q. And no one could know, I guess.

A. No.

E Q. I suppose the only way to know would be if the wallet that received it was with, say, Coinbase or with another provider by having a subpoena to do a “Know Your Client” check on that specific account.

A. Exactly.

F Q. And do we know whether that is a Coinbase account or could it be a self-storage, self-custodial wallet? Or is it just not possible to tell?

A. Well, it's not attributed to an exchange or a service provider that I can see.

Q. Out of interest -- indulge me -- how can you tell that?

A. I would use an open source platform, essentially.

G Q. And I think you say at the bottom of page 14, do you not,

H “Within the 14 February enclosures [from Mr Zahmoul] it also says for the decent transactions of Ms Molina, this can be seen in Appendix D. Of note, these transactions occurred before 1 January 2019 and therefore not within the scope to be analysed. That said, it would be beneficial to analyse dates of crypto assets and transactions pre-2019 as Mr Zahmoul could have sent assets to addresses not considered, which may identify addresses and accounts at exchanges.”

A

I want to understand the limits of what you have done. This is not a criticism of you because you have done what you were asked to do, which was focus on that date onwards. But nothing that you have seen could answer the question, because this is the nature of the crypto world: does Mr Zahmoul have assets pre-dating 2019, crypto assets pre-dating 2019, that he has either transferred to third parties or retained himself?

B

A. Sorry, was that the question?

Q. Yes?

A. Sorry, could you repeat?

C

Q. So, you have done what you were asked to do, to focus on 2019 onwards. But the secretive nature of cryptocurrency means that if he had, in a self-custodial wallet, bitcoins or had transferred bitcoins to somebody else pre-2019, unless somehow there has been a transaction post-2019 which touches upon that wallet, which leads you to examine it and try and trace it back and try and do some detective work, it could just still be there, could it not?

D

A. That is correct.

Q. Obviously you are not going to say that this is what has happened because you do not know, but if he had crypto in 2016 or 2015 or 2017 and he had not transacted with it, then it could still be there?

E

A. Possibly, yes.

Q. I mean, certainly on that scenario?

A. On the scenario, yes.

F

MR JUSTICE MacDONALD: The impression I get from your evidence thus far is that the surrounding information is really very important ----

A. Yes, my Lord.

G

Q. -- because there is so little that you can tell in many situations from the actual -- the blockchain information that is in front of you?

A. Yes. I would say, going back to what you just said there, your Lordship, when we talk about, you know, the limitations of what can we see in the blockchain, there are limitations. And with the anonymity that sits behind it, it again provides its limitations. I think with, you know, this scenario that I am dealing with here, essentially a lot of it is geared against or geared up with what the self-disclosure would be. So, based on that, that's how I can then expand my inquiries.

H

A MR MOLYNEUX: Yes. So if we had gone back to 2015, you might have a clearer idea about whether there is any other crypto that is not captured by this report, I suppose?

A. Yes.

B Q. At 15, you look at certain transactions, do you not, with Coinbase -- transaction two and transaction three, which was €4,619 and then €32,167, and these are receipts into Coinbase; so receipts into Mr Zahmoul's Coinbase wallet. You say:

C "It cannot be assessed based on the information provided. As such, a justification on the inbound transactions that have been provided by Mr Zahmoul as 'Olivia rent'. Whilst this is Mr Zahmoul's justification without the transaction hashes from Coinbase to identify the originating wallet associated with Olivia, it is still possible that the sending wallet address could be controlled by another party besides Olivia. Additional information arrived on 8 February, which does provide the transaction hashes for those two transactions."

D You say:

"This proves that the sending cluster is 1AWKG. This is a wallet address that Ms Molina has stated in Appendix A belonged to her."

E But the conclusion, is that her wallet, hinges entirely on her saying: it is my wallet. If she was not telling the truth, then you would be none the wiser. Is that fair?

A. That is fair, yes.

F Q. Then you look more closely at that wallet. I want to make sure that this has not been cut and pasted in the wrong place because I could not make sense of 16. 16, looking at further transactions linked to, I think, Olivia, and you say:

G "The above transaction shows that wallet address 1GQYJXH was sent 0.08 Bitcoin on 21 July 2019, which can be seen on the blockchain in the image below. In Mr Zahmoul's disclosure he says that this is a reimbursement to Olivia. A letter from Ms Olivia Molina dated 25 October has now been provided to another Another Day by Mrs Zahmoul and she confirmed that this is her address."

And then you go on to say:

H "Upon additional analysis, it appears that 1GQYJ is an address that has been generated as part of the cluster root addresses. This route address appears to make 57 transfers, 31 withdrawals, and 26 deposits. Additionally, 39.73 Bitcoins have been traced through this wallet, which is equivalent to \$768,000."

A

What I could not do is reconcile your continuing analysis of 1GQYJ, which has been generated as part of the clustered route addresses 1AWKG. What is the link between those two addresses?

A. So from what I've written in the report, from my understanding, is 1AWKG ----

Q. Yes.

B

A. -- is -- sorry, so, okay, so the address 1GQY, which is the recipient address -- sorry, the sending address in transaction 8, that address forms part of the same cluster as 1AWKG.

Q. And 1AWKG is one we looked at on the previous page?

A. Yes.

C

Q. And that is the one that Olivia Molina says is "mine".

A. Yes.

Q. Okay. So, can we deduce, because that is partly -- because 1GQYJ is part of the cluster of root addresses, that whoever controls 1GQYJ also controls 1AWK, because it is part of the same cluster of root addresses?

D

A. Yes.

Q. And whoever controls 1AWKG, said to be Olivia Molina, has made 57 transfers, 31 withdrawals, and 26 deposits, 39.73 Bitcoin traced through this wallet, which is equivalent to \$768,419. Correct?

E

A. Correct.

Q. So Ms Molina, if it is indeed her wallet, was transacting \$768,000 worth of Bitcoin transactions during the period that you have analysed. Correct?

F

A. (No audible response)

MR JUSTICE MacDONALD: Just while I think about it, as a judge who ultimately writes a judgment and sometimes publishes an anonymised form of the judgment, would the use of the short form of the addresses, so 1AWAG, for example in a judgment, reveal to the reader information that could be utilised nefariously, or is it standard practice just to refer to that first set of numbers and letters as an anonymous way of referring to the whole?

G

A. Yes. I generally use the first five letters, because obviously all the alphanumerics that come after it could be (inaudible)

H

MR JUSTICE MacDONALD: I see. Thank you.

MR MOLYNEUX: So if we focus on those first six letters and numbers, that is ----

A. Yes.

A Q. -- the best approach. Okay. So, over the next pages you look more closely at what I am going to call "Olivia's account" -- Olivia's wallet. This is 1AWKGD. At page 21 you conduct some further analysis. You say:

B "Similarly the two circled clusters are clusters that have sent funds directly and indirectly to addresses within cluster 1AWKGD. The address circled in red has been identified as having a root address 1NPXS9. This cluster has 250 addresses and is likely to be in this wallet address with a total of only 311 addresses and a balance of zero Bitcoin. However, a total of 1,452 Bitcoin has been traced through this cluster. It also sent 26.23 Bitcoin to wallet addresses within the 1AWKG..."

C What I want to understand, and his Lordship may wish to understand, is the nexus, the connection, between these clusters and Olivia's wallet because as I read this there is one point - or 1.452 Bitcoin which in today's money would be, what, getting on for \$70 million worth of Bitcoin transactions going through that cluster of addresses which is linked to -- but how closely is it linked to?

D A. So, the cluster where we look at the green circles cluster, which is -- so that is the one... So, when we look at the green circle address, essentially that has --when we talk about how close is the link, because we can see that essentially that dot, which is an address, is only one step away from the cluster that we believe is controlled by Olivia. So, when we talk about the link, it's essentially one step removed. What we can see from that diagram is that there are transactions between the green address to the address that is controlled by Olivia. That said, when we look also at ----

F MR JUSTICE MacDONALD: Just say that again. There are transactions from the green address ----

A. To Olivia's address.

G Q. I see.

A. But that said, when we look at the address on the furthest left of that diagram which appears as the white dot ----

Q. Yes.

H A. -- which is an exchange that also has a direct link into that address and also Olivia's address. So ultimately, that could give the reason as to why there are a large sum of Bitcoins being traced through and clustered.

MR JUSTICE MacDONALD: Yes.

A MR MOLYNEUX: You will understand through your involvement in this that Mrs Zahmoul is, of course, very sceptical as to whether or not Mr Zahmoul is telling the truth about the true owner of these wallets, whether it is Olivia or not. I do not want to make a bad point to the judge. I am going to make submissions, so I want to be clear about what we can fairly deduce from this, because these are big numbers, are they not, in today's money. I understand at the time these transactions took place, it was much smaller amounts of money, but in today's money, 1400 Bitcoin is \$70 plus million. So, what evidential value would you say this has in linking Olivia to this volume of Bitcoin transactions linking Olivia's wallet?

C A. I would say in my opinion, your Lordship, I'd say there is a direct link as we can see from the green circle address to Olivia's. However, I can't give an opinion as to how closely -- what the reasons are for those transactions. So, ultimately, whilst there is a -- they are a large sum; I agree, it's a large sum of Bitcoins linked to Olivia's address and that cluster, I can't give the reason as to why those -- that large sum of money has through the cluster. As you pointed out, I can't tell who controls that cluster, but ultimately there is a link somewhat between the two.

E Q. So, is it possible to convert it into a fiat currency, into a banking analogy. I do not know whether that works?

F A. Yeah, I mean, I think kind of the simplest way to think of it, your Lordship, would be if your Lordship has -- you know, if you had 2 million Great British pounds going through your bank account ----

F MR JUSTICE MacDONALD: Yes.

A. -- and then you have a direct link to myself and you send me, I don't know, £2,000 as an example, it shows that there is a link between your wallet address and -- sorry, your bank account and my bank account. That's as far as I can say.

G MR MOLYNEUX: Okay. Then we analyse transactions -- continue analysing transaction 8 on page 22. And you say -- this is in relation, I think, to another cluster of addresses within the 1AWKG cluster. You say this wallet, that is 15HYK --

H “However, 204 addresses, likely to be a private wallet address with a total of only 279 transactions. This wallet address also has a balance of zero Bitcoins. Over a total of 1,048 Bitcoins have been traced through this wallet. To summarise, the two addresses have sent funds to wallet addresses within the 1AWKG cluster, which is also a cluster that Mr Zahmoul has sent Bitcoin to.”

We know that Mr Zahmoul's case is that that is Olivia's cluster.

A

“Although he has informed us that this transaction was reimbursement to Olivia, we are unable to confirm but it is possible that the two addresses are also controlled by him or another entity. As there are returned transactions to Coinbase from 15HYK, it may be possible that KYC information from Coinbase may reveal information as to who is likely to have control of this receiving wallet address. Specific transaction information will be provided to assist with this process should it be required.”

B

And that is the only way, is it not, really, to be sure, would be to go back to Coinbase as Mr Zahmoul did with Gemini, to go back to Coinbase to do your KYC, get disclosure from them, and then they will tell you who is the account holder -- who is the apparently true owner of the wallet?

C

A. Yeah, essentially.

D

MR JUSTICE MacDONALD: Just give me a moment, Mr Molyneux.

MR MOLYNEUX: Oh sorry.

MR JUSTICE MacDONALD: Just on the question of the exchange, the presence of the exchange of the white dot?

E

A. Yes.

Q. Assuming for a moment that the exchange's (inaudible) may have a long volume of movements, can those movements go -- follow any route on the spider web, or do they have to -- does there have to be intention, if funds are moving from the exchange to a particular wallet?

F

A. Exactly.

Q. There has to be intention?

A. Exactly that. So, what we can't see as an example -- let us just kind of bring it almost a step further. With an exchange, we can't see internal ledgers, so we can't see transactions that happen internally.

G

Q. Yes?

A. Anything coming away from an exchange, so the white dot onwards, would have been executed or requested by someone who has an account at Coinbase and says, “I want to send X Bitcoin to this address via Black (inaudible).”

H

MR JUSTICE MacDONALD: Yes.

A

MR MOLYNEUX: I think that Mr Zahmoul came up with an explanation, which we see on page 23, about one of these clusters -- this 15HYK cluster, with 1,048 Bitcoins having been traced through it. And he says there:

B

“Your record that in response to the recommendation, the conclusion shown on the previous page in green, Stowe family provided a further letter on 14 February.

“The letter position enclosure states and proves that Mr Zahmoul has received confirmation from Coinbase that the wallet address 15HYK is not associated to Mr Zahmoul.”

C

You say at the bottom in red,

“Despite this information, it is not suggested this address is an address at Coinbase or linked to Mr Zahmoul Coinbase account. It suggests that the transactions in this wallet to Coinbase may assist in identifying who is in control of 15HYK.”

D

So as I understand that, you know that it is not a Coinbase wallet; you can tell?

A. That's right.

Q. And you were not suggesting that it was a Coinbase wallet; you were suggesting that it might be that Coinbase would be able to confirm who it did belong to?

E

A. Exactly. Just going back to your point you made earlier ----

Q. Yes?

A. -- it's almost the reverse of going to Coinbase, asking who made that deposit and then receiving the KYC information that way.

F

Q. Fine. So, then it is possible that that is Mr Zahmoul self-custody wallet. You do not know one way or the other?

A. I don't know.

Q. Then if we look at page 24, transaction 8 continued, “inbound wallets of interest”.

G

“The below graph focuses on solely direct transfers to exchange services detailed below. These are all coming from 1AWKG...”

-- which is that cluster of wallets which are said to be controlled by Olivia. It says:

H

“Although Olivia has said that she is the controller of 1AWKG, she sent Bitcoin to these exchanges above showing additional accounts out of the exchanges, if that is in fact a wallet, in addition to the transactions to be provided separately to assist. An application should be made should this be required.”

Just explain what it is that we can deduce -- we can safely deduce from that?

A. So from this, essentially with those transactions going directly to those yellow dots which are exchanges, if Olivia is the controller of 1AWK, then each of those exchanges, should they have KYC information, or any other additional information as to where those deposits have been made, will reveal who the recipients were at each of those exchanges.

Q. I understand. Now, 25: indulge me because you are going to have to help me understand what page 25 is saying. This is a transaction of €90, and you say: "Sending 0.013 of a Bitcoin to wallet 3DAT -- 3DAJT." You say:

"The above transaction shows that the wallet address, 3DAJT was sent 0.013 Bitcoins on 25 October 2019."

The starting point is that this is a transaction out of Mr Zahmoul's Coinbase wallet, going to wallet 3DAJT. Correct?

A. Correct.

Q. Okay.

"That can be seen on the blockchain and in the image below. Letter from Ms Olivia Molina date 24 October 2022, shown in Appendix A, have now been provided to Another Day via Mr Zahmoul, in which she confirms that this is her address."

So Olivia again is saying, "This different wallet that received Bitcoins from Coinbase was my wallet." So she seems to have, on the basis of what she is saying, she seems to have a whole number of different wallets.

A. Yes.

Q. And you then go on to say, "Upon additional analysis, it appears that..." -- and then this is the bit I do not understand; "... it appears that 1GQYJ is an address that has been generated as part of the cluster of root addresses 3N69P." I did not understand how that tallies with the previous paragraph. It is not trying to trick you. It is a genuine attempt to understand whether I have misunderstood. I just wondered whether it was a typo, whether it was a miscut and pasting?

A. I believe that is a typography error.

Q. So, what we are really looking for is further reference in the -- further reference somewhere in here to 3DAJT because I cannot find that. Maybe there is something which you could assist us by looking at because the figures at the bottom, the 80 Bitcoin

A traced through this wallet which is equivalent to \$786,000, it will be helpful I think, respectfully, for his Lordship to understand whether this other account said at the moment to be owned by this wallet, said to be owned by Ms Molina, has been the recipient of \$786,000. To recap, we see in the first paragraph that wallet address is said to be her wallet address because she provides an email saying so. And then in the second paragraph, which I think has got the wrong wallet address, you say that \$786,000 has gone through a wallet. I just want to understand whether you meant to say 786,000 went through 3DAJT, or whether you did not mean that?

A. That might be a typo. That is something, your Lordship, I will have to check.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: I understand.

MR JUSTICE MacDONALD: I think given the time, it may well be that once I rise at 1 o'clock, it can be done over the lunch adjournment.

MR MOLYNEUX: My Lord, because this leads on to another question which I want to put to Mr Pinto, I wonder if we could adjourn now so that he can do that and we could start obviously whenever is convenient for you.

MR JUSTICE MacDONALD: Yes. How much longer do you think you have, Mr Molyneux?

MR MOLYNEUX: I would imagine I have got another 30 minutes.

MR JUSTICE MacDONALD: Ms Campbell, how much do you think you have of questioning?

MS CAMPBELL: Probably at least an hour, but maybe an hour and a half. It depends what comes next.

MR JUSTICE MacDONALD: I think then I will rise now. Mr Pinto, if you can check that over the course of the lunchtime adjournment I would be grateful. We will sit again at 2 o'clock. Obviously, I know you are aware that during the course of the lunchtime adjournment, you should not discuss your evidence?

A. Yes.

MR JUSTICE MacDONALD: Yes, thank you. 2 o'clock.

(Adjourned for a short time)

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: Mr Pinto, you were very kindly going to have another look at page 25 in order to tell us what that page should have said. Can you help?

A

A. Yes. So, the only typography is in the second paragraph where it says “1GQYJ”.

Q. Yes?

A. That should be 3DAJT.

Q. As we thought. 3DAJT.

B

“The above transaction showed that the wallet address 3DAJT was sent 0.013 Bitcoins on 20 October, which can be seen on the blockchain and in the image below. A letter from Ms Molina, dated 20 October has now been provided to Another Day by Mr Zahmoul in which she confirms this is her address.”

C

I think this is one of your original queries in your November 2022 report?

A. Correct.

Q. So, this was telling you the answer to one of the queries you had in relation to this wallet previously.

D

“Upon additional analysis, it seems that 3DAJT is an address that has been generated as part of the cluster of root addresses 3N69P. This address seems to have made 20 transfers, 8 withdrawals and 12 deposits. Additionally, 80 Bitcoin have been traced through this wallet, which is equivalent to 786,901.”

E

So we saw the previous account, which was apparently Ms Molina's account, which had \$780,000 passing through it. We now see this wallet, again said to be Ms Molina's, with a further 786,901 passing through it. Am I right so far?

A. Yes, that's correct.

F

MS CAMPBELL: I am sorry, I am not sure that is right. Did you say “passing through” or “associated with”?

MR MOLYNEUX:

G

“The address appears to have made 20 transfers, 8 withdrawals and 12 deposits. Additionally, 80 Bitcoin have been traced through this wallet, which is a limit of 786,901.”

And then we see below in the illustration, “transfers received to trace” -- transfer received 83,000. “Traced transfers sent 786,901.” So, I am going to stick with my formulation. (To the witness) And I think you are agreeing with me?

H

A. Yes.

Q. Now, that is the story so far. This is Ms Molina’s wallet. This little fractional Bitcoin transferred to her illustrates that it is hers, not because you can tell but because she

A

confirmed it and we see the very helpful email from her at page 28 of your report. At the bottom of that page we see the email from Ms Molina. It says, “ I also want to confirm the following wallets” because she has got a number of them: 1GQYJX 3DAJTD and then 189QKP -- all hers.

B

“They are my wallets and mine alone. Best regards, Olivia Molina, dated October 20, 2022.”

And this is where it gets confusing. Look at page 28.

C

“ In the letter from Stowe Family dated the 13 February 2024, Mr Zahmoul appears to have gained new insights into this transaction...”

-- the one we were looking at, the little fractional one.

D

“The letter states that he initially attributed the \$100 transaction as a payment made to Ms Molina. This is also described in the previous pages...”

-- the one we were looking at.

E

“However, the 13 February letter states that this was largely due to the absence of any formal record, its minimal value, and its occurrence during the time that they [he and Molina] spent together in New York, specifically just a day prior to her transferring 10 bitcoins to him in two separate transactions of five bitcoins each.”

The same letter states:

F

“Mr Zahmoul has since discovered an email correspondence from Mr. Fadi Kassis of Forte Securities, which clarifies the \$100 transaction in question was actually directed to Forte Securities. This transaction was a preliminary test to verify the functionality of their wallet system conducted in anticipation of potentially more favourable Bitcoin sale execution rates. On the 20 October 2019, Mr Zahmoul transferred a nominal amount to confirm the reliability of the address provided. For your reference...”

G

-- continues Stowe Family Law --

H

“We have enclosed the said email exchange to Mr Zahmoul and Mr Kassis of Forte Securities. Additionally, we have included the letter from Forte Securities dated 11 February 2024, which verifies the ownership of the wallet in question. The letter in question is shown overleaf which states that Forte Securities..”

-- presumably the entity, the business --

“... claim the wallet 3DAJT is theirs.”

A

And if we look overleaf at page 29, we will see the letter from Forte Securities from this gentleman, Fadi Kassis.

“This is to confirm the following wallet belongs to us, Forte Securities, 3DAJT.”

B

And then we see some emails, I think, starting at the bottom: 11 October 2019.

“Hi, Fadi, can we start with one Bitcoin? Let me know where to send it. I'm not sure I'm ready to sell yet.”

C

We do not know what that means. “That's why I've not been responding. Karim.” Mr Zahmoul will give evidence about this, I am sure, in a couple of days' time. The response:

“That's cool, man. No worries. I figured as much. 3DAJ2 once in hand here, and you want to sell, let me know.”

D

He replies:

“Fadi, I've sent you \$100 to that address to make sure it works. Let me know when you receive.”

E

And then “0.1307641 received, nice one.” So we have got two people claiming that that is their wallet. We have got an email in the clearest terms from Mr Kassis saying, “the wallet belongs to us”. That is at 29; and at 28 we have got an email, in just as clear terms, from Olivia Molina saying the wallets, including one we just looked at, “are mine and mine alone”. Now, are you able, as a matter of expertise, as opposed to probability or guesswork, tell the judge whose wallet it is?

F

A. No.

MR JUSTICE MacDONALD: Sorry, Mr Molyneux. The two communications that you have been referred to are three years apart. Is there any way in that three years that the wallet can move from being one person's to being another person's within the context of cryptocurrency?

G

A. I guess the question would be whose ownership it is.

H

Q. Originally?

A. Originally, and whether or not they've passed that ownership over by way of transferring the seeds, for example, and giving them access.

MR JUSTICE MacDONALD: I see. Yes, thank you.

A MR MOLYNEUX: Are there any pointers that you can assist his Lordship with which tell us, as a matter of expertise, whose wallet this is likely to be? I distinguish expertise from forensics, which his Lordship will be the master of, i.e. who does he believe and what document does he attach weight to in terms of the emails. I am thinking more of your expertise as a cryptocurrency expert?

B A. By way of just looking at the blockchain, there's no way of me differentiating who has the rightful ownership of it. The only way that I could see, actually identify who has ownership of it, is looking to see if there's any direct links either inbound or outbound from that wallet to an exchange, and then asking for that information from the exchange

C Q. Thank you. There is a lot of self-certification, is there not, in terms of ownership of these assets, by which I mean you only know if someone says, "It's mine."

A. From an investigative perspective, yes. It is only a single strand of evidence I have.

D Q. And is there any independent source information that could cast some light on who the owner of these is, in terms of your expertise?

A. The other way that you could do it is if you had Ms Molina in the courtroom or if you had Mr -- forgive me -- Kassis in the courtroom and asked them to access their wallets remotely, just to see who actually has ultimate access to them.

E Q. So only one of them has got the key?

A. Potentially, they could both have the keys. It is not impossible.

F Q. Oh, right. So, as a matter of theoretics, it might be possible for two people to have the key to the same wallet. But as a matter of reality, that would be unlikely because it would enable somebody else to access your asset?

A. Exactly.

G Q. Could you just look at page 30 for me, because I want to better understand why you say what you say. This is a Coinbase transaction. Am I right in thinking that the focus of this has been Mr Zahmoul's Coinbase transaction. So he has shown you a log of what he has been doing vis-a-vis Coinbase, and you have then been analysing each of the 30, 40 transactions which are evidenced therein to try and tell the court all you can tell about them and about ownership of wallets that are connected with them?

H A. Exactly.

Q. Yes, I understand. Did that include Coinbase Pro or was it just Coinbase itself?

A. Coinbase and Coinbase Pro.

A

Q. And just again, for the benefit of the Lordship, just remind everybody of the difference between those two accounts and what is one used for, and what is the other one used for?

A. Generally, Coinbase Pro is more of a trading platform. It's associated with the Coinbase account. So ultimately you should not be able to see transactions with Coinbase Pro without seeing it kind of clearing it in a Coinbase account.

B

Q. This may be something that you cannot answer, in which case you will tell his Lordship that you cannot, so I do not want you to speculate, but in your experience, do financial organisations, financial institutions, have these crypto wallets themselves or how would they hold their crypto assets? Because we were just looking at that email from Fadi Kassis in which someone is transferring some cryptocurrency into an account which apparently is now said to be owned by Forte, the financial organisation, the financial institution. I just want to try and understand whether that is a normal thing or an abnormal thing or something that you cannot comment on?

C

D

A. It's not something I can comment on.

Q. I understand. So, looking back at page 30, we have got two transactions receiving, each of them, five bitcoins from an external account. You say:

E

“They cannot be accessed based on the information provided. A justification of the inbound transactions has been requested by Mr Zahmoul as ‘Olivia BTC exchange’.”

Again, she is the source, we are told, of these inputs: €85,000 from UVS.

F

“A letter from Ms Molina dated 20 October 2022 has been provided to Another Day by Mr Zahmoul in which she confirms that this is her address.”

I think that is the one we were looking at -- one of the other addresses.

G

“[She] confirms that this is her address and it was used to reimburse Mr Zahmoul for the €85,000 that he had sent her. In my opinion this is likely to be correct.”

Additional data, as mentioned for transactions 2 and 3 shows that this sending cluster is 1AWK, which we have already connected to Mr Zahmoul earlier -- a wallet that she attributes to herself.

H

“Additionally, it would not seem reasonable that Mr Zahmoul would send himself Bitcoins from an external wallet.”

A

I just really want to understand what that last bit means as a matter of expertise as opposed to what you would say is human behaviour or what you would do. Why would it not seem reasonable as a matter of cryptocurrency expertise that Mr Zahmoul would send himself Bitcoins from an external wallet?

B

A. I mean, it's a very good question. From my personal perspective, I would not have sent it, but from a professional -- so that's my personal opinion. From a professional perspective, I can't see any reason why he would or would not.

Q. So it could have been him sending to himself, but it just happened that Ms Molina, says "Oh no, those were mine."

C

A. Exactly.

Q. And at the moment, you cannot do better than say that is the evidence.

A. Exactly.

D

Q. 32 please. More transactions said to involve Olivia, or said by Olivia Molina to all involved Olivia Molina. Just looking at transactions 11 and 12 a moment ago. Three lines down on page 32, a letter of Ms Olivia Molina dated 20 October, which again we are looking at, "... has been supplied to Another Day, in which she confirmed this is the address that was used to reimburse €85,000" -- I think the duplication of the previous page of page 30. I want to make sure that I have not missed anything. I think the first half of that is the same, but I think you have added something in relation to transactions 14 and 15, where you say:

F

"Like the above, transactions 14 and 15 cannot be assessed merely based on the information provided. Transaction 14 has been justified by Mr Zahmoul as 'from Olivia, test' and transaction 15 has been justified by Mr Zahmoul as 'from Olivia \$60,000 order'. Similarly, the letter from Ms Molina dated 20 October has now been provided to Another Day by Mr Zahmoul in which she confirms these are addresses and this was a wallet she used to pay the 0.1 and the 5 Bitcoins, to sell 5 Bitcoins at \$60,000 to Mr Zahmoul. Despite the letters provided by Olivia, it does not categorically prove that she has controlled the sending wallet. It is also likely the first transaction is a test transaction to assure that Bitcoin were being sent to the same wallet."

G

H

And it is the same point we were discussing before. It is all self-certification, is it not? There is no empirical expert-led way of establishing who has sent these?

A. I agree.

A

Q. Now could we look at page 71. My Lord, do you understand in the interest of time, I am not going to take every transaction because a number of these points apply. I do not want you to think by ignoring them, I am not attaching weight to them.

MR JUSTICE MacDONALD: I understand.

B

MR MOLYNEUX: (To the witness) Page 71. We have your observations in relation to the multi-bit address, 1LVSG. You say: "Analysis of this address in November 2022..." This is in your original report, yes?

A. Yes.

C

Q. "... Reveal that 24 Bitcoins have been sent to this address, all of which have also been sent out of the wallet. This was rechecked in November 2022..." I think you mean November 2024?

A. 2024, that's right, yes.

D

Q. "... was first active was 21 May 2015 until 8 November 2017..." Now, just before we move on, because I accept that was outside of the scope of the report, in your original, your November 2022 report, or your consideration of this in November 2022, you obviously identified these 24 Bitcoin as sent to that address. Was there an explanation provided to you as to whose Bitcoin they were or where they were going?

E

A. Not that I can recall, no.

Q. Well, it was first active 21 May 2015 until 8 November 2017 and has a balance of..." -- a tiny balance, 0.1005762, at the time of writing." We then see what the transactions were in relation to this multi-bit address, 1LVSGY.

F

"The above table shows the counterparties' addresses that 1LVSG(sic) has directly interacted with. 7.21 Bitcoin received from F2 Pool Mining Company. All funds sent from the same address at Xapo.com between the time periods seen in the above table. As such, it is possible Mr Zahmoul has an account at a mining company."

G

I think this is your original text which you then added to in red below.

H

"7.969 were sent to Xapo, a hosted wallet service, in fact similar to an exchange. So Mr Zahmoul controls 1LCSG. He may have an account at Xapo. However, we see that he has written to Xapo to confirm that he does not have an account. However a court order to Xapo may reveal the recipient of these assets."

Then it says:

A

“4.5 Bitcoin was received and 5 Bitcoin sent to Gemini.com, five of which were sent to a Gemini exchange service. We know from the disclosure Mr Zahmoul has provided a wallet address at Gemini.”

B

I just want to be clear about the numbers because I think you refer to 7.969 whereas actually it's 10.9694. If we look at page 71 you will see the sent figure of 3.9694 to Xapo, the first one, and then further down a further three right to the bottom which takes it to 10.9694. Am I right that it is not 7.9; it is 10.9 as the number which was sent to Xapo. Yes?

C

A. (No audible response)

Q. And as far as you were concerned, in the November of 2022, these were transactions which saw Bitcoin leaving Mr Zahmoul's account but going somewhere that he was not able to identify, saying that it was a Xapo account. Is that correct?

D

A. From my recollection, that's correct.

Q. And it now transpires, does it not, that that was his account that it was being sent to. That is correct as well, is it not?

E

A. His Xapo account?

Q. Yes.

A. Without reviewing the enclosures again, I can't definitively say.

F

Q. If I'm right about that, and I am, there is no way you could possibly have known that, is there, from just reviewing the material that you were provided with because so much of identifying the recipient of these things is down to the honesty of the recipient, or the recollection of the recipient?

A. Yeah, you are correct, yes.

G

Q. And the same with the 5 Gemini. When you saw that 6 Bitcoin had gone to Gemini, you had no idea who was the recipient of the 5 Bitcoin at Gemini, because there is no material, is there, to enable you, even with your expertise, to tell his Lordship who would be the probable recipient of that?

A. That's correct.

H

Q. And so if we now know that it went to an account in Mr Zahmoul's name, you could not possibly be to blame for not having understood or spotted that, because there would be no material to help you without the disclosure?

A. No.

A

Q. And, wrapping this up, subject to any instructions and having to ask anything else, the thing about the crypto world, I am going to put to you, you tell me whether this is a fair assertion -- the thing about the crypto world is that it is so opaque, it is so invisible in terms of who owns what, that you really are pretty dependent on the honesty and integrity of the person who owns it to tell you they own it because it's very, very hard to work out otherwise who the owner is?

B

A. I would say you're partially correct.

Q. Please tell his Lordship which bit, and which bit is wrong?

C

A. I think principally what you have said is actually correct. I think the other aspects about which we touched on right at the beginning is when we're looking for these off-ramp connections to exchanges, those are other avenues of investigation where we can try and identify who the ownership is -- who the owner is for each of these wallets.

D

Q. And off-ramp, the linked transactions within clusters, the linked transactions between wallets that give you a clue as to the scale of someone's usage of crypto and whether or not they might have a beneficial ownership of other wallets?

E

A. No, what I mean by "off-ramp" is whereby the fiat -- so the digital asset, so Bitcoin in this case, is then sent to an exchange, is what we refer to as the "off ramp" where they want to change the digital asset back into fiat currencies.

Q. Fine, so it is only that end game when they want to get their hands on the cash that gives you your best chance of working out who the ----

F

A. Essentially, it's the direct link between the wallet, or the unknown wallet, to an exchange or service.

Q. But if you are not in a hurry to convert it into dollars, into hard fiat currency, if you are prepared to sit tight, then it is hard to work out who the real -- what the scale of your resource is.

G

A. Yes, I agree. And the earlier you are an adopter, because we started in 2019 -- so the earlier you are as an adopter, presumably fair to say that it is even harder for those people to work out whether they make this full disclosure or not?

H

A. I can't answer that, to be honest. That's really down to the individual.

Q. I understand that. It may be that is all I have got to ask, Mr Pinto. I will just check.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: (After a pause) Mr Pinto, thank you so much. I do not have any other questions for you, but I am sure Ms Campbell will.

MR JUSTICE MacDONALD: Yes, Ms Campbell.

MS CAMPBELL: Thank you, my Lord.

Cross-examined by Ms CAMPBELL

Q. Mr Pinto, just a couple of preliminary things first, if I may. You met with Mr Zahmoul recently this year, but prior to this year, as I understand it, the last time you had a meeting with him was back in June 2022?

A. Yes.

Q. So there has been silence for 18 months?

A. That's correct.

Q. And during your interactions with Mr Zahmoul how have you found him in terms of trying to assist you or respond to your inquiries. Has he been helpful?

A. I would say he's been very helpful. He has been very timely with his responses.

Q. And have you been left with the impression at all that he has tried to hide things from you?

A. Personally, no.

Q. Is there anything you have asked Mr Zahmoulo provide that he has not?

A. No.

Q. In relation to Mrs Zahmoul, have you found her to have been helpful to you in the same way?

A. I haven't had any specific requests from her, but I would say yes.

Q. And has she maintained the distance that one would expect for individual parties not to contact experts? Has she respected that distance?

A. No.

Q. How often has she tried to contact you during your reporting directly since you were instructed?

A. Since I'm instructed, I would give a guesstimate of this between 10 to 15 times.

Q. This year, since you were brought back into the fray to help us with the updating, this year, how many times has she been in touch with you directly, not through solicitors?

A. When I say "directly", I'm not talking about... Sorry, I think there needs to be a differentiator of what it is. So it's not that she called me up every single day, for example, or sent me emails every single day, but there have been influxes of emails, on probably three occasions.

IN PRIVATE

A

Q. And have you had calls to contact her instructing solicitors and ask her to desist from that contact?

A. Yes.

Q. And has she respected that request?

A. No.

B

Q. When was the last time she contacted you?

A. I can't give a definitive date, but it would have been within the last two weeks.

Q. Now, you are here obviously as an expert, so you are giving an expert's opinion. I am right to say, am I not, that that is based on your experience?

C

A. Yes.

Q. And you have been looking at crypto accounts and examining cryptocurrency exchanges and transfers for how long?

A. So I've been doing crypto for about four years now, I'd say.

D

Q. And have you looked at personal, individual accounts or corporate accounts? Explain what your experience has been.

A. In terms of crypto?

Q. Yes.

E

A. So I've looked at corporate accounts in terms of system exchanges. I've looked at corporate accounts again, personal accounts, looking into frauds.

Q. So you have seen both sides, corporate and personal?

A. Corporate, personal, and yes both -- assisted in both the civil and the criminals frauds.

F

Q. And if I were to go back to what you were answering in questions that Mr Molyneux put to you, you were explaining that in a sense the exchange is a bit like a bank account and the wallet is a bit like a wallet or a purse you might physically hold about your person and that was the difference?

G

A. Yes.

Q. Is it fair to say that if we were looking at bank accounts and you said to a person, well, I have seen your NatWest account, but that does not prove to me you do not have an account anywhere else, that is obviously nothing to do with the crypto question, but just as we stand at common sense. It is difficult to prove a negative, is it not?

H

A. It is.

A

Q. And that applies equally with crypto as it does with physical bank accounts. It is hard to say to somebody: well, I will prove to you that I have not got any other accounts. That is quite difficult, is it not?

A. Exactly.

B

Q. And the only way you could give a definitive answer is to write to every single platform, every single exchange -- and even then, you would not have an answer because there still might be private wallets that were not open to contact. And you could never prove that negative?

C

A. It would take a lot of effort to do that, but (inaudible)

Q. And is it also fair to say that you have looked at everything on your instructions from 2019, so we have got five years' worth of data?

A. Yes.

D

Q. And this is a bit like looking at a bank account. If I was to look at five years of data on a bank account and I was looking for a hidden account, what I would be looking for is anywhere in these disclosed accounts for a link -- often an account that has not been disclosed or something coming in from an account that has not been disclosed. It is those links that would help me challenge whether or not there is an honest answer to proving that negative?

E

A. Exactly.

Q. And that is really what you have been doing?

A. Correct.

F

Q. And in the five years of accounts that you have looked at that belong to Mr Zahmoul, have you seen anything that indicates he has an account that he has hidden from you?

A. Initially when I looked at it, I would say that raised certain questions, but off the back of that, he has come back to justify what those transactions were and whether or not he had it accounted for.

G

Q. My instructions are, and you can tell me whether this is accurate or not, that Mr Zahmoul has been able to give you all of the data of all of his accounts, certainly the ones that he admits to, for all of 2019 to date, and there is not a single gap in the evidence he has given. You can follow every single transaction he has made from 2019 himself?

H

A. Yes.

Q. So he has given you a complete account of all the accounts he admits to?

- A. Yes.
- A Q. So if there were hidden accounts, those accounts have been kept completely separate from all the accounts that he has had from 2019?
- A. That would be the assumption, yes.
- B Q. And in fact, Mr Zahmoul tells me that because of the questions that have been raised time and time again, he has actually given you all of his data for the accounts that he admits to, to 2015. So you have actually got comprehensive accounts since he first started trading?
- A. Yes.
- C Q. So although that was not the ambit of your report, after your meeting last June he provided information to give you a comprehensive account of every single account he has operated from 2015 to date?
- D A. Yes. Just to elaborate on that slightly, I think everything I have asked for he has provided. Between last June to, I would say, June 2022, to the most recent enclosures which I received in January 2024 there are additional data within that bundle which shows that the additional accounts have been prepared.
- E Q. Yes, and the new disclosure that you had, for instance the Xapo account and the Gemini account, you have now had a complete and full comprehensive collection of data for those accounts?
- A. Correct.
- F Q. Okay. Mr Molyneux said to you effectively, crypto is a bit of a charter for somebody who wants to operate undercover because names are not clearly attached to accounts. But it is right, is it not, that the blockchain, which is publicly available to anybody, identifies every single transaction that is carried out in crypto?
- A. That's correct.
- G Q. So although you will not know who is carrying out the transactions, every single transaction ever carried out is publicly available?
- A. That's correct.
- H Q. And so although you cannot identify, for instance, certainly by looking at the blockchain, who the senders are and the recipients are, you can look at timing. So for instance, if Mr Zahmoul shows you his account and you can see money leaving, Bitcoins leaving, and you see another unknown account at the same time, with the same

A

transaction, you can be satisfied, even if you do not know who it is going to, that that is coming from Mr Zahmoul and going to a second person?

A. Correct.

Q. And the timing, even though you do not know who it is coming from, going back to Mr Zahmoul, again you can check incoming and outcoming by the blockchain?

B

A. Yes. There are times where there may be a very small discrepancy in timings whereby it needs to be -- the debt were authorised by the blockchain ----

Q. Of course.

C

A. -- so you are talking maybe minutes, but ultimately you would be able to see the Bitcoin for whatever amount it is clearly going across to minus the fees.

Q. That is right. There are two things that might make the exit and the entrance or the two payments in and out. The fees charged by the platform, so it will deduct a certain portion on the way in, and also the exchange and the value of bitcoins?

D

A. Yes, I mean you do have the fees; you have the funds going across, but you would also see a change address. So to elaborate on that, your Worship, I think that's also what's assisted me with part of the investigation. I think it's good to know that with Bitcoin, as an example, if I had a wallet that had 10 Bitcoin, and I wanted to send you 5 Bitcoin, I would automatically send you all 10, and then 5% comes back as change. And on that basis, when we looked at, for example, the Multibit wallet, analysing the changed addresses, which I want to refer to exchanges, allows you to come to the conclusion that that addresses is going to change.

E

F

Q. And that is the UTXO, the exchange rate for the Bitcoins. Is that right?

A. The UTXO is an unspent amount associated with (inaudible due to overspeaking)

Q. I see. Thank you. Now I just want to have a quick look at your report on page 20 please, if you would not mind?

G

A. Sure.

Q. This is just an example of wallet addresses, various wallet addresses receiving payments. We can see the address on the left and then the payments on the right. Is that what you are looking at?

H

A. Yes.

Q. Yes. One of the questions that was put to you earlier or has been raised is you do not know who the wallet address belongs to. One of the things you could do is write to everybody and find out?

- A. Correct.
- A Q. And you could also enter in the link and go on the public chain and find out the recipient's address and the sender's address. So you could go back to the blockchain to find the connections?
- A. Yes.
- B Q. And in fact, in relation to these examples, that is exactly what Mr Zahmoul did for you, did he not? He went and provided that information and gave you the direct links?
- A. Yes.
- MS CAMPBELL: Just for your Lordship I will find the reference to that.
- C MR JUSTICE MacDONALD: Yes.
- MS CAMPBELL: If we look at 3942 in our bundle -- and Mr Pinto, I do not know if you have a bundle available to you? Yes, thank you. Would you mind going to 3942?
- (After a pause)
- D MR MOLYNEUX: Sorry I think it is the wrong bundle. What bundle is it?
- MS CAMPBELL: It should be the last one and it's tab ----
- MR JUSTICE MacDONALD: Do they have volume numbers on them?
- MS CAMPBELL: I am afraid if you can see the ----
- E A. Yes, volume number.
- Q. It will be the last one.
- MR MOLYNEUX: Oh, the last one.
- MS CAMPBELL: I think you should ----
- F MR MOLYNEUX: It has got number 5 on it.
- MS CAMPBELL: Number 5. Thank you. And there should be a tab D, and then 3942. (To the witness) And so Mr Zahmoul was able to give you the direct links and we can see these. Of five of the transactions that are listed on page 20, so there are eight details on page 20, eight transactions, and Mr Zahmoul says through his solicitors, he cannot identify all of them, but he can identify five, and he has given the specific links. In fact, through the bundle, with the exception of item 1, you can click on that link and it takes you to the direct part of the blockchain and you can identify who the recipients were, or at least the addresses, and you were able to check those, I presume?
- H A. Yes. I would say some of the links didn't work. I don't know whether or not that was from my end, but I did use the transaction hash provided.
- THE RESPONDENT: That is my (inaudible) just in case it does not work.

A

MS CAMPBELL: Well, I have checked them. I know they are right, except for number one.

And the reason that does not work is there is an extra dot?

A. Yes.

B

Q. There's an extra dot I can see on that one. It is at end. Do you see at the 6F there is a dot there and that has corrupted the link, but anyway. So he was able to check and he could identify who he had -- who were the recipients of those wallets, he has given you the details there and you checked?

A. Yes.

C

Q. Great. I will come back to this later. Thank you. Is it also right to say that these days the crypto market is much more carefully regulated than it used to be?

A. I would say over the last two years.

D

Q. And would you agree with Mr Zahmoul that more likely the platforms, the professional platforms like Coinbase and so on are treated with a little bit more professional respect and they are considered more secure than the other less well-known and I think you mentioned before some of the offshore platforms and things like that?

A. Yes.

E

Q. Platforms like Coinbase and Binance, they have quite formal regulations, even standard things that you would expect from a bank such Know Your Client?

A. Yes.

F

Q. You are expected to give a physical photograph of yourself and some current evidence to show that that is you with the account. So they are quite careful to make sure that if you have an account with them it belongs to you.

A. Yes.

Q. And these days those platforms only allow one account per individual -- Coinbase.

G

A. Coinbase, yes.

Q. And Binance?

A. Yes.

H

Q. And that was not always the case. So for instance, as I understand it previously Coinbase would have -- you could have an account in America and then an account in England and operate those two. So the golden rule where only one individual had one account was broken because you had one in America and one in England?

A. That is correct.

Q. But that is not permitted anymore by Coinbase.

A

A. I can't definitively say, but I can take your word for it.

Q. All right. If we were going to look at some of the particular transactions, as I said, the best that perhaps Mr Zahmoul can do is show you a comprehensive picture of all his trades, all of his movements, so that you can identify if there is anything missing or anything peculiar in his movements. That is the best he can do in proving a negative?

B

A. Yes.

Q. You would agree?

A. Yes.

C

Q. If we look in the bundle at 3969 please, we can see here a chain of messages, emails. I am sorry but I have started you at the bottom because they are being recorded in reverse as emails are. And if you just move up, you can see the date of that: January 15th, 2024. This is him, Mr Zahmoul, writing to the Binance Data Protection Team, giving his details. And then further down on 3968, he says,

D

"I am in the midst of a divorce and there are claims made that I possess multiple accounts in Binance on the various jurisdictions. An official document clarifying the exact number of accounts registered to my name and emails would be instrumental in assessing these claims."

E

And he gives some details all of his email addresses he has used beneath, and he asks, as we read down, for details of the accounts, jurisdictions and whether any unverified accounts do not hold funds or are not in use. So that that is his request to Binance. If we scroll up we can see on 3967 -- and I am sorry for you that is going towards the front of the bundle January 17th, the protection officer is responding. Then above that, 17 January, Mr Zahmoul Karim again asking for details.

F

G

"I would appreciate if you could confirm all the accounts I hold globally with any potential email address."

He chases it. And then we have a bit more chasing. If you can just scroll through that, finally, on our page 3965:

H

"Dear client, thank you for your verification. Please find enclosed a copy of your personal data. The password to access it will be provided."

And so Binance have given a complete account of all of the transactions that Mr Zahmoul has ever had. And you were able to look at those?

A. Yes.

Q. Similarly, he did the same thing with Coinbase, and if we have a look at 3648, and this is where modern technology is a gift because we can enlarge this. You might not be able to read what is on the document, but you should find an email there in green, which is dated 11 January 2024. This is from Mr Zahmoul to Ms Marsh. And Ms Marsh is the General Counsel at Coinbase. And you can see there again, at the third paragraph,

“The divorce proceedings are unfortunately continuing. My wife maintains her stance that I possess multiple Coinbase accounts. Although I have repeatedly confirmed with your customer support team that I hold a single account registered under the email karim@zahmoul.net, regrettably, I am unable to provide documented proof from the support interactions. In light of this, I would be grateful if you could reiterate, as previously suggested, to Withers, the details of any and all accounts.”

Then he goes on to say,

“For the sake of clarity, I initially opened an account with Coinbase in 2014 using the Gmail address which was based in the US. That account has since been closed and all funds were transferred to the karim@zahmoul.net.”

So he has given those details and we can see at 364 a response there -- sorry, chasing again from Mr Zahmoul. At the top of that page, 3647:

“Dear Mr Zahmoul, we confirm that we have forwarded on your request to our support team. They will be in touch.”

Mr Zahmoul giving all the details there, again repeating his request. He requires confirmation from Coinbase for the following addresses, and these were in respect of specific questions that had been asked. Further requests, scrolling up again at 3646. And at 3648, which I think I have missed, so I apologise, at 3646. I am sorry that is right. We have got the Coinbase support team there:

“Thank you for the patience. This is to officially confirm that the below wallet transactions are linked to you...”

It gives the wallet addresses as part of that ongoing commitment. They ask for a survey. So they have responded and, as I understand it, Coinbase have also given a complete run of all the statements that Mr Zahmoul has ever had or used with them at any of his addresses?

A. Yes.

A

Q. And you have seen those?

A. Yes.

B

Q. And the same is true of Gemini, an account which Mr Zahmoul used to operate. And you all know there is an argument about whether that account belongs to him or his sister now, but you have also seen 100% of all of the transactions he or anybody has ever carried out on that account, have you not?

A. Yes.

C

Q. And also Xapo, which is the account where Mr Zahmoul found lost Bitcoins -- you have seen every single transaction he have ever used on the Xapo account from the date it first transacted to now?

A. Yes.

D

Q. Now, whilst all the accounts that he has, or as Mrs Zahmoul might say that he admits to having, Mrs Zahmoul found an expert who was able to find associations between his account and other accounts that he suspected might belong to Mr Zahmoul, and that is the CypherBlade expert, Paul Sibenik, who gave a list of accounts that he thought Mr Zahmoul might be connected to. Do you remember that?

E

A. I do remember seeing it, yes.

Q. He effectively provided a list of accounts that he thought you should investigate and we can see at 2135 -- I am afraid this is in a completely separate bundle, but you might want to keep the one you have got open, open.

F

MR JUSTICE MacDONALD: Sorry, Ms Campbell, which page again?

MS CAMPBELL: 2135. I am not sure, Mr Pinto, that you will have seen this. This is a detailed account that Mr Zahmoul gave in response to the allegations made by CypherBlade. So, it is sort of happening outside of your arena, and I am not sure you have ever seen this account?

G

A. Forgive me 2135.

Q. Yes, you should see a written statement with a paragraph 31, "Other crypto account allegation"

H

A. Yes.

Q. So CypherBlade put to Mr Zahmoul, a list of accounts that had somehow touched his accounts that he had declared. And Mr Zahmoul understands that that had happened because they carried out a chain reaction analysis and that threw up names of accounts

A

that might be associated. Is that your understanding? Do you recollect that from Mr Sibenik?

A. I partially recollect but I didn't (inaudible)

B

Q. Yes, and they have presented a list of connected or possibly associated accounts, and these were -- and we can see them all listed here and I am just going to reference them so the judge can see them, but you will be able to follow -- Binance, Gate.io, OG, OKX, and then further down at 32, Bitfinex. and then at 33, Fittrex, Bitwire, Blockfills, Changelly, Cumberland, Indodax, Poland, Niaux, Uphold and Xapo?

C

A. Mmh.

Q. And these were the specific accounts that CypherBlade had come up with that they wanted verification to be carried out about. And my instructions are that Mr Zahmoul was able to trace back all the accounts that he had ever had, and proof of those that were listed, whether he had an account with them or not. So, he gave a conclusive report to each and every one of these accounts raised. So in respect of Binance, Gate and OKX, those first three there, he used to have accounts with them and he was able to provide all the statements for them. Were you aware of that?

D

A. Yes.

E

Q. And there was nothing in those statements that suggested he was hiding coins or had other undisclosed accounts. Is that right?

A. Not from the analysis I had.

F

Q. And he was able to find... As I understand it, he also said that he was happy for you to log on and check those in his presence and you were actually able to double check yourself if you wanted to?

A. Yes.

G

Q. The Bitfinex, he was able to produce the statements. In fact, as I understand it, Mrs Zahmoul had already produced the statements. She kept hard copies. And you could see that that account had never been used. Is that correct?

A. (No audible response)

H

Q. He was able to produce Bittrex accounts, and that showed that the account had not been used since 2015. Do you recollect that?

A. I do.

Q. And in fact, Bittrex, I am told, was an account that collected Paycoins And Paycoins are a currency that were promoted by the founder, who has subsequently been convicted of

A

fraud. And those Bitcoins are effectively floundering in accounts and cannot be accessed by anybody. Is that right?

A. That's correct.

Q. So there is, I am told, 650 Paycoins there, and they are worth about \$2, but you cannot access them or use them. Is that correct?

B

A. That's correct.

Q. But the evidence that he was able to produce showed that he had not touched that account since 2015 anyway?

C

A. That's correct.

Q. He was able to produce evidence to show that he had never had an account at Bitfire(sic). He had evidence to show that he had never had an account with Blockfills. And he had evidence to show that he had never had an account at Changelly?

D

A. Yes.

Q. And you were satisfied about that.

Q. In relation to Cumberland, I understand that Mr Zahmoul wrote to them, but they never replied. He says, and he explained to me, and I am going to ask you if this is correct, Cumberland is effectively an institutional platform. So, it is really not for individual traders or bankers or users; it is for corporate institutional platforms. Is that correct?

E

A. From my understanding, that's correct.

Q. So it might not be surprising that they have not responded to a single person asking for details of their transactions. And he was able to produce evidence that Indodax had never had an account with him; and that Poloniex had never had an account with him. I am told that CypherBlade then found that Poloniex was connected to a platform called Poloniex Circle, and Mr Zahmoul was also able to confirm through them that he had never had an account with them either. Is that correct?

F

G

A. I don't recall the later of that, but ----

MR MOLYNEUX: My Lord, are these questions for the expert because it sounds like reading his statement. I mean, we can all read what he says in his statement, but I am not sure whether these are directly questions which are requiring this gentleman's expertise.

H

MS CAMPBELL: My Lord, the whole point of this is, as I have made clear, proving a negative is very difficult. Mr Pinto has not been able to explain to the court that he has

A

looked at all of these other accounts as well. You have been drawn to the accounts where there is activity ----

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: -- and some of the transactions. It must be fair for Mr Pinto to also say the things that threw nothing up as a result of his research.

B

MR JUSTICE MacDONALD: Yes. Thank you.

MS CAMPBELL: (To the witness) And penultimate, Uphold, Mr Zahmoul was able to show that this was an old account that had been closed many years ago.

C

A. Yes.

Q. So that left two accounts, but there were questions about Xapo and Gemini. And we know that the Xapo account, Mr Zahmoul says that he was unaware that he had any coins there, and I am going to ask you to look at that. Can we have a look at 2280, please?

D

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: This is Mr Zahmoul writing to Xapo to find out if he had an account with them. And Mrs Zahmoul will no doubt say to the judge: well, he knew he had an account, but he was hiding it -- and that is obviously a matter for the judge. He will have to make a decision about that. But we can see at 2283, this is a letter going to the corporation or to the platform. If we scroll upwards to 2279, we can see that that is the Zahmoul.net address, and the one we just looked at was the Zahmoul@gmail address. And at 2283, let us look at the following sequence, 2281, we can see the Gmail address.

F

“We are sorry to inform you our service is no longer available. Rest assured your funds are safe. Do you have residency outside the EEA? We would love you to reactivate your account.”

And then we can see it 2287... If I can just take it to 2284 first:

G

“The spreadsheet you sent seems to say I transferred the balances in 2020 when I did not know I had any balances and did not have any access to my account. Could you please explain the entries?”

And they say down the page at 2285:

H

“The balances transferred were internal transfers within your account when our business migration occurred.”

And so there are transactions obviously said that they recognise were carried out by the company rather than by the individual. Can we then go and have a look at the Xapo

- A account, which is the comprehensive account at 2287? I am sorry if you are able to turn that and read it. Is it clear enough for you, Mr Pinto?
- A. It is. Thank you.
- MR MOLYNEUX: I think I will need new glasses.
- B MS CAMPBELL: Do this job and you need them stronger over the week, I can tell you. (To the witness) We can see the whole transaction history, so this is every transaction that Xapo records for Mr Zahmoul, and we can see the third column that shows the dates, and they are slightly out of order, but if we work from the bottom up, the first two
- C entries are the migration. That is the business transferring, and then "BO", which looks like an internal transfer. If we look over to the far right, it's a tiny, tiny fraction of a Bitcoin. I am told that is likely to be a fee. But we can see the activity starts on 5 November 2017, that is the third line up, and we can see £500 if we look across?
- A. Yes.
- D Q. And then we can see some trading. And it starts from that date, 26 October, 16 June 2018. And we can see if we follow up the trading there, it ends three lines -- four lines from the top, the last receive on 7 November 2017. Do you see that?
- A. Yes.
- E Q. And that is all the transactions. So Mr Zahmoul did not have any activity on this account or anybody had any activity on this account from 2017?
- A. Correct.
- F Q. Mr Molyneux asked you about the multi-bit wallets that have been examined. Again, the multi-bit wallet was brought to your attention, as I understand it, by CypherBlade, and you looked at a number of wallets associated with that to try and work out if again there were any links to anything undisclosed?
- G A. Yes.
- Q. My instructions are that Mr Zahmoul was able to give you, again, a comprehensive account of every single transaction that went through that multi-bit wallet?
- A. In my recollection, yes.
- H Q. If we look at 2137, it is a fact in Mr Zahmoul's statement, He explains the trading from this wallet. And if we start at 43, and I am reading this so the judge can follow where we are, but also because you have not seen this, but this is in relation to the multi-bit wallets that CypherBlade raised. And he said:

A "I have made reasonable efforts to reconstruct all my cryptocurrency transactions since my first involvement in 2015. In early 2015, my friend Mike Dee gifted me two S4 Bitman Miners that he arranged hosting for at Washington State as part of a mining farm."

He goes on to refer to that. And he says, my first wallet for collecting the mined bitcoins was..." -- and we will just take the first few letters -- "1GEEQ."

B A. Mmh.

Q. And then he gives us evidence of that wallet, 1GEQT, and we can see that at 2290. You should have there the wallet statement for that Bitcoin account, and we can see there: wallet address, 1GEEQ, so that is consistent. And then we have got a full account from 3 January 2015 right through to 14 March 2023. Yes?

C A. Yes.

Q. And it shows the ending balance. There is about four dollars and something left in it. And then we can see every single transaction that has been carried out, and we can see that it was receiving coins, as Mr Zahmoul explains; it was mining coins and it received coins all the way down, and we can see: mining, mining. We go over the page until we finally get to page 2297, and then we can see some money being sent out. Are you following?

E A. Yes.

Q. And that is the end of it. That wallet was never used again. So he has revealed that wallet, shown every single transaction in it, and that wallet was never used again, which we can tell from the start of the communications because we have seen everything up to 2024?

F A. Yes.

Q. Then he tells us back in the statement, he had a second wallet, and if we look at 2299, this is the second wallet that he refers to from the mining operation, and this is called 1LVSG. Again we can see the period of time from 2015 right through to 2023 and it shows one dollar balance, \$1.42 balance, and we have got every single transaction. What we can see is that the money from the old wallet that we have just looked at is transferred into this wallet. So there is nothing floating. It has gone from the old wallet to the new one?

H A. Yes.

A

Q. And then we can see there are some payments in as this wallet then begins its own mining experience, and that carries on. We will just scroll ahead and fast forward pages until we get to page 2311.

A. Yes.

B

Q. And these are then actions, and these are 17 transactions that we can see, everything highlighted here, and Mr Zahmoul was able to explain every single transaction. And we will come back to that. It is 2137 in the narrative of his statement, but what we can see, and I just want you to confirm this, he is able to identify every single one of those 17 transactions and where they go. And what it shows is that some coins went to his Coinbase account and we were able to marry those transactions. Do you agree?

C

A. Yes.

Q. Some went to the Gemini account, which we will come back to because we have looked at that and we can see them coming in?

D

A. Yes.

Q. So you can trace those. And some went to a wallet, which I think has been referred to as an orphan wallet called 1LWMC4. And we can see that, for instance, at 2316 -- just so the report can keep up -- after 2312, we have then got Coinbase receipts proving receipts of all the transactions I have just been talking about. So that is showing the money going to Coinbase at 2313, the same at 2314. This is proof of all of those 17 transactions. And then at 2316, we can see some of the Coinbase money going to a wallet and you can see at the top there 1LVSG and that was 3.59 Bitcoin sent there.

E

F

This is outside of the known exchanges that we have been talking about. This is a wallet so this might cause some concern for Mr Zahmoul because it has not been effectively referenced but we are able to see all of the money that is paid into that account -- sorry, out of that account, out of the mining account wallet, and Mr Zahmoul explained that the orphan wallet, the 1LMC4, has been lost and he has lost the bitcoins that are in that. Is that, in your experience, something that happens frequently or infrequently? How often does that happen?

G

A. Again, I can't give a definitive number on how often it happens, but it does happen.

H

Q. And in your experience, it happens to individuals. I mean, we know in this court that Mrs Zahmoul lost one too.

Q. It happens to, I would say, it happens more to individuals who have a lot of dealings with crypto and have them numerous wallets.

A MR JUSTICE MacDONALD: Is there a way of keeping a central -- if you are a busy investor and you have lots of wallets, are there ways of keeping a central register and what you have or do so things tend to become distributed around the place by the nature of the investment?

B A. You can buy -- there are devices you can buy so you can manage all of it into essentially one wallet.

Q. Yes.

A. The security issue of that is if you lose the keys to access that one specific wallet or something happens and it gets breached, then ultimately all of your assets are breached in one hit.

Q. Okay.

A. So what you tend to find with for example crypto exchanges, or large local crypto investors, is that they separate all their assets out to minimise the risk.

D Q. I see, thank you.

Q. And a quick search on Google tells us that about 30% of Bitcoins are lost, it says on Google. I do not know if that figure is familiar to you, something like 600 billion?

A. 6 million.

E Q. Six million bitcoins ----

MR JUSTICE MacDONALD: I am not entirely sure, Ms Campbell, that Google ----

MS CAMPBELL: That is probably fair.

MR JUSTICE MacDONALD: -- is the most reliable in terms of evidence.

F MS CAMPBELL: (To the witness) With the exception of that orphan wallet, we can trace money going into that orphan wallet, and I accept that there is no proof that that is not hidden in Mr Zahmoul's safe somewhere with access to it, but apart from that, everything else was traced?

G A. Yes.

H Q. I want to look at the specific transactions in the report that you have been taken to. Can we have a look at transaction 6 on page 12 of your report? Now Mr Zahmoul initially, looking at the dates, assumed this was a Bitcoin he had given to his daughter, his younger daughter, because it was transacted on 1 June 2019, and his daughter's birthday is on the 31 May and he assumed that is what it was. But he was later able to confirm, and we see this on page 14, that he believes it was payment out to Olivia Molina, his former girlfriend, and it was a payment to her, he said, in repayment of cash she paid for

A

him for expenses elsewhere in Dubai, as I understand, for repayment of \$8,500. You are aware of that?

A. Yes.

Q. And if it is not possible to prove the recipient's details, contemporaneous evidence is going to be helpful. Would you agree?

B

A. Yes.

Q. So if, for instance, I say to you, this is a bitcoin leaving my account, going to an undisclosed wallet, that it was sent at 17:55 1 January 2024 and at 17:55 on 1 January 2024 here is a WhatsApp message from my girlfriend saying, "Thank you very much for the \$8,500", it is not conclusive, but it is certainly good evidence?

C

A. Yes, I would say it is -- although it might be circumstantial, it would circumstantially add up, yes

D

Q. And if we have a look at page 16 of the report, you refer here to the wallet address 1GQY, and you refer to the fact that it is an address generated and part of the cluster of root addresses connected to the 1AWK account, which we are all referring to at the moment as Ms Molina's account, Olivia Molina's account.

E

A. Yes.

Q. And you comment that that has made 57 transfers, 1300 draws, 26 deposits and 39 odd Bitcoins have been traced through the wallet which is equivalent to \$768,000 dollars. Can I just ask you two things? The first is, that exchange rate of Bitcoins to dollars, is that reference to the value when the Bitcoins were passing through or is that just the current value today?

F

A. That's the value at the time.

Q. So each time each Bitcoin went through you have effectively given it a value and then added all of the values of the Bitcoins at that date of exchange?

G

A. It would have been at the time, yes.

Q. And over what period does that ----

A. I would have to look that it was during the life period of the route address.

H

Q. So that could be anything from 2008 to now?

A. It could be, yes.

Q. So it is difficult to tell whether that is a lot of money or not a lot in the scheme of things, is it not?

A. Correct.

Q. And look at page ----

MR JUSTICE MacDONALD: Just one moment, Ms Campbell. Just on the question of the contemporaneousness of other evidence, what is the time -- is there a central time zone used in terms of transfers, because if one looks at the text message, it is relatively contemporaneous, 13:42, with the transaction time on the Coinbase to 1GQY. The confirmation action in the body of the WhatsApp is at 14:42. Are there various different ----

A. Yes, generally they use Eastern Standard Time.

Q. Okay. Thank you.

MS CAMPBELL: But we can see the date, certainly on your page 16, the time stamp: 21 July 2019, and then we can see the WhatsApp again at the same date, 21 July 2019. I am told on page 16 the time stamp ending 06Z is Euro time -- time zone. GMT. GMT-Zulu, I am told. I am learning moment by moment! And then if we have a look at page 23, this confirms that the money transferring through this account is not a Coinbase account, or linked to Mr Zahmoul's Coinbase account. So we clarified that these associated things are not Coinbase, but the query that Mr Molyneux is raising is: well, these nexus points of interest, the ones we have looked at -- 1NPX on page 21 and 15HYK -- these are somehow associated, and the suggestion is if they are associated, they could be Mr Zahmoul's. But they could be anybody's, could they not?

A. Yes.

Q. Absolutely anybody's. However many million people there are in the world trading Bitcoins, it could be one of them?

A. It could be.

Q. And as you, I think, assisted the learned Judge earlier, the fact that an associated address has a million or 40 million or four trillion dollars' worth of trade is simply an association with an account that has vast sums going through it?

A. Yes.

Q. So, if I sold a Hermes handbag to a very wealthy Saudi princess whose family had millions and billions of pounds in their crypto account, the fact that I sold my Hermes handbag to her for one bitcoin (or whatever figure it would be) I would be seen as associating with that Saudi princess and her family's Bitcoin recipient address, but it would not mean to say I had ever touched a penny of that money?

A. Yes, that's correct.

A Q. We know in relation to transaction 10, which is on page 24... Sorry, 25 -- that originally Mr Zahmoul thought this was Olivia Molina's and she thought so too, but we know from the evidence given when Mr Zahmoul made further inquiries, and we see this on 29, that this was in fact from Mr Kassis at Forte -- and we have looked at that at page 29. Again, although it is not definitive, the email on the left, which shows the exact address, and this is the 3DAJ address back in 2019, and the consistent transfers, it is almost certain, is it not, that that 3DGAT transaction was going to Mr Forte in 2019 as he records here?

B A. Yes. Taking into account the date of the email, the date of the transaction, that very well might be, yes.

C Q. Unless there was a very careful fraud afoot in 2019 that involved an FCA regulated institution to assist Mr Zahmoul in lying, the likelihood in your experience would be, is it not Mr Pinto, that the address consistently shown here and on the transaction are probably definitive?

D A. I would agree.

Q. Over the page on 30 we looked at transaction 11 and 12. And these are payments in, five Bitcoins in each transaction, so 10 in total. And Mr Zahmoul confirmed that this was effectively payments in from Olivia in repayment of the debt.

E MR JUSTICE MacDONALD: Sorry, which page?

MS CAMPBELL: Page 30, my Lord. We see there in the text Mr Zahmoul explained as "Olivia, Bitcoin exchange €85,000 paid from UBS". So, he made a payment of €85,000 and she effectively owed him that money and his account was that she paid him in Bitcoins instead of cash. Now again this is a matter for the judge. We will come on to the UBS transfer to show that but assuming that that is right, that there is a payment from my client for the benefit of Olivia at that time of €85,000, he says this is her repaying in Bitcoins and we see from the detail you have given in red it shows that the sending cluster is 1AWK. So we know that is coming from -- or we assume that is from the account we associate with her. You say here it would not seem reasonable that Mr Zahmoul would send himself Bitcoin from an external wallet. Mr Molyneux said to you, well, you are not giving evidence as an individual. This is not a question for an expert. But your view was, and you committed it here, that in your experience, it is not likely that a recipient or an owner of a wallet and a platform would send themselves money from another account. It would not make sense.

H A. Unless you're amalgamating it, then I would not see any reason for it.

- A Q. Yes. And we look over the page and we can see these screenshots that have been given to try and verify the payments and we can see the data of these. So again, contemporaneous. These are not recent. We can see the first screenshot is 2019, 28 October, and we can see money: "Send me the bank account you want to receive the money of the Bitcoin", we can see in that message. She then gives the detail and we can see on 31 October question; "Can you show me how much you sold the 10 bitcoins?"
- B He says, "Never sold those." And she says, "You told me you did." And then over on to the next message on 31 October, the same date, he says "I never told you I did." And then he says, "I took the prices that you set up to do the conversion, 31.93 bitcoins."
- C And then we see a dollar figure underneath. We can see further down in that same window: "History: received Bitcoin, 5 bitcoins", and then a second Bitcoin. That is 31 October 2019. And over the page, we can see "received" by Mr Zahmoul. And actually that last window, if you can see in close up, it is very difficult to see on the paper. Let me just find it on my screen here. Bear with me. In those tiny windows in white that you can see on the far right, we have got the payments of the Bitcoin on 26 October 2019, the top one, and the same date, 27 October, the second one, and those are entirely consistent: 27 October on page 30. In fact one is 26 rather than 27. Can you account for that, Mr Pinto? Could you understand that?
- D A. It may have been a delay when it was verified on the blockchain.
- E Q. Yes. It looks like it's 8.32 p.m. on the 26th, and then 5.40 p.m. -- that is a day apart, but they look to be consistent. And in fact, in relation to those, we know on page 32 that you were able to verify the cluster of the sending address as 1AW. So not only do we have the 2019 emails between the individuals, but we know that it is still that 1AW account?
- F A. Yes.
- G Q. Then on page 32, at the bottom there, we have those transactions 14 and 15 that Mr Molyneux referred to. This is 5.01 Bitcoin being paid in, and we know that there was an argument between -- well, there was a broad argument between Mr Zahmoul, Mrs Zahmoul and Ms Molina about this, and we can see this at 3981. I do not know if you are able to find that page in the bundle at 3981. Just so that you understand where this comes from, Mrs Zahmoul and Ms Molina got involved in a conversation together and Mrs Zahmoul understood that her husband owed Bitcoins, 5 Bitcoins to Ms Molina. And because of the circumstances at the time, Mrs Zahmoul encouraged Ms Molina to chase
- H

A

her 5 bitcoins, and that is what we are looking at in this conversation here. And you can see at the top of page 3981,

“So you gave him the ownership right to your assets, 5 bitcoins, and he did not send you the funds.”

B

And a bit further down,

“You have been chasing him to give you the proceeds of the sale of your 5 Bitcoins for three years.”

C

So it certainly looks as if Mrs Zahmoul recognises that those Bitcoins belonged to Ms Molina. That is contemporaneous evidence and we have seen the date of that. Scroll down on 16 January 2022, this is Olivia Molina WhatsApping my client, giving an address, “That's Bitcoin, right?” He says: “Just sent you €20.” she says “\$21.” He says: “Okay, sending you the balance...” -- and here it is, €52,000 odd. And the price for Bitcoin, you can see there the reference and the date. And further on over page 3983, Olivia Molina saying on 17 January, “€60.” And this is, Mr Zahmoul will say, contemporaneous evidence of these transfers between him and Ms Molina that are in addition to the 1AWKG address. So he says to the judge, not only have you got this cluster address, which we know is Ms Molina's, but I have got this contemporaneous conversation. And I think from your position, Mr Pinto, what you are saying is that looks consistent, but for the moment, you need to be satisfied that that 1AWKG address is Ms Molina's. You need something to tie it to her?

D

E

F

A. Correct.

Q. Because it could be a secret address that Mr Zahmoul is using. And we do have evidence of that.

G

MR JUSTICE MacDONALD: And again, because there is no way of saying without the surrounding evidence who the owner is ----

A. That is right.

Q. -- there's simply no way of knowing that.

H

MS CAMPBELL: Sorry, Mr Pinto, I have lost my page reference to this. You will just have to give me a moment. (After a pause) I am so sorry, my Lord. Would you forgive me. I have actually lost the reference and I need to find it; it is important.

MR JUSTICE MacDONALD: Yes.

A MS CAMPBELL: Okay, look at 3960 for me please. This is evidence that Mr Zahmoul has provided to verify the transactions he says he made to Ms Molina. We see one here, this is a WhatsApp exchange in February 2018 and it is to Olivia Molina. It is a spent Bitcoin there on the 6 February 2018. If you just follow down you can see their conversation. And she is asking for... He says, "GD, MENT FXY." She says: "Too many numbers." He says: "No, not that many numbers. Just try to focus a little." And he is referring to Bitcoins he is about to send." "Mmh okay." And then go down, she is referring to it being her first Bit Valentine. "Which wallet is this", he says, "Bread." And then if we go over the page to 3963, we see on 12 July 2018, Olivia Molina giving her address to receive the Bitcoins, the Valentine Bitcoins?

A. Yes.

Q. So you have her letter, which is contemporaneous to this trial, but we know has an error in it because she said she was the sender of the four Forte accounts. So her letter, her contemporaneous letter today is worryingly not reliable. But what we do have are WhatsApps from 2018 that categorically make it clear that that is Bitcoins being sent by my client to Olivia at that address, and that is entirely consistent with the evidence that Mr Zahmoul has given to you about those transactions with Ms Molina, is it not?

A. That is correct, yes.

Q. In your report at page 34, you refer to the helium hotspots. And he used Bitcoins to purchase helium hotspots. It is probably something that I do not need to trouble you too much with, but as we understand it -- you can let me know if you know anything about this -- Mr Zahmoul has explained that he and two friends were mining helium, and that was a separate private activity that he did with his friends. But you have not had any particular investigation into that, have you?

A. That's correct, yes.

Q. But the helium, I am told, and the Kia, which are cryptocurrencies that Mr Zahmoul holds, small amounts, and they are on the schedule, he says they are a bit more unusual. They are sort of more off-piste than the regular standard Bitcoins. Is that a fair description?

A. Yes.

Q. And they are not recognised by the regular platforms like Coinbase?

A. I'm not sure if they are recognised. I can't answer that.

A

Q. So just to summarise, all of the documents that you have seen from 2015 to date, all the declared transactions that Mr Zahmoul has carried out, are all, first of all, entirely comprehensive. There are no gaps?

A. Correct.

B

Q. In none of that documentation were you able to detect any undisclosed or hidden or inconsistent assets?

A. Let me rephrase that. "No" is the definitive answer. But there were queries along the way that allowed me -- well which I needed to prompt Mr Zahmoul (inaudible) additional items.

C

Q. And as I understand it, he gave a batch of information back in July. I am told that after your last meeting in June 2022, you get his solicitors there and HFC sent some information on 1 July 2022?

A. Yes.

D

Q. And then you had information this year with the updated stuff?

A. Yes.

E

Q. And now you have had an opportunity to look at that information, the question I asked, are you content that, having looked at that comprehensive statement, there is no evidence of undisclosed or inconsistent trading or assets?

A. I am happy there isn't.

Q. Thank you, Mr Pinto.

F

MR JUSTICE MacDONALD: Yes. Thank you, Mr Pinto. That has been extremely useful in what is a complex and relatively new area. I am most grateful to you for your evidence. I can now release you from your oath and let you leave. Thank you very much.

A. Thank you.

G

(The witness withdrew)

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: My Lord, I am looking at the time.

MR JUSTICE MacDONALD: Clearly, I do not think it would be appropriate to move to the next one. So, I will rise now and I will sit again at 10.30 tomorrow morning.

H

MR MOLYNEUX: Thank you.

(The court adjourned until 10.30 on 21 February 2024)

A

B

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C

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IN PRIVATE

Case No: BV20D01752

IN THE HIGH COURT OF JUSTICE
FAMILY DIVISION

Royal Courts of Justice
Strand, London
WC2A 2LL

Date of hearing: 21 February 2024

Start Time: 11.00 Finish Time: 16.13

Before:

MR JUSTICE MACDONALD
(Sitting in Private)

Between:

NADIA ZAHMOUL

Applicant

- and -

KARIM ZAHMOUL

Respondent

MR BRENT MOLYNEUX KC (instructed by AFP Bloom LLP) for the **Applicant**
MISS ALEXIS CAMPBELL KC and **MISS SASSA-ANN AMAOUCHE**
(instructed by Stowe Family Law) for the **Respondent**

PROCEEDINGS
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A *(Transcript prepared without access to case documentation)*

MR JUSTICE MACDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: Good morning, your Lordship. We are back again.

B MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: There are one or two matters of housekeeping, if I could just deal with those before we start ----

MR JUSTICE MACDONALD: Yes.

C MR MOLYNEUX: -- with Mrs Zahmoul's evidence. She will be the main event today.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Yesterday you grappled with Miss Campbell's -- in fact you dispatched Miss Campbell's application in relation to redaction of my client's witness statement, save in one respect.

D MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: And that respect was at p.7, para.21, which starts with the words (inaudible). At that point you had read it, and it may well be that you have now manually redacted it. I do not know.

E MR JUSTICE MACDONALD: Have I had a revised copy thus far?

MR MOLYNEUX: I do not think you have had a revised copy unless it has been sent, and I can see ----

F MR JUSTICE MACDONALD: I have not looked at the first document, because of course the risk is I will run on to somewhere I should not be.

MR MOLYNEUX: So, my Lord, in that case, there are two things that arise. It would probably be helpful for you to have -- it will probably take 20 minutes to read the section 25 statement once it is in its final form.

G MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: And its final form can be easily amended according to what you tell us now.

H MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Yesterday, there was an issue in relation to para.21. I am not going to tell you the substance of para.21, save in very broad terms. Paragraph 21 was exhibit KZ7. It was an extract, a cut and paste. You will not have seen this. Miss Campbell perfectly reasonably said, given that it is a cut and paste from an exhibit, there is no need for it to be in there anyway. Or at least that was how I interpreted what she said, and that is why that was uncontroversial because if it is somewhere else in the bundle or

- A** if it is in one of the other exhibits, then it is already in evidence and we do not need to add to the volume of papers by having material that has been cut and pasted. Now, it transpires that although this is labelled NZ7, although it is expressed as being a cut and paste from an exhibit ----
- B** MR JUSTICE MACDONALD: Yes.
MR MOLYNEUX: -- that is not an exhibit which we can find anywhere, certainly not in any of the exhibits to any of the statements which have been produced and admitted to these proceedings.
- C** MR JUSTICE MACDONALD: Yes.
MR MOLYNEUX: My client deals with within that -- I am not going to -- I am going to try and deal with this in a light touch way because I do not want to tell you what the allegations are, but I want you to understand what the thrust of her case is in this regard.
- D** It deals with an aspect that you are familiar with, because she says it elsewhere, about money laundering, and it feeds her concern. Understandably, we say, it feeds her concern that outside these proceedings there may be forfeiture proceedings which will impact upon the divisible pool. So the court needs to understand the likelihood or
- E** otherwise of the parties getting in trouble with the US authorities about activities that she says the husband and Ms Molina have been involved in in the Middle East and elsewhere.
- She deals with this by reference to a series of exchanges that she says took place
- F** between her and Mr Zahmoul, and sets that out in her statement. Of course it might be said, well, she could have dealt with that and should have dealt with that in her conduct statement, and she did to some degree because there is an element of overlap between what she says here and what she says in that statement, save that here it is fleshed out in
- G** greater detail.
She feels passionately, understandably so, that her voice should be heard, that she should not be silenced, and that you should have the opportunity to read and attach whatever weight to this paragraph that would otherwise be redacted.
- H** MR JUSTICE MACDONALD: Yes.
MR MOLYNEUX: Of course she can be, and no doubt will be, vigorously cross-examined on the contents of that, and she would be of course content for that to take place. She wants that to take place because she wants to have the opportunity to set out her case. Of course she will be limited by the questions that she is asked. I ask that you read it and I ask that we then, once you have read it, proceed with a very, very short

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- A** examination-in-chief. There are three questions arising out of Mr Zahmoul's section 25 statement.
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: And then progress to cross-examination.
- B** MR JUSTICE MACDONALD: Thank you.
- MISS CAMPBELL: Well, my Lord, you have already ruled on this, so let us be absolutely clear. Yesterday we made submissions and Mr Molyneux may have misunderstood what was happening, and that is partly because the information was coming in so late.
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: You will remember that I said the wife has made a statement with a whole 100-plus pages of exhibits. One of the exhibits is a separate affidavit.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: Free-floating. We have never seen it before, is all I said, and she takes a portion of this affidavit and puts it into the body of the statement.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: My main submission was she should not be able to have affidavits
- E** within statements. You agreed, and I therefore followed by saying that excerpt, which has been provided in the body of the statement, must also come out.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: You agreed, and that was the ruling made. So the first point is that you
- F** have already made a decision about this.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: As Mr Molyneux is taking his client's instructions and asking you to revisit again that decision, two things. The first is we could not find this affidavit
- G** within the affidavit. I did not know where it came from and it was only when Miss Amaouche looked at it carefully - much more carefully than I did, I confess - we saw that it was dated 14 February, so in preparation for this trial, 14 February 2024.
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: But it says "statement made on 20 July 2021". My client could not recall the statement or could not recall what hearing it would have been for, and then when we checked the chronology, we realised the FDR, the private FDR, was on 20 July 2021.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So this document has evidently been produced for the private FDR. Whether it was used or not, I actually cannot say.

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- A** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: That is the first point - we suspect it is a private FDR document which should not be produced.
- The next point is that Mr Molyneux says his client believes passionately that there
- B** should be an opportunity for you to hear about her allegations of money laundering, and she is concerned that there may be forfeiture proceedings.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Nothing in this excerpt refers to forfeiture proceedings. All this excerpt
- C** appears to do is to copy out various dates and various statements that the applicant is recording, her view of what has been said. It is like a personal chronology or perhaps an excerpt from a diary. I cannot tell.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: So it is her recording what her view is of what has happened and been said. So it is almost impossible for me to verify where it comes from, what is the context. So it is not useful. That is the second point.
- The third point is that this, as Mr Molyneux concedes, is already covered in his conduct
- E** statement.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So those four points: first of all, you have already decided it is a
- F** privileged document, it seems to us. It is not actually reliable because I cannot test the evidence. And, finally, it appears in broad terms to be covered already in the conduct statement.
- MR JUSTICE MACDONALD: Thank you. Yes.
- MR MOLYNEUX: My Lord, can I just come back, because my learned friend cannot and
- G** should not say that it is a privileged document in circumstances in which those are not our instructions. Because Mr Zahmoul would have seen that document if it was prepared for an FDR and would be able to tell her in terms: "This is an FDR
- H** document". I mean, it is not -- it was not prepared for that purpose, it was not before any FDR tribunal, and that is a submission upon which you should not rely. Miss Campbell makes the point for me when she says that the basis of your determination yesterday was that it was thought to be elsewhere within the exhibit to the statement that my client was producing. It transpires that it was not. So then she ----
- MISS CAMPBELL: It is. I am sorry, it is. It is. It is the exhibit to your section 25 statement. (Counsel conferred).
- MR JUSTICE MACDONALD: Well, Mr Molyneux, can I short circuit this?

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- A** MR MOLYNEUX: Please.
- B** MR JUSTICE MACDONALD: Because I would like to get on with the evidence. I have already ruled yesterday that it is inappropriate for a statement to exhibit to it another statement or affidavit. I decided that that affidavit should not therefore remain in the exhibits to the statement. My understanding is that para.21 comes from that affidavit. It necessarily therefore follows that if I have excluded the affidavit, it is not appropriate for para.21 to be in the statement, and that is my decision.
- If I can be provided with an updated or, rather, redacted ----
- C** MR MOLYNEUX: We will redact that element.
- MR JUSTICE MACDONALD: -- statement, I will read it and then we will start with Mrs Zahmoul's evidence.
- MR MOLYNEUX: Thank you so much.
- D** MR JUSTICE MACDONALD: Yes, thank you.
- (Short break)
- E** MR JUSTICE MACDONALD: Yes, Mr Molyneux.
- MR MOLYNEUX: My Lord, thank you very much. Mrs Zahmoul will now give her evidence. Before she starts, ordinarily I would take the witness to each of the sworn statements or ----
- F** MR JUSTICE MACDONALD: Yes, do not worry about that.
- MR MOLYNEUX: It will take too long.
- MR JUSTICE MACDONALD: Yes. Thank you.
- MR MOLYNEUX: The other thing, just in terms of administration and housekeeping, I was
- G** going to suggest - and this is agreed, subject to your approval ----
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: -- that Ms Vorri, who is a pupil in chambers, assists with the bundles.
- MR JUSTICE MACDONALD: Yes.
- H** MR MOLYNEUX: Because I think that will make things a little bit smoother than might otherwise be the case.
- MR JUSTICE MACDONALD: I think it would, yes.
- MR MOLYNEUX: Thank you so much.
- MR JUSTICE MACDONALD: Thank you. (After a pause)
- MR MOLYNEUX: Nadia, so you cannot take notes in. Okay? So you can have a blank piece of paper or you can have a blank notebook but ----

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- A** MRS ZAHMOUL: I can take my notes?
- MR MOLYNEUX: You should not be taking notes into the box, no.
- MR JUSTICE MACDONALD: No. You will need to leave your notes just over there. All right? Okay?
- B** MR MOLYNEUX: But you can take paper if you want to have paper in order to write things down to help you. Just no existing notes.
- MRS ZAHMOUL: Okay. So then how do I refer to page numbers?
- MR MOLYNEUX: So the page numbers Ms Vorri is going to help you with.
- C** MRS ZAHMOUL: No, me. But me. Me, if I want to refer to page numbers?
- MR MOLYNEUX: If you wanted to refer?
- MRS ZAHMOUL: Yes.
- MR MOLYNEUX: Well, you will be asked questions. My Lord, forgive me.
- D**
- Mrs NADIA ZAHMOUL, Sworn
Examined by Mr MOLYNEUX
- E** MR JUSTICE MACDONALD: Thank you very much. Do you want to take a seat?
- A. Thank you.
- Q. All right. Yes, thank you, Mr Molyneux.
- MR MOLYNEUX: Please could you tell the court your full name?
- F** A. Nadia Zahmoul.
- Q. And your address, please, Mrs Zahmoul?
- A. 3093 Arrowhead Road, Teton Village, Wyoming 83025.
- Q. Judge before we start, although there is what looks like a microphone in front of you,
- G** that will not amplify your voice. So in order for everybody, most importantly the judge, to hear what you are saying, you have got to keep your voice up.
- A. Okay.
- Q. And because his Lordship wants to understand what your evidence is, you are going to
- H** have to speak reasonably slowly, not artificially so but reasonably slowly ----
- A. Okay.
- Q. -- so that everybody can hear and understand and, if necessary, take a note of what it is that you are saying. Okay. You have produced a number of statements and affidavits in these proceedings. Those are already in evidence so we do not need to take you to those in order to tell his Lordship that you are relying on them, because his Lordship understands.

- A. Yes.
- Q. The procedure now is that you will be asked questions by Miss Campbell, but before she does that, there are just a couple of points that I am going to - again with her agreement - ask you about arising from the section 25 statement of Karim (as I am going to refer to him without any disrespect). There was a suggestion that you had had an affair with his mother's oncologist, I believe Mr Stebbing? Is that ----
- A. Professor.
- Q. Professor Stebbing?
- A. That is right.
- Q. Is that correct?
- A. No, it is not true.
- Q. Okay. So you are going to have to wait until the questions come out, and then you can answer. I know it is very artificial, and if you could try and direct your answers to his Lordship because he is the most important person. Okay. And it was also suggested by Karim that you had, as a result of an affair, I think with Professor Stebbing, conceived a child and there had been an abortion as a result of that conception. Is that true?
- A. Yes and no. So we underwent IVF treatment in 20 -- well, I had three rounds. Two at the Holistic Fertility Centre, and this is over 2009 or 2010. And one of the rounds resulted in -- well, two were lost, and one resulted very early, six or seven weeks, a foetus that had something called Edwards' syndrome. Some syndrome. And so I just had -- the nurse gave me a ----
- MR JUSTICE MACDONALD: I understand.
- A. That is it. So that is probably, I am assuming, what is being referred to, and it is a result of the IVF treatment with preserved specimen of the respondent.
- MR MOLYNEUX: One of the issues which arose yesterday was the disclosure of a MultiBit wallet, and it was suggested to the expert that it has come from you or come from CipherBlade on your behalf. Is that right?
- A. No, the -- no, your Lordship. I am not sure the note -- the Gemini and the MultiBit wallets, as well as other evidence, comes from a part of *Imerman* that is called hard documents, 200 pages, that went to the respondent's solicitor on April 16 2021, and he responded to the hard copy section on 24 June 2021, and on 6 May 2021 he sent me a text message with full copies of what had been sent to HFC, the hard documents. So those that he sent me, full copies of the 200 pages, I called Pinocchio -- they are called Pinocchio. And the other two binders are called Barclays and UBS, and I will talk about them later. But the Pinocchio is 200 pages that forms of basis of what took me

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- A** four years to understand. And in it was MultiBit and Gemini. Now, because he sent them to me, they are no longer *Imerman*, they lost their confidentiality status and I can use them. And that is where the information came from. It is directly from him.
- B** Q. Thank you. Now, Mrs Zahmoul, I do not have any other questions. If you stay there, Miss Campbell will. Before she starts, can I just tell you that Ms Vorri, who is sitting behind you, will be assisting with the page numbers in the bundles. So if Miss Campbell references something, you just leave it to Ms Vorri to help you with that. Okay?
- C** A. So I cannot reference anything because ----
- Q. Sorry, I am afraid I am now going to hand over to Miss Campbell, who will be asking you the questions.
- A. Thank you.
- D** MR JUSTICE MACDONALD: Yes, Miss Campbell.
- MISS CAMPBELL: Thank you, my Lord.

Cross-examined by Miss CAMBPELL

- E** Q. Mrs Zahmoul, I am sure you understand that one of the first jobs for the judge to do is to try and understand what assets there are to share between the parties. That is his first job. Do you understand that?
- F** A. Yes. Yes, your angle is really difficult for me. I am really ----
- MR JUSTICE MACDONALD: Well, Mrs Zahmoul, do not worry about looking at me.
- A. Okay.
- Q. All right? I can hear you very well.
- G** A. Thank you.
- Q. So you look at Miss Campbell ----
- A. I cannot. She is -- I am really sorry.
- Q. Okay. Well, then look at me, but what you need to do ----
- H** A. I am trying ----
- Q. Okay. Just listen to me. You need to listen. Wherever you look -- okay?
- A. Yes.
- Q. I do not mind where you look ----
- A. Well ----
- Q. -- but listen carefully to Miss Campbell.
- A. It helps me to look at her because then I can see her speaking.

IN PRIVATE

- A** Q. Yes.
- A. And I can hear. But her -- the light she is on is hard. So I am going to do this.
- Q. Okay. Fine. Yes.
- MISS CAMPBELL: So the judge has to work out what the assets are. That is his first job.
- B** We call it computation. He has to decide what is available before he decides how to share it. And am I right, Mrs Zahmoul, that it is your case that apart from what Mr Zahmoul has said is on the asset schedule, you are saying that there is £141 million at least that is missing? Am I right? Is that your case?
- C** A. That -- okay. The -- I just would like to bring in ----
- Q. No, I am very sorry, Mrs Zahmoul, this is not ----
- A. Yes.
- Q. -- an opportunity for you to lecture. Just let me know the answer to my question. Is it
- D** your case that the assets are at least £141 million missing?
- A. Your Lordship, the nature of crypto assets is something called exposure to ----
- MR JUSTICE MACDONALD: No, no. Mrs Zahmoul ----
- A. Okay.
- E** Q. -- I am going to be -- I am going to be very strict about this. All right? You need to listen to the question and answer the question that you are asked.
- A. Yes.
- Q. All right?
- F** A. Yes.
- Q. And I mean that, because that is the way this court works.
- A. Yes.
- Q. All right? So I am going to ask Miss Campbell to put her question again, and I want
- G** you to answer it. Okay?
- A. Yes.
- MR JUSTICE MACDONALD: Miss Campbell.
- MISS CAMPBELL: Thank you. So, Mrs Zahmoul, is it your case, are you saying to the
- H** judge that apart from what Mr Zahmoul says is in existence, there is another £141 million at least that is missing?
- A. Yes.
- Q. Is that your case?
- A. Yes, it is.

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- A** Q. Before we examine the assets that you say are missing, can we talk about the assets that Mr Zahmoul says are in existence? Have you seen a copy of the ES2? That is the schedule of assets that Mr Zahmoul says is present.
- A. The most recent one?
- B** Q. It is called an ES2. It is a schedule, an Excel spreadsheet, showing everybody's assets, and we have them in the bundle, and we all have them, and your counsel has seen my copy. Do you know the document I am talking about?
- A. Yes, absolutely, yes.
- C** Q. You do. Have you had a chance to have a look at that document?
- A. Yes.
- Q. And do you accept all the figures that are on that document?
- A. No.
- D** Q. Where is your version of the accurate figures on that document?
- A. That -- where I ----
- Q. Do you see on that document there is a column for what Mr Zahmoul says are the accurate figures, and then there is a column for you to say what you think are the accurate figures.
- E** A. So I am sorry ----
- Q. Where are your figures?
- A. Okay. You are asking me to assess assets over which I don't have visibility ----
- F** Q. No, Mrs Zahmoul, I am not. I will repeat my question.
- A. Where it might ----
- Q. On the ES2 -- it is a form that you agree you have seen. In that form, Mr Zahmoul in one column says what he thinks the assets are worth. And next to it is another column, and on that column you are supposed to say what you think the assets are worth.
- G** A. So I do not have assets of my own that I can quantify for you ----
- Q. No, again I am sorry, Mrs Zahmoul, you are not answering my question.
- A. I am really sorry.
- H** MR MOLYNEUX: (Inaudible) starts to answer before we interrupt her.
- THE WITNESS: I do not have access that I can control and over which I have visibility where I can have a statement. There is no column on the wife's side simply because -- and I do not agree with the balance sheet simply because there is -- because of the -- because of the disclosure process that this -- that the proceedings have turned, because there is no way to verify those numbers. Do you want me to go in details?

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- A** MISS CAMPBELL: No. Let me ask you this. Do you accept that there are -- there is a property in Wyoming that you and Mr Zahmoul own? Do you accept that?
- A. Two. Two properties.
- Q. Two. What do you say they are worth?
- B** A. At the valuation of 11 May 2022, one was ----
- Q. No, now.
- A. One was -- I don't know. We have not received the appraisal.
- Q. Okay. Well, let me tell you. On the ES2 Mr Zahmoul says that the property that you
- C** are in, 3100, is worth £7.42 million. Do you agree with that?
- A. Is that the value -- if that is the last valuation of 11th May 2022, then it is a valuation of that. As you say it is appraised ----
- MR MOLYNEUX: Has she got the details in front of her?
- D** THE WITNESS: That is the appraisal.
- MISS CAMPBELL: Let me have a look, Mrs Zahmoul. I am just trying to understand whether you accept the figures that Mr Zahmoul is relying on.
- A. The properties ----
- E** Q. Do you accept the property that you live in is worth \$7.42 million?
- A. I just said on 11 May 2022 we received two formal appraisals from Rocky Mountains. One was 7 -- the one you said. The other one was 500,000 less. That is ----
- Q. So 4.39?
- F** A. No.
- Q. 7.39?
- A. No. 7.3 and 7.2. They were very close. Similar. They were very close. They were very close in value. Yes, I do accept.
- G** Q. So I am not clear whether now you accept the figures I am proposing or not?
- A. Okay. I accept the formal values returned by Rocky Mountain appraisers on 11 May 2022, but the regularity body of real estate appraisers in the US says that it is valued for six months. We have made a request to have an updated version of those. I do not
- H** know at this point what is the market value because my finger is not on the pulse of the market. But two formal ones from May 2022 were 7.3 and 7.25, more or less. I accept those but they are up -- they need updating.
- Q. So are you -- can you have a look in the bundle for me, please, at 640? This is an order that was made on the last occasion, and it ordered you to file a bundle, or your solicitors to file on your behalf a bundle with some documents in it, including an ES1, which is probably not important, but an ES2. So you were ordered to file your version of this

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- A document I have been talking about in the bundle, and you have not done that. What is your explanation for not doing what you were asked to do by the judge?
- A. Is the question why I did not file this specific order, or generally why is it -- why do I not comply with all the orders?
- B Q. Why did you not comply with this ----
- A. This one?
- Q. -- particular order?
- A Which one specifically? Ordering me to do what?
- C Q. It is p.640 at para.16(ii), "The bundle shall include", and above it you can see it says: "The solicitors shall send the bundle by 4.00 p.m. on 12 February". So by that date we should have had your version of an ES2. Why did you not do that?
- A. Which is a summary of my assets - right? I worked 24 hours a day and every single day of the week, and as one single person it is very hard for me to keep up with everything. That is the true answer. I don't have another one.
- D Q. All right. Have a look at p.564 in the bundle, please. If you look now at para.21 ----
- MR JUSTICE MACDONALD: You might want to move that jug of water before it goes
- E everywhere. Sorry, Miss Campbell, the page number again?
- MISS CAMPBELL: I am sorry, p.564.
- MR JUSTICE MACDONALD: Thank you.
- MISS CAMPBELL: Mrs Zahmoul, you will see an order at para.21, which says:
- F "The parties shall, by no later than 4.00 p.m. on 20 January 2024, simultaneously exchange updated, open offers."
- G So you were being ordered to provide your open offer by 20 January, and you did not do that. Why not?
- A. To provide an offer ----
- Q. An open offer. Your case.
- A. Yes.
- H Q. What you wanted.
- A. It is very difficult to provide an offer when what I received is nowhere in the range of the universe of what is possible but -- or what is true actually. It is very difficult, negotiation. We are not given overlapping, so I will be really wasting your time, you know, I mean, I ----
- Q. Your counsel made an open offer, effectively, in your position statement, which we got on Monday morning ----

IN PRIVATE

- A** A. Who? Sorry, who?
Q. Your counsel, Mr Molyneux, in his note to the judge ----
A. Yes, I ---
Q. -- he set out ----
- B** A. Yes.
Q. -- your position ----
A. Yes.
Q. -- your open position.
- C** A. Yes.
Q. You want everything. That was ----
A. Yes, that is the position he set out.
Q. So it was okay for you to say that on 19 February. Why could you not have said that on
- D** 20 January?
A. Probably because I was doing the rest: writing my statement, 20 January, making my way from Wyoming to here and doing the work.
Q. You were too busy?
- E** A. Not too busy, because that sounds like I am not respectful.
Q. Yes.
A. Which is not correct. So just going down trying to finish statements, conduct, and whatever.
- F** Q. So you considered that the judge's order ----
A. No, I was actually ----
Q. -- requiring you ----
A. -- fulfilling his -- I was busy with order, with orders.
- G** Q. Okay.
A. Okay? But I have to prioritise, that is -- and I need to do conduct and section 25, as a priority to the offer, which we made yesterday.
Q. Do you understand the purpose of these orders, to get the schedule organised ----
- H** A. I do.
Q. -- and to get the open offer organised ----
A. I do.
Q. -- is not just so that you can put your case, but it is also so that Mr Zahmoul can understand what your case is. Do you understand that is important?
A. I agree, yes.

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- A** Q. Yes. You do not think that that -- particularly because the judge also thought it was important, he ordered you to do it ----
- A. But it is ----
- Q. -- that you should have complied with that order?
- B** A. I do, and I apologise because I -- we are going to go through the orders outstanding, I am sure, and there is a list. So I apologise in advance. I am doing my best.
- Q. On the schedule of assets that Mr Zahmoul has put forward, there is a difference between what he says the tax is that is going to have to be paid, compared to what Mr
- C** Molyneux says in his document. Mr Molyneux's figures are about £500,000 in ready, numbers, in round numbers, in relation to tax. He says that there is about half a million pounds less tax to pay for Mr Zahmoul, and he also does not account for the tax on the
- D** Coinbase shares, which is about another 350. So on the schedule we are about £850,000 apart. Do you accept the figures that Mr Zahmoul is putting forward? Do you agree with his figures?
- A. No, and may I please ask you which taxes are you referring to?
- Q. Well, the taxes that Mr Molyneux has put in on your behalf ----
- E** A. No, no, on your side, please. Which taxes on your side ----
- Q. Let me ask you the questions, if I may, Mrs Zahmoul.
- A. Well, no, she ----
- MR MOLYNEUX: She has got to be able to ask that question. She is seeking clarification of
- F** what the question means.
- MR JUSTICE MACDONALD: Mr Molyneux, if I have a difficulty, I say I have a difficulty.
- MR MOLYNEUX: My Lord.
- MR JUSTICE MACDONALD: All right. Yes.
- G** MISS CAMPBELL: (To the witness): The figures that Mr Molyneux has given us and the figures that Mr Zahmoul has put on his ES2 ----
- A. Yes.
- Q. -- are £850,000 apart ----
- H** A. Can I have granularity?
- Q. No. I want to understand ----
- MR JUSTICE MACDONALD: Let us just refer -- let us have a copy of your ES2 in front of the witness. (After a pause)
- MISS CAMPBELL: We have not got sufficient hard copies in A3 that are legible.
- MR JUSTICE MACDONALD: Yes.

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- A** MISS CAMPBELL: So we have got hard copies coming down. Let me move on, and then when they come in, I will put those ----
- THE WITNESS: But can -- I can answer you.
- MR JUSTICE MACDONALD: Mr Molyneux looks like he has an unmarked copy.
- B** MISS CAMPBELL: That is perfect, thank you.
- MR MOLYNEUX: I am just checking I have got the right one. (After a pause)
- MISS CAMPBELL: That is really helpful. Thank you. (To the witness): I hope you can read that, Mrs Zahmoul, because I had trouble ----
- C** A. Thank you. Thank you. Okay. So, now you can tell me ----
- Q. Yes.
- A. -- which taxes you are referring to.
- Q. If you look, for instance, in the left-hand column you can see 240 Frost Street. Can you
- D** see that? It is in bold.
- A. So you are doing property?
- Q. Yes.
- A. Real estate in the US? Okay.
- E** Q. Exactly.
- A. And this is US ----
- Q. It is.
- A. Correct. IRS page.
- F** Q. Exactly.
- A. Okay.
- Q. So if you look under there, we can see there are a few lines that say "less costs of sale". I am not worried about that.
- G** A. Mm hmm.
- Q. And then it says "less US CGT" ----
- A. Yes.
- Q. -- "less New York transfer tax and less New York tax".
- H** A. Mm-hmm.
- Q. And if you scroll along the row and you come to the property, you can see the figures that Mr Zahmoul is saying need to be paid, and in sterling you can see the figure there of 191,940. That is CGT ----
- A. I am sorry. Are you on the first page?
- Q. Yes.
- A. Yes.

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- A** Q. So you saw where we were looking at Frost Street ----
A. Okay. I am sorry, was not ----
Q. Yes. Then just run your finger along the row.
A. Yes, absolutely, yes.
- B** Q. That is it.
A. Okay.
Q. You can see in red these are the figures that Mr Zahmoul says have to be paid in tax, and there is 191,940 in CGT?
- C** A. Yes, yes, including the rollover.
Q. Exactly.
A. Yes, okay.
Q. And 375,000 for the New York transfer tax?
- D** A. Mm.
Q. And then underneath 34 for the New York tax. And those figures all together come to £558,000.
A. Okay.
- E** Q. Now, your counsel, in his document, he has added up the figures and he comes to a different figure. He says it is £747,000. That is the figure in your counsel's note. Trust me, it is his numbers I am relying on.
A. Yes, yes, yes.
- F** Q. So there is about £200,000 apart on those two figures. Do you understand?
A. Of course, I do, yes.
Q. Yes. If we then look at Arrowhead, let us look at 3100, Arrowhead, the same thing, if you follow underneath the bold address you can see it says "less US CGT and New
- G** York State". If you follow along, Mr Zahmoul says there is 1.3 million to be paid in CGT, including the rollover. Can you follow?
A. Absolutely.
Q. And your counsel, Mr Molyneux, relying on your figures, puts it at just over a million.
- H** So we are about £300,000 apart on those figures.
A. We are a lot more. So if I may ask you where is the computation behind these matters, please?
MR JUSTICE MACDONALD: Well, just -- no.
A. Okay.
Q. The way this works is counsel asks a question ----
A. Okay.

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- A** Q. -- and you answer.
- A. Okay. So, your Lordship ----
- Q. As I understand your answer, you said: "We are much more apart".
- A. Oh, we are. We are, yes.
- B** Q. Okay. Why?
- A. Firstly, we have four years of proceedings and it has been agreed from the beginning all tax numbers have to be provided by CPA on computations done by CPAs, and the overall -- overarching principle on the tax had to be agreed between us. So the first one
- C** did not happen and that -- these are taxes, they are -- they depend on many metrics. Some of them are US statutes, immigration statutes, so I do not see what is behind -- the answer is I can see a number that we have been saying for four years no number -- no tax numbers will be accepted without a CPA computation. I need the spreadsheet with
- D** what assumptions are behind. So, for example, because I am a US citizen and Mr Zahmoul is not, and because we have something -- hold a deferred capital gain, it is called a 1031, when we sold one property and made a capital gain of \$4 million in 2016, we were allowed to -- as long as you buy the same property under the same legal
- E** owners, you defer the gain to the next one, which is how we did first part of Frost Street and ----
- Q. I understand.
- A. Okay. So that -- the tax -- so the ----
- F** MISS CAMPBELL: Mrs Zahmoul, I just want to interrupt you ----
- A. The tax -- the tax -- the tax number is going to depend on who gives to whom ----
- MR JUSTICE MACDONALD: I understand.
- A. That is it. So I -- this means nothing and we have -- we have been saying for four years
- G** that ----
- Q. I see.
- A. -- I cannot accept tax numbers from a spreadsheet. They have to come from a proper CPA. Mr Zahmoul had four in every jurisdiction.
- H** Q. Thank you. I understand.
- A. Thank you.
- MISS CAMPBELL: So, Mrs Zahmoul, you understand how important it is for us to get a figure that the judge can make a decision about ----
- A. Yes, you just removed them from the bundle that I gave you this morning.
- Q. And so ----

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- A** A. I have updated the tax numbers for real estate transfers under the scenario that Mr Zahmoul is not a US resident and he is not a US citizen. And those numbers were in the bundle of this morning.
- Q. Okay.
- B** A. The original memo from my CPA was dated August 16, 2021 for the balance sheet ----
- Q. I am going to take you to that ----
- A. -- and it was an updated computation with the attached spreadsheet from my CPA. CPA update and it was ----
- C** Q. Mrs Zahmoul, I am really sorry, but I need to ask you some questions.
- A. I hope I am helping the court understand.
- Q. You are telling me things you want me to know, but it is actually not answering my question.
- D** A. Well, I ----
- Q. I simply said to you, you can understand, can you not, that it is important for the judge to have some figures so he can make a decision?
- A. Yes, so ----
- E** Q. You understand that?
- A. Your Lordship, my -- I only have -- the only assets that have my name on it is the real estate, and on August the first order of the FCA was to get the tax numbers for pensions and ----
- F** Q. Let us have a look at that order. Let us go in the bundle at p.26 ----
- A. And I produced ----
- MR JUSTICE MACDONALD: Can you just turn to p.26, please?
- A. Yes. Thank you.
- G** MISS CAMPBELL: This is an order that was made as long ago as 7 April 2021.
- A. Yes.
- Q. So nearly three years ago. Her Honour Judge Cope made an order to try and sort this problem out. The judge recognised it was important ----
- H** A. Yes.
- Q. -- and three years ago she tried to sort it out. So she said that Mr Zahmoul shall serve on you his tax calculations, and, effectively, at para.26 you can see it there: "The parties shall use their best endeavours to agree the above tax figures", but if they cannot agree, then you have permission to serve your figures. That is what the judge said: "You can provide your figures". So Mr Zahmoul gives you his calculations, and if you are not happy with them, you can provide your figures. Do you understand that?

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- A** A. I understood.
Q. Yes?
A. My figures ----
Q. Okay.
- B** A. The assets that had my name on it - right?
Q. No. Mrs Zahmoul, do you understand what the order required you to do?
A. Yes, I do, yes.
Q. You did not serve your own figures. Why is that?
- C** A. I ----
Q. In response to this order, you did not file any figures. Why not?
A. Yes, I did. On August 6, 2021 I filed the real estate figures with four different scenario. And on August 10, 2021 I filed my CPA's figures for pensions. I did.
- D** Q. Let us have a look in the bundle at 4230. It might assist to keep the orders bundle open along with that on the desk.
A. 43?
MR JUSTICE MACDONALD: 4230?
- E** MISS CAMPBELL: Yes. Thank you.
MR MOLYNEUX: It is not in the bundle.
MR JUSTICE MACDONALD: 4230, I have it in electronic bundle. Do you have it? (After a pause)
- F** MISS CAMPBELL: It is in the bundle. It should be ----
MR JUSTICE MACDONALD: Yes, I think we are all getting there.
MISS CAMPBELL: -- 4230
MR JUSTICE MACDONALD: (To the witness) Do you have that?
- G** A. This page?
Q. Yes.
MISS CAMPBELL: This is Mr Zahmoul's advice about tax in the UK. You are familiar with this because I think you have exhibited this yourself?
- H** A. Not the same version. I have the earlier version as well, the one he sent on April -- the one dated April 13, 2021.
Q. Right.
A. It was very similar except for the last paragraph.
Q. Okay. But you have seen this document?
A. Yes.
Q. This is his advice about UK tax ----

- A** A. Yes.
Q. -- in June 2021 ----
A. Yes, that is not US.
Q. That is right. And if you look above it, or at an earlier page at 4229, that are some US
- B** tax figures there, or tax statement there?
A. This is -- this is his English tax accountant. There is a big this section when he said:
"We are not Portuguese specialist and we are not US tax experts".
Q. Okay.
- C** A. This is Andrew Gannon.
Q. And, if right -- you are right, that you had your accountant on 6 August, 2021 ----
A. Yes, and ----
MR JUSTICE MACDONALD: Just listen to the question.
- D** A. Sorry.
MISS CAMPBELL: -- provide a statement or a letter setting out your position. That is 6
August, 2021?
A. And on (inaudible).
- E** Q. But the order said that you had to get your evidence or your position in before the
private FDR, which was in July ----
A. Sorry, which one of Mr Zahmoul's has been filed before the private FDR?
Q. Okay, let me -- I have just taken you to the documents. Mr Zahmoul in June puts some
- F** documents before you, because that is what the judge ordered him to do, and you were
ordered to respond to those documents. We have just looked at the order. And you had
to do that six weeks before the private FDR. The private FDR was in July 2021. You
produced this document in August ----
- G** A. I am really sorry ----
Q. -- do you understand?
A. No, no, not at all. Not at all. Are you saying -- is your question why is my memo of --
is my schedule August 6 is late?
- H** Q. Yes, why was it not produced, as the judge ordered, before the private FDR?
A. I am sorry, can I have the FDR judge, Judge Cope (inaudible). Can you just read -- tell
me what page ----
Q. Page 26, paragraph ----
A. Your Lordship, my contribution to the tax visibility is limited to ----
MR JUSTICE MACDONALD: Well, just let us stick with Miss Campbell's question.
A. Yes, I understand. Okay.

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A Q. You asked to see the order ----

A. Okay.

Q. -- and Miss Campbell is now going to take you ----

A. Yes, yes.

B Q. -- back to the order that she referred to ----

A. Yes.

Q. -- at the start of this.

A. Yes, and ----

C MISS CAMPBELL: Paragraph 26.

A. I am sorry?

Q. Paragraph 26 on p.26.

A. Yes.

D Q. So I have referred you to this before:

"The parties shall use their best endeavours to agree Mr Zahmoul's figures. In the event that they cannot be agreed by 4.00 p.m. on the date six weeks prior to the FDR ..."

E And that was on 20th July 2020 ----

A. Yes.

Q.

F -- "the applicant [that is you] shall have permission to serve on the respondent competing calculations."

So what the judge was trying to do, Mrs Zahmoul, was to get the judge who heard the private FDR in July ----

G A. Yes.

Q. -- all the important material, and that included the tax figures. And so you were ordered to provide your figures prior to July 2021, and we have just looked at your figures.

They were dated August.

H A. And ----

Q. So my question is this: why did you not have your tax figures in advance of the July hearing as you had been ordered to do? Why?

A. Okay. And why did I -- did ----

Q. No, answer my question.

A. And so -- "(inaudible) tax figures, which is disposable (inaudible)". So the paragraph at 26 is asking me to provide the tax numbers on 25(a), (b), (c), (d) and (e) and I can only

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- A** do the real estate because I do not have my name on anything else. So I produced the real estate in August, and I apologise to the court for that. The same court order asked us to produce updating disclosures six weeks before the FDR. And 24 hours before the
- B** FDR the respondent filed a 7 million increase in the balance sheet that I did not know of before, and that I struggled over the weekend to re-do the entire balance sheet in light of this news, which floored me.
- Q. Okay, Mrs Zahmoul, I understand ----
- A. So updating this folder was also due six weeks (inaudible). Yes, that is ----
- C** Q. You have explained ----
- A. Yes.
- Q. -- that you were surprised by the Coinbase disclosure 48 hours before the FDR.
- A. But -- no ----
- D** Q. That does not explain why your tax advisers ----
- A. I can -- I can only do real estate. I cannot produce taxes on assets that I do not control. It is unimaginable. My name is only on the real estate, nothing else.
- Q. I am going to move on, but I just want you to understand the point I am making, Mrs
- E** Zahmoul ----
- A. No. Would you please tell me your point?
- Q. Yes. Mr Zahmoul gave you his position in a document from his lawyers ----
- A. Which -- which one?
- F** Q. -- his accountants. The ones we have just looked at ----
- A. But that is not our position ----
- Q. -- setting out what he understood to be the position.
- A. That is not ----
- G** Q. And you were asked ----
- A. That is not a tax ----
- Q. -- to respond and you did not.
- A. Okay, let us go back to that memo, please.
- H** MR JUSTICE MACDONALD: I think, Miss Campbell ----
- THE WITNESS: I have it here.
- MR JUSTICE MACDONALD: -- I have the point.
- MISS CAMPBELL: All right.
- THE WITNESS: This is a generic memo with no numbers. I am reading it. May 26 2021, right? It says: "In the divorce if you transfer the appreciated property to your spouse, the receiving part will get a carryover basis of what" -- you have no step up or gain

- A** recognition. And then it says the transfer of crypto is the same. It is generic and -- I do not -- there is no ----
- MISS CAMPBELL: No ----
- A.** Nothing. No computation, nothing.
- B** **Q.** No immediate tax to pay, it will roll over as you have described, but they will carry over ----
- A.** What? No. Yes, there is an immediate tax. It is the transfer one. They are talking about the other one.
- C** **Q.** If you -- if that was your case, the judge needed to know what you were saying, your position was, but there was nothing.
- A.** No, on this -- but this is not a computation. This is generic.
- Q.** All right.
- D** **A.** This is saying theoretically because the four -- there is nothing to answer. I mean, the FDR judge had no problem with figuring out the taxes because the underlying -- the driver of taxes is my citizenship and his non-citizenship.
- Q.** All right.
- E** **A.** That is all this is saying.
- Q.** Mrs Zahmoul ----
- A.** Yes, Miss Campbell.
- Q.** -- you were asked effectively by Her Honour Judge Cope and indeed this judge, Mr
- F** Justice MacDonald, to try and agree the tax figures ----
- A.** Yes.
- Q.** -- and I think ----
- A.** Yes.
- G** **Q.** -- no less than nine orders were made to try and agree the tax calculations. Do you accept that as we stand here today ----
- A.** Yes, yes.
- Q.** -- you have not given any schedule or any response ----
- H** **A.** Yes.
- Q.** -- to the schedule of tax that Mr Zahmoul produced ----
- A.** Yes.
- Q.** -- back in 2021?
- A.** I have not received any tax numbers from Mr Zahmoul that I can accept, as you ----
- Q.** You cannot accept them?
- A.** No.

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- A** Q. But you have not given your version of the figures, in accordance with nine orders?
A. Nine orders and, probably more than that, I think your client should provide numbers from tax experts.
Q. All right.
- B** A. More than that and ----
Q. I will try this from a different angle, Mrs Zahmoul.
A. Oh, please.
Q. Is it fair to say that you instructed an accountant, Nick Warr at Taylor Wessing, to
- C** negotiate directly with Mr Zahmoul ----
A. Yes.
Q. -- to try and work out the figures?
A. (Inaudible).
- D** Q. Is that true?
A. That is correct, yes.
Q. So although we did not have your case in writing, what we had was a negotiation going on. I think it was without prejudice - is that right?
- E** A. What does -- you mean that we can -- we can share the information? Yes, we ----
Q. At the time did you instruct Mr Warr to share any information ----
A. All of it is always open, open correspondence.
Q. All right.
- F** A. It is open.
Q. Okay. I am told I misrepresented. He was actually a tax lawyer, not an accountant.
A. When you say I am instructed to provide tax figures, I really need to say one more thing. I can only provide taxes on assets that I own. I cannot tell you how much -- how much
- G** Boeing shares are going to be taxed, because it is not my tax position. I cannot instruction his broker to give me the tax because it is very particular to his -- to his circumstances. There is a lot that goes in the tax model, and I cannot do taxes for him.
Q. Right.
- H** A. It is simple.
Q. On 21 July 2022, Mr Zahmoul prepared a table of all the tax issues, with his view, according to his advice, and figures for tax, and that was sent to your solicitors at the time, Withers, and it has been referred to in the order as the tax schedule.
A. I am sorry, on which date ----
Q. Do you remember that document?
A. I remember that extremely well, but on which date do you say the table was sent?

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- A** Q. On 21 July 2022.
A. Okay. Can you please get the order of 10 July 2022, and then tell me where the table ---
MR JUSTICE MACDONALD: Well, again ----
A. Okay.
- B** Q. -- listen to the question ----
A. I know the que -- I know where ----
Q. -- and answer the question.
A. Okay. Okay.
- C** Q. All right? Otherwise if you just keep going, it is not helping you. All right? Miss Campbell and Mr Molyneux are both here to assist me ----
A. Okay.
Q. -- to understand the case. Okay? So if you answer the question, that will help. All right? Okay.
- D** MISS CAMPBELL: Thank you. If you turn to p.318, I will take you to the order that I think you are looking for ----
A. Not November. July, it is.
- E** Q. Well, go to p.380 in the bundle, please.
A. Thank you very much.
Q. Can you see para.8? This is an order, just so you can place it, that was made on 13 July 2022 by Her Honour Judge Cope, and ----
- F** A. Yes.
Q. -- she made various orders ----
A. Absolutely.
Q. -- and at para.8 there is a recital ----
- G** A. Yes.
Q. -- and this is saying ----
A. Yes.
Q. -- "The parties will discuss" -----
- H** A. Yes.
Q. -- "and endeavour to agree the principal," ----
A. Yes.
Q. -- "insofar as possible, figures" ----
A. Yes.
Q. -- "in relation to tax by 4.00 p.m. on 10 August" ----
A. Mm-hmm.

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- A** Q. -- "and they will do so through the respondent continuing his discussions with the applicant's adviser, Nick Warr, at Taylor Wessing" ----
- A. Understood.
- B** Q. -- "and the parties will thereafter prepare a schedule setting out what is agreed and what is not agreed, and where there is still lack of clarity in relation to tax". So, again, the judge was saying: "Let us at least see what the issues are". Do you follow?
- A. No, I am sorry, she said: "First try to talk, and if you do not agree, then prepare a schedule". This is very important, because I am going to show you what you are trying
- C** to tell me that there is a table that came with this order. The ----
- Q. No, Mrs Zahmoul, you are trying to predict what I am going to ask you. Let me ask you the question ----
- A. You said I am ----
- D** Q. I am asking you if you understand what that paragraph means?
- A. It says -- your Lordship, Judge Cope asked us to try to agree that issues matters, and if we could not, at least devise a schedule of the matters we did not agree. If my understanding is correct, it means first discuss everything, and then narrow it down only
- E** to the matters not agreed. If my understanding of English legally is correct, please say so. That is what I understand, meaning ----
- MR JUSTICE MACDONALD: Okay, I have got it.
- A. Okay, thank you.
- F** Q. Listen to the next question.
- MISS CAMPBELL: So as a result of that order ----
- A. Yes.
- Q. -- Mr Zahmoul continued to have discussions with your adviser, Nick Warr. Do you
- G** agree?
- A. No. No. The following discussion is in August.
- Q. All right.
- A. I am sorry, it is August.
- H** Q. You are saying that there was no discussion ----
- A. No, there were. The following emails were in August.
- Q. All right.
- A. Which brings me -- which brings us to the table you are going to mention.
- Q. So there was a table produced by Mr Zahmoul setting out all his propositions about tax, dated 21 July. It was sent to your instructing solicitors.
- A. Okay, and do you know the title of that table?

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- A** Q. It says "Schedule of outstanding" ----
A. Exactly.
Q. -- "issues for agreement".
A. Okay. That is a money prediction because there is -- it is not outstanding, it is all at -- at
- B** that stage we are in July. Mr -- your client has not spoken yet to Nick because the emails were in August. We received -- the judge's order does not state ----
Q. Well, can you just ----
A. The judge's order does not state a table. It says "make a table of the outstanding issues",
- C** and I get -- we get on 21 July a table that says "outstanding issues". That is a manipulation, because they were not outstanding. This is your client narrowing the universe of matters to suit his case, not mine. So ----
Q. So have you filed ----
- D** A. -- outstanding is a manipulation. It is ----
MR JUSTICE MACDONALD: Mrs Zahmoul ----
A. I am done.
Q. -- I have the point. All right?
- E** A. Thank you.
MISS CAMPBELL: If that was a manipulation, Mrs Zahmoul, would not the best thing for you to do -- is to get your tax advisers to add to that table their view of the other outstanding issues that he has missed off? Would that not have been a good thing to
- F** do?
A. No, I would -- if I would (inaudible) that, why wouldn't he start from the restricted universe of your client? This is -- number one -- the number -- that is not at all what -- what are we doing. Not at all. Because I am starting with a myopic view. Already I
- G** am constrained and watched. That is -- no, that is not the way to do taxes.
Q. Apart from not being able to agree a schedule of taxes, you and Mr Zahmoul have been trying, as I understand it, to agree to file amended tax returns in the US.
A. Excuse ----
- H** Q. Is your ----
A. No.
Q. No?
A. No, we do not file jointly, no. I am sorry, I have no idea what you are talking about.
I ----
Q. All right. Let me repeat my question ----
A. Yes, please.

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- A** Q. -- in a more clear and simple way.
A. Yes, please. Yes, please.
Q. You have filed joint tax returns for 2020, '21 and '22 ----
A. No.
- B** Q. -- so far?
A. No.
Q. No, I am misunderstanding ----
A. Can I explain to you, if you want? I can explain to his Lordship. So I think ----
- C** MR JUSTICE MACDONALD: Well, I think ----
A. Okay.
Q. -- it may be that Miss Campbell is -- just give Miss Campbell a moment ----
A. Yes, but it is ----
- D** Q. -- to take instructions.
A. It is the LLC.
Q. Just pause a moment.
A. No problem. I can -- I know. (After a pause)
- E** MISS CAMPBELL: I am sorry, I have misunderstood.
A. That is okay.
Q. It is in relation to the properties in America ----
A. Yes.
- F** Q. -- because they are owned jointly through the LLC ----
A. Yes.
Q. -- there are corporate tax returns that are filed by you both through the LLC?
A. Yes.
- G** Q. That is the joint document I am referring to.
A. Can I explain to you?
Q. No. Let me ask the question.
A. Sure, yes.
- H** Q. Those documents were filed jointly in the LLC ----
A. No, they is not -- there is ----
Q. -- (inaudible) members of the LLC ----
A. No, they are (inaudible). So it is a partnership called 3093 LLC, and the partnership owns 100%. The legal entity is Limited Liability Company of Wyoming. It owns 100% of the house at 3093 where we lived, which we purchased in August during the lockdown, 2020. And the partnership is owned -- it has two partners who are equal in

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- A** unity and equal rights - the respondent and myself. We have -- I have the corporate documentation and everything. That partnership had one representative, who is the interface with the IRS and the regulatory. That representative is the respondent, and he filed the tax returns on behalf of partnership, and then distributes to each underlying
- B** partner a form called K-1, which is the partnership's share in interest, income, credit, and so on. So he -- the respondent -- a CPA can be involved, every year stands -- talks to my CPA. They coordinate. We have 50/50 of the LLC, and then he files the numbers for the partnership. That is it. The other house we own directly. There is an
- C** LLC structure but it is irrelevant because it is (inaudible) pass through.
- Q. (Inaudible).
- A. So we own 50/50 in joint names, and that is the structure.
- Q. Let us focus on the Wyoming properties ----
- D** A. Anything you want, yes.
- Q. -- and those tax returns you have described were filed for the LLC by Mr Zahmoul in 2020 and 2021, and you were unhappy about those filings ----
- A. And '22. I still am.
- E** Q. Yes. And so it required Mr Zahmoul to fill them in and to send them to you, and he did send them to you before they were submitted to the IRS, did he not?
- A. Miss Campbell, his CPA in New York signed and sent them to my CPA, as he does every single year and ----
- F** Q. But they were sent to you before they were filed. You were involved in the compilation of them ----
- A. Absolutely, and we -- and I -- we could not -- I am sorry, what is your question?
- Q. Since those documents were filed ----
- G** A. Yes.
- Q. -- with the IRS ----
- A. Yes.
- Q. -- you have explained that you were very unhappy with the way they were put
- H** together ----
- A. Yes, this is ----
- Q. -- and we know that you complained in the proceedings in America in the Bank of Jackson Hole litigation ----
- A. Absolutely. I complained here as well. I filed a D11 on 27 April 2023 ----
- Q. You were unhappy with the contents of those returns - yes?
- A. No, no. It is not -- it is not literary. It is not a book. I am unhappy with them ----

A Q. You did not agree with them?

A. No, no, no. I am -- your Lordship ----

MR JUSTICE MACDONALD: What were you unhappy about?

B A. The representations in the IRS tax returns made by the accountant of the respondent are false. As a result of that, the computations done by the IRS are false. The problem is not only the computations, it is that as a result of the false representations and misrepresentations, and there is also an allocation of something called a recourse loan, which is also not correct. It prejudices my position a lot, significantly, and it puts me at risk because, in essence, the respondent has represented that he is a US citizen, which he is not, and that I am a UK citizen, which I am not, and as a result of that he was able to self-nominate himself as the partnership representative, which gives him, among other things, the right to start to interface with the IRS, to interface with the bank, to renegotiate the loan, the mortgage, to open an account, to close an account, and take decisions on behalf of the partnership. He is not eligible to be a partnership representative since he is not a US resident and not -- this is very relevant to the court, and he is not a US -- he is a -- he is a -- he does not pass the residency test on the number of days ----

E MISS CAMPBELL: So, Mrs Zahmoul, in answer to my question, yes, you were not happy with the content of the tax returns ----

F A. And I filed a D11 so the court knows I was not happy that there is -- the other reason I was not happy ----

Q. As I said, I am asking you the questions, so if you can just focus ----

A. But okay ----

Q. -- on answering my questions?

G A. Sure.

Q. Do you understand, Mrs Zahmoul, we can be here all day talking about these subjects ----

A. If ----

H MR MOLYNEUX: To be fair to her, your Lordship, you did say to her: "What were you not happy about?"

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: And she was answering your question.

MISS CAMPBELL: And she did answer the question.

THE WITNESS: And I am really trying to help the court understand the assets, because they are complex. I did -- okay, so the second part that I was not happy with -- and, by the

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- A** way, I was not covertly unhappy, I was very -- my CPA has been telling his CPA for three years, okay. So the other part which is -- I am really going to try to explain this. It is in my D11 of April. This is piecing together because I am not an accountant, but now I have the formal explanation. The other piece is the partnership, your Lordship,
- B** has -- section box L is the debt. So if one party assigns itself -- represents that they are guaranteeing the debt vis-à-vis the bank, so the bank lends money and the person guaranteeing personally the liability, 4 million, is the respondent. This is incorrect, and has consequences ----
- C** MR JUSTICE MACDONALD: So that is what -- that is the other thing you are unhappy on?
- A. Two things, yes.
- Q. Thank you.
- A. So that gives him -- when he liquidated the assets in September and directed them to
- D** repay the mortgage, he paid this, therefore increasing his partnership interest. His percentage ownership in the partnership has now the credit of 4 million, as if it was him paying back the bank. And that should be equal. It has to be two and two.
- Q. I understand.
- E** A. Thank you. Thank you.
- MISS CAMPBELL: Mrs Zahmoul, you made an application for an English court to determine your ----
- A. Yes.
- F** Q. -- divorce financial remedy proceedings.
- A. On 24 January, 2020.
- Q. You wanted this court to decide how your assets should be shared between you and Mr Zahmoul. Is that correct?
- G** A. On 24 January, 2020.
- Q. You elected to have your divorce proceedings dealt with in England - yes or no?
- A. Where else? Where else? I lived here for 18 years.
- Q. Yes.
- H** A. Where else should I have ----
- Q. And so this court was empowered to make a decision whether to transfer assets between you ----
- A. Absolutely.
- Q. -- and him.
- A. Absolutely.
- Q. So this court knows that those properties are owned by you jointly. Is that true?

- A** A. Absolutely.
- Q. Yes. And this court has powers to determine who should get which of those properties ----
- A. Absolutely.
- B** Q. And how much equity.
- A. Absolutely.
- Q. Do you agree?
- A. Yes.
- C** Q. So it does not matter what is on the tax return, because this judge can make orders ----
- A. Okay.
- Q. -- as he sees fit. Do you agree with that statement?
- A. Absolutely not. Absolutely not. It does not matter what is on the tax return - I do not agree with that at all because that is what ----
- D** Q. No, that is not the question I asked you, Mrs Zahmoul.
- A. What ----
- Q. We have just stepped through the procedure. You wanted an English court to deal with
- E** your divorce. The English judge has power to make orders about the properties and the equity, and so it does not matter what is on the tax returns as far as your divorce is concerned. That is correct, is it not?
- A. Your Lordship, I filed -- I filed my first application on 24 January, 2020, with Withers,
- F** so, yes, I did elect to do it here because I have lived here since 2005. Yes, you can decide on the division of the properties. Does that mean that if I uncover a fraudulent activity, I need to sit tight and pray and find my back -- no. I am sorry really, I do not understand the mechanics of an LLC. I do not understand the -- I am by myself,
- G** particularly alone with no money. Most of the time my debit card is negative and I cannot get to Waitrose, and I have my two daughters, one of them needs a lot of care ----
- MR JUSTICE MACDONALD: I understand the position.
- H** A. Okay, I am sorry, I am being told basically just sit tight and pray.
- MISS CAMPBELL: Mrs Zahmoul, even in the United States of America, you and Mr Zahmoul share, through the LLCs, equal legal ownership to those two properties?
- A. No.
- Q. In title?
- A. No, no. I have just explained. One of the houses is direct. The LLCs are passed through ----

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- A** Q. Let us have a look at those titles. The 3100 property ----
A. Yes, it is true ----
Q. -- is owned by two LLCs, one of which you have 100% ----
A. Correct.
- B** Q. -- and the other of which Mr Zahmoul has ----
A. I repeat, it is a fast through. There is no problem with 3100.
Q. Yes.
A. It is the 3 ----
- C** Q. The other property is held by a single LLC ----
A. Yes.
Q. -- in which you and Mr Zahmoul are equal members?
A. So -- so ----
- D** Q. Is that true?
A. -- this is exactly what happened with the \$4 million of the debt. By representing to the Wyoming Secretary of State and the IRS that him, and him only, guarantees the recourse loan in Box L, he gets -- when he liquidated joint assets and sent them to Bank
- E** of Jackson Hole, he was the one who released the mortgage. So we are no longer 50/50, he has now given himself -- if he wanted to make me as 50, he would have sent the 4 million and divide them between the two of us as if -- as if the joint assets liquidated were benefit -- both of us were guarantors ----
- F** MR JUSTICE MACDONALD: I understand.
A. -- and he put himself as the only guarantor ----
MISS CAMPBELL: All right ----
A. -- so he was ----
- G** MR JUSTICE MACDONALD: You have already explained that.
A. Okay.
Q. And I understand it.
A. Thank you.
- H** MR JUSTICE MACDONALD: Miss Campbell, I have the point. Thank you.
MISS CAMPBELL: Although you and Mr Zahmoul disagree about whether that is important or not, you think it is and he thinks it is not ----
A. I am -- what are you asking ----
Q. I am asking a different question now.
A. Okay.

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- A** Q. In 2022 the tax returns were rectified to put them in the position that you wanted them to be in. That is true, is it not?
- A. What did I want? I wanted ----
- Q. Equal 50/50 shareholders or members of the LLC. That was rectified in 2022?
- B** A. No, no, they are -- no. Your Lordship, I am really sorry, this is a bit -- that is this com -- we are spending so much time on this. There are two issues. First, the mortgage at Bank of Jackson Hole is 5.782. It is a consolidated mortgage between the two properties. It needs to be 50% one property, 50% the other. So the first thing I disagree with, which the respondent did not even elaborate, is apply a factor of two thirds for one house and one third for the other. There is no reason for that. The bank never said that. The paperwork does not say that. The only reason is -- if the only consequence of that is that it discharges the entire capital account of the LLC so it gives one house that is debt free. So that is the first 50% I did not agree with. The second 50% is inside this house, the LLC, I wanted that the 4 million of recourse loan -- I wanted it divided in half and half. So the respondent is manipulating the language to say I satisfied one 50 if I needed both 50s. This one within the 3090 LLC is more important because that is the one that says he is the only guarantor of the 4 million and that is the one that he paid back by liquidating ----
- C**
- D**
- E** Q. Mrs Zahmoul ----
- A. Okay, it is on that ----
- F** Q. -- the contract you have with the mortgage company, the Bank of Jackson Hole ----
- A. Yes.
- Q. -- is that you were both equally liable for the mortgage. That is what it says.
- A. Yes.
- G** Q. Signed personally. You are both equally liable. So if the mortgage is paid down, it does not matter, as far as the Bank of Jackson Hole is concerned, who gets the benefit on the tax returns, because they want a single mortgage paid down by either of you or both the you?
- H** A. I don't care about Bank of Jackson Hole.
- Q. All right.
- A. I care about this partnership interest. That is what -- I care about the IRS and the Secretary of State of Wyoming. In terms of ownerships, I do not care about the bank. Ownership is defined by his partnership interest ----
- Q. Can you look in the bundle ----

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- A** A. -- and he increased it by allocating, unfairly and fraudulently, 4 million of joint assets as if he were the only guarantor. And, as you rightly said, we are both equal guarantors.
- Q. So we agree on that?
- A. Yes, but it does not help me from a legal ownership point of view.
- B** Q. All right. Can you look at 2531, please, in the bundle?
- A. Okay.
- MR JUSTICE MACDONALD: Sorry, Miss Campbell, what page number?
- MISS CAMPBELL: 2531.
- C** MR JUSTICE MACDONALD: 2531.
- MISS CAMPBELL: Now, if you see at 2531 ----
- MR JUSTICE MACDONALD: Mrs Zahmoul, just have a look at the document.
- MISS CAMPBELL: I am so sorry.
- D** MR JUSTICE MACDONALD: All right? Yes.
- MISS CAMPBELL: (To the witness): You can see there is a message ----
- A. Yes.
- Q. -- from Jeff Wilkinson ----
- E** A. Yes.
- Q. -- who is your CPA, your accountant and ----
- A. March
- Q. -- your tax adviser. Is that right?
- F** A. Yes.
- Q. Yes. If you look just below it at the bottom of 2531, you can see the email from Steve Smith, who is the CPA for Mr Zahmoul. That is right, is it not?
- A. Yes.
- G** Q. And in March 2022 Mr Zahmoul's adviser was trying to liaise with yours to deal with some tax information to rectify tax returns. In fact if you look at p.2532, you can trace where this comes from. So just look at 2532.
- A. Okay.
- H** Q. At that stage, 29 March 2022, your adviser writes to his adviser:

"Steve, I hope you are holding up in tax season. I am working on the '21 tax return for Nadia Zahmoul, and was hoping to get the following input from you."

And then he lists the information he wants. Then we have the letter which I have just taken you to at 2531. Steve Smith says:

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A "Hi, Jeff. We have not yet received info from Karim, but will follow up and call when we receive it. All the best."

That is March 2022. The message further up is a year later, March 2023. Mr Wilkinson writes to Steve:

B "My client has asked me not to communicate with anyone on her matters. She is suggesting that you contact her attorney."

C So you instructed your adviser not to talk to Mr Zahmoul's adviser about all of these tax issues that you were so concerned about?

A. That is -- that is incorrect. That is not -- that is not actually true. Is the -- is the March 30th response to March 29th of a year earlier? Is that what you are saying?

Q. No, I am saying that by March 2023 ----

D A. Yes.

Q. -- you instructed your adviser not to communicate with Mr Zahmoul's adviser.

A. That is not correct. Your Lordship ----

Q. Well, explain those ----

E A. I am going to. Your Lordship, I have very limited funds and I have to pull the plug when I am wasting -- when I have no money. Jeff Wilkinson is my CPA and I cannot pay people when we are going around gaslighting. It is impossible. So my CPA asked many times for an email that is not here, on November 6, 2021, the first time the
F respondent sent an email saying the mortgage is allocated two thirds one house and one third the other. I said no. They did it nonetheless even though I said no. They override my CPA ----

MR JUSTICE MACDONALD: So just ----

G A. Yes.

Q. Just come to the back to ----

A. It is ----

Q. Just come back to the document.

H A. The ----

Q. Is your answer that you sent that document because you did not have the money to pay your CPA?

A. No. No, your Lordship. My answer is ----

Q. Then just listen to the question.

A. Yes.

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- A** Q. Do you agree that on 30 March, 2023, or just before, you had instructed Jeff not to communicate with Steve?
- A. Well, the -- but not in response to that email. In response to -- I instructed Jeff not to speak on -- but not to that email.
- B** Q. Why did you instruct him ----
- A. Because -- because they were -- when someone pretends they don't understand you and they do, then at the end, you -- what is the point of carrying on? Because we -- because Jeff said for three years: "We would like to -- we would like the -- we would like the mortgage 50/50 and we would like the mortgage application and we also don't want you to take 4 million on one side, we need 2 and 2". And they were ignoring him for three years. So I cannot keep answering when the answer ignores your request.
- C** Q. Thank you.
- A. That is the point.
- D** Q. Right. Listen to the next question.
- MISS CAMPBELL: Do you accept that the US pensions can be shared between you and Mr Zahmoul easily?
- E** A. Which one and how much?
- Q. The two US pensions ----
- A. Goldman Sachs and Deutsche Bank. Okay.
- Q. If you have a look at that, please ----
- F** A. Yes -- yes and no. I do not know, we did not -- that is -- you should get the memo of August 10, 2021, please.
- Q. No. Mrs Zahmoul, if you look at the ES2 which I gave to you from your counsel -- Mr Molyneux handed that document up for me. If you look at the bottom ----
- G** A. Yes.
- Q. -- on the front page you can see it lists some pensions. It is down near the bottom of the schedule.
- A. Yes, yes.
- H** Q. And there are pensions owned by -- it says "husband", and we can see Fidelity, Goldman, Trirene(?) ----
- A. Okay.
- Q. -- RBC -- RBCC. Now, the US pension, the Goldman Sachs 401 fund, that can be shared and a transfer can be made to you so that you get half of all the US pensions. Do you accept that?

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- A** A. The memo is -- we -- okay. The memo of my CPA answering the question about what is the impact on tax -- on the tax position if the -- if the US pensions of the respondent are shared ----
- MR JUSTICE MACDONALD: Let us just start at the beginning ----
- B** A. I do not remember ----
- Q. Let us start at the beginning. All right? The question is ----
- A. Yes, do I accept that ----
- Q. The big overarching question is: do you accept they can be shared?
- C** A. The answer is on August 10 2021 -- it is com -- there is a cross -- there is a -- there is -- there is a liability, and I forgot the name of it ----
- Q. All right. Well, just come back to the overarching question ----
- A. Overarching ----
- D** Q. -- as a matter of principle ----
- A. -- they are sharable with a tax -- with a tax -- with a tax consequence.
- MISS CAMPBELL: Thank you.
- A. And I forgot the name of that tax.
- E** MR JUSTICE MACDONALD: All right. Okay. Well, let us just get to the next question Miss Campbell has. All right?
- MISS CAMPBELL: Now, do you -- or did you agree that the Barclays pensions, as they were formulated before, the RBCCs, could not be shared because of the type of
- F** pensions they were? As they stood, it was not possible ----
- A. No.
- Q. -- to share those?
- A. I am sorry, I did not agree.
- G** Q. Okay. Well, Withers wrote on 17 September 2021, and they said that the Barclays pensions could not be shared. That is what your solicitor said.
- A. Okay.
- Q. There was a problem with that.
- H** A. Okay. For what reason? It is very technical so if they could not be shared there is -- he has two, IPP1 and IPP2, so which one and for what reason? That is why they were ----
- Q. Do you think they could be shared or not?
- A. I don't know. That is a very specialised area. I would never there have an opinion.
- Q. So Mr Zahmoul got quite a lot of tax advice and pensions advice to explain that his advisers told him the Barclays pension was not capable of being shared. That is what he was told.

- A** A. Your Lordship, the pension is just as convoluted as the taxes, so I am going -- I have a timeline of he said/she said and the correspondence, so for the benefit of the court I will explain. The advice that the respondent shared with me and my solicitors was deficient all throughout the four years. The advice that he sent on was sent to me on April 20 --
- B** on April -- April 18 or 17 2022, when I did not have any legal representation, to my address, and the link on April 17 was below. I only pressed the link in September. But so in April he had already executed 100 pages of contract to transfer the pensions to Malta. The discussions with Nick Warr when I still had funding with Taylor Wessing
- C** and with Withers was -- were a dead end. I think in August they were dead. So when the -- at the LSPO review, your Lordship, the respondent knew that he had already executed the shares transfer to Malta. He knew it but did not say it. Then when you issued an order asking us to discuss the pensions and he replied to that order on 26 July
- D** 2023, he knew the pensions were already executed to go to Malta but did not say it. In September at a hearing we had, he knew but did not say it. It is later at the September 7th that he said he executed in July. Not true, he executed, only 100 pages, April 17th. It takes a long time and legal hurdles to go. So in April everything was done unilaterally.
- E** At that stage in April, I had not agreed. I still don't. I had never received the documentation that Withers and Taylor asked for, and the negotiations with Taylor Wessing went dead because he takes the conversation without the -- without asking for approval that he -- the discussions. So ----
- F** Q. Mrs Zahmoul ----
- A. -- at the process I have never had -- or my team had never had advice that they asked for or that was sufficient to approve the transfer to Malta, which Taylor Wessing called a mind cheat(?).
- G** Q. Could you have a look in the bundle at p.4241, please? This is the initial advice that Mr Zahmoul presented to you and your lawyers back in 2021 explaining about the Portuguese position, the tax position. Can you see that?
- A. Yes.
- H** MR JUSTICE MACDONALD: Just let us ----
- MISS CAMPBELL: Oh, sorry.
- MR JUSTICE MACDONALD: Just have a look at the document.
- A. About keeping the taxes in Portugal?
- MISS CAMPBELL: Let us have a look at the document.
- A. Thank you. Oh.
- MR JUSTICE MACDONALD: Can you see that?

- A** A. Yes, absolutely, yes.
Q. All right. Just have a look at it.
A. Yes.
- B** MISS CAMPBELL: You will see that your lawyers were asking these three questions, and effectively Mr Zahmoul asked the Portuguese advisers to answer your lawyers' questions. Can you see that at 4241?
A. Yes.
Q.
- C** "Your wife's lawyers have raised the following questions regarding the Portuguese tax regime. The first question is the tax position from a Portuguese perspective if H were to transfer any assets outside Portugal to you as a consequence of the divorce."
- D** And that is about capital gains.
A. Yes.
Q. The next question:
- E** "Can he confirm whether there is a time limit in which the Portuguese tax authorities can investigate the position, and (3) whether a lump sum distribution from your IPP2 is tax-free or whether subject to tax."
- F** Those were the questions your lawyers were asking - yes?
A. Yes.
Q. And then they say: "Here is our analysis", and what follows - I am going to take you through it - is a detailed analysis of those three questions. Do you agree that is what it is? You might not accept what they say, but they have tried to answer the questions.
- G** Can you agree with me that that is what they have done?
A. I accept this is a memo from ILYA.
Q. Yes. And if you have a look at 4028, please.
- H** A. Are we done with the ----
Q. Yes.
A. Okay.
Q. I am trying to show you the information that has been provided.
A. I am sorry. You agree there are a lot of computations, right, and I think we should keep it because ----
Q. Mrs Zahmoul, I am sorry ----
A. Okay.

- A Q. -- the question I asked you was they were attempting to answer the questions that your lawyers had asked. Do you agree?
- A. I am sorry, one second. So let me just -- let me just see that, okay? Okay. So, your Lordship, the memo is giving an overarching theoretical but not computational answer, and it is also extremely deficient that we can only see this later. So I bring your -- for the purpose of the court, I bring your attention to where the deficiency is. It is saying basically -- I know this. It is saying basically if you are -- if this is a division of assets as part of the divorce and you share ----
- B
- C MR JUSTICE MACDONALD: Well, where do you say the deficiency is? Help me with where it is.
- A. Yes, I will. So, number one, if you were to transfer assets outside of Portugal and pursue it to the divorce, in p.4242, does this create any taxes? And you see a mere transfer of foreign assets from one spouse to the other is not taxable in Portugal. So now if you go to the assets schedule of respondent, you can see that he has put taxes everywhere, and you ask yourself: why? Why?
- D
- Q. No, sorry, I am concentrating on why you say this document ----
- E
- A. Yes, it is ----
- Q. -- which Ms Campbell has taken you to, is deficient. What do you say is deficient about it?
- A. So the document, I -- okay, so it says if you transfer overseas it is not taxable in Portugal.
- F
- Q. Yes.
- A. So then why -- it is not -- it is inconsistent with how it has been applied to the assets schedule ----
- G
- Q. That is different.
- A. There is a deficiency, and I am getting there. And then it goes if the spouse agrees to give the other spouse more assets, if one gets more than the other, and there is a sale, so in case of divestiture of the assets, then this becomes a taxable event in Portugal. So if he did have more, then what he had, there is a stay, that I did not -- I am not sure what that means. I am really not sure. Maybe Miss Campbell does. In this scenario if the husband says the assets to the wife as part of the agreement, this will give rise to a taxable event. I do not think we are doing that. And then in his regime, it is called NHR, non-habitual resident, capital gains on any assets that are taxable under a relevant tax treaty. This is very relevant because he has a US/Portuguese tax treaty. I am not an expert, but that is also a source of problems because he did not disclose to the US what
- H

- A** he did -- what he did on the tax return of Portugal, and I hope we will get there. And so he has done -- the memo talks about the real estate and there will be no conseq -- or there will be if -- okay. He talks about real estate not consequence, but if he -- if there is a sale of US -- the sale of US stocks is taxed in Portugal at 28%. So instead of saying
- B** deficient, I would probably say ----
- Q. Well, so ----
- A. I would say it is very helpful ----
- Q. Can I -- sorry, instead of saying deficient, you would say?
- C** A. It is very helpful because this is the opposite of what has been done on the asset schedule and ----
- MISS CAMPBELL: Are you saying that you did not agree with the content of the ----
- A. Miss Campbell, I cannot pretend -- no, that is not what I am saying. I am saying I am
- D** not a tax expert and I am not a tax expert on Portugal. I am trying my best.
- Q. Yes.
- A. So I can go point by point, you know, just scan through ----
- Q. But I am not going to be asking you that question, Mrs Zahmoul. I am trying to
- E** understand, and the question I am asking you to address is this. Your lawyers asked specific questions, and Mr Zahmoul paid advisers to answer those specific questions. Do we agree on that?
- A. And I told -- your Lordship ----
- F** Q. Is that a yes or a no?
- A. Your Lordship, this is -- these questions are theoretical and they are over -- they are ----
- Q. They are questions your lawyers asked ----
- A. -- overarching ----
- G** MR JUSTICE MACDONALD: Miss Campbell, I think ----
- THE WITNESS: They are overarching and theoretical.
- MR JUSTICE MACDONALD: Just pause and sit down. I think I can take notice, Miss
- H** Campbell, of that fact, unless Mr Molyneux seeks to persuade me otherwise. Mrs Zahmoul has been in the witness box now for some time. It is clear, it seems to me, that there will be some time to go, and I think in those circumstances, I am now going to rise for the lunchtime adjournment. Just before I do, I should say that I have been notified that there is a protest under way in the main hall, and we have all been advised to stay away from that area and I would advise you all to follow that advice. Yes. Thank you all very much.
- MISS CAMPBELL: Thank you.

A

(Adjourned for a short time)

B

MR JUSTICE MACDONALD: Mrs Zahmoul, you remain under oath. All right?

A. Yes.

Q. Okay. If you want a break at any point during the afternoon, let me know.

A. Yes.

Q. Okay?

C

A. Yes.

MR JUSTICE MACDONALD: Yes, Miss Campbell.

MISS CAMPBELL: Thank you very much, my Lord. (To the witness): Mrs Zahmoul, will you turn in the bundle, please, to 4028? I am still asking you questions about pensions, but just so you can place this, it is only fair to show you at 4026 you can see the beginning of the document, so you can place it. And at 4026 it is a letter from Mr Zahmoul's lawyers to yours, dated 3 February, 2022. Do you have that?

D

A. (No audible response)

E

Q. Just so you know where in time we are. And Mr Zahmoul's solicitors are making an open proposal on how they want to deal with the case, and effectively they are saying split everything, and you can see, if you look at 4027, they are talking about how to share the investment properties. Over at 4028 talking about sharing out the crypto assets, Coinbase, the private equity. Then do you see para.18, it talks about pensions, and it talks about equalisation of the US pension, which is what we talked about previously. Then over on to p.4029, at the bottom of that little section above "education fund", it says -- it is talking about how you can share the Jersey pensions, but it says this:

G

"Alternatively, my client is considering transferring the pensions to trustees in Malta as he is not content with the service provided by the current trustees. He has been informed that the Barclays pension would be able to be divided in specie following this. This would be preferable so that the funds are in your client's hands rather than seeing ongoing payments."

H

So in February 2022, Mr Zahmoul was suggesting to you that he moves the pension, the Barclays pension over to Malta ----

A. Yes.

Q. -- where it could be divided?

IN PRIVATE

- A** A. Absolutely.
- Q. And he has been told that that could be divided without any difficulty in Malta, and the subject of a UK pensions sharing order.
- A. Sorry, "to a share in specie following" -- yes, okay. I do not see it is subject to a UK
- B** sharing order but I see ----
- Q. All right.
- A. -- in specie.
- Q. Have a look at 4295.
- C** A. 4295?
- Q. 4295.
- A. Okay. It should be here.
- Q. He was told that he could share the pension, and this is the advice he was given that was
- D** sent to your lawyers on 1 April. It is not dated but, trust me, it was 1 April.
- A. Which year?
- Q. '22, so ----
- A. No, no, it is 26 July 2022, so when was it sent to us?
- E** Q. Sorry. This was sent to your solicitors, and it actually went to them on 7 July '22 ----
- A. No, no ----
- Q. -- dated April '22 ----
- A. No, this is dated 26 July 2022. When was it sent to me?
- F** Q. I am sorry, maybe we are at cross-purposes. What document are you talking about?
- A. Okay. You are talking about Adsen?
- Q. Yes.
- A. Okay. So one second, please. Pension transfer -- there is no date on the first page.
- G** Q. That is right.
- A. And none on the bottom. So, I am sorry, please guide me to the document you are talking about.
- MR JUSTICE MACDONALD: That is the document you have got there.
- H** A. Yes, yes.
- Q. All right? That is the one we are looking at.
- A. Which date is -- okay.
- MISS CAMPBELL: I am told ----
- A. This is part of the package, the 100 parts of it.
- Q. I am told this date is 1 April '22, but you are right, there is no date on it. It does not really matter except that what does matter is that your solicitors were sent it, as I

IN PRIVATE

- A** understand it, on the -- well, certainly they responded -- let me just see if I can find the exact reference to it. (After a pause) Let me see if I can find the document. (After a pause) What I can show is where it is referred to by the court, because I have struggled to find the date on it ----
- B** A. I am sorry, this package was sent three times.
Q. Yes.
A. The first time on 7 -- 20 -- 17 or 18 -- 24 April, exhibit 17 of April 2022. The second time ----
- C** Q. Sorry, which year? I cannot hear which year. '22? If we are agreed about '22, that is fine.
A. No, no. This is a package of 100 pages. It was sent three times - April '23, June '23 and again September '23.
- D** Q. Okay. So we are -- we do have a dispute then. I understand that it was sent to you in 2022.
A. Maybe. Which one? Because the 100 pages ----
Q. The one you are looking at.
- E** A. One of them was, and it was -- we responded "not enough information because we would like" ----
Q. We have just looked at the document, so we can agree the date, and I am just trying to narrow it down because ----
- F** A. Maybe -- I would -- I know which one ----
Q. -- it is unhelpful to you, I recognise ----
A. One was sent on April 2 2022 to HFC, and I know it.
Q. Okay.
- G** A. The answer, your Lordship, taxes -- his pension is 2.8 million sterling. It is complex. One is IPP1, the other is IPP2, of which he has withdrawn 215 ----
Q. I am sorry, Mrs Zahmoul, but I am going to interrupt you because all I am trying to understand ----
- H** A. Okay.
Q. -- is the date that this document was sent to you.
A. 2 April 2022.
Q. Okay. There we are ----
A. And ----
MR JUSTICE MACDONALD: Just wait for the next question.
A. I am not sure it is this one, but whatever was sent in April 2022 ----

IN PRIVATE

- A** MISS CAMPBELL: I am told ----
- A. -- was not enough. Why? Because it did not say it was not ----
- Q. Mrs Zahmoul, again, I am really sorry to interrupt you.
- A. Of course.
- B** Q. What I am trying to do is identify a timeline ----
- A. Me too. I have done it.
- Q. -- so that we can see ----
- A. I did ----
- C** Q. -- because you may know -- because I do not know and the judge does not know. So I have ----
- A. (Inaudible) ----
- Q. -- to go through the documents so the judge can consider ----
- D** A. But I know it by rote. I know all of it.
- Q. As I have said, unfortunately, the important person who he needs to understand the documents is the judge ----
- A. Sure, sure.
- E** Q. -- and so I need to take you and him to the ----
- A. It took me 16 hours to do ----
- MR JUSTICE MACDONALD: Mr Zahmoul ----
- A. Yes.
- F** Q. -- I need to come to a considered decision at the end of this trial ----
- A. Yes, and ----
- Q. -- about what should happen. All right?
- A. And ----
- G** Q. And I therefore need to understand ----
- A. Okay.
- Q. -- for myself ----
- A. Yes.
- H** Q. -- what I know you live and breathe ----
- A. I have the timeline. It is really ----
- Q. Okay. But what I need to you to do ----
- A. Yes.
- Q. -- is listen to the question you are being asked ----
- A. Yes.
- Q. -- and then answer that question. All right?

IN PRIVATE

- A** A. I -- I ----
Q. Okay, so ----
A. I am trying to help the court ----
Q. I know you are and you are doing a great job at it, but I do need you to listen carefully to
- B** the question and answer it. All right?
MISS CAMPBELL: My instructions are Mr Zahmoul has got a document which shows this document being sent to him on 26 March. I understood from the chronology that it went to your solicitors on 1 April 2022, but you have corrected me it was 2 April.
- C** A. I know that that time ----
Q. That is fine, and we can move on from there. You can see that this is a transfer recommendation. It talks about splitting a pension between spouses, and this is from advisers that Mr Zahmoul paid for, called Adsen Moore.
- D** A. I (inaudible).
Q. And we can just flick through the documents. It is a couple of pages long. Do you see that?
A. (No audible response)
- E** Q. And then have a look at 4293. This is a document sent to my client. Again, we can see the timeline, February '22. This is talking about the pension sharing in Malta ----
A. I am really sorry. This is when your client received it. Do you know when I received it?
- F** Q. No, I cannot answer that.
A. Okay.
Q. But I just want to have a look at this so that you can see ----
A. I can tell you when I did, April 20 -- April 24 2022. That is when ----
- G** Q. You saw this document, okay.
A. It -- the -- yes.
Q. It is not ----
A. If it was part of the 100-page page package, which I only saw the link four months later
- H** in September when ----
Q. We know you saw the pension advice in April 2022, because we have just looked at it, and you agreed with me that it came -- I thought 1 April but you said 2 April?
A. It was 2nd, yes, and you ----
Q. And I am showing you this document because this was explaining to my client -- it is not addressed to you. You may not have ever seen this, as far as ----
A. Yes.

- A** Q. -- I understand. It explains to my client that pension sharing in Malta can be executed, and that means that the pensions can be split, and it explains that for a US resident the matter -- the double treaty alliance between Malta and the US is very favourable and would allow for a number of tax-free withdrawals. Now, that was going to my client,
- B** not you.
- A. Exactly.
- Q. I am just showing you the documents in 2022. Then have a look at 4294, so over the page. This is later. This is in July 2022. Information about the effect of these transfers
- C** and what happens on the tax. Do you ----
- A. Do you know when I get this?
- Q. When did you get this?
- A. September 9 2022.
- D** Q. Okay.
- A. And do you know what happened after that?
- Q. No, I just want to know the date you got it. That is ----
- A. September 15, your client liquidated \$4 million, sent them to pay the mortgage ----
- E** Q. I am sorry ----
- A. -- September 26 ----
- MR JUSTICE MACDONALD: Mr Zahmoul, please to the question ----
- A. Yes. Yes, your Lordship. I am really sorry. I am sorry.
- F** Q. -- and answer the question.
- A. And then we replied ----
- MISS CAMPBELL: You saw this document, Mrs Zahmoul ----
- A. We replied ----
- G** Q. -- and I think you answered -- you offered the date in September 2022 - is that right?
- A. And the -- there was a reclaim.
- Q. Okay.
- A. But we skipped the reply.
- H** Q. So we have here the tax advice. Now, I ----
- A. No, I am really sorry. Can I -- can you ask me the question, if we have here the tax advice?
- Q. Well, we have some details that Mr Zahmoul is putting forward about the incidence of ----
- A. It was not accepted as tax advice.
- Q. You did not accept it?

IN PRIVATE

- A** A. No, absolutely not.
Q. Okay.
A. And I ----
Q. I understand your position, Mrs Zahmoul, and please ----
- B** A. I am not an expert on pensions ----
Q. I know.
A. -- they are very complex. It was -- unless you agree this is tax -- or the court thinks this
- C** as tax advice on pension sharing, Nick Warr and Taylor Wessing, your Lordship,
having insisted all the way to the end, even after the respondent taped the conversation
of August 2 2023 and consider the transcript of the one-hour conversation, and Taylor
Wessing wrote a memo, sent the transcript and terminated everything because it was
going circular and there were even exchanges between Taylor Wessing and the
- D** respondent all the way until the November hearing. And none of the advice on the
pensions was sufficient nor accurate ----
Q. All right. So there we are. You ----
A. But the problem is that the advice was available, but it was not shared.
- E** MR JUSTICE MACDONALD: Listen to the question.
MISS CAMPBELL: You were not at all impressed with this advice, you did not think it was
good and you were not happy with it?
A. This is outside my area.
- F** Q. All right, but your advisers were not happy on your behalf?
A. Yes.
Q. Okay. I understand that.
A. Yes.
- G** Q. And so if you look at the first bundle, 341, with the court orders in it, you will see where
we were by November '22.
A. Yes.
Q. And this is the order that was made ----
- H** A. 25 ----
Q. -- by his Lordship ----
A. Okay.
Q. -- and he was aware that the pension issue was still at large. And if you have a look at
para.8.
A. I will.

- A** Q. You had complained that the pension evidence was not good enough, you were not happy with it, and it was not complete, or that you were not content. So what his Lordship ordered was for my client, by 8 December, to state -- sorry, for you to state by 8 December whether you agreed with the pension advice of Adsen Moore, dated April
- B** 2022, that his Jersey pension arrangements could be shared in Malta. Then it says, in para.9, if there is a dispute about shareability of the respondent's Jersey pension arrangements in Malta, and either party seeks to rely on expert evidence, you shall apply effectively under Part 18 and Part 25. And also, at para.10, if there is a dispute
- C** about the tax consequences of sharing, then an expert shall be appointed. So what the judge was saying to you, if you do not agree with what the husband had said, what Mr Zahmoul had said, you can get an expert who can inform the court of the correct answers. Do you agree that that is what the judge was asking to be done?
- D** A. I completely understand the point.
Q. Thank you. And he wanted that done timely so that we would have dates ----
A. Absolutely.
Q. -- to understand -- and you were asked to do this by 8 December. Okay?
- E** A. Absolutely.
Q. We have agreed that in the order?
A. Yes.
Q. And you did not, did you?
- F** A. So is this a question?
Q. Yes.
A. Okay, the ----
Q. You did not respond to the advice of Adsen Moore on 8 December as directed?
- G** A. Your Lordship, this is Family Court, it is not commercial. I am not an expert on pensions, so I need to give some context to the answer, otherwise it is crucification. I mean the context is we arrived to your court from Bristol court, and in September a sequence of events is such that the case was -- fell apart. So my -- the new team joined
- H** one day before. Rebecca Carew Pole KC was on top of the situation. By the time we saw you on November 17 2022, you issued a directions order, we got stalled on freezing orders and funding. I was with Burgess Mee. The entire conversation was about the restructuring and liquidation of \$4 million, about how I was going to pay and how I was going to get funded. Between your first -- the first hearing with you in November until, I recollect, September of the following year, my entire legal fee was spent on figuring out funding. That is all we did. Burgess Mee spent all that money figuring out funding.

A What they thought was an arrangement at the hearing for funding was not, and then -- that is the truth. My fees went to pay funding costs. Therefore I am incapable of giving -- shedding any light on whether I agreed or not. At that time, Withers, the whole correspondence was gone. Taylor Wessing were gone. And I am not -- it is too

B complex for me. It is not my area of expertise. I cannot -- I cannot -- I cannot even pick an expert. I would not know where to start. Burgess Mee told the respondent: "We are doing nothing except funding -- until funding is sorted", and you will see between November and September of the following year, that -- all that was done was

C kind of not very good quality because it was done -- which we did not know this is -- this is the consequences of having to go through three different lawyers and starting all over again and losing all the antecedent knowledge.

Q. All right. So you said, effectively, you did not have the funds to get the advice to deal with that ----

A. No. No. I said, effectively, I am not an expert in pensions. I was -- I am not even able to find an expert, and that everything stalled because of funding.

Q. All right. In March 2023 we came back to this court. Have a look in the bundle at 38 ----

A. Yes, I do not need to because I represented myself.

MR JUSTICE MACDONALD: Well, I am going to have the page turned up for you, so you have got it there.

A. Thank you. Thank you.

MISS CAMPBELL: This is now on 1 March 2023, and if you look there, para.5, which is on the previous page, talks about tax. Then para.7:

"You shall, by no later than 4.00 p.m. on 31 March, state whether you would agree with his advice."

Now, did you even send a letter to say you agreed or did not agree?

A. This is the court order pursuant to the March 1, 2023?

Q. That is right.

A. That his Lordship published on March 6 2023. And you are asking me if I complied with this order?

Q. All right, did you ----

A. No, I ----

Q. -- comply with this a little bit later?

IN PRIVATE

- A** A. I am sorry, the court knows this already. No, the only thing I was able to do on my own with one girl in GCSEs and another in A-level with special needs, was actually to just write the LSPO application by myself, and deal with the April -- the April events. There were many events in April but, I mean, I did -- did ----
- B** Q. Okay. Well, we know ----
- A. And I managed to do the LSPO application and the D11 by April 20. That was three weeks late. And then after that I wrote to his Lordship to say I got a unilateral email from the respondent saying he is moving the pensions without asking any permission. I forwarded it to his Lordship and attached the email, and then after that I filed a D11 by myself on 27 April 2023, to say there is -- the Wyoming situation needs to be looked at and -- and ----
- C** Q. Mrs Zahmoul, we know ----
- D** A. -- that (inaudible) to do for myself.
- Q. So on 30 June 2023, a LSPO order was made ----
- A. Yes.
- Q. -- which provided you with significant funds to pay your lawyers, to get advice and to carry out the orders, because his Lordship was worried ----
- E** A. Yes.
- Q. -- that these orders were not being dealt with.
- A. I agree.
- F** Q. You agree?
- A. Agree.
- Q. But after 30 June, 2023, when you had funding and you had a legal team on board, did you respond to the letter or to the advice from Adsen Moore and say whether you agreed or not?
- G** A. You realise that at that date he had -- your client had already executed in April, right ----
- Q. I am ----
- A. -- and did not tell the court ----
- H** MR JUSTICE MACDONALD: Mrs Zahmoul ----
- A. Okay.
- Q. -- listen to the question ----
- A. I am sorry.
- Q. All right.
- A. Yes. Did I, upon receiving the LSPO -- so first I moved from one lawyer to another and then I think the court closed -- did I respond?

- A** MISS CAMPBELL: It might help if you look at p.560.
- A.** What I do remember, your Lordship, is that we were trying to re-timetable the orders which the lawyers and the respondent who was representing himself (inaudible) each page.
- B** **Q.** On 7 September his Lordship gave orders to try and sort out of difficulties about the pension ----
- MR JUSTICE MACDONALD: Just look at what you have got there.
- MISS CAMPBELL: Page 560 ----
- C** **A.** On which page?
- Q.** The date is 7 September '23.
- A.** Yes, so there was a hearing then - yes?
- Q.** That is right, and this is his Lordship's order. You can see it at p.560, para.12 deals with pensions. Again, Mr Zahmoul was ordered by 6 October to provide disclosure in relation to the pension scheme, including the steps he has taken to transfer his pensions and the advice he relied upon. Then at 12.2:
- D**
- E** "In the event there is a dispute as to the shareability of the pension, either party may seek to apply for an expert."
- It then says, at 12.3, that you shall, by no later than 4.00 p.m. on 13 October, 2023, state whether you agree with the advice given. Did you send a letter confirming whether you agreed or saying that you did not agree, in accordance with that order?
- F** **A.** No, because on that day of the hearing, the respondent announced, either at the hearing or immediately after or before, that he had already moved it. He presented that he had executed the transfer around that time, and then by the bundle which is -- it says void, void, void, 100 pages. One of the pages is sent 24 July 2023, but the bottom line, it is a void bundle. The real bundle is the one he executed and sent to me with a very small link. We are still going back to the same thing, the original bundle is 20 -- 17th ----
- G** **Q.** Mrs Zahmoul, you had lawyers acting for you.
- H** **A.** I am really sorry, I ----
- Q.** There was a court order. I am trying to understand a simple question. Did you provide a response to the advice of Adsen Moore, which you had had since April 2022, in accordance with his Lordship's order?
- A.** I am really sorry this is very dissonant to you, because on that date he said he had -- he said he had already moved them, and you are asking me if I approved -- if I had -- this is -- it is not coherent ----

IN PRIVATE

- A** Q. I am asking if you obeyed his Lordship's order.
A. Your Lordship, I don't know what to say. He had already moved them since April ----
MR JUSTICE MACDONALD: Just focus ----
A. -- and I don't ----
- B** Q. Just focus on the question.
A. Did -- did ----
Q. Did you obey the order or not?
A. The order to ----
- C** Q. At 12.3 ----
A. By -- by 30?
Q. Yes.
A. So he can represent that -- please could you find out when the -- when the respondent
- D** told you that he had ----
Q. Mrs Zahmoul, just pause a moment.
A. He did ----
Q. Can you just pause a moment? I understand this is really difficult. Okay? And I
- E** understand there is a huge amount of information in your head - all right? -----
A. Yes.
Q. -- about the case, and it all -- and you want it all to come out. All right? Okay. So let
us just pause. Okay?
- F** A. What -- what ----
Q. Let us just concentrate on the question.
A. I understand the question.
Q. I know you understand the question. So what is your answer to the question?
- G** A. Did I obey?
Q. Yes.
A. Did I obey the court order?
Q. Yes.
- H** A. To respond to an advice which I have never -- not read by October 30, and to which the
respondent himself had already unilaterally executed the move for which the advice was
needed, seven months prior, I think, and so -- and to which he formerly told the court
and you that in September 17 when he finally said it, the answer is no, for obvious
reasons.
Q. Okay ----
A. And this is a very disturbing question. So the answer is no.

IN PRIVATE

- A** Q. Okay. Thank you very much. Are you all right? Or would you like a break?
A. No, I don't want a break. I am fine. The questions are (inaudible).
Q. Thank you.
A. I can -- I can do this. I am doing my best.
- B** Q. Okay.
A. I really want to help the court because I really want to -- I really ----
Q. All right. Just pause then.
A. Yes.
- C** Q. And I am going to get Miss Campbell to ask her next question.
A. No problem.
Q. All right?
A. Yes.
- D** Q. Okay.
MISS CAMPBELL: Mr Molyneux -- I am going to bring this to a swifter conclusion ----
A. No, no, no, no, I ----
Q. On 21 ----
- E** A. -- really want to help the court get -- to get this case ----
Q. On 21 November ----
A. Which year?
Q. -- solicitors on your behalf ----
- F** A. Which year? Which year?
Q. Last year. 21 November, 2023 -- did respond. They said -- your lawyers wrote on 21 November and said they did not accept the advice. So not by 13 October, not by 8 November, which was the next order.
- G** A. Yes.
Q. If we look at 593, you were again ordered to do it because you still had not responded ----
A. So your point is it is cumulatively late in responding with -- okay.
- H** Q. My point, Mrs Zahmoul, so I can make it, is that you ignore the court orders ----
A. Absolutely not.
Q. -- and you do what you want ----
A. That is not true.
Q. -- when you want to.
A. No. Your Lordship, I am not a barrister, I am not a lawyer, so the only thing I can do is use my head and tell the truth. I do not -- I am extremely sorry if it ever appeared that I

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- A lacked respect, but I am allocating the resources that I have, which are scarce, to what I can do that helps the court, and what I can do by myself without help. And in priority of emergency and sometimes -- or money which ----
- Q. You had £2.7 million worth of help, Mrs Zahmoul.
- B A. I wish to dissect them because that ----
- Q. So let us get to the point Mr Molyneux helpfully brought to my attention. On 21 November your lawyers said on your behalf you do not accept the advice about ----
- A. That is obvious because we did not (inaudible).
- C Q. So are you now saying to his Lordship that it is your case that the pension cannot be shared in Malta?
- A. No.
- Q. Is that what you are saying?
- D A. No. No, I am really sorry. No, that is not what I said, Miss Campbell. What I am saying, your Lordship, is that the pensions were transferred before I had -- before the information requested was provided and before anyone on my side was able to ponder on it and discuss it. We never received satisfactory information. As you can see, 100
- E pages were filed three times -- in 100 pages, and never what was asked in order to assess the tax consequences of the pensions moving to Malta or being shared in any other jurisdiction was received and analysed properly. That is what I am saying.
- Q. Do you now accept that the pension can be shared ----
- F A. No, I still have not analysed them. I have not had ----
- Q. You still do not accept ----
- A. No, no. I am sorry, no. I still -- what I do not -- I still have not had an ex -- well, number one, it is *post facto* so I do not -- I do not allocate resources to an event that is
- G *post facto* ----
- Q. You just touched on the answer when you said: "I have not had an expert", but you had been given three opportunities in the orders we have just looked at to get an expert, and you never elected to do so.
- H A. That is not correct. I am really sorry. This is factually incorrect. Your Lordship, it is worth noting one more time that the execution order was April 24, 2023. The signature to move to 2.8 million was on April 24 2023. If I am wrong, please prove me wrong. Everything else is a show ----
- Q. Can I ask you a new topic ----
- A. Every -- so everything else is a show. And your client announced verbally, orally, I don't remember, September 7 - right? And you are asking me if I complied with an

- A order *post facto*. Now, I do not have resources to allocate to *post facto* movement of assets.
- Q. Mr Zahmoul told you that he was planning on moving the pension ----
- A. That is correct. I know, April ----
- B Q. You will see the letter from his solicitors ----
- A. April ---
- Q. -- in February 2022. We looked at the document.
- A. Yes.
- C Q. 4295.
- A. Yes, I saw.
- Q. So you knew from February 2022 that was his plan. He wrote to you again in October 2022 to tell you this, and he wrote to you on 8 December, 2022 to tell you this.
- D A. And on 18 April, right, because he executed on the 17th, he wrote to me on the 18th, and then I forwarded to the court. So that on every instance that he said he was planning, the feedback from my solicitors were: "Yes, can we please have a detailed tax analysis?", and the last time this was discussed was August 8 with Taylor Wessing, or
- E August 2nd, yes, the one with the transcript where he taped the conversation, and you can read the transcript. Nothing was agreed because he did not provide any tax documentation -- tax documentation, tax analysis of the consequences of moving the pensions to Malta. So you can say more dates if you wish, the result is the same. If we
- F are waiting for tax analysis and it is not provided, we can go on until 20 more years forward. The result was he did ----
- Q. But it would not have been that much easier, Mrs Zahmoul, if Mr Zahmoul put his position in writing, which we have seen him do several times in relation to tax and in
- G relation to pension -- would it not be so much easier if you just put your views in writing?
- A. I know, this is a (inaudible). Okay. So you are asking me to -- this is like a -- me giving you colour on the taxes when I do not own the asset. So, your Lordship, Miss Campbell
- H is asking me to put my views ----
- MR JUSTICE MACDONALD: No, no. Let us just be sure ----
- A. I can -- I can ----
- Q. Let us just be sure what Miss Campbell's question is. It is a very simple question.
- A. Yes.
- Q. And the question is, would it not have been simpler if Karim had put his position on tax -- on pensions ----

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- A** A. Yes, yes.
Q. -- and indeed on taxes ----
A. Yes.
Q. -- and you had put your position on pensions and taxes, and then the court could decide?
- B** A. Well, that is a duplication of costs, number one. It would have been put: "You are duplicating costs to analyse the same thing". You are analysing once what are tax consequences of moving 2.8 million of IPPs to Malta. Number one. And, number two, do we know -- even know if Karim -- if the respondent has a detailed tax position? I
- C** have 100 pages but I still do not have -- well, I am not a tax expert. So, yes, it would have been probably solution, but I have to be very careful how I -- how I allocate. That would not guarantee a resolution.
Q. I see.
- D** A. That is ----
MISS CAMPBELL: Can we look at something that is a little more straightforward? Because I understand pensions and tax is complicated. If you borrow money from your family, that is quite straightforward, is it not? If your father lends you money, you do not need an adviser to talk to you about that. He either lends you money or he does not. Or he gives you money. That is true, is it not?
- E** A. That is correct, yes.
Q. Yes. So let us have a look. On the liabilities that you claim, dated 8 November '23, you say that you owe your father £202,882. That is the up-to-date figure I have seen.
- F** A. That is correct, yes.
Q. Okay. And you can understand that, just as you want proof of debts, Mr Zahmoul is entitled to see proof of debts. Do you think that is fair?
- G** A. I am sorry, your preamble was just to ask me if I have a contract with my father?
Q. No. Mrs Zahmoul, do you think it is fair that Mr Zahmoul is entitled to see documents relating to debts you say you have? Is that fair?
A. Absolutely, just like I am not (inaudible).
- H** Q. And so ----
A. While he, Miss Campbell ----
Q. I am sorry?
A. The respondent informed he had a loan outstanding to Mr Kobiesh(?) of \$60,000 with no contract for in -- he had a debt outstanding to Ms Molina, with no contract ----
Q. All right. I am sure he will be asked about that ----
A. -- and on 9 January 2022 he wired 1.4 Bitcoin to ----

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- A** Q. Okay, you are ----
A. -- (inaudible). Right? He had a debt (inaudible) -- okay.
MR JUSTICE MACDONALD: Let us concentrate on the ----
A. I mean ----
- B** Q. Let us ----
A. I mean, my father (inaudible) survived thanks to my father. And you think I don't have a loan with him? I ----
MISS CAMPBELL: Mrs Zahmoul ----
- C** A. I (inaudible) ----
Q. -- will you look ----
A. Okay.
Q. -- in the bundle, please, at p.388?
- D** A. Yes.
MR JUSTICE MACDONALD: I am sorry, the page number again?
MISS CAMPBELL: 388.
MR JUSTICE MACDONALD: Thank you.
- E** MISS CAMPBELL: Sorry, I might have given the wrong page. (After a pause)
MR JUSTICE MACDONALD: Are you all right?
A. Thank you. Thank you. Thank you.
MISS CAMPBELL: Yes, do you see in para.10, this is an order that his Lordship made on 1
- F** March 2023?
A. Yes.
Q. And he ordered you by 31 March to provide the following disclosure, and at (d) it says evidence of any monies borrowed by you that have not so far been disclosed. So you
- G** were looking for evidence of your debts?
A. Okay.
Q. You have never provided any evidence, but you have said that your father has lent you money?
- H** A. So, Miss Campbell, your point is you want me to -- you want a contract? I have not ----
Q. No, I want to know why you did not obey this court order and provide evidence of a debt that you said you had to your father?
A. Your Lordship, the answer is the same as before, I simply have not had a chance to provide many documents. I apologise for the delay. I will have all the documents outstanding and due to -- for you to understand the case in due course -- in ----
Q. In due course?

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- A. No, I am really sorry, I did not finish. And so that -- and I am working as hard as I can.
- Q. Have a look, please, at p.561.
- A. My father had (inaudible) because on April 26 2021 the respondent cut me off by 75% unilaterally without -- and it ----
- B MR JUSTICE MACDONALD: I am going to take a short break. All right? Because that is what I am being invited, and I think it sensible. So I will rise for a few minutes, and the lawyers will tell me when we are ready. All right?
- C (Short break)
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Thank you, my Lord. (To the witness): Mrs Zahmoul, I wonder if you
- D would have a look at p.34(inaudible) of the bundle. Can you see at the bottom of that page at para.12, this is an order made on 7 November '22, and you were asked to provide evidence ----
- A. I am sorry, there was no -- there was no hearing 7 November '22.
- E Q. Sorry, '23.
- A. Okay
- Q. I will just check the date. Yes, 17 November, 2022. I am sorry.
- A. Okay. That is okay.
- F Q. And you see at para.12 you were ordered to file copies of your UK and US tax returns. Do you see that?
- A. Yes.
- Q. You were asked to do that by 8 December 2022.
- G A. That is correct.
- Q. Look, please, for me at p.388. This is the order of 1 March '23, and we can see at para.10 you are being ordered to do the same thing. You clearly had not done it by then, so you are being ordered again, for the second time, to produce your UK and US
- H tax returns, this time by 31 March ----
- A. I sent in September and then in November, so can -- shall I just ----
- Q. Let us have a look, shall we? Page 561. You see there you still had not done it by 29 September '23. Then, as you said, on 1 November -- have a look at 593. And you are ordered to do it again, this time by 8 November. That is at para.8(a). We still do not have copies of your UK and US tax returns. Why is that?

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- A** A. So the question is why -- okay. Your Lordship, I -- with my -- we sent -- I sent -- my solicitor sent correspondence saying that I do not pay taxes in the UK, which apparently is ignored, so this is really costing money for nothing. I don't pay taxes in the UK because I have no income in the UK because I only became deemed resident on April 6,
- B** 2021 and I left last summer. I am now living in the US. So therefore, as I have repeatedly said in correspondence, I do not pay taxes in the UK, my income is zero. The transfers from the respondent are not taxable when he did transfer because he is stopped on April 26 2021 and so no taxes ----
- C** Q. Okay. And what about the US form ----
- A. I don't understand why we are wasting the court's resources ten times repeating the same order. In the US, as you would have known if you had not delete -- removed it from my -- from my exhibit today, my CPA -- my accountant cannot file my taxes right now because -- for various reasons, and they are technical and long, and my barrister is going to me: "You are go off-piste". So if you would like me to say it, I will say them, your Lordship. I am not filing my taxes for again the -- my individual taxes, for obvious reasons. Two reasons: (a) not only I have no income but I am in debt. I have maxed out three credit cards for the children. I am zero. Also again with income. The second part, I need to wait for the K-1 coming from the LLC, and at this stage the LLC is -- I can explain this separately, otherwise it is another off-piste so -- and the third thing is we did not accept the K-1 for the LLC. The third thing is in 2021 I had -- I was due a refund of 60 to \$70,000 from the IRS that -- which fund has been withheld, and there is a memo from my CPA explaining it. It was withheld by the IRS because they had an inconsistency, a dissonance, between two pieces of information - one that told them I was American, the other one that told them I was not. That came from the K-1
- F** of the LLC. Because of this inconsistency, the IRS blocked my refund at 60 to 70. I used all of my 401(k) from Lehman Brothers, that was 300 and -- 250, I think, the 401(k), and whatever I had in equities. I sold everything to survive paying people. So that has got to be negative. I have not -- my -- Jeff Wilkinson, my CPA, said: "There is no downside for you to wait until this matter is over and then we can file". That is it.
- H** Q. And your CPA said there is no ----
- A. It is wasting resources to carry on ----
- Q. No problem for you to wait?
- A. I am sorry?
- Q. Just wait?
- A. Yes, there is no downside.

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- A** Q. No downside ----
- A. Because when you owe -- when you are owed money, there is no downside, and when you have no money, there is no downside.
- Q. Let us have a look in the bundle at 223, please.
- B** A. Which one?
- Q. 223. You will see at para.6 you were ordered to provide or request of your health insurance policy company, called Cigna, two matters. You were asked to ask them under which -- you were asked to ask Cigna to reinstate Mr Zahmoul as a parent with authority in respect of that policy, and at (b) you were asked to provide -- or ask Cigna to provide Mr Zahmoul with a breakdown of the claims and the costs under the policy. It is right to say that you have been asked to do that on four occasions and you have refused to comply with the court's orders. Do you agree?
- C**
- D** A. Yes, absolutely.
- Q. So do you consider that if the court makes an order for you do something, it is okay just to ignore it?
- A. Absolutely not.
- E** Q. So why have you ignored it?
- A. So obviously I do not think it is right and obviously I have not complied. So, your Lordship, this one is a big one so I am really sorry ----
- MR JUSTICE MACDONALD: Well, I understand this one is a big one and ----
- F** A. Yes, yes, so I -- yes.
- Q. -- I think we can leave it ----
- A. No, I can explain.
- Q. No, you do not need to explain. I understand entirely. And I am going to ask Miss
- G** Campbell to move past this. All right?
- A. Okay.
- Q. Thank you. Yes.
- MISS CAMPBELL: Can we have a look in the bundle, please, Mrs Zahmoul, at p.638?
- H** Paragraph 7. Can you see para.7, there?
- A. Yes.
- Q. You were asked to send to Mr Zahmoul's solicitors details of the whereabouts of those items listed at 1 to 11.
- A. Yes.
- Q. And to do that by 30 January. You have not done that, have you?

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- A** A. No, I have not. So, your Lordship, these watches, the first -- the first thing I would like to say is that they are absolutely not outside the pot on Form E. There is nothing that says those watches belong to the respondent, not to me. I have plenty of pictures of me wearing some of these. So the first point is that these are joint matrimonial assets. So I
- B** could say if the respondent liquidated \$4 million without asking anybody. Right? And the watches, why are we making a big fuss? But the point is I did not have really a choice, because if you look at the timing, I -- my -- I had applied for the LSPO. I had not -- the hearing had not been listed yet. On May 2, I received a unilateral email from
- C** the respondent that -- this is -- this is -- he is not allowed to email me, saying I have no money, so we are done, so I went to zero on May 2, two weeks before my daughter's 18th birthday. A-levels and GCSE, just remember, right, zero, right? And I -- my landlord said that I have to leave by July 4. I lined up the moving company with £4,500
- D** just to -- just to -- just to move. I was working up to write the LSPO, and I still had one daughter in A-levels, taking -- taking math, French ----

MR JUSTICE MACDONALD: Mrs Zahmoul ----

- A. Yes.
- E** Q. -- I understand ----
- A. So -- so this -- the last thing I had, my father sends 3,557 per month, which was strictly for the education and support and therapist of the children, straight. They will not go anywhere else, and I would not have survived without my father's loan. And my mother
- F** has (inaudible) so he is taking away money that is -- my mother is a lawyer and ----
- Q. Mrs Zahmoul, just ----
- A. -- so I ----
- Q. Just pause, please.
- G** A. I am sorry.
- Q. Just pause. You are running away again.
- A. I am sorry. So ----
- Q. I have the answer to the question ----
- H** A. I really -- I ----
- Q. -- that you were asked. Okay?
- A. Yes.
- Q. Thank you. Yes, Miss Campbell.

MISS CAMPBELL: Thank you, my Lord. Can you look at that same page, 637?

- A. Yes.
- Q. And can you see that you were also asked to explain, in para.6, and subpara.1, 6.1:

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A "Provide disclosure with respect to two transactions from Hopkins and Jones of £20,000 and £29,000" ----

A. But that is exactly the watches. I am sorry, yes, I -- this one is an easy one. So that is -- whatever money I got, it was just in case ----

B Q. But you did not respond, did you?

A. I am sorry.

Q. You did not give that answer. You have not sent a letter ----

A. I can -- I cannot -- I am really sorry. Your Lordship, for the interest of you
C understanding the case, I have only -- I have -- I am trying to survive for four years with two daughters and I am trying to keep them where they are and thriving. I cannot respond to everything. So I have learned to distinguish between different buckets of emails, of requests. And I am really sorry, I do not know if this was an order or not, but
D I only have limited resources (inaudible) allocating them to what will move the case forward. Trying my best. This one does not because the question and the answer are no, so I do not understand what it is the point of asking.

Q. All right. Let us focus on what you think is important, and that is the undisclosed assets
E - yes?

A. No.

Q. No?

A. No. Is that a question or are you making a statement?

F Q. No, I am moving on, yes ----

A. Okay, but ----

Q. I am telling you that I am moving on.

A. -- you stated that what I think is important is the undisclosed assets.

G Q. Do you think that is important?

A. So now it is a question?

Q. I am asking you ----

A. No, what is -- no. That is not strictly the answer. The answer is -- the answer of what is
H important is a dignified, just separation and freedom from everything that (inaudible).

Q. Okay. At your statement, your conduct statement, on p.3273 -- and you do not need to turn to it, but you say there is, rounded numbers, £141 million, at least, missing from the assets?

A. Yes.

Q. Okay. Can we have a look at your breakdown of this? Turn to p.3266. So 3266. This is a first category that comes to around ----

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- A** MR JUSTICE MACDONALD: Miss Campbell, just wait a moment. We are just locating the page. (After a pause)
- MISS CAMPBELL: If you look at para.9, there is a figure 1, "initial non-disclosure identified by the applicant". Yes? And the figure in round terms that you claim there is
- B** 23.1 million. Can you see that?
- A. Yes, I am with you.
- Q. Yes?
- A. Yes.
- C** Q. And if we just scroll forward, so the judge can follow - I am sure he has looked at this already - on p.3269 there is another figure of 9.8. Yes?
- A. Yes.
- Q. This is from ----
- D** A. Yes.
- Q. -- his tax return?
- A. Yes.
- Q. So you add those two figures together, and then you have another on p.3272. This is
- E** crypto currency that is undisclosed, another 3.9 million. Yes?
- A. Mm.
- Q. And then you have another figure on p.3273 of 103.9 million, and all together, you say, add all of those figures together, it comes to -- and I will use round numbers, £141
- F** million?
- A. That is correct.
- Q. Let us try and examine some of it. Can I just put this big point to you, because I know it is going to take a long time to try and understand the figures, so I want you to be clear
- G** what my instructions are. My instructions are that these figures are unrealistic and unrepresentative of reality, that they are plucked out of the air and added together in all mixed up ways and they do not make sense. That is the general point that Mr Zahmoul would like me to make to you. Do you accept that?
- H** A. Absolutely not.
- Q. Okay. So let us have a look at the ----
- A. Okay, I am really sorry, do you know what ----
- Q. No, you have answered me, and that is a fair, straight answer.
- A. Absolutely.
- Q. Thank you very much. Let us go back to the first figure then, if we can, on p.3266. That round figure that you have there, 23.1 ----

- A** A. Yes.
Q. -- million ----
A. Yes.
Q. -- is different from your section 25 statement. And I do not know where that is in the
- B** bundle because it was added late. Is there a hard copy for Mrs Zahmoul? Thank you.
If you have a look in the section 25 statement, Mrs Zahmoul ----
A. Yes, yes.
Q. -- at para.35.
- C** A. Yes, not the same assets. Different because it is not the same assets.
MR JUSTICE MACDONALD: Which paragraph?
MISS CAMPBELL: 35. (To the witness): So this figure of 38.288-odd million here, you are
saying that this is completely different, it is not connected, is it? It is not the same
- D** figures with the total I am looking at ----
A. Miss Campbell, one is called initial -- initial, and it was representative of Form A and
Form E. So at the time of Form E, one was missing, the other one was missing. So this
one is more as of 7 April, 2021, so ----
- E** Q. Just pause there.
A. Yes, of course.
Q. This is a figure that you say is representative of April '21?
A. As of my knowledge of today.
- F** Q. But what you are asking the judge to do, because we have just analysed this, is add
it ----
A. What have we analysed?
Q. Because we went through the figures. We looked at that figure of 23 million. We
- G** looked at the next figure and the next, and you have added them all together ----
A. Yes.
Q. -- to come to the global figure of 141?
A. Yes.
- H** Q. And what you are saying is that sum and this sum and this sum and this sum, added
together, there is £141 million missing?
A. Okay, let me ----
Q. Yes?
A. Okay, so, yes, what ----
Q. So I am trying to understand. If we look at this first box in the file, 23.11 million, it is
different, is it not, than the one I can see on para.35 of your ----

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- A** A. Yes, the difference is one has -- the difference is not the breakdown of assets.
Q. Okay.
A. One of -- one ----
Q. Are you saying -- I understand you are saying it is different.
- B** A. Yes.
Q. Are you saying that this figure in para.35, because it says here "conclusion throughout the marriage", and you go on to say that ----
A. Mm-hmm.
- C** Q. -- Mr Zahmoul was hiding assets.
A. Yes.
Q. And you are referring here: "Below is a summary" -- and this is the bottom of that same paragraph.
- D** "Below is a summary of the non-disclosed marital wealth for which I have provided extensive documentary evidence and which amounts to 38.2 million."
- E** A. Yes.
Q. So is this sum of \$38.288 million what you added up, or do you want the judge to rely on the figures here, starting with 23.11?
A. Yes, some are -- they overlap so ----
Q. So which ones should we look at?
- F** A. Okay. So, Coinbase -- we need to go asset by asset. Coinbase are direct ----
Q. Well, let us look at ----
A. -- was not - was not disclosed. Value as of the date of Form E, 5.7 sterling. Okay?
Then that is this table. Then Gemini is on this table.
- G** Q. Well, let us deal with ----
A. It is not on the original statement because I did not have Gemini. I only found out in March 2023. So it is on this table. So I am just telling that I did not know about Gemini until March 2023 when I received the subpoena of 9 February and the subpoena of 6 March. That is when I found out, two years later. That is why it is not in the other table. Then we move to land in -- purchased land from the -- I give you one, I give you two.
- H** Q. All right. It might be easier if I ask you the questions and then you answer ----
A. But you are asking me why in one table ----

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- A** MR JUSTICE MACDONALD: Let me ask a question, Mrs Zahmoul. Are you saying therefore now that the table that you have got in your section 25 statement----
- A. Yes.
- Q. -- that adds up to \$38.2 million ----
- B** A. Yes.
- Q. -- yes, should replace the table in the -- that we see at p.3266?
- A. Exactly. But we would be missing those Barclays accounts - the Barclays accounts that I cite on p.3266. They were not in Form E but they were disclosed later. Therefore I
- C** considered them to be deficient disclosures, okay, and the assets here. So, you are right, you are absolutely correct, these -- the Encore investment with a return of 100, never heard of it, and suddenly there is one ----
- Q. I understand that.
- D** A. Yes.
- Q. But that basic point is ----
- A. Yes.
- Q. -- that this ----
- E** A. Yes.
- Q. -- replaces that?
- A. Correct.
- Q. I get you.
- F** MISS CAMPBELL: So therefore when I asked you the first question - do you want the judge to add this figure and this figure and this figure to come up to 141 million? - the answer is no?
- A. The answer, this is more accurate. They do not have the same sub -- sub-assets. This
- G** could be more accurate and be missing -- I would -- you see, Miss Campbell, this is a very difficult exercise. The answer is because we had no disclosure, and I am going to repeat, no disclosure. We do not know what Encore investment is ----
- Q. Mrs Zahmoul, I have to be careful about this, because you have given specific figures.
- H** You have not just said ----
- A. Yes.
- Q. -- "I do not know, it might be between 5 and 10 million". You have actually added up specific figures to come to 23 million there.
- A. Well, both have specific figures. If there is a figure, then we can back it up. Otherwise I will not have a figure.
- Q. All right. Let us try that, shall we? So you have focused ----

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- A** A. Sure.
- Q. -- on Coinbase, and your figure in the bundle is £5.7 million sterling, at p.3266. Yes?
- A. Coinbase - yes?
- Q. Yes.
- B** A. Yes.
- Q. And the figure in your statement is \$7.059 million.
- A. One is dollars, the other is sterling.
- Q. Yes. So while we are looking at your statement, the total figure is \$38 million, but the
- C** paragraph says: "I seek 38 (inaudible) and which amounts to £38.288 million".
- A. Okay ----
- Q. Which is accurate?
- A. That is a very good point. My apologies to the court ----
- D** Q. That should be dollars, should it not?
- A. Absolutely, it is dollars, yes.
- Q. Okay. So the \$7.59 million you are saying is an exchange rate to give you the equivalent of 5.70?
- E** A. Yes.
- Q. Yes?
- A. Yes.
- Q. What exchange rate have you been using?
- F** A. The one at (inaudible). I am sorry, the date of the direct listing, April 14 2021.
- Q. Okay. And where is the evidence for this figure?
- A. Which one?
- Q. The \$7.59 million,
- G** A. I don't know the -- it is something -- okay, the first evidence is through -- I am sorry, FDR, July 19th. 16 July 2021, 3.00 p.m. mountain time, Wyoming, the email we received updating disclosures from HFC, announcing that their client -- announcing that he had received 21,000 -- 825,000 shares of coin -- of Coinbase security, which 7.059
- H** million on -- right? And they told us on 16 July before the ----
- Q. Okay. I understand ----
- A. So that is where -- that was the first evidence. In it there was a little piece of paper which is from Topanga Canyon Holdings, the LLC, the primary vehicle that had the partnership ----
- Q. Mrs Zahmoul, you have answered my question. Thank you.
- A. Is that ----

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- A** Q. You have taken it -- this figure comes from the value that was awarded to Mr Zahmoul at the date of the listing of the Topanga shares in Coinbase. Yes?
- A. It was the value of 7 -- it was the 7.059 million that he received in the bank ----
- Q. Yes, okay ----
- B** A. -- on his securities on 14 April, 2021 ----
- Q. You have made your point clear.
- A. -- at that rate ----
- Q. I understand.
- C** A. Okay.
- Q. But those shares ----
- A. Yes.
- Q. -- were not sold immediately. The share price went down, and they were eventually
- D** surrendered in September for a different figure, were they not?
- A. That is a very good point. That is really good -- I would like to -- I am really sorry ----
- Q. That is correct, is it not?
- A. If -- okay ----
- E** Q. Is that correct?
- A. No, it is not accurate.
- Q. So the shares were not surrendered in ----
- A. Could you ----
- F** Q. -- September of the following year?
- A. Could you -- could you get the -- could you pull out the transaction statement that says the shares were sold, so I can explain to you?
- Q. I am afraid I cannot ----
- G** A. (Inaudible) ----
- Q. -- do that, Mrs Zahmoul, but I want you to tell me ----
- A. Okay.
- Q. -- are you challenging ----
- H** A. Of course ----
- Q. -- the version ----
- A. That is exactly what I am saying.
- Q. I see.
- A. Yes, so ----
- Q. What is it -- let me understand, because I had not understood that.
- A. Yes.

- A** Q. Are you saying that Mr Zahmoul never surrendered those shares?
- A.** Absolutely, and I am actually -- actually that is exactly what I am saying, and this requires further information. Your Lordship, Mr Zahmoul liquidated \$4 million of Coinbase, as Coinbase securities, between mid-September to the end of September, of
- B** which he produced documentation on 5 December 2022 after the hearing with you on 17 November. In that documentation he states he sold -- he received -- he -- remind me to go back to the Portuguese taxes where everything changes. He states that the shares that he received in April 2021, 7 million, had become 1.4. That 7 million became 1.4, and that he sold it on 16 September 2022. He produced a piece of paper, so the shares were held in custody at Forte Security in the custody of Bank of New York Mellon, New York. These are shares of Coinbase. Coinbase is an American company traded on Nasdaq. The shares do not have any other -- they only trade on Nasdaq. When he
- C** produces the documentation evidencing the same, it is what we call -- it is notification, it is -- it is not a sale confirmation. Traders, when they sell -- when they sell shares, they receive a confirmation. This was an indication, a quote indicating: "If you sell, you will get this price", and it ----
- D**
- E** MR JUSTICE MACDONALD: Okay, I understand.
- A.** And it came from Sydney, Australia. There is a sure reason why ----
- MISS CAMPBELL: Let us have a look at ----
- Q.** -- why -- why -- it is easy ----
- F** MR JUSTICE MACDONALD: Just pause a moment.
- A.** Yes.
- Q.** Let us go and look at the document first.
- A.** Yes, okay.
- G** **Q.** Because that is ----
- A.** Okay.
- MISS CAMPBELL: Page 4142.
- MR JUSTICE MACDONALD: All right?
- H** **A.** Yes, I ----
- Q.** Okay. Well, let us just look at the document.
- A.** I do not need to. I know it.
- Q.** Well, I need to look at it. All right?
- A.** I am sorry.
- Q.** Do not worry.
- A.** I am sorry.

- A** Q. That is okay.
- A.** Okay. At the top you see Australia and (inaudible). So to the question: "Are you disputing?", the answer is "Yes". But what I am saying is that this is a lot of explanation. One is the story from Australia. Now, what you do need to know is that
- B** Mr Fadi Kassis, with the correspondence recently about the Bitcoin world, who is now based in Australia. So Forte Securities is a middle bank, it is a wholesaler. They service only -- they do not service retail people. They service hedge funds, broker dealers. Fadi Kassis is a senior person here who used -- who was the boss of the
- C** respondent. The respondent is approved by the FCA in London, and in order to have that acting licence of being regulated by the FCA he needs to be sponsored by an institution. The respondent has worked -- he has had -- it is Forte Securities. He signed the manual of compliance of Forte Securities and he is sponsored by Forte vis-à-vis the
- D** FCA. Furthermore, the respondent and Fadi Kassis -- the respondent has a company, a consulting, financial consulting company in (inaudible) and has a business relationship with wholesale ----
- MISS CAMBPELL: Mrs Zahmoul, can you ----
- E** A. This is very relevant.
- Q. Are you saying you do not believe this document is true?
- A. I am ----
- Q. It is a sham, a forgery?
- F** A. Not at all.
- Q. No?
- A. Not at all. What I am saying is that if you are selling Nasdaq quoted securities, you do not need -- you do not do it from Australia. It gets really complicated. You do not do it
- G** from Australia. Number two, there is not a single reason why somebody who understands markets would sell at that time, as it was zero, be -- do you want to know why?
- Q. What do you think happened, Mrs Zahmoul?
- H** A. Okay, okay. Okay. One option, so I am saying -- I am saying the respondent has not disclosed the relationship he has with Forte Securities as an institutional investor, not as a retail. They do not. Number two, this could have been -- your Lordship, if you do not want to sell stock, which is something that in this case I can -- I can document he did it, it happened -- there is another case. You can -- you can -- if you think a stock is going to go up and other people think it is going to go down, you can sell a put, a derivative,

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- A** on the stock and make money, right, and let other people borrow the stock. So it looks like a sale. You make ----
- MR JUSTICE MACDONALD: Just pausing there. I know all that in theory ----
- A.** Oh, sorry ----
- B** **Q.** Just coming back to Miss Campbell's ----
- A.** Yes
- Q.** -- question, what do you say happened here?
- A.** This -- the reason is that desk of Forte is based in Australia.
- C** **Q.** Yes.
- A.** Their derivative operations are based there. Either this is a derivative transaction whereby he -- somebody borrowed the sales -- the shares and Mr Zahmoul sold a put and he made the margin -- the premium on the put and then gets back the shares at a later date, or something else. All I am saying is there is not a single reason why a Nasdaq quoted share would be sold from the Australian desk. Furthermore, from the Australian desk, the next step is that we see funds going from Forte Securities, London to Revolut London. Now, I have no idea how this got -- a US quoted, in US dollars equity would end up going from Sydney Australia to London in US -- in GBP, and then Revolut is sending it to Revolut New York, then it needs to be transferred from GBP to USD, and then the USD goes to Denver and Bank of Jackson Hole. I am sure for a trader or someone in back office it makes sense. To me the denomination of Coinbase
- E** is US dollar Nasdaq, it is sold instantly, then it goes to London in sterling, then to New York, back in dollars and then to Denver. Nothing makes sense. I am saying there is not enough information.
- F** **Q.** All right. Thank you.
- G** **A.** You are welcome.
- Q.** Yes.
- MISS CAMPBELL: All right. Well, Mr Zahmoul has sold the shares and this is proof of it, and you do not accept that. Is that where we are?
- H** **A.** No, this is -- this is -- is this -- Miss Campbell, this is -- is this what you call a trade confirmation or is it a quote indication? Because I do not know. All I can do ----
- Q.** Mrs Zahmoul, this document is evidence of the sale.
- A.** You say that. You know what, I would make sure -- I would make -- if it is good, there is many questions and the entire look is -- does not -- it is simply (inaudible) There are other ways to sell a US dollar (inaudible) ----
- Q.** All right. Let us look at the next category. On your statement, the next item ----

- A** A. Is this -- I am sorry, it is just he sold on 16 September, right? Because we need -- when we get to the Portuguese tax return, we need to remember that date - right?
- Q. Can we go back to your document in the bundle, your conduct statement, at 3266? We can see there that you have -- it is in a different place, I am afraid, but I am trying to
- B** follow some consistency. You have -- okay, I am going to -- I cannot actually do that. Sorry. Look in your statement, back at para.35. I was trying to follow through but there is not any similarity in the conduct statement. You have got Gemini subpoena results there?
- C** A. Yes.
- Q. \$1.8 million - yes?
- A. Yes.
- Q. And at 18 -- you call that the Gemini subpoena results. Let us just have a look. At 1834
- D** -- you do not need to. I am sorry. You have said that you got a subpoena, and I think that was in 2023, early 2023. Is that right?
- A. Yes.
- Q. In the US against Gemini?
- E** A. February and March in two ----
- Q. February and March 2023?
- A. In two tranches, yes.
- Q. Have a look in the bundle at p.1936, please? So you are claiming \$1.8 million of hidden
- F** crypto, and you rely on the subpoena, and at 1936 this is your statement explaining how you learned about the crypto. Okay? And this is just generally undisclosed Bitcoin crypto, and then if you -- just so you can follow through, if you travel down through that document and get to p.1939, you will see specifically the reference to the Gemini
- G** production, the subpoena.
- A. Yes.
- Q. Do you follow me?
- A. Yes.
- H** Q. So in early 2023 you got a subpoena and you said that that revealed to you that Mr Zahmoul had been cheating and had hidden Gemini. Is that your case?
- A. No. I am sorry. Specifically Gemini? Yes, the subpoena, it actually means that there was -- that there was a subpoena, that there was a Gem -- that he had an account at Gemini, that is correct.
- Q. Because we have got the figure of \$1.8 million. That is what I am trying to tie down, where that figures comes from?

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- A** A. It -- you do not have the subpoena results here? I am not sure. But basically a judge in New York City ordered -- made a court order to Gemini Exchange, Southern District, to -- for full subpoena ----
- Q. I understand that. What I am trying to ----
- B** A. -- and in two tranches ----
- Q. I am really sorry, Mrs Zahmoul, but I have to be specific.
- A. Okay.
- Q. Because I am just trying to understand. I accept you made ----
- C** A. I understand. The results of the subpoena told me how much -- how many Bitcoins were in the account.
- Q. Okay. So let us focus on this point.
- A. Yes, of course.
- D** Q. First of all, the \$1.8 million, what do you say that relates to? How many Bitcoins do you say that relates to? Because it is not in this document ----
- A. Hang on ----
- Q. -- or anywhere in the bundle.
- E** A. I am sorry, if -- can you just ... (After a pause) Oh, okay. Again, I am sorry. So the results of the subpoena show at the date of the subpoena result, 2 February -- February 2023, a balance of 5.5 Bitcoins and change. However, the blockchain, which is immutable, if you trace blockchain ----
- F** Q. Can I just check the date? I did not ----
- A. I had two subpoena productions. One was ----
- Q. 5 Bitcoins when?
- A. I believe, but I am talking off memory, in -- 5 Bitcoin at the date of the subpoena is at February -- mid-February 2023.
- G** Q. Okay, 2023.
- A. And the second tranche is March 9 2023.
- Q. So five Bitcoins in total.
- H** A. Yes.
- Q. The value ----
- A. Yes.
- Q. -- in March or February 2023 ----
- A. Yes.
- Q. -- is \$1.8 million? Is that what you are saying?
- A. I know where you are going with this. I ----

- A** Q. I am trying to understand where ----
- A. I know, I know. But I can give it so -- so -- your Lordship, as the expert Marlon explained yesterday, the blockchain is immutable once you have the address, and I knew there was -- and the subpoena, as I have said, there were 5 Bitcoins at that date.
- B** The blockchain tells you how many Bitcoins were there on April 7, 2021, the day of exchange of Form E. So that number there is with the Bitcoins that would have been in that wallet on the day we exchanged Form E and we had the FDA. That is the -- it is not -- it is not five Bitcoins times any Bitcoin value. It is the Bitcoins that were in that
- C** wallet address the day we exchanged ----
- Q. So the ----
- A. -- and nothing was re -- and on that day the respondent did not disclose any Gemini wallet or Bitcoins.
- D** Q. I am afraid I still do not understand ----
- A. Okay. I will try a different way. I have -- I have the wallet address of the Gemini account. I have that address. The blockchain will tell me with the wallet address, it is public information ----
- E** Q. But where can we see that in the bundle? When you have claimed \$1.8 million, where in this statement do you show the other -- the blockchain or the Bitcoins ----
- A. Okay. Well, I have -- that is different -- then you have to ask for that differently. You are saying where is the -- where is the back-up for that?
- F** Q. Yes, I actually do want to know. Surprisingly, Mrs Zahmoul, I do want to know how you come to these figures ----
- A. Then I will -- I will -- I will get the information ----
- Q. No ----
- G** A. -- and I will send it to you.
- Q. -- I am afraid I need to know ----
- A. I cannot do anything else.
- Q. You cannot?
- H** A. I need to go check -- somebody needs to go and check analysis. Maybe slightly I am a bit -- I have the information because I do not pull numbers off my -- off the thin air.
- Q. All right. Let us have a look then at the undisclosed UBS account. Paragraph 35 again.
- A. No, undisclosed UBS account?
- Q. Yes. Have a look. It is para.35 of your statement ----
- A. I am sorry, undisclosed holdings in UBS account? That is very different.
- Q. I am sorry?

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- A** A. Undisclosed holdings.
Q. Yes.
A. Not undisclosed UBS account ----
MR JUSTICE MACDONALD: Let us just look at the figure.
- B** A. Okay. Okay. Okay.
Q. Okay?
A. Yes.
MISS CAMPBELL: Okay?
- C** A. Yes.
Q. Here you say 20.546 million-odd?
A. Yes.
Q. Yes?
- D** A. Yes.
Q. You see that figure?
A. Yes.
Q. Where does that figure come from?
- E** A. It comes from the statements of UBS. Cumulatively over the years the money that goes ----
Q. Cumulatively over the years?
- F** A. I have -- is this -- I have an explanation that makes a little bit more sense at 42. 42, okay? So hopefully it makes sense. It explains, and I am going to try. Your Lordship ----
Q. The first line is wrong, is it not, because Mr Zahmoul stopped working for Barclays in 2014?
- G** A. Yes, but he was still getting paid in '15 and '16 in -- formally from a tax perspective, he was still -- he was still an employee. So that is actually an area where we need a little bit more clarity. I am not sure why there is -- there is a big -- there is an inconsistency. His tax expert, AG Tax, says that he was employed until 16th -- 15/16. So he received
- H** compensation. He was not actively working. Maybe -- I am assuming that, I do not want to speculate. Only the respondent can tell the truth, or HR at Barclays Capital why he was not working but he was getting paid so ----
Q. Let us look at the big question first.
A. Yes.
Q. You have claimed 20.456 million in para.35.
A. Yes.

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- A** Q. Where do I see that sum on para.42?
A. Yes.
Q. How do I get there?
A. You turn the page and you get to p.13.
- B** Q. Yes.
A. And total 20.5 so ----
Q. What have you done? You have added up UK earned income ----
A. I tried my best.
- C** Q. So you have added up UK earned income from 2005 to 2018. You have taken off the tax - is that right?
A. Okay. So ----
Q. And then you have got a figure of 11.4. Just follow through so we can understand the
- D** maths. Yes? Is that right?
A. If you would like to do it or shall I do it? You want to do it? Because the starting point is the tax memo. The easiest way, your Lordship ----
Q. No, let me ask you questions, Mrs Zahmoul, otherwise we will not get there.
- E** A. I am just trying to ----
Q. I want to understand ----
A. I am just ----
Q. -- your table in your statement. So the first column of 19.859 million-odd, you have
- F** deducted 8.394 to come up with 11.464. Is that right?
A. I think, yes.
Q. Yes?
A. Yes.
- G** Q. Then you have living expenses of 8.99, which I presume you deducted - yes?
A. Yes.
Q. To come up with a final figure there of 2.467 million - yes?
A. I am sorry, let me go back. 2.4 -- that is cumulative, yes.
- H** Q. Yes.
A. And that ----
Q. So we start with 2.467 and we go over to ----
A. No, no, no.
Q. No?
A. No, each year goes across this way. So 2. -- your 2.4 cumulatively is clean capital at the end of 2018. You see clean capital. Clean means it is income that has paid tax and it is

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- A** the surplus reserve. That means it can be used for spending in the UK without paying further taxes.
- Q. All right. So how do we get from 2.467 million up to 20.546 million?
- B** A. I am sorry, these were meant to go by year this way. So the way you get there, year by year, is -- so what I am saying -- what I am saying, and it might be difficult -- your Lordship, four sources of income there divided in four fiscal buckets. That is very, very important. The first bucket is income into one specific ----
- MR JUSTICE MACDONALD: No, no, I understand that ----
- C** A. Okay. Okay, very good. The three other buckets are not ----
- Q. Yes, they ----
- A. They are not in the UK.
- Q. Yes, you have said that ----
- D** A. Only bucket number one is used for UK expenses. That is household. That is the account that I had access to. So the way it goes is UK earned income, cumulatively he made 19 million over the years in -- for that bucket. That is UK earned taxed income.
- Q. I understand.
- E** A. Then he paid 8½ million in taxes.
- Q. Yes.
- A. And the burn was 900 per year.
- Q. Yes.
- F** A. At the end of 2016 there was a reserve of 2.5, which was already his because he has paid taxes already. That reserve, what do we do if he did not have a job? Year number one, that is 2018, we spent 942. So the reserve went down. And year number 2, that is 2019, we spent 942 UK, and the reserve went further down. Then the next page, p.13,
- G** tells you at that same time what do we see going -- happening at Barclays, at UBS? Now, UBS is offshore and receives three buckets: offshore untaxed earned income, and then capital offshore, and then return on capital, income on the capital. Three buckets. None of them pays tax. But there is one more account that is called remittances. It is
- H** an arrangement between UBS and HMRC through a simple Liechtenstein LDS where UBS takes tax for H -- on behalf of HMRC over there, and that money can come and pay the bills here. But it has to be in a special account segregated, called LDS, right? And he has to sign every year his approval, minimum disclosure. He was under remittances programme which meant he did not disclose full disclosure, but he paid HMRC 30 or 60 a year for that, for not disclosing. So what this next page 13 says is we see at this time while we are living onshore -- spending onshore with the 19 million

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- A** cumulatively. We see this inflows and outflows from UBS. We see a total inflow/outflow of 12 million. 12 -- 13 in, 12 out. This is (inaudible). And we see (inaudible) liquidations of Barclays share, and part of the compensation is in Barclays shares. They are very complicated and I cannot pretend that I have full grasp of them.
- B** Some of them are called BACS, some of them are called payroll, and then there are three different categories. I am not sure which ones are taxed. He was also (inaudible). He did not pay taxes on (inaudible) spent outside the UK. He also had an (inaudible). It is very complicated. He was also doing tax-avoidance scheme ----
- C** MISS CAMPBELL: My Lord, can I interrupt and ask a different question?
MR JUSTICE MACDONALD: Yes.
- A.** Okay. So I am sorry, I am just saying ----
- Q.** Can we -- you may think that you are making sense on this, but I am struggling to understand.
- D** **A.** Okay.
- Q.** So I am going to get Miss Campbell to ask a different question to see if I can get some more clarity for me. All right? So just pause and let Miss Campbell put her next question.
- E** MISS CAMPBELL: If you look at para.36 and the undisclosed holdings at UBS, you have got a figure of \$20.5 million - yes?
- A.** Where?
- F** **Q.** So on p.10 ----
- A.** I am sorry, I really ----
- Q.** -- of your statement ----
- A.** I -- okay, I ----
- G** **Q.** -- line 113, undisclosed holdings, UBS accounts, \$20.5 million - yes?
- A.** Yes.
- Q.** Have a look in the bundle ----
- A.** I am sorry, one second. I am really ----
- H** **Q.** -- at 3266 ----
- A.** One second. Undisclosed. Okay, Form E20 ----
- MR JUSTICE MACDONALD: Yes, so you have got that figure. Now let us go back to 3266.
- MISS CAMPBELL: And I appreciate this is in sterling ----
- A.** Yes, okay.

- A** Q. -- but the figure you say for undisclosed holdings, UBS account, is £12.18 million.
Now, I carried out the exchange rate at 1.25. It might be slightly different. But 1.25, \$20 million is £16 million. I do not understand ----
- A. Yes.
- B** Q. -- how you have 20 ----
- A. I do ----
- Q. -- in one document and 12 in another?
- A. I completely agree. So the 20 is in fact the flows that went -- so your Lordship, you understand the part where the spending in the UK is covered? Right?
- C** MR JUSTICE MACDONALD: Mm.
- A. So now we are talking about the three funds, the three sources of income that are not in the UK, they are offshore. There are three that are -- there is the UBS account with inflows and outflows of 13, 12. Then there are shares, liquidations of the shares of Barclays, 3.8. And then there is rental revenue from the apartment we had in New York, which can be in Citibank. We were renting for many years at \$25,000 per ----
- D** MISS CAMPBELL: Are you suggesting none of this has been spent?
- E** A. I am almost done. So, no, No, what I -- no, no, that is not what I am saying. So that equals 20.5. 20.5 of offshore untaxed capital income earning, whatever you want to call it. It is an asset based, cumulatively. 20 that I cannot account for. Why? Because the real estate that we co-own in the US is not part of this 20. It was purchased prior to 2004 with clean capital at the time when we worked in the US ----
- F** Q. Mrs Zahmoul, I am going to interrupt you ----
- A. Yes, this is ----
- Q. -- because I do not follow what you are saying.
- G** A. Okay.
- Q. So at the moment, I am not able to understand the point you are making, and I cannot really ask questions if I do not understand what you are saying.
- A. Okay, okay.
- H** Q. I am going to stop you, and that is me stopping you. Mr Molyneux is allowed to re-examine you, so he can come back and help you explain this if that is necessary.
- A. Your Lordship ----
- MR JUSTICE MACDONALD: No, it is all right. Mr Molyneux will deal with in re-examination. All right.
- A. I am sorry. I am really sorry.
- Q. Do not worry. It is okay.

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- A** MISS CAMPBELL: I am focusing on the UBS wallet ----
- A. I do not have an asset for this money. It is an asset base that has been invested but not disclosed so ----
- Q. Okay. So I am focusing on the UBS because if I can focus ----
- B** A. Yes.
- Q. -- on each item ----
- A. Yes.
- Q. -- we might be able to understand where the figures come from. And with the UBS, I
- C** want you to have a look in the bundle at 3299. These are inflows and outflows from the UBS statement of assets. Can you see this? This is, as I understand it -- yes?
- A. It is a (inaudible). It is the equivalent of the -- what I had at page ----
- Q. Well, this is your document. It is your ----
- D** A. Yes, a different -- probably at a different point in time.
- Q. And different figures, exactly. Different figures from the ones we have in your statement.
- A. I understand, yes.
- E** Q. But let us work with this one from the moment because it is nice and set out in front of us.
- A. Okay, yes.
- Q. You are trying to say, as I understand it, that in sterling you have had 14 million come
- F** in, 14.29 ----
- A. Yes.
- Q. -- million come in?
- A. Yes.
- G** Q. And 14.63 million going out?
- A. Yes.
- Q. These are payments of UBS assets - yes?
- A. No, they are flows ----
- H** Q. Flows through the UBS?
- A. I am also saying this is in excess of what we spent in the UK. These funds not -- they are above and beyond the cash burn of the UK.
- Q. So let us pause there. I want ----
- A. They are not needed.
- Q. I need you to ----
- A. That is very important.

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- A** Q. I want you to pause ----
A. Okay.
Q. -- because I am not keeping up still.
A. I -- I ----
- B** Q. As far as I understand it, the UBS account shows £14 million going in?
A. Yes.
Q. £14.6 million coming out?
A. Correct.
- C** Q. Is it your case that effectively that money is being hidden somewhere?
A. You said that. I did not say that. I -- my case is that the money is -- the money is not accounted for. I do not have an asset for that money. So I did not say what you said.
Q. The monies are not accounted for ----
- D** A. My case -- I am sorry, yes, my case is that money is not part of the burn of the UK.
Your Lordship, you understand?
MR JUSTICE MACDONALD: Yes, thank you.
A. Okay. So that money was not used on -- in the UK. Cash burn, we use 900 a year, that
- E** was covered on the first table at ----
Q. No, no, I understand. All right. Thank you.
A. Okay.
MISS CAMPBELL: Have a look for me, please, at p.3496.
- F** JUDGE MACDONALD: 3496?
MISS CAMPBELL: Yes, please, my Lord. (To the witness): Now, this is a document from
- G** UBS showing all of the money going in and out, and we can see from this document the timeline, because it is in reverse. But if you look at the bottom, you can see June 2005 there is a fund value of some €84,000. Can you see that there? Bottom line, 17 June '05?
- H** A. Yes, I am looking at it with you, yes.
Q. Yes. Then is 2010, inflow of €8.8 million comes in, and outflow, 5.6 goes out. We agree ----
A. 2010, no ----
Q. -- the bottom line ----
A. Final value 3 ----
Q. And a very broad ----
A. I think, yes, we are looking at the same in ----
Q. That leaves a final value in the first column of just over 3 million ----

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- A** A. Yes.
- Q. We are both agreed about that.
- A. We both agree, yes.
- Q. The next year nothing goes in, and 252 comes out. So in fact the fund value -- sorry, 7.8
- B** is deducted, and 252 flows out ----
- A. Miss Campbell, I follow you very well. My point is this is the same table as the one inflow/outflow. My point is the outflows are not going to the UK. The outflows are not -- they are above and beyond what was spent in the UK from my first chart. Where are they? I don't know. What assets were they used to purchase? I don't know. That is ---
- C** Q. Because you do not have an audit of every penny spent ----
- A. No.
- Q. -- during the marriage, you think that this money still exists somewhere?
- D** A. Miss Campbell, number one, "audit" is not my term, it is yours. Number two, if you have 20 million that are not accounted for and you do not have an asset for it, I am sure you will do something about it. I do not understand your question. An audit? Can we -- I do not have ----
- E** Q. We can see here ----
- A. There are no assets that have been reported that justify 20 million. It is not an audit that I will need, it is a -- the point, your Lordship, is that the outflows do not go to the UK because the outflows are offshore -- offshore income untaxed earnings ----
- F** Q. I am instructed that they are in the UK, so they go to the UK. The outflows are not hidden anywhere. They are used by the family and spent ----
- A. Okay. The family uses 900 a year and that is fully covered by account to -- but by pay -- by what went into account 281, though, I do not remember, above and beyond, the
- G** excess is always swept out and ----
- Q. Do you understand that even if it is going into another account, the money has got to come from somewhere. It comes from UBS. If it goes into another account and is spent on another account, what do you think you and the family have been living on ----
- H** A. It does not come from UBS. Miss Campbell, it does not. UBS -- the respondent is not an employee of UBS. There is no money coming from UBS. It is coming into UBS and it comes from an offshore Barclays account and other sources. There are two primary ----
- Q. Mrs Zahmoul, it ----
- A. Yes.
- Q. -- says quite clearly in this statement that it is coming into the UBS account ----

- A** A. Yes, exactly.
Q. -- and it is going out of the UBS account?
A. Yes, yes, into UBS.
Q. What do you think was happening when it came out of the UBS account?
- B** A. I don't know. You tell me.
Q. Okay. So that is your case. Because you do not know ----
A. No ----
Q. -- what happened to it, you think it must have been hidden somewhere?
- C** A. No, I did not say that. You did. If you know what happened to it, please tell me. But the respondent is an active investor in all kinds of assets. A lot of the return and revenue that we have is return on investments. Where it went, I don't know. I would like to know. That would be -- that would be -- that is part of the exercise.
- D** Q. Let us go back to para.35 and let us look at the next line in your list. You have put "undisclosed proceeds from drawdowns from Barclays shares". It is not in the Form E. \$5.1 million - yes?
A. That is correct, yes.
- E** Q. And if we look in the bundle at 3506, you can see those Barclays shares?
A. Yes.
Q. Are these the shares that Mr Zahmoul was paid for his employment with Barclays?
A. Yes.
- F** Q. And, like a lot of bankers, he is paid a remuneration scheme whereby he gets salary, cash bonus and then shares, and the shares vest over time, so you are awarded some shares and then in perhaps two years or three years - I do not know if this scheme in particular is three years - a third vest, the next year another third and the next year the final third.
- G** A. Exactly.
Q. Does that sound familiar to you?
A. That -- I wish that would be really -- it would make my life easier. That is the general
- H** idea, except on a -- from a fiscal perspective, the share -- it is a very complicated programme, the best approach to which is to have an HR person -- a compensation HR person explain this to us. But I do not ----
Q. But we can agree generally ----
A. In general, yes ----
Q. -- how these schemes work?

IN PRIVATE

- A** A. -- shares are part of the compensation and they are in special vehicles and they have special tax treatment and they are very complicated.
- Q. Well, let us look as this particular employee, Mr Zahmoul, with Barclays, and we can see on p.3560 ----
- B** A. Yes, you can see the different vehicles.
- Q. We can see the statement period, and this is showing from 1 January 2014 ----
- A. Yes.
- Q. -- to 17 ----
- C** A. Yes.
- Q. -- April 2021 ----
- A. So if you know what CVP means, great. I don't. If you know what all those codes are, great. Because nobody else does.
- D** Q. Okay. Well, is CVP is cash value plan.
- A. Okay, yes.
- Q. And this is showing what the plans were and the cash generated. You can read what it says.
- E** A. Yes.
- Q. Then if we look down what follows on p.3507, it shows every single activity of the cash?
- A. Yes.
- F** Q. And you can follow this through. If you can skim over the pages, Mrs Zahmoul ----
- A. Yes.
- Q. -- and just flick forward in the bundle if you can ----
- A. Yes.
- G** Q. -- you can see all the detail, and this is a comprehensive document prepared by Barclays. It is not a document Mr Zahmoul ----
- A. Yes.
- Q. You accept it is genuine?
- H** A. I accept this is a document by Barclays, that is correct, yes.
- Q. Yes. And so what Mr Zahmoul has done is he has asked Barclays to produce evidence of all his shares and all of the vesting dates, and then asked them to produce details of the share releases. And if we look forward in the bundle to 3504, you will see each and every vesting. These are in reverse order. You can see 30 March '09. If we scroll up, so you are going to be going towards the front of the bundle, the next page you can see is 2012 vesting releases. On p.3502 you can see 13. Page 350 ----

IN PRIVATE

- A** MR MOLYNEUX: She has not got any of these pages in front of her.
MISS CAMPBELL: I am so sorry.
A. Sorry?
Q. Do you have ----
- B** A. Yes, yes, I am following you.
MR JUSTICE MACDONALD: Yes, the pages are there.
MR MOLYNEUX: Sorry, apologies.
THE WITNESS: Yes, I am sorry ----
- C** MR MOLYNEUX: Sometimes she does (inaudible).
MISS CAMPBELL: (To the witness): What I am trying to identify with you is you can see
that these are dates, in reverse order, showing all the dates that these shares are released
and the proceeds being paid out. Do you follow?
- D** A. Absolutely.
Q. Yes?
A. Absolutely.
Q. And then if you keep going and follow through all of these documents, it takes us to 6
- E** September 2018 on p.3498.
MR JUSTICE MACDONALD: Mrs Zahmoul, just have a look at 3498.
A. Yes.
MR MOLYNEUX: I think it was unfair of me to interrupt because she has obviously found
- F** the page but I do wonder whether we are reaching a point where diminishing returns are
applying. Obviously I am totally in your hands, but that is my thought.
MR JUSTICE MACDONALD: That is ----
THE WITNESS: I want to make progress, please. I would really like to help.
- G** MR JUSTICE MACDONALD: All right. Well, I am going to at the moment rely on you.
A. Okay.
Q. All right?
A. Yes
- H** Q. It is right of Mr Molyneux to raise the issue with me, and we will keep going for a little
bit.
A. Okay.
Q. But not too much longer?
A. As long as you need. As long as you need. You need to understand the picture.
Q. I am understanding. All right? So we will continue ----
MISS CAMPBELL: My Lord ----

IN PRIVATE

- A** MR JUSTICE MACDONALD: -- a little while longer and then we will stop.
- MISS CAMPBELL: -- I have got quite a lot to go, so if you feel that Mrs Zahmoul would benefit from a break, I am entirely happy to do that.
- THE WITNESS: No, no, no. No.
- B** MR JUSTICE MACDONALD: Well, I think what I am going to do, because I have to do something else at 4.15 so we are going to have to rise at 4.15 ----
- A. Okay.
- Q. -- all right, but we will continue until then. Okay?
- C** A. Yes.
- MISS CAMPBELL: Mr Zahmoul has produced all of the shares that he has ever received and all of the releases that he was ever able to vest until there was nothing left, and the Barclays shares have all been spent. So where do you get the figure in your schedule of
- D** \$5.1 million from? Where does that come from? It was in your statement at para.35.
- We looked at it before.
- A. Exactly the same schedule on the spreadsheets. So did you add up everything and you are not finding my number cumulatively?
- E** Q. No, I am trying to understand ----
- A. It is the ----
- Q. -- where your number comes from?
- A. That will be the reasoning. I took the 30 pages here and I put them on Excel, and I do
- F** not think I made assumptions on taxes -- the taxes are paid by way of shares taken in the nominee account specifically to pay taxes.
- Q. So you have added up every share realisation ----
- A. Just, that is -- it is not hard. I ----
- G** Q. Yes. I am just trying to understand what you have done.
- A. Yes, yes
- Q. You have added them all together ----
- A. (Inaudible).
- H** Q. -- all the shares that have realised ----
- A. Yes.
- Q. -- since 2009, or whatever date it was?
- A. Yes.
- Q. Total, the last date in 2018 ----
- A. Yes.

IN PRIVATE

- A** Q. -- you say that that comes to \$5.1 million and you are saying that that is still available to Mr Zahmoul to spend?
- A. No, no, I am not saying that. I am saying that was not -- that was -- I do not know the net tax fiscal treatment of this. I don't know if there are any rights that exist. I don't
- B** know that exercise. I don't know what other vehicles. I don't know some of the shares he was granted status for, the dates, outside the UK ----
- Q. You see, Mrs Zahmoul, you ----
- A. So this is not -- I am sorry.
- C** Q. I am sorry, you carry on.
- A. I am not saying I don't know where they were. I am saying this money was not needed to live in the UK. Again, above and beyond the burn - the burn of the years 2004 to 2021 above and -- no, I am sorry, he left in 2020. Above and beyond. Not needed. It is
- D** very simple. What is needed is on -- what was burnt in the UK is p.12. Anything else I don't know what was ----
- Q. You do not accept then, that Mr Zahmoul ----
- A. It is not accepting ----
- E** Q. Let me ask you the question, please, Mrs Zahmoul. You do not accept that Mr Zahmoul was drawing down on these shares, selling them, realising the share and spending the money on the family?
- A. Of course not. No. Because -- because what -- what funded the UK spending account
- F** which I controlled for the family was not -- theoretically there might be share releases or share liquidations, but what hit the account bi-weekly, just like any of us, like you, it is a salary. That is what hits the account ----
- Q. How can you prove that, Mrs Zahmoul?
- G** A. How -- what do you mean how do I prove that?
- Q. Well, you have to prove this. You have to prove -- if it is your case ----
- A, I am sorry ----
- Q. --- that the money has not being spent ----
- H** A. Yes.
- Q. -- on the family living -- because Mr Zahmoul's case is he was getting paid ----
- A. Yes.
- Q. -- he was drawing down on the shares and then when he stopped work ----
- A. Yes.
- Q -- he had to surrender the shares because he was not getting ----

IN PRIVATE

- A** A. Miss Campbell, his own CPA says -- I am going to read, right, his own -- I am going to take you to my statement where his own CPA says between 2004 and 2016 the UK earned income exceeded the cash burn. And the average ----
- Q. What do you think "income" means?
- B** A. Probably -- probably some of this is. I don't know ----
- Q. Probably some of it is, Mrs Zahmoul? Your case -- you are trying to ask his Lordship to accept that this money has not been spent ----
- A. (Inaudible) ----
- C** Q. -- but the truth is -- let me finish.
- A. Yes.
- Q. Let me make my point.
- A. Yes, Miss Campbell.
- D** Q. You said probably the shares have not -- or you said probably some of it is income. I think those were your exact words.
- A. Mm.
- Q. Some of the shares are income probably. You are actually saying ----
- E** A. The shares -- no, no, I -- probably what -- they had -- some of them were called BACS. Some of them were called payroll. Again, one more time, I am not an HR compensation specialist. Absolutely not. And he -- and the respondent's fiscal status is that he had three different ones between 2004 and 2020. Three. Three.
- F** Q. But let us ----
- A. So what I am saying, on the other hand, is even if you stick -- even if we assume that 3.8 were liquidated, and I don't know the fiscal net, and were used onshore, you still have 12 or 13 from UBS that were not used. You still have 1.7 from rental with very
- G** conservative assumptions that were not used. Those 3.8. And again I am operating with very little visibility. There are shares vested. Now, we are saying -- you are saying it is part of a payroll. We really need -- I think the bottom line is that we need someone to explain BACS, payroll and everything, and which one went out and which one did not go out.
- H** Q. Let me be clear so you understand what Mr Zahmoul's case is - that these Barclays shares were part of the monies that you used to support the family. When I say "you", I mean you as a family. He would ----
- A. Yes.
- Q. -- draw down on shares that had been paid as part of his remuneration package, and those shares were used to pay for the family's living?

- A A. Yes, and ----
- Q. Do you accept that?
- A. Well, if the onus is on me to accept or the onus is on the respondent to show ----
- Q. I need to know whether you believe that statement or not. If you say to me ----
- B A. Believe -- I am sorry, there is no belief. Right? Either somebody is going to be trans -- a little bit more forward with information because this is a very complex area, compensation, or not. But I cannot believe. It is not -- it is not a religion. This is evidence-based. Right now, what I know is -- and I am really sorry, but the -- that his
- C tax -- tax -- AG tax says it in so many words between 2004 and 2016 the family -- the salary more than covered UK-based income, more than covered the burn, and the burn was 750. Then when he stopped work, we spent 942, and the clean reserve went from 3-something to -- well, then one year later we spent again 942. The clean capital
- D reserve went down again. So ----
- Q. That is ----
- A. -- whatever the respondent holds, tax, UK-based taxed income earnings, that is what is being said that is -- that is what we used for our cash burn, which is about 900 a year,
- E and that was more than enough all the way through 2020, and that is the capital reserve clean. And then the memo goes on to say if they continued to spend at that rate, and there is no disclosed income, then the risk is he will have to bring capital from offshore, and then he cites the risk. And the way he cites it is revealing because that is when you
- F find out that there is -- there we are, three buckets outside, offshore capital, offshore -- offshore untaxed earned income, and offshore return on investments. Three. So each one has a different tax consequence if it is remitted to the UK. And there is also an account called remittances, and I explained this earlier. So that is it.
- G Q. Okay. Could you have a look in the bundle, please, at p.3269? This is money you say that is undisclosed investments. So your case -- I am just looking at the last line ----
- A. Yes.
- Q. -- of that green box. Undisclosed investments source - I presume this is - Portuguese tax
- H return ----
- A. Yes.
- Q. -- £9.85 million?
- A. Yes.
- Q. So I am clear, are you asking the judge to take this figure of £9.85 million and add it back onto the asset schedule to suggest that Mr Zahmoul has these funds available to him?

IN PRIVATE

A A. No, no, Miss Campbell, just -- let me just find where in here there is one that is allegedly Coinbase. Yes, okay, so I -- okay. No. So, your Lordship, I do not speak Portuguese and I am not a specialist of the tax -- Portuguese tax returns.

MR JUSTICE MACDONALD: No. Of course.

B A. These investments were -- so the respondent produced 2020, '21 and '22. 2020 earlier, and '21 and '22 were produced on November 8, 2023. What -- and, again, this is a reconstruct-- reconstructing. This is a very slow process with no expert on hand. By reconstruction there are three -- these investments were in the section of investments
C that -- they are coded but they are not identified by the name of the entity invested in, so there is no way to know what is underneath. There is just -- in Portuguese, there is a chart that says "date acquired", and then the date of liquidation, and then I think it is either date of acquisition and date of liquidation or it is date of acquisition plus the
D capital gain. But I spoke to (inaudible) Portugal, I think it is value at the date of (inaudible) value. So these 7 -- there were 17 unidentified only country-coded investments which I had no knowledge of. Now ----

MISS CAMPBELL: I am sorry, I just need to understand. I am going to stop you.

E A. Yes.

Q. Because I still do not have an answer to my question. This figure that we see on your table of 9.85 million, are you asking the judge to add that sum, 8.5 million, notionally on to Mr Zahmoul's share of the assets?

F A. No. At this stage, I think the respondent said -- I filed -- sent a letter saying these were investments that were disposed of from the E*TRADE portfolio. So they are US-based, and I just would like to go to the big one, if you do not mind ----

Q. I still do not have an answer to my question.

G A. I am asking his Lordship to add them ----

Q. It is a yes or a no.

A. No.

Q. Yes, you are, or no, you are not? Do you want his Lordship to add £9.85 million onto
H Mr Zahmoul's share of the assets notionally or not?

A. Can I just think?

Q. That is not what this ----

A. Can I just think? So Mr Zahmoul is recording in 2022 all of the asset -- all of these assets which are -- are they on the balance sheet for the schedule that he produced for the -- for the final hearing? If they are, we are good. If they are not, where is the money?

IN PRIVATE

- A** Q. You see, Mrs Zahmoul, when I started this exercise ----
A. Yes.
- Q. -- we looked at each of those boxes ----
A. Yes.
- B** Q. -- and we added them up. Do you remember? We looked at box 1 ----
A. Miss ----
Q. -- we looked at box 2 ----
A. Yes.
- C** Q. -- and I said it totals about £141 million?
A. Yes, Miss Campbell ----
Q. And I said to you, is it your case that Mr Zahmoul is hiding these assets? And you said yes, that is your case.
- D** A. Yes.
Q. That is how we started.
A. Yes, and now ----
Q. So when I am looking at this figure of 9.85 ----
- E** A. Okay.
Q. -- my assumption, based on your answers, is that you do want him to include this figure on the balance sheet?
A. So if they are already on the balance sheet, then -- actually can we just go to Coinbase,
- F** because it is 7. million out of 9.5, and because somebody said that this is Coinbase.
Can we just go there because that is like 85 ----
Q. You tell me where you want me to go, Mrs Zahmoul.
A. 85%. So is this -- is it your client's case that ----
- G** Q. No, you tell me what line you are looking at ----
A. Oh, I am sorry.
Q. -- because I cannot follow.
A. The biggest number is 7.3 million.
- H** Q. Yes.
A. Your client -- so make sure your client is claiming this is Coinbase? Is that correct?
Q. So you are asking me ----
A. Yes.
Q. -- if the figure on your schedule ----
A. Yes.
Q. -- is a sum that should be ----

IN PRIVATE

- A** A. Obviously because I ----
Q. -- added on or taken off?
A. Yes, I don't know.
Q. You do not know?
- B** A. Because the Portuguese taxes do not identify that. They only have a number and they send it to you as investment, either partnership or equity, so of course I don't know that so ----
Q. Of course you do not know. And Mr Zahmoul filed a detailed statement explaining that you had completely misunderstood the Portuguese tax returns. Have a look at 3469, please.
- C** MR JUSTICE MACDONALD: Do you understand 3469?
A. (No audible response)
- D** Q. Okay?
A. Yes.
Q. Just get to that page.
MISS CAMPBELL: I am nearly finished, my Lord.
- E** MR JUSTICE MACDONALD: Yes.
THE WITNESS: No, no, no, please do not -- do not worry.
MISS CAMPBELL: (To the witness): So here on para.17 this is Mr Zahmoul's ----
A. Yes.
- F** Q. -- response to what you had been saying about the Portuguese ----
A. Yes.
Q. -- undisclosed assets, or the assets on the tax return.
A. Yes.
- G** Q. And he says:

"Having considered your allegations arising from the contents of my Portuguese tax return, it is apparent that she has fundamentally misunderstood the information recorded within the documents."
- H** You have just said to me in answer to one of my questions: "I do not know".
A. I am sorry ----
Q. I think ----
A. No, I made the complete sentence. I said I don't know which entity this is because the tax return does not identify the entity by name. There is just a code and then it says USA. It says equity or partnership in the USA. So I did not just say I don't know, I said

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- A** I don't know what entity this is. The Portuguese tax return does not identify the name of the entity, so I cannot guess it. I am sorry.
- Q. All right. So Mr Zahmoul paid his adviser in Portugal ----
- A. Which one? Which one?
- B** Q. You can see ----
- A. Mr Zahmoul has various ----
- MR JUSTICE MACDONALD: Mrs ----
- A. I am sorry. I am sorry.
- C** Q. Mrs Zahmoul ----
- A. I am sorry.
- Q. -- if you do not listen to the question, I am going to ----
- A. I am sorry. I am sorry.
- D** Q. -- bring matters to a close today because I am concerned ----
- A. I apologise.
- Q. -- that you are ----
- A. I am sorry.
- E** Q. -- getting tired.
- A. There are many advisers in Portugal ----
- Q. Listen to the question that Miss Campbell will ask.
- A. Okay.
- F** MISS CAMPBELL: This is the last point ----
- A. That is okay.
- Q. -- and then we can stop.
- A. I apologise.
- G** Q. If you have a look on p.4241.
- A. Yes.
- Q. This is the historic advice that has been given. So you have seen this generally, because we have looked at this already. You asked me who. This is Luis Leon, so you are
- H** familiar with his advice?
- A. I am -- is it -- is it Deloitte or is it ILYA?
- Q. ILYA.
- A. ILYA, okay.
- Q. We have looked at this before. This man has been assisting in the past.
- A. Yes.

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- A** Q. And that is the advice he gave originally, and then when you said that you thought there was nearly £10 million missing ----
- A. Yes.
- B** Q. -- Mr Zahmoul went back to him this year, and we can see that at 3529. Have a look there.
- A. 3 -- I am sorry?
- Q. 35 ----
- A. 4241 is ----
- C** Q. I am just identifying ----
- A. You are just telling me -- do you know why your client has two different tax people in Portugal?
- Q. I was trying to help you identify where the information was coming from.
- D** A. No, no, I understand but ----
- Q. Have a look at 35 ----
- A. -- why would one have various tax people in the state and then not even produce a proper tax -- tax numbers for the final hearing asset schedule?
- E** Q. So on 26 January, the Portuguese adviser filed a detailed explanation as to how the Portuguese tax returns -- so that you could understand ----
- A. Okay.
- Q. -- where your calculations and your assumptions had gone wrong. Have you read this document, Mrs Zahmoul?
- F** A. Let me read it quick -- yes, so, I am sorry, I don't have time for all of this, so can we just go to Coinbase ----
- MR JUSTICE MACDONALD: What I am going to do, Mrs Zahmoul, I think ----
- G** A. I am sorry. No, I ----
- Q. -- and Miss Campbell, I am going to pause matters there. All right? Do not worry. It is not a problem. I just want to be sure that you are given the opportunity to give your best evidence, and you have been in the witness box all day. So what I am going to do
- H** now is I am going to rise and I am going to sit again tomorrow at 10.30, and we will continue your evidence.
- A. I am sorry.
- Q. You do not need to apologise, Mrs Zahmoul. What I do need to make clear to you, however, because we are going across two days - all right? - is that you are not allowed to talk to anybody about your evidence between now and 10.30 tomorrow. All right?

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- A** That means you cannot talk to Mr Molyneux about the case, you cannot talk to your solicitor about the case, because you are still under oath. All right?
- A. Okay.
- B** Q. And we will commence at 10.30 tomorrow morning when you will have had an opportunity to read that in a bit more detail. All right? Okay.
- MISS CAMPBELL: My Lord, before you rise, can I hand this document to your Lordship?
- Mr Molyneux had seen it. I have sent it to your clerk.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: It is a hard copy of the tax schedule that we have spoken about ----
- (Same handed)
- MR JUSTICE MACDONALD: Thank you very much.
- MISS CAMPBELL: -- in evidence earlier.
- D** MR JUSTICE MACDONALD: Thank you. Do take a seat, Mrs Zahmoul, for a moment. It may be that Mr Molyneux wants to make a point.
- MR MOLYNEUX: My Lord, may I just add to that, that is not just me and Ms Bloom.
- MR JUSTICE MACDONALD: Yes.
- E** MR MOLYNEUX: Anyone at all. So anyone who has assisted in the preparation of the case, or anything like that ----
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: -- must not be spoken to.
- F** MR JUSTICE MACDONALD: Indeed. (To the witness): That means everybody, Mrs Zahmoul. All right? You cannot talk to anybody about the case. All right?
- A. I understand. I am not sure I understand that -- is there any -- anything implied? No.
- Q. Okay?
- G** A. Because there is nobody else here.
- Q. No, there is nobody you can talk to. All right. We will start at 10.30 tomorrow morning.
- A. Thank you very much.
- H** Q. Okay. Thank you. I will rise.

(Adjourned overnight)

Marten Walsh Cherer hereby certifies that the above is an accurate and complete record of the proceedings or part thereof.

A

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IN PRIVATE

Case No: BV20D01752

IN THE HIGH COURT OF JUSTICE
FAMILY DIVISION

Royal Courts of Justice
Strand, London
WC2A 2LL

Date of hearing: Thursday, 22 February 2024

Start Time: 10:32 Finish Time: 16:13

Before:

MR JUSTICE MacDONALD

Between:

NADIA ZAHMOUL

Applicant

- and -

KARIM ZAHMOUL

Respondent

MR B MOLYNEUX KC (instructed by **AFP Bloom Solicitors**) for the **Applicant**

MS A CAMPBELL and **MS S-A AMAOUCHE** (instructed by **Stowe Family Law**) for the
Respondent

PROCEEDINGS
IN PRIVATE

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(Transcript prepared without access to case documentation)

A

MR JUSTICE MacDONALD: Yes, Ms Campbell.

B

MS CAMPBELL: Good morning, my Lord. My Lord, before I continue with my cross-examination, at the Bar we have reached a consensus that we would like to recommend to you if you are happy with this.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: Obviously, Mrs Zahmoul has made her case very clear in her statement.

C

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: And my client has made his case very clear in his statement.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: I have put quite a lot of the points that my client has made in his written evidence to the applicant.

D

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: It is agreed between us that Mr Molyneux will not take any objection if in submissions I make summary and make references to what is said in the statements ----

E

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: -- without putting each point to Mrs Zahmoul in evidence because we would be here forever if I were to do that.

MR JUSTICE MacDONALD: Indeed.

F

MS CAMPBELL: And so whilst Mr Molyneux does not accept my case, and obviously Mr Zahmoul challenges it ----

MR JUSTICE MacDONALD: Yes.

G

MS CAMPBELL: -- I am not going to, if you are happy with this, put any further points about the non-disclosure. Simply, as I said at the start in my examination of Mrs Zahmoul, Mr Zahmoul rejects her case and says that not only is it not true, it is not comprehensible.

MR JUSTICE MacDONALD: Yes.

H

MS CAMPBELL: Having illustrated that to some degree and allowing Mrs Zahmoul to express her position, I will move on from that topic if you are content with that.

MR JUSTICE MacDONALD: I think that is a very sensible approach in the circumstances and I am grateful to you and Mr Molyneux for having that discussion.

MS CAMPBELL: Thank you.

MR JUSTICE MacDONALD: Yes.

A

Mrs NADIA ZAHMOUL, Resumed

Cross-examined by MS CAMPBELL (Cont'd)

MS CAMPBELL: Mrs Zahmoul, good morning to you.

A. Good morning.

B

Q. I wonder if you would have a look in the bundle for me please, at page 1073? This is...
Sorry, I think I have given you the wrong reference. (After a pause) 1193, I am so sorry.
I have given you the wrong page number. It is 1193. This is an email of the 16
November 2016 from you to Mr Zahmoul, and it is talking about an investment called
“Ambience” and you are explaining to him “It looks very interesting, large market,
good demographic” and so on. Is this conversation arising out of information that Mr
Zahmoul passed to you? He said, “Look, here's an investment, Ambience. What do you
think about it?”

C

A. Your Lordship, yes. The respondent received very often ----

Q. Sorry, will you answer my question?

A. Sorry, I am sorry, yes. I'm getting there.

Q. So he was asking for your opinion?

E

A. Yes and based on a business model, a spreadsheet and a presentation of the business that
is ----

Q. Thank you?

A. -- not yet public.

F

Q. He is asking your opinion.

A. Yes.

Q. Can you have a look at page 1230, please? This is another business investment. You
can see in the middle of the page, which is the second message underneath: “Subject re
Yume(?)” Can you see that?

G

A. Absolutely, yes.

Q. And this was in 2017. This was another investment opportunity that Mr Zahmoul was
forwarding to you, again, to sort of sound your opinion. Is that fair?

H

A. That is correct. It is also another similar business, not yet public.

Q. Can you have a look at page 1198, please? Now you can see this is an email in 2018 and
this is again from your husband to you about a crypto fund. It says here: “Subject draft

A

crypto fund presentation.” If you just look over the page, you can see the presentation that he is forwarding, a multi-coin fund, February 2018.

A. This is correct, yes.

Q. This is another fund that Mr Zahmoul was sending to you to have a look at it. Is that fair?

B

A. Not correct. The other two were not funds. This one is a fund. It’s very different, but ----

Q. Why was he sending it to you?

C

A. Your Lordship, Mr -- the respondent, sent me typically business plans or business models because I was -- to get my take, my analysis, my fundamental analysis on the business, usually free public -- not all of them, but there is no such thing as conduct, if you think of conduct.

D

Q. Can you have a look for me please in the bundle of page 4320? 43-20. I am sorry, I apologise. I think I have got a different page reference because I have added the section 25 statement to my bundle and I am sorry. It does not exist in your bundle. Let me see where it will be. (After a pause) I think it is an exhibit to the statement. Let me just find it. I think it is an exhibit to Mr Zahmoul’s statement. Let me find the reference there. It is page 524. I am just trying to check which page this is, but I believe it is Mr Zahmoul’s statement. Do you have a 524?

E

A. It only goes up to 47 in the internal numbering. There is no ----

F

Q. Yes, it is an exhibit to Mr Zahmoul’s section 25 statement. So if you go to the first page of the exhibits, you should have an email there, 18 May 2018. Do you have that, Mrs Zahmoul?

MS CAMPBELL: My Lord, do you have this document?

G

MR JUSTICE MacDONALD: Just give me a moment. (After a pause) Yes, thank you.

MS CAMPBELL: Thank you, my Lord, Mrs Zahmoul, this is a document. that Mr Zahmoul passed to you. It is the firm’s contract for working for Sphere Digital, as I understand it?

A. Yes.

H

Q. And he sent you the contract and asked you to have a look at it and what we can see there in your message, 18 May, 9:22. “I have read through ... through thoroughly.” And so this is you again giving your opinion on the contract and what you thought about it.

A. That is right.

A

Q. Thank you. Can you have a look please at 2095? Again, we are in 2019. This is a message from Mr Zahmoul to you. And if you can read it -- I do not know if it is legible on your document, it looks like he sent a whole collection of documents that refer to his tax return for the UK and the US. Do you recognise that?

B

A. Yes.

Q. So he was sending you this information to compile the tax returns. Is that right?

A. No, I am sorry, that is not correct. We had purchased a house in Cheltenham.

Q. Yes.

C

A. At 975. I think we put a down-payment of three something, and this was the mortgage application to Barclays, which we sold the house the next year.

Q. So, this was evidence to try and get a mortgage from Barclays.

A. From Barclays.

D

Q. And he had forwarded these documents to you?

A. And the mortgage was withdrawn the next year.

Q. I understand. Thank you. Would you have a look please in the bundle at 2338? We are now in 2020. This is a WhatsApp conversation between you and Mr Zahmoul. Can you tell me what this is about, this page here?

E

A. So February 28th.

Q. It looks like ----

A. I'm sorry, the white one is... Okay so this is Russian and so the white is the respondent and we ----

F

Q. It looks like you are saying, "Should I buy back?" or ----

A. I am sorry excuse me.

Q. As I understand it the green, "Should I buy back?" is Mr Zahmoul asking your opinion and you reply, "Stay or remain(?) back in US equity."

G

A. I don't... What's Sugarneft ADR? I don't -- "open trade remaining in Sugarneft. That sounds like Russian ADR. I don't own any -- I do not know. Can I just get two seconds?

H

Q. Sure, absolutely.

A. "Useful also..." I was telling him useful. "How do you use it?"

Q. It looks as if you are making a record for him. You are saying something about "for your records on Monday that will reflect the following trades." It looks like you are keeping a list of ----

- A** A. I'm really sorry.
- Q. I am told that this is something that was sent to my client, to Mr Zahmoul by UBS, and he was sending it to you.
- A. Oh, okay. Great.
- B** Q. Does that make sense?
- A. Yes, okay. That sounds good. On 25 February ----
- Q. 2020?
- A. -- I would have known a couple of (inaudible due to overspeaking)
- C** Q. Have a look now in the bundle of 1433?
- A. Thank you.
- Q. Again, we are in 2020. We can see the date in the bottom part of the WhatsApp ----
- A. I'm sorry. I'm just trying to understand if it is American or English, that date.
- Q. He is in green; you are in white?
- D** A. Are we in February or April? I just need one second for context, because that is very different.
- Q. I think it is February, I am told.
- A. Okay.
- E** Q. You are talking something about some health details there, and then he sent you some details: the investment case for Bitcoin. Bitcoin was an investment, and he's forwarded it on back to you. Do you remember that?
- F** A. I'm really sorry. I was looking at the head thing with the emoji. "If you need context, let me know." Well, I think ----
- Q. I think he is sending you over information about Bitcoin?
- A. I don't remember, but that would be reasonable.
- G** Q. Okay, and then a little further on, 1467, this is you sending him details, as I understand, about the New Scientist PDF. And then he is talking to you about putting some Bitcoin into Bitwyre. Do you see that?
- A. Yes, that is correct.
- H** Q. At 10:37 -- I am sorry to have you going back and forwards ----
- A. No, no, that's okay.
- Q. -- in the bundle?
- A. This one as well.

MR JUSTICE MacDONALD: Sorry, Ms Campbell, which page?

IN PRIVATE

MS CAMPBELL: I am so sorry, my Lord. 1037.

MR JUSTICE MacDONALD: Thank you.

MS CAMPBELL: Yes. (To the witness) And this is, again, Mr Zahmoul, in 2021, sharing some information with you about the Mint Green investment?

A. Yes. This is correct but this is now inside the divorce procedure.

Q. Thank you. And the reason I have taken you to all of these documents is I want to make this point and ask you if you agree: throughout the latter part of your marriage and even into the divorce proceedings, as you have identified, Mr Zahmoul shared with you a significant amount of financial information. Do you agree?

A. Significant relative to what?

Q. He was very open about his finances with you. Do you accept that statement?

A. The part discloses the whole.

Q. Well, let me ask you in a more generalised sense. Do you agree, as Mr Zahmoul has told me, he says he shared all of his finances with you. It was basically an open book?

A. No, my Lord. I do not. No, I do not.

Q. How did you access all of the documents and the data that we have been referring to as the *Imerman* disclosure, or the Pinocchio files, you call it. How did you get that information?

A. Your Lordship this is... Would you like the written full story?

Q. I just want to know how you got to it?

A. Yes. So, some of it is documents that were prior in a drive, so they were already in a shared drive, and at posteriorly(?) I accessed, but this is the minority. Others ----

Q. So that would go --- there are two stages, you are saying. Some on an open shared drive?

A. Okay, so context: In 2020, we had been married for 27 years. The person who does all the admin, this is very well laid out in the March 22 letter from Withers.

Q. I just want to know the answer. Just tell me. You said on 2020 you had a shared drive?

A. 27 years of marriage with me being called administrator, right?

Q. So you had access to everything?

A. Absolutely. And I make the payments for everything.

Q. Right.

A. And I had access to a bank -- one bank account for the house.

Q. All right. What happened after 2020?

A

A. In 2020, in November was the respondent's last visit and he -- I found out later that he gave a computer to my older daughter. And I found out in day of last (inaudible) that she had a computer and she was watching Netflix. That's how I found out, because she became extremely tired. I am really sorry if that is not reflecting ----

B

Q. I am just trying to understand ----

A. And ----

Q. -- the timeline, Mrs Zahmoul.

A. I'm sorry.

C

Q. So I can be clear, I am not going to stop you; you can carry on, but I just want to understand. You are saying up until the end of 2020, you had full access, and then something changed -- and in November 2020, you did not?

A. Ms Campbell, I had access to what I had access, which the whole is not controlled by me. What I had access to is what was -- what the owner decided to give access to.

D

Q. All right. And when did that change? When did you get access to the information that the owner had not given you access to before?

A. Well, so which information? Most of the crypto is -- what I call Pinocchio, is printed documents that were sent to the solicitors when he gave me ----

E

Q. Mrs Zahmoul, you are farther ahead in time. I asked you a really simple question. When and how did you get access to the information that we have been referring to as *Imerman* documents? When?

F

A. So what we were discussing yesterday is... Thinking over four years and trying to understand this is why it is been so slow and as of yesterday I am still piecing together this.

MR JUSTICE MacDONALD: Just let us stop a moment and concentrate on the question Ms Campbell asked you.

G

A. Okay.

Q. When did you get access to the *Imerman* data?

A. Up until end of March and the FDU(sic) was April 7th. And then Withers asked me to send everything including the hard copies.

H

Q. So the end of March.

MS CAMPBELL: That is when you delivered it up, but when did you get it, is the question I am trying to find the answer to. When did you obtain this information?

A. November -- by December. December 2020.

A

Q. So that is when you got it, December 2020?

A. That's when I realized that Jade had - that's when I realized my daughter was with a PC and ----

Q. You are still not answering my question. Let us see if we can help each other?

B

A. No, I keep ----

Q. Just go to the page 1397 ----

MR JUSTICE MacDONALD: Let us just go to the bundle.

MS CAMPBELL: Go to page 1397, please. This is a letter from your friend Evelyn

C

Gargano(?) or was your friend, Evelyn Gargano. And she says in paragraph 3 of this letter -- well let us start with paragraph 2:

“In September 2020 Nadia asked me, Evelyn Gargano, to be made executor to her will, which I happily accepted. Around the same time, Nadia and you...”

D

-- because this is a letter to Mr Zahmoul --

“... stayed with us following Nadia's spinal surgery in September 17, 2020.”

E

So we have got a specific date, after you had surgery, September 2020?

A. Yes.

Q. So she says that it was during that stay, that you stayed until 5 October, and that you told her and her husband about having hacked into his laptop and having accessed his phone.

Is that true?

F

A. That is absolutely false.

Q. False. Okay.

A. May I just because this area is a bit ----

G

Q. I am just trying to get the times at the moment, the dates?

A. I absolutely did not ----

Q. I have put a specific date ----

A. -- tell Miss ----

H

Q. No, I am not asking... I am trying to find the date. So I have evidence and I have shown you that it was in September. I am asking you this question: Did you access the information in September 2020?

A. No.

Q. When did you access the information?

A

A. He left in November and I realized when Jade was -- that she was not sleeping, so it has to be between November and December.

Q. Okay. November/December 2020. That is all I needed to know. Thank you.

A. I'm really sorry, this -- can I just say something about this?

B

MR JUSTICE MacDONALD: Just wait for the next question, all right? Just wait for the next question, okay?

MS CAMPBELL: The information that you had -- we know that there was extensive information that was copied to your solicitors. And when did you give it to them? When did you give the information to your solicitors?

C

A. On the same day everything left when they picked it up at FDA on the 7th. The pickup was 16 April. Two devices, 200-page hard copies of -- that were returned, that you texted back to me, so that is Pinocchio. 200, those 200 pages, two devices, one had ----

D

Q. April?

A. April 15, 2021.

Q. 2021?

A. Yes.

E

Q. Thank you very much.

A. There is one more set of documents. It is the telephone, his phone. So during the pandemic, he hacked into Ms Molina's account and I found his phone and also I think we need the *Imerman* letter from Diana -- from Mrs -- Diana Parker. There are several sources. One is six months of the pandemic with the respondent at home with us and all the screens open all the time. That, if anything, was open, and I have, and 3,600 pictures were not returned as per the *Imerman* letter.

F

Q. So I understand what you are saying, during 2020, you have got 6,000 and however many photos?

G

A. No. During the pandemic, the respondent had devices all over the house.

Q. Yes.

A. I think I say it in my statement. Had open -- open devices left open, here and there, was talking openly to Ms Molina on speakerphone.

H

Q. Okay, and were you looking at his devices in 2020?

A. They were open, so whether I was looking or not is ----

Q. The question I want to know: did you look at them in 2020?

A. During the pandemic?

- A** Q. Yes?
A. After I found out about Ms Molina ----
Q. Yes?
A. -- did I look at it?
- B** Q. Did you look at the devices?
A. Any device if it was open and unattended?
Q. Yes?
A. Probably.
- C** Q. Well, you either did or you did not, Mrs Zahmoul. No need to be coy about it. I think we all know the answer. You did. You looked at it.
A. I just think the question is -- okay, if -- when the -- actually, he laughed -- he laughed about it.
- D** Q. I asked you a really simple question?
A. Yes.
Q. Did you look ----
A. When we --
Q. -- at them?
- E** A. -- and I saw something. I did and I can recount it and I remember it.
Q. Right, so did you just see ----
A. If I see I can remember it.
- F** Q. Did you just see what was open and remember it or did you access the devices?
A. No, I saw ----
Q. Because you mentioned thousands of pages.
A. I saw what was open and then -- and I remember everything.
- G** Q. You mentioned literally a few moments ago there were thousands of pages from the phone. You saw thousands of pages?
A. Yeah, they were all the pictures that you would not want ----
Q. So, you did not scroll through and have a look. You just glanced on the screen. Is that what you are saying to the judge?
- H** A. Except on -- except in Morocco on February 17, 2020, which is the day I found out 2020, when we were in Marrakesh and he left his open computer in the room and left with my father. That is the day I walked in a room and there was an open WhatsApp conversation with Ms Molina. That's when I found out that she -- of her existence.

A

Q. Okay. So between February 2020 and we know lockdown was March 2020 ----

A. Yes.

Q. -- and you have explained this date in November 2020, I think, you were saying when you noticed your daughter on her ----

B

A. That is November.

Q. Yes.

A. 2020 to December when, after the third day of ----

Q. So we know, between February 2020 and November or December 2020, you had access to Mr Zahmoul's devices?

C

A. Which we -- no, no. In February 2020, your Lordship, the respondent, came to join me in Marrakesh and I found out Ms Molina existed. I had already seen Withers a month prior. And then he came for the (indiscernible) to Gloucestershire, and decided to stay for the lockdown. He came with all his devices full, took over the house. He was established himself in the house for six months. From there, we went to Beverly Hills and spent three weeks together. Then the children and I flew to Wyoming, and the respondent drove -- drove to Wyoming.

D

Q. Mrs Zahmoul, you are leading ----

E

A. I'm leading into a timeline.

Q. -- to a completely different area. I simply asked you this: Between February 2020 and the end of 2020, maybe November or December ----

A. Yes, it's (indiscernible) because there is a timeline.

F

Q. You just told us you had access to his devices?

A. So, when he came back -- March 26 we started lockdown and he had all the devices open.

G

Q. When did he leave your home?

A. Went away in August, then I went for surgery, and then he left, and he came to New York, and then for October half-term, October half-term was the last presence of the respondent.

H

Q. All right, okay. So we have worked out then your timeline, from February through to the end of the summer, August, you had access to the devices?

A. So, during that period you just cited, it was whatever I saw on the screens and committed to memory. And afterwards, I found the laptop from Jade.

A

Q. Mrs Zahmoul, I am going to put this to you: that during that period, you carried out extensive research on Mr Zahmoul's devices. You did not just look at the screens, you looked through the devices to find evidence?

A. That is not -- that is not true. That is not right.

B

Q. All right, well we disagree.

A. And the laptop computer, I found with Jade, that is November/December, when she was not sleeping and she brought me the computer.

C

Q. So, are you asking the judge to accept that after the end of the year, after 2020 came to a conclusion, and before you gave the devices to your solicitors in April -- let me ask you this -- did you access the devices and look through them then?

A. Do you mean the laptop of Jade?

Q. The devices that you ----

D

A. Yes.

Q. -- you had.

A. We saw -- the computer that the respondent had given Jade had -- was open. And that is where the 200 pages came from.

E

Q. Did you look through it?

A. Through the 200 pages? Yes. And they were returned to me so I can discuss them. I did not know how to remember them. Some of them made no sense and they only made sense last week?

F

Q. All right. I understand that when your solicitors returned the papers in April, there were 1,700 documents?

A. Most of them you just said they were outside the *Imerman* environment. They were records of UBS and Barclays statement that had zero use, and they were -- the instruction was to ----

G

Q. You said they were useless. What do you mean "useless"?

A. They were not part of the *Imerman* exercise. They were simply bank records and historical statements with instructions to forward them to the respondent.

H

Q. That does not make them useless. What does the word "useless" mean?

A. Oh sorry. "Useless" means they were fine by me as an administrator of the house. They had no useful value for the proceedings because they were historical and they were of the house that I was aware of and -- and -- and most of them arrived electronically, but those that arrived in paper, I keep them so he can check them when he's ----

- A Q. And you downloaded them and put them on to paper?
- A. No.
- Q. No?
- A. Just the regular post to the house.
- B Q. All right.
- A. So, as administrator, I opened the post. I had the hole punch and I stake them. He never looks at them.
- Q. So I am clear about numbers, we have the 1700 hard documents that were sent to the solicitors?
- C A. Of those 200 are *Imerman*, Pinocchio. *Imerman*, then became (inaudible).
- Q. And then there were separate from those 1700, there were all the documents that you say were the Pinocchio files that were sent back to them?
- A. No, no, no.
- D Q. No?
- A. There were four binders. One was Pinocchio. The other three were with the instructions, we sent to the respondent. Those three are useless to go through them. One is Pinocchio -- one. That is 200 pages. The reason the *Imerman* exercise took so long is because even though the instructions were, please forward these, so the three, UBS, Barclays -- and I forgot the third one -- to the respondent, and even though we were -- I was -- I was -- were communicating at that time, he instructed HFC to nonetheless carry out the entire exercise so that it would stretch, because, please your Lordship, this was around the time of the Coinbase direct listing on the -- one week after the FDA, and that is the reason why with the *Imerman* being stretched in time and in value, in cost, we arrived at two -- one business day before the FDR, the updating disclosures, which they asked, by the way, to not -- to skip the updating disclosures if they could and we said "No." So, the three were -- and I insisted and we have -- this is documented, I insisted, I said it shouldn't be so expensive; it is just one folder. And he said, "No, we are doing all four of them."
- E
- F
- G
- H Q. Let us have a look, shall we, in the bundle at the letter from HFC at 2230, 22-30.
- A. On 7 April?
- Q. No, this is from Mr Zahmoul's solicitors to yours, after they delivered up the documents, and it is a letter dated 24 June 2021?
- A. So it is a review of the *Imerman* documents.

A

Q. Yes. What we can see here is that there were categories of documents?

A. Yes.

Q. You had categorised them, had you not? You put them into files?

A. Yes, yes.

B

Q. Yes?

A. In the peak of this. So you can see ----

Q. I am just going to summarise so that we can agree what we are looking at. There was a yellow lever arch file with the Barclays material in it?

C

A. That was not *Imerman*. So, this is inflation of legal costs for the purpose of stretching something over time.

Q. Then let us look -- there was a red lever arch file with all the UBS documents in it?

A. This was not *Imerman*, so useless.

D

Q. There was a grey lever arch file with all the tax documents in it?

A. Useless. Useless.

Q. There was a red folder about the children?

A. As you can see, the only one held in escrow, as it says by his own lawyers, is the black lever arch. That is the only one.

E

Q. Yes. You are concerned whether or not they breached the privacy of Mr Zahmoul. I am trying to find out what you looked at?

A. I looked at ----

F

Q. So, we are just having a look and then we see in that folder there were transfers between various people, a great deal of information about Ms Molina, do you agree?

A. Everything in the black large document(sic) I had looked at and then 90% did not make sense because I did not know what a node was. I can explain to you now because now I know that three years later. And I had looked at and he sent me on May 6, 2021, by messenger, by text message. So, it had lost confidentiality status and ----

G

Q. We are going in different directions, Mrs Zahmoul. You are talking about one thing and I am asking you questions about something else?

A. Why are they different?

H

Q. Have a look at 2235 for me please?

A. I looked at them and it is not confidential. That is the point I am trying to make. I look at them and ----

IN PRIVATE

A

Q. I know the point you are trying to make. You are trying to say whether or not you breached his confidence. I am simply trying to find out what you looked at?

A. Everything ----

Q. Okay?

B

A. -- I have now in my possession.

Q. So, we know that you had access to his devices between February 2020 and the end of ----

C

A. Sorry, no. February '20 to November, the respondent had his own devices and was with the children and I during -- for the lockdown all the way until the end of August in the US until I brought them back to Gloucestershire. And he had his devices ----

Q. You told us you saw thousands ----

D

A. -- and he spoke openly to Ms Molina throughout the lockdown on speakerphone and this was not a great time. So -- which I saw, and also did the children and -- and -- it is not even something that we would want in the courtroom with a lot of pictures and text messages.

Q. All right. Let's have a look at page 2235?

E

A. And some -- some of them are in the papers.

Q. 2235 please, Mrs Zahmoul.

A. Yes. Now, Pinocchio is very different. Now ----

Q. Mrs Zahmoul, could you look at page 2235?

F

A. Okay.

Q. Have you got that?

A. Yes, yes.

Q. Paragraph 51?

G

A. Yes.

Q. This is information that was copied or seen by you. A printout relating to Coinbase, Multibit Classic and Gemini, which is closed?

A. This is a review of what -- yes.

H

Q. Yes?

A. Yes.

Q. And it is expressed there that Mr Zahmoul's Coinbase account is disclosed in his Form E and says here: "Our client no longer holds Multibit or Gemini accounts and has not for many years?"

A

A. Which was false. Which was proven two years later to be false. First one when we did the subpoena. This is great, because this is a sworn affidavit saying this is what I have.

Q. The letter?

A. Right. This is my review and feedback on *Imerman*.

B

Q. Yes?

A. And then 51 is a false statement. "Our client no longer holds this." And ----

Q. Mrs Zahmoul ----

A. -- it took a subpoena and 1.6 million pounds to find out that the client actually holds a Gemini.

C

Q. The Gemini comes ----

A. And then retroactively -- retroactively gave it to his sister for her wedding in 2018.

Q. I understand your ----

A. -- in 2022 you've even ----

D

MR JUSTICE MacDONALD: Mrs Zahmoul, listen for the question.

A. Yes.

MS CAMPBELL: I want you now, if you would please, to have a look at page 1389.

A. Yes.

E

Q. We are back in 2018. This is an email. Mr Zahmoul sent you a list of updated assets. Can you see that?

A. Yes.

Q. You can see it refers to real estates ----

F

A. Yes.

Q. -- bank accounts and so on and then investments? Can you see that category of investments? Can you see it?

A. Temporaries -- and then yes absolutely I am with you, yes Coinbase,

G

Q. Can you see the reference there "Coinbase £75,000."?

A. And we are in 2018, right?

Q. Yes.

H

A. Okay so two -- two things there, your Lordship. The investment says Coinbase. It does not say Topanga, and there is no connection in this email between Coinbase and Topanga. So, I can ----

Q. Mrs Zahmoul, you knew ----

A. At that stage the investment was in Topanga, the only officially -- the only person

who ----

A

Q. Mrs Zahmoul, you are not answering ----

A. -- knew about Topanga was an LLC vehicle, that vehicle that invested in 2015 into Coinbase is Mr Zahmoul and ----

B

Q. I have not yet asked you a question.

A. But I am just telling you.

Q. I know. You are here to answer questions, I am afraid?

A. I am really sorry.

C

Q. Just wait for my question.

A. Yes, I can see Coinbase, 75.

Q. So in 2018, you knew that Mr Zahmoul had a £75,000 investment in Coinbase?

D

A. No. Coinbase is also a wallet and a bank account, so the respondent in addition to the investment which I did not know about and which was in Topanga Canyon Holdings LLC and which he made from the Citibank account that we had on 17 February 2015 into Macross, the holding capital that owns Topanga Canyon Holdings LLC, instead, he put 75 of joint money in February 2015. What -- I did not know that -- but what I did know is that he had wallet at Coinbase exchange, private, private, and in that wallet he invested in crypto. So when the respondent refers to "Coinbase", it can either be the wallet, when he speaks to my brother, it is the wallet where he is buying crypto, and that Coinbase only became Coinbase versus Topanga on April 14, 2021 ----

E

Q. Mrs Zahmoul ----

F

A. -- much later, on 16 July, 2021, one day before the FDR.

Q. -- look back at the documents.

A. Yes, I am.

G

Q. There is a heading that says "Real estates", and then real estate is listed. There is a heading that says "bank accounts" ----

A. Yes.

H

Q. -- and then bank accounts are listed. And there is a heading that says "Investments", and then Coinbase is listed. I put it to you again that you knew that your husband had invested £75,000 in Coinbase, a business investment?

A. I'm sorry. The answer is no, and I am asking you, is this -- is this what you are using as evidence of? This is it? You do not have any ----

Q. Look at 1392, please, Mrs Zahmoul?

A

A. Ms Campbell, if I knew this was Coinbase -- do you think on 7 April 2021, I would have ----

MR JUSTICE MacDONALD: Mrs Zahmoul, look at the page you have been referred to ----

A. Yes, yes.

B

Q. -- and listen to the question. All right.

MS CAMPBELL: This is 1392 and you will see this is a WhatsApp exchange?

A. Yes.

Q. I think it is 10 March, or 3 October?

C

A. Yes, it is ----

Q. 3 October.

A. Yes.

Q. And you can see Mr Zahmoul is sending you a link to show you that there has been a new investment by Tiger Global into Coinbase?

D

A. Yes.

Q. And increased the value to ----

A. 8 billion.

Q. 8 billion. And you reply with an emoji wink.

E

A. Yes.

Q. Is that just generally great good luck to all those investors in Coinbase?

A. No, because ----

Q. Or good luck to the world?

F

A. So this is Tiger Global and we are where?

Q. 2018.

A. 2018. So, Coinbase, the private company, had 17 funding funds -- funding grounds.

G

Therefore, when the respondent said one month before in his form E that he did not know the value of that investment and kept it at 75, you can see that this is in complete opposition because he actually sent me this, which means that this is -- when a venture capital firm like Tiger Global invests in an investment, it sets a value. Therefore, just by sending me this, he's telling you that he knows the company is worth 8 billion.

H

Therefore, when he tells you on phone, his investment stays at 75, but he knows the company is 8 billion ----

Q. Can you wait for ----

A. -- you can see, okay.

A

Q. I am trying to understand what you knew.

A. I said in an email because I didn't care.

Q. Mrs Zahmoul, can I ask you the question?

A. But I would not send an email ----

B

MR JUSTICE MacDONALD: Just pause please?

A. I would -- I'm ----

Q. Mrs Zahmoul?

A. I am sorry.

C

Q. I am trying to understand your case. All right. I am trying to listen to the answers you are giving because that is my job and it is fair to you. If you do not listen to the question and try and answer the question and instead go off piste, I am not going to be able to understand what you are saying.

D

A. Yes.

Q. And I really need to understand.

A. Okay.

Q. So I want you to calm down.

E

A. Okay.

Q. I want you to listen to the question and give an answer. All right? Okay.

MS CAMPBELL: So, the question I want you to answer, Mrs Zahmoul, is why were you sending what I would say is a good luck wink or a congratulations wink or a positive personal expression from you to him about the announcement that Coinbase was now worth 8 billion?

F

A. Because it was -- I had -- it -- because I have nothing else. I have no other words. I suddenly was ----

G

Q. This was Mr Zahmoul ----

A. Because it's good news.

Q. Good news?

A. For the market.

H

Q. Good news for the market?

A. Yes. I will ----

Q. I put it to you, Mrs Zahmoul that you gave the wink because it was good news to your family because you have a £75,000 -- dollar investment in Coinbase. If it was going up to maybe 8 billion, that was good news for you?

A

A. Ms Campbell, then the FCA ----

Q. Is that true or not?

A. Because with my background I would have attracted a lot better and I would have found out a lot sooner.

B

Q. Let us have a look at page 1394 please. This is the time in 2019 when you were trying to arrange a mortgage and we can see this is an email exchange to the bank, Barclays?

A. Your Lordship -- Ms Campbell ----

MR JUSTICE MacDONALD: Can you just look at the document?

C

A. Yes.

Q. All right. And just follow through the document which Ms Campbell is putting it to you.

A. Yes.

Q. All right.

A. Yes.

D

MS CAMPBELL: And just so it is in context, if you look at the document on 1395, you can see where this is coming from. This is the bank writing, asking for additional information?

A. This is the same bank.

E

Q. Yes. And then we can see at 1394 Mr Zahmoul is correcting the information that has been relayed, and he talks at point one there about the Metropolitan Commercial Bank statements, so on, credit cards, school fees. And then he says:

F

“The big missing piece is the IRSV and the IPP2, which is more than 1.8 million in assets.”

And then it says:

“Additionally there is 200 shares in Ventus D.”

G

And then on the next line he says,

“I also have private investments that do not seem to be included investment in Coinbase.”

H

A. Yes.

Q. This is a reflection of the fact that you and he were both aware that he had an investment in Coinbase. That is right?

A. Ms Campbell, are you asking me a question?

A

Q. Yes, I am asking you whether you knew at that stage that he had an investment in Coinbase.

A. Your Lordship, the missing word is Topanga.

Q. I am asking you about Coinbase.

B

A. So, it's no. The answer is no. Your Lordship, my training is in the valuing -- is in the valuation of -- equity valuation of companies. In fact, if I had known that Coinbase was -- whether we had Coinbase, I would have known immediately from the disclosures of Form E. It wouldn't have taken me two -- two years and 1.6 million to get there, because that is what my job. That is what I did for a living. I am very ----

C

MR JUSTICE MacDONALD: All right.

MS CAMPBELL: Can you have a look at the line below that please?

A. Yes, yes.

D

Q. At 1394.

“As mentioned yesterday, I also have some crypto investments, about 45 Bitcoins which is worth about \$450,000.”

So Mr Zahmoul, in this document is actually distinguishing the Coinbase investments in the Bitcoin?

E

A. I know. I realise this. The only missing thing is that I realised it in posteriorly(?) that there is no connection between Coinbase and Topanga, because if there had been, one more time, I would have learned that form, it is off by 7 million, at 7 million when it is 11 ----

F

Q. Again ----

A. -- I would have known ----

Q. -- you are asking those questions or answering questions that I have not asked you. I am asking whether you knew about Coinbase?

G

A. I did not.

Q. So despite seeing that document, just to be clear, if you look at page 2098, it is clear that you were copied in on the exchange?

H

A. Yes, I was copied.

Q. But it is not apparently from that document?

A. But this if copy of something Coinbase, that in fact was Topanga is the proof that I knew, I am sorry, I did not.

- A Q. I am putting it to you ----
- A. I did not know that he had made an investment in 2015 in something called Topanga, that we also call Coinbase.
- B Q. Mrs Zahmoul, I am putting it to you that you knew that your husband had invested \$75,000 in Coinbase as an investment in the company, different from the Coinbase -- coins, bitcoins. that we may have had in currency?
- A. Your Lordship, I did not.
- MR JUSTICE MacDONALD: Do you agree with that or not?
- A. No, I do not agree.
- C Q. Okay. That is fine. I understand.
- MS CAMPBELL: And have a look please at page 1400?
- MR JUSTICE MacDONALD: Sorry, say that again, Ms Campbell.
- MS CAMPBELL: I am sorry. 1400, 1-4-0-0.
- D MR JUSTICE MacDONALD: Okay. Thank you.
- MS CAMPBELL: Mr Zahmoul instructs me that not only did you know, but your friends and family knew about it too; that it was widely discussed in your social group about the fortunes of Coinbase and that you and he had an investment in it. Do you accept that?
- E A. The answer is no.
- Q. Okay.
- A. Your Lordship ----
- F Q. And this document here from Sylvie Uziel(?), a WhatsApp message. again, I am instructed that this was part of an exchange between Mr Zahmoul and your friend about his ownership of Coinbase shares. Do you accept that?
- A. This is not true.
- G Q. Your Lordship, I did not know I could have witnesses, but both these people, my brother and Ms Uziel were ready to testify. They still can and provide affidavits. As you can see, Ms Uziel is CEO of a large company, and she is also *Chevalier d'Ordre d'honneur* in French. She is honoured by the French government as a very important woman. She has ----
- H Q. You have given me your answer so ----
- A. -- my brother said no, and Ms Uziel said no, and in French, "*j'achète du BTC*" is an "*achète du compagnie*". "*Du*" means pieces, right. "*J'achète du*" -- it's things that are

- A granular. If you were buying a company, you would say, "*J'achète Coinbase*" direct -- it's direct.
- Q. To the Bitcoin, I agree with you.
- A. This is referring to pieces.
- B Q. And that is why she questions: "Bitcoin?" He says "Bitcoin" and then she says, "I'm waiting for the ICO also."
- A. Yes.
- Q. And "Good luck waiting."
- C A. And he said "Coinbase is coming soon." Did he say, "*J'achète Coinbase?*" No. He said, "*J'achète du BTC*" and this is ----
- Q. All right.
- A. And if you had the rest of the conversation, she said, "Are you buying the company?" And he said, "No, I am a family man. I make prudent investments and buying those ----
- D Q. And where is that WhatsApp then?
- A. It's the rest of it.
- Q. Well, where is it? If you have you seen this WhatsApp, where is it?
- A. Well, no I translate it.
- E Q. Yes, so where is it?
- A. Well, I did not know that... If you want it. If I can have it, I can Sylvie here if you want.
- Q. Let us have a look at page ----
- A. She made plans to come until my -- my team ----
- F Q. Do not tell us what your team said. Look at page 1802, please?
- A. Your Lordship, Ms Uziel is willing to come.
- MR JUSTICE MacDONALD: Just look at 1402, all right?
- A. Yes.
- G MS CAMPBELL: Do you see here, this is a conversation between your husband and your brother?
- A. Yes.
- H Q. And this is him asking or making -- forwarding ----
- A. Yes.
- Q. -- information about buying into Coinbase?
- A. Yes.
- Q. This is in 2021, 6 January?

A

A. Yes, okay.

Q. Yes?

A. Yes.

Q. At this stage Mr Zahmoul did not know that you were proceeding with the Form A. Although it had been issued, he had not seen it?

B

A. Oh, Ms Campbell, that is (inaudible)

Q. All right. Well, let us just have a look at the conversation if we can. Your brother is asking or sending information about buying into the IPO, and Mr Zahmoul says -- I think that is meant to say, "Are you buying?" And he gives some more information about the value?

C

A. Yes.

Q. And Mr Zahmoul says effectively that it is expected to go to \$10,000 or pounds -- 10,000?

D

A. Yes.

Q. Then if we look over the page on 17 January, the conversation continues. Your brother is sending information about Coinbase?

E

A. Yes.

Q. And Mr Zahmoul saying, "*Bonjour, bon tous*, boss. Do you work with Hassan?" and your brother says "Who is he?" Then they go on. Then over the page you can see the conversation continues?

F

A. Yes.

Q. There it is again, from your brother, the details about buying the value of Coinbase. Then look over on 1405, we have another emoji from your brother?

G

A. Yes.

Q. Mr Zahmoul says: "Wow, that is a big number" -- talking about the value of Coinbase, "Wonder where they'll close." And your brother sends an emoji with a sort of excited, happy face?

H

A. Okay.

Q. "Could you believe it" sort of thing?

A. Yes.

Q. Again, Mr Zahmoul tells me that this is evidence that your brother knew about the investment in Coinbase, and that is why he was asking Mr Zahmoul about the Coinbase deal, and why he sent that happy emoji face. Do you accept that?

A

A. Your Lordship, the answer is no, and I will give you the evidence for this one. My brother is also available to come in person to testify and so is Ms Uziel.

B

Q. Can you have a look for me at page 2692 please? This is a spreadsheet that was prepared, dealing with a list of investments that your husband had. Can you have a look? Date of acquisition, the currency and the value. And we can see here there is a listing, one up from the bottom, \$2,016, 75,000 is a Coinbase security investment.” This was a document sent to you?

C

A. No, no.

Q. It was sent to you in 2017?

A. This is incorrect. This is a document available to me through a shared Google Drive. It is very different from “sent to me”.

Q. All right. I am told it was sent to you in May 2017?

D

A. I know, and the answer is “no”.

Q. Mr Zahmoul tells me ----

A. In May 2017, that is probably the date the document was created. The date of acquisition of Coinbase is wrong because it’s 2015, not 2016.

E

Q. So you know that. The date of the acquisition of Coinbase was 2015?

A. Of course. The order is 17 February 2015.

Q. Okay.

A. I’m not posturing.

F

Q. So this is inaccurate in ----

A. (Inaudible due to overspeaking) account.

Q. This is inaccurate in terms of when it was acquired?

A. Yes.

G

Q. But Mr Zahmoul says that you and he were concerned that he might die and you would not know where his investments were and what they were?

A. This is not ----

Q. So, he sent you this schedule so that you knew what he had. Do you remember that?

H

A. This is not correct and it’s not true. This schedule here ----

Q. Yes.

A. -- the spreadsheet?

Q. Yes.

A

A. Absolutely. This schedule -- the only thing it acts of value is the last line -- is the fact that he did a total return swap, I believe, with Ambience and then said he did not.

Q. You are talking about a different topic. I am asking you when you saw this document. Is it your case that you did not see this document until these divorce proceedings?

B

A. Absolutely, yes.

Q. Mrs Zahmoul, I am putting it to you that you are not telling the truth about that. This was sent to you in 2017 when you and Mr Zahmoul had a discussion about his possible death. You would not know where his assets ----

C

A. No, that was an email.

Q. -- where his assets were?

A. It is an email that he sent in 2016, not 2017.

Q. Okay?

D

A. And it lists in the email the assets. Not this. This is a spreadsheet accessible to Google Drive, which I only -- which I only found out when I was searching for Ambience because Ambience did a SPAC, then the respondent said ----

Q. And when was that?

E

A. The SPAC?

Q. When was the SPAC?

A. In November in 2021, and then the respondent said -- in '21 or '22? I think '21. And at that stage, the respondent said, oh, he had not invested. So after sending me all the documents to help to give -- to get my analysis on the business plan and so on, then what -- Mike Deeg invested in it -- after all those back and forths and my analysis and "what do you think of the business plan?" and all of that, then during the proceedings he said, oh no, he didn't do it because he's not a US resident. So this says he did it and he did it through Mike Deeg, who is a US citizen, and it is a total retax of -- TRS -- a total return swap, where Mike takes the money off to him and then gives him the upside when he goes up. So the company ----

G

Q. My point is ----

H

A. -- the SPAC, the company did a SPAC and merged with another company called... A SPAC is an off-shelf IPO, it is a way to go public and ----

Q. Mr Zahmoul, Mike Deeg, what is his job?

A. This is very good. Mike Deeg is a surrogate(?) who responded to all his taxes ----

Q. What is his job on his Curriculum vitae. What is his job?

- A** A. His expertise is taxes. He's also a trader.
Q. And he is FCA regulated, is he not?
A. Absolutely.
Q. Do you think Mike Deeg would hold ----
- B** A. I'm sorry.
Q. Do you think ----
A. Of course. Yes, absolutely, yes of course. The answer is yes.
Q. You are answering me but you have not heard my question.
A. I know the question.
- C** Q. You know my question.
A. If Mike with FCA regulation would do something like -- yes, yes.
Q. You would. You think Mike Deeg would hold assets, money, investments that belong to Mr Zahmoul ----
- D** A. Yes.
Q. -- to hide them ----
A. Mmh. No, no ----
Q. -- from you?
- E** A. No, I'm really sorry. The answer is serious, but in this case, if you know the documentation from the case, this -- this belong -- this investment was made through a vehicle -- through a vehicle. The COO emailed the respondent, we now know that, and told him, "You need a W9, you need to be a US resident in order to invest here." And --
- F** and -- and then the respondent said, "Can I put my wife?" And then: "I could put my wife and I send you her passport." Then he decided against, and so (inaudible) with my Mike Deeg. So, the answer is yes. And can he do it? Yes. Would he do it? Yes? Did he do it? It looks like he did.
- G** Q. Okay, you are ----
A. And I do not know about that.
Q. Let me summarise if I may?
A. Yes.
- H** Q. What you are saying is he did it for proper business reasons?
A. Absolutely.
Q. All right?

A

A. Because I think investment can only be made by someone who has a W9. It has to do with taxes.

Q. I think we are agreeing that Mr Deeg would not cheat or try and hide things. He was simply involved in a business transaction?

B

A. That's a different question. In this case, it is simply to help. In the rest of our proceedings, the answer is no. Mr Deeg would commit ----

Q. I understand your case?

A. Okay.

C

Q. I will put it to you just to be clear that Mr Zahmoul says that it is absolute nonsense; that Mr Deeg would never engage in any activity that would hide or shield assets?

A. He would.

Q. You are saying he would and ----

D

A. Absolutely.

Q. -- I am putting ----

A. Without a doubt.

Q. -- Mr Zahmoul's case. All right. Have a look at 2369 please, 23-69. After the Coinbase IPO ----

E

MR JUSTICE MacDONALD: Hold on, Ms Campbell. Let us just get to the document.

MS CAMPBELL: I am so sorry. (To the witness) After the IPO in Coinbase, we know that the value rocketed up to \$7 million. And Mr Zahmoul wants to take advantage of that, and he wrote to you and suggested because of the massive rise in the value, the exponential rise, he says: "Do you realise that between these two, the appreciation..." -- that is the Coinbase and the Bitcoins --

F

G

"... we have experienced in the last month and a half puts the value of these over US\$10 million. this means you could get 4 million in cash and have some in escrow for the taxes that would come to you later, plus the split of everything else."

Mr Zahmoul wanted to sell those shares in Coinbase at this time. Do you recognise that? On 4 November, that is what Mr Zahmoul wanted to do, was liquidate the Coinbase shares and each of you take cash. Do you understand that?

H

A. Your lordship, the first thing I'd like to say is that I don't read any emails sent by the correspondent at all, and I blocked my WhatsApp a long time ago. Therefore, yes, I know -- I know, I have some, and this is known. Withers wrote four times, and Ms

A

Bloom wrote twice. I do not read anything that comes, and he knows it, obviously. So that is the first thing. Number two: did he send this? I understand, and I note the price of Coinbase.

Q. My question?

A. Yes.

B

Q. Did you know he wanted to sell Coinbase in November so you could each take cash? He says there: you would have 4 million plus money for the taxes. That is what he wanted to do?

C

A. No, your Lordship, this is not: "I would like to sell". This is just... Where does it say, "I would like to sell."?

Q. It says that you would have 4 million as cash. That suggests ----

A. So, he is suggesting if we settle now. So, I don't do settlement like that. I'm sorry.

Q. You do what settlements?

D

A. No. I'm sorry. After the non-disclosure of 7 million, I cannot do a settlement based on an email and on the side.

Q. All right. Thank you?

A. Yes.

E

Q. Could you look at 1375 in the bundle, please?

A. So, for the record, Mr Zahmoul when the price is high, not when the price is low. I just wanted to say that, because that would be ----

MR JUSTICE MacDONALD: Just look at the page that you have been referred to?

F

A. Yes.

MS CAMPBELL: 1375. This is March 2022?

A. Mmh.

Q. You are writing to ----

G

A. Yes.

Q. I am sorry?

A. Yes.

H

Q. Yes. Do you see you are writing to somebody called Rachel. Rachel has -- Kindred Ventures (?). As I understand it, she had control of the Coinbase shares. Is that right?

A. The short answer is "yes".

Q. Thank you. And you are writing to her ----

A. Yes.

A

Q. -- proposing that half of them be transferred over to you?.

A. Yes.

Q. And you did not copy Mr Zahmoul in on this correspondence, did you?

A. No.

B

Q. No. You wrote directly to her and asked her to send half of them to you?

A. No, that is not what I did.

Q. Okay. So, what is this then?

A. Okay.

C

Q. Explain what this is?

A. Okay. So you see the date. March 23, 2022, your Lordship. The direct listing had occurred on April 14, 2021 . Because the 7 million... Okay, the respondent invested in an LLC vehicle, so what he had was a partnership interest in an LLC that he paid for \$75,000. That partnership interest on April 14 did something called "an in-kind distribution" and he was given 21,857 shares of Coinbase. On April 14, he received a piece of paper that says, "in-kind distribution, you have \$7 million." That went -- the securities went through Forte Securities. From a tax perspective, and the respondent is in Portugal -- so the capital gain between what he invested, \$75 [million] and \$7.5 million, he pays nothing on that because he's in Portugal. However, the Portuguese tax authorities will hold up to 28 per cent up to four years because they might or might not -- that is the statute of limitations -- they might or might not claw back on it. Now, I am a US citizen and I was trying to avoid that because I do not want to commit 28 per cent of 77 million ----

E

F

Q. Can you tell us why ----

A. I'm sorry.

G

Q. -- what I said is wrong?

A. This is very important because ----

Q. No, no. I need to understand first of all what... You are telling us why you did this. I want to know what did you do? What were you asking Rachel?

H

A. I'm getting there.

Q. -- to do?

A. I was asking -- so what is possible to do in order to avoid being chained -- chained, chained for four years, 28 per cent of 7 million minus 75 -- 28 per cent divided by two, I have to put in escrow for four years. In order to avoid that, there is another way you can,

A

because at the time of the exchange of the time in-kind distribution, if he had said I was spouse and if I had half of his interest, I would have received half of 7 million as a US citizen, and I will be responsible for my own capital gains. And I was asking her to put me as a partner, as if those seven and a half that came from the 75 were owned by both of us, which it was, because the Citibank money was (inaudible). I was asking her, and it is totally doable because I checked with a company that does ----

B

Q. You are asking for legal title to 50 per cent?

A. I'm sorry. I am asking her -- she -- I'm asking her... I had a ----

C

Q. I still do not know the answer to the question. What were you asking her to do?

A. To retroactively, at that date, put under the distribution two people instead of one, which is ----

Q. You were trying to get 50 per cent ----

A. Yes.

D

Q. -- of the value?

A. Yes, yes in my name -- to have my share not held in ----

Q. Did you ----

A. Sorry.

E

Q. -- explain this to Mr Zahmoul or his solicitors who were acting at the time that you were doing this?

A. Of course, they knew because ----

Q. How did they know?

F

A. In correspondence, they knew that I did not -- that (a) under the statutes of limitation, that his Portuguese taxes should not ----

Q. How did they know that ----

A. From correspondence back in ----

G

Q. They did not know when this was sent. When this was sent, nobody knew you were doing it. His solicitors did not know?

A. Is that the point? Okay. So I researched it ----

Q. Can you answer my point?

H

A. I asked her -- no, they ----

Q. They did not know, did they?

A. -- didn't know, but when he did know, he did not do it.

Q. Thank you?

A

A. And she said, "Yes, we can do it. We have one week to do it because we are unwinding Topanga." She said ----

Q. All right, I think you ----

A. -- you have one week?

B

Q. -- answered my question.

A. -- it is doable, so ----

MR JUSTICE MacDONALD: All right.

C

A. Your Lordship, one more question. It turns -- one more thing. It turns out, now, if I am correct, that Coinbase now, as reported -- if it is Coinbase, the 7 million, I do not know. In the Portuguese taxes, it's not a capital gain; it is a dividend.

Q. Okay, all right.

A. But that is very relevant because he wants to charge me taxes of 350 when he's not paying it.

D

Q. Okay. All right?

A. I can explain.

Q. No need to explain.

E

MS CAMPBELL: Can you look at page 1367?

A. Because there are two ways to report at the 7 million gain. Either as an in-kind exchange or as a dividend. The UK would report -- the UK believes that LLCs are shady in that shady vehicles.

F

Q. Have a look at 1367 please. This is a correspondence that is being sent from your solicitors. If you look at 1368 you can see from Katharine Landells ----

A. Yes.

Q. -- being sent to somebody called Dendi Suhubdy ----

G

A. Yes.

Q. -- who is the owner of Bitwyre as I understand it.

A. Yes.

Q. Is that right?

H

A. Yes.

Q. And you are asking them -- the solicitor is asking on your behalf about concerns about the transaction because Mr Zahmoul sold back some Bitwyre shares. I am just trying to navigate so that we know what we are talking about. Do you recognise this?

A. (Indiscernible)

- A Q. Okay.
- A. Do want me to explain?
- Q. No, I do not. I want you to have a look at the paragraph towards the middle of the page that says, "My client is considering her position in respect of Mr Zahmoul's duty ----
- B A. Correct.
- Q. -- "... to adhere to the FCA rules."
- A. Correct. I see now.
- Q. Why were you writing to Mr Dendi, telling him that?
- C A. So I will explain the transaction. We saw, during the proceedings, that on November 1, 2020, your -- the respondent invested in a company called Bitwyre. Bitwyre Indonesia is a platform to -- to -- to trade professionals' derivative products such as crypto.
- Q. You are not answering my question?
- A. Well I'm giving you ----
- D Q. Mrs Zahmoul, I am asking why your solicitors were telling Mr Dendi that you were going to possibly report Mr Zahmoul to the FCA?
- A. No, I was going to -- I was bringing the matter -- Dendi's name to the FCA and the respondent.
- E Q. But what business was it of this man?
- A. Because Mr Zahmoul bought 1 per cent of the company -- of the company of Mr Dendi at 10,000 Bitcoins -- \$10,000 with one Bitcoin. A year later in the proceedings Mr -- the respondent announces that he's divesting from that investment.
- F Q. Yes, but what business -- Mrs Zahmoul, I am ever so sorry but you really have to answer the questions I am asking you?
- A. Mr Dendi is the CEO of the company who has accepted the other side of the trade. A year later, Mr Zahmoul announces that he -- he has texted Mr Dendi to buy back his share at cost. So, then he sells them back. He says, "The divorce proceedings are a nightmare. Buy me back at cost." So, Mr Dendi buys him back at 10,000, the price of the year.
- G Q. Yes.
- H A. When you do -- when you value the company and you use -- because it's private, you use the funding rounds, the company had six funding rounds in one year. On the day the respondent and Mr Dendi did that transaction at 10,000, it would have been worth 113,000.

IN PRIVATE

A

Q. Mrs Zahmoul ----

A. Because the stock ----

MR JUSTICE MacDONALD: Mrs Zahmoul, just stop, right?

A. So there is ----

B

Q. Just stop.

A. Sorry.

Q. Part of my job is to write down your answers, all right.

A. Okay.

C

Q. You can see at the moment I am not writing, okay ----

A. Okay.

Q. -- because you are not answering the questions that you are being asked. You are not listening to the questions you are being asked, all right. Again, it makes it really difficult for me to understand your case if you do not stick to the question you are being asked. All right?

D

A. Thank you, sir.

Q. I would really plead with you to do that. I am going to take now a short break of five minutes and then we will come back. But I really need you to listen to the question, all right. Five minutes. Thank you.

E

(A short break)

MR JUSTICE MacDONALD: I think what I will do, Mr Campbell is I will rise.

MS CAMPBELL: I am so sorry, my Lord.

F

MR JUSTICE MacDONALD: It can take some time to get to where I suspect he has gone.

MS CAMPBELL: Thank you, my Lord.

(A short break)

G

MR JUSTICE MacDONALD: Mrs Zahmoul, I perhaps should have made clearer at the beginning of your evidence, that I have now had the opportunity to read everything in the bundle, all right. And you know that I have been involved in this case now for a long time, okay? So I know an awful lot about it, all right?

H

A. Yes.

Q. So you do not need to give me the background for everything, because I have read everything that I know, okay.

A. Yes.

MR JUSTICE MacDONALD: Thank you. Yes, Ms Campbell.

A MS CAMPBELL: Thank you. (To the witness) I am going to move on to a new topic, if that is okay with you. I want to ask you about the litigation that took place against the Bank of Jackson Hole last year, and I wonder if you would just have a look in the bundle for me please at 2203 please.

B A. While you do that, may I finish, because I am really sorry, the explanation was convoluted on the Bitwyre and whether I would take that person to the FDA. It is called an undervalued transaction. If you give someone something that is worth 100,000 at 10,000, that is called in the code fraud -- an undervalued transaction. So I simply asked to show the shareholder that the respondent, had 1 per cent of Bitwyre along with 11 other people. So I wanted evidence that indeed he showed that 1 per cent, therefore a new shareholder -- an update showing that he owns zero. That would be evidence that indeed he sold back his ownership. That did not come forth. That it is true it is a private transaction. He's allowed to sell something worth 100,000 and 10,000; that the FCA -- and the respondent is also regulated by the FCA. Mr Dendi, I do not know. This is a matter that the FCA would like to know when they have a regulated representative, an agent of the FCA. An undervalued transaction by that kind of factor is, in my opinion, something notable. This is why I instructed my solicitors to write to the CEO. Thank you.

MR JUSTICE MacDONALD: All right. Now, have you got the page that ----

A. Yes, yes.

F Q. -- Mrs Campbell referred to you, 2203.

A. Yes.

Q. All right. Yes, Mrs Campbell.

G MS CAMPBELL: Thank you, my Lord. (To the witness) Mrs Zahmoul, we know from this judgment that you provided the court with confidential settlement communications. Can you see at the bottom of 2203, there is a reference to it. The court thought it was inappropriate that you had tried to adduce confidential settlement communications. What were those documents, please? Do you know? It comes from the paragraph just above it. It says "The plaintiff..." -- that is you?

H A. Yes.

Q. "The plaintiff's argument also requires the court to consider evidence beyond the four corners of the terms and the conditions."

A That is the contract from the Bank.

“To reiterate, the court finds that the terms and conditions are clear and unambiguous. As such, it would be inappropriate for the court to consider such evidence.”

B And then it refers to settlement communications -- and I only want to know, a very narrow question ----

A. Yes. I understand.

Q. -- what were the settlement communications that you had adduced?

C A. I believe, your Lordship, we had a mediation with the mediator of Bank of Jackson Hole on January 4, 2023 to try to resume the matter at -- at a -- at lower cost. Without giving you the background, we reached an agreement after one day of mediation. My attorney and the bank and the mediator -- I’m sorry, yes -- that should the CEO pick up the phone and call the respondent and ask him if it is okay to reverse the transaction of 675,000, that the respondent did unilaterally on September ----

D MR JUSTICE MacDONALD: Well, just -- coming back to the question ----

A. Yes, and ----

Q. -- what were ----

E A. The mediator ----

Q. What were the confidential settlement communications referred to in that ----

A. It is the mediation result.

F MS CAMPBELL: Thank you very much. I was under the misapprehension that it was documents from these proceedings and it is not. You have clarified that. Thank you very much. Can you have a look at 2183, please? This is your case. This part of the judgment is talking about your case. At paragraph 31, it says this: “Nonetheless, Karim continued to pursue the account opening for 3093 AH LLC...” So that is the joint LLC business -- “... and Mr Zahmoul was trying to get an account opened for that LLC.” Do you remember?

G A. Absolutely.

H Q. And your case was in paragraph 31, he was trying to do that through the UK court, but he was not successful in seeking approval to do so. So, as I understand it, your case in America to the Bank of Jackson Hole was that the court had not approved an order for him to open an account for the LLC. Is that what you are saying?

A. That is not correct. I am sorry, the court -- the order of your Lordship ----

A

Q. Yes, I know it is not factually correct. I am asking you what this reference is to. This is your case?

A. Paragraph 21.

Q. 31?

A. Yes.

B

Q. So, the court is reciting your case. It says -- it is your case:

“Karim continued to pursue the account opening for ... the LLC through the UK court, but he was not successful in seeking approval to do so.”

C

That is what you told ----

A. He was not successful because paragraph 11 of your November court order, 17 November hearing, for which you published on the 6 December 2022, 11(b) is a variation -- the possibility to vary the order. So I purposefully(?) applied for variation, but then I left -- I represented myself on March 1st. On March 1st, I applied myself with a D11 to vary ----

D

Q. Shall we have a look at the order, the actual order that you are referring to? Have a look in the bundle and keep this document open because we will come back to this. But I want you to look at the orders on page 336, please. So this is the order that was from 17 November 2022, before his Lordship?

E

A. Yes.

Q. And you and Mr Zahmoul were trying to have arrangements for the Wyoming bank account. And if we look at -- let us just read what the order says. So if we look at paragraph 11, this is talking about the undertakings. So, these are promises that you and Mr Zahmoul are giving. In paragraph 11 it refers to the rental payments, bank accounts and interim maintenance obligations payments. And if you look towards the bottom of that paragraph on 335, it says:

F

G

“The applicant and the respondent must take all steps necessary to ensure that the rental payments for the following properties are paid into the following accounts.”

H

And then we can see at (a), it talks about the account that is open, LLC account, which is open for 3100 at West Arrowhead. Do you see that?

A. Yes, I do.

- A Q. And then on the next page, at paragraph (b), it refers to the bank account for the property at 3093 and it says,
- “The rental income shall be paid into a bank account number with the Bank of Jackson Hole in the name of that LLC, which account shall be opened on the parties’ joint application to the bank.”
- B So at this stage you and Mr Zahmoul are promising the court ----
- A. Yes.
- Q. -- promising his Lordship that you will open an account in the name of the LLC. Now have a look at that?
- C A. Sorry, I do not agree to that either, because 17 says -- I never agreed to it and my barrister knew.
- Q. I am sorry, 17.
- A. Paragraph 17 is the right to seek that variation and discharge the order. I was told that we have to proceed so that the case moves on, but that I could apply to vary.
- D Q. All right.
- A. The reason your Lordship, the account ----
- Q. I understand what you are saying. What you are saying is you gave a promise to the court, but you were not happy with it, and so you were going to vary it?
- E A. Yes.
- Q. That was your intention?
- A. I’m not -- your Lordship, I was told that ----
- F Q. You must not really tell us what your lawyers told you.
- A. Okay, okay.
- Q. Because that is private between you and them.
- A. No, I absolutely opposed opening the account because I had, at that time, started to understand that there was the LLC and ----
- G Q. All right, you have made your point.
- A. I’m really sorry, but the reasons for ----
- Q. Your point is clear to me.
- H A. -- on the -- on the ----
- Q. You made your point that you were very unhappy and didn't want to open an account?
- A. The account cannot be opened because the account opening -- the account opening administration is directly linked to the ----

A

Q. Mrs Zahmoul, I am going to interrupt you again because you are giving us the why and I understand that, but I am just asking the what at the moment. So, what it seems to me is, is there is a court order and you understand that the court order contained a promise that you would open an account, but at paragraph 17 you were reserving the right -- you are making it clear to us now that you were going to vary that part of the order?

B

A. I intended to make... I had already the intention.

C

Q. But you understood that although you had the right to vary it, what the order provided was a promise that you would open the account. You knew what that meant, even if you were not happy with it and did not agree with it and was going to challenge it. You understood what the order meant?

D

A. Okay. So, without referring to any legal advice I understood that -- I understood that there was language in the order asking to open an account and I had made clear to all in - - to all that I was firmly opposed to that account opening because on October 4, an account opening for the LLC was initiated with the Bank of Jackson Hole without my knowledge and consent twice. And I had started finding this -- this is when I hired an attorney. On October 4. I received an email saying an account ----

E

Q. Again, you must not tell us what your lawyers have said.

A. No, no, this is not my lawyers.

MR JUSTICE MacDONALD: Again, I understand ----

MS CAMPBELL: Have a look again at paragraph 30 -- at 31 on page 2183?

F

A. I am sorry, just your court order, your Lordships, the one with the right to seek variation at paragraph 17, that court order was sent to the Bank of Jackson Hole with a redaction of paragraph 17 and instructing the Bank of Jackson Hole to open the account as per the court order. This is with a redaction of 17, which is a variation.

G

MR JUSTICE MacDONALD: All right. Okay. Go back to 2183.

A. Yes.

H

MS CAMPBELL: Paragraph 31 is you saying to the bank, as I understand your evidence, that you thought because you could vary the order, effectively he had not been successful in getting the court to order him to open an account. Is that what you are saying? We have looked at this order?

A. What is the date?

Q. We have looked at the order which refers to "you shall open an account" and you know you can vary it. So when you communicate the situation to the Bank of Jackson Hole,

A

you have said to them he has not been successful in getting an account opened because you knew you could vary that order?

A. So, your Lordship I'm not representing that he was unsuccessful in misrepresentation. I genuinely thought I had the right and the voice to -- to vary the order. I never breached the order and everybody knew. And I think Burgess Mee applied for variation immediately afterwards. I did myself.

B

Q. Thank you. We know that this was dealt with later on.

A. So, when I said ----

C

Q. I am going to ask you a different question?

A. -- he did not, that's because -- that is absolutely what I -- what I think, that he didn't -- there was -- he could not open that account.

Q. Okay. You are continuing with proceedings in America against Mr Zahmoul about this bank account are you not?

D

A. I'm sorry. The word I remember is "technical breach". I was -- technical breach I was told. It's the technical breach.

Q. All right. So, these proceedings about this bank account, about the mortgage being paid down -- they are proceeding, are they not? They are continuing in America?

E

A. Your lordship they are and the judge in Wyoming joined the respondent to the lawsuit.

Q. Yes. After he was joined, the action against the bank was dismissed; it was discharged with prejudice?

A. And I was there, and the judge ordered costs against me.

F

Q. Yes. So, what benefit is there for you in carrying on with that litigation in America? What is the benefit?

A. Your Lordship -- there is false representation and fraud regarding the LLC. The lawsuit is continuing. This is a dynamic situation and on the timeline when the judge ruled against me versus the bank, there are three matters. The first one is the transfer that the bank did on 16th -- on 15 September at 11.50 p.m. of 675,000 from a joint account.

G

MR JUSTICE MacDONALD: I understand. Again, I have read all about it. I have read all about it?

H

A. I lost on the matter, and on the timeline this is before I started understanding the LLC fraud on the timeline. So that was a -- costs work against me.

MS CAMPBELL: Can I bring you, Mrs Zahmoul, back to my question? How does it advantage you? What do you get? What is the benefit? If you are successful, let us

A

assume the court in America says that Mr Zahmoul behaved really badly. From your perspective, what is the benefit? What do you get out of this?

B

- A. I understand. There is a live misrepresentation, which -- it is not what am I getting; it is what is my downside? I don't -- if there is a live fraud as we speak, and the misrepresentation in the LLC entity, the fraud -- what am I getting? When you have an entity that has been shift -- the ownership has been shifted, I have a legal risk and that needs to be unwound(?). The bank needs to be on notice.

C

- Q. Can I make a suggestion to you Mrs Zahmoul? If these properties were sold, let us say the judge made an order that the properties were sold ----

D

- A. You can assign ----

- Q. -- the mortgage was repaid, the LLCs were completely closed down and were completely removed from the record, and there was no further connection between you and Mr Zahmoul, what would be the benefit of this litigation continuing in America?

E

- A. As long as somebody is perpetrating fraud against me, as long as I find that with the timeline, I will always have to have the best protection that I can. I will not face fraud that I discovered by (inaudible) that I have to take money from fraud in order to pay somebody to explain to me -- fraud that I bring to court. And on a T11, and when the respondent files his answer on 27 April '23, he answered on 16 May 2023, the answer is worth a read ----

F

- Q. All right.

- A. --- because the answer ----

- Q. You have made it clear to us.

- A. -- is as long as somebody is perpetrating anything against me, I will do everything to protect myself.

G

- Q. All right. That is the answer. And does that answer apply as well to the reason why you reported him to the IRS?

- A. Absolutely.

- Q. The same thing.

H

- A. I'm really sorry. That reason is number one, and this is something extracted from my statement -- number one, the respondent himself told me everything there is to know about what the relationship -- and what he was doing to help her between when I found out.

- Q. And again, you are going off on a tangent ----

A

A. I reported it because ----

Q. -- Mrs Zahmoul ----

A. -- it is bigger than me.

Q. For the same reason ----

B

A. It is bigger than me, because it is dangerous, because there are too many things that I do not know, because I have children, because if I -- because I need protection.

Q. But your children will not know anything about this. This is adult material. They do not know about this?

C

A. Your client ----

Q. All right. Can I ask you to look in the bundle, please, at page 2623?

MR JUSTICE MacDONALD: Do you want to have a look at that?

A. It is not the IRS your Lordship. It's the IRS, Criminal Division, Cyber Unit, New York.

D

Q. Have a look at that document?.

A. Yes.

Q. Okay, we have an email exchange from Mr Zahmoul to you. This is back in 2014?

A. Yes.

E

Q. So, Mr Zahmoul is writing to you and he says: "It looks like in 2012-13 we spent over 800,000 after tax."

A. Yes.

Q. "As currently at 2013-14, we are at 750 with one month's..."

F

A. Yes.

Q.

"What I think is reasonable to spend is about 400 to 450 so we can try to put money aside in pension plan and other retirement schemes."

G

A. Yes.

Q. He talks about what he made last year and he talks about the rent and the school costs. He says:

H

"The balance left is 195 to 235 which divided by 12 is 17 and a half to 19 and a half per month. I sent you 104K per year, which leaves the free float of about 91 to 131 for everything else."

Do you remember that in 2014?

A. Absolutely.

A

Q. Okay. Can you now have a look for me please at 2624? So, the next page. This is an email exchange in December 2014 and this is you writing to -- the bottom message is you to Mr Zahmoul and then him to you. So you say:

B

“I am really sorry about the large November/December bill. It is a large amount and unacceptable. I will keep a tight rein on expenses going forward. I do understand that your situation has changed and I will be more supportive. Good luck and follow your dreams.”

And he says: “Thanks for this email.” I read that message to show that you understood there was some financial pressure?

C

A. I did. That is correct.

Q. Thank you?

A. Yes, I would ----

Q. Would you now look at 2625, the next page?

D

A. Can I ----

Q. Just answer and have a look at the next page. 2625 please. This is a year later. This is now December 2015, and at the bottom -- we will work our way up. Start at the bottom. You say: “I cancelled the membership. Last payment will be in January.” I think this was for a gym, if I am right. It was for Kicks Gym, which I am told is quite expensive?

E

A. Absolutely.

Q. It is £1,000 to join, and £600 a month?

A. And now we are not using it.

F

Q. Okay. And so you then write -- or he writes to you, and “You could not tell me here that...” -- I am not sure if that is -- yes that is him. “And you could not tell me here that took a new membership.” I am not sure what that means, but then you write further up,

G

“Sorry about that. Trying this out for three months. If she likes it, and if we go regularly, then I can extend by three or six months. I’m sure she’ll like it a lot and definitely needs a lot of physical activity.”

I presume that is about one of the girls?

A. I am not sure exactly Kicks. It may be a gym in Gloucestershire.

H

Q. Okay?

A. Yes. So, that’s not Kicks.

Q. Okay. And then we see the message again from Mr Zahmoul. He says:

A

“I make 100K pre-tax. I send you 2,000 per week post-tax. That is 104 post-tax or 200 pre-tax.”

A. Yes.

Q.

B

“On top of that, you spend over 5K per month on credit cards and the likes, but we are burning through the Barclays shares at a faster rate than I anticipated.”

A. Yes.

Q. So do you understand that to mean that he is explaining to you that he is realising the

C

shares in Barclays, vesting the shares, and selling them so that he has got cash to pay for your legal costs.

A. Yes.

Q. Yes?

D

A. Yes.

Q. And then you write at the top,

E

“I understand this must be very stressful for you. I am trying hard to control expenses and will try harder, obviously. Really trying not to do anything frivolous -- only necessities.”

And again, I read that as evidence of you saying: I understand there is a bit of pressure on money; I will try not to spend so much. Is that fair?

A. This is correct and this goes back to, your Lordship, to -- I tried to explain this in my

F

statement. The word “tax” is every other word. There is onshore and offshore and ----

Q. All right, Mrs Zahmoul, sorry but we are -- I am going to ask you just to ----

MR JUSTICE MacDONALD: Just hold on, Ms Campbell. You explained all of that yesterday. I understand all of that evidence. I do not need you to repeat it.

G

A. The figures 104 that we keep going to is -- the respondent knew something that I did not know. He knew he was going to retire and once the children are grown up, I would be retired and as we have said -- has set the number of my retirement at 104. From that -- and the rest is outside -- is not -- is outside. I am out, right. One of the ----

H

MS CAMPBELL: At the time, Mrs Zahmoul, you were talking to him and I am trying to look at what was happening at the time and what you knew then -- and what you knew then ----

A. Yes.

A

Q. -- was that there was some financial pressure and you were saying that you would try and be careful not to be not to spend on frivolous things. That is exactly what it says?

B

A. This is not correct because on the other hand, the respondent would make it very clear that if I wanted to spend, I can spend outside -- offshore. I did not have quantitative visibility on offshore, but it was very clear that if you want to do that, you can do it offshore. I have been always clear that the restrictions were about remittances to the UK, as does the memo ----

C

Q. Let us look at what you say ----

A. -- of his own secure ----

Q. -- at the time.

A. -- in 2014 when he was not working. When he was working or not working, we are not sure. The spend is 942,000 onshore as per his own numbers.

D

Q. All I am doing is looking at these emails that are historic, so follow them with me for now.

MR JUSTICE MacDONALD: Let us look at these emails.

A. They are lies.

E

Q. Go to ----

A. They are lies. So, that I am stuck at 104 when he moves. Exactly what happened afterwards is exactly what's happening now.

MS CAMPBELL: I think we can look at ----

F

A. 104 is (inaudible).

MR JUSTICE MacDONALD: All right.

MS CAMPBELL: Have a look at 2626, please. This is an exchange between you and Mr Zahmoul by WhatsApp. Do you see?

G

A. Do you see?

Q. Yes. I think this is forwarding a message that as I understand you had written ----

A. Yes, yes.

Q. -- for Mr Zahmoul to send to the banks because you were going to renovate the property and you could not afford to?

H

A. Yes.

Q. That was the short point?

A. Yes. So, at that time, your Lordship ----

Q. Sorry, the house you wanted to buy?

A

A. Yes. No, we bought the house and this is what the mortgage documents sent to bank of -
- to Barclays Bank were.

Q. All right?

A. So we bought the house and we -- we -- we were raising ----

B

Q. Mrs Zahmoul, it is not that time. I am told this email exchange relates to when you were
going to buy a house from somebody called Steve and you did not buy that house?

A. Yes.

Q. It is different from the one that you actually purchased?

C

A. Yes.

Q. This is a different property?

A. So ----

Q. Do you remember, am I right?

D

A. I do. Now I know there is always what I knew then and what I know now, and the
reconstruction is extremely -- the reconstruction is a reconstruction.

Q. Okay. Mrs Zahmoul ----

E

A. So what I know now is he was restricted by clean capital reserve. That is the restriction.
Actually his CPA forwarded -- actually when he put in the mortgage the advice was
probably retract the mortgage; otherwise it is going to mess up your tax residency.

Q. Can we just read the message?

A. Yes.

F

Q. Halfway down. the message says:

“We absolutely love your house, the perfect location, and the high
standards of the work in detail. Unfortunately, we cannot make it
work at a budget that would meet your expectations. Nadia and I are
very grateful for the opportunity to have met you.”

G

Is it right -- this is the question I am asking: is it right that you drafted that for Mr
Zahmoul because his written English is not very good, and he then took the message and
sent it from you both to ----

A. Absolutely, yes.

H

Q. -- the vendors.

A. Absolutely.

Q. Thank you. All right. Can we go on to the next page?

A. The same year -- now I know our spend was 942.

- A Q. All right, let us look at page 2627?
- A. Onshore. Onshore, UK.
- Q. Okay. Have a look at the next page for me?
- A. So reconcile those -- reconciling those two facts is enlivening.
- B Q. Okay. So we can see on 6 May 2018, this is Mr Zahmoul writing to you again, and it is looking at budgets, is it not? He says, "Current high-level budgets for you and the girls."
- A. Yes.
- C Q. Two times 52: that is your allowance, as it were, 104, and then he is paying 66 in tuition, 66 in rent, 9 in insurance, 10 on TRBC, 6 for utilities?
- A. I am sorry, this is me writing to him?
- Q. No. I think this is him writing to you. He is in green. So, when it is your -- you are at the top. "That's incoming" -- yes?
- D A. Yes. Absolutely.
- Q. And he is saying to you: "That would be \$360"?
- A. Yes.
- Q. And what he is doing ----
- E A. 360 is ----
- Q. -- is showing how much ----
- A. 160,000.
- Q. Okay. What he is ----
- F A. He is using his salary, the 30, to peg. It is always pegging, which now he's doing with the rental revenues of the houses in Wyoming. There is always a box, and in here he's using the box of his salary. 30 translates in 360. 104 is 2,000 times 52. There is always pegging to the budget. There is always a budget, and there is a plan. 2018, and 2018, as
- G you know, he had met Ms Molina, which I did not know. But in any case, we are looking at a pegging right now. There is a pegging in the balance sheet restricted by what is disclosed, and a pegging of my future income restricted, not by him, but by the rental revenue of Wyoming, which thus far we have never ever touched. It's been sitting
- H there, but now it's pegged. This is a pegging. This is a box. I make 30. Therefore, the budget is 360. On that year 2018, according to his CPA, we spent 700 and something.
- Q. Again, Mrs Zahmoul ----
- A. Yes.

A
B
C
D
E
F
G
H

MR JUSTICE MacDONALD: I need you to concentrate on the question because again I cannot write fast enough when you answer the questions in the way you are answering them, all right? One of the reasons that the judge requires the witness to answer counsel's question is so that we can take a proper note. The faster and faster you talk ----

A. I understand.

Q. -- the more and more difficult it is for me to follow?

A. I'm really sorry.

Q. All right. So, please try ----

A. It's coming through.

Q. I know it all wants to come out but you need to listen to Ms Campbell?

A. I know.

Q. Okay. Thank you.

MS CAMPBELL: I am going to make one statement and ask you a question about it that is going to save me taking you to a lot of documents. In the bundle, there are documents from 2018, 2019, 2020, 2021, right up to 2023?

A. Yes.

Q. And in the documents, Mr Zahmoul is trying to ask you to spend less money. Do you agree with me that he has repeatedly asked you to spend less? Could you just focus on that question and tell me whether you agree with that statement? If you do not, you can say "I do not agree."

A. No, it's not that. I agree that then he was doing that and now I am warning what I felt back then because it didn't make sense and now I know why. That is what I am trying to say, I am sorry.

Q. Okay, but I am just trying to understand whether we agree with each other and I think you said yes. He frequently asked you ----

A. I agree.

Q. -- not to spend ----

A. Your Lordship, I am really going to try to speak slowly. I agreed that back then, not only did -- there was all this boxing happening gradually, premeditated, just like the move to Portugal was. Everything is driven by tax memos. Just like the move to tax -- to Portugal was premeditated in order to receive the IPO of Coinbase in '21, it was premeditated since 2018.

- A** Q. Okay.
- A. Likewise, my budget, my restrictions. So when I did this, that is correct. He even asked me to go get a job at Czech Melides(?) College because all my time was given to special needs at CHD.
- B** Q. So he asked you to go and get a job?
- A. He asked me, he said ----
- Q. What, to earn money, did he?
- A. Can you believe that? Yes. When we were spending 142.
- C** Q. All right?
- A. So, again ----
- Q. Mrs Zahmoul, I understand what you are saying, and the judge has made a note about it. Thank you. Can I move on now?
- A. Yes.
- D** Q. Let me just make this last point?
- A. Okay.
- Q. You agree that he was trying to ----
- A. Yes.
- E** Q. -- ask you to spend less. You have a reason. You believe he was -- had a long-term plan, but I just want to ask you ----
- A. No, I didn't know then. I didn't know. I know it didn't make sense but ----
- F** MR JUSTICE MacDONALD: Mrs Zahmoul, listen to the question.
- MS CAMPBELL: Mr Zahmoul -- it is his case and he has told me and I am going to tell the judge -- and he may if he is given a chance -- he will say he was worried about you running out of money and that is why he kept writing to you and asking you to try and not spend so much. Do you accept that?
- G** A. That he was worried?
- Q. About money?
- A. Now, I know clean capital -- worried that the reserve of clean capital would run down, as is tracked by AG Taxes memo, and then he would have to remit funds from offshore,
- H** which I don't know how much ----
- Q. I am sorry, Mrs Zahmoul ----
- A. Plus it would have to be ----

A

Q. It would help me if you just said “yes” or “no” because I am not sure whether you are agreeing with me or not. Let me repeat it. Mr Zahmoul was asking you to spend less because he was worried about money -- that you would run out of money -- that there was not enough money. Do you accept that or do you think there was a different agenda? Just answer me that. Yes?

B

A. Let me --

Q. He was worried about money.

A. At the reconciliation -- So the answer is “no” -- not from where I stand today, no. And our -- the expenses speak better than me. Our level of expenses at the times when he was worried, they speak louder and clearer than I ever will.

C

Q. I understand. So you do not agree?

A. He can say “I am worried”, but next here, not there; or worried in the UK, not there; or worried for this balance sheet, not that one.

D

Q. All right. You have explained. We do not agree and you have explained?

A. I understand.

Q. I wonder now if you will have a look at page 2083?

A. Yes.

E

Q. And this is a table that shows the reservations for the property in Wyoming. Do you recognise this?

A. I am just checking which house it is. The answer is yes, I do. It is one of the two houses.

F

Q. Okay, and you can see the third line down. If we have a look at the columns, the third column shows -- it says “type”. Below we can see “guests”

A. Yes.

G

Q. As I understand it, this is who is booking, whether it is the guest who is going to pay, or you the owner, or you have Mr Zahmoul?

A. Yes.

Q. And we can see that that third line, you have booked the accommodation, and you booked on the 11 November 2022?

H

A. Yes.

Q. And you booked to stay there from the 9 July until 26 August. Yes?

A. And I’m staying there now.

A Q. Yes. You previously, before you purchased... Let me be clear about this: you purchased the first Wyoming property in 2017 and the second one in 2020?

A. That's correct.

Q. And before you owned a property in Wyoming, where would you stay when you went there?

B A. I used to go to Wyoming, your Lordship and stay ----

Q. Where did you stay? I will just keep the questions short?

A. I stay at the Terra Hotel and Rabat, my daughters, the children, are at summer camp.

Q. You stayed in the hotel?

C A. That's correct.

Q. And when you purchased number 17, you did not stay there in the summers because that was let. That is correct, is it not? You continued to stay in the hotel?

A. When we purchased a new one.

D Q. The first one?

A. No, the first, when -- when we purchased the first one, I would drop off the children and stay at the Terra Hotel, and go to Los Angeles to ----

Q. Yes?

E A. Yes.

Q. So, the only time you started to stay in one of your properties in Wyoming was after you've bought the second property?

A. No.

F Q. No?

A. The first time I stayed was during the pandemic at 3100, your Lordship, across the street with my children ----

Q. You have answered my question. 2020 was the first time you stayed?

G A. Yes, and ----

Q. I am told, and you can correct me if I am wrong about this ----

A. Yes.

Q. -- that in 2020 approximately you stayed two months in the Wyoming property?

H A. Yes, that is correct.

Q. Yes, and in 2021, you also stayed two months in the property. It might have been during ----

A. Yes, me and the girls. '21.

- A** Q. And in 2022, it was just one month?
- A. In the summer, but now I live there, so now it's no longer on the market.
- Q. I am just making sure I have got the dates right. It was three months -- sorry, two months in 2020; two months in 2021, and one month in 2022, approximately?
- A. It might be in different houses. But, yes.
- B** Q. Thank you. Now in November 2022 you booked to stay for the summer -- is that right -- as we see here. In November?
- A. In November '20. Oh, they'd booked to come the following summer? Yes, probably, because I ----
- C** Q. We have got the booking stubs. When they send me an email and they say: "We are opening up the calendars for the homeowners. Would you like to reserve your stay?" And so I do. You can see I originally only booked to come and stay one month, not to live permanently.
- D** Q. Yes. Can we have a look at the second booking at 2225, please? Can you see the bottom two lines?
- A. Yes.
- Q. That shows the first booking that we have just looked at in November, where you booked to stay for July and August?
- E** A. Yes.
- Q. And then there is a second booking that you made on 10 March, and that was extending the booking ----
- F** A. Yes.
- Q. -- from August all the way through to November?
- A. That's correct.
- Q. And you did that on 10 March?
- G** A. Your Lordship ----
- Q. Yes or no?
- A. That is correct. Your Lordship ----
- Q. Can we have a look now at 2297 please?
- H** A. So, the situation is ----
- Q. I have not asked a question yet. Please, Mrs Zahmoul ----
- MR JUSTICE MacDONALD: Let us just get to the end of the documents and then we will deal with the explanations.

A MS CAMPBELL: Do not worry about that page. It is the wrong page. Can you have a look at 2995, please? This is a bill from GB Liners, dated 12 July; "Removal of household effects from Hill Villa to Boston." That was for your daughter Jade, was it not?

A. This was when I ----

B Q. Was that for Jade?

A. That's correct, yes. I was going to send back a sea crate.

Q. Can you have a look at 2997, please? This is an email dated 3 August. And this is an email from one of the agents at Outpost who look after the Wyoming properties, Daniel, to Mr Zahmoul. He says:

C "Hi, Karim. Because Nadia is in residence at 3093 indefinitely, we cannot place the requested December 1st-December 15 reservation on the calendar. The winter for 3093 remains blocked off. Until we get written instructions from both parties to open, or at least to open a set of specific dates."

D Here is the question. Did you tell Daniel, or one of the agents at Outpost, to block off the accommodation at 3093 for the whole of the winter?

E A. Your Lordship, I asked him to block off indefinitely and I moved to the property. Your Lordship, this is a dynamic situation. It is one that pains me a lot because it has been represented to you as me misrepresenting things to the court, but it is not because life is moving, things are moving.

Q. Okay. Have a look at ----

F A. And between -- as we read along these emails, what has happened that is not being read is the landlord -- the one girl was coming. My daughter, Jade had finished, was finishing her A levels, and then moving to Boston. The landlord had received seven consecutive late rent payments.

G MR JUSTICE MacDONALD: I have read about that all in your statement?

H A. So, I lost my home. I lost our home, and I needed to -- First I thought I would rent in London, and then that was not wise, because my time in the UK was finished, and my older daughter has more needs than the little one. And to rent a place in London you need a balance sheet or you need reserves. And I cannot just rent anywhere. I can't rent anything or anywhere for them, because they've already been -- they've already seen like a book. So, I decided without security also, rent in London means that my monthly

A

rent will depend on the respondent and I could not do that because that is -- that is (inaudible)

Q. Mrs Zahmoul, when you court and asked for maintenance to cover your rent in London, you had already decided that you would stay in Wyoming, at least until November, because we have seen that you made that booking in March?

B

A. (Inaudible) was blocked because it was told that I'm a liar. So when I came to Court -- when I came for the hearing of June 9, 2023, my intention was to rent in London in September, spend the summer in Wyoming. Sent -- I had never intended for our belongings to go to London ever.

C

Q. Mrs Zahmoul, we have seen on the ----

A. So my intention was to shift my belongings to Lon -- to Wyoming, to the Donkey storage. My intention was to rent a flat in London in September, and once the proceed -- the divorce was over, then decide what the rest of my life and the children's would be. It shifted. It shifted when I realised I would be putting our -- our -- it shifted when, on the 4 July when I moved out of Hill Villa, I couldn't pay the movers. It shifted when I had to get money on the watches in order to pay for the summer and for food. It shifted when -- it shifted because I can't do anything without my own balance sheet, without anyone -- without -- I can't -- I don't -- I will not accept to rent in London with someone else ----

E

MR JUSTICE MacDONALD: Mrs Zahmoul, I understand. All right. You have set this out for me.

F

A. Yes.

Q. Okay. You have set it out. I understand.

A. So, I didn't lie.

G

Q. Listen to Ms Campbell's question, all right? I know that you are saying to me that you did not lie.

A. I did not.

Q. Okay. Well, listen to Ms Campbell's question.

A. Yes.

H

Q. Okay.

MS CAMPBELL: When you booked the accommodation in Wyoming in March to take you through to July, and extended through to November, you had reserved the accommodation right through to November -- and then you told the agents to keep it

A

booked for you, not available for guests, indefinitely. That is what we have just looked at?

A. I'm sorry. I can't say yes or no because I didn't follow. I booked in -- so, booking date is March, and I booked for what? March this year. I booked in March 2022 ----

B

MR JUSTICE MacDONALD: Ms Cambell, I am satisfied. I can see from the documents.

MS CAMPBELL: Thank you, my Lord. I am going to move on, and I am fairly close to finishing. My Lord, I wonder -- there is probably another hour?

A. Your Lordship, my extension at the house ----

C

MR JUSTICE MacDONALD: Just -- just ----

MS CAMPBELL: I may possibly again be able to refine that.

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: I wondered whether it would be beneficial, certainly -- it might help me to narrow my questions ----

D

MR JUSTICE MacDONALD: Indeed.

MS CAMPBELL: -- if we had a slightly longer lunch so that everybody could take a break.

MR JUSTICE MacDONALD: Yes.

E

MS CAMPBELL: I know that Ms Molyneux and I have discussed, he is content for me to ask for a slightly longer adjournment and I know that some of the support that Mr Molyneux has, our pupil, is very happy to spend time with Mrs Zahmoul over that period, and I have absolutely no objections so I want to make it clear I am very happy for her to be supported if she needs that and have no queries about that.

F

MR JUSTICE MacDONALD: Well, I am very grateful for that Ms Campbell. Yes I will rise now. What time do you propose?

MS CAMPBELL: If your Lordship would consider this I would say that if we came back at 2.30 or even 3 o'clock ----

G

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: I could then be finished by 4.00.

MR JUSTICE MacDONALD: Yes. I will say 2.45.

MS CAMPBELL: Thank you, my Lord.

H

MR JUSTICE MacDONALD: Thank you.

(Adjourned for a short time)

MR JUSTICE MacDONALD: Yes.

A

MS CAMPBELL: Thank you, my Lord. (To the witness) Mrs Zahmoul, I would be very grateful if you would look at page 2168, please. This is the letter that I am told you wrote. Is that correct?

A. 2168 beginning, "Neither of us".

B

Q. Yes. And some of it is written or certainly delivered, given to Mr Zahmoul on 3 June 2020?

A. Absolutely, yes. I am not going to read all of it, but I know what you are talking about.

Q. Turn to page 2171, please?

C

A. Yes. You said June 2020. Correct?

Q. Yes?

A. Okay.

Q. Can you just read to yourself the highlighted two paragraphs?

D

A. Internally?

MR JUSTICE MacDONALD: Internally?

A. Okay, thank you.

MS CAMPBELL: To yourself. Thank you?

E

A. (After a pause) Okay.

Q. Thank you. What you write there, in those two paragraphs, is that true?

A. It was true when I wrote it. So, at that time of writing, if I expressed gratitude, that means I felt it.

F

Q. Thank you. Have a look in your section 25 statement at paragraph 9, please. The first two lines of that paragraph, can you just read again to yourself?

A. 9 (After a pause) Yes.

Q. Those two statements that we have looked at seem to me to be contradictory. Do you agree?

G

A. That is correct, that they pretty much reflect the reality of the inconsistencies of the time and passage of time. So, the first one, would you like me -- sorry, what is your question?

H

Q. Well, they appear to me to be contradictory. On the one hand, you are saying in June 2020 that this is a man who has been joyful, shown immense love, treated you effectively with opulence and privilege, you say. And then in paragraph 9, you say you have been the victim of severe emotional abuse, cruelty, coercive control, and broke your spirit and sent you to the edge of despair.

A

A. Absolutely. So, your Lordship, it's a process of 30 years with -- as I wrote in my statement, coherence and understanding coming way before the breakdown and the restricting of the pieces. So, because of this lack that it takes to understand, there was a 10 year -- there was -- these things happened very gradually, slowly, because they become embedded messages inside of you and then they seem generated by you. So,

B

it's progressive, so between '94 all the way to 2009 and '11, when in November '11, I ordered drugs for the first time in my life. That is a long period of encrypting the hardware of one's myelin and circuitry. If you take someone more or less cool, and it takes that long a time to change the internal messaging so that the messages are as warped as the standard programmer intends them to be served -- to serve, to go on the person who did it.

C

MR JUSTICE MacDONALD: Understood.

D

A. Likewise, once there is a complete, and I am lucky -- I am very lucky, once there is a complete -- if you are brave enough to go all the way and go destroy all the circuitry and restart fresh, and that is not something that happens all the time -- it's an exception, rather than a rule -- you can stay. And I am very, very lucky.

E

Q. I understand.

A. Okay. So when that happens, you need another 10 year to piece the things together. And so the process of going through your courts, your Lordship, has been the first break and ----

F

Q. Mrs Zahmoul, I understand.

A. That is why there is a lack of ----

Q. I understand, yes.

A. -- coherence.

G

Q. There is a delay. I understand.

MS CAMPBELL: Thank you very much. A separate topic now. I wonder if you can look at page 2701, please?

MR JUSTICE MacDONALD: Just have a look at the 2701.

H

A. Inconsistency doesn't mean you are in inaccurate. Inconsistencies represent exactly what it is. The incoherence inside of you. They represent the dissonance and the madness, if I make it clear.

MR JUSTICE MacDONALD: Just have a look at that page, all right?

A. Thank you.

A

MS CAMPBELL: This is an affidavit that was prepared for the hearing, or the statement is dated 7 September 2023.

A. Yes.

Q. An affidavit -- sorry?

B

A. Yes.

Q. And you give the address of Hill Villa, Daisy Bank Road, Chelmsford. Why, if it was written September 23?

C

A. That is very representative of how much homeless I have been, because actually I don't know where I live. So that is the answer. The other answer would be... My Barclay statement has stated that address for months. So, I would say either oversight, but it is more being homeless.

Q. But we know you were living in Wyoming?

D

A. Yes. So I knew that my postal address is not the one that my brain registered. I -- as children, more than I, we are in a -- floating without a home.

Q. May I suggest to you, Mrs Zahmoul, that the reason you gave your address as Hill Villa is because you hoped to dupe his Lordship and the court into thinking that the rent you were getting for London was properly being paid to you in this country -- that you were still here?

E

A. Sorry. You read this morning in my email. I am sorry. I need to process what you just said.

Q. All right. Let me break this up. That is not fair.

F

A. You were telling me this is you keep on getting them. No, no. Okay, that's it. We are in a court of law.

Q. You had moved back to Wyoming/ You told the agent that you would be staying ----

A. Exactly.

G

Q. -- until November. So, why did you give a Cheltenham address? I do not understand why you would have done that when you actually were living in your home in Wyoming?

H

A. I didn't. That wasn't a secret. I was not trying to hide that. As much as this one is not a manipulation, the other one is not a secret. All I can say is that this, by its nature, is a freezing order that we ruled the night before, because there was a million dollars in the Coinbase account, which I could -- and all I can say is, because it was written so quickly. Actually, the truth is because I still -- don't know where I live. That is the truth.

A

Q. Have a look for me then, please, another topic again. Look at page 2064, please. I have moved on, Mrs Zahmoul. I am going to ask you about your legal lending now. So have a look at 2064, please?

B

A. Lila(?) is the young one who is at CSC, had a very, very difficult, rough time in the autumn term because of the same reason, because of losing the home in England and because I was no longer on the continent.

MR JUSTICE MacDONALD: Yes, just look at the document. That is what we have moved on to, all right?

C

A. Yes.

MS CAMPBELL: We can see this is dated 28 September 2021 and this is from your solicitors at Withers explaining to Mr Zahmoul's solicitors that you had taken a loan for £280,500/

D

A. This is correct.

Q. Is that right?

A. And 14 days later, Ms Parker replied and offered something pound for pound, and Ms Parker, Diana Parker replied, "Too little, too late." That was 14 to 7 days later. This is where we are probably going.

E

Q. Yes. It is right, is it not, that Mr Zahmoul was prepared to let you both access money in the Bank of Jackson Hole so long as he could access it as well and you had the same amount each?

F

A. I am sorry, could you repeat that?

Q. Yes. Mr Zahmoul was prepared to dip into the savings in the Bank of Jackson Hole if he could use the same money for his legal fees, and that you both use the same amount?

G

A. False, false and false. So number one, they are not savings. These were rental revenues from the two properties that were deposited in a joint personal account, not an LST, and they were never savings. We simply did not need them. They were sitting there.

H

Number two, at the FDA, Judge Koch(?) asked that that debt account because -- I'm really sorry, I've got to back up. My assets at the beginning of this were -- let's call it \$350,000 at Fidelity, of which half were my savings from Lehman Brothers, and the other half were securities. That is all I had to my name alone. And that is what I started off with, with Withers. Judge Koch(?) said the account at Bank of Jackson Hole, that is joint, is frozen, save for payment of the mortgage, which is interest only, with a bullet payment at 2025. Secondly, maintenance of the homes.

A MR JUSTICE MacDONALD: I have read the order of Judge Koch(?) again. So that was not savings and when I asked -- when we asked at the FDA to have access to it for my legal fees, the respondent does not need access for his legal fees because he controls the balance sheet which at that time was 16 million. Then 11 that we knew but 16, five days later. When we asked for -- when my barrister asked for access to those joint funds for my legal fees, the answer was no; we would not do this in the court. They would not agree to give me the permission, but I can ask later as a court or at court. I can apply for variation later when needed. When we asked again in August ----

C MR JUSTICE MacDONALD: Hold on. Rather than doing the whole history, just listen to Ms Campbell's question, all right?

A. Yes.

MS CAMPBELL: Thank you. Can you have a look at page 1839 now, please? 1839?

D A. The third point you said that he would give me access provided he had access, that does not exist at all.

MR JUSTICE MacDONALD: All right. Look at the page.

A. There was no ----

E MS CAMPBELL: Can you see paragraph 38 on that page? You say there: "Withers were informed on 26 September that the respondent would be acting in person." And then you say at the bottom of that paragraph: "Withers terminated their representation on the 29 September 2022." And then you were able to secure Burgess Mee on 24 October 2022. You say the scope of their work was limited to the litigation funding, and Burgess Mee ceased their instructions on 24 February 2023.

F A. That is correct.

G Q. Now, during that time, you had extended the detached loan by £240,000, and you had not mentioned that to the respondent, to Mr Zahmoul, or to the lawyers when they were acting. You had not declared that the loan had gone up by another 40,000, did you?

H A. Forgive me. I appeared before his Lordship on March 1, 2023. I am not sure if I filed the form H because I left go of Burgess Mee on 25th. So, I am not sure if I have the Form H. If your question is: did I borrow 40,000 and intend to hide that, the answer is no.

Q. The question was ----

A. 40,000 were almost non even arranged ----

MR JUSTICE MacDONALD: Let us just take it in stages.

- A. Sorry.
- A Q. The question was: did you increase the loan by 40,000?
- A. The 40,000 was contingent -- was ring-fenced only to apply for an LSPO MPS.
- Q. Okay.
- A. Really fast, with specific details. I signed a contract that said it is only for the LSPO.
- B Q. I understand that. Now, the next part of the question is: did you tell anybody about that? Did you tell Mr Zahmoul? Did you tell the lawyers about that extension to the loan?
- MS CAMPBELL: His lawyers. I appreciate your lawyers knew, but did you tell his lawyers or him when he was in (inaudible due to overspeaking)
- C A. No, because it is -- Your Lordship, Mr Zahmoul, represented that he was representing himself which we know retroactively is not correct. So I do not communicate with him and therefore probably if I didn't file Form H, I apologise but expecting me to send an email to Mr Zahmoul, I would not have done that, no.
- D Q. You did not. Thank you. I wonder if you have a look in the supplementary bundle at page 324, can you see on the bottom of page 324, there is a payment on 28 March 2023 of an additional 40,800.?
- E A. That is exactly what we have been discussing and it's ring-fenced ----
- Q. Exactly. I just wanted ----
- A. -- and it can only be (inaudible).
- Q. Yes. So, you applied to the court for maintenance and legal services provision and we can see that in the bundle at page 389. Would you have a look at that please?
- F A. Yes.
- Q. This is the application. It is dated 18 April 2023?
- A. Yes.
- G Q. And we can see that if you look, you confirm that you are the applicant. The next page is your application for maintenance and so forth?
- A. Yes.
- Q. Yes.
- H Q. At that stage, you were represented -- you were acting in person?
- A. That is correct, yes.
- Q. Now, look at page 2572. So, this is a document that shows who the author of the application is, and we can see that the person who had actually completed the

A

application form was somebody called David Lillywhite, who is a solicitor at Burgess Mee?

A. Yes, Ms Campbell.

Q. So in April you were filing documents that had been prepared by solicitors who were assisting you?

B

A. Your Lordship, we are -- Ms Campbell is saying that because the document properties show that the document belongs to a solicitor, therefore, they were instructed at the time. This is a template that was sent to me by Burgess Mee. The funds were -- 40,000 were lent to them to arrange the LSPO. I didn't receive the funds and they did provide me with the template. It doesn't mean they drafted it. In fact, to be really honest, somebody sent me a draft and I didn't use it because it wasn't good.

C

Q. Just to be clear of the chronology, 28 March there was an additional amount of money, 40,000 pounds?

D

A. Let me -- it was written ----

MR JUSTICE MacDONALD: Just pause there, Mrs Zahmoul.

A. Sorry, yes.

Q. I would just like to say something.

E

A. Yes.

MR JUSTICE MacDONALD: Ms Campbell, I am aware, because I have got into trouble with this before, that if one takes, for example, an MS Word document that counsel have sent in and then re-uses it in another case for an order ----

F

MR MOLYNEUX: That is correct.

MR JUSTICE MacDONALD: -- that can result in it looking like counsel chopped my order.

MS CAMPBELL: I will not proceed with this? (To the witness) Mrs Zahmoul, I am not going to question you about this. Do not worry. I am not going to pursue this point?

G

A. Could I ----

Q. Could you just ----

A. Because the first time they sent it I didn't have the D11 form and his Lordship -- and I think I said (inaudible) so I needed a time date for the order.

H

MR JUSTICE MacDONALD: Yes, do not worry.

MS CAMPBELL: I accept what you say.

MR JUSTICE MacDONALD: Yes.

A MS CAMPBELL: Have a look at page 1839 -- 1-8-3-9. This is where we were looking before. I am concerned that you were giving the judge the impression that you had had practically no legal assistance between September 22 and the date of the proceedings, and at this stage the MPS were looking at April 23. In fact you said that that continued right through for a year, you said. You effectively had no access, if you look at
B paragraph 41: "The applicant has not had access to funds to pursue her case since 13 July 2022."

A. That is correct.

C Q. But what we now know is that you had had the detached loan for £280,000 and we know that that had been extended. It had been effectively doubled, had it not? It went up to nearly 700 without the interest?

A. Between September 9, 2021, where it started at that level, your Lordship, to when it ran out in August 2022 -- that was 750.

D Q. It started out with 280 in September 2021, and by September 2022 that had gone up to effectively nearly £700,000. I am rounding the figures?

A. Absolutely.

Q. And then you got another 40,000.

E A. In March.

Q. Yes/

A. Ring fenced and added interest.

F Q. Which was not referenced anywhere in these documents. You never mentioned this before?

A. Not intentionally, but because of either events or people -- Probably, I am really sorry, I would need to check if I find the form page. If I did, it would be there.

G Q. And whilst this was happening, Mrs Zahmoul, you were also instructing lawyers in America, were you not, because they were pursuing subpoenas on your behalf; they were threatening Mike Deeg with legal action and getting subpoenas against him. Have you had lawyers in America acting for you?

H A. I have a bill in the US that is a contingency and it is now 150 or more, and I have not paid one dollar yet. Everything the lawyer did so far and really I do not know.

Q. All right?

A. (Inaudible) nothing has been made.

A

Q. I am going to move on to ask about Mr Zahmoul's watches, because these are very special items for him?

A. Your Lordship ----

Q. Let me just ask you the question?

B

A. Your Lordship, do you have any questions on the (inaudible).

MR JUSTICE MacDONALD: No, I do not. Thank you. We are moving on now.

MS CAMPBELL: Mr Zahmoul would like them back. I want to know if they have been sold or whether they are with an agent who's holding them; effectively, you have pawned them. Which is it?

C

A. We had the answer yesterday. You asked me about the watches yesterday and then you asked me about transfers into my Barclays account yesterday and the two -- one represented the other. So the watches which I said yesterday are not matrimonial pot at all, of which I have ----

D

Q. Just tell me where they are, Mrs Zahmoul. Where are they?

A. They are with the institution that lent me the money. And I have -- I just had a grace period and a grace extension. I haven't had the chance to call that. They are still held physically and they do not -- I do not agree with your statement that they belong extremely to one party versus the other.

E

Q. There are 11 items of jewellery that were referenced in his Lordship's last order?

A. Yes.

F

Q. You were asked to explain where they were. You did not respond to that request, but I just want to check, each of the 11 items are safe with the agent that has given you the £50,000. Is that right?

A. It's correct.

G

Q. And subject to you getting the £50,000 pounds in these proceedings to pay the agent, do you agree that you should give Mr Zahmoul the documents so that he can go and get these items back?

A. Of course, except the watches that I consider I like more. That is subject to agreeing which watch, dividing the watches.

H

Q. Okay. Look at page 638.

MR JUSTICE MacDONALD: Sorry, Ms Campbell, I missed the reference again.

MS CAMPBELL: I am so sorry, my Lord. 638.

A

A. I'm really sorry. The watches -- I have paintings in Mr Zahmoul's flat in Portugal. So watches, paintings, all of that goes together. So when you ask me do I agree, as part of pictures, paintings, and everything else, the answer is yes.

MR JUSTICE MacDONALD: Look at the page there.

B

MS CAMPBELL: Item 11. We will work our way up. This is Mr Zahmoul's mother's pendant. Can you see? In paragraph 7, there is a list of 11 items. That belongs to him given to him by his mother. You obviously, I assume, do not want that?

A. Excuse me?

C

Q. I assume you do not want that?

A. Well, his mother tells me (inaudible) I love his mother, but actually I still don't know where it is, so I would -- I don't know where it is. I have to find it. I am not sure if I have it, if it's in Tunisia or if it is in Portugal. I will do my best to find it. I would not hold on to it.

D

Q. All right. Let us look at the items 1-10. The 10 items then (not 11) ten items that are with the agent holding them for £50,000?

A. Yes.

E

Q. Number 10, you accept that this was a gift to Mr Zahmoul from you and a friend called Hajim?

A. Yes.

Q. And number nine, this was a gift to Mr Zahmoul from his father?

A. That's true.

F

Q. Number eight was a gift to Mr Zahmoul on his 18th birthday.

A. I am sorry, I can't -- I was with the one -- anyway. Yes.

Q. And number seven is a gift to Mr Zahmoul on your wedding from your parents?

A. That is correct, yes.

G

Q. Number one is a birthday present for Mr Zahmoul's 45th birthday?

A. So you skipped. The next one to announce is whether -- okay, that's fine, yes.

Q. So, which of these watches ----

H

A. Just the ones that ----

Q. -- do you say you want?

A. The ones you skipped.

Q. Okay. So you are saying you want two to six?

A. Yes.

- A Q. Why?
- A. Why?
- Q. Yes.
- A. Because they're -- okay, let me think this ----
- B Q. Well do not think of the correct answer. Just what you are going to say. Why?
- A. Your Lordship, I am living out of suitcases with no permanent address. I have no access to a balance sheet, no bank record, no leverage to get a loan, and I find this question very difficult because there are -- this is a legal definition of ownership, and I don't know how to answer, I am sorry. So your "why" question, there's nothing sentimental with this, but there are few watches here that I have been wearing. I am not capable at this stage to say anything because I do not have anything.
- C Q. All right. Thank you. You said there is nothing sentimental in these watches for you?
- A. Neither is there for any -- the respondents because therefore, except the engraving, the one from my parents. and anything from his father. The one in the middle that you skipped, I simply got off the shop.
- D Q. Mrs Zahmoul, you sold... I understand you sold the family car for £50,000 pounds. Is that right?
- E A. Not for fifty. That is not correct, and -- and ----
- Q. How much?
- A. 27 to 30 because of -- yeah, it stayed (inaudible) other one.
- F Q. And where did that money go because we could not identify any large sums into your account?
- A. So, I asked someone in Cheltenham to sell it -- the person then -- I used 10,000 to pay my solicitors and another 10,000 to pay a friend who had been lending money to me and to my children. And so there is 12,000 remaining.
- G Q. All right.
- A. Which is still with the person who sold the car.
- Q. Do you accept that that car was worth about £50,000?
- H A. Well, I am telling you how much I sold it for and I understand you but I was in Wyoming, but the paperwork is available. You are telling me how much it is worth and I will be telling you how much it got sold for. The discrepancy ----
- Q. All right. I accept what you say. Can I ask you about your housing particulars?
- A. Yes.

A

Q. You have told this Lordship in your statement that you want to go and live in New York?

B

A. That is correct. I do not know where Lina is going to end at university. She is right now taking her SATs, for which I owe £5,000 to the coaching. And she has a vision to go to Columbia University. I do not know where I will end up. New York is where I was before I came here 18 years ago.

C

Q. The date you last lived in New York was 2004, is it not?

A. Well, Jade was born in 2005. I cannot (inaudible) in Wyoming. It's not my home. So I took my best guess, and this is a little bit like when I -- at the time of the MPS and SPO, I said, well, given Jade's needs, given that Lila is finishing in 2024 or 5, and even that I do not have any more reasons to stay here, in America, it would be New York because that is ----

D

Q. So, in two years?

A. I'm really sorry, please.

Q. I am sorry.

A. I'm sorry. Because Lila is boarding and so I ----

E

Q. Would you not want to be in Massachusetts where your other daughter is?

A. Well, it's one hour, so.

Q. Because at the moment you are choosing to live in Wyoming when she is in Massachusetts. That is quite a long way away.

F

A. That is why I would choose to live in New York. In New York it is one hour 45 minutes flight to Boston, and Wyoming.

G

Q. So, let us have a look at the facts. You have not lived in New York for 18 years; your daughter is not currently in study in New York; she is in Boston; your youngest daughter does not even know where she is going to go; but you want to move for the first time in 18 years to New York when these proceedings are finished. Is that your case?

A. That is correct.

H

Q. All right, and is that because New York is very expensive.

A. Could you please repeat that?

Q. It is expensive, is it not, to buy property in New York?

A. I'm really sorry. You are saying I want to live there because it is expensive.

Q. Yes?

- A. That is the reason.
- A Q. No, I am saying that you are telling the judge you want to live there because that inflates your needs for housing. That is what I am suggesting to you.
- A. Actually, I wouldn't get very much for the price of everything here. It would not give each girl a bedroom with the money.
- B Q. So actually, it is unaffordable for you to live in New York?
- A. No. I'm just being -- you know, I was just being rational. Right? So ----
- Q. You have not produced any particulars for the judge to look at to have an idea of what you would be able to buy in New York, have you?
- C A. I am sorry, I have some, but I will ----
- Q. But it did not enter your statement that we got on Tuesday?
- A. No.
- Q. No. Let me say this. I have only got one point now that I am going to put to you and then we are done, you will be pleased to know?
- D A. Okay.
- Q. I am very grateful for your patience. I am sorry it has taken so long/
- A. No, no. No problem.
- E Q. I am instructed to put this, and I am just going to put it to you and you can say whether you agree with me or not. Mr Zahmoul is absolutely confident that what you said yesterday about Professor Stebbing and the termination is untrue and that you have made that up. Do you accept that?
- F A. No.
- Q. All right. Thank you very much.
- MR JUSTICE MacDONALD: Thank you, Mis Campbell. Just give me a moment, Mrs Zahmoul. I just want to see if Mr Molyneux has any re-examination. Do you have any re-examination, Mr Molyneux?
- G MR MOLYNEUX: There is but it is going to be mercifully short -- mercifully for everybody.
- MR JUSTICE MacDONALD: Would you like a moment to do that?
- H MR MOLYNEUX: I think 60 seconds, but while everybody is in court.
- MR JUSTICE MacDONALD: All right?
- A. Your Lordship, may I answer something?

MR JUSTICE MacDONALD: Just wait there until Mr Molyneux asks some questions.

(After a pause) All right.

Re-examined by MR MOLYNEUX

Q. So Mrs Zahmoul, you were asked about your sister-in-law and your brother in relation to what they knew and what they had said to your husband about his ownership of Coinbase through Topanga. Could you look at 1407 in the bundle please? You told his Lordship that you would or could get a statement from them. Well, I do not think you need to burden yourself with that because at 1407 and 1408 there are emails and WhatsApps. I just want you to confirm that the first, from Sylvie Uziel-Theonardiou(?),

“Karim did not share with me that he invested in Coinbase pre-IPO. When we discussed about investment, he told we had very little Bitcoins. The currency is certainly not shared with the company, and that being a father, he had to invest carefully and conservatively.”

Is that the Sylvie ----

A. Yes.

Q. -- that he was referencing?

A. She offered to come here.

Q. Well, she does not need to do that because you have got this. Okay. 1408, overleaf. If you look at that for me. At the top: “Did you know he had Coinbase shares?” Just tell his Lordship who the author of the green message is?

A. “Did you know he had” ----

Q. Who was sending that message?

A. Me.

Q. Yes. Pause there. “Did you know he had Coinbase shares or did he mention any private equity investments that turned into Coinbase shares?” The response from ----

A. My brother.

Q. Your brother: “No, never.” You say,

“Are you sure? His team told the judge you sent a message to congratulate him on following the Coinbase IPO. Are you sure you did not know that was an investment? The barrister told the judge you knew. Can you please confirm? Thank you so much.”

He replies, “Yes, I am 100% sure.”

A. My brother also offered to come.

Q. Just answer my question.

A

A. Yes, that's right.

Q. Please do not go off piste.

A. Yes. That's correct.

Q. Did you dishonestly procure those by telling ----

B

A. No.

Q. Listen to the question. Did you dishonestly procure those by telling the author to write them in those terms, or were they voluntary?

A. Absolutely not.

C

Q. Okay. We will move on. You were asked about a letter. Look at 2171 please. Tell me when you have got the page. So, it was put to you that this text was inconsistent with other texts in which you had been highly critical of the way you had been treated by your husband. And at 2171 I think you see the passage that you were specifically referred to.

D

E

“You are joyful. You have an immense potential for love. You have a beautiful, vibrant family who adores you. I would never have had the privilege to be full-time parents to Jade Mia and Lila May if it were not for your sacrifices and relentless hard work. I would never have had the opportunity to awaken them to the depth and richness of their inner lives if it were not for your complete trust in me. You put us above everything else and have provided us with a life of privilege and opulence. You have always been generous and never ever questioned any spending for education, travels and enrichment. I am conscious of this and deeply grateful. You provide with grace from your heart, and despite a more difficult work situation in recent years, you continue to provide for us with abundance and elegance. We have maintained the same high standards of living throughout.”

F

I am going to ask you a question at the moment. Before I do that, I am going to say that -- I am going to ask his Lordship if he reads the 4,300 odd pages to particularly focus on page 2168 to 2171, which is the entirety of this letter. Could you look at the second page of it, 2169? My Lord will need to read the whole letter ----

G

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: -- in order to contextualise this, but halfway down on that second page, nine years ago you write:

H

“I climbed on top of a stake with my eyes wide open and set myself on fire, choosing to burn in flames rather than suffering on the long route of wine and slumber. I decided to burn everything I knew and every belief I held. From the ashes I rose. The healing was

A spontaneous, but the knowing is still emerging slowly. Nothing has ever been the same. Some desires were permanently extinct. All compulsive addictions were burnt in the cinders. I did not find my self-worth in the marriage but I healed through it. The marriage dynamics, the projections of pain, the misunderstandings, the loneliness and the suffering provided the playground where I searched, burned down to my core and then rose again. I torched all the old beliefs and the flames of my stake and fanned my own truths. We were less conscious when we embarked on this journey in 1995. We were looking in the wrong place for things that can only be found inside of us. Of course we became angry and disappointed. Of course we engaged in a codependent, destructive dynamic. But I am very proud of how far we have travelled together and how we've reemerged on the other side, stronger, more powerful, more trusting, more loving. Marriage is not the rising of love, the intimacy, the connection your heart desires. You've fallen violently in love with a woman for nearly three years and detached yourself from us during that time. You'll need to not mess on many levels and you make it clear that you are dissatisfied with the current state of affairs. We have nevertheless forged a beautiful working partnership and I am very proud of the progress we made over the lockdown period. For the first time in 25 years I enjoyed spending an extended period of time together and not wanting it to end. For the first time there was no tension between us and a genuine affection, trust and loving friendship. The girls loved it and thrived. The catalyst was your affair with Olivia. Having cleared the air, we transitioned to a completely different relationship. In the absence of any expectations of intimacy the tension subsided and you became less reactive, more open, playful and engaged."

F I am going to put to you the question Ms Campbell put you. Do you think there is an inconsistency, a contradiction between what you are saying there and what you say in your other statements?

A. (No audible response)

G Q. You are shaking your head, but the recording will not pick up body movements. You will have to say yes or no?

A. No.

H Q. Final question: there was an issue which arose about chattels, about watches, and you were taken through a list of watches. A number of those watches obviously have sentimental attachment to Mr Zahmoul. What are you saying should happen to those for the avoidance of any doubt?

A. I don't care. I don't care.

A

Q. Are you happy for him to have returned to him things that are of sentimental attachment, like something from his mother or something from his family?

A. I don't (Indistinct response)

Q. Is that a yes or a no, Mrs Zahmoul?

B

A. Yes.

Q. Yes.

MS CAMPBELL: Well, her first answer was "I don't care."

MR MOLYNEUX: That is why I asked her again. I did not interrupt you. (To the witness)

C

You raised an issue in relation to pictures and paintings. So, you might as well tell...

Your Lordship, rather than prolong the agony for these parties after these proceedings, we might as well try and resolve, if we may, any contents disputes. She mentioned paintings in Portugal. May I put a question about that?

D

MR JUSTICE MacDONALD: I think the reality is, if you seek to adduce the evidence in relation to that issue from your client in the witness box, I do not necessarily have a problem. I am not sure we are going to resolve it that way, but if you wish to put on record or on the record your client's position in relation to it, that may ----

E

MR MOLYNEUX: My Lord, I would like to do that just in relation to what she identified as being of particular importance and I am going to ask her whether there is anything else.

MR JUSTICE MacDONALD: Yes.

A. Yes please.

F

MR MOLYNEUX: Just pause. In relation to the property in Portugal in which your husband lives, you said that there were paintings ----

A. Yes.

Q. -- that you would like to have returned because you describe them as being yours?

G

A. Yes.

Q. Can you tell his lordship exactly what those paintings are? That is the first question. And, secondly, whether there are other things, other specific items that you would, at the end of these proceedings, like to retain, just as Mr Zahmoul would like to retain those watches?

H

A. The pictures are from an artist called Nicole Etienne. They are not a big value, but I know her personally, and some of them are portraits of mine, and I just love them. The second items are the wooden nursery furniture of the children -- two beds from Dragons

A

on Walton Street and a chest of drawers. They're all like Peter Rabbit, hand-painted, and any clothes because my daughters -- the girls would look like my clothes. That is it.

Q. If there are personal possessions of Mr Zahmoul, his personal possessions that are in your possession ----

B

A. Yes.

Q. So not talking about watches now, but more generally, would you have any objection -- and forgive me because this is not strictly re-examination, but I hope you will indulge me to this extent -- would you object to Mr Zahmoul having those returned to him?

C

A. No.

Q. Thank you. I am just going to just see if there is anything I have missed. Mrs Zahmoul, thank you. I do not have any other questions. It may be the Lordship does, so just stay there for a moment?

D

A. Yes.

MR JUSTICE MacDONALD: I do not have any other questions, thank you. I am most grateful to you for helping the court with your evidence. I am going to release you from your oath now and I am going to let you go back to your seat, all right?

E

A. Thank you.

Q. Thank you very much.

(The witness withdrew)

F

MR MOLYNEUX: My Lord, I am going to need a little bit of time, I think, in any event, just to speak to Mrs Zahmoul, after the experience of giving evidence. I wonder whether it would be fairer or Mr Zahmoul to start today anyway because he will then be in purdah overnight, which means obviously he cannot speak to anybody. So my proposal would be that we start tomorrow, subject to what everybody else thinks, and most importantly what you think.

G

MR JUSTICE MacDONALD: What is the likely timing going to be in terms of -- presumably limited, if any, examination-in-chief, and then cross-examination in terms of time estimate.

H

MR MOLYNEUX: So, my Lord, without any criticism at all of Mrs Zahmoul, I anticipate Mr Zahmoul would be a more conventional exercise in the sense that there will not be the ----

MR JUSTICE MacDONALD: Yes.

A MR MOLYNEUX: -- periods out of court, etc. I would like to think I can do this in a day, which depends on how verbose I am and how succinct Mr Zahmoul is. I hope I can speak in relation to the first bit.

MR JUSTICE MacDONALD: All right.

B MR MOLYNEUX: So one day, but I will do my best?

MR JUSTICE MacDONALD: Ms Campbell?

MS CAMPBELL: My Lord, I am in your hands. It seems a shame to lose the best part of an hour, but I am not going to make any representations. Whatever suits the court and Mr Molyneux. I am happy to agree ----

C MR JUSTICE MacDONALD: Yes. I think Mr Molyneux, I am prepared to rise now for the reasons you set out, but I would want to finish Mr Zahmoul tomorrow, so if we can be as sure as we can be that we are going to get through Mr Zahmoul's evidence tomorrow, meaning he will not be in purdah over the weekend, then I am prepared to rise now.

D MR MOLYNEUX: My Lord, I am enthusiastic to start whenever you want to start. I could do that now. I do not want to inconvenience Ms Campbell or you or anybody else.

E MR JUSTICE MacDONALD: I think on balance, I would like to start now in circumstances where I think it reduces the chances of Mr Zahmoul going over the weekend. So, I will rise now for five minutes. Just give me a moment. (After a pause) Yes, I will rise now for five minutes and then we will go through until 4.20 because I have a meeting at 4.30. Thank you.

(A short break)

F MS CAMPBELL: Thank you, my Lord. With your permission I will call Mr Zahmoul into the witness box.

MR JUSTICE MacDONALD: Yes.

Mr KARIM ZAHMOUL, Affirmed

Examined by Ms CAMPBELL

Q. Mr Zahmoul, will you give your full name and address to the court, please?

A. My name is Karim Zahmoul and my address is 158 Rua Rodrigues Sampaio, Lisbon 1 Esquerda (which means left) Lisbon, 1150-28240.

H Q. I know you are answering my question, but your voice is actually quite soft and it might be difficult for everybody else to hear?

A. Okay.

A

Q. And that does not add any volume, I am afraid. But if you can direct your answers as much as you can to his Lordship ----

A. Okay.

Q. -- so that he can hear?

B

A. Sounds good.

Q. You filed a number of documents in these proceedings, Form E, replies and several statements. Are the contents of those documents true and would you ask the judge to take those into account as your evidence today?

C

A. Absolutely.

Q. There is one thing I know that you want to deal with and that is in relation to a debit on the asset schedule for tax that is due from the pensions but on the asset schedule, the ES2, is reference to a lifetime allowance tax that has been included on the schedule as a liability. Is that still a current liability as far as you are concerned, Mr Zahmoul?

D

A. So, I understand it, the UK parliament has changed that law and there is no longer, for the pension I hold, a lifetime allowance. Therefore, there should not be a tax on the money. This is with the current Tory government. I don't know about the next ----

E

Q. So as far as the current law is concerned, you would be happy for us to deduct that liability off the asset schedule?

A. Yes. "Deduct" means remove?

Q. Yes, remove. Thank you very much, Mr Zahmoul. If you wait there, there will be some questions.

F

MR JUSTICE MacDONALD: Thank you, Ms Campbell. Yes, Mr Molyneux.

Cross-examined by MR MOLYNEUX

Q. I am going to pause for a moment because there is a reference which I want to find, wrongly transcribed here.

G

MR JUSTICE MacDONALD: Ms Campbell, whilst I remember, can I have a paper copy of the ES2?

MS CAMPBELL: Yes, I have that.

MR JUSTICE MacDONALD: I have seen them ----

H

MS CAMPBELL: They are here. May I also apologise. I completely forgot to explain. My junior, Ms Amaouche, who has been a vital part of my presentation and preparation, has had to go to a conference of her own, and I have happily released her, and she asked me

A

to offer her apologies to you, but she did not want me to interrupt the proceedings to let you know that she was going.

MR JUSTICE MacDONALD: I understand.

MS CAMPBELL: She will be back tomorrow. Thank you.

B

MR JUSTICE MacDONALD: Yes, thank you.

MS CAMPBELL: I will just hand this up.

MR JUSTICE MacDONALD: Yes.

C

MR MOLYNEUX: (To the witness) Mr Zahmoul, usually the name and the address bit of giving evidence are the uncontroversial bits. And in this case, one out of two is uncontroversial. No dispute in relation to the name, but just the address. Can you just say again what your address is because it is something which has concerned your wife, and I just want you to help me with it, please?

D

A. Sure. My address is 158 Rua Rodrigues Sampaio, 1 Esquerda (which means left) Lisbon 1150-28240.

Q. And that is been the position since Form E, as I recall it?

A. That's been the position since around -- since the passing of my father, which is October 2020.

E

Q. And the issue that arises in relation to this -- you are familiar with it because you obviously read all the correspondence in the statements which Nadia -- we can refer to her as Nadia if you do not mind ----

A. Yes.

F

Q. -- has produced in these proceedings is the difference between that address and the address in Cascais which is in your Portuguese tax return?

A. Correct.

G

Q. Because Nadia is troubled that that might suggest that you have a different property which you have not disclosed in the proceedings and she wants some visibility about that. So, I am going to ask you to provide the explanation in relation to the difference between the address you told the judge and the address in your tax return in Cascais.

H

A. So when I left the UK in 2018, I had a plan to move to Portugal. I wanted to move to Portugal prior to that, but I couldn't move to Portugal and when I was able to move to Portugal, there was a change in law because of EU regulation that made the pension taxable because the European Union is against Portugal having its benefit on pension plan. And the pension would be taxable past the date of 20 February 2020. So a friend

A of mine introduced me to a person in Cascais who had a garage, so I never actually lived in that address. But I was able to file and show the Portuguese government that I had a rental contract with someone, and that allowed me to file in Portugal to say that I was a non-habitual resident of Portugal starting in February 2020. And this is something that Deloitte did for me in Portugal, filed with the authorities and showed the contract that I had for six months, and I believe I have sent this in some correspondence. But I have sent Nadia the answer to her question, showed her the contract that I signed, showed her all the payments that came out of my account at £500 -- €500 per month from the month of February to the month of October, I believe, of '21. So this has stayed on my tax return because in Portugal things are sticky. When she raised it, I addressed it with Luis Leon, who is my current accountant who is a 20-year Deloitte veteran who has gone on his own, and he's fixing it. He asked me yesterday or the day before if he wants me to change it. In my tax form, just like my HMRC tax form showed Hill Villa for a long time, even though it was in Portugal, you know, it's not so -- so relevant from a legal or tax perspective.

Q. So there was a tax advantage of having that address in Cascais?

A. There was a tax advantage in obtaining a non-habitual, European non-habitual residence in Portugal ----

Q. Yes?

A. -- prior to a certain date to benefit from drawing from the pension with zero tax. After February 2020, any withdrawal from the pension, if you want to take a lump sum, was 10%. Because I qualified from pre-2023, I could take annuities at zero per cent, but I cannot take a lump sum. This has been explained in correspondence, by the way.

Q. Yes, of course. But if I understand you correctly, that was not true?

A. In what sense? Which part wasn't true?

Q. In the sense that you weren't living in Cascais. That was not your property, was it?

A. When I was there?

Q. Yes.

A. That was not, yeah -- correct. It's not true, yes.

Q. So another way of saying it is not true would be saying that was a lie for tax purposes in order to advantage yourself, yes?

A. In order to advantage our matrimonial pot, yes.

Q. I understand it might be a lie that benefits you and Nadia, but a lie is a lie. Was it a lie?

- A. No, it was not a lie.
- A Q. What was it?
- A. I paid rent from a contract. I had a paper trail of the rent. I paid somebody £500 a month to have a pied à terre, if you want to call it that, in Lisbon, in Cascais, for the time that I was looking for an apartment, for searching for an apartment where I could live in.
- B I actually discussed it with Nadia at the time. She helped me look at the apartment. I was debating whether I was going to take a two-bedroom from a friend of mine called Bartolome(?) which is the person who introduced me to the guy I rented in Cascais. And
- C instead, I -- you know, she actually convinced me to rent the much more expensive property, which is the property I am in today, which is 158 Rua Rodrigues Sampaio.
- Q. But, Mr Zahmoul, it was an artifice, was it not because you never actually----
- A. It was a ----
- Q. Just listen ----
- D A. I do not think so.
- Q. Just listen. I understand that Nadia did what I am asking you not to do, which is to interrupt. But I am going to ask you not to interrupt. It was a pretence. It was a facade, was it not, because the key is, for that piece of legislation, the key is where you are actually residing. And you were not actually residing there? You were ----
- E A. Not -- not right.
- Q. Just listen to the question, please. You were pretending that you residing there in circumstances in which you were paying out money, but never actually living there.
- F And that is why it was a lie?
- A. Well, I believe I explained to you that my father passed away.
- Q. Yes?
- G A. Right? And so I was in Tunisia. I was traveling. I went to see the girls and Nadia. So, it's not that I was not living there. I had a pied à terre there that I didn't stay in and I filed to basically get the benefit that moving to Portugal should have given me, given the change in legislation in Europe.
- H Q. Well, his Lordship will be able to decide what he wants to do about that ----
- A. Sure.
- Q. In the meantime ----
- A. Yeah, that's correct.

A

Q. -- just look at 1340, please. I want to see whether you see any dissonance between what you have just told his Lordship and what you write down here?

A. Yes. 1340?

Q. 1340. "This is my character."

B

MR JUSTICE MacDONALD: Just let us get to the page.

MR MOLYNEUX: Of course, my Lord.

MR JUSTICE MacDONALD: Do we have volume numbers on the bundles?

MR MOLYNEUX: We do.

C

MR JUSTICE MacDONALD: Which volume is it?

MR MOLYNEUX: Which is why when Ms Vorri was dealing with it she has written on Post-it notes the page numbers which are comprised in each one. I mean, if it is easier, I am sure she would be more than happy to help Mr Zahmoul. I did offer this in court.

D

MR JUSTICE MacDONALD: It might be quicker. Okay. Let us just ----

A. 1340.

MR MOLYNEUX: 1340 please.

A. Yes.

E

Q. So you juxtapose your good character, your integrity, with that of Nadia. And you say here:

F

"My reputation, banking career, is that of someone who challenged the standard or accepted view by receiving repeated feedback ... respected for giving an alternative and balanced opinion in respect of investments, rather than the consensus opinion that was common. And that I was completely trustworthy and honest, which I think was rare in banking at the time. It was these qualities which led to my promotions. It may seem minor, but Nadia and I would have disagreements through our marriage about small acts of dishonesty which I hated. For example, Nadia was comfortable paying bribes in Morocco to queue jump at airports, on arrival, or similar. She represented our marriage as subsisting to potential mortgage lenders after divorce proceedings had begun. I was completely against this sort of dishonesty on a personal level and also took my position as a regulated individual very seriously."

G

H

Do you think that description of yourself is consistent with what you told his Lordship a few moments ago about ----

A. Yes.

Q. -- what you did with this property you never lived in, pretended to live in, in Cascais?

A

A. Yes, I do. I believe it is consistent.

Q. You think that is consistent. Okay. Could you look at 1676, please?

A. 1676?

Q. Yes, please. You might need to put the other one away. I suspect, because otherwise you'll be overrun by documents in short order?

B

A. Sure. I am expecting you to go back to these.

MR JUSTICE MacDONALD: One day we will be able to do this all electronically. It does not seem to be now?

C

A. I prefer to have your computer here.

MR JUSTICE MacDONALD: It is on the horizon.

MR MOLYNEUX: Your Lordship, if it is easier for the witness, he does have it electronically. Assuming he has not flagged it up, I do not mind him doing that.

D

MR JUSTICE MacDONALD: Let us see how we go. Let us check on that overnight, and then maybe he can move to that in the morning if it is possible?

A. 1676 you say, right?

MR MOLYNEUX: 1676 I want to look at. There are a couple of things by way of explanation that we are going to be exploring over the next 20 minutes and then tomorrow. First of all, what the assets are and, secondly, how we have got to where we have got to whereby there is such a difference between your presentation and what Nadia thinks about the asset-base, okay. This document and this question sort of goes to the second of those, because you, in amongst other criticisms you make of Nadia ----

E

F

A. Say again -- in?

Q. In amongst other criticisms which you have made in these proceedings of Nadia, you wrote this to her solicitors -- her then solicitors of Burgess Mee. You say, right at the bottom of this:

G

“Lastly, I am enclosing a list of books that I have read over the years, as suggested by various psychiatrists and psychologists ----

A. Yes.

H

Q. -- “

... that Nadia introduced me to in an effort to better understand Nadia. During the therapy period from 2011 to 2013, Jennifer Gomberoni believed that Nadia had borderline personality disorder and/or PTSD. Nadia, by her own admission, told our dear friend Cody Venetti that

A she had PTSD and that her mum suffered from bipolar disorder in April of 2021. The enclosed list of books includes literature on borderline personality disorder, addiction and narcissistic behaviour, among others. I am providing this information not to expose an idea, but to make you aware of your actions, as it seems increasingly that you are trying to take advantage of someone who may not be well.

B The list of books includes *Trapped in the Mirror*, *Lost in the Mirror*, *Seven Tools to Beat Addictions*, a cocaine recovery book, *Many Lives*, *Many Masters*, *I Hate You*, *Do not Leave Me*, *If You Have Controlling Parents*, *Stop Walking on Eggshells*, and *Narcissistic Lovers*."

C Now Nadia sees this as being characteristic of something which she would say some men, many men, do to women, which is to tell them that they are unwell, to say that they are mentally unwell or narcissistic, in order to undermine them. She thinks that this is what you were doing with her solicitors -- her professional relationship with her own solicitors. That is a fair criticism, is it not?

D A. It's a spin; it is not a criticism. I mean, what I'm trying to say is that I have done, since the beginning of this -- of Nadia serving me -- and stop me if you think I am going off piste so that I do not ----

Q. His Lordship will stop you.

E A. Okay, so this has been written -- so we have been at this -- in these proceedings for 1,051 days since the FDA. So, this was written after so much money was expended, after so many attempts of me reaching out to Nadia, after so many attempts of me asking any solicitors of Nadia, and my first email to Ms Bloom here was to offer to meet her, to answer any question with any expert, anyone, anytime, any place. And sadly, this was not being reciprocated and no one was engaging in earnest. So, what I wrote here was to articulate what I thought in earnest. You have to appreciate that she served me on June 3, 2020. We went to Wyoming. We bought a house together jointly. I did not say "you take one house, I will take the other", which in hindsight is probably what I should have done. And I tried my best to make sure that we didn't end up where we are today. I wrote an email, I do not know if you have access to it, if you could point us to where it , is, on June 3. 2020, the day she served me, or two days later, explaining to Nadia what happened to our assets, explained to Nadia what I had. I initiated a spreadsheet which she proceeded to call "origami" to all our friends because she didn't want to engage.

H And at no point was -- she was going through all these proceeding behind the scenes. Now this is, you just, I mean, she just told us that she engaged ----

MR JUSTICE MacDONALD: Rather than running off, as I understand it ----

A

A. Sorry.

Q. -- this email -- you say this email was written in an effort to try and ----

A. Progress it.

Q. Progress it?

B

A. Yes.

Q. Okay, thank you. Yes.

A. Sorry.

MR MOLYNEUX: Do you regret sending it in those terms though?

C

A. No.

Q. I have explained to you how Nadia feels about this, how she perceives writing in those terms to her solicitors?

A. All right.

D

Q. Do you think now it is something that it was helpful to write?

A. I thought it was when I wrote it. I guess it is similar to her when she writes the things that she wrote. I was, like I said -- You know, I am not a rich (inaudible) guy. I am not a Russian oligarch. I work very, very, very hard for my money. And when I saw the kind of money that we lost in this divorce, I do not know how you would have reacted. That is sadly how I reacted. If I've offended her, it was not my intention. As I have written many, many emails to her where I pleaded for her to try to be rational, I wrote an email just around that time to Miss -- to the person that was the MacKenzie friend of Nadia on March 1, which his Lordship met, Monica McGregor. I wrote her an email, I believe on January 16, 2023, where I offered again to -- because she's a forensic expert. She's done work on crypto, and she went and lived in a house in Cheltenham and I have asked her to get involved if she wanted to ask any questions, and there was no response. So, I was despairing. I don't know. It doesn't come across -- maybe it comes across to you as me being attacking her, but it was not my intention.

F

G

Q. So, Mr Zahmoul, I will be -- so you understand the case that I am going to be putting. I am going to explain to his Lordship that this is a case in -- whatever he finds in terms of the quantum of the assets. It is the case in which every action has created an equal and opposite reaction, which is I want to explore the way that assets have been revealed, the way that they have been discovered, and the impact that has had on the proceedings. Do you understand that?

H

- A. Yes.
- A Q. That is the thrust of some of the questions which will probably follow tomorrow?
- A. But before we go to that, you reference your belief that Nadia suffers from PTSD -- post-traumatic stress disorder. And if you look at 2164, you will see letter from Professor Libby, which you exhibited to one of your statements, 2164. We will just look at it.
- MR JUSTICE MacDONALD: 2164.
- MR MOLYNEUX: Please.
- A. 2164.
- C Q. Yes. This is a letter from Professor Libby, which you exhibited to one of your statements, having been exhibited to one of Nadia's statements previously ----
- A. Yes.
- D Q. -- but you were relying on it in this context. And you will see here what Professor Libby says. It is the 12 July 2022.
- “I write in some urgency as I am extremely concerned about the physical and mental welfare of my patient, Nadia Zahmoul. I understand you are acting for her divorce...”
- E Do you have it because I do not want to start if you have not?
- A. Yes. I have it.
- Q.
- F “I understand that you are acting for her divorce in these proceedings that have been going on for some time. I also understand as part of these proceedings, there is a court order which Mrs Zahmoul has been unable to sign, given the allegations made around the matter which she believes are untrue. In circumstances where Mrs Zahmoul has been struggling with significant personal attacks on her character since April 2021, and emotional abuse throughout her marriage, the court order has unfortunately triggered major symptoms of PTSD. I saw Mrs Zahmoul in my clinic on 6 July 2022. I am currently treating her for PTSD in order to help with the symptoms...”
- G It continues in that style. Just keep that in mind, but look at 477, which is a transcript of a ----
- H A. 477?
- Q. -- a hearing which took place in front of his Lordship in ----
- MR JUSTICE MacDONALD: Yes, 477.

MR MOLYNEUX: -- June 2023. 477?

A

A. The LSPO hearing, right.

Q. One of the advantages of you and Mrs Zahmoul having acted in person periodically during these proceedings is that sometimes your words are not said through the medium of a barrister. It is you talking to the judge, and this is one of those times. If you look at 477, about two-thirds of the way down... "So I do not believe."

B

A. Which letter?

Q. It is just after letter E. It says: "So, I don't believe that there is..."

A. Yes.

C

Q.

"Whilst there's liquidity, there are a lot of liabilities that have to share the liquidity. There is also -- she has, you know, a debt where she provided us on the 1 March of a letter from a doctor that she suffers from PTSD -- well, a well-being friend and that exaggerates her PTSD. What I find amazing is that the letter was given to Withers on the 12 July. We had a mediation hearing for a holiday at Withers, which they came to with no intention of making progress. In hindsight, they never disclosed this to us. It was only disclosed to us by the applicant on 1 March. You know, this is a remnant of 2014 where the only time Nadia went to rehab..."

D

E

-- and you then veer off and his Lordship brings you back ----

A. I was overwhelmed.

Q. -- on to matters which were relevant to that hearing. But the point that I want to put to you is that you present there as if this PTSD is something which has just been sprung on you -- as if it is almost irrelevant to the proceedings. It is being used as a device. But you knew, did you not, that Nadia was someone who had been unwell, and who these proceedings were very likely to trigger. That is a fair thing to say, is it not?

F

A. Yes, it's a fair thing to say, but can I put context?

MR JUSTICE MacDONALD: Yes.

A. So, what I was trying to articulate here is that this -- you see the letter when it was dated? When was it dated?

H

MR MOLYNEUX: 12 July?

A. 12 July. Do you remember when that was?

Q. Well, the scheme of this arrangement is that I am asking the questions today, so I am going to leave it to you to answer this?

A

A. Okay. So, 12 July was the day that we had a mediation session where you were supposed to come, but (inaudible) yourself the day off. And then -- with Simon Webster, and then the next day, you made an appeal to -- This is about -- We are talking about here the Cigna policy, right, which you are quite familiar with. And you made an appeal, the *cris de coeur* how you called it in your statement to the Judge at the time ----

B

Q. Overblown advocacy, Mr Zahmoul, sorry.

A. Okay.

Q. Oh, sorry. I didn't understand.

Q. I am self-deprecating. Please continue.

C

A. I didn't understand what you were saying, sorry. You put me off and I don't understand what you were saying. I'm not sure what you said. But when you had the letter -- and so what I was trying to articulate to Justice MacDonald at the time was that this letter was available on July 13th, but you chose not to use it. And instead, you basically decided to use compassionate grounds to get Judge Koch(?) to overturn her order and Judge Woodcock's order for Nadia to provide, you know, access to me as a father of my children's insurance policy. Nadia has alienated my children from me in these proceedings, and I was trying to get back what was I felt rightly mine. And so that is what I was trying to bring up in this scheme of mine.

E

Q. Mr Zahmoul, let me draw these threads together and bring this phase of the questioning to an end, I think. Nadia, you know, this is what I am going to put to you -- Nadia, you know, is someone who values transparency and feels the need not to be misled or to feel that things are being hidden from her?

F

A. Mmh.

Q. And these proceedings, particularly in relation to the original Coinbase Topanga disclosure, have triggered her, have they not, and made it very, very hard for her to accept anything that you have said. Is that a reasonable summary?

G

A. So, again, I have the benefit of the 26 years of having known Nadia and the reason why, in 2014, we didn't get divorced, and the reason why, actually, I did not want to get divorced this time -- if you understand that I purchased a house on the basis that we were not going to get divorced. And then on January 21 is when, after my father passed away, is when Ms Diana Parker sent me a letter giving me an ultimatum: either you accept to postpone everything one year, or we will meet you on April 7th in front of Job Koch(?) in Bristol with a Form E. And this is a form E, and you have one month to put

H

A it together. So, I didn't know what to do, and of course it increases her PTSD, but I
wasn't the -- I wasn't the cause of that. I was trying to actually, my whole life has been
about making sure that that does not occur. I mean, you can see from all the
communication, everything. We didn't get divorced first time; we renewed the vow for
B my daughters, even though we don't -- we didn't have any more relationship. She did
what she did with my mother's oncologist, and I stayed together. I mean, I stayed with
her. And then I wanted to stay with her further, not to destroy our assets. She is the one
who wanted to proceed with the divorce and then signed me an ultimatum. And I don't
C react well to ultimatum. I don't know how you, in my place, how you would do. But
that is what happened. So, yeah, I guess. We are here today after having lost \$10 million
of mark-to-market and \$4 million of hard-earned money. So, I'm not sure how you
would do if you were me, but that's the way I reacted. And I am sorry if it is in
D contravention to what you are saying.

Q. So a fair, I hope you would agree, summary of that would be that: yes, Nadia is
someone who would be triggered by being misled, but you do not feel that you misled
her?

A. Correct. I do not believe in misled her.

E MR MOLYNEUX: My Lord, should we pause there because it brings us on to a totally
different but relevant topic?

F MR JUSTICE MacDONALD: Yes. I think so. Mr Zahmoul, you may know, because you
are now under oath, and you will stay under oath until the end, you must not talk to
anybody at all about the case overnight?

A. I can be on my computer, doing -- reading my statements, that will be all right.

MR JUSTICE MacDONALD: Yes. The embargo - the injunction is not to talk to anybody?

A. I understand.

G MR JUSTICE MacDONALD: All right. Okay. Thank you. Thank you. 10.30 tomorrow
morning.

(Adjourned until 10.30 a.m. on Friday, 23 February 2024)

IN PRIVATE

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IN THE HIGH COURT OF JUSTICE
FAMILY DIVISION

Royal Courts of Justice
Strand, London
WC2A 2LL

Date of hearing: Friday, 23 February 2024

Start Time: 10:32 Finish Time: 15:55

Before:

MR JUSTICE MacDONALD

Between:

NADIA ZAHMOUL

Applicant

- and -

KARIM ZAHMOUL

Respondent

MR B MOLYNEUX KC (instructed by **AFP Bloom Solicitors**) for the **Applicant**

MS A CAMPBELL KC and **MS S-A AMAOUCHE** (instructed by **Stowe Family Law**) for
the **Respondent**

PROCEEDINGS – DAY 4
IN PRIVATE

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(Transcript prepared without access to case documentation)

A

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

B

MR MOLYNEUX: Yes, my Lord. Before we resume, I am going to ask for a bit more time.

C

I take complete responsibility for this. It is very important, understandably important to my client that she is satisfied that I have the fullest instructions in relation to a number of the more technical aspects relating to Mr Zahmoul's financial dealings. She has been deeply involved with the preparation of this litigation and she has a mastery of the detail and she is, as I say, very understandably anxious that she communicates properly to me because she does not want the litigation to pass feeling that points were missed or misunderstood or put to Mr Zahmoul in a way that is not clearly consistent with the way she wants the case to be put. And that is my ambition in so far as I can properly do it. I understand that it is unsatisfactory for everybody else because of course everybody else will want me to have full instructions by the time I arrive here at 10.30.

D

MR JUSTICE MacDONALD: Yes.

E

MR MOLYNEUX: But I do I ask for your indulgence in these unusual circumstances so that

F

Mrs Zahmoul feels that she has told me just the final pieces of the jigsaw so that I can come and more efficiently and effectively cross-examine Mr Zahmoul. We have dealt with some very helpful matters outside court and there are one or two other things I know that we can deal with relatively briefly so that Mrs Zahmoul can sit comfortably in her seat, not feeling the need to pass me instructions during the course of cross-examination, knowing that her case will be properly put -- and I do ask for your indulgence. I would anticipate no more than 15 minutes doing my very, very best, and I apologise again.

G

MR JUSTICE MacDONALD: Thank you. Ms Campbell?

H

MS CAMPBELL: My Lord, I am obviously anxious to accommodate Mr Molyneux, but I am very concerned about the time slipping away because Mr Zahmoul also feels incredibly involved and distressed by this litigation and he is anxious to have his evidence heard and for him to be released. Whilst I appreciate Mr Molyneux is doing his best to assist the court, whilst also representing his client fully, after a short period of time, my proposal will be that Mr Molyneux continues, and if then further time is needed for instructions, that is a matter for them ----

MR JUSTICE MacDONALD: Yes.

A MS CAMPBELL: -- for Mrs Zahmoul and her legal team, but I am anxious that we get on
and I know Mr Molyneux will be prepared in any event to carry out his cross-
examination, so I am happy to allow a short period as asked for, but then I would urge
B that the court press ahead and if further time is needed at the end of the cross-
examination that Mr Molyneux is prepared for, then at least you will have heard a good
part of Mrs Zahmoul's case, and if she wishes to add to it, then that is something we
consider once we have got through the lion's share of the evidence.

MR JUSTICE MacDONALD: Yes. Thank you. A final 15 minutes at this stage, Mr
Molyneux. Thank you.

C MR MOLYNEUX: Thank you.

(A short break)

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: I am very grateful for that. So is my client. She asked me to thank you.

D MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: We are now good to go.

MR JUSTICE MacDONALD: Thank you.

Mr KARIM ZAHMOUL, Resumed

Cross-examined by Mr MOLYNEUX (Cont'd)

E Q. Mr Zahmoul, good morning?

A. Good morning.

F Q. I want to ask you some question about your Portuguese tax returns. We touched on it
yesterday. We are going to expand upon those questions today?

A. Could I ask a question?

MR JUSTICE MacDONALD: Well, just let us listen to the questions that Mr Molyneux has
and we will take it from there. All right.

G MR MOLYNEUX: Could you turn to 701 please -- and are you happy doing the bundles
yourself or would you like some assistance?

A. I am happy to do them myself.

H Q. Got it?

A. Yeah.

Q. Fine. Do you have that to hand?

A. I think so, yes.

Q. So 701, click at the bottom of that page?

- A. Yes.
- A Q. This is an extract from your 2022 tax return ----
- A. That's correct.
- B Q. -- in Portugal. And although there is no annotation at the bottom, can you just explain the figure at 952, or indeed the run of figures at 952, so line 952, which is the penultimate line.
- A. I can try.
- B Q. Yes, go on?
- C A. So the only two figures that I can explain are the €6.6 million and the €1.53 million. The €6.6 million is the distribution of the Coinbase shares. So in Portugal, as was explained in the two Ilia(?) memos, I believe, the distribution from Topanga Canyon to myself is considered a dividend, which is why it benefits from a potential tax exemption, because as a NHR, non-habitual resident of Portugal, dividends that I receive from any entities in the world are exempt in Portugal from taxes -- should be exempt from taxes, and capital sales are not. So, while I receive -- in the US it would be considered taxable from 75 to the price at which I sell it, in Portugal, the distribution is what crystallises the tax basis for the receipt of the shares. So, when the shares were received in April 2021, I know here it says January, but it is April ----
- D Q. So, why does it say January then?
- E A. Because my accountant messed up. He said it in the letter. He made ----
- F Q. Messed up in this tax return?
- G A. This is the tax return that... So, in Portugal -- I think he explained this in the letter. He explained exactly what happened, and he said he made a mistake when he transcribed the investments and has no consequences on the tax return for the tax authorities. So what he did here is he -- 6.6 million is the number that matters with the tax authority -- is receipt of an issue of value of the receipt of the shares when I received them on April 14, 2021. And I sold them in September 2022. So, he put 12/22, which is the fiscal year that matters in which you sell it. And I sold it at \$1.7 million, I think \$74 a share. So this generates, as you can see, the acquisition. It says "*aquisição*" at the top, it means purchase. And "*realização*" means the realisation of the shares. So you sold them for 1.5, you bought them for 6.6 -- and this is kind of the tax benefit that I discovered when I moved to Portugal that I could have on the shares. I had no idea when I arrived there, and actually the first person who mentioned it is at the FDR is Judge Pocock.
- H

- A Q. That is the one thing you probably cannot talk about.
- A A. Okay, fair enough, but he's the one who alluded to that. And so it was a dividend that was -- it was considered dividend, but there is a risk that if an audit occurs in the next four years, people would think that I have received something that should have been taxed in one jurisdiction. It wasn't taxed in the US. It wasn't taxed in the UK. So if B Portugal was to do an audit, they would say effectively it is a bit aggressive not to be taxed on something like that, which is why my accountant and I decided we should keep the money in escrow for a period of time before we can release it so that -- because if I C get audited in the next three or four years as an NHR, the tax authority could say, well, you bought it at 75; you were taxed nowhere in the world. You basically generated €1.7 - €1.5 million; therefore, there is a 28 per cent capital gains tax on that investment.
- D So right now, today, what I have is I have a capital loss. And this was discussed quite extensively with Nick Warr. So, this is the explanation of that line. I could not tell you what G01 is, what 840 is, what 952 is. I think my wife it seems can tell you better than I can. I don't know what it is. I haven't Googled it. I really don't know. I trusted my 20-year Deloitte tax auditor to file my taxes with this information.
- E Q. So at the moment, you are saying that you have got the benefit of a tax asset, which is that loss of 5 million at 28 per cent?
- A A. Correct.
- Q. So, potentially going forward, an advantage to you of what, 1.4 million on future gains?
- A A. 1.5 million? No. 5 million. I have a ----
- F Q. A tax asset, is it not, because basically on the gains you make in the future, they will be tax-free. You will not be paying 28 per cent on those ----
- A A. Correct.
- Q. -- for the next 5 million. So in your hands, that is quite a valuable thing, is it not?
- G A. No. I don't know. Maybe it is, maybe it isn't. I have no idea. I have more assets, so It is difficult to understand how ----
- Q. We can probably agree on this. If you make money in the future, which is your aspiration ----
- H A. Made money?
- Q. Please listen. If you make money in the future, which is your aspiration, that is a valuable asset to have, is it not -- the tax asset being a loss of 5 million to offset against future gains. It is worth having, is it not?

IN PRIVATE

A

A. Okay, so I believe in my section 25, what I said is that I don't know where I am going to be in the future. So it depends where I am. If I am in Portugal in the future, and I have a capital gain in the future, then potentially there is a benefit. It does not apply to real estate. It does not apply to many other things. So, I don't know. I could not tell you if this is a tax asset I am going to be able to monetise. And as was stated, It is also -- there is also a risk that in the next four years, if I get audited, that this tax asset could just evaporate.

B

Q. I am not criticising you for not being able to sell in the future, but perhaps we can agree on this. That is potentially a valuable asset to you because it will enable you, if you make gains, to offset those gains against this crystallised loss?

C

A. If I am in Portugal, potentially it could happen, yes.

Q. And you could, I suppose, have just put \$75,000 as the acquisition price and then you could have paid tax at 28 per cent, and everybody would have known where they stand and you would not have had to keep this money tied up in escrow because you would have paid it, I guess?

D

A. Say that again.

Q. You could -- because the actual acquisition cost was \$75,000. So you could have put \$75,000 as the acquisition price. You could have put €1.533 million euros as the sale price ----

E

A. (Inaudible) could have put this in this form. Is that your question? I don't understand your question.

F

Q. Well, you need to wait to the end of the question and then you will know what it is and then you can answer, okay? You could have put \$75,000 as the acquisition cost. You could -- because that is what it actually cost you -- you could have put the actual sale price and you could, in light of those two metrics, just paid the tax which is arising on that capital gain, rather than mixing and matching dividends, which is obviously income-related, and a capital gain which is a capital gain?

G

A. I don't think so. If you say so, you must know more than my tax accountant. I don't know. I generally don't think I could have done that. We are talking about a 20-year Deloitte partner who filed my tax return. who believes and who's been articulating from the beginning of the proceedings that potentially receiving shares in-kind from an LLC in the United States is considered a dividend for tax purposes in Portugal.

H

A

Q. Does he say that? Look at 3532 because he seems more sceptical than you are about it and perhaps as sceptical as I am.

MR JUSTICE MacDONALD: What page?

MR MOLYNEUX: 3532, please.

B

A. Yes.

Q. 3532, he says:

C

“In line with previous communications, the allocation of shares in Topanga Canyon has been processed as a dividend, taking the distribution-based value as the acquisition cost. Consequently, the 2022 tax return reflects a capital loss of approximately 5 million euros, which offset other capital gain resulting in no tax liability for that year. It should be noted, however, that there exists a risk that, upon review, the tax authority may reassess the treatment and impose a 28% tax on the capital gain calculated from the original acquisition cost of the sale price, which is estimated to be around 460,000.”

D

And all I am saying is you could have avoided all of this complexity simply by paying tax on the basis that it was 75,000 as an acquisition and 1.5 million as a disposal?

A. That was not his advice.

E

Q. That was not his advice. In the same page there, while we are looking at it, 3532:

“Upon reviewing the records, I note two oversights I made.”

These were oversights that Nadia identified.

F

“The incorrect entry of the acquisition date for Coinbase of January 2020 instead of the actual date of April 2021, and the omission of details in the foreign accounts table. These errors do not affect the tax return calculation or the filing outcome.”

G

This is the question I want to put to you. Nadia has discovered during these proceedings that often when material is not produced, there is a malign reason, she would say -- that you were trying to deceive her.

H

A. Mmh.

Q. And she sees in your failure to produce that accounts table identifying what your accounts are as the same malign intent. Are you prepared, over the weekend, to obtain the accounts table and disclose it to his Lordship and to us?

A. Accounts table?

Q. So, you will see there:

IN PRIVATE

A “Upon reviewing the records, I noticed two oversights I made, the incorrect entry and acquisition date for Coinbase shares instead of the actual date and the omission of details in the foreign accounts table.”

Okay. Because what I understand at 3529 ----

A. Mmh.

B Q. -- what he is talking about -- at 3529, he said there, two paragraphs up:

“The only additional reporting obligation is to identify foreign bank and/or brokerage account numbers so that tax authorities, when receiving information from foreign tax authorities, may cross-reference information received under the CRS legislation...”

C MS CAMPBELL: I am not catching up with you and I do not think the witness is.

MR MOLYNEUX: I am so sorry.

MR JUSTICE MacDONALD: Where are we?

MR MOLYNEUX: 3529.

D A. I am there. I am just looking for the answer.

MS CAMPBELL: Sorry.

MR JUSTICE MacDONALD: Which paragraph, Mr Molyneux?

E MR MOLYNEUX: It is the penultimate paragraph. “The only additional reporting obligation ----

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX:

F “... is to identify foreign bank and/or brokerage account numbers so tax authorities, when receiving information from foreign tax authorities, may cross-reference the information received under the CRS legislation and the information on the tax return.”

And, Mr Zahmoul, returning to 3532, which we were looking at ----

G A. So this was ----

Q. It references the omission of that table, and my question to you, so you are clear, is: will you produce that table over the weekend so that his Lordship and we can see that table?

A. I would be glad to produce it.

H Q. Thank you.

A. But let me understand, you are not very clear on what table he wanted produced -- not very clear in the sense that what he produced the year before, so every year prior to '22, where he forgot to produce it, to put that bank account number. The account that was

A

put in in '20 and '21 was the UBS account number that ends in 3060. Now, he also says in that same letter that it has no consequences except you have a statute of limitation for the government to come back and look for these accounts. So it was -- it is an innocent omission by him to do this. Now, what is different -- what Nadia failed to disclose in her US tax return is the FBA form, which is the financial bank account disclosure.

B

Q. You are going off piste, because this is not what I am asking?

A. I understand, but this is criminal in the United States not to disclose this.

Q. This is not what I am asking about.

A. I understand.

C

Q. I am going to return to my question, which I think you have answered?

A. I would like to because we asked ----

Q. This is not a debate, okay?

A. Okay.

D

Q. I ask the questions; you answer them, and if I step out of line, his Lordship will tell me and I will be quiet. You have already confirmed that you will produce VAT accounts, over the course of the weekend.

E

A. I will ask my accountant to produce what it is you are asking because I am not totally clear what it is you are asking. Honestly, I am not clear.

Q. Just so you are clear, okay ----

A. Yes.

Q. There is a statutory obligation, apparently ----

F

A. I will ----

Q. Please listen. Do not interrupt.

MR JUSTICE MacDONALD: Mr Zahmoul, this is going to take a lot longer if you try and jump in ahead of the question. All right?

G

A. Yes, my Lord, but he is being very (inaudible)

Q. We need to be -- again, because I need to take a note and understand all this, I need to wait for the question before I get your answer.

A. Fine.

H

MR MOLYNEUX: So, we are clear, Mr Zahmoul, your accountant says that there is an obligation to produce a table of bank accounts so that that can be cross-checked in accordance with international requirements. He also goes on to say, on the page we have just looked at, that the VAT table has been omitted from your tax return. I am

A

asking you to obtain that over the course of the weekend from your accountant, and I think your answer was that you would do that?

A. I would like to get it in writing from you, please.

MS CAMPBELL: I will get the exact description from Mr Molyneux, and then we will pass it on to the ----

B

MR MOLYNEUX: I am very grateful.

A. Thank you.

MR MOLYNEUX: Thank you very much.

C

A. I would like -- if possible I would like to clarify something I said yesterday, my Lord, because this is similar to what he is doing here and I would like, if possible, with permission, to clarify something.

D

MR JUSTICE MacDONALD: Well, clarification comes in re-examination. The function of re-examination is for your leading counsel to ask any questions that she thinks need clarification. So that is the point of re-examination.

A. But I can't speak to her.

Q. Sorry?

E

A. I am not allowed to speak to her.

Q. No, but -- can we just get on, please, Mr Zahmoul.

MR MOLYNEUX: Mr Zahmoul, I just want to ask you some questions about the distribution of these Coinbase shares to you before we actually look at the Coinbase disclosure itself. Could you look at 651, please? So this is the point that has been troubling Nadia, and I want to try and deal with it briefly because I think you will have an explanation. 651. Do you have it?

F

A. I have.

G

Q. This is a cut and paste from an email which you sent on 9 April 2021, and it was shortly before the distribution of Coinbase shares from Topanga, distribution in-kind of Coinbase shares from Topanga. You needed to set up someone to receive that, a brokerage account in which to receive it. And you see there the brokerage name is Forte Security, the account is the Bank of New York, account number 672938, broker contact name "settlement team". If you look at 732, you will see what happened when you sold those shares?

H

A. Yes.

A

Q. Then at 732 you will see that there is an email address to Fadi Kassis at Forte Securities Australia, PTY Limited, Suite C, 38 Swacken(?) Drive, Sydney. That is then forwarded on to (inaudible) who are apparently listed as based at Forte Securities Limited in Great Pulteney Street in London.

B

A. Mmh.

Q. Nadia is concerned that the shares were distributed to a New York brokerage account with Forte and yet they were then sold through your friend/colleague, Fadi Kassis at Forte Securities ----

C

A. No.

Q. -- Australia, and she does not understand, and I am asking you to explain to his Lordship, why they were distributed to New York, they were sold out of Australia, the proceeds then came through London before ending up back in New York. What is the explanation for that?

D

A. So, there was a risk that if they were in the UK, they could be considered UK *situs* and potentially be taxed in the UK. And Andrew Gammon(?), who is my accountant here and who Nadia has talked about yesterday, thought that it was better to keep the shares outside the UK. So Fadi Kassis -- Forte Securities is UK based, but It is FCA regulated, but has offices in Singapore, in Australia. And so he opened an account for me in his Australian branch where he held the shares for me in custody or in my brokerage account with him there. So, we went through a KYC process and on September 15th, I instructed him to sell the shares. You see the tickets here. The proceeds, I guess, of the shares -- this is a US stock, so it is in dollars. And he -- It is (inaudible) I think, for the shares to settle. And I instructed him to wire the proceeds of the sale to the Bank of Jackson Hole to repay the mortgage, which is what he did. Now, how his back office and how all the stuff is set up within his firm, I don't know.

E

F

G

Q. Nadia does not understand why, if the purpose was indeed to try and take the United Kingdom out of the loop ----

A. Yes.

H

Q. -- we see the proceeds being wired through a Barclays account in Great Pulteney Street. Look at 652, you will see the transaction to which I am referring?

A. Yes, sure.

Q. Could you just look at that page and then provide your explanation to his Lordship?

A. 652?

A

Q. 652. It is the very bottom of that where Nadia says in the category which is described as “issues with the alleged transaction” ----

A. Okay. Wire transfers?

Q. “The wire transfer ... 1.624 million received into the respondent's Bank of Jackson Hole account ... 8909, distinctly cites the originator as Forte Securities...”

B

A. Sorry, where is it?

Q. Sorry, it is 652?

A. Where?

C

Q. And It is about two-thirds of the way down, starting with “Issues under the alleged transaction”, which is paragraph (d)?

A. Yes.

Q. And then (i) starts:

D

“The wire transfer credit in the amount of 1.624 million received into the respondent’s Bank of Jackson Hole account ending in 8909, distinctly cites the originator as Forte Securities Limited ... Golden House, Great Pulteney Street, rather than Forte Securities New York. Furthermore, the wire message indicates that the front and centre of correspondent banking relationship with Barclays Bank, 1 Churchill Place, London implied the need for a foreign correspondent to execute a foreign currency exchange to US dollars.”

E

And then we see the reference.

“This transactional flow...”

F

-- she continues,

“... along with the inductive quote, which is not a sales confirmation that the respondent has falsely represented is not commensurate with the liquidation of US securities denoted in US dollars and held in custody in the US with Bank of New York Mellon, raises questions as to whether the respondent may not have liquidated the shares.”

G

I know your answer to the question: have you liquidated the shares, because you have just said that you liquidated the shares. But why were they transferred through the United Kingdom in circumstances in which you explained to his Lordship that they were in Australia precisely to avoid the jurisdictional pull of London and the possible tax consequences of them touching London?

H

A. Yes.

Q. Why?

A

A. I have no idea. If you want -- if you pose a question, I can ask Mr Kassis to explain this to the court. Where broker dealers have their bank accounts for respective currencies and for safety of the currency, for segregation of assets, I don't know. I can't tell you.

B

But I'd be happy to send him an email and have him provide an answer to the court, if that's satisfactory. And if I may add, it is more in response to what Nadia said yesterday in her belief that I still own the shares, that I did derivatives. You know, this was sold for the cash value of the price trading of the shares on the day of the sale of the shares.

C

It is going to be checked. I mean, they went through the Nasdaq exchange. They were sold. We can get the series of all the transactions that fill the order. And it is, I mean, in my understanding, and I believe in Nadia's understanding, you cannot borrow that amount of cash without (inaudible), without anything, to be able to pretend you have the cash somewhere else, to divide a share or do something like that. The shares were sold.

D

You can trace the money that went to the Bank of Jackson Hole. I don't know. I can't answer that.

E

Q. So final question in relation to your Portuguese tax returns -- again, something that has understandably exercised Nadia, one might think. The tax returns that you have produced for previous years in Portugal were 18 or 19 pages, whereas the most recent one is limited to eight pages -- and she does not know whether there are other pages that she is being denied sight of. Is that your complete tax return or are there other pages?

F

A. That is my complete tax return. And my accountant can validate this in his answers on Monday.

Q. Could you look at 1807 please? Tell me when you have got there?

A. I am there.

Q. So this is a page which I think you produced in May of 2021 with a view to trying to sort things out with Nadia direct, I think?

G

A. Yes.

Q. And I have just got one point. We are going to return to this document later on, but I have just got one question in relation to it. If you look at five entries up from the bottom, you have got "2014 Coinbase US dollars, 396,021", and it says "Coinbase, and then estimated mark-to-market 2.327 million, mark-to-market ----

H

A. Sorry.

Q. -- 1.790.

A. You lost me.

- A** Q. Do you see that line?
A. No.
MR JUSTICE MacDONALD: If you look at 2014?
A. 2014.
MR MOLYNEUX: At page 1807.
- B** A. Yeah, 1807.
Q. 1807.
A. Yeah.
- C** Q. There is a table that I think was produced by you in connection with discussions that you were having with Nadia to try and sort things out in the spring of 2021?
A. Right.
- D** Q. And you see that, five lines up from the bottom, you have got "Coinbase, 2014, US dollars, 396,021 -- description of structure: Coinbase", "estimated mark-to-market 2.327 million", "tax rate Portugal 0%" and then 1.790 million as the after-tax figure. That was a reference to crypto holdings, was it not?
A. Correct.
- E** Q. We will return to that in a moment. Could you look at page 752?
MR JUSTICE MacDONALD: The reference again, Mr Molyneux?
MR MOLYNEUX: 752, my Lord.
MR JUSTICE MacDONALD: Thank you.
- F** MR MOLYNEUX: (To the witness) You will see there, "Topanga Canyon Holdings, LLC, US company, \$75,000" as size of holding, converted into sterling at £53,956.83. Now, I know that there is a lot that you said in relation to this, but I just want to try and see whether we can agree some things. There was no explanation, was there, in relation to this line item in your Form E or the enclosures to it?
- G** A. There was ----
Q. I think the answer is no.
A. -- I believe 100 pages of Topanga Canyon documentation. I believe there was a lot of pages on the Topanga Canyon. Or maybe that was in the explanatory? I don't know.
- H** Q. In the Form E there was no explanation either in the body of the text or attached to it ----
A. Correct.
Q. -- in relation to this?

A

A. Okay. I'll take your word for it. I believe I answered in the questionnaire on June 24th and provided the US securities offering of Topanga Canyon Investments.

B

Q. We are going to do this very methodically, okay? So, we are going to look at all of the different entries in relation to this. Now, your Form E is dated 15 March. It is not actually dated in the sense that you did not write that in, but we all agree that it is 15 March when that document was produced. We know you knew that Coinbase announced its own direct listing on Nasdaq on 25 February 2021 when its form S-1 was filed. You knew that, did you not, when it happened?

C

A. I did not know.

Q. Okay. I think you did, because if you look at 1343, you will see what you said subsequently.

MR JUSTICE MacDONALD: 1343?

D

MR MOLYNEUX: 1343, my Lord.

A. 1343?

Q. Yes. So there you seem to accept -- in fact you do accept ----

MR JUSTICE MacDONALD: Which paragraph?

E

MR MOLYNEUX: Paragraph 24, my Lord.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX:

F

"I accept that I should have stated on my Form E dated 15 March 2021 that there were discussions/plans for an upcoming Coinbase direct listing (albeit these plans have not been finally confirmed) and for full clarity explained that TCH was a vehicle for holding Coinbase shares."

So, the fact that you say there that you should have said in your Form E ----

G

A. Yeah.

Q. -- that there were plans for a forthcoming listing ----

A. Yeah.

Q. -- shows that you knew about the announcement of the forthcoming listing on 25 February?

H

A. No, that does not mean that.

Q. Explain?

A. Okay. So, this goes back again to my clarification I wanted to make for yesterday.

Q. Just answer this question, please.

A. I am trying.

MR JUSTICE MacDONALD: Yes. Just answer the question.

A. What does that mean?

Q. Say what you want to say.

A. Ah, okay. So, this was a move to Morocco, right? So, my father passed away. She filed for divorce. I got a letter from Withers on January 21, 2021, which I hope you can -- I mean, I ask you please to find the page in the bundle of the letter that Ms Diana Parker sent me to threaten me that basically we had to go to court on the 7th, when Nadia said, oh, she absolutely does not want to do that. She wants to make sure that the UK stays as a jurisdiction for this divorce. On the 28th, I responded -- of January. Then I was in Tunisia after my father's passing with my sister. I had all the things on my mind for my father's inheritance and everything else and, you know, taking care of my sisters as well. And I realised then that Nadia was not going to stop and wanted to go through a divorce. So, I basically had to get ready to do everything, find a lawyer. I was not allowed to spend much time in the UK. I had just gone to Portugal, and that is when I had found out, to clarify what I said yesterday, that there was this deadline that was coming for my pension. And that's when I rented this apartment after advice from Deloitte in Portugal. And that's why I rented this apartment in early February in Cascais. And then I left -- that was the year before, sorry. And then I left in '21 so... Sorry, apologies. So I was dealing with the Form E with Andrew Gammon(?) and I was... Yes, so I decided to leave Tunisia with my sister and go and essentially isolate myself in the middle of nowhere in the place called Dakhla(?) in Morocco. And I wasn't -- I mean I was trying to deal with what was going on and it was coming on me. And I hired Stewart's law firm. On March 31 I switched to HFC after advice of Amy Stebbing, the wife of the doctor that my wife had an affair with. And this is when I -- I... I mean, I was doing all of this at the same time and I wasn't focused on the specific when was Coinbase going to be listed. I had much bigger issues in my mind, which is why I wasn't sure ----

MR MOLYNEUX: Mr Zahmoul ----

MS CAMPBELL: Let him ----

MR MOLYNEUX: No, no, no. I am not being discourteous at all?

MR JUSTICE MacDONALD: Quiet. I am in charge ----

A. There is a lot of context.

IN PRIVATE

MR JUSTICE MacDONALD: I am in charge of this courtroom.

A. Sorry.

Q. When I speak, no-one else does. Am I clear?

A. Right.

Q. I am asking you to pause because Mrs Zahmoul is plainly in distress. I am going to rise now while Mr Molyneux deals with that.

(A short break)

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: Thank you. Mr Zahmoul, before that interruption I was suggesting to you that because you say in the statement that we just looked at that you should have disclosed your knowledge about plans for the listing, that you must have known obviously on 15 March 2021 when you produced it for me that there were plans for listing and you were answering that assertion?

A. So, the statement that I made on May 17 was late because of ----

Q. March.

A. I believe I made the statement in May 17, 2022 that ----

Q. All right.

A. Is that not right?

Q. Definitely right.

A. I wrote this statement and it was late. I delivered it late -- one of the few things I delivered late throughout the proceedings -- because I had a very serious problem with my lawyers at the time. When I found out about the listing that was going on for sure was on April 9. Okay. That's when I knew that it was going to happen a week later. While Coinbase had announced many times the fact they were looking to do direct listings or go public, it never really materialised and anything could happen -- whether it could or could not happen. I knew there would talks in December. They messaged it with CV, with that it could happen, but I wasn't sure. When I filed my form E, I put 75 for Topanga Canyon and you know on April 9 when I discussed it with my solicitor at the time, I have a very clear recollection of the call and it's paragraph 3 -- I believe paragraph 3 of the May 17 statement. No.

MR JUSTICE MacDONALD: Paragraph 4, I think.

A. Yes, I think that's right -- where I had a call with Caroline Park, and I told her there was this listing. She asked me, "What is the quantum?" and I said to her that it was between

A

70 and 100 times. And she was puzzled by the amount. And then she basically -- I said I disclosed Topanga Canyon on my Form E. And she said to me, and again, this is privilege, obviously -- it is privilege, a conversation ----

Q. If it is privileged, then you should not be saying it?

B

A. Well I am ----

MR JUSTICE MacDONALD: The difficulty, Mr Zahmoul, is if we get into waiving privilege, we then get into how much privilege is waived.

A. I understand.

C

Q. And it becomes very complex.

D

A. I believe I said it. So as I wrote in this paragraph, I believe I told her. She told me we have so much work to do on answer to *Imerman*, and questionnaire that she said it has to wait until after this is done. And there was -- I mean, there's a lot of information behind that. I have shared it with my other solicitors. I guess it is -- without waiving privilege, that's all I can say now. In my Form -- in my statement, I also stated that I was superstitious until it happened. Until it crystallises for me it was not an asset that I could value at that price. As you can see from the crypto assets, I mean, I should have had in my Form E, the fact that crypto assets would grow to \$60,000. I could have had... These are things that were moving by humongous amounts every day. So, it was not -- you know, it was an omission that I corrected before the FDR. I was ready to correct it on July -- I was ready to actually exchange on July 4, and it was -- Nadia wasn't ready to exchange.

E

F

Q. I am going to stop you there ----

A. Okay.

G

Q. -- because we are running into other territory, and I want to try and do this a little bit methodically, without doing any injustice to your case. I should say it is right, is it not, that your -- because you referenced paragraph 4 -- your solicitor has got no recollection at all of that conversation.

H

A. That's what they -- that's what they said. Actually, that's not quite right. My solicitors don't have -- they say they have no recollection of the quantum. They don't say they don't have any recollection of the conversation, which is... you know. But I was very, very clear, and actually, there's a WhatsApp that was shared. I sent the WhatsApp to my solicitor on April 9, the K-1 that arrived on April -- on April 9 it arrived to me. The

A

2020 K-1, which stated that it was worth 75, which was the only tax document that I had that showed what the valuation was. And from a tax perspective ----

Q. Mr Zahmoul, wait for my question, which I have not asked.

A. Okay.

B

Q. I just want to focus on what you have just said, which is about your conversation with your solicitor, as you recorded in paragraph 4. You say:

C

“I recall that I told my solicitor about the listing during one of many calls we had in April, shortly after instruction ... first appointment ... I understood the correct time to deal with updating disclosure ahead of the FDR, which I did ... the disclosure of data that it should have been, but for Nadia and me the intense amount of the *Imerman* document review and my replies to questionnaire....”

Then you continue:

D

“It was difficult the calls to my solicitor were mostly fraught and difficult. I was struggling with the divorce. However, I have to accept my solicitor had neither a record or recollection of this information from then, and whilst I am not waiving privilege, I want to apologise to the court and to Nadia for this.”

E

So it is not just the quantum, is it? They did not have a recollection of any of that conversation about listing, according to you. Correct?

A. No. According to me, they had a -- we had a conversation. It is very clear, according to me.

F

Q. Yes, but they had no recollection of that. You just told his Lordship that the evidence should be, or the evidence is, that they did have a recollection of you telling them about Topanga and Coinbase; what they did not have a recollection of was the precise quantum of what that might be worth. Whereas here, they seem to be saying that they have no recollection of any of that?

G

A. No.

Q. That is right, is it not?

A. No, It is not right.

H

Q. Well, according to what you said there, it is right?

A. Yes, according to what you say that it is right.

Q. Fine. I am going to ask you some questions, reasonably quick-fire because you can tell me whether or not I am wrong about this and it is a number of assertions. At the time that you deposed to the truth of your Form E on 15 March, you knew pretty much every

A

detail of the listing which was in the public domain except for the listing price. That is right, is it not?

A. No.

Q. You knew, did you not, that Coinbase had done private placement rounds earlier in the year, which pegged the valuation at between \$200 per share and \$343 per share.

B

A. As I shared with Nadia, with Tiger Global I knew that things were happening, but I was not focused on this when this was going on. Remember the context, right? I was going through a divorce that was sprung on me in February. I had to get ready with the Form E between February 28, switched lawyers, was in Morocco, did not meet lawyers. It was during Covid. I was in the middle of nowhere in the -- in the Sahara in Morocco for being on my own so that I did not infect anyone what was going on in my life. So no, I wasn't -- I am sorry to say that I wasn't following the day-to-day -- what was going on with the market and the shares.

C

Q. And you knew, did you not, that two days after you produced your Form E, so on 17 March 2021, Coinbase had made a regulatory filing that valued the company, according to those previous transactions, at around \$68 billion ahead of the planned stock market listing?

D

E

A. (Indistinct response)

Q. You knew that in that filing, Coinbase had said that its stock in the private market had traded at an average of \$343 per share in the first quarter of 2021. You knew that, did you not? It was a buoyant market.

F

A. Look, I mean, you're imputing things that I knew on me and I don't believe that is correct.

Q. You knew that on 1 April, Coinbase announced in a press release that trading would commence on the Nasdaq on 14 April, 2021, because you were keeping a close eye on these things, were you not?

G

A. From Morocco, from the Sahara in Morocco, you think I was keeping a close eye on this. You think while I was ----

Q. That is what I am saying?

H

A. -- while my life was falling apart with my divorce and my wife, after I bought a house in Wyoming, after my father passed away, after I was dealing with my children, my wife alienating my children from me, you think I was focused on Coinbase. Okay. Fair enough. I mean, look, if you think that then ----

MR JUSTICE MacDONALD: Well ----

MR MOLYNEUX: Let me just give you some evidence.

MR JUSTICE MacDONALD: Let me stop there. Being petulant in your answers ----

A. Okay.

Q. -- is not going to help you. Saying, well, if that's what you think then ----

A. Sorry.

Q. That does not help me, because I need to know what your answer is, all right? Now, what has been put to you is that you knew the things that Mr Molyneux has said you knew. What is the answer to that? Did you know or did you not know?

A. No, I did not know. Did I know that something was happening with Coinbase?

Q. Yes?

A. Potentially. I mean, not potentially. I knew that there were talks about them going -- potentially going public. But like it happened in the past, many things can happen in the market, and I did not know for sure, which is what I explained in the statement. I believe I wrote in the statement that, you know, I am superstitious. I did not want to do this. You know, there's a similar situation right now with this -- with this art exchange called Artex, which is valued in the secondary market. They're doing fundraise at 600,000. I put 50,000 euros. And in my last disclosure, that's what I explained, but I can't access it. I don't have access to this market. I can't sell my shares. They were held in Topanga Canyon, and I wasn't even sure that Topanga Canyon was a genuine vehicle because of -- and this is what I write also in the statement, in my May 17 statement, that my friend Mike Deeg, for which I invested through Coinbase -- you know, when we invested, we never had any feedback from them. We never spoke to them. We were not even sure if this was a real transaction. There are screenshots on my WhatsApp with him and his wife throughout the year where we are trying to get updates from Steve Young at Vas Venture, I think it was called, to get updates on Coinbase, and we were not getting them, and this is not unusual, so it wasn't 100 per cent sure.

Q. Okay, thank you.

MR MOLYNEUX: So Mr Zahmoul, the idea that at the end of March, the beginning of April, you were semi-detached; that you were not engaged to what was going on with Coinbase, is not true, is it? Look at page 650, please.

A. 650.

Q. This is an extract, but it is copied. Do you have it.

- A. Not yet, but I am nearly. Yeah.
- A. So this is an extract from your disclosure that has been copied.
- A. 650?
- Q. 650. It is been cut and pasted into a D11 that Nadia issued. Okay.
- A. Where?
- Q. It is halfway down (c) which says:
- “On 6 April 2021, in preparation for the in-kind distribution of shares, the respondent was asked to provide information on his securities brokerage account.”
- C. And then this is an extract of the material that you were required to produce.
- A. Yes.
- Q. And then on 9 April, you provided --
- D. “... the required information on his US-based brokerage account referencing Forte Securities and Bank of New York Mellon DTC clearing number ... custody account ... as follows...”
- And then overleaf, we see a copy of 9 April. At the beginning of April, at the end of March, you knew very well that things were progressing, Mr Zahmoul, to a ----
- E. A. So ----
- Q. Please listen -- that things were progressing to a flotation, did you not?
- A. I knew. I guess I responded to the email on 9 April. The 6 April, which was the day before the FDA, if -- you know, so I was not focused on what was going on in receiving these emails. I missed the first email which was sent, I believe, in March. I missed it.
- F. And I responded to this email on 9 April to provide my details of my custody accounts. I believe that's what she's saying here I suspect.
- Q. So look at 881, which is the day after you received that 6 April email requesting ----
- G. A. 881?
- MR JUSTICE MacDONALD: 881, yes.
- MR MOLYNEUX: (To the witness) So this is the asset schedule which was prepared. It says by the right at the top. Have you got that?
- H. A. Yeah.
- Q. In very, very small print.
- A. Yeah.
- Q. If it is easier to see it on a screen, I am sure we can provide a screen for you

- A. No, no, I can see it.
- A Q. Okay.
- A. 881 on 7 April, yeah.
- B Q. 7 April. If you scroll down to the bottom: "Topanga Canyon Holdings, LLC, US Company." Do you see that? It is in the bottom box of private equity. It is the fourth line item down. \$75,000, 54,000 sterling. Keep going across that line. And the narrative there is "some in capital account K-1 2019, HS 7.109% shareholding, question mark." "Company", "business, unclear."
- C A. Yes.
- C Q. It was wrong, was it not, for you to allow that presentation to be before the judge. I know that was prepared on behalf of Mrs Zahmoul, but it was wrong of you not to instruct somebody to say this is actually misleading. It is not 75,000. In fact, only yesterday I received an email about my brokerage details so that I could have a
- D distribution incline from Topanga because it is going to be floated and it is probably going to be worth billions and billions of dollars of which I have got a fraction. That was wrong, was it not?
- E A. So as I just explained before, On 6 April, I did not know this. The Form E -- it was my first Form E that I have ever done. It was the first time, you know, I went through this process. I had no lawyers properly. I mean, I just instructed new lawyers. I was dealing with, you know, everything I have said before, so I wasn't focused on this. I am sorry. I mean I apologised in my statement. I am really sorry that happened. But I wasn't trying
- F to hide this from Nadia. On April 14, I even sent a text to my daughters, who I know were going to share. Nothing is going to my daughter without my wife seeing it, saying, "Remember this day. This is going to be an incredible day." I was planning to tell them that this had happened. But I was trying to get an engagement from my wife, in any
- G way, shape, or form -- to have her engage with me since June, since the day she served me. And there was absolutely no engagement. On this day, I did not know. On the 9th I knew, on the 9th I spoke to my solicitors, and I was unfortunately misguided. But, you know, we can open a ----
- H Q. So, Mr Zahmoul, do you take... Because I am going to be saying to the judge next week that this failure to make proper comprehensive disclosure has led to such distrust and such costs that it cannot be ignored and that when you say that Nadia is to blame for the

A

position that everybody is in, that that is unfair. That is going to be the submission. I want to just contextualise the question.

A. Okay.

Q. Okay. And so I want to know whether or not you think that this was a bad error of judgment, putting it at its kindest.

B

A. Clearly. I mean, it was a bad error of my part to have done this, and I apologise for this in my May 17 statement. However, I have explained everything. I have been transparent on everything. I have offered so much information so many times. I have complied to every court order. I have offered to meet anybody, anytime, anywhere, any place that she wanted, herself or her parents or anyone she wanted, and she has refused.

C

Q. We are going to explore all of that?

A. Yes, I mean ----

D

Q. We are going to explore all of that, but for the time being, let me ask you another question. Did you know that there had been 16 funding rounds, but I am going to say any number of funding rounds, in relation to Coinbase and very significant stock prices.

A. So this is the email of 2018, on October 2018 that Ms Campbell went through with Nadia yesterday. Not only did I know, I shared it with her.

E

Q. We will look at the nature of what you shared.

A. The nature?

Q. What is the answer to my question? Did you know about those previous stock price raisings?

F

A. Well, I knew of the Tiger round, but between -- between basically November, my dad's passing, and me going to Morocco and me moving to Portugal and losing the job that I had with Sphere Digital, I was overwhelmed by other things. I mean it is not something I focused on. This is where we are -- you know, this is where the detail, I think, for his Lordship to appreciate is that there was a lot of things going on and I wasn't focused on what was going -- whether Coinbase was going to happen tomorrow or the next day or what the last funding round was. I mean there was a conversation with Silvie Uziel in December. So yes, I was aware that there were things going on in the market but as an investor in Topanga Canyon, I had no access to this.

G

H

Q. Did you really honestly think -- tell his Lordship -- did you honestly think that the true value of your Topanga investment on 15 March, 2021, was as little as \$75,000? Did you really think that?

IN PRIVATE

A

A. So, it is hard to understand. So it is akin to the ArtX(?) exchange that we just went through exchange of financial information. I put it on my form on November 8 at €50,000 euros, which is what I invested in. They just raised money at €660,000. So I still put it at 50,000 euros because it is not available to me to access that liquidity. So if it is not liquid and I can't access it, how can I put it at a value that is -- what.

B

Q. So rolling back from the analogy, just to focus on my question, did you really think -- please tell his Lordship -- on 15 March ----

A. Yeah.

C

Q. -- whether you thought that the true value of your interest in Topanga was as little as \$75,000.

A. I felt that the value that I should report is the value that was on my tax return because that's how I have reported most K-1s in most investments that I had.

Q. Fine.

D

A. And so it was GF5(?) that was reported like this. This was reported. I mean, this is what I thought. I thought that was the right way to do it.

Q. Okay. We will move on?

A. It was obviously a mistake and I apologised for it.

E

Q. We will move forward in time. 14 April 2021. Coinbase lists on the Nasdaq. And on the same day, Topanga LLC makes a distribution in-kind, a dividend has been presented in the Portuguese tax returns of 21,872 shares with a value on that day of \$7.059 million. That is all uncontroversial, is it not?

F

A. (No audible response)

Q. I am going to ask you to look at page 838, please, in the bundle?

A. 838?

G

Q. 838. These are your replies to questionnaire, and they are dated 24 June, so we are now two months -- over two months passed flotation: Coinbase, IPO of Coinbase and the distribution of shares to you. And at 838 ----

A. Yes.

H

Q. -- you are asked for a schedule listing the initial acquisition date and amount of all investments listed at section 2.4 of your Form E and any other investment in which you had an interest, whether in your sole name, in joint names with another, in the name of a nominee holding funds for your benefit, or in the name of an entity which you have an interest, since 1 January 2019, and you attach a table. I think that table is at 884?

- A. Yeah.
- A. And on that table at 884, you do not mention Topanga at all?
- A. Right.
- Q. Why was that?
- A. Mistake.
- Q. A mistake?
- A. A very bad mistake, yes. And I think it was addressed in communication between HFC and Withers. And it was not just the only -- actually there was a few omissions, but if you recall, Mr Molyneux, the response here was associated with 1,500 pages for the questionnaire and 3,700 pages for the *Imerman*. Now ----
- Q. Mr Zahmoul ----
- A. -- it was a -- it was a -- I mean, look, I am so sorry and I obviously regret it. I mean, it has obviously cost me and cost us as a family a tremendous amount of money and grief and upset. So I am -- obviously I would not do it like this. I made a big mistake of judgment, but I believed that I was under -- I was genuinely under the guidance that we would disclose it at the next financial exchange. That's why I did not do it earlier.
- Q. So an error in relation to that question and an error in relation to that table, okay? Could you look at page 843, please? Question 3.5.
- “In so far as the Respondent has not already provided documentary evidence of his investments and their value [my emphasis] please can he do so?”
- And then it says: “To include...” and it lists some of the investments. But just focusing on the first bit,
- “In so far as the Respondent has not already provided documentary evidence of his investments and their value, please can he do so?”
- Your reply:
- “All of these investments and their value have been explained and evidenced with the Respondent's Form E.”
- That was not an honest response, was it?
- A. You're correct. It was not honest and it was not honest when you put it in this context. I mean, this is something that my solicitors do. Obviously, I was providing the information. As I said, I was overwhelmed with what was going on, and I am so sorry

A

that it happened. I mean, it was not me trying to hide it from Nadia or keep it to myself, and I am sure we are going to get there. So I apologise.

Q. Mr Zahmoul, just to press that a little bit more ----

A. Sure, sure.

B

Q. -- I want to ask one more question. I mean, of all the stuff that is in the 4,500 pages this is probably one of the most vanilla, most straightforward questions and aspects of the case. It just says,

C

“In so far as the Respondent has not already provide documentary evidence of his investments and their value, please can he do so.”

It could not be clearer what is being asked. What was going through your head when you failed to say “that \$75,000 asset, which I put in my Form E on 15 March, has floated a month and a half ago, and it is actually worth \$7 million plus” -- 7 and a half by this point. Why did you not say that in those terms?

D

A. Because we were planning to say that at the financial disclosure, which we were ready to do as soon as we filed this. This is why in my head it was okay not to disclose it here, and to disclose it when we were going to do the financial disclosure. And every time I brought it up with my solicitors, they were saying, “Let's finish this, let's finish this, and we will do it in updated financial disclosure.” That's unfortunately what happened.

E

Q. Mr Zahmoul, I am going to be saying to the judge ----

A. Okay.

F

Q. -- on Nadia's instructions, that there was a more malign ----

A. Okay.

Q. -- a more dishonest intention. I will just explore that with you, okay, so you have the chance to put your case. Can you look at 1808, please?

G

A. 1808.

Q. 1808. We have been looking... I will wait while you get the page.

A. Yes. This was without prejudice, by the way.

Q. Well, so many questions have been asked about so many documents that have been ----

H

A. Yeah, okay but

Q. -- without prejudice ----

A. -- (inaudible due to over-speaking) and the conversation with her father was also without prejudice but -- and he's a lawyer in Morocco, but okay. Let's go through it.

A

Q. Okay. 1808 at the bottom of that page. We have been looking at events in March, we have been looking at events in April, we have been looking at what you said in your replies to questionnaire in June -- and this is 6 May. And this is an email from you. And this is you. ----

B

A. To Bill Hewlett(?)

Q. Yes. This is you suggesting mediation, is it not, because you said, "Bill, please find the asset list Nadia's lawyer put together based on the Form E..." -- which is the one that we looked at previously.

C

A. So Bill Hewlett is definitely without prejudice, right? I mean, this is a -- okay.

Q. Well, no-one has taken that point, so I am going to press on. 1808, a letter from you to Bill Hewlett -- an email from you to Bill Hewlett.

D

"Bill, please find the asset list that Nadia's lawyer put together based on the Form E and the process so far. I suspect this will be required for the next steps. Please advise what else you need and what the next steps are for mediation."

A. Yes.

E

Q. That is 6 May and I think you enclosed the asset schedule which we looked at before, which was the one that had 75,000 as the Topanga figure, so it was prepared ----

A. By Mr Rainer(?).

Q. -- for the first appointment?

A. By Mr Rainer.

F

Q. By Mr Rainer, yes. On 17 May ----

A. Yes.

Q. -- at the top of that page we see another email, this time from you to Nadia. This has got the subject "In case you are serious."

G

A. Mmh.

Q. "Please find the split of the numbers as I see it." There was an asset schedule or a list of assets which was attached to that?

A. Yes.

H

Q. We see that at 1807 ----

A. Yes.

Q. -- which is the description of structure and the various assets which you have got in there. And you continue.

A “Clearly all the numbers have changed, but we can walk through section by section and agree or not to split it all 50/50. I have done the exercise ignoring taxes as this is too complicated a task for me to do. The bank accounts can be split 50/50, no taxes. All the investments I think I should buy you out at an agreed value and pay you when I can subject to tax consequences. The pension we should split and separate out so you have your pension and the minor tax consequences of that will be defined for each of us separately when we draw on them. Let me know when you can/want to discuss. If this goes to lawyers, then you are not serious about resolving amicably amongst us and you are just looking to cause her harm.”

B

C Now, I am going to be saying to the judge next week that this is one of the most important pages in the 4,500 pages of material?

A. I agree.

Q. Because what you are doing here is setting the parameters for a negotiation. You understand that, do you not? That is what you are doing. You are basically setting out your stall for a negotiation.

A. Okay.

Q. Yes.

A. In truth, I mean I don't agree with that, but I will explain.

E Q. Well, if you do not agree, then tell the judge why you do not agree, because that is my question to you.

A. Because when Nadia served me on June 3rd, the nice letter you read yesterday, I sent her a spreadsheet of the assets. I just begged for her engagement from the get-go so we could agree to do this amicably. And never did she engage. Not a single time. There was, you know -- we had -- I went to see her father in Morocco. That's why I moved to Morocco for some time. From February to May I saw her father seven or eight times. This was to try to basically reason her so we could do this with the least possible damage to our assets. And not a single time did she mean it. She was just foraging through my stuff. She was stealing my phones, putting -- I found a phone under her bed, You know, so it was just, while she was doing this, all of this was sneaky behind my back while I was at home. She took a computer I gave to Lila May. She claims it was a (inaudible)

G

H Q. Mr Zahmoul ----

A. No, I am trying to give you context. Can I please ----

MR JUSTICE MacDONALD: Mr Zahmoul, can we just come back to the question?

A. Yes.

A

Q. The question was ----

A. Yes.

Q. -- were you by this document seeking to set the parameters ----

A. No, I was not.

B

Q. -- of the negotiation?

A. No. I was not seeking to set. I was always, to everybody that I have spoken to -- actually there's a letter from Evelyn and Sal Gargano who actually say that they knew about Coinbase when they were trying to engage with Nadia.

C

Q. What were you trying to do in relation to ----

A. I was trying to get an engagement from her so that we could try to do this with the least possible damage to our assets. I was trying to, you know, get her to agree to our assets. I believe that she knew about Coinbase and we have gone through this through Ms Campbell yesterday. I have never looked to hide my Coinbase asset. She had said yesterday she did not connect Topanga Canyon to Coinbase. I am sorry, I believe that she knew the connection, but she's saying she does not. Okay. You know that is what she says.

D

E

MR MOLYNEUX: Mr Zahmoul, can we just focus on this document here? If we look at 1807 ----

A. Yes.

Q. -- you reference Coinbase or your Coinbase investment?

A. No, no. Yes.

F

Q. But the Coinbase there is not Coinbase stock at all?

A. Correct.

Q. The Coinbase there is cryptocurrency?

A. Correct, correct, correct.

G

Q. So when you were dealing with Nadia, that was an interchangeable term. Please listen, that was an interchangeable term, Coinbase and crypto?

A. Not at all.

H

Q. You do not say here. "Coinbase actually means cryptocurrency." You just say Coinbase.

A. Not at all. This was a document that was prepared on June 3, 2020, the day she served me. This document that you just... This document here, this is my document I prepared for her ----

Q. Yes.

A

A. -- it was prepared on June 3, right? On June 3, I omitted to put Topanga Canyon. It is my mistake. And I wrote to her and I said, "This is work in progress, let's just talk to each other." June 3, 2020. And I told her, "Nadia, we should go to St. Bart's, get divorced in a friendly way, invite our daughters, invite our friends, do the same thing that we did for our wedding, and show our daughters that we can do it in a civil way."

B

After she served me, she gave me that letter. So this was for her to engage on June 3rd, 2020, not a single time. She went through my stuff, took all the pictures of Olivia, showed them to my daughter. It was -- we were -- I mean it was a toxic relationship in Wyoming. And she did all of this and never asked a question about the spreadsheet that

C

I sent her. In February 2021, my friends Sal Gargano and Evelyn were trying to mediate. They knew about Coinbase. They sent her the same spreadsheet to get engagement. She refused to engage. She was not engaging. She was just, I mean, I guess, trying to cause harm. I mean trying -- I mean, I don't understand how... You know, I have offered.

D

Q. We are ranging off from the question I am asking you.

A. We are not, I am asking... Okay, sorry, I apologise if I did, but I don't believe I did.

E

Q. I am going to try and draw these threads together to try and bring you back to ----

A. Yes.

Q. -- May 2021. I think this is common ground, okay I am going to put some things to you and you can tell me whether you agree with this. You thought that Nadia suffered from PTSD, did you not, because you have told her solicitors that and you have told other people that.

F

A. So I told her solicitors that in February 17, 2022. Correct. This is the letter you read yesterday about ----

G

Q. Yes, and you said that you had read books during the course of your relationship on PTSD and that they were taking advantage of her.

A. Yes, but Nadia did not live with PTSD all the time. She wrote, as you read in her letter, that she served me on June 3 -- we went to Wyoming. So, and to go back to that, we left -- I lived with her from March 13 when I got to London to June 20, when we went from London to the United States after she served me. We went to LA for one week. She asked me to look for apartments in LA because that's where she wanted to live at the time. I looked for apartments. We visited God knows how many apartments with a broker that I found in a week. Then we went to Wyoming, and then we bought this

H

A

house because she wanted to buy a house in Wyoming, where I borrowed -- or we borrowed \$5.72 million to buy a house in Wyoming. I was not looking to get divorced. I asked her not to get divorced.

Q. Mr Zahmoul ----

B

A. So, no. I am ----

Q. Can we just go back to PTSD?

A. Yes.

Q. The question was, did you say Nadia had PTSD?

C

A. Of course. Did I say -- Nadia's on -- I mean you received a letter on July 12 about PTSD, and did I say that Nadia had PTSD? I said that she said that she had PTSD. And I was writing the letter to her lawyer because I had -- I mean, this is what I wanted to clarify, if I can, if I may, but I hope I am not -- okay, so now I can do it.

D

Q. Mr Zahmoul, your presentation has been that Nadia is a vulnerable person, suffers from PTSD, can be taken advantage of, and you were warning her solicitors not to do that. Because that is what you think, is it not?

E

A. No. I warned her solicitors not to do that on February 17, because they represented her on November 17, 2022. And they were ordered by Justice McDonald to do several things. There were things that you, Mr Molyneux, and Judge Koch(?), had made orders that she had to follow through, and by the time we went -- we came on April -- on November 17, 2022, there were reinstated orders to do certain things by certain dates. I filed an application with Ms Knight copying Justice MacDonald because in Bristol that's what my solicitors did. So, I just copied what they did as I was self-representing. because they had done nothing. None of the orders were complied with. Even orders that cost nothing to comply with were not complied with.

F

Q. We are ranging off the question again?

G

A. No, I am not. I am not, sorry. I am sorry. So I am explaining why I wrote this letter about PTSD to Peter Burgess on February 17, a week before he recused himself to the court and dropped Nadia in front of the March 1st hearing. So I wrote that to him because I felt I was despairing that we were burning money so fast after having spent £1.6 million pounds and finding out that my wife had borrowed £658,000 from 280 and a half thousand pounds. This is why I wrote this. I was saying that -- I mean it was exacerbating her situation to be like that and I explained that she had PTSD and she claimed that she had PTSD.

H

A

Q. So let me see whether we can find some common ground in the case -- something less controversial. At the time that you were sending this email, on 17 May 2021, the following things were true, were they not -- and these should be "yes" or "no". You knew on 17 May 2021 that Coinbase had floated ----

B

A. Yes.

Q. -- and that your holding was worth over seven and a half million dollars, correct?

A. Yes. Not seven and a half; it was worth less at the time, I think.

Q. Call it seven million, for the sake of...

C

A. I don't know what the price was on that day, but it was worth more than 75,000.

Q. Mr Zahmoul, it was worth several millions of dollars, was it not?

A. Okay, yes.

Q. You knew that, and you did not point it out to Nadia, did you?

D

A. Correct.

Q. You did not update any figure in any asset schedule. Indeed, the schedule you relied upon for these mediatory discussions ----

A. Yes, yes.

E

Q. -- was a form produced in April with a figure of \$75,000?

A. Yes. Correct.

Q. You used the schedule at 1807, which you forwarded to her again ----

A. Yes.

F

Q. -- for which you did not even reference to Topanga?

A. Correct.

Q. All this is correct?

A. Yes.

G

Q. You suggested in this email that you would buy her out of the private equity investments. And you told her that she should not, if she was serious about having a discussion or negotiation with you, discuss this or take it to her lawyers. All of this is correct, is it not?

H

A. Well, yes.

Q. So if she had gone along with you, she would have ended up ----

A. No.

A

Q. -- or risked -- just wait for the question. If she had gone along with you, she would have ended up or risked you buying her out of the Topanga equity at a figure of \$37,500, would she not?

A. No.

B

Q. Because that was what your asset schedule said.

A. No. Wrong.

Q. This was exploitative and bad conduct on your part.

C

A. I don't believe so. I was trying to get an engagement from Nadia. I was trying to get her to engage with me. I have been married with her 26 years. I mean, she has had how many orders that she has failed to fulfil? I mean, you're having a hard time controlling your client. Sorry to say. I don't know how to express myself, I am sorry, but I did not try to fool my wife. I always told her that 50/50 we could share. Always. I went to her father and said the same thing, but I was trying to get an engagement.

D

Q. Final question before we break for lunch, if that is what his Lordship wants to do. Tell his Lordship how you thought that getting engagement with Nadia would be assisted by misleading her about the figures on the asset schedules you were providing.

E

A. Because I have been with her for a long time and I understand... Look, this was a poorly drafted email. The idea was to try to get any engagement from her so that I could have a conversation with her, and the line about lawyers, there's a precedent email where I told her: "Nadia, let's discuss everything and then you can go to lawyers." The idea is not to have lawyers. I mean, there was no way -- it was not feasible for her to agree anything with me without lawyers in the background, eventually to look at the contract. So it is a poor way to express myself that you're extracting from an email. that basically could not have happened in the time -- we have been here four years. It was very difficult to get any resolution before FDR in any case. So it was clear that this was going to be exchanged. I was trying to get her to engage -- that we would minimise the cost. I was haemorrhaging money. It is very hard to make the money I made. I was very lucky with Coinbase or with crypto, being an early adopter, but all that money went to lawyers. I don't have any of that money. We don't have any of that money.

F

G

H

Q. These proceedings had only been going on for a couple of months ----

A. No, but I was at £100,000.

Q. Listen, listen. These proceedings had only been going on for a couple of months by the time that you wrote this ----

A

A. But you don't understand. You don't understand. This is -- you extract -- you're putting out of context 26 years of a relationship where the -- while we are here today was the fear of my life, that this was going to happen.

B

Q. Anyway, your evidence is, as I understand it, that you thought that her engagement -- tell me whether this is an unfair paraphrase -- you thought that engagement with Nadia would be helped by relying on the figures ----

A. No.

Q. -- that you put in your asset ----

C

A. The engagement with Nadia was to be able to have an open book conversation about everything, but she had failed to do that from the get-go.

Q. So my question to you ----

D

A. So I went and bought a house with her in Wyoming. The banker in Wyoming, Todd Ellington had -- the K-1s had the -- everything was available. We shared everything.

Q. Mr Zahmoul, my question to you which you still have not engaged with -- I am going to have one more go and then that really will be it -- why was that attempted engagement going to be helped by having grossly inaccurate figures?

E

A. Because engagement, Mr Molyneux, is about interacting where you can share information that is not going to be used against you or you can do things.

Q. I understand.

A. That's why. It was very difficult to get Nadia to engage. Okay.

F

MR MOLYNEUX: My Lord, is that an appropriate point to draw stumps for this morning?

MR JUSTICE MacDONALD: Yes. Mr Zahmoul, you are under oath so, like last night, you cannot talk to anybody about your case over lunch. Thank you. 2 p.m.

(Adjourned for a short time)

G

MR JUSTICE MacDONALD: I understand it is quite hot in here. If you want to take your jacket off, please do, because I will not be offended.

MR MOLYNEUX: It is. My Lord, just a moment of housekeeping because I know that you need to rise at 4 o'clock.

H

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: I would not have finished today even if we sat until 6 o'clock ----

MR JUSTICE MacDONALD: No.

A MR MOLYNEUX: -- so it would have made no difference in terms of the timetabling. But we did have Monday as a free day (in inverted commas) to facilitate preparation of written submissions and I think submissions on Tuesday so I do not know how you ----

B MR JUSTICE MacDONALD: What I propose to do is simply to move -- to complete the evidence on Monday, to allow you Tuesday to prepare submissions.

MR MOLYNEUX: That was the question.

MR JUSTICE MacDONALD: I will hear submissions on Wednesday and then in circumstances where I am going to be reserving judgment, thereafter you can await my decision.

C MR MOLYNEUX: My Lord, thank you very much. That is very helpful.

MR JUSTICE MacDONALD: Yes thank you.

D MR MOLYNEUX: Mr Zahmoul, before the short adjournment, we were looking at the timing of your disclosure about Coinbase and about the relationship between that and the discussions you were having through mediation to try and resolve everything at the very beginning of May. I will be submitting, subject of course to your evidence, I will be submitting to the judge ----

E A. I did not hear you, sorry.

F Q. I will be submitting to the judge next week, subject to what of course you say in evidence, that your behaviour at the end of April and the beginning of May was not only dishonest in that you did not provide proper disclosure, but was also designed to exert maximum pressure in order to achieve a settlement that you were happy with. I am going to put some questions about that now. Could you look at page 1591, please, in the bundle?

A. Sure.

G Q. Is that to hand? It is a letter on 26 April, so a fortnight after the first appointment, and 10 days before you communicated with Nadia about mediation. It starts:

“Dear Diana, Nadia Zahmoul and Karim Zahmoul: finances.

H “I write regarding the interim financial position. As you are aware, my client transfers 2,000 pounds per week to your client, as well as meeting bills and household expenses plus school fees. Despite this, on the day of the court hearing, and in the days that followed, your client made a number of significant withdrawals from my client's main Barclays account ... 281 and her spending on the credit card is again substantial. My client does not agree to your client transferring

A funds from his accounts to herself. spending from them, or indeed accessing them at all, nor to the credit card expenditure. He will continue with the £2,000 per week transfers for now, despite the sums which your client has transferred from the Barclays account to herself. But he is clear that this sum is both unaffordable and in excess of your client's needs. He has arranged for the US Amex only to remain in place for your client with a cap of \$1,500, and this should be used for emergency purposes only, whether here or in the US.

B

C “Our respective clients have largely been living off capital, mainly deferred share awards from my client's employment with Barclays, since which employment ended in 2014 and there have been significant disagreements over the level of your client's spending throughout this time. The burn rate has become even greater since my client's employment with Sphere Digital LLC ended in January 2020, since which time he has not had any earned income. Since the breakdown of the marriage, my client has tried to appease your client in many ways, including financially, pleading with her to control her spending, largely out of concern for her well-being and that of the children. But he is clear that adjustments will have to be made. The size of these adjustments will, to a significant extent, depend on the legal fees incurred in these proceedings. At present, vast sums are being incurred as a result of your client's unspecified suspicions, although he is clear that he has always shared information with her.

D

E My client notes that a proportionist and sensible approach can now be taken to preserve family funds.”

F What that letter does not say is that you have just received shares worth \$6 million, \$7 million, depending on the rate of that particular day. Do you agree with me that was a significant and misleading omission in circumstances in which you were trying to reduce the amount that Nadia was spending from what you said was capital?

A. Yeah, it's an interpretation, yes.

Q. What is your interpretation?

G A. I was trying to control the haemorrhaging of funds so that we could maximise what we could save. I always try to do... So that's what it was. It wasn't because I was a... I mean, it was segregated. It is not because I made \$7 million on an investment, on asset, that we can just spend that much more. As Ms Campbell articulated yesterday, I was always trying to rein in profligate spending. My accountant had told me many times that we were spending money as if we were billionaires and we couldn't afford the lifestyle that we were having. So I was just, you know, and that's what I wrote there. I was segregating the two things. It was not to me connected as -- that's --

H

- A Q. So you do not agree ----
- A A. I wasn't trying to be misleading. I was trying to control the shock of having just purchased a \$5.72 million house in Wyoming, or borrowed \$5.72 million to purchase another house in Wyoming. I have tried to appease my wife to try to progress things in a way that was more amicable, and she had just, you know, cornered me, boxed me to go into these proceedings that have cost us now \$2 million dollars. That's what, unfortunately, you know -- and the guidance I had received was to do this.
- B Q. Mr Zahmoul, this was a fortnight after the first appointment heading towards an FDR in circumstances in which you were seeking to negotiate with her ----
- C A. Yes.
- Q. -- without her lawyer's involvement and you were at the same time reducing the maintenance that you were paying. Do you agree with me that that collection of facts was deeply inappropriate?
- D A. That collection of facts, as you put it, is horrible. It gives horrible optics. But that's really putting it out of context, basically saying one thing and not looking at the overall pictures. But yes, you're going to make that submission, so please do.
- E Q. So page 1600, could we just see what Withers say, because I want you to see whether you agree with the implied criticism in their letter some months later.
- A. Sorry, 16 what?
- Q. 1600 in the same bundle?
- A. Yes.
- F Q. It is dealing with the letter which I think is on the opposite page of 1599 which deals with taking out a loan in relation to the legal fees ----
- A. Yes.
- G Q. -- and which is what you were suggesting -- which is what you were discussing that it is necessary for a litigation loan to be taken out due to significant legal fees, and Withers reply in these terms: "I write in respect of interim finances..." (page 1600):
- H "I also received your second letter of 29 September received ... regarding legal fees which I address in some respects below which I will be responding in substance separately.
- "On 26 April 2021, and in the knowledge that his investment in Topanga had increased dramatically, your client instructed you to write to me unilaterally altering the family's financial status quo stating that this was in order to preserve family funds. I note that

A your client was specifically critical of my client for expending legal fees on 'unspecified suspicions' despite the fact that he was clear that he has always shared information. Of course, this has now been proven to be untrue.

B "Notwithstanding the above, my client has been willing to bear the brunt of the deductions of her personal financial provision. For instance, she sought a litigation loan to fund her legal fees, contrary to your second letter 29 September 2021, but that has been entirely necessary. She has also significantly depleted her own capital assets in order to meet not only her own expenditure, but also that of the girls."

C Focusing on the first of those two paragraphs, do you agree with the implied criticism in that it was wrong of you, having received those monies, to seek to limit her expenditure and that of the children without disclosing that information?

D A. Actually, I did not restrict the expenditure of the children, as can be seen on, I think, one of my exhibits. I'm not sure how much money was spent on the children since the beginning of these proceedings. So I think we were spending money for (inaudible) I don't know the word ----

Q. Profligate ----

E A. And therefore I was trying to control the spending. As I said, we had just borrowed \$5.72 million from the Bank of Jackson Hole, which was the most money we've ever borrowed, and if our objective was to keep those houses and not be forced to sell them, the way we were spending money was not affordable. It was always very difficult with my wife and I to make a budget, and therefore, you know, when my solicitors suggested that we have to do this plan, I went with it. And I don't believe that your -- the optics you're shining on this situation is accurate.

F Q. I have got a few more questions on this topic, which is Topanga and Coinbase, and then we will move on. Could you look at 886, please, which is the letter of 16 July 2021 in which you disclosed the increase?

G A. 886.

Q. 886.

H A. Yeah.

Q. 16 July 2021:

"Please find enclosed by way of exchange my client's updating disclosure. I provide further information regarding Topanga, Coinbase shares investment... Centra (inaudible) Investments held by

A Barclays below. Coinbase shares: As your client was aware at the time (and has been kept up to date since), my client invested \$75,000 in Topanga... this was a vehicle for holding Coinbase shares and was a very unusual venture capital company. Until recently Coinbase was a private company and Topanga Canyon Holdings LLC provided K-1s annually confirming the value of the investment remained at \$75,000, as detailed in the Form E. After a number of false-starts, B Coinbase listed their shares publicly in April 2021. This was clearly a one-off event. Topanga Canyon Holdings LLC informed my client that as a consequence of this, the Coinbase shares had to be transferred to a new investment account held by him personally. The market value of these shares is now c\$5.28 [million] as per the documents enclosed. If these were to be liquidated, my client would C incur a Portuguese CTC (at 28%) on the gain."

Why did you wait until two working days before the FDR to make this disclosure.

A. Because I was -- I think as was stated in my statement of 17 May 2022, it's because Nadia was not ready to exchange on July 4. That is why I waited because it had to be -- D how do you call it, we had to exchange and as you have seen, there was never -- nothing was delivered on time.

Q. You make so many criticisms of Nadia for being late, for not complying with things, for not conducting herself in relation to this litigation in a way that would minimise costs. E Do you take any responsibility for the inevitable problems, as I would put them to you, that will arise by making this type of disclosure two days before a court hearing designed to reach settlement about everything? Do you take any responsibility for that too?

F A. Of course I take responsibility for not disclosing it earlier. I have apologised. I take responsibility, but you're putting it out of context, so it is a bit... It is unfair, but I clearly take responsibility for not having done it early.

Q. Mr Zahmoul, if you want to tell his Lordship the context, tell him the context that makes G that anything other than wrong.

A. But it was... So I am confused. We were doing an exchange of financial disclosure and my lawyers had been chasing with us to exchange financial disclosure since July 4. Now I understand that I should have disclosed it much earlier, but I didn't and the reason H it wasn't earlier than the 16th and the FDR was on the 20th was because Nadia was not ready to be sooner. And what happened in between -- on July 9 and July 13, we had a mediation call with her tax advisor, Nick Warr, where Nick Warr tried to settle with everything. He agreed to basically: I take all the real estate in America -- she takes,

A

sorry, all the real estate in America, and I keep everything else. And I said no. So, you know, I wasn't looking to short-change her. I was just, you know, following protocol.

B

And again, I was not in the UK, didn't have proper lawyers. I mean, I had proper lawyers, but I wasn't engaged with them properly. I didn't understand the process. I didn't understand anything the way I understand it now. So it is been a very, very expensive lesson.

Q. So, I am going to have one more attempt at this, then we will move on.

A. Okay.

C

Q. In April, HFC write the letter that I took you painstakingly through, in which

maintenance is to be reduced and in which criticism is made of Nadia for what are described as "the vast sums being incurred as a result of your client's unspecified

suspicion." That is 26 April. You know by this point that there is a seven and a half million asset that has crystallised that no-one is referring to in any of the papers, okay?

D

And then on 16 July, a couple of working days before the FDR, you make that disclosure

and you justify it to his Lordship now in terms of: "Well, I was ready to exchange, but she wasn't, so we didn't." Can you see that where there is culpability here for the

E

inevitable waste of money and increasing costs during this period and to the FDR, that sits with you.

A. It's a point of view, and I respect your point of view.

Q. But is it a point of view that -- because this is your evidence rather than my ----

F

A. I don't agree with you.

Q. You do not agree.

A. I do not agree with you. I was following clear guidance from my solicitors. I was

chasing them to exchange. They were waiting for Nadia to be ready, and that's why we didn't exchange. I did not know that you could just give before... I did not know you...

G

I mean I'm a lay person, and you're trying to impute like the sophistication that you have on me, which I don't have. So I don't -- I did, you know, and I made a mistake, not disclosing earlier. I am sorry I did that. You know, I think I have paid a pretty significant cost for it.

H

Q. That is a price that you now seek to lay at Nadia's door because you say that ----

A. But she should ----

A

Q. Please listen. You say that she should be paying over a million pounds of extra costs. So where there has been increased costs, you are saying to his Lordship, as part of the orders that you seek, that Nadia should bear that responsibility. Do you think that is fair ----

B

A. Yeah

Q. -- looking at this on the whole?

C

A. Well, I think that she bears the brunt of the responsibility for not engaging, or never engaging. We came to FDA on April 7, and Nadia got a costs order against her. We went to... She filed for an application for an LSPO on August 19 and it was dismissed because she filed it 7 days instead of 14 days, not giving us a enough notice and not following the FPR rules. I mean, I don't know what to tell you. To me, there was never an intention for her to settle or to progress constructively as per the FPR rules. All she wanted to do is cause harm and pain and hurt, to not communicate. She was saying that -- you know, the way to solve -- I mean, we've been told by Judge Koch many times, by Justice MacDonald several times, that it would be better for us to negotiate with ourselves. I wrote letters to her to do this. I have attempted 27 times that I have provided in my conduct statement, response to the conduct statement, of the times I tried to reach with her so I could have a proper engagement. She has never engaged a single time, ever. She started accusing me of bullying her after telling me I was the most generous and nicest person in the world. And then she started accusing me of bullying her and contempting(sic) her, which was coming out of nowhere just because, you know, for a year -- she premeditated this for a year. She had seen Diana Parker, as she told you yesterday, on January 20, 2020, and she lived with me and she was foraging through my stuff. I mean, doing things that were totally improper, trying to figure out everything that happened. She asked me: oh, you had an affair with Olivia. I want to know everything you spent on her. The day she sent me that, I sent her a spreadsheet of all my American Express cards and what I spent on Olivia. I mean, I responded to everything she asked for, and she has not done anything that was asked by me, by the court, I am assuming by you each and every time.

D

E

F

G

H

Q. Please look at 888.

A. Sorry, again?

Q. Please look at 888.

A. 888.

A

Q. It is a letter from Withers on 16 July, so it is the same day that that disclosure is received?

A. Yes.

Q. And they describe in the first two paragraphs:

B

“It is monstrous to receive barely 48 hours before the FTR this updating statement from your client. It is equally monstrous to be fully aware of his blatant non-disclosure.”

A. Yes.

Q.

C

“Your client has been bullying my client by turning off financial taps, by pushing her into mediation ... and to write aggressively and disparagingly about the alleged history of this marriage this afternoon adds insults to injury.”

D

Those are fair criticisms, are they not ----

A. I don't think so.

Q. -- about you?

A. I don't think so.

E

Q. Look at what the response to that letter was. 19 July, 890 and 891. Your solicitors accept in that first paragraph on 890:

F

“This case has been coloured by your client’s very early and repeated allegations of non-disclosure before going on to say no basis for these allegations has ever been offered and so this issue can now be put to bed because your inquiries of my client's replies comprised of four transactions which my client has now promptly evidenced.”

Then on the next page at point 8 at the very bottom of 891:

G

“Topanga Canyon Holdings Coinbase shares: this has increased in value since the Form E and ... received on the 9 April by circa 5 million before tax. Again, if your client is concerned, please explain the concern regarding this account.”

H

Do you agree with me that the tone of this is an improper tone in circumstances in which you accept that you have not made the disclosure that you should have done, and indeed you apologised for to the court?

A. Actually, Mr Molyneux, I don't know if you've read from the documentation I signed that I have delivered to the court, I suffer from ADHD, and all the words, all the language that was used by you in several hearings and by the letters by Withers were

A

extremely, extremely aggressive. And there was communication from HFC to Withers several times of letters that did not need to be this aggressive. And you know your job better than I, but it is very, very, very offensive and it is part of the same, you know, desire that Nadia has to hurt. And so she was looking to hurt, to viscerally hurt, as opposed to work -- to work on... It's a divorce, to try to move forward. And I was not trying to take assets from her.

B

Q. Mr Zahmoul, I want to try and put this in context, because ----

A. Yes, yes. That is ----

C

Q. -- I do not understand that response. This is a run of correspondence where Nadia has discovered, following you attempting to mediate, following you reducing the amount of maintenance that you are paying to her, and following you producing an asset schedule in connection with that mediation that has inaccurate figures, and where she has been saying all along that she does not trust your disclosure -- this is a run of correspondence that follows on from that, in which you have now disclosed the uplift of \$7 million in relation to Topanga/Coinbase. When Withers say: this is monstrous behaviour, this should never have happened, the response that your solicitors write on your behalf is to first of all say -- "... been coloured by your client's very early and repeated allegations of non-disclosure and no basis for these allegations ever been offered." And at the bottom of that page, to say "It's increased by \$5 million before tax, if your client is concerned, please explain the concern regarding this account." Nadia sees this as the gaslighting. You are telling her something that she can see is obviously wrong. Do you not agree with that?

E

F

A. No, Mr Molyneux, I don't.

Q. It is your language -- your solicitor's language ----

A. It's not my ----

G

Q. -- here that is aggressive ----

A. No, it's not mine.

Q. -- and unhelpful?

A. I don't agree with you, Mr Molyneux.

H

Q. Okay.

A. The letters -- you have to have the merit and the benefit of reading all the prior letters, of reading... Like I said, we got in front of Judge Koch. She served a costs order. We got in front of Judge Koch again and all others. She again, you know, penalised Nadia. So

A

it was not me. It was from the get-go that she was looking to hurt before there was Coinbase or anything. She was just looking to harm.

Q. Well, this judge will be in a position now to look at all of the evidence and come ----

A. I hope so.

B

Q. -- to a determination in the light of all of that. So we will just move on. There are a couple more questions before we draw a line under this. You say 1343 -- this is your explanation for what has happened. Could we look at 1343, please?

A. Yeah.

C

Q. You say at paragraph 25 on 1343. "I approached the Form E disclosure exercise for the interest ----

A. I am sorry. I misunderstood.

MR JUSTICE MacDONALD: 1343 paragraph 25?

D

A. Yeah, I know, but I'm trying ----

MR JUSTICE MacDONALD: All right.

MR MOLYNEUX: Do you have it? Paragraph 25?

A. Mmh.

E

Q.

F

"I approached the Form E disclosure exercise literally and the investments I held at the time and had always since 2014 was in Topanga Canyon Holdings and the annual K-1 which I received referred to this. The most recent K-1 was the only documentary evidence in support of value I had at the time of the Form E, and was disclosed and that value referred to, in section 2.4 of my Form E."

G

So this is a literalist approach that you are touching upon there. So you paid 75,000. 75,000 is in the K-1; therefore it is worth 75,000. But the value of your other private equity unquoted investments is explained and qualified in your Form E. Could you look at 751 please?

A. 751.

H

Q. I am going to be saying to the judge that this literalist approach to valuation only seems to apply to Topango. Because if you look at 751, you will see in relation to the Kopako(?) Fishing Company, a Panama Company ----

A. Mmh.

Q.

IN PRIVATE

A “125 shares I purchased for a total of \$433,000. The company owns spotting rights on land in Panama, tapping(?) the land will cost 15,000. Previous offers have been received for between 30 and 50 per cent of the investment. I therefore consider the value as 40 per cent of my original investment.”

B If you scroll down the page, in fact go over the page to Hydra, 753. There is a question at the end of this. Hydra Group Limited:

C “50 shares in Hydra, which in turn own shares in an Ethiopian pharmaceutical company.” You say £26,978, 37,500 dollars. For the recent stated earning value, my shareholding is 75 per cent of my investment, which is 50,000 after deduction of fees.”

And then 753 again -- 754, the top of 754:

D “ArtX AG, 100 euro ordinary shares, a Liechtenstein company, 500 shares equating to 0.17 per cent of the class of A common shares, 42,735. This reflects what I paid for the shares in 2020 and remains my view of the current value.”

E So with all of these private equity interests, you were able to apply a critical judgment to come up with your estimate of what the current value is, except for Topanga, where you were adopt this literalist approach of just saying: well, I paid 75,000, it is 75,000 in the K-1, I am going to put 75,000. It does not stack up, does it?

A. I don't agree with you, Mr Molyneux.

Q. Why not?

F A. Because GF Agro was not so clear. Also I didn't have much information, as I told you before, from Topanga. This was done in the space of four weeks, three weeks, this Form E.

Q. You knew, Mr Zahmoul

A. And -- sorry. I hadn't finished.

G MR JUSTICE MacDONALD: Yes, go on.

A. Sorry, I lost my train of thought.

MR MOLYNEUX: Are you sure, because I do not want to interrupt you.

H A. Well, you have. So, Root AI was not there. There's nothing there. I am trying to show you that you're not quite correct on everything you're saying. Bitwyre, Kinass(?) is a charitable investment. This is where you ----

Q. Mr Zahmoul, where do you ----

A. Upside Energy(?).

A

Q. Where you looked at these and you had some view on value referable to other criteria, you applied that, did not you? And you tried your best to ----

A. Because they were ----

B

Q. Listen. You tried your best to attribute a value to those other equity interests, which wasn't just what you paid for. That only really applies to Topanga. Why was that?

A. It's not correct. I mean, the... ArtX, I just told you, I put the same price here, 6,500 shares, at £42,000; it is worth... €600,000 now on the secondary market or on the last round fundraise. I've announced that. You know I didn't do that. I just put the initial numbers I just ----

C

Q. Mr Zahmoul, look what you said about ArtX there. You say €50,000. "This reflects what I paid for the shares in 2020 ----

A. Yes.

D

Q. Just stop there ----

A. This was just done ----

Q. Please listen. You say: "This reflects what I paid for the shares in 2020 ----

A. Exactly.

E

Q. -- and remains my view of the current value."

A. Yes, it was just ----

Q. So you applied a critical eye to that to come up with a figure.

A. No, I just had invested. I was just -- it was a recent investment. One was 2015, the other one was 2020 investments. All the others were much more recent investments.

F

Q. Look at 1384 for me, please

A. Sure.

Q. This was July 2020.

A. Yeah.

G

Q. And this is running into Steve at a party. Steve, I think, was someone who had introduced Mike Deeg and you to the Topanga investment.

A. Correct.

H

Q. And you say: "A friend ran into Steve at a party the one night she was in San Francisco last year", says Mr Deeg. And you reply:

"Woke is a slang term. It is easing into the main street from some branch into the dialect of the African American Vernacular English, A-A-V-E. Awake is often rendered as 'woke', as in, 'I was sleeping

when I woke.' 'Woke' is increasingly used as a bio for social awareness."

Mike Deeg then returns to the question about Steve. Sorry, you then return to the question about Steve because you say, "Who?" "Where she asked him if the investment was fake" and you say, "Better not be." And you say "better not be" because you knew that this was a very valuable investment in an underlying Coinbase, did not you?

A. No.

Q. You did not know that.

A. No, I did not know that. There was actually -- if you go back, a couple of -- there were two, you know, over the years because this was -- Mr Molyneux, this was an investment where we never had an update. I think we had an update one time and it was not like a venture capital investment where every six months we have financials where you receive stuff from the company that manages investment. This entity that Mr Yang was running was, as you can see, there was -- and I think I mentioned this in my May 17 statement, Mike initially thought that maybe it wasn't a serious outfit that was providing the investment, so I wasn't sure.

Q. So your sworn evidence is that right up until March 2015 ----

A. No.

Q. -- your best estimate -- just listen -- is your sworn evidence in your evidence to the judge, okay ----

A. Yes.

Q. -- that your best estimate of what this investment was worth in March 2021 was \$75,000.

A. Okay, I think I explained this in my May 17 statement.

Q. Just tell the judge, please.

A. What my best estimate of this investment was?

Q. Whether you thought, on 15 March 2021, that this investment was worth \$75,000.

A. Mr Molyneux -- judge, sorry. What I thought is that this investment, until it is realised, it's worth \$75,000, until it is realised. "Realised" means that I get the shares, and I can sell the shares, and they're mine. Until such time, it is not worth more than \$75,000, the investment I made in it. That's what I believe, that's what I firmly believe, that's what I have always believed -- and that's why I believe in this ArtX situation, and in Cornish Lithium and in all the private -- the venture capital investment I made, and many friends that work in the industry and in finance, you know, will have this approach to be rather

48

Marten Walsh Cherer Ltd

A

conservative until the investment is realisable. And this was my belief and my view to be a conservative investor.

Q. Well, Mr Zahmoul, I am putting to you on Nadia's behalf that is a dishonest presentation?

B

A. Okay.

Q. Just finally look at page 866, please?

A. 866?

Q. 866.

C

A. Yes. Is there any chance I could go to the bathroom?

MR JUSTICE MacDONALD: You would like a bathroom break?

A. Please.

MR JUSTICE MacDONALD: Yes. I will rise for five minutes.

(A short break)

D

MR JUSTICE MacDONALD: Sorry, I left my laptop in my room.

MR MOLYNEUX: My Lord, this is probably a helpful intervention because there is a document which -- it is a letter, so it is passed between the person from HFC to Withers on 2 July, which I wanted to put to Mr Zahmoul ----

E

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: -- and it is not in the bundle.

MR JUSTICE MacDONALD: I see.

F

MR MOLYNEUX: So I do not know how to deal with it because I have got the one copy which is on this laptop, but it is important and relevant to this topic before we move on.

MR JUSTICE MacDONALD: Well is it the best way then for your laptop to be handed to the witness?

G

Q. Please.

MS CAMPBELL: Or I am happy for it to be read out, my Lord.

MR MOLYNEUX: If I could read it out and then ----

MR JUSTICE MacDONALD: All right.

H

MR MOLYNEUX: (To the witness) So it is a letter from HFC but I am going to move across if I may so I can share it with you Mr Zahmoul.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: It is a letter dated 2 July, Mr Zahmoul, 2021. It is from Hughes Fowler Carruthers to Diana Parker at Withers and it starts,

A

“Dear Diana, Nadia Zahmoul and Karen Zahmoul: finances.

“I write generally and in response to your letter on 30 June.

B

“Given the sheer number of our client’s bank accounts and the fact that the statements provided with his Replies are up to date, I do not propose providing updating disclosure in addition to this, particularly given the costs involved, save for up-to-date statements for my client’s crypto currency accounts, as there has, of course, been significant movement in the value of crypto currencies since my client’s Form E. On this basis, my client is content to proceed with the private FDR without your client updating her disclosure also. Please confirm this is agreed.”

C

Mr Zahmoul, you were proposing -- sorry, I should say that again. You were proposing, contrary to what you were saying earlier, that the private FDR should take place without any updating disclosure, in which case there would have been no disclosure at all about the \$7.5 million of additional wealth that you generated through Topango. That is the truth, is it not?

D

A. It is not.

Q. So how do you explain that letter in which your solicitors on the 2nd ----

A. No.

E

Q. Please listen. How do you explain that letter on 2 July in which your solicitors are saying to Withers: let's do the FDR, but let's not have updating financial disclosure?

A. I can't explain it. I don't know. I don't remember this letter, but I guarantee you that I never was -- it was never the case that... I have recordings, I have all kinds of things that shows that's not the case. I am happy to share them, but it was never the case not to share this investment with Nadia.

F

Q. So you cannot explain that letter.

A. Well, it's just a letter you're reading out It's not even in a bundle. I mean, there's so many letters I would like to share with ----

G

Q. Mr Zahmoul ----

A. -- but I am not. Okay. Cut me off.

Q. You cannot explain this letter in which you also ----

H

A. Not like that.

Q. -- are saying that there should not be any disclosure.

A. I don't believe -- I don't believe that that -- it has to have a context.

Q. Any updating disclosure in relation to that.

A

MS CAMPBELL: From your client?

MR MOLYNEUX: No, from either party. I will read it again. I understand it is unsatisfactory?

B

MR JUSTICE MacDONALD: It is unsatisfactory because I cannot actually see the letter or the context of it?

A. Exactly.

MR JUSTICE MacDONALD: I think what I would rather do is have the letter produced so that everyone can see it and then the questions can be put.

C

MR MOLYNEUX: I will do it in that way. I am going to say it is an important letter, so I want Mr Zahmoul to ----

MR JUSTICE MacDONALD: Yes, well we can come back to it.

MR MOLYNEUX: We will deal with that on Monday and we will make sure that the correspondence on either side is also before Mr Zahmoul, so you can see it in context.

D

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: (To the witness) We are going to move on. So, an aspect of Nadia's case, which you will understand, is that there are large amounts of undisclosed capital, she believes.

E

A. Undisclosed capital?

Q. Undisclosed capital. She described it variously as a second balance sheet in her section 25 statement?

A. Mmh.

F

Q. I want to ask you about this so that her case can be put to you. Could you look at 3297, please? So, with your Lordship's permission, this is going to be a rather narrative question, which at the end I am going to invite Mr Zahmoul to comment on. I want to put Nadia's case to you.

G

MR JUSTICE MacDONALD: I just want to make sure the document is before the witness. Do you have that?

Q. Yes.

H

MR MOLYNEUX: Have you got it? It is the AG tax memorandum which was prepared for you in April 2021. For what it is worth, it is headed: "Form E tax queries, final note." And 3297 -- Mr Zahmoul, I am going to put this whole thing to you, okay? And then I am going to ask you to comment on it because I want you to understand what Nadia's broader case is?

- A** A. Yes, yes.
- Q. 3297. It says at the very bottom, paragraph 1,
- “All Karim's assets as of the 31 December 2004 when he first became UK resident of clean, immutable capital.”
- B** A. Yes.
- Q.
- C** “We are advised that all Karim's and Nadia's US property investments were funded from this source. Between 2004 and 2005, and 2017 and 2018, Karim earned £19.9 million gross. and paid £8.5 million tax at source and via assessment, and spent approximately £8.9 million, leaving a £2.5 million reserve of clean capital. During this period, his UK tax income, clean capital, exceeded his UK expenditure. Also during this period, he received offshore untaxed earned income of £1.35 million from Barclays Capital offshore earnings, and an unknown quantity of offshore investment income and capital gains.
- D** Some of this he remitted to the UK and paid UK tax thereon by the Liechtenstein Disclosure Facility (the LDF).
- “After 2016 to 2017, Karim ceased his employment at Barclays Capital and his UK income was unable to keep pace with his expenditure. In 2018 to 2019, he earned 228,000 and spent 942,000, reducing his remittable clean capital reserve by 0.7 million to 1.8 million.
- E** “In 2019 to 2020, he earned 195,000 and spent 942,000, reducing his remittable capital reserve by another 0.7 million to 1.1 million.
- F** “In 2020 to 2021, his earnings reduced to nil. It is therefore possible that as of today, Karim has no remittable clean capital, having exhausted his clean capital. If Karim's income remains at his current low level and if his UK expenditure needs to remain at their current high level, there is a risk of 45 per cent UK income tax on his remittances if he returns to UK residence before 6 April 2023.”
- G** So, the first element I am going to try and do in sequence and then, as I say, invite you to comment. So, Nadia says that your UK income met your UK expenditure. She says that your US assets, the property assets which have been rolled over into the current Wyoming properties, pre-date 2005. And then look at 3496.
- H** A. 3496.
- Q. 3496, please.
- A. Yes.

- A** Q. She says that the outflows from your UBS account, your offshore money in Switzerland, which total approximately £12 million sterling.
- A. £12 million.
- Q. So that is the aggregate.
- A. Which aggregate?
- B** Q. If you look at 3496 and you add up all the outflows, and you converted it to sterling, then in broad terms ----
- A. You just sum them up.
- Q. -- it is 12 million.
- C** A. You just sum them up.
- Q. Yes.
- A. And the inflows, you don't want to ignore?
- D** Q. I am going to put a question to you, okay, and then I am going to invite you to comment, okay.
- A. Sure, sorry.
- Q. So we were just looking before at UK income, which has been spent in the UK. The US assets, which pre-date 2005, and then these monies, the outflows from UBS totalling £12 million, and Nadia says that there is no evidence anywhere on the balance sheet to explain what has become of £12 million which is coming out of UBS because it would not have come into the United Kingdom because that would have led to adverse tax consequences because it would have been a remittance, and your UK income was sufficient to meet your UK expenses. It was not being used in America in order to purchase American assets because those were already in situ, and subsequently were rolled over. And your explanation is at 3467.
- E**
- F**
- A. 3467.
- G** Q. 3467. Yes, I provided this.
- Q. You say,
- H** “From the period ... prior to our separation, the family's expenditure and lifestyle, which is one of excess of our affordability, was funded in part from the US investment portfolio. Throughout these proceedings Nadia has been provided with updating disclosure with respect to the investment balances since Form E. There is no £12 million pounds missing that Nadia is alleging.”

A

And then you provide some examples, which is transfer of funds to other accounts, investments into the temporary CIS, payment of premiums on the Penn Mutual Policy, Saxo Capital Markets, Hydra, Aqua, payments for professional services, payments of tax liabilities. Nadia does not accept that. She says, in summary, UK income met UK expenses; the US assets already in situ; and the UBS money, which we see in 12 million sterling terms going out, is not accounted for by those relatively modest investments listed at paragraph 11, and you certainly did not bring any into the UK because you would have had to pay 45 per cent, had you done so. So, that means that the money is out there somewhere in this form of this second balance sheet, and that is her case in this respect. Is she right?

B

C

A. No.

Q. Can you explain what has happened to the 12 million ----

D

A. Yes.

Q. -- with more precision than you can do at paragraph 11 ----

A. Yeah.

Q. -- because she does not accept that.

E

A. So first of all, the money -- So, the reason I left the UK in 2018 is because I ran out of clean capital, because we were outspending -- we were spending way too much money. And Nadia knows this, but -- so I left through these automatic rules, which is if you have an employment -- this is why Sphere Digital was instrumental in me being able to leave the UK without the ties that would have left me in the UK from a tax perspective. So I left the UK. This is a scheme that's used for offshore deep-sea divers, but if they are employed outside the UK, they can get paid in the UK, and the money is not taxable. That's why the 300 -- this is why there's a new -- there's a WhatsApp that Ms Campbell showed Nadia yesterday about the budgets, exactly what Sphere Digital was looking to pay me, and I discussed this with Nadia at length in February and March 2018, and I accepted the role to leave before April 6, 2018, so that it would start the clock, because I had sent already too much money to the UK, to Nadia and our daughters, because we had exhausted the clean capital that could be used.

F

G

H

Second of all, a lot of the money in UBS to clean the clean capital after having done an LDF ----

Q. The Liechtenstein Disclosure Facility ----

A. Correct. The Liechtenstein Disclosure Facility, when I did this, I had to provide to the HMRC every account, everywhere in the world, everything that existed in my name on the basis that if I had -- it could be criminal, if I had -- If I had done a remittance that was coming out of a modelled account, not a completely cleaned account, if I could not prove that it was clean. And so none of my accounts at UBS -- they were all messed up in the sense that the money was co-mingled between clean and unclean capital. Therefore, there was no way for me to prove that the money I was sending in for anything in the UK, any expenditure that I could not pay out of my Barclays shares that had expired already, was tax -- was not clean capital. Therefore, had I stayed in the UK, that remitted amount that I went through the exercise every year with my -- with Andrew Gammon would have been imputed by this tax that he talks about in his letter. And that's the driver for why I left the UK.

Now, I have shared already with my solicitors and my barristers the full list of exhaustive inflow and outflow out of my UBS account. The large amounts that you see, because we can go line by line, we can go -- I don't know how you prefer to do it. I could provide it if you want, but it is just ----

Q. Mr Zahmoul, if it is in the bundle ----

A. It's not in the bundle because it predates 2019. So, it's not in the bundle because I provided my UBS account in my Form E. This was the only UBS account I had, and it is a little bit what you say in the conduct statement. The historical transactions are taken into account in the balance that I got in the UBS statement, and therefore it is not, you know, some hidden balance sheet. All the money that you have seen was prepared by Andrew Gammon. The spreadsheet that was there is my exhausted income for the period 2005-2020. There is no other money that I was earning elsewhere except the earning from investments. So, one of the large ones that you see in that first paper you showed me on the UBS statement is I invested in an EIS scheme in the UK. So, when I was working at Temporis, I had invested prior to working at Temporis about a million pounds, which was a very significant amount of money. And that could come as capital that was offshore because it was an EIS scheme. And so I invested that, and then when it was repaid in 2017-18, and it was repaid, the scheme could stay in the UK; the gross had to go back to -- I mean, the capital that was invested could stay in the UK, and the capital gains had to go back to UBS. And so, I mean, each one of these amounts, the transfers, can be explained. So, I can send all the UBS inflows and outflows from 2012.

A

If the court orders, I'm happy to do that. I don't know if that answers your question. I don't know. There is no hidden balance sheet that I have.

Q. Nadia, if she was sitting here now, would have been turning around to me and she would be saying that if you look at the bottom of 3297 ----

B

A. 3297.

Q. Yes?

A. Yeah.

Q. She would be saying that during this 13-year window of time, you have earned 20; you paid tax at eight and a half?

C

A. Mmh.

Q. You spent, according to your tax accountant, about £9 million, meaning that there was about two and a half million pounds, which was clean capital in the UK as of 2016 to 2017; and that that was subsequently, because you were not earning enough, drawn down in order to meet your spend of £942,000 odd net per annum. so that by the time we get to 2020, it was exhausted. And she still cannot understand, if all of your UK expenses were being met from this source ----

D

A. No, what ----

E

Q. Just indulge me by letting me get to the end of the question, okay? She still does not understand why if all your UK expenses were being met from this source of income and clean capital, where the 12 million has gone to. She can see some of it having been spent because she understands that some of it has gone on the investment to identify at paragraph from 11 in your statement. But that still leaves several million pounds that she cannot -- and she has spent many hours looking through the disclosure-- she cannot find where that money is going. Are you able to explain to her where it is gone?

F

A. Yeah, I just told you. I can send you the inflows and outflow of UBS, which will tell you the recipient of the outflow from UBS and the incoming flows from UBS. So you are just summing up numbers for consecutive years without -- the balance of UBS never was 12 million, right? The balance of UBS was 1 million and then 1 million goes down and then goes up by 1 million. So it is the same money that is being recycled that you're adding up. I have never had £12 pounds sitting in an account in UBS when I made £20 million total in the space of 12 years -- £19 million total, and net was nine and a half million pounds. How could I have accumulated 12 million pounds? I don't understand the logic of how you -- what you're explaining.

G

H

- A Q. So, you say ----
- A. The sum -- let me try to ----
- Q. Of course.
- A. So I understand what you're saying, you're saying that the sum of the flows into a bank account is the stock that exists in the bank account. That's what you're saying. You're
- B saying that Nadia is saying -- she's an equity analyst; she's a pretty smart woman. You're telling me that the sum... So if you take year one, plus year two, plus year three, there's a balance on the account that's generated by money going out to an investment, coming back. Money going out, coming back, with interest or gain etcetera. And the
- C sum of all this is my asset? Is that how -- I mean, I am confused by what you mean.
- Q. So that's Nadia's mathematics, that ----
- A. Really?
- Q. -- it is 12 million pounds, of outflows from that account?
- D A. But doesn't that ----
- Q. That assumes that there is no reinvestment of those monies. Is she right?
- A. That assumes that there is no... I don't understand the question, I'm sorry.
- Q. I think that you ----
- E A. We have to be precise.
- Q. I am trying to be helpful. As I understand your response, you are saying that, yes, money goes out, but then that same money comes back in. So it is double accounting to add it all up to £12 million.
- F A. This is why I say in my statement, my conduct statement, that is what she does in crypto. That's what she's doing here.
- Q. So I am just seeking clarification?
- A. Correct. I believe so. I mean, you know, I can't explain what she's thinking. You're
- G asking me to explain ----
- Q. Well, I am putting it to you.
- A. -- to rationalise something that's irrational to me.
- Q. So, what I am asking is what happened to the money. I am not asking you to second
- H guess Nadia's approach. I am asking you to ----
- A. What do you think? The money was spent.
- Q. I have heard your answer.
- A. My Lord, can I just speak to my client because this is something which I know that

she ----

A

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: -- would like me to. (After a pause) I have just got one more question.

MR JUSTICE MacDONALD: Yes.

B

MR MOLYNEUX: (To the witness) In this respect, not unfortunately for you totally. Is the position that none of the UK expenses were met using UBS monies?

C

A. Of course not. Many of the UK expenses were met using... I mean, she has seen this. In my financial disclosure from UBS, I have paid Stewarts. I have paid the school fees. I have paid... I mean, many of the expenses that we have had have been paid from the UBS money. When we bought the apartment in 2017 in New York, I mean, when we did the 1031 in New York in 2017, buying the Frost(?) Street apartment, and I had to pay \$500,000 of taxes that I got back from the 1031, that was paid out of UBS money. When we had to make deposits, when we put the \$750,000 in Bank of Jackson Hole as a deposit to get the \$5.72 million mortgage, and this came from somewhere! UBS was the source.

D

E

Q. I think I have described that as the final question. This will be the final question on this topic. The Barclay shares, which were another line item of non-disclosure in Nadia's conduct statement and her section 25 statement. Can you tell his lordship, in relation to the Barclays shares, where did they fall? Was that paid into UBS or is that PAYE tax paid in the United Kingdom, net within that £19.8 million figure we have been looking at?

F

G

H

A. Actually, everything in UBS was also part of the £19.4 million. I mean, basically what happened is, I was hired into Barclays through, it is called "a service level agreement" with Barclays Jersey. And so there was a contract where I was seconded to Barclays Capital from a Jersey company. All my money -- that's why my bank account, my 281 account that Nadia said she had access to for some time (but not all the time) was a Jersey-based account and therefore fell outside the onshore UK. So money was sent there and then in the initial years, when I could have the non-domiciled, the non-ordinary resident status, for the days I was outside the country I could segregate the money and send it to UBS so that I could use the money in the 281 account, but it was 589 that paid the 281. So on June 24, in the questionnaire, there was a request to give every single, and I think in my conduct statement I have it in an affidavit -- I don't know where it is -- as an exhibit. I am not sure where it is, but I am sure you know, Mr

A Molyneux. I provided the exhaustive list of all the share awards, whether it was RSU,
restricted stock unit, CVP or CVA, cash value -- cash value something. Barclays was
doing a lot of tax with the compensation of employees, and every year we had a different
B acronym for what we were getting paid in. And I was paid in a -- so you were paying a
portion of the 50 per cent, 60 per cent, or even less at the end, in cash and the rest was
three-year vesting, RSU, VSU, CVA, or whatever the acronym was. The whole
C exhaustive list of everything that we use between '14 and '17, because it was a three-year
vesting -- I left Barclays in July '14, my last bonus was therefore received in February of
2014, and the portion that was not in cash was in shares or restricted share units. This
was paid to me over a three-year period. And I was told by, this is the ITIPA, what he
D writes -- I think that's what he writes about here, this was why I could not leave the UK
to go to Portugal because no matter, if I went to Portugal, I was still taxable at 45 per
cent because the income was earned as I was an employee of Barclays Bank in the
United Kingdom. Therefore, I was going to be taxable for all the proceeds of the
E unvested shares. So, that money was paid into my Barclays 589 account, and then that
was used to live. We lived way beyond our means for that period of time. And all that
has been provided as exhibit to the questionnaire in June 24, 2021. So the whole
F exhaustive list of all the shares that was gained and the money, the proceeds of that, and
that went into Barclays. And that's what fed us; that's what allowed us to live the way
we lived, unfortunately, way above our means between 2014 and 2018, when I changed
career completely. I left banking, I went into renewable energy. I worked for
G Temporis Capital, which was the entity that I made two EIS -- two VCT investments and
one EIS investment, Ventus 1, Ventus 2, and VCIS, which is wind farms in the UK --
and it was exhausted. So, it didn't go into UBS.

Q. Thank you. Can I ask you some questions about Gemini?

A. And I am happy, sorry -- I apologise for cutting you off. I am happy to provide, and this
is further disclosure, but if it helps, quell Nadia's -- I don't know what to say, call it -- I
am happy to provide what I have provided my solicitors and my barristers the list of all
the cash flow, the inflows and outflows from the UBS account, if that helps. I have no
H problem with that.

Q. My Lord, I can hear murmuring from behind. Can I just ----

MR JUSTICE MacDONALD: Yes.

A

MR MOLYNEUX: Mr Zahmoul, thank you. I am going to move on. I want to ask some questions about Gemini. Could you look at 751, please? Again, to contextualise this, okay, so you understand where the questions are going and his Lordship understands what the importance of the questions are, Nadia says that you criticised her throughout these proceedings and your solicitors have criticised her throughout these proceedings for suspicions, for making allegations of non-disclosure, that there are some other evidenced examples of you not having told the truth about your resources, okay?

B

A. Sure.

C

Q. I want to explore this in relation to Gemini?

A. Please do.

Q. If you look at 751, you will see your Form E?

A. Yeah.

D

Q. Can you see there ----

A. Yeah.

Q. Tell me when you have got that.

A. I am there.

E

Q. So it is a pretty broad descriptor at 2.4.

A. 2.4, yes.

Q. The rubric says:

F

“Details of all investments, including shares, PEPs, ISAs, Teslas, national savings, investments.”

It is a bit out of date; it does not mention cryptocurrency, but it is caught there within investments.

G

“Other than already shown above, bonds, stocks, unit trusts, investment trusts, gilts and other quoted securities that you hold or have an interest in.”

H

So, it is not just the things that you own, it is so that the court completes the totality of your disclosure. It is things that you hold. Yes. You accept, I think, that your completion of the form, paying attention to that, was incomplete because you did not reference your holding of cryptocurrency and Bitcoin in Gemini.

A. Correct. No, I did not... No, let me be clear. The Gemini account was no longer mine on March 21. Okay. It was legally mine from a ledger perspective at Gemini, but I had gifted it to my sister. So, it was not mine.

- A Q. Not in March 2021?
- A. Yes, we gifted it in December -- November 2018. This is her wedding date. She got married. My sister's 56. She got married in December 2018, which is when I gifted it to her. Now I could not, as I explained in my March -- in my April 10 statement, I gifted it to her. I explained this on June 14. I don't know if you can go to -- if you could find the -- I would love to show you this because this is important.
- B Q. Tell me the documents and maybe it is one that we are going to go to anyway.
- A. April 10, 2023. This is a statement I made in answer to the February 28 affidavit of Nadia.
- C Q. You can be assured that we will go there?
- A. Okay.
- Q. Also, if we do not, then I do know Ms Campbell will take you.
- D A. So, if I can explain one of the paragraphs, I forgot which one, there's a link to the video with Mr Pinto on June 14, 2022. There was a call and Mr -- Nadia had forced the document that she had taken.
- Q. I want to be fair to you, okay? If you want to refer to that document, you will find it ----
- E A. Yes.
- Q. -- because this is your response to Nadia dated the 28 April, 2023. Is that the one that you are referring to?
- A. No, I am referring to the one on 10 April. My document on 10 April, 2023.
- F MS CAMPBELL: 2131.
- MR MOLYNEUX: Sorry, could you repeat that?
- MS CAMPBELL: 2131.
- MR MOLYNEUX: 2131, if you want to look at it.
- G A. 2131?
- MR JUSTICE MacDONALD: Yes.
- MR MOLYNEUX: I suspect we are going to come on to it anyway, but if there is something that you want to show his Lordship now, we can deal with it that way.
- H A. Yes, 2131. I would love to go at that.
- Q. 2134, I think, is the paragraph that he wants to reference.
- A. So, if you have the electronic version, I guess if you do, then there's a link there which shows the whole conversation. Where is it, 24? No, that's not the one.

A Q. I rely on Ms Campbell. She tells me it is 2135.

MS CAMPBELL: It goes over the page?

B A. Okay. Exactly right. So, paragraph 27. So, one year later, during the Zoom -- so this is -
C - my initial response was on June 14, in pages 88 and 95 of this document. I don't know
D what that's in this. I explained that this Gemini account was no longer mine. That's
E what my solicitors wrote to her solicitors, because it was no longer mine. Now, I may be
F wrong legally, but it was gifted to my sister. One year later, during the Zoom call on
G June 14, 2022 -- this is the Zoom call that Withers tried to derail, and then we ended up
H having it because there was a lot of pushback. We had to go to Judge Koch(?). This is
the first call with the single joint expert. So Marlon Pinto in attendance; I explain I am
in the 3458 to 3530, that the Gemini account was a former account of mine, and on
November 8, 2018, I had gifted it to my sister, Layla Zahmoul, as a wedding present.
The transcript of the relevant section are in paragraphs 96 and 98. And then there's a
link where you can listen to the conversation. If you go to minute 35, you will see me
telling Marlon Pinto, Nadia in attendance, Mr Sibenik in attendance, and the crew of
Withers, that this was no longer my account.

E Now, then, because of COVID, because of many things that happened, my father's
F passing, many things that happened between 2018 and 2022, I was only able to legally
get my sister on the account in April or May -- in April, I don't remember the exact date,
of '22. That's the story about the Gemini account. Sorry. I had gifted my daughters
one Bitcoin each, one in 2014 and one in 2017. I had gifted Nadia. Nadia wanted to
have some of her crypto as well. I gave her in December '17 a quarter of a Bitcoin.
And, you know, as Mr Pinto had shown, I was quite force it. I was pushing. I mean, I
believed in crypto, and I was an early adopter.

G Q. Because your case is that Nadia has behaved unreasonably and that her suspicions have
been unreasonable in relation to your disclosure, and because her case is that you have
not made complete disclosure, we are going to have to do it a bit more methodically?

A. Sure.

H Q. So I understand that that is the thrust of your case, but I want to take you to the
documents ----

A. Sure.

Q. -- so that his Lordship can see how you presented earlier on and how Nadia's suspicions
developed as a result. So, if you look at 751, we have just looked at ----

A

A. 751, yes.

B

Q. -- you will see that you are asked to produce details of investments that you hold or have an interest in. Do you agree with me that although you tell his Lordship that you do not have an interest in those cryptocurrencies within that account, that you did hold them and thus they should have been caught by this -- albeit with your explanation: I have got no interest in them?

A. I don't believe I had interest in them.

Q. Yes?

C

A. I genuinely believe I did not have interest in them. I gifted this to my sister. I did not believe I had an interest.

D

Q. But there is a distinction, is there not, between things that are in your name, things that you hold for somebody else, and things that you do not have anything to do with at all. And here you had an account in your name, nobody else's name, which you tell his Lordship you were holding for somebody else. And it should have been in there, should it not?

A. It should have been in there? I mean I beg to differ, but ----

E

Q. You can look at the columns, can you not, which explain really, that that must be true, because you have got the name of the investment, the type of the investment, the size of the holding, the current value, the name of any other account holder, if applicable, and the total current value of your interest. So, if it has got current value and total current value of your interest, it would be totally otiose if you were only expected to put things that you had a beneficial interest in, would it not?

F

A. Actually, Mr Molyneux... Yeah. It's -- I probably would have described it better. Maybe I would have said I have this, but it is not mine -- something like that, like I did with the Olivia stuff. Probably it should have been done like that.

G

Q. Okay. Look at 148, please, because ----

A. 148?

Q. 148.

H

A. 1408, no?

Q. No, it is 148?

A. Oh, sorry. Yes.

Q. So here we have a series of questions which you were asked in May of 2022 about "deficiencies in your client's disclosure". And on 25 May 2022, at question number 6,

A “In accordance with your client's ongoing duty of full and frank disclosure, I should be grateful if you would also now reply to number six: details of any NFT cryptocurrency in which your client has or holds an interest either in his sole name or jointly with others.”

The reply to that you will find at page 152.

B A. Yes.

Q. Answer 6,

C “My client's experimented with a couple of NFTs of negligible value. This will be covered by the crypto experts. They are held in his Betamask wallets, his Xerian account. and details on the spreadsheet.”

Go back to page 148, look at question 12.

D “Details of any trading activities undertaken by your client on behalf of third parties and/or institutional investors, details of which have not been disclosed.”

And your answer, page 152. Question 12:

E “My client has not undertaken trading activities on behalf of third parties and/or institutional investors, save for the Cheer(?) venture. This statement will deal with the false allegation in respect of a crypto fund.”

No mention here ----

A. I didn't understand this.

F Q. So “Details of any trading activities undertaken by your client on behalf of third parties and/or institutional investors, details of which have not already been disclosed” -- and you say at page 152, question 12: “

G “My client did not undertaken trading activities on behalf of third parties and/or institutional investors, save for the Cheer Venture. This statement will deal with the false allegation in respect of a crypto fund.”

Then finally in this regard, look back at 149 because you were asked about question 16,

H “Details of any other relationship that your client has with centralised exchanges, crypto banks, DOAs, mining ventures, or any other type of entities and/or activities that he has not yet disclosed.”

And your response to 16 -- this is page 152:

A “My client not understand the question, but he has disclosed all his crypto assets.”?

A. Yes.

Q. The thrust of this is: have you made full disclosure about your relationship with crypto, with any holdings you might have on behalf of any third party?

B A. Yes.

Q. And you do not make any mention at all to your solicitor. Why?

A. Because I didn't think that was -- I mean, I didn't think that was the right -- the answer for this. As I just pointed to you on, I guess, June 14, I just said what it was. I didn't think it was my account. It was my sister's account. And you know I, in earnest and honestly, believed that what I was saying is correct.

C Q. You had an opportunity in the Form E to refer to any holdings that you had, as opposed to any beneficial interest that you might have. You have had an opportunity here to refer to any holdings, any trading holdings that you have on behalf of any third party or any relationship with any other exchange you have not disclosed, and you do not take advantage of this -- just to say, well, I do have these 5 Bitcoin, but they are held on behalf of my sister. They are worth \$100,000 (or whatever it would be at that point) but they are nothing to do with me. Why?

E A. I don't know. I can't tell you why I didn't do that. It was not an attempt to mislead the court or mislead Nadia. It was just that I didn't believe they were mine and so I didn't -- I didn't put it there. It was my sister's account.

F Q. Just look at 861 please?

A. 861?

Q. 861

MR JUSTICE MacDONALD: 861, yes.

G A. Yes.

MR MOLYNEUX: At 861, question 9.5, you were asked:

H “Please confirm whether the Respondent has made any further investment, private equity or otherwise, which have not yet been disclosed. either in his own name, or in the joint names of himself and another, or in the name of a nominee for him, or in which he has a beneficial interest, and if so, provide full details to include the extent, nature, and value of his interest, and response to the questions raised in 9 in so far as relevant together with documentary evidence.”

A

This is from February 2022, and it is a further nudge to say to you: if you are holding anything, then put your cards on the table. If you have got no interest in it, then you can make that play in the body of the answer. Why did not you do it?

A. I don't know. Maybe I didn't read this properly maybe -- I don't know. I didn't think it was mine like as I said.

B

Q. Mr Zahmoul, can you see ----

A. This is overwhelming, Mr Molyneux. The process has been traumatic so I don't know why I didn't do that. Just like the Form E, as I said before it was my first Form E; it was done in a month and the mistakes in it are honest mistakes. They're not ----

C

Q. Can you understand that the aggregate of these things ----

A. No, I don't understand.

Q. The adding together of these non-disclosures or these inadequate answers have fuelled Nadia's concern that you are not telling the truth about your total disclosure and that that was reasonable for her to think. Do you agree with that?

D

A. I could agree with that if the background was not that I offered -- I don't know how many times, 100 times, that I would meet with anyone that she wanted, anybody, anywhere, anytime, to answer any of her questions, any one of them. My first email to Ms Bloom was to offer to me. Then I have sent 15, probably, letters which each letter had a sequential -- they were numbered sequentially. But this is first attempt -- my second request, my third request, my fourth request, to me to explain and elucidate anything that Nadia would like. With your shadow expert, with yourself, with the tax

E

F

person, with Ms MacGregor. I mean, I was trying to make sure that she was comfortable with everything. So it is difficult to hear today that if I understand that she feels this way. I don't, and I have the benefit of 27 years' of behaviour. So, it is difficult for me to take these questions when I was trying to have an open communication. I went to see her father in Morocco. I spent time with her brother, her father, anybody she wanted to have an intermediate. So it's difficult to hear this grilling.

G

H

But look, you're pointing out pitfalls in my answers, which I guess are genuine pitfalls, but it was not trying to hide something. It was just, you know, an answer in the way I read it literally or I didn't read it properly. And actually after that, when I was on the phone with my lawyers when I said on June 14, it was just -- I just said exactly what it was on the conversation, and we didn't look back and say: oh, you didn't do this correctly in this answer. I'm sorry that I got it wrong.

A

Q. One of your criticisms of her is that she did not take advantage of the opportunities to discuss things direct or for her advisors to discuss things direct with you?

A. Agreed.

B

Q. That is one of the things you have just said to his lordship, okay? But I am going to be submitting to his Lordship, and I want to give you the opportunity to comment on this, to answer my question. A bit like fidelity in relationships, when trust is gone ----

A. Fidelity?

C

Q. -- when trust is gone, it is very hard to get back, is it not? And for Nadia, the scale of what she saw as your non-disclosure, your dishonesty in relation to Coinbase and then Gemini -- and we are going to look at Xapo in due course -- meant that she could not engage with these invitations by you to take you at your word and ask you questions. That was reasonable, was it not?

D

A. No.

Q. It was not reasonable. Just look at ----

E

A. The invitation to engage was not to take me at my word. It was to answer her questions. As you have seen here, every question was answered in a submission on the day of the *ex parte* application. I mean, we wrote to her... Chris (Inaudible) wrote to her to try to engage with Ms Bloom at the time, and there was no discussion. And then she comes in on the day of the hearing, filed an *ex parte*, and there goes the final hearing. Then we go into... We have gone to the PTR, and the day of the PTR, I get an application, which is a conduct meeting, which is all more questions on accounts. This has been the theme from the get-go.

F

Q. So I think the answer to my is that you do not think it was reasonable for her not to engage in the way that you would have wished to engage. I mean, that is your answer?

G

A. I think so, yeah.

Q. Okay?

A. That is right.

Q. We will look at 2235 next, please?

H

A. 2235.

Q. So this is a breakdown ----

A. Yes.

Q. -- of the *Imerman* material that your solicitors had analysed and at number 51, at the very top of 2235, they describe in the details that they have reviewed and they say:

A “The print out listed of Coinbase, Multibit class of Gemini KZ which is enclosed. Our client's Coinbase account is disclosed in his Form E. Our client no longer holds Multibit or Gemini accounts and has not for many years. The Multibit platform no longer exists.”

B You knew at the time that this was produced, which was the 24th of June 2021, that you did have a Gemini account, albeit you say had your name on it, but was actually your sister's beneficial entitlement. Why did you not tell them, to express it in those terms, because this is misleading?

A. I didn't think it was misleading. It was not my account. It was my sister's account.

C Q. You do not think that is misleading?

A. Well, you can put it like this, I guess, Mr Molyneux. It was not my account.

Q. Could you look at 2134 please?

A. 2134?

D Q. Do you have that? 2134?

A. I'm looking at it, yeah. 26.

Q. So, 2134?

A. 26, right?

E Q. Paragraph 26, yes.

“In my initial response to the first questionnaire, *Imerman*, I submitted to Nadia's counsel on 14 June 2021. I stated that the Gemini account had once been mine but was no longer mine.”

F That document to which you are referring you will find at 2235. Okay, so what you say about the Gemini allegation:

G “In my initial response to the first questionnaire in *Imerman* submitted to Nadia's counsel on 14 June 2021, which is the document I am going to look at, I stated that the Gemini account had once been mine, but it was no longer mine.”

The Gemini account?

A. Yes.

Q. What you actually said was:

H “Our client no longer holds Multibit or Gemini accounts, and has not for many years. The multi-platform no longer exists.”

You were not referencing a specific Gemini account which was yours, but had been transferred into the name of your sister, as you suggest?

- A. Yes. Why not?
- A Q. What you had originally done is just deny that you continue to hold *any* Gemini accounts. You did not say: ell, I did have one, but I have now transferred it, or I am about to transfer it?
- A. Mmh.
- B Q. Again, why not provide more clarity rather than more obfuscation, more confusion?
- A. Look, yeah, I think I provided clarity on June 14 when I was on the call with the Crypto expert. I thought ----
- C Q. Can I ask you to keep your voice ----
- A. -- I am sorry.
- Q. I am struggling to hear.
- A. I'm sorry. No, I believe on June 14, 2022, when I spoke to the Crypto expert with Nadia and her solicitors and my solicitors and the shadow expert, I believe I said it was an account that I transferred to my sister in 2018. I didn't think that, you know, 2018 -- this was 2021 and I didn't think it was mine.
- D Q. In June 2021 when your solicitors produced that analysis of *Imerman*, okay you knew that you had a Gemini account which was in your name which had 5 Bitcoins in it, did you not.
- E A. I knew that I had a Gemini account. I had gifted it to my sister, and therefore it was no longer mine, but legally from a title perspective, it was mine. I guess you could say that, but I did not see it as my account.
- F Q. From a KYC perspective, as far as Gemini were concerned, it was your account, your name, your beneficial entitlement, as far as they were concerned, correct? Just look at 2135, please.
- A. 2135, yeah?
- G MR JUSTICE MacDONALD: 2135.
- MR MOLYNEUX: 2135?
- A. I am there.
- H Q. You say at paragraph 30. Actually, paragraph 28, you start by saying:
- “When I gifted the account with 5 Bitcoin in November 2018, the account had an approximate value of \$27,500 US dollars. Today the worth has a value of \$125,000. This is immaterial compared to the cost of the litigation. Instead of transferring Bitcoin to a standalone wallet, I chose to gift my sister the actual account to ensure that she

A would never lose the Bitcoin and that I could protect her from losing Bitcoin. It is not uncommon for people to lose their Bitcoin because they misplace the wallet's primary key or the access code. In fact, Nadia lost her wallet credential that included 0.25 of Bitcoin, which I sent her on the 25 December, Christmas Day 2017, from my Coinbase wallet to her wallet address. My sister, who resides in Tunisia, faces difficulties with Know Your Customer (KYC) procedures in Europe and the US, as she does not have a proof of address. This challenge prolonged the process of formally making her the owner of the Gemini account. In early 2022, after adding her to my lease in portal and opening a European bank account for her, I successfully completed the Gemini KYC process. I have maintained my presence on the account to assist my sister if she requires help accessing the coins or if she loses access to the account.”

C Okay, so that is your explanation. In 2022, you were able to do this because she had been added to your lease in Portugal and you had opened a European bank account for her. Look at page 128, please, because I am going to be suggesting to you that this is a fictional explanation?

D A. Okay. 128.
Q. 128. So, this is an order which is dated 16 May, but it relates to a hearing that took place on 4 March. If you look at 125, this was the hearing for HHJ Koch.

E A. With yourself.
Q. With me?
A. Yeah.
Q. 125. You see that the hearing was dated 4 March, although the order was not finalised because of disputes about the drafting and the identity of the crypto expert until May. But on 4 March, the judge made a determination, did she not? And we see that at 127, Part 25 applications?

F A. Yeah.
G Q. Paragraph 10.

H “Single joint expert, crypto assets: The parties should jointly instruct Marlin Pinto ... to provide a summary of all the Respondent's holdings and dealings to include mining activities and return on such activities and decentralised financial activities including staking, lending, liquidity providing and crypto assets from the 1 January 2019 and the following provisions shall apply....”

So, on 4 March, the judge made a determination that there would be a crypto expert appointed to review your crypto holdings, correct?

- A. Mmh.
- A. You initially opposed that, did not you?
- A. Not opposed that. I -- well, initially, you mean -- when exactly do you mean by "initially"?
- Q. Well, at previous hearings when that had been asked for and on that day until it made sense to agree because the judge made plain that she was minded to seek ----
- A. To be honest, Mr Molyneux ----
- Q. -- a direction.
- A. -- it is very difficult for me to understand at the time what was going on and how things were going. It was very hard when we were living offshore to understand everything that was going on. So, I felt that the single joint expert was imposed on me, and that I was told for a month and a half that I had agreed to CipherBlade, and as you made -- when you came in front of Judge Koch, she said that she had agreed to CipherBlade herself, and she pointed out to you in the transcript that she had not made a determination on that. And that's how we ended up with another day, I suppose, with CipherBlade. But I was taken aback on the March 4th hearing, and on May 16th, when we went back in front of Judge Koch, that is when she agreed to CipherBlade -- to another day because CipherBlade was considered a very flimsy entity.
- Q. That was meant to be an uncontroversial proposition from me, okay? On 4 March the judge said that there must be a cryptocurrency expert and that was not something that you had wanted?
- A. Yes.
- Q. That is all I was saying. Can we agree on that?
- A. Yeah, well ----
- Q. Only agree if it is true. I do not want to ----
- A. You are.
- Q. -- pressure you into saying something that is not reflective of your evidence. Is it true?
- A. That I pushed back on a crypto expert?
- Q. Yes. And that the judge made this decision on 4 March.
- A. I reluctantly agreed to a crypto expert on March. That is true.
- Q. Look at 2724, please.
- A. 2724?
- Q. 2724?

- A. Yes.
- A Q. So, remember the chronology. On 4 March the judge, for the first time in these proceedings, agrees to Nadia's request for there to be cryptocurrency experts to review your holdings ----
- A. Yeah.
- B Q. -- of cryptocurrency okay. On 12 March so 8 days later -- 2724 -- we see you contacting Gemini. You say,
- C "I have moved to Portugal but cannot change the address on the site. I also need to change the account to include my sister. The account should be Leila and Karim Zahmoul."?
- A. Yes.
- Q. And then it continues,
- D "Thanks for reaching out to Gemini. Taking a look at the system, it seems that the address Zahmoul@gmail.com is not associated with a Gemini account."
- E And then they have to go through various procedures in order to make sure that you can access it. So, that is 8 days after the judge says that there should be a cryptocurrency expert. Your explanation is that you have moved to Portugal but cannot change the address on the site. You moved to Portugal in 2020, did not you?
- F A. Well, this is what we -- this is what you said yesterday, right? But if you recall, 2020 was.. Actually this is what I wanted to clarify this morning that I wasn't allowed to do.
- G But essentially, in 2020, when -- in March -- in February 2020, I came back from the US. I had lost my job with Sphere Digital, and I needed to find a place to reside, not to go back to the UK and be taxable in the UK on remittances, and everything else. So I went to Portugal, met with Deloitte, and Deloitte informed me that its law was changing. So I rushed to find some place to rent that I could rent temporarily until I found a more permanent accommodation. And so I went... To register a contract in Portugal, you need to actually go to the parish; you need to go to the city hall; you need to do postal(?) things, and so we had to go through all this process. And then we
- H had to get an approval from the government, and it starts a clock of 10 years for this NHR status. The reason I am telling you this is then I left Portugal, and then went to the UK to see -- to spend time with the girls, and it was March 13. On the 17th, the lockdown happened for Covid. So I was in Portugal from March to June 6th, and then

A

we flew to the US. And I spent 90 days in the US. I lost my ESTA because I overstayed to stay with Nadia during her surgery in the hospital there. And then I went back to

B

Europe. In October, my father passes away. Then I basically -- I am not in Portugal. I stay with my sister to deal with my father's passing and the funerals and everything that has to happen. I am in Tunisia until January 21 -- that ominous date in which Ms Parker sends me this email that's saying that Nadia wants to keep the date or keep the UK as a jurisdiction because of Brexit. We go back and forth, and then I decide to go see her

C

father, and I establish myself in this dead zone in Morocco called Daklah(?) where I am trying to be isolated, and that takes me to the rest of -- to May 21. Then I ended up in the US and travelling as Nadia, accuses me of spending incredible amounts of money doing that. And so I did not really... I moved... So this is to answer your question, Mr Molyneux -- I am sorry if I'm being too long in my answering. This is to... So there was no time to actually do anything with my sister before that, to set her up, to do anything.

D

Q. No time. No time between 2020... Is that really your evidence?

A. Yes, that is my evidence, yes.

Q. Okay. So I am going to have to put this to you in direct terms?

A. Okay.

E

Q. This was an insurance policy, was it not, because on 4 March ----

A. Where's the insurance policy?

Q. Just listen?

A. I am trying to understand what you're saying.

F

Q. This was an insurance policy?

A. What was?

Q. If you listen to the rest of the question and you have got any questions at the end of it, then you can ask me, okay. But for the time being, just listen. This was an insurance policy because on 4 March, the judge had made an order for the first time which mandated an expert investigation into your holdings of cryptocurrency?

G

A. Mmh.

H

Q. This was a holding of cryptocurrency in your name that you had, despite repeated requests, not told anybody about. Eight days later, so eight days after the judge has said there is going to be an expert report, you, for the first time in four years, take steps to get your name if not off the account, then into your sister's name as well, so that you can

A

distance yourself from the beneficial ownership of that holding and maintain the fiction that it was hers all along. That is what you were doing?

A. No.

B

Q. And so when I refer to “an insurance policy”, this was to make sure that if the crypto expert spotted it, you would have an explanation as to why you have not told the truth about it in the first place. Is that not the reality?

A. No, it’s not, no.

Q. It is just a coincidence that 8 days later you decided to do something that you could have done at any point in the previous 2 years.

C

A. It is not a coincidence. It is just that -- it’s not a coincidence at all. It’s something that I had planned to do and I never got to do. My sister provided an affidavit and I, you know, it is just between my sister and I. Nadia knows this. There was never any issues.

D

I mean, I have supported my sister her whole life. I have supported my parents at the end of their life. I am not sure... You're right that it happened sequentially, and it needed to happen, and I had to make it happen then, because if exactly what happened happened, then it was going to be in my name, and it would have been like even more dramatic.

E

Q. Mr Zahmoul, look at 3194.

A. 3194.

Q. Before we look at that, but when you get there, I have got another question.

MS CAMPBELL: Sorry, what page?

F

MR MOLYNEUX: 3194?

A. 3194.

Q. It is correct, is it not, that you did not disclose the existence, even once placed into the joint names of yourself and your sister, of the Gemini account?

G

A. 3194.

Q. Yes. Before we look at that -- I am not asking you a question about that yet. I am just asking you a question. It is correct, is it NOT, that you never, even after the account was transferred from your sole name into the joint names of yourself and your sister, that you never disclosed it.

H

A. In what sense?

Q. In every sense. In the sense that you never told anyone about it, and it took Nadia to obtain a subpoena, at significant expense, in America in order to reveal its existence.

- A. Didn't I just walk you through the first call with the crypto expert?
- A. Answer the question.
- A. I don't understand. Sorry, I am missing something -- the spin.
- Q. The question is: you never, within these proceedings, made a voluntary disclosure of the existence of this account with 5 bitcoins in it in your name, then in your name and your sister's name. It required Nadia to obtain that subpoena, at considerable expense, in America ----
- A. Not at all.
- Q. -- for you to admit it.
- A. How can you say that? I just showed you in June 14, 2021 that I disclosed it. I have the transcript and I have everything. How are you saying this? I don't get it. I mean, I just went through it. June 14, 2022 is when I disclosed it. The subpoena was in 2023.
- Q. We are going to look more closely at what you were accepting and what you were referencing in a moment?
- A. Okay.
- Q. But your answer is that you do not accept that; that you volunteered it before Nadia obtained the subpoena.
- A. But I believe June 14, 2022 is when I told Nadia and her team and the crypto expert, June 14, 2022. Nadia started proceeding in the US in end of 2022 and she got a subpoena in February 28. I guess she disclosed a subpoena in February 28, 2023.
- Q. Look at 3194 on 29 June ----
- A. 3194, yes.
- Q. On 29 June. "Dear Caroline, I wrote to you on 22 June with a number of questions in relation to your client's disclosure. His response was to write to my client with a subject heading 'Your lawyers are wasting money' ----
- A. Yes.
- Q. --
- “... and to attach a link to a paper in relation to SPACs. It is characteristic of him to allege in the face of being asked perfectly legitimate questions that my client is running up costs or in some way not justified imposing them. My client wishes to have no further direct communication with your client, save in so far as it is necessary in relation to our clients' daughters. She finds his correspondence oppressive and overbearing and his vitriol towards our client in correspondence with the girls' school offensive. She

A does not trust your client and has good reason not to, given the way he has engaged in these proceedings to date.”

That is a fair criticism on you.

A. Absolutely not. That is a hurtful, nasty email that got right under my skin every time I get them from Withers, and they were written purposefully to hurt is what I proposed to you -- is what I put to you. I’m sorry to say. And to be clear, the email that I wrote to her was because I disclosed, after the Coinbase incident, I disclosed that I invested in a SPAC -- that I became a -- sorry, that I became a director in the special purpose acquisition company in the United States, and I disclosed it on the 6th, which is when I signed the contract, but GT (Greenberg Turing) in the US filed something before I actually signed the documentation, and I received a letter that I did not disclose what was actually disclosed -- what I was actually disclosing. And I did not disclose because I was six days late in disclosing something that I hadn't originally signed. And then they were asking all kinds of questions on SPAC. And they thought I was getting remunerated. And they basically, you know -- and this perpetrating the judgment of Justice MacDonald on June 9 for the LSPO. When this was an attempt to actually explain what a SPAC was, and I sent her an email, if I recall correctly, where I explained this, and I believe that all these communication clients was very, very costly -- costly for what it was. And this is, again, this lack of engagement that I have been trying to articulate to you.

Q. Look at 2729, please.

F A. 2729?

Q. Yes. This is the continued correspondence with.

MR JUSTICE MacDONALD: Sorry, Mr Molyneux, what page?

MR MOLYNEUX: 2729, my Lord.

G MR JUSTICE MacDONALD: Thank you.

MR MOLYNEUX: At 2729, at the very bottom of that page, it is a message to Gemini that purports to come from Layla Zahmoul. April the 14th, but it is signed you. “Could you please advise as to how I can access the account? Thanks, Karim.” Why were you sending messages purporting to come from her?

H A. That's a good one. I don't know.

Q. You do not know.

A. No, I was with her, I believe, and I don't know. Actually, I don't remember.

A

Q. You do not remember. Okay. Let us just look at the one that you were referring to at 2239, which is ----

A. 2239?

Q. 2239. These are extracts from a conversation with Marlon Pinto.

A. 2239.

B

Q. This relates to June of 2022.

A. Yeah, June 14, 2022.

Q. So, this is after you had added your sister's name to the Gemini account.

A. It is, yes.

C

Q. Now you will see there, there is an account of the conversation which you had with Mr Pinto. A third of the way down:

D

“In the *Imerman* exercise (inaudible) all my devices I stored all the information that I had. I provided this to my lawyers with a note of everything she wanted to understand with articulated answers to those. The Gemini wallet was one of my wallets. I gifted it to my sister in 2018 for her wedding. She got married at 56. There were 5 Bitcoins in it, and I disclosed this to my lawyers. So it is outside; technically it is outside of the scope, but you know, I am...”

E

You do not say in this: I did this six weeks ago or less than six weeks ago. It was in my name up until then. You present this as being something that you divested yourself of in 2018 and that it predates any inquiries that the expert should be engaged in?

A. Yeah.

F

Q. That was wrong, was it not?

A. I don't believe it was wrong. I believe I did this... In the context of what I said here, I disclosed it. I said it to the expert. I tried to basically share it. I did not go into details as to when I did it.

G

Q. Look at 1998, please.

A. 1998.

MS CAMPBELL: My Lord, before Mr Molyneux asks the question ----

MR JUSTICE MacDONALD: Yes.

H

MS CAMPBELL: -- this is what I explained in my notes as an expert's report but it is not actually a single joint expert. This is the shadow expert.

MR JUSTICE MacDONALD: Yes.

A MS CAMPBELL: There has not been any permission for this to be adduced and I did
reference this at the start of my note -- that this should not be in the bundle.

MR JUSTICE MacDONALD: Yes.

B MS CAMPBELL: It has never been given permission. There has never been an application
for it to be adduced and I advertised right at the outset that this should not be relied on or
used in the bundle because there is no permission for it. Because it had been taken out
of the recent section 25 statement, I assumed there was no issue about it, but it appears
there might be. So, it may be that Mr Molyneux and I need to make submissions to you
before this is ----

C MR MOLYNEUX: I it is controversial, let us not look at it. I will ask a free-standing
question. I want to try and do this more helpfully.

MR JUSTICE MacDONALD: Thank you, Mr Molyneux. Yes.

D MR MOLYNEUX: (To the witness) So do not look at 1998, but answer this question.

E Nadia had concerns that she articulated to you and to Mr Pinto that there was a Gemini
account and that you had not disclosed any involvement with the Gemini account, which
is why you said to Mr Pinto: "Yeah, there is a Gemini account, but I gave it to my sister
in 2018 and that is before the ambit of the report." This was not pure voluntary
disclosure on your part; it was because you knew it was going to be found out, so you
might as well pre-emptively get your explanation in. That is the truth, is it not?

A. No. It is not the truth.

F MR MOLYNEUX: I am going to change topic, so maybe that is a good point, my Lord, at
which to draw stumps.

G MR JUSTICE MacDONALD: I think that is a good point at which to draw stumps, Mr
Molyneux. Mr Zahmoul, I apologise that we cannot continue and get a bit more of your
evidence done, but I have some other appointments that I have to attend to. It does mean
that unfortunately you will remain on oath over the weekend, which means you are not
able to discuss the case with other people. All right. We will commence again at 10.30
on Monday. Thank you very much.

H **(Adjourned until 10.30 a.m. on Monday, 26 February 2024)**

A

B

Marten Walsh Cherer hereby certifies that the above is an accurate and complete record of the proceedings or part thereof.

C

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IN THE HIGH COURT OF JUSTICE
FAMILY DIVISION

Royal Courts of Justice
Strand, London
WC2A 2LL

Date of hearing: Monday, 26 February 2024

Start Time: 10:31 Finish Time: 15:39

Before:

MR JUSTICE MacDONALD

Between:

NADIA ZAHMOUL

Applicant

- and -

KARIM ZAHMOUL

Respondent

MR B MOLYNEUX KC (instructed by **AFP Bloom Solicitors**) for the **Applicant**

MS A CAMPBELL and **MS S-A AMAOUCHE** (instructed by **Stowe Family Law**) for the
Respondent

PROCEEDINGS – DAY 5
IN PRIVATE

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(Transcript prepared without access to case documentation)

A

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MR MOLYNEUX: My Lord, good morning. My Lord, with your permission ----

MR JUSTICE MacDONALD: Yes, thank you.

B

Mr KARIM ZAHMOUL, Resumed

Cross-examined by MR MOLYNEUX (Cont'd)

C

Q. There is a clip of correspondence, Mr Zahmoul, I was referencing at the end of last week. That is because we did not have the run of this for a hard copy. We all agreed that it was not fair on you to ask questions if you did not have it. It should look something like this?

A. Yes.

D

Q. So, it is a run of correspondence. The first letter was 30 June?

A. Yes.

Q. And if we flip through to get to 2 July which is about 7 or 8 pages in?

A. Yes.

E

Q. You said to his Lordship that your intention was always to wait until updating disclosure.

A. Yes.

Q. And then to tell Nadia about the Coinbase equity?

A. That is correct.

F

Q. In fact, you instructed your solicitor to do precisely the opposite to address the FDR without any updating disclosure at all, did you not? Look at this letter ----

A. That is correct.

G

Q. Let us look at it. "Dear Diana", 2 July 2021.

"Nadia Zahmoul and Karim Zahmoul: Finances"

"I write generally and in response to your letter of 30 June.

H

"Given the sheer number of our client's bank accounts and the fact that the statements provided with his Replies are up to date, I do not propose providing updating disclosure in addition to this, particularly given the costs involved, save for up-to-date statements for my client's crypto currency accounts, as there has, of course, been significant movement in the value of crypto currencies since my client's Form E. On this basis, my client is content to proceed with

IN PRIVATE

A the private FDR without your client updating her disclosure also.
Please confirm this is agreed.”

It could not be clearer, could it, that you were proposing ----

A. No.

B **Q.** -- that there would be no updating disclosure over and above what you had provided in your replies to questionnaire. Correct?

A. Not correct.

Q. How do you explain this letter then?

C **A.** So the same way my wife misunderstood Coinbase for crypto and Coinbo(?) for Coinbase in many of her response to Ms Campbell, my solicitors, when they meant “crypto” here they meant crypto including Coinbase as a venture capital that became public. This is how they wrote this. As I said to you last week, I have evidence in the form of excerpts of conversations from August 3, August 27, September 9, 2021, March 3, 2023, May 5 2023 -- 2022, sorry, this is 2022 -- and July 7, 2022 -- excerpts of conversation with my solicitor that says very, very, very clearly -- and I am happy to share this with the court ----

E **Q.** I am sorry, this is between ----

A. -- I was told -- I was told -- I was told ----

Q. Hang on, hang on. Just stop, please. This is between you and your solicitors ----

A. And I was told ----

F **Q.** The reason I am interrupting my Lord is because I am not sure whether this is privileged material.

A. I am not saying anything. I’m just ----

G **MR JUSTICE MacDONALD:** Just pause. The difficulty with this is that if one goes down this line of questioning, one necessarily has to skirt along the boundaries of privilege, even really asking, well, what were -- your instructions to your solicitor were X, which to a certain extent means you are asking about the information, but I think the answer is just seeking to explain it.

H **A.** Yes.

MR MOLYNEUX: My Lord, I am asking to explain, on the face of it, is his instructions to his solicitors saying “do not update”.

A MR JUSTICE MacDONALD: Well I think that is what Mr Zahmoul is trying to explain to you in his answer.

MR MOLYNEUX: If he wants to waive privilege then that is obviously a matter for him, but I think I am entitled to put this question as I am because on the face of it, it is entirely ----

B MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: -- contradictory, with his case.

MR JUSTICE MacDONALD: Well, let Mr Zahmoul answer it then?

C A. So, on all these excerpts of conversation that I have provided to my current solicitors, I am not sure if Ms Campbell has seen it, but my solicitors have, there is zero doubt that the intention was all along to provide, in the updating disclosure, the Topanga Canyon converted into Coinbase. Now, I was told by Mr Duncan Brook, I think my last -- the person that was in front of you -- that I could. There was precedence of sharing this, you know, very, very small segments of communication between me and my solicitors to prove a point that was so fundamental to your lack of belief of what I am saying. So, I am happy to do this. If his Lordship would like that, I'd be content to share these excerpts of conversation, and they could not be clearer. So I am... You know, and again, the first answer to your question is that what you say here -- when you read:

"I do not propose to provide updating disclosure in addition to particulars of the cost involved, say for the up-to-date statement on my client's cryptocurrency..."

F -- what is meant here by my solicitors -- and again, it is my solicitors not completely understanding the difference, as Nadia, between Topanga -- whether it is crypto, because it is Coinbase, and therefore Coinbase is crypto -- and that is what she meant by this.

G There was no doubt in her mind that there was an updating disclosure of the Topanga Canyon transactions. Moreover, if I may, this was day -- we are talking about if FDA is day one, we are now day 1054, This was going on at day 50, 30, 50. So, and I was, like I said, I was in Morocco at the time. I just travelled back to Lisbon; went to France to basically be there for the FDR; had a conversation with Nadia and Mr Nick Warr on July 9th ----

H MR JUSTICE MacDONALD: I understand your point about being busy. Yes.

A MR MOLYNEUX: My Lord, I am not running Mr Zahmoul's case, but I will be saying to you that the only evidence before you, or the only evidence that is admissible, is the open correspondence.

MR JUSTICE MacDONALD: Thank you.

B MR MOLYNEUX: And accordingly, I am not going to pursue any questions in relation to that because privilege has not been waived. (To the witness) Just look overleaf, because I think one of the other things you told his Lordship at the end of last week was that your attention was being pulled in so many directions that it was not possible (I am C paraphrasing) to apply the entirety of your mind to your replies to questionnaires, which is why updating disclosure was so important. But that is not what you are saying in this letter, is it? Because if you look overleaf on the second page of the letter of 2 July, four paragraphs up?

D A. Please read it.

Q. "In taking time to ensure his replies are as full and as detailed as possible ----

A. Right.

Q. -- he has endeavoured to do the complete opposite of that which is now being accused."

E MR JUSTICE MacDONALD: I think it is the next page over in fact. Four paragraphs up from the bottom?

A. Okay, yes.

MR MOLYNEUX:

F "In taking time to ensure his replies are as full and as detailed as possible, he has endeavoured to do the complete opposite of that which is now accused. He acknowledges that your client has sought significant reassurance in regard to the financial picture, despite being fully involved over the years, and has done absolutely everything he can to offer comfort."

G You are saying here that you had actually spent an awful lot of time and effort in the preparation of your replies, are you not? So there was no excuse for not having provided the updating in relation to Topanga, was there?

H A. This is just before we updated Topanga, is it not? Is it not? July 2nd is when we were ready to change -- to do the updating disclosure. I mean, you know, you have to put it in perspective for his Lordship and in context. As I said, we started FDA on April 7th. I spoke to my lawyers on April 9th. The direct listing was April 14th. We were extremely, extremely busy to come up with the response to questionnaire, both for the

A *Imerman* and for the response to questionnaire. This amounted to, I believe 3,200 pages for one and 1,500 pages for the other, and it was a pretty gruelling period and I was not in the UK. I was in Dakhla in Morocco and it was an overwhelming task, Mr Molyneux.

B Q. You were kite surfing, were you not, in Dakhla?

A. Do you know why I was kite surfing?

Q. At the PK25 resort.

A. So, at the PK25 which is \$100 a night all-inclusive of everything -- food and drinks and everything. Yes, it was basically trying to save money to do something that could get myself out of the stress I was in, to try to basically be able to stay sane, because I was not allowed to see my daughters, not allowed to speak to my daughters. My wife would not allow me to speak to them, and so I was doing my best to deal with it as best I could, given this was a pretty traumatic experience in my life after my father has passed away and after I was dealing with my sister to support and everything else that was going on. When it was announced to me on January 21, 2021 that Nadia decided to proceed after we purchased the house, I did not know what to do. I did not want to bother with my sister, who's a very sensitive person. And therefore I decided to go and exile myself in Morocco to be closer to her father so that I could potentially instil reasons into her because I thought that her father had the capacity to do that. It turns out that I was told by her brother that he was... Anyway -- and therefore I then ended up going to Dakhla at PK25, as you said -- actually it was more the other side of the hotel, which is called Dakhla Attitude. And the period I was there was during Ramadan. I was the only person, the only guest in the hotel with the staff, just so you have a bit of -- so you can put the picture a little bit more precisely. And this was done while I was remote communicating with my lawyers that I had never met, that were introduced to me by Mrs Stebbing, the wife of the oncologist of my mother. And I did the best I could. And I understand today, and I have apologised. But the reality is that there was a huge windfall of \$7 million that has been -- that we have basically squandered in the past year and a half. This is years. We are talking about day 70, and there was maybe 100 attempts at communicating with anyone, anywhere, anytime that she wanted. And today we are now day 1054. We have had ----

H MR JUSTICE MacDONALD: I have the point?

A. Thank you.

A

MR MOLYNEUX: Mr Zahmoul, let me just summarise this. Your clear intention, as evidenced by this letter, was to deceive your wife by not providing updating disclosure and by never referencing the windfall in relation to Topanga Canyon, which converted into Coinbase equity. That is the reality of it?

B

A. No. It isn't.

Q. Let us move on. Could you look at 842 please?

A. 842.

MR JUSTICE MacDONALD: 842, yes.

C

A. Yes.

MR MOLYNEUX: So Nadia says that you are a meticulous record keeper, as would be expected from someone who works or has worked in the financial services industry. Is that a reasonable thing for her to believe?

D

A. No. I am human too.

Q. Because at 842, if you scroll half the way down the page, you are asked a question about the Fidelity investment account. which I think was included in your Form E, separate to your 401K account, referred to -- in fact it is referred to in the scheduled of assets provided by you to Nadia in the June of 2020?

E

A. Yes.

Q. And you say this was a mistake?

A. Yes.

F

“At the time the Respondent believed he had a brokerage account with Fidelity as well as the 401K, but when accessing his Fidelity account to obtain the relevant documents for his Form E, the only account he had was the 401K.”

Which is true -- the original disclosure in that schedule of assets or that revision to it?

G

A. Say that again -- which is true?

Q. Which is true -- the presentation of you having a separate Fidelity brokerage account in the schedule of assets you shared in the summer of 2020 or what you say in your replies to questionnaire here?

H

A. What I say in my reply to questionnaire. So, Fidelity, there was an account ----

Q. We can move on because you have dealt with it. Could you look at 148, please?

A. 148.

MR JUSTICE MacDONALD: Yes.

- A. Yeah.
- A MR MOLYNEUX: So this is a letter from Withers of 25 May 2022.
- A. 2022, yeah.
- Q. Do you have that?
- A. Yeah.
- Q. It is item 10, so the right-hand side towards the bottom of that page, you were asked about "Details of any cold storage wallets which your client has or holds an interest either in his sole name or jointly with others." And your answer to that is found at 152. It said on your behalf: "My client does not have any cold storage wallets."
- A. Yes.
- Q. Could you look at 1837 please?
- MR JUSTICE MacDONALD: 187?
- MR MOLYNEUX: 1837.
- MR JUSTICE MacDONALD: Sorry, 1837?
- MR MOLYNEUX: That looks like this is the wrong page reference. Just bear with me for one moment, please.
- A. This is the 5th, 26th. It is probably there.
- Q. I will have to return to that because there is a cut and paste of -- I can put the assertion to you Nadia's behalf and then we can look at the document subsequently. There is a purchase of Ledger -- I think, a Ledger wallet. You are ahead of me because you can see the question that I am going to ask about this. And Nadia's understanding is that Ledger is a cold storage wallet, and because she sees in your bank statements the purchase of something from Ledger, her assumption is that that is you purchasing a cold storage wallet?
- A. Correct.
- Q. Is that what you were doing?
- A. I bought three treasures, Ledger wallets. They're in my bag right here, if you'd like. I am happy to show them to you so that his Lordship can see them. They've never been used, they're empty. As I said before, I am an early adopter. I was interested in how things operate, how things function, so I bought these Ledgers, yes.
- Q. So these are cold storage wallets, but you said they have not been used?
- A. Never. But they're here.
- Q. Because of course, from Nadia's perspective ----

- A. Hang on.
- A Q. Just pause for a second, okay, because I want to put this to you. From Nadia's perspective, she asks, in May 2022, whether you have any cold storage wallet. Your solicitors reply and say you do not have any cold storage wallet. She sees ----
- B A. No.
- Q. -- you purchasing, prior to 25 May 2022, a cold storage wallet and she assumes ----
- A. Because ----
- Q. Just pause. She assumes from that so that you are not telling the truth. And it sounds like you have not told the truth, but it is a ----
- C A. That's not correct. Well, you did have a cold storage wallet. You just have not used it, I think is your case.
- A. You are misrepresenting to Lordship, what is meant by a "cold storage wallet".
- Q. Explain that?
- D A. What Nadia meant was -- cold storage wallet in the way Nadia meant it is basically a wallet like those lost wallets that Nadia has, or the lost wallet I have, that has in it cryptocurrency and Bitcoin that is hidden, that is not disclosed. What I have is -- like I bought a calculator. So I have a little machine that basically allows you to give you a code that basically once you charge it, you can connect it to or let them go through this whole process that I don't even know, because I've never done it, and basically remove the coins -- or not remove; the coins stay in the public wallet, but are also, you know, embedded in that hard -- in that USB-type device that has its own encryption of passkeys
- E which makes it impossible for somebody to take these coins. So, like I said, I am happy to share with the court and give them to Nadia and if she wants it, she can have her shadow expert do what she wants with them. I have never -- that is not the meaning that Nadia stated, I have cold wallet, as you put it. It is not cold wallet that have any
- F cryptocurrency and that have ever had any cryptocurrency that have ever used for any cryptocurrency storage. That is what was meant. by "cold wallet" in the way she drafted these questions -- or how I understood it.
- G
- H Q. Given that she was not to know that, do you not agree with me that it would have been more sensible and a more accurate response to this question to say what you have just told his Lordship, which is "I purchased these wallets; I have not used them; they contain no cryptocurrency at all." That would have been the comprehensive and truthful answer, would it not?

A

A. I don't think so, but okay, look, I'm sorry; I'm human; I've made a mistake. If that's the way it should have been said, that is not the way I said it. I maintain the way I said it because of the way I have understood it. And so I've never had -- I've never used or had any crypto Ledger that I have used for anything to do with crypto. I have purchased them to understand and see what they're like. I was maybe planning one day to use them, but I have never used them.

B

Q. Mr Zahmoul ----

C

A. And to have this crypto Ledger wallet, Mr Molyneux, you need to have -- you know, as you've seen from the crypto expert and from everyone, that you need to have crypto sitting out there in wallet on the web, and because of my fear of losing them, which I have lost some (Nadia has lost some), I did not trust myself in having these devices. I lose things all the time, phones and the likes, credit cards. So, it was for me important to have all of my crypto in exchanges, which is why, as you've seen and as you've heard from the crypto expert, most of the stuff was in Coinbase, was in Binance, was in exchanges. The few cryptocurrencies that were not, they were *de minimis* at first. They were in Zerion -- what we call Zerion, but they were in MetaMask wallets and things for experimenting to understand you know what an NFT was, to understand what it was. It was most experimental for me to understand and learn. It was not to invest in anything.

D

E

Q. I am going to be saying to his Lordship that time and time again in this litigation, this sad story of this litigation, you are the author of your own torture when it comes to the questions and the costs because you are asked questions and for whatever reason you provide answers that are either misleading or incomplete or confusing. Is that a fair criticism?

F

G

A. Well, you could say it is fair, but in counteracting that, I have also offered more than 100 times for clarification, to offer anyone that she wants to clarify. I have written to Ms McGregor on February 17, 2023, and sent her an email, even though I have not spoken to her in 20 years. She was a classmate of Nadia. She's chased the money of Pablo Escobar. She is a forensic expert in anything you can imagine. Justice MacDonald has met her. I have sent her an email in cryptic details, which I hope you can read to his Lordship, which stated: "I am glad you are involved. I am happy to sit with you and answer any question you have on anything to help clarify and relieve Nadia in her beliefs." I mean, there's not much more I can do. The fact that I purchased three Ledgers on American Express on a card and I disclosed this in my financial disclosure, I

H

A

mean, I do not think it is misleading to tell the judge: no, I do not have cold wallet, because cold wallet means you have cold wallet, where you have crypto in them. It's not just the device of the Ledger. She didn't -- the question the way it was posed it was it was posed in a way to say I'm hiding more assets in these devices when I'm not.

B

MR MOLYNEUX: I am just going to pause for one moment, your Lordship.

MR JUSTICE MacDONALD: Yes.

A. Could I show you the devices?

MR JUSTICE MacDONALD: No, no. It is fine. Thank you.

C

MR MOLYNEUX: There are some matters in relation to your Coinbase account that I am going to return to. I am going to try and do this briefly, but these are important things for Nadia to have put to you, and so I want to do them justice?

A. Sure, absolutely.

D

Q. Could you look at pages 3648 and 3649?

A. 3648?

Q. 3648 and 3649. So these are emails passing between you and the Coinbase team?

A. 3649. Please go ahead.

E

Q. You have to indulge me on this a little bit more slowly than I might otherwise do, but just bear with me.

A. I am there.

Q. So on Thursday 11 of January, there is an email from you.

F

"Dear Mrs Marsh, I trust you are well.

"I am reaching out to you in continuation of the email you sent to Ms Landells from Withers on the May 13, 2022, because of the unwarranted attempt at freezing my Coinbase account without a court order at the time.

G

The divorce seems unfortunately continuing. My wife maintains a stance that I possess multiple Coinbase accounts across different regions. Although I have repeatedly confirmed with your customer support team that I hold a single account registered under the email Karim@zahmoul.net, regrettably, I am unable to write documented proof from these supportive interactions. In light of this, I would be grateful if you could reiterate, as previously suggested in your correspondence to Withers the details of any and all accounts I maintain with Coinbase globally along with their respective balances. Furthermore, while your email indicated that my account is associated with Coinbase's Irish entity, your support team recently informed me that it is in fact with the French entity.

H

A

“For the sake of clarity, I initiated an account with Coinbase in 2014 using the email Zahmoulka@gmail, which was based in the United States. That account has since been closed. All funds were transferred to the account under Karim@zahmoul.net.

“Confirmation of these details will be ...

B

“I remain available should you require any further information.”

You then produced statements in relation to Coinbase and I was going to ask you to look at those because I want you to just explain a couple of things.

A. Sure.

C

Q. First of all, can you tell his Lordship when the other account, the second account, the one which is Karim@gmail, was closed?

A. So it was closed -- well there is “closed” and “closed”. It was not accessible to me, but closed in 2024 when I reached out to them, basically because there were these two emails that were basically usable with Coinbase, but only really one was accessible. So as you can see from the statements from the karim@zahmoul.net email, the last transaction in '17, I could never access it after that. Every time I logged into Coinbase, it defaulted into my -- sorry, I’m talking about the Zahmoulka@gmail.com -- it defaulted into my Karim@zahmoul.net account, which was the one, as I said in one of my statements, I started dabbling into crypto after I left Barclays. So, in the summer of 2014, I was in the United States at this course at Singularity University. And that is when I opened my first account in Coinbase, and I opened it with a US phone number and my -- what I call going forward, my coin -- my crypto -- it became a crypto email, which is Zahmoulka@gmail.com. Then when I went back to the UK, where I started working at Temporis, I was logging on from my UK IP address, and Coinbase kind of decided that it was not acceptable that I had a Coinbase account in the US, Coinbase account in the UK. So they basically closed down and moved the balances to my karim@zahmoul.net email address. And that is the only account I had with Coinbase, and that is what you see in the history of both of those statements. So, if you look at the statements that were provided both in January, because another complexity is that over the years, when you went to Coinbase to get -- which is when why I update my FD, my form E, had completely different reports from Coinbase than I have been able to get recently, because I have not been able to reach high enough within the support level and high enough, thanks to Ms Marsh, to get actual -- Because Nadia at one of the hearings

D

E

F

G

H

A

where they had the fuzzy map, where Mr Southgate showed that the sum of the money coming in and out was adding up to an extreme amount that I hadn't disclosed ----

Q. And I think you say Coinbase Pro is not included on that?

B

A. No, no. Coinbase Pro is not this. Coinbase Pro is very different. I can get to going Coinbase Pro if you have a question on that when I am done with this, but that is not the same.

Q. Okay/

C

A. So Coinbase then sent me statements that included the balances, because Nadia was saying that there was no balances, so there was no beginning balance, and that she could not actually tally up all the numbers that went in and out, which is then in September 9, 2023, after the hearing on September 7. Coinbase support was able to provide me a completely different statement I hadn't seen before, which is the one that you start seeing from that hearing onwards. And then when I spoke to Ms Marsh, she sent me the same for both my email accounts. And that has balances. Every time there's a transaction, it shows you the net balance in the currency that the transaction has happened then. Like Coinbase Pro/GDAX was the original Coinbase Pro. They migrated. It became as a brand name, it was a trading platform of the security of the... If you imagine like E-Trade or some other brokerage account, you have the brokerage account that holds all your assets and custodies all your assets, and then you have a trading platform where you can trade and be a market maker as opposed to a market taker. If you trade on Coinbase, you pay large fees. If you trade on CoreBid Pro, you can put an offer or a bid, and if you get hit or if you get lifted, then you pay less fees when you transact.

D

E

F

Q. Mr Zahmoul ----

A. I am trying to explain.

G

Q. If I just pause you there?

A. Sure.

H

Q. And as his Lordship will tell me whether I am being unfair to you, but my question was a pretty narrow one, which is: when did the Gmail Coinbase account closed? I really just wanted a date?

A. It was -- I thought I answered. Early '24 when I went back to the support and I asked them. So basically I had two accounts, but one of them was dormant, not functioning. I couldn't do anything with it, but it was still there -- a little similar to the Bank of Jackson Hole that was not usable, but was open, but not open, and was kind of a hybrid.

A

Q. So the existence of the two accounts has concerned Nadia, and these questions flow from those concerns. I want to ventilate them so you can tell his Lordship what your response is, okay? Now, I do not think this will take very long for you to deal with, but just look at page 3651.

B

A. 3-6?

Q. 3651?

A. Yes.

C

Q. Because this is, I am going to call it "the second account" -- it is the Gmail account, it is actually the one that I think was open first of all, was it not?

A. That's correct.

Q. You will see there, there is... You received Bitcoin from an external wallet on 29 July, so "7/29", the American annotation. Bitcoin from an external wallet, one Bitcoin, \$2,705?

D

A. Yeah.

Q. Now, when Nadia looks at the statements for your other Coinbase disclosure, which is at 2340 -- and 2838 ----

E

A. 2-3?

Q. 2340 -- she looked -- sorry.

A. Yes.

F

Q. If you look at 2340, Nadia makes the point that there is no entry, no corresponding entry in relation to the VAT date, which is the 29 July, for the transfer of one Bitcoin. Is there an explanation? It may be the explanation is there are two separate accounts, so there will be no interaction or interface between the two, but just tell me, in your own words, what the answer to that is.

G

A. It says external account, right?

Q. Yes. External account is not -- that is a Coinbase account. She asked me to look at her Coinbase account and she was suggesting it is an external account that is not monitored, that account. So Nadia has asked me to put these specific questions to you in relation to these two accounts, which is what I am doing. And I just want you to explain to his Lordship why.

H

A. I am trying to understand the question. So, this is the other Coinbase account, which I believe you are showing his Lordship, I think, the less comprehensive statements. In

A

2340, there is another page where it has every single transaction in the same format as the format we just looked at for this ----

Q. So I think that might be at 2838?

A. 2838.

B

Q. There are three iterations of Coinbase activity during this period.

A. 2828. Shall I go there, or do you want ----

Q. If you go there, that would be helpful. My Lord, could you just give me one moment?

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: Thank you very much.

C

A. Yes, that is the one.

MR MOLYNEUX: My Lord -- a bit unusual, but I am going to ask Mrs Zahmoul just to come and sit here for a moment so that she can help me through these questions. These are very important questions and I want to make sure that I get it right. (After a pause) (To the witness). I am going to ask you to look back at the email that we were looking at a moment ago, if that is okay, which is the ----

D

A. The Ms Marsh email?

Q. Yeah, the Ms Marsh email, please.

E

MR JUSTICE MacDONALD: Which was at page ----

MR MOLYNEUX: Which was at page 3648?

A. Yeah, I am there.

F

Q. So Nadia points out that there should be an attachment to this letter which she has not seen?

A. An attachment. Where is that? Where is that indicated? You mean the letter to Mr Zahmoul, 15 Jan 24.

G

Q. Correct. Just indulge me?

A. I can produce it. I don't know.

Q. I think at the bottom -- I should look at this page myself. At the very bottom of 3648, you will see what looks like it would be an attachment because it says, "Letter to Mr Zahmoul, 15 January 2024 .PDF."

H

A. There must be one.

Q. She hasn't seen that?

A. Would you like me -- can I go to my computer and send it?

A

MR JUSTICE MacDONALD: Well, I think we will carry on with the questions and then if it needs to be introduced later ----

A. No problem.

MR JUSTICE MacDONALD: -- fine.

B

MR MOLYNEUX: So you told his Lordship before that this account had been closed and transferred and Nadia says that she cannot see any evidence of anything being transferred from this Gmail Coinbase account to any other Coinbase account and she has very diligently cross-referenced all of the documents over the course of the weekend. Are you able to explain where the transfer is to because on the face of it, there is no transfer?

C

A. Yeah. So I cannot. All I can say is that, I mean we should have Coinbase, but my understanding is my account -- my account with Karim@zahmoul.net was the successor of Zahmoulka@gmail.com. So I suspect the balance is at one point in time, and I am sure Nadia has more judicials than I have on this -- must have a starting balance that comes from that account. But, again, we should ask Coinbase if that is unsatisfactory.

D

Q. Mr Zahmoul, this is your case. I am just asking the question?

E

A. I haven't looked into it. I mean, I have done my best to provide as much information at every single question she has asked.

Q. And if you look at 3648, you will see ----

A. 3648?

Q. 3648, which is the letter from Ms Marsh?

F

A. Yes.

Q. "For the sake of clarity..." three paragraphs up from the bottom?

A. Yes.

G

Q. "For the sake of clarity, I initiated an account with Coinbase 2014 using the email Zahmoulka@gmail.com, which was based in the United States. That account has since been closed and all funds were transferred to the accounts and the ----

A. That was my understanding.

H

Q. -- Karim@Zahmoul.net." And as I say, there is no evidence of anything being transferred. She would expect that and cannot find it. Are you able to provide any explanation?

A

A. I believe I have provided the explanation in providing all the statements from Coinbase for the pre and post transfer. So, if anything's unclear, I mean, either I or Coinbase can provide it. I am not sure how else to respond to this.

Q. Ancillary to this ----

B

A. I will, just to be clear, after -- after this account was open at Zahmoul@karim.net, I was not able to get into the other account. It was not possible for me to access it.

Q. Can you tell his Lordship when that second account, the Zahmoul.net account was opened?

C

A. I think early '15, I believe. When I moved back to the -- after the -- I was in the US in '14 for this... I guess it says here, December 30, 2014.

Q. I thought that was a European account or certainly ----

A. No, that is -- (Both speaking at once)

D

Q. -- European account?

A. So, to be clear, when the address on my account came to be my London address at Hare House, Coinbase basically switched to Irish entity coverage for my account. Then today, when I gave them -- when I moved to Portugal, I had to give them my new KYC. They saw my French passport even though they had my Portuguese address. They claim I have a French account. So I had to explain to them, even though my address says 158 Rua Rodriguez Sampaio, Lisbon, Portugal, because they have my French passport, they claim I am French and they report this to the French authority. This is kind of what I have gone through with the support. Look, I have written to Ms Marsh, which is the general counsel at Coinbase. We can draft a letter that Nadia can draft and we can have her answer(sic) the question that she'd like to answer. I have no problem with that. I mean, there is nothing hidden here. It's all out in the open. How they switched this because I had two accounts and they couldn't accept for me to have two accounts -- or when did that happen exactly? When did the SSC, you know, tell them not to do that -- or the FCA? I am not sure.

F

G

Q. Can you tell me when the dot net account was opened please, Mr Zahmoul?

H

A. My understanding according to this, and I do not recall exactly, 30 December 2014.

MR JUSTICE MacDONALD: Which page are you looking at there

A. I am looking at 2816.

MR JUSTICE MacDONALD: Thank you?

A. So, the account period, statement and -- they've given me the exhaustive statement, so I can only assume that that is the date.

THE APPLICANT: And the Gmail?

A. And the Gmail account.

MR MOLYNEUX: And the Gmail account please, Mr Zahmoul?

A. So, where is... You shared with us where the Gmail account was before that.

Q. I think it was 3651. So that seems to have been open on October, which matches when I was in California, October 14, and October 18, 2014 is when it was opened. So then I was in America when that happened. Then I went back to the UK working for Temporis, going back to my house at the time in Hale House. And that is when, because I was logging on to the IP address in the UK, I ended up opening a karim@zahmoul.net account. And then it became, I guess, confusing for Coinbase. And that is why I was at some point migrated to the UK-based address, which was managed out of Ireland. And this, again, we can... I mean, it would be my pleasure to have Nadia draft any letter she has and she can send it to Ms Marsh, and she can answer your question?

MR MOLYNEUX: Thank you. I am going to ask for a very short break, if I may. That would be very helpful.

MR JUSTICE MacDONALD: Yes, we will take five minutes, and I will come back.

MR MOLYNEUX: Thank you very much.

(A short break)

MR JUSTICE MacDONALD: Yes, Mr Molyneux.

MS CAMPBELL: Before Mr Molyneux continues, I would just like to make a note for everybody on the record as it were because I am getting concerned about the amount of time, court time that is being used to consider the cross-examination of my client ----

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: -- and I appreciate everybody is doing their best professionally but at some point the court needs to take notice. We have now spent five hours, 35 minutes of court time allowing Mrs Zahmoul to give instructions and direct the case the way she wants to. That is over a court day and of course you are properly paying attention to make sure that she's able to put her case ----

MR JUSTICE MacDONALD: Yes.

MS CAMPBELL: -- and of course I expect that but fairness is fair to both parties. My client has been in the witness box since Thursday and he is entitled to have the case put and

A

then be released. Whilst we have all done our best to accommodate Mrs Zahmoul, I put a marker down now that I think that this has gone on a long time and we should focus towards the end of the evidence. I appreciate, my Lord, this is your court and obviously I will be bound by anything you say.

B

MR JUSTICE MacDONALD: Yes, thank you. Yes, Mr Molyneux.

MR MOLYNEUX: My Lord, what am I meant to say to that?

MR JUSTICE MacDONALD: Well, Mr Molyneux, I do not think I need to reply. I think we will get on. Thank you.

C

MR MOLYNEUX: I am doing my very best to represent my client and to assist the court ----

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: -- in the most time-efficient and cost-effective way that I can.

MR JUSTICE MacDONALD: Yes, thank you. Yes.

D

MR MOLYNEUX: I am going to do this slightly unusually, if you will indulge me, and I do ask your indulgence, because there are points that Mrs Zahmoul is very keen that should be put, and I want to make sure that it is being done, understanding what Ms Campbell has just said to you, that it is being done properly.

E

MR JUSTICE MacDONALD: Well, it is my intention, Mr Molyneux, to finish the cross-examination today. I have to rise at 3 o'clock by reason of commitments I put in place when I thought today would be the day we were going short.

MR MOLYNEUX: I completely understand.

MR JUSTICE MacDONALD: Thank you.

F

MR MOLYNEUX: (To the witness) So, Mr Zahmoul, in relation to this Gmail account, there is a concern on Mrs Zahmoul's part ----

A. Do you mean the Coinbase account.

G

Q. Sorry, the Coinbase account. There is a concern that up until January -- January 15, she believed that there was, in accordance with your presentation historically, one account -- one Coinbase account, and so her focus was on obtaining statements in relation to that account. And then she discovers in the email on 15 January that there is a second account, a Gmail account, and she cannot reconcile the two accounts -- either the timeline of the production of balances and statements or any transactions that might link the two. And that has caused and continues to cause her concern. So can you just confirm, in relation to 3651, what account is this?

H

A

A. That is the original account I opened when I was in America at Singularity University. And as you can see from the balance -- of the format of the statement that was received only in January 15, 2024, to actually alleviate some of Mrs Zahmoul's concern. The balance of this account has been zero since July 31, 2017 when one Bitcoin was sent from that account to the 1LVSG account which is the account that you -- we went into excruciating details on my April 10, 2023 statement and Mr Pinto addressed.

B

Q. So the 3651 statement: you say ----

A. 3651 statement, yes.

C

Q. Page 3651: "For the avoidance of any doubt this, you say, is a statement for the Gmail -- for the second Coinbase account?"

A. For the first Coinbase account.

Q. Sorry, the first, yeah. Second in the sense that it is the one that has most recently been disclosed, but it is the original account. The original account that you had?

D

A. It was not... I mean, yeah, it was recently disclosed because it predates 2019, because it was a zero balance, and because the only account I thought I had with Coinbase was the account that I have disclosed and I have all along had. So, these are transactions that spanned between 2014 -- October 19, 2014, when I was at Singularity -- 'til 2017. And as I explained, Coinbase could not accept to have one individual that was KYC with two accounts, with two email addresses, with the same person. So they essentially forced me by '17. And again, I can ask -- you could craft an email, or Mrs Zahmoul can craft an email with the question that she wants, and it can be put to Ms Marsh, who is the general counsel of Coinbase, who can explain anything you'd like explained. Unfortunately, I cannot explain. You know, I was myself surprised of these accounts and the way that some of these were represented, and I only obtained them after the allegation by Mr Southgate on September 7. That is how this format and these accounts and my attempt at reaching out to Ms Marsh, which I only found out about the existence of Ms Marsh thanks to Mrs Zahmoul's prior solicitors writing to them to try to freeze my account when there was no court order in the UK to actually do so. But they ended up trying to do so anyway.

E

F

G

H

Q. So Nadia looked at that email on 3648 and sees a reference to an account?

A. 3648.

Q. 3648 -- your email on 11 of January to Ms Marsh. And you say three paragraph down ----

A

MR JUSTICE MacDONALD: Yes, let us just get to that. Do you have that?

A. Yeah.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: You say:

B

“Furthermore, while your email indicates my account associated with Coinbase is an Irish entity, your support team recently informed me that it is, in fact, with the French entity. For the sake of clarity, I initiated an account with Coinbase in 2014 using the email [gmail.com] which was based in the United States. That account has since been closed, and all funds were transferred to the account under Zahmoull.net.”

C

Nadia looks at this statement of 3651 and first of all sees that it was not closed at the time where you were representing it as having been closed, which I think is right, is it not?

D

A. No.

Q. Because you were write on 11th January 2024 -- and here we have got an account statement to 15 of January 2024. So it is still alive even if you are not using it?

E

A. No. I don't have access to it. I can't reach it. I can't actually log on to it. When I log on to my Coinbase account, I log on to the other account. But again I think this is best clarified by Coinbase rather than by me. It's a bit -- I mean it's a little bit like Mrs Zahmoul stating that the Bank of Jackson Hole joint account in the name of the LLC was open when it wasn't open -- and then we had this whole back and forth with the bank. It's similar. I have no idea how Gmail -- how Coinbase treats this account. The fact that it was still open, it was not accessible. And I apologise if I can't give you a clearer answer. That is the best and most honest answer I could give you. And we should ask Coinbase.

F

G

Q. Okay. Just a couple of other questions in relation to this. You will see that it refers on 3651. It says “deleted”.

A. 3651.

Q. 3651. So now back to the Gmail statement ----

H

A. Yes, yes.

Q. -- and you say this is a full list of transactions in relation to that Gmail account from the point it was opened to 15 of January 2024, as I understand your evidence.

A. As provided by Coinbase.

A

Q. As provided by Coinbase. But that is presumably the full list of transactions on that account, because it could only be provided by Coinbase?

A. Yes.

Q. And that is your evidence, yes?

A. Yes.

B

Q. And we see here it says "deleted". Do we know what "deleted" means in the context of this? It looks like a date, which is -- assuming it is a US annotation -- 26 December 2023?

A. Yeah.

C

Q. Do you have any idea what that means because again Mrs Zahmoul is confused by it. I mean, she does not understand what that means, and she thinks that there must be a meaning to it.

D

A. Okay. As I said, it is probably best to have Coinbase respond to this as opposed to me responding to it.

E

Q. Thank you. And then another concern that she has in relation to the presentation of these accounts is if you look at 3651, you will see "account summary" and it lists a series of wallets with a series of different types of cryptocurrency and there are one, two, three, four, five, six, seven, eight different types of cryptocurrency.

A. 3651 you are saying, right?

F

Q. 3651, yeah. What we see here is the Bitcoin statements in relation to this. Okay, and if we look at 2816, which is the statement for the Zahmoul.net account -- and here we have over 40 different types of cryptocurrency. And again, there is a difference in the presentation of the two accounts which Mrs Zahmoul is unable to understand. Are you able to explain it?

G

A. The best way to explain it is that a lot of this currency did not exist when this original account was alive and used; whereas all these currencies are very new. I mean we can go through each one of them and you can see when they were created and this account was non-existent in a sense that it was not active, to be used by me and nothing happened in it and therefore that is why you have so many less cryptocurrencies there.

H

Q. Thank you. Just pause for a second because I know that time is pressing and I want to try and cover as many things as I possibly can in the time available, but I just need to turn to Mrs Zahmoul for a second. (After a pause) So, just one further question: because Mrs Zahmoul does not accept that this is a complete run in relation to the Gmail

A

account, and she says that if it were a complete run, there would be transactions to the Pro account and transactions to GDAX -- is she right about that?

A. No.

Q. Why not?

B

A. I don't know. Because that's what the exhaust... I mean, as I said, I mean we have the email to Ms Marsh. I would welcome you to write the email or Mrs Zahmoul to write to Ms Marsh and ask her to provide the exhaustive list of what's missing. I have provided exactly... You read the email that I wrote to Ms Marsh. and you read the response that Ms Marsh provided, and I've had many back and forth conversations with the support and the international litigation team of Coinbase to have them provide me as much evidence as possible to every single question and queries that Mrs Zahmoul has had.

C

Q. And if there is another form of email that she wants to put ----

A. Yes, no problem.

D

Q. You would be content ----

A. 100%. 100%.

Q. -- for that to be done?

E

A. By you, by the court, by Nadia -- by whoever you'd like to send to ----

Q. Thank you. Just pause for a second because I am hoping to be able to move on but it may be that there is something which I have missed which will be my error and I just need to make sure that I ----

F

A. Sure.

Q. -- put the case properly. (After a pause) Okay. Are you able, and it may be your response is the same, which is ask Coinbase, in which case that will be your answer, but are you able to explain why, given that this was an account which you set up whilst in the United States, it says "GB". If we look at 3651, it is got the annotation "GB", so presumably a British account. Perhaps I am going off-piste when I say that, but ----

G

A. I suspect, just like the other one says "FR".

Q. FR, because that was ----

H

A. I just explained to you "FR". So, what happened is that when I opened the account, I probably used a US address initially, and then switched it to my UK address -- and that is why they put "GB", because it was Hare House and AWA(?). But I think honestly, these are ----

A

Q. I understand your fundamental response to this, which is: ask Coinbase if you have got any specific queries?

A. Yes.

Q. I am just tasked with asking some questions which, if you will indulge me by ----

B

A. Can I indulge also to answer an additional ----

Q. Of course?

C

A. So these statements are relatively new statements that have come. If you can see the form E, if you can see every update and disclosure since then, the statements were in a very different form because it is very cryptic to get the information from Coinbase and any of these exchanges actually. Binance, you could not get statements by more than a month at a time. You had a limited amount of requests you could make to get a statement. So I had to get VIP treatment even though I do not qualify as a VIP client to be able to get a full list of statements from Binance. And when I figured out what I could get from the from the General Counsel at Coinbase, that's when I reached out to the DPO and General Counsel of ----

D

Q. I understand. Thank you.

E

MR JUSTICE MacDONALD: Mr Molyneux, I am satisfied, as the person listening to the case, that you have sufficiently explored this.

MR MOLYNEUX: Yes, my Lord. Well ----

MR JUSTICE MacDONALD: And I also, as I know you are aware, Mr Molyneux, I have express case management powers to limit cross-examination.

F

MR MOLYNEUX: Of course, absolutely.

MR JUSTICE MacDONALD: And I am satisfied, as I say, that you have illuminated this issue for me.

G

MR MOLYNEUX: I am very grateful. Thank you very much.

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: To move on from that, I should say, there was a letter which was attached. We cannot see the letter. You will be happy to provide that letter.

H

A. 100 per cent. I believe it is a letter from -- I think it is a letter from Ms Landells to Coinbase.

Q. Whoever it is from, whether it is from Ms Landells or somebody else ----

A. Okay. I will send you the full documentation.

Q. I am grateful. Thank you so much.

- A. No problem.
- A Q. So, we are going to move on. I have got two hours probably, and we have got a lot of things which I think we need to cover. So I am going to return to my material and then we can try and trot through some of those issues, if you would be so kind. I am going to try and do this at some pace, and that will mean, Mr Zahmoul, without any disrespect, it will mean, just as Mrs Zahmoul was asked, you really focusing your answers in relation to the questions that I am asking, so we can cover as much material as possible. Okay?
- B A. I will try.
- C Q. I want to ask you some questions in relation to Multibit. Look at 2240.
- A. Sorry. 2-2?
- MR JUSTICE MacDONALD: Four zero?
- A. 2240. Yes, that is my statement. That is Gemini. 2240.
- MR MOLYNEUX: 2240. So, this is a transcript?
- D A. Yes.
- Q. So 2240, there are some questions which you are asked of by Mr Pinto. It is a discussion with Mr Pinto, and you say at the top there,
- E “Multibit, you know, this is, as you said, a very old wallet. I don’t recall exactly whether it was mine or my wallet or not, and that’s what I have explained.”
- And I think that the Multibit wallet was 1LVSGYV wallet.
- A. Correct.
- F Q. That is the one, is it not?
- A. Mmh.
- Q. And that was the wallet that you had used to send Bitcoin to the Gemini account, which was the account in your name, but you say your sister's.
- G A. I do not remember. No, I believe that the... If I recall my statement correctly, and I could be wrong, but if you go to my statement, the Bitcoin I would send to the one wallet, that one wallet to Gemini Wallet were actually emptied out. And I believe the Bitcoin that filled the Gemini Wallet came from a Coinbase, I think. But I don’t recall exactly, and we have to go to the paragraph of Gemini.
- H Q. It may well be that that crops up in a little while. But the gist of the questions I am going to be asking you is that in relation to this Multibit Wallet and the transactions that

A

flowed from it, that you subsequently mis-recalled or could not remember. That was you not wishing to disclose the location of Bitcoin that was still in your control, was it not?

B

- A. Not at all. Multibit Wallet was empty in 2017, as I have shown multiple times. So I don't know. If you are asking me to tell you where things were in 2017 when my order from the court was 2019 and everything that I had as wallet, this wallet was zeroed out, it had nothing in it. I didn't even think about disclosing anything to do with this wallet in 2021. I'm confused. I'm generally confused by the question. It's like saying Nadia had a Citibank account when she was in New York and she had money there and she hasn't disclosed what was in that money there; therefore she is -- it is failure of her Form E. I'm sorry, I don't ----

C

MR JUSTICE MacDONALD: Just wait for the next question.

- A. Sure, sorry.

D

MR MOLYNEUX: Look at 3863, please?

- A. 3863.

- Q. 3863. This is one of the earlier reports, the earlier iteration, September 2022. The earlier iteration of the report by Mr Pinto?

E

- A. Yes.

- Q. He raises the issue of transfers to Xapo. He says: "The above table shows the counterparty." This is in relation to the Multibit Wallet, the L1LVSGYV.

F

"The above table shows the counterparty ... the addresses that 1LVSG has directly interacted with."

- A. Yes.

G

- Q. Then it explains the transaction. You subsequently to do this in your April 2023 statement. Seven Bitcoins from Afpull.com(?), a mining company. 7.969 was sent to Xapo.com, a hosted wallet service. "This acts similar to an exchange, and should Mr Zahmoul control 1LVSG, he may have an account at Xapo.com."?

- A. Mmh.

H

- Q. And then 4.5 per cent was received, and 2 sent to Gemini, an exchange service. The combination of this in September 2022, which is Mr Pinto in his preliminary report raising the possibility of your Multibit wallet having transferred Bitcoin to Xapo, and questions which Nadia had independently raised with the assistance of CipherBlade

- A should have put you on notice that you had transferred Bitcoins to Xapo, should it not, because they are saying this in terms.
- A. I never denied that I transferred Bitcoin to Xapo.
- Q. But you never admitted it, did you, until ----
- A. No, because I had zero ----
- B Q. Just listen. You never admitted it until April 2023, did you?
- A. Not at all. I never denied it. I just -- I just had thought that the Xapo account was emptied out. This this report as you mentioned, Mr Molyneux, had in the Indodax, had account, as I wrote in my statement of April 23 -- had eight accounts that I had not ever had any association with. So it was hard to understand the validity of this account, of this Poloniex. I'm just going through, right? Indodax: So they had all these accounts that they attributed to me that had nothing to do with me, that I had never, ever had. So, I was incredulous of Mr CipherBlade from the get-go.
- C Q. You were made aware by Mr Pinto of the possibility that you, in September 2020, you were made aware of this possibility that you had an active account with Bitcoins in with Xapo, did you not? That is correct.
- D A. No.
- E Q. Well, that is what we just looked at. He said that.
- A. No, he said that. What he says is there is... What he has is he has information that money went from my 1LV account to a Xapo account. Right. That's all he sees.
- F Q. Yes?
- A. He doesn't have anything -- other information, which I do not deny that, but as I said, I believe I had zeroed that in my Xapo account. So, I believe that I had no money in the Xapo account, just like I had no money in my Uphold account. He says here I had money in my uphold account. I had no money in my uphold account.
- G Q. Look at 2011, because these are questions which were raised.
- A. 2011.
- Q. 2011 -- these are questions which were raised by Nadia of Mr Pinto with the assistance of CipherBlade.
- H A. Yeah. I vaguely remember this.
- Q. And then halfway down, in blue, you see it starts "On page 71 of your report..."
- A. 71, yeah.
- Q. Halfway down:

IN PRIVATE

A "On page 71 of your report, you list the counterparties of Mr Zahmoul's Multibit wallet. Can you explain why you failed to identify that..."

-- and then it says --

B "3JZ, which is part of the root cluster, 39Y9, is in fact an additional Xapo deposit address. This would mean that 10.9694 Bitcoins were sent to Xapo, not the 7.9694 bitcoins that you identify in your report. What became of the 10.9694 Bitcoin that was sent to Xapo from the Multibit Wallet? Where are those funds now? If you leave additional disclosure as needed in order to determine if there is any reason you should not ask for additional disclosure."

C Nadia, through CipherBlade, and Mr Pinto, in September, in the summer of 2022, were all raising the possibility that you had an active account with Bitcoins in with Xapo. And yet you turned a blind eye to this, did you not you? You did you not do anything about it until the spring of 2023.

D A. I did you not turn a blind eye.

Q. Well, what did you do when you were made aware of this in the late summer of 2022?

A. I genuinely believe that I had zeroed out the account, just like I had with Bitfall(?).

E Nadia also alleged in this, that I had account with Changelly, that I had an account with. Many -- I think it was 11 accounts that she alleged that I had accounts with. She brought in conversation that she stole with Mr Jenkins, my old boss, which had accounts with Changelly. He had accounts with Binance. He had other accounts that I basically educated him and helped him move money for payments that he needed to make, and she attributed those to me, and I thought this was the same. So, I wasn't -- I was pretty clear in my mind that I had no further Xapo account. Xapo had closed down, you know, and I wasn't aware that I had this account. And when ----

Q. So, you could not remember ----

G A. -- I decided in -- and when I decided in, I guess, between October and April 2023 to go to do the painstakingly work -- because it is not easy to actually go back to every single transaction that I have ever touched in crypto -- when I decided to do that is when I discovered, as I wrote in my statement, in my affidavit of April 10, 2023, everything I wrote.

H Q. So you had just forgotten that you had 16 Bitcoin of \$500 ----

A. Yes.

Q. -- in a Xapo account ----

- A. Yes.
- A. -- which you had opened then?
- A. Yes, that is correct, I'd forgotten.
- Q. You had just forgotten?
- A. Yes.
- Q. I presume on that basis, there could be any number of other Bitcoin which you have got in any number of other different accounts because you would not be able to remember those either?
- A. Yes, you could say that.
- Q. And then on 14 March 2023, if you look at 2283 ----
- A. 2283? 2283?
- Q. 2283 -- you discover that ----
- A. Yes.
- Q. -- you have got 16.16 Bitcoin balance and \$500?
- A. Yes. And this was a sequester account by Xapo, because they had changed jurisdiction, they had changed status.
- Q. And you admit to that in your statement, I think 10 March, which you will find at page 2136. And you said at the bottom of that -- 2136.
- “Xapo confirms I had an account under Karim@zahmoul.net and Zahmoulka@gmail.com. I discovered with my email at gmail.com I had an account which was sequestered. I said I had a Bitcoin balance, but I believed it had been zeroed out. It received 16 Bitcoins on 7 November 2017, about 320,000 at the current value of 27,000 Bitcoin.”
- It would still be worth about 640,000 sterling now if you had not disposed of it, would it not?
- A. But you ----
- Q. You had spent it, did you not you, before you told -- you spent those bitcoins before you told Nadia of their existence, did you not?
- A. We repaid the mortgage, the joint mortgage on the Bank of Jackson Hole. And I paid for my daughter's school. And I paid for some... Some of the money was used for -- \$20,000 of the money was used to pay Mr Moldinia(?) for defending myself in the litigation in Wyoming to quash a motion for ----

IN PRIVATE

A

Q. A very small amount went towards extras on the school bill at Chatham Ladies College.
A very small amount?

A. Small?

Q. Yes?

A. No.

B

Q. Most of it went to pay down the mortgage, did it not?

A. Correct.

Q. In circumstances in which you knew that once paid down, you would not be able to access those funds. Correct?

C

A. No, in circumstances where I knew that we had spent over £3 million because we could not communicate and because it was not ----

Q. That is an answer to a different question.

A. Well ----

D

Q. That is an answer to a different question. You knew -- please focus on my question -- you knew that once you used those funds to pay down the mortgage you would not be able to access that source of liquidity, did you not?

A. So ----

E

Q. That is a "yes" or "no" answer.

A. My rationale was not because I could not access the fund of liquidity. My rationale was to repay the mortgage that I had entered into that was for \$572 million. That was the most amount of money I had ever borrowed in my life. And I didn't know how I was going to be able to repay, given how this litigation would go.

F

Q. Mr Zahmoul, you had paid down \$3 million by then.

A. I paid down \$3.95 million by then ----

Q. Yes?

G

A. -- and then I paid back another \$400,000 as soon as I discovered that money.

Q. Focus on my question. When you paid that \$400,000 off the mortgage, you knew that you would not be able to access that liquidity again because you knew the Bank of Jackson Hole would not let you withdraw it. You had been in litigation with them about it.

H

A. Well, Nadia has been arguing since then, and after that to September this year, that she believes the Bank of Jackson Hole will return the money.

Q. You will not answer the question. We will move on. Look at 1339, please?

- A. I am answering the question. I am not giving you the answer you want.
- A. 1339.
- A. 1-3 ----
- Q. His Lordship will decided whether you have answered. 1339.
- A. Yes. Which paragraph?
- Q. Paragraph 7
- A. 1339. My apologies. Yes.
- Q. You are referring to the *Imerman* ----
- A. One second.
- Q. -- the *Imerman* exercise?
- A. Oh yeah. Okay.
- Q. *Imerman* correspondence finally sent by lawyers following the first point on the 7 April 2021. You say:
- “The outcome of this very costly and intrusive exercise was simply to underline that I had disclosed everything.”
- Can we agree, Mr Zahmoul, that you had not disclosed at the point that the *Imerman* documents went across, the Coinbase equity, the account which you had with Gemini in your name, which you subsequently were to say was your sister's, and the existence of 16 Bitcoins, today worth the best part of \$850,000, 400,000 sterling when you disposed of them. You had not disclosed any of that, had you?
- A. So, as I said, I didn't know I had the Xapo address so I couldn't have discussed something I didn't know I had. The Gemini account I had gifted to my sister in front of my father in 2018 and my word is my bond with my family and my sister, and Nadia and I did not -- it was not my account. And the Coinbase, I was trying to have Nadia to engage with me, and I apologise that I didn't do it before, but I was -- as I said, and you are preventing me from showing evidence without waiving privilege, but I have... You said yesterday that you don't believe I even -- that my solicitors thought that it was a quantum issue as opposed to ----
- Q. Mr Zahmoul, you have said that before, okay, and you are not ----
- A. Maybe but ----
- Q. So we will move on. Look at 1895, please.
- A. Sorry.

- A Q. Look at 1895.
- A. 1895?
- MR JUSTICE MacDONALD: 1985.
- MR MOLYNEUX: It just says "Costs." If you look at 1895, you will see ----
- B MR JUSTICE MacDONALD: Just let us get to it the page?
- A. 1895. This is produced by Nadia, right. Okay?
- Q. Yes. It is basically a breakdown of how costs developed over the course of the litigation. And you will see if you look at costs up until the FDR, 19 July, that your costs were £159,000 in total, and Nadia's costs were £126,000 in total?
- C A. The disclosed costs, you mean.
- Q. If you scroll across and you then go to the pre-trial review on 4 March 2022, you will see that your costs had increased to 247,000 and that her costs at that point, according to the Forms H, were 393,450?
- D A. When was this?
- Q. So that was a very significant uplift in costs after the FDR. This was due, was it not, to your failure to make proper disclosure in relation to the Topanga and Coinbase equity. You were the author of this misfortune, were you not?
- E A. I don't think so. You are missing Nick Warr; you are missing many other expenses here that she has expended. Bill Hewlett, Nick Warr, and many other third party costs that are not included here that are misrepresenting the numbers.
- F Q. I want to ask you some questions about Olivia Molina.
- A. Say again.
- Q. I want to ask you some questions about Olivia Molina. One of the issues in this case is Nadia's concern that tainted money will come back to bite the two of you in the future and that she should be insulated from that. Nadia believes she was -- Olivia Molina was a prostitute, is a prostitute.
- G A. (Indiscernible)
- Q. Well I am just asking this. Just tell his Lordship, was she a prostitute?
- A. No. She has ----
- H Q. She worked in the sex industry. She ran prostitutes?
- A. That's not true.
- Q. Escorts.
- A. Not true.

A

Q. What did she do?

A. She was an influencer on Instagram. She had over 120,000 followers and she was a party organiser and she was introducing people for events and for promoting brands, promoting restaurants, promoting clubs. That is not true. And this was actually addressed on many communications between Withers and ----

B

Q. She arranged women for Phil Jenkins, did she not?

A. She what?

Q. She arranged women for Phil Jenkins, amongst other people.

A. No, she did not.

C

Q. Prostitutes for Phil Jenkins?

A. That's not true.

MS CAMPBELL: My Lord, I do not know which element of the conduct claim this goes to. It has not been specified in the statement of the conduct pleading. So, perhaps, Mr Molyneux will illuminate.

D

MR MOLYNEUX: I think I have told you, my Lord. This goes to my client's request for an indemnity in relation to money which is tainted money in circumstances in which the only -- just indulge me -- the only explanation for the significant amounts of money going through this woman's hands, with the assistance of this gentleman, can be her illicit activities in the sex industry.

E

MR JUSTICE MacDONALD: Mr Molyneux, I am not going to make the finding that someone is a prostitute if I have not heard from them.

F

MR MOLYNEUX: And it is also set out, just for the avoidance of doubt, because I do not want anyone to think this is taking anyone by surprise, it is page 1855 at paragraph 162.

MR JUSTICE MacDONALD: I understand. Thank you.

G

MR MOLYNEUX: (To the witness) We see you providing a lot of financial assistance, do we not, with Ms Molina's activities, if we look at 1440.

A. Financial assistance I have never provided to Ms Molina, so ----

Q. So let us just look at 1440, please.

A. 1440?

H

Q. Yes. This is a breakdown of some of the *Imerman* material.

A. It is third party, in terms.

Q. Transfer tabs. You will see there item 25, spreadsheet transaction list for TransferWise to an account in Olivia Molina's sole name.

A. Mmh.

Q. 27: a TransferWise statement from Ms Molina's account dated 25 March 2018, showing a nil balance, no transactions; further spreadsheets at 28 from Ms Molina's account which were enclosed "redacted, save for the transactions highlighted by your client, including repayments from our client to Ms Molina"; 29, an invoice from Blue Ocean Services, FZE, Ms Molina's Dubai company, for consulting services, prior to a third party dated December 2018. "Our client helped M Molina set up this company and had no interest in it."; a notification from OCE AZ LLC, registered in January 2020 -- "a US company our client helped Ms Molina set up that she wished to obtain an investor visa for the US. Our client has no interest in this company."; screenshot of her TransferWise account at 31; management accounts for Blue Ocean Services FZE LLE; "A text message with an access code for our client's BCP Millennium account, disclosed with his Form E." Bank statements for her BCP Millennium account; an agreement between Ms Molina and a business broker, by which she purchased the juice bar business. "Again our client has no interest in this business", and then spreadsheets relating to our client and Ms Molina's finances. Enclosed with them seem to be "duplicate pages which our client helped Ms Molina to prepare as she was not familiar with Excel." You provided her a lot of assistance, did you not you?

A. I was in love with her and I helped her, I guess, to get her on her feet. She came from Argentina. She had no money to her name. She had some good ideas, and she was very active on Instagram, and I helped her. It was a weakness of the heart, and I helped her. And actually, the person who helped me get over *her* was actually none other than Nadia, who helped me for a long time, introduced me to doctors in America, had me go get some antipsychotics. So, I mean, she was aware of a lot of the stuff that she's using now to try to prove, you know, to try to character assassinate, which is, you know, so sad.

Q. Look at page 16. I do not know what page it is of the bundle, but I have got it as a separate document. Page 16 of the final report of Mr Pinto, Another Day.

A. Yeah.

MR JUSTICE MacDONALD: Is there a separate copy of the report in the witness box?

MR MOLYNEUX: I do not know, my Lord.

MS CAMPBELL: There should be a hard copy, my Lord?

A. I think there is two, Section 25.

- A MS CAMPBELL: There is one there.
- A MR JUSTICE MacDONALD: Mr Zahmoul, will need a copy?
- A. Thank you.
- MR JUSTICE MacDONALD: Page 16?
- B MR MOLYNEUX: My Lord, yes. (To the witness) These are transactions with Ms Molina.
- Then it says, "Upon additional analysis" at the bottom page 16,
- C "... it appears that 1GQYJ is an address that has been generated as part of the cluster of root address 1AWK. This root address appears to have made 57 transfers, 31 withdrawals, and 26 deposits. Additionally, 39.73 bitcoins have been traced through this wallet, but root to 768,490."
- And your case is that, that this lady, who is not familiar with Excel, who is an influencer, has 768,000 of her own money passing through her Bitcoin account?
- D A. I don't know.
- Q. Is that your case, or is this your money?
- A. It's not my money. But she could come and testify and show you whether it is her money or not if that helps.
- E Q. Look at page 25, please?
- A. That is ----
- Q. This is a typo, because the second paragraph should read not 1GQYJ, as Mr Pinto confirmed; it should be 3DAJTD. It says:
- F "Upon further analysis, it appears that 3DAJTD, an address which should be generated by the cluster of root addresses, 3N69, this address appears to have made 20 transfers, 8 withdrawals and 12 deposits. 80 Bitcoin have been transferred through this wallet..."
- equivalent at the time the transactions took place to \$786,901. Okay, so you need to
- G keep in mind that address which is 3DAJTD. Look at page ----
- A. 29?
- Q. 73 please.
- A. Oh sorry. 73? Yes.
- H Q. This is an email from Olivia Molina dated October 20, 2022?
- A. Yes.
- Q. "To whom it may concern..."
- A. Yes.

A Q. Scroll down to the bottom of that page. "I also want to confirm that the following wallets..." a segment which is 3DAJT, the one that we have just looked at,

"... where Mr Zahmoul sent me 0.013 Bitcoin on October 20, 2019, my wallet and mine alone."

B Now, it subsequently transpired that you disagreed with her because you obtained a letter -- an email from Fadi Kassis at Forte. We see that at page 29, in which he confirms that 3DAJTD is his. So, it might strike his Lordship as odd that in support of your case, she claimed ownership of a crypto wallet that had literally nothing to do with her?

C A. Yeah.

Q. Okay, can you explain the circumstances in which she made that claim?

A. Yes, I can.

D Q. So, I was in New York with Olivia on the date of the \$100 payment in October 25, 2019. And the way I went about trying to forensically find each one of these wallets -- this is akin, Mr Molyneux, if I asked you, who you gave \$100 to in October 2019 -- \$100. So I could not find it. So the way I proceeded to find each one of these wallets is I go on my search bar on my phone, on my email, and I put the wallet address. And I look for when this happens. Usually there is a confirmation. Usually, if I can't find it there, I go on WhatsApp. And I look for this sequence of character, and I basically look for what it is. And I couldn't find it. I could not find 3DAJ. It was a *de minimis* amount. I couldn't find who I gave it to. There was no note on my entry when I sent the money. So I was despairing, and I thought because I was with Olivia in New York, it must have -- you know, usually when I was exchanging money with her, there was WhatsApp back and forth to make sure that she received the money. She sent me her address. I basically sent her a small amount. And then basically I sent her the balance, and constantly, there's a WhatsApp exchange on both sides to do confirmation of these transfers. In this case, I couldn't find anything like that. But because I was with her in New York when I retraced, I have a spreadsheet where I keep every single day of where I have been since 2018, since I left the UK. And from there, I realised that I was with her in New York. So I figured I must have been with her. And I must have sent her \$100, and then the day later, she sends me, you know 80, 85 -- 5 and 5 Bitcoins, which adds up to €85,000 which I pay her from my UBS account. And so that is why I thought it was her.

Then when Mr Pinto did his latest analysis, because he wasn't unfortunately allowed to do it before, even though we had asked and we had been waiting a year and a half for him to actually continue his report, it turns out that he came up with exactly what you articulated now to Mr Justice MacDonald. He came up with like a history of that account that looked unusual for something that Olivia would do. So, I ended up trying to do further forensic and looking at my account and trying to figure out what is this \$100 and racking my brain as to what it was. And then in searching, I don't know why I didn't catch it before, I believe it was in my Emviry account. That is how I was dealing with Mr Fadi Kassis. And in my Emviry account, there was an email between me and him on exactly that date, with exactly that address, with me sending; him saying "I received" -- and this was an attempt because in 2019, when crypto was starting to go up, I was looking for alternative sources of liquidity. And I had just met Fadi Kassis because he became my umbrella for my FCA position. So, when I set up Emviry Limited, I was not regulated by the UK, by the FCA. And I had to go through a whole process to get regulated, but we wanted Marsha, my partner, to start soliciting business in the UK. In order to do so, we had Mr Kassis, who had Forte Securities in the UK, could provide an umbrella service to basically allow us to practise our activities under the umbrella of the FCA. So, we did that temporarily, became friendly. And this is kind of when I asked, because he was doing crypto in Australia, this is when he basically suggested I send him some tokens to see that the pipe was working between me and his entity. And this is how the genesis of this happened. So, the letter was written because I was despairing of finding out, and I thought it was her, generally. So I had her... I mean, she does not know which account is her. I mean, she doesn't -- she knows her large account, but there was many transactions between me and her, and so this one being \$100, I thought it was -- I genuinely believed it was her, and that is why I attribute it to her.

Q. Mr Zahmoul, it is a preposterous account, is it not

A. Preposterous account.

Q. The easiest way to find out whether that was her address would be to say: "Is this wallet, your wallet?" -- and then she would tell you "yes" or "no" in the same way, to borrow from your parallel, if you had transferred money to me and you could see the account that it had gone into, you would say to me, "Is this NatWest account, sort code [blank], account number [XYZ] your account?" And I would say "Yes it is", or "no it's

not.” What I would not do is say: “Yes it is”, if it was not, or I had no idea. So, why Mr Zahmoul, did she do that?

- A. Because, as you can see, Nadia and Mr Pinto and indeed CipherBlade have -- have alleged that I have Poloniex account that were actually Coinbase accounts. Because every time you can receive -- unlike a bank account where you sort it all in your account ----

MR JUSTICE MacDONALD: Just stop a moment. The question is much more straightforward than that. Why did she say it was her account if it was not?

- A. Because you can have a gazillion accounts out of one account. Every time you receive - - you can create a new account into your -- into your -- which is what Mr Pinto was trying to say with the cluster yesterday. In Coinbase, I have maybe 200 Coinbase -- 200 Bitcoin accounts. So, every time you receive a coin, you can create a new -- you can generate a new address that is associated with you, with Coinbase, and that is completely different than all the addresses you used before, which is why Nadia thought that the Poloniex -- she kept in her last -- in her conduct statement she kept saying: this is a Poloniex address, and I have an email for Coinbase support stating this is a Coinbase address of Mr Zahmoul -- not a Poloniex address; never was a Poloniex address, but when you run it through Chain Analysis Reactor, they make mistakes, they have a heuristic, and they make mistakes in the way they account for whose account it is. So, it was a genuine belief of mine that it was hers. I asked her to write it was hers. She didn't go check whether it was her or not hers ----

Q. That is it.

A. -- and she would ----

Q. That is it. You asked her ----

A. Yes.

Q. -- to say that that was her account ----

A. Because that's what I believed.

Q. Just listen. You asked her asked her to say that that was her account and she, having no idea at all, was prepared to produce a document for you to rely on in these proceedings ----

A. Right.

Q. - which said that it was not -- and that, Mr Zahmoul, is dishonest, is it not?

A. I don't think so. It was not dishonest when I did it.

- A Q. You do not think it was dishonest when you did it.
- A. Because I genuinely believed it was her account.
- Q. And she just signed -- yes?
- A. Yeah, because it was \$100; it was *de minimis*; it was not ----
- B Q. It was an account with \$768,000 passing through it?
- A. I did not know that and she did not know that.
- Q. How could she not know that?
- A. What do you mean? Because she can't tell from the account what it is. This is the forensic of Mr Pinto that -- actually the account did not have \$700,000, Mr Molyneux
- C The account had \$700,000 go through ----
- Q. That is what I just said. ?
- A. -- into the life of the account, which does not mean it ever had \$700,000. You just said ----
- D Q. \$768,000 going through it, passing through it.
- A. Over how long? Over a period of five years, one year, two months, two weeks, one day?
- Q. And in fact, it belongs to, you say, Fadi Kassis. Now, has he just signed this at your request, or is this ----
- E A. Well, I ----
- Q. Please listen to the question, otherwise you will not have any clue what I am asking you. Has he signed the email, or produced this email at your request, or is this actually his?
- A. It is actually his.
- F Q. And we will just look at what he said, shall we?
- A. But... Sorry, go on.
- Q. If you want to qualify that, tell his Lordship?
- A. No, no. The better proof that it is his email that it's his address is from the email from
- G 2019. This is really true evidence that it is his account, not the email that he wrote now. It is the fact that he, in 2019, when we were about to do the transaction, he sends me a wallet address; I send him the money; he tells me, "Yes, I just received that amount of money."
- H Q. Well, Mr Zahmoul, that is no clue as to who the beneficial owner is. That just means that is the person you are transacting with, does not it?
- A. What?
- Q. You understand just what I said.

IN PRIVATE

- A** A. No, I don't understand what you said -- the innuendo of what you are saying.
Q. That is no clue as to who the beneficial owner is. All it illustrates ----
A. Then I would ----
Q. Will you please listen?
A. Then I would invite ----
- B** Q. Please listen?
A. I would invite you to ask him.
Q. Please listen. All it illustrates is that you transacted with him and that he is now saying that he is the beneficial owner. Okay -- in the same way that a few months ago, Ms
- C** Molina was saying she was the beneficial owner. But there is no proof for either of them, is there?
A. Yes.
Q. So let us look at 29.
- D** A. 29?
Q. Page 29. This is a letter from Forte Securities?
A. Yes.
Q. Forte Securities Limited presumably is regulated?
- E** A. By the FCA, yes.
Q. Okay. "This is to confirm that the following wallet address belongs to us" on Forte Securities headed notepaper. Now, for the avoidance of any doubt, think very careful
- F** about how you answer this question: are you telling his Lordship that that account through which you transacted, as we see your account on the same page, on the left-hand side of that page, that that was an official Forte Securities cryptocurrency account?
A. I don't know.
- G** Q. But why is he saying that it is? Because he says, "Karim, this is to confirm the following wallet address belongs to us" on Forte -- Just listen. "This is to confirm the following wallet address belongs to us" on Forte Securities headed notepaper. Were you transferring money to Forte Securities?
- H** A. I was transferring money to... I am not actually sure if it was Forte Securities. I was transferring money to Fadi to see if the pipe of transferring money so I could convert my crypto into fiat with an alternative exchange at a better level than I would with Coinbase or Binance or other exchanges that were out there.
Q. So the pool of perpetrators ----

A

A. But I would invite the court and yourself to ask the FCA through Fadi, or Fadi directly, to phrase it any way you would like. I mean I cannot speak for whether he holds this wallet at Binance, this wallet at some other exchange -- this part in his name, this name in the name of Forte -- I cannot answer that question.

B

Q. Mr Zahmoul, this is not like Alice in Wonderland, where words can just ----

A. It's not ----

Q. Just listen -- where words mean just what you want them to mean, nothing more, nothing less. We have to be precise, okay? So I want you to tell me ----

C

A. I am being precise.

Q. Please listen. I want you to tell me within the possible pool of perpetrators, we have got Olivia Molina saying it is hers, and now saying it is not; we have got Fadi Kassis saying that it belongs to Forte Securities, but you are not sure whether it does. We have got an email from Fadi Kassis in October transacting with you personally. I just want to know what your evidence as to the beneficial owner of this wallet that had \$768,000 passing through it because that is a big amount of money.

D

A. To the best of my knowledge, this is a wallet owned and controlled by Forte Securities.

E

When I transacted with them as a test, it was to do a transaction with an institution against hard currency. So had I done the one Bitcoin that was talked about in the email or more, I would have expected that the proceeds -- the hard currency proceeds or the fiat proceeds of the money would have come from an institution -- not from Mr Kassis personally, or somewhere else. That is who I was entering into an agreement with. And I believe... I do not recall if there was actually some documentation signs, but it signed between us.

F

Q. Why do you not help me with this then? On that same page, the subject for each of these emails is "listing process Australia"?

G

A. Mmh.

Q. And we start at the bottom and we work our way up. And it starts on 11 October, you say,

H

"Hi Fadi, can we start with one Bitcoin? Let me know where to send it. I am not sure I'm ready to sell yet. That is why I have not been responding, Karim."

He replied, "That's cool, man. No worries, I figured as much." And then he gives you the wallet address and then says, "Once in hand here and you want to sell, let me know."

A

And then you said, “Fadi, I just sent you a \$100 to that address to make sure it works. Let me know when you receive” -- and you reply, “Nice one”, again, all under the heading, “Listing process Australia.” First of all, what was the listing process in Australia that the two of you were obviously communicating over? And, secondly, what was it that you were not ready to sell on 11 October 2019, because it certainly was not a Bitcoin; he did not have it.

B

A. Say that again. He didn’t have it?

MR JUSTICE MacDONALD: Let us just break that down.

C

MR MOLYNEUX: What was the listing process? What was the listing process?

A. I can send you the email that had the listing document. I don’t remember. I do not remember. I do not remember what happened in a conversation in 2019 with Mr Kassis.

Q. So you have no idea ----

D

A. No, I have no idea.

Q. Just listen. Make sure I understand your evidence and his Lordship has got a note of it. You have no idea what this email with reference “listing process Australia” was talking about. No idea.

E

A. No, but I can find out.

Q. Well, that ship has sailed, has it not? You have given your evidence. This is not a dress rehearsal. Just tell his Lordship. Do you have any idea?

A. I don’t recall, no.

F

Q. Okay, so what is it in that first email that you are not yet ready to sell?

A. Bitcoin.

G

Q. That cannot be right, can it? That is an absurd answer, if I may respectfully put to you. Because if you look at the text here, it says, “Can we start with one Bitcoin? Let me know where to send it. I am not sure I am ready to sell yet. That’s why I have not been responding.” Now, given that you are the one with the Bitcoin and you could sell it yourself, you do not need to transfer a Bitcoin to him. He hasn’t got it yet. You do not need to transfer a Bitcoin to him in order to sell it. So what were you not ready to sell?

H

A. I do not think you understand what I said before or -- I’m not sure what just ----

Q. Why do you not have another go and explain to his Lordship ----

A. Okay. So ----

Q. It might just be me.

A. What I've tried to explain is that I had Coinbase exchange where I could sell crypto. I had Binance, where I could sell crypto. And then I was looking -- there was other companies I was talking to, to try basically to fund liquidity, to the extent you needed to get liquidity without being charged a quarter points or significant charges. And depending on the time -- at that period of time, depending on the business of the network, it would cost more or less money to send -- to sell Bitcoin. So what I was talking with Fadi was for him to provide me liquidity on Bitcoin, just Bitcoin. So the conversation here... So we were having a different conversation on listing, and I forgot what it was listing about. It was listing over... I think it was Cornish Lithium maybe, or it was some other company's ----

Q. Sorry?

A. -- listing. I think it was Cornish Lithium. It was listing -- a property, listing a company on a South African stock exchange because ----

Q. Are you speculating, or is this your evidence?

A. I am trying to recall on the spot, what you -- because I don't -- I didn't go into the details of what this "listing, Australia" means. You asked me three questions in one question. And when you discuss -- These are free-flowing conversations with a person who was discussing many ideas, brainstorming on many things. So, one of the conversations that we had was about selling -- was about having him provide me liquidity for my cryptocurrency, for my Bitcoin really, when and if I decided to sell. So on October 11, right, he had sent an email. You know, can we start -- should we start with one Bitcoin so that you see that I can give you a good price? I'm not going to charge you so much fees, and then I will send you the fiat versus you selling Bitcoin. I wasn't ready to sell in 2019 -- in early 2019. Then the conversation goes on. He sends me on October 11. Nothing happens because I was with Olivia in New York, as I said.

Q. Mr Zahmoul, just pause there?

A. I'm trying ----

MR JUSTICE MacDONALD: Just let me hear the answer.

A. On 25 October, when I recover his email, or when I look at his email and focus on it, I said, "I've just sent you \$100 at the address to make sure it works. Let me know when you receive it." And then he responds right away on October 25, so 25th to 25th, a few hours later, he says, "I have received. 0.13076 received. Nice one, Fadi Kassis."

MR MOLYNEUX: So why did you not send him anymore?

A

A. Because I -- why didn't I send him anymore? Because let's -- let's -- this is -- this is -- what hasn't been done in all of your questioning, is that you don't put it in the context of the timeline of what happens. So, this was October 25. October -- when was this? October 25. Okay. So, I left New York on October 27. I went to Morocco. I met Nadia there at La Mamounia, I think. Then basically, Olivia and I had a massive breakup.

B

Then I went into a significant depression. Then I went -- then I was in -- I came back to -- I travelled a little bit, went to Portugal. This is 2020 now we go. This is when I was told in Portugal the first question that you asked me yesterday about my residence, etcetera. Then I went to -- then it was in -- in February 2020, we were in Morocco with

C

Nadia. That is when she said she discovered the relationship and the affair. Then in March 14, 2020, I was in lockdown and then Covid happened and I was stuck in Cheltenham for 90 days. Then July 6, I was -- I moved, you know -- and then all this time, crypto was acting -- was doing pretty well, so there was no reason to sell. And then this option to sell with him just evaporated. I didn't think of selling and I didn't.

D

Q. Mr Zahmoul, I will be suggesting to his Lordship, this is an absurd explanation.

A. Okay, okay.

Q. Look at the Coinbase transactions.

E

A. Which ones?

Q. You will find those at page 7.

A. Where?

MR JUSTICE MacDONALD: In the expert's report. Page 7?

F

A. Okay. Page 7.

MR MOLYNEUX: You transfer to him a hundred dollars.

A. Yes.

Q. Transaction ten.

G

A. Yes.

Q. 0.01310 Bitcoin?

A. Yes.

Q. You never transact with that wallet again.

H

A. Exactly.

Q. You carry on transacting even as we look two days later, receiving 5 Bitcoins from someone else.

A. From Olivia.

A

Q. Receiving 5 Bitcoins from someone else again ----

A. Olivia as well.

B

Q. -- on 27 October, and then sending, on 3 January, 0.014. And then we carry on receiving and sending through the following months of 2020. This idea that you have created this transaction for the small number of Bitcoins that you have got to create liquidity, when you could have just traded through Coinbase ----

MR JUSTICE MacDONALD: No, that was not the evidence. It was to explore the possibility of creating liquidity, not just to create liquidity.

C

MR MOLYNEUX: To explore the possibility of creating liquidity. That was the solution to a problem that did not exist?

A. Why?

D

Q. Because you had sufficient liquidity via trading through Coinbase in just the same way that you had done this whole time. And the evidence of that is that this is the only transaction, having successfully achieved it, it is the only transaction with Fadi Kassis?

A. What is the true explanation for this transaction?

A. This is the true explanation.

E

Q. Is it something to do with testing out a wallet that you say that he had established in the autumn of 2019 in advance of transactions referable to this mysterious listing that was to take place, so that he could send assets held by him for you in order to avoid any glare of publicity.

A. So he's an FCA ----

F

Q. I am asking.

A. I am trying to respond. I would welcome you, Nadia, and the court to send him an email, or to send him a letter to ask him to answer exactly what he has done with me, and what he has done with crypto generally. He basically has decided to build a niche in crypto, and so he does a lot of crypto transactions. And the most simple explanation of this is that he does a lot of transactions, and this is just one he did with me to show me that he could provide liquidity for me to the extent I wanted it, but he does a lot of other things. None of the transactions that you see... If you look at Mr Pinto's report, he explained that transactions are in all kinds of places. These are not things that I have ever done, would ever do. He goes into Peel Chain and into all kinds of other things that he talks about that I have never, ever done. And this is how I realised that it was -- I wasn't in that period (inaudible). And this is how I was able to ascertain that it was not

G

H

A Olivia, because of this recent report from Mr Pinto who suggested that all this follow-on
transaction from that account was so unusual for somebody like Olivia to do, which is
what forced me to do the forensic on that account. Now, every other transaction in this
list of 50 transactions that Mr Pinto has identified, I have explained. Then the reason
B why I thought it was Olivia's is because it happened on 25 October and on the 26th and
27th I received ----

MR JUSTICE MacDONALD: I have that evidence?

A. Okay. Thank you.

C MR MOLYNEUX: So, you see, Mr Zahmoul, I am very careful not to suggest that Mr
Kassis has done anything fraudulent. I ----

A. But you are.

Q. I have been very careful not to suggest that he has done anything fraudulent because that
D is material to put that. But I do ask whether or not this is your only transaction with Mr
Kassis.

A. Well, I have done Coinbase with him, the shares, if that's what you mean? He has sold
my Coinbase shares from the proceeds of the direct listing of Coinbase. That is --
E otherwise -- we have tried to look at opening a bank in crypto, in Portugal; we have
tried to see if we could purchase a bank in Switzerland; we have conversations, and Mr
Kassis can explain this.

Q. Final question before we break for lunch: At the bottom of that -- I put it to you before
F and I do not think you answered: "I'm not sure I am ready to sell yet", you say, "That's
why I have not been responding." Just remind his Lordship of your explanation for that
again -- because obviously Mr Kassis has been contacting you about something and you
have not been replying. What was he contacting you about?

G A. About some Bitcoin, about obtaining liquidity on some of the Bitcoins I held through
him. So, as you said, I could have gone to Coinbase, I could have gone to Binance, I
could have gone to other exchanges like STX, like many other exchanges that were
open, but I had developed a relationship with Mr Kassis, and it was what we would call
H an "over the" -- OTC transaction -- I can't remember what that stands for -- over the
counter transaction, and I thought I could trade with him directly at a cheaper cost,
cheapest fee cost than transacting through Coinbase or through any other exchanges,
which is why we did this small trade to see that he received the fund, and then when and

A

if I am ready to trade, I will trade. Now, if you see what happened after that in Bitcoin, it was the Covid that came, and that is when Bitcoin had a huge uptick.

Q. And so we are totally clear, these were official transactions taking place with Forte Securities.

B

A. So I would like you to ask him that.

Q. Well, I am asking you.

A. I believe so. Let me phrase it differently. The proceeds of the funds, again, the fee and the money that he would have paid me, I expect would have come from a regulated entity.

C

Q. I do not think you know the answer to my question, do you?

A. I guess not.

Q. Thank you. Should we break there, my Lord?

D

MR JUSTICE MacDONALD: Yes. Thank you. (To the witness) For the final time, I just need to remind you that you are not to talk to anybody about your evidence ----

A. Yes.

Q. -- until we conclude your examinations this afternoon. All right?

E

A. I won't be talking to anybody even after this.

Q. Thank you. 2 p.m.

(Adjourned for a short time)

MR JUSTICE MacDONALD: Yes. Mr Molyneux.

F

MR MOLYNEUX: Mr Zahmoul, there was some issue, was there not, about -- I think you were unclear about it, about whether the Forte account was an official Forte crypto account, whether it might be Fadi Kassis. I think your evidence on balance was that you thought that it came on official headed notepaper; that it was an official Forte account. You would be happy, I presume, for us to make a joint approach to compliance so that they can confirm in reference to the wallet details and the date of the transaction; that this was a proper Forte transaction with you?

G

A. 100 per cent.

Q. Thank you.

H

MR MOLYNEUX: My Lord, before I start I note 3 o'clock is the cut-off. Obviously Ms Campbell needs some time to re-examine.

MR JUSTICE MacDONALD: Yes.

A MR MOLYNEUX: So, I am just thinking in terms of the allocation of that time. I do not know how long she is likely to be.

MS CAMPBELL: Certainly 30 minutes at least.

B MR JUSTICE MacDONALD: Well, I think looking at the arrangements, the cut-off is probably close to 3.30, having had a chance to look at how long it is going to take me to get to East London Family Court. So I think the hard cut off, Mr Molyneux, is 3.30.

MR MOLYNEUX: Fine. So that means that I should stop at 3 o'clock.

MR JUSTICE MacDONALD: 3 o'clock. Thank you.

C MR MOLYNEUX: Right. (To the witness) We have only got 55 minutes, so I really do need some focused answers, Zahmoul, if you would be so kind. I will try and make focused questions as well. One of the issues in this case is whether or not you have exerted pressure over Nadia in relation to allowing her to litigate and my submission to the judge is going to be that you have made it as hard as possible for Nadia to fund her legal fees. D It is correct, is it not, that when there was £750,000 standing to your joint credit with Bank of Jackson Hole, she asked whether she could use that rather than draw down on litigation loan funding. Yes or no?

E A. Yes.

Q. Okay, and Bank of Jackson Hole -- if you look at 1615, you will see the answer. Bank of Jackson Hole confirmed that that was possible, provided that, say, \$300,000 were left in that account. 1615, if you just look at it so you can confirm, because it is obvious from the text that that is correct.

F A. No, but you're just changing the chronology of events, which makes it -- you can spin anything you want that way.

Q. But I do not want to spin anything. Just tell us ----

A. That's not correct. Actually ----

G Q. Tell, his Lordship what is unfair about the way that I have couched the question.

H A. Okay, so you asked whether it was fair to say that Nadia asked for money out of the Bank of Jackson Hole account. She asked for that in front of Judge Cope on April 7th. Judge Cope rejected that, and that is why we removed it from the initial draft order of Judge Cope on April 7th, 2021. The original order provided by Withers, and I think it is one of my submissions, had in draft the -- I apologize for the term. I do not mean any disrespect by it. The sneaky introduction of that line saying that we were allowed to use the money of \$750,000 that was sitting in that account as collateral for the loan to be

A used for legal advice. And the last minute in the hearing of April 7, I pointed that out to my solicitors who basically had it removed and Judge Cope removed it. Now, you have to appreciate that when we got a mortgage, the mortgage is \$5.72 million for a house that costs \$4 million. So, we got more money than actually the value of the house, and the condition for that was to put \$750,000 as collateral that was supposed to stay there.

B There was a letter in August 2021 from the bank saying that while they intended for this to become hard-coded into the documentation, they didn't put it there, so technically it could be used. And then further on, in October 2021, another letter came, which was

C another -- because I had asked the Bank of Jackson Hole to do a new mortgage so that we could extend the mortgage from 2025 to 2028. And they had then said they wanted us to reduce the size of the mortgage because it was too big given the divorce, etcetera. So this happened in about October 2021. And then again, in September '22, we know what happened when they asked for the repayment of at least 1.72 million, which I

D decided to pay back a lot more to first remove the liquidity of our asset, and because I was ----

MR JUSTICE MacDONALD: Well, I understand that?

A. Sorry, I apologise. Sorry.

E MR MOLYNEUX: We need to be pretty short because I have got quite a bit of material I need to try and get through, Mr Zahmoul, okay. I want to take you through a run of correspondence and I want you to be able to comment on it?

A. Sure.

F Q. If we look at 1595. This is 14 of September ----

A. 1595?

Q. 1595?

A. Yes.

G Q. This is correspondence from Withers in which they say: "On 14 September ----

A. 2021.

Q. -- in relation to litigation loan funding..." -- 1595, third paragraph down?

A. September 14, 2021, correct?

H Q. Correct. "Detach ... have now confirmed ... my client the litigation loan in the sum of 280,500 ----

A. Yes.

Q. -- return in one year to fund her unpaid and future legal fees."?

- A. Yes.
- A Q.
- B “Of course, my client need not pursue this course of action if your client would agree that she is partially released from her undertaking not to diminish the balance of the parties’ joint Bank of Jackson Hole funds in order to draw upon those accounts to meet her legal fees. My client received an email on 18 August 2021 which confirms that she could withdraw funds up to \$300,000 without any impact upon the mortgage secured against the Wyoming properties. It is not as great as the loan that Detach are offering but would avoid my client being forced into an arrangement whereby she has no option but to incur interest at a rate of 12% per annum on the litigation loan.”
- C If you look at 1599, you will see your response to that. You said,
- D “It is unnecessary to take out a litigation loan ... funds are able to meet her legal fees across the bank account, the Fidelity account in particular, her incomes needs are amply met. These funds should be utilised towards her legal fees first. Thereafter, once the total balance of the accounts are reached, say 20,000, my client will agree your client can draw funds from the Bank of Jackson Hole account to discharge bills up to a cap of the legal fees incurred by my client for the equivalent period on a pound-for-pound basis.”
- E A. That is correct.
- Q. You were attempting, were you not, by imposing that limit to prevent her from making the inquiries that she wanted to make in relation to your finances?
- A. No.
- F Q. Could you look at 1676, please? Because she did take out the loan. 1676?
- A. Yes.
- Q. In fact, before we look at that, just look at ----
- A. 1676.
- G Q. Yes. Before we look at that ----
- A. It’s ‘23.
- Q. -- look at 1607, because I want to take you to the whole run of correspondence so you can comment on it.
- H A. Say it again.
- Q. 1607. So this is the response from Withers in relation to the letter that we have just looked at. Withers say:

A “Your letter of 29 September is too little, too late. Given my client access to Bank of Jackson Hole account for legal fees was an obvious and collaborative way forward raised with you months ago. Requests have been repeated regularly. Only now, when your client realised my client might have access to funds for legal fees from a litigation loan, you come up with a proposal contained in your letter. Sadly all your client does is demonstrate what my client has been saying consistently, that your client's strategy has been to starve my client of access to funds to browbeat her.”

At 1633, there is a ----

A. There is no question here on one six ----

C Q. We are going to look at the whole run, okay, in the interest of speed, and then I am going to ask you to comment in relation to this. So, we have now fast-forwarded to the best part of 12 months, and Withers are writing again on the bottom of that page: “It is not reasonable ----

D MR JUSTICE MacDONALD: What page are we on?

MR MOLYNEUX: 1633, my Lord.

MR JUSTICE MacDONALD: 1633.

MR MOLYNEUX:

E “It is not reasonable for my client's ability to pursue her case to be constrained by your client's control of her access to funds. Your client, unlike mine, has significant funds available to him in order to meet his legal fees, and there are ample resources in this case to enable each of our clients to meet the legal costs they incur. Please confirm by return your client will agree to the funds held in the Bank of Jackson Hole checking account 4797 being released by my client to enable her to meet her outstanding and ongoing legal fees.”

F A. Since September 13, 2022.

Q. That is in September ----

G A. 13th.

Q. 13 September 2022.

A. Yeah, very important.

H Q. Okay. So, there was a theme, was there not, during this whole period of time that Nadia wanted access to liquidity in order to fund her legal fees, and she did you not want to have to take out a litigation loan. That is a fair summary, is it not?

A. I don't think so.

Q. Why is it unfair?

A

A. Because Nadia did not disclose -- so on September 13 -- it is on September 15 that she finally disclosed that her Detach loan had gone from \$280,500 to \$657,000 -- pounds, sorry. We are talking about -- sorry. I get confused. So she had never disclosed between September 2021 -- and she went through the cap that she had received from Detach, I am estimating, around March 2022 is when she had gone through the \$280,500. We had then hearings on March 3rd, March -- May 16th, June, I forgot exactly what date, May 31st, July 12th, July 13th -- and during all this time, there were requests for her to provide information as to where her borrowing or where she was able to fund all these legal fees and started -- no, not yet started litigation -- yes, and she never responded. The first time that she sent us -- to respond to her third-party costs with Nick Warr, which was over £150,000, that was in July -- September 13th. And then it is at the same time that she sent us the form from Detach of £657,000 with 12 per cent accrued interest. This is what had me panic. This is why everything was liquidated at that date. I didn't care what price it was. I didn't care anything. I wanted to reduce everything because I no longer had the capacity to sustain a £5.72 million -- million dollar mortgage that was coming due within 24 months.

B

C

D

E

Q. So, just pause there?

A. Yes.

Q. That was the catalyst for you doing what you did. You decided, in order to eliminate the liquidity in the case ----

F

A. No, in order to repay my debts.

Q. Yes, but you said that the catalyst for that -- I am paraphrasing because I have not got a note, you said the catalyst for that was discovering that the borrowing had gone up.

G

A. The borrowing, the undisclosed third-party costs, the money from her father; she seemed to have access to excessive amounts of money, that she was not disclosing, and yet she was continuing to spend money while our assets were going from 10 million, as the November 4, 2021 email had suggested -- that we sell everything I could touch, and we could repay the mortgage and have enough liquidity for her to have her ----

H

Q. You are roving away from what we are discussing now.

A. I am explaining the exact process.

Q. We need to keep context within reason. Could you look at ----

A. Okay.

Q. -- 757, please, because at the same time ----

A

A. 757?

Q. 757 -- at the same time you engaged in another transaction.

MR JUSTICE MacDONALD: Well, let us just ----

A. Sorry.

B

MR JUSTICE MacDONALD: No, no. Find 757.

A. I am sorry, 757. I am there now.

C

MR MOLYNEUX: So there we see details of personal monies that are owed to you on 757.

2.6, "personal loan to Hajime Kobayashi(?)". I am hopeful that you say both of these debts will be repaid. There is no written loan written with Phil Steadman, I presume there was with the Hajime Kobayashi. So you have been owed at the time that you have produced this -- you have been owed £60,000 pounds by Mr Kobayashi for a period of 16 years?

D

A. Correct.

Q. Okay. And then in August 2022 ----

A. Yes.

Q. -- what do you do? Look at page 1544.

E

A. 1544.

Q. You loaned him \$500,000?

A. That is correct.

Q. Now ----

F

A. 1544.

MR JUSTICE MacDONALD: What page?

MR MOLYNEUX: 1544.

A. Yes.

G

Q. At the foot of that page:

H

"Karim informed me in August 2022, he made a loan, unsecured, of \$500,000 to a friend and acquaintance of his called Hajimi Kobayashi. Karim did not explain the purpose of this loan other than to say that his friends needed liquidity. I am simply amazed that he felt able to transfer ... to Hajimi in this way. Hajimi was the owner of Winks London, an adult entertainment and sexual massage business which has now shut down. He still owed Karim 60,000 from a loan of 120,000 he made to Hajimi nearly 20 years ago in 2005, which Hajimi has never paid back."

A

At 1819, you were asked some questions about this loan. Could we just look at what you say?

A. 1819, yes.

Q. 1819, "Loan to Hajimi Kobayashi." You were asked to,

B

"... provide copies of all correspondence passing between the Respondent and Mr Kobayashi relating to the said loan made to him by the Respondent of \$500,000 in August 2022, together with copies of the loan agreement if any."

And you say:

C

"Mr Kobayashi and myself both live in Lisbon. There is therefore no correspondence, except the one already provided to Nadia. That should be repaid shortly."

Again, you were reducing the amount of liquidity that you had available to you, were you not?

D

A. No.

Q. And you were doing this to spite Nadia.

A. Actually, I do not believe that is correct. So, this is -- the dates of the loan -- sorry, so

E

what happened is, and again, we are going to look at the chronology, but Hajimi Kobayashi's mother passed away just before this loan was made. So, he was -- I went to his mother's funeral. She was a close friend of ours, of Nadia as well, although she probably didn't like her. But she was a very close friend of mine and she passed away at the age of 94 with was a very traumatic end of life. And he -- she had -- he had an apartment in Paris, on the Sixteenth Arrondissement, and an apartment in Aix-Les-Bains, and he has his own apartment in Battersea in London. And he had no liquidity, so he needed some funding, and at the time -- this was before I knew Nadia's Detach loan.

F

This was right after the court hearing was displaced from Bristol to London. I had the crypto assets. I had the Coinbase. I thought I had enough liquidity. I could lend him for a short term, €500,000, which I did, and he would paid me back in January 2020. He was the subject of Mr Webster's presentation to Justice MacDonald on November 17.

G

This was discussed at the time, and my answer stays the same, and I have explained it I think in various aspects of my statements. So, I wasn't trying to deprive Nadia of any liquidity when I did this. It was not to soak up the money.

H

Q. So, it was just a coincidence that you chose to loan \$500,000 ----

A

A. It wasn't ----

Q. -- just listen; it was just a coincidence that you chose to loan \$500,000 in the middle of divorce proceedings to someone who had owed you 60,000 sterling for the previous 20 years.

B

A. Because his mom passed away and he was incredibly (inaudible). I'm sorry that I did that.

Q. Okay. You are sorry that you did that.

C

A. Well, I am sorry that you think that that's, you know... I came to one of my best friends who had a position -- who was in dire need. I lent him some money when I thought I had -- I still had more than a million euros in UBS or so, and I had the crypto assets, and I had the ----

Q. Look at 1542 ----

D

A. -- Coinbase shares, and so therefore I thought it was reasonable to lend him money for a short-term basis, which I recovered.

Q. Look at 1542?

A. One five?

E

Q. 1542. This is a list of the ----

A. 1542?

Q. 1542.

A. Yes. This is December 8 -- my response to the December -- no, this was a questionnaire on November 17, yes.

F

Q. 1542 is a list of the monies which you paid down in dollar terms from the Bank of Jackson Hole mortgage between 15 September and 30 September, and it is basically -- you said you did this at whatever price it was. Basically, it is a sale -- you could almost call it "a fire sale", could you not, of all of the liquid assets which you had at 15 September 2022 in order to pay down the mortgage. That as a fact is what you did, is it not?

G

A. No. As a fact is why -- I believe this was part of the questionnaire that was put to me by Justice MacDonald on the back of the November 17 hearing, which I answered on December 8, 2022 -- and this is the list of all the payments that were made from the various accounts of the one point -- 1.875 is the Coinbase proceeds; the 450 and 225 is the money that was in the Bank of Jackson Hole; and the rest are the receipts from Coinbase Pro, Coinbase that were sent to Bank of Jackson Hole to repay the mortgage.

H

A

Q. Look at 1621, please.

A. 1621.

B

Q. 1621. This is April 2022. Withers wrote to you -- second paragraph -- on 25 February, wrote to seek the partial discharge of the Bank of Jackson Hole mortgages and the funds in the Bank of Jackson Hole accounts and suggested \$600,000 be discharged from the total of 650,000 of joint accounts.

C

“For the avoidance of doubt, my client does not agree to the Bank of Jackson Hole mortgage being paid down from the Bank of Jackson Hole accounts pending conclusion of these proceedings in circumstances where she has insufficient funds in order to meet her day-to-day living expenses and those of the children, which far exceed the amount that she currently receives from your client each month. She has been left with no other option but to take out a litigation loan where the interest is 11.98% in order to meet her legal costs. My client has made multiple requests since April 2021 when your client cut the funding available to my client by circa 71% for your client to agree to my client being released from her undertakings in respect of the Bank of Jackson Hole so she can use the funds held in these accounts, which are acknowledged to be matrimonial, to meet her legal fees, but to date your client has refused.”

D

E

Okay, hold that thought; there will be a question coming, but also look at 1633?

A. Yeah.

Q. This is a letter from Withers on 13 September to your solicitors in relation to the funding of future legal costs, because as I said at the beginning of this third paragraph ----

F

A. Did you just read it?

Q. 1633.

A. I thought you just read it before.

Q. Yeah, we are returning to it?

G

A. Okay, sorry.

Q.

H

“My client has exhausted the current litigation loan facility and her litigation loan providers have now confirmed that they are not willing to extend her loan any further on an unsecured basis due to the lack of UK cited assets in this case.”

And then at the bottom:

“It is not reasonable for my client's ability to pursue her case to be constrained by your client's control of her access to funds. Your

A

client, unlike mine, has significant funds available to him in order to meet his legal fees, and there are ample resources in this case to enable each of our clients to meet the legal costs that they incur.”

Q. Your response on 1638 ----

A. 1638 is the Bank of Jackson Hole, yes?

B

Q. Your response is to speak to the Bank of Jackson Hole, which will then lead to them, first paragraph,

C

“... based on recent conversations [with you] it has come to the Bank's attention, your financial condition, which was relied upon as a base for the approval of the existing loan you guaranteed with the Bank of Jackson Hole is materially deteriorating.”

D

Bringing those threads together, here is a question: you knew that Nadia did not have liquidity to fund litigation expenses and, she said, living expenses. That had been foreshadowed over a number of months in correspondence. Your response to that was to alienate almost all of the liquidity in the case by paying down the mortgage. That was wrong, was it not?

E

A. I don't believe it was wrong. And I was not trying to do what you just said. I was trying to protect our assets. Protect our assets - our joint matrimonial assets. We had borrowed more money. This is the bank that has lent us the most money ever in my life, and now they will not talk to me anymore because Nadia has sued them in Wyoming. They will not consider rolling the existing mortgage, but keeping the mortgage as of today.

F

Q. Look at 1650, please.

A. 1650.

Q. 1650, yes. An email from you to Nadia and to Nadia's then solicitors, Withers.

A. When I was in self-represent, right?

G

Q. Yes. You say how much you spent in the first paragraph. You then say:

“... to save on legal fees, which continue to deplete our joint assets, I have decided to self-represent myself legally in the matter of this divorce.”

H

I just pause there. One of the things ----

A. Sorry, you went too fast. Sorry, Mr Molyneux.

Q. Sorry, I was just reading those first paragraphs?

A. Which one?

Q. The first paragraph of the letter,

A

“Dear Nadia, we have now spent \$2 million on legal fees and third-party fees in the divorce in less than two years. Our lawyers are expecting us to spend another 250,000 at the next direction hearing, another 700,000 at the final hearing, and we have lost over \$8 million between crypto and Coinbase shares. Therefore, order to save on legal fees, which continue to deplete our joint assets, I have decided to self-represent myself legally in the matter of this divorce.”

B

A. Correct.

Q. Okay. One of the things that you say you should be given credit for, or should be penalised against Nadia, is that you have saved money by self-representing in circumstances in which she has continued, wherever possible, to instruct solicitors. But you understand, do you not, that from the moment she took out the litigation loan with Detach, it was a condition of that that she was represented, that she could not self-represent?

C

A. And yet she was represented, and then she -- the first time she was not represented in the hearing was on March 14, 2020 before Justice MacDonald. And, as I said, it was a misrepresentation to me of her financials that forced me to sell the assets and pay back the mortgage.

D

Q. At 1650, you misrepresent your motivation, do you not, for repaying the mortgage, which you explained to his Lordship was driven by a fear of escalating funds and the availability -- sorry, fear of the escalation of legal fees and the easy availability of liquidity to meet them. Because what you say here, in contrast to the evidence you have given today, is, at the bottom of page 1650:

E

F

“We have two Wyoming properties which the last value is north of 7 million, and four apartments in Williamsburg worth roughly 3 million. Given the massive increase in interest rates that we are witnessing in the US, the 30 year mortgage is now above 6%, the collapse of the British pound, the escalation of the war in Ukraine, I thought it only prudent to protect our assets by reducing their large debt burden maturing in less than three years. As a result, I have taken steps to repay as much of the mortgage as possible. You should also note that the valuation of the Wyoming properties are dropping in value and the next valuation will be closer to 6 million. Accordingly, the 5.72 million that we had in joint debt has now been reduced to 1.77 million.”

G

H

You then explain how that has been achieved. The reason that you were doing this was to put maximum pressure on Nadia in circumstances in which she had no liquidity at all and you did you not really want her to be represented, did you?

A

A. That is not true. I was trying to have her communicate and engage properly. This is -- may I answer or is this just ----

MR JUSTICE MacDONALD: Well, I think I understand your case about how hard you tried to engage. Yes.

B

MR MOLYNEUX: Could you just look at 3017, please. Actually, before we do that, there is just one final thing in relation to paragraph 1. It is page 1651, three paragraphs up from the bottom. You say there in your letter to Withers and to Nadia:

C

“While repaying the Wyoming mortgages I have not changed the value of our joint assets. It secures a steady stream of cash flow that will come from the property rentals. Given the enormous capital depletion of the past two years, I will also soon no longer be able to send you £2,000 per week and further pay for the rent in Cheltenham from our capital.”

D

So you were saying in terms that there was a risk for Nadia that you would stop or reduce the amount of maintenance that you were paying. Was this not an attempt to put her under intolerable pressure in these proceedings?

E

A. I don't recall. One second. I am just trying to frame it. Which paragraph are we just reading?

Q. It is the third paragraph up from the bottom. on page 1651.

A. Yeah, but then you have to continue reading, right?

Q. Just answer the question. However you want to answer it, just answer it.

F

A. No, I was suggesting that we had no more capital, and therefore we were going to have to use the income from the property to meet our day-to-day need. Nevertheless, we would both receive 100% of the rental property income after a minimum debt service because the debt was repaid, which would allow us to get about the same amount of money that we were getting at the time. So, she was going to be able to receive exactly the same amount of money, except it was not going to come from capital depletion because there was no more capital to deplete -- and it was going to come from the income of the property. That's what I was suggesting.

G

Q. That was the autumn of 2022. Look at 3017 please.

H

A. Three -- slowly ----

MR JUSTICE MacDONALD: 3017?

A. Sorry.

Q. Okay?

A

A. 3017.

Q. Yes?

B

A. You know this -- I am not as witty as Mr Molyneux and I am happy to come back tomorrow and stay overnight. I mean I don't need to watch this because I don't want to make mistakes. I don't want to make -- I don't want to say the wrong thing and I will be taken off guard. I would appreciate -- I am happy to come back tomorrow.

Q. I understand that, but the court also has other cases. Yours is not the only case that I ----

A. I understand.

C

MR MOLYNEUX: 3017?

A. Say again

Q. Paragraph 8, 3017: "On discovering ----

A. 3017.

D

Q. 3017?

A. I am there. 3017. Yeah.

Q. So we have seen what has happened. You ----

A. This is what?

E

Q. We have gone through the narrative of discussions with Bank of Jackson Hole of the disposal of the other liquid resources, of paying down the mortgage for the reasons that you say in your previous evidence. Then at 3017 you say:

F

"Upon discovering the lost and sequestered crypto account with Xapo in March 2023, I proceeded to recover the funds and used most of them to further reduce the joint mortgage by another \$361,000, bringing the outstanding mortgage balance to 1.45 as clearly articulated in my statement of 10 April."

G

You were doing this, were you not, to make it as hard as possible for the courts to help Nadia in the context of applications for legal services and maintenance pending suit and in order further to heap pressure on her. That was your motivation ----

A. No, no, no.

Q. -- when you found this money you did not even know existed.

H

A. Not at all. So we got a mortgage on the basis of property that we had with not enough income. I am not a US resident. I don't have income, she doesn't have income. It is very difficult to sustain a mortgage in the United States without that. We got lucky to have a mortgage from Bank of Jackson Hole. She decided to litigate with the bank. So

A

my number one -- and I wrote this in one of my statements -- that the cost to repay the mortgage back in 2025 requested us to pay back \$120,000 a month from that point onwards. So, any money that I had that was free, I was going to use to repay the mortgage. I have articulated it, expressed it, and would continue to do this today.

B

Because I do not want to be left at the end of the maturity of the mortgage with the bank having to foreclose and sell our assets at whatever price there is out there, and therefore we would lose that much more money for both of us.

Q. So, in the context of this divorce ----

C

A. Yes.

Q. -- where you had indicated that it might be hard for you to continue to meet your maintenance obligations at the current level, and whether you knew that there were live issues about how Nadia could fund her litigation costs, you thought it was reasonable for you, having discovered this forgotten \$360,000, to use it to pay down the mortgage even further?

D

A. Because paying down the mortgage increases the income from the property and therefore provides us with more money for each of us to have every month, every time you get the income instead of having the capital sitting idle.

E

Q. Look at 2856 please.

A. 2856. This is from Chris Panco(?).

Q. Yes. 20 October 2023, the first paragraph:

F

“As you are aware, there are significant issues with respect to the lack of liquidity in this case, which impacts the party's ability to meet their respective interim needs and legal fees. Indeed, it would appear that even with access to the funds that are currently frozen and those available via borrowing against the Penn Mutual policy, there are insufficient resources to meet both parties' legal fees and living costs until the conclusion of the final hearing.”

G

Is that not your solicitors acknowledging a problem which was entirely of your creation?

A. Not at all. Can I explain or ----

Q. Answer the question as best you wish and then we will move on.

H

A. So this is an email that came right after what was called the *ex parte* application on the day of the meeting that we had on September 9 in front of Justice MacDonald. His Lordship is very familiar with what happened. At the judgment of June 6th, when the LSPO and MPS was obtained, I was self-representing. Mr Ewins proposed to send a

A note to the court with 17 errors in nine pages. And in it, there was a list of liquid assets. Amongst those liquid assets was savings and investments, which was the savings and investment that is on my ES2 that still today are non-liquid investments. And the third item was the Penn Mutual policy. And so in the judgment, it was stated that I had ample liquidity to meet both the LSPO and MPS and my own costs. And I should have, and it was repeated to me twice after that in judgments, that I should have appealed. And I didn't appeal based on advice that I had received because I had the Penn Mutual policy. And that is why I didn't. And this letter was to address exactly that point.

MR JUSTICE MacDONALD: Yes, thank you.

MR MOLYNEUX: We looked a moment ago at the letter which you wrote in the autumn of 2022, at the time when you said that you were self-representing. Can you just look at 3161, please?

A. 3161.

Q. At the very time that Nadia was telling you that she was concerned about how she was going to continue to meet her litigation costs and you were reducing liquidity, so throughout that middle and latter part of 2022, right up until April 2023, you were using marital resources to fund your own litigation costs, were you not? And that is a "yes" or "no" answer.

A. So, I had lost representation with HFC around -- I want to say October, early October, end of September, early October, 2022. In 2022, I was in Wyoming and I was tampering with the idea of self-representing, but it would have been my first meeting in front of a high court judge. And therefore, I was advised to use Camilla Baldwin ----

MR MOLYNEUX: My Lord, can I recast it in a more straightforward way?

MR JUSTICE MacDONALD: Yes.

MR MOLYNEUX: (To the witness) Because I am just going to read this back and I want you to tell me -- tell his Lordship what is wrong. 3161, okay, paragraph 7.

"I note that Karim has constantly made false representations, false statements to the court regarding his legal expenses and claims of being without legal representation in order to shift focus to my legal expenses..."

-- writes Nadia, in this statement.

"For an example, in an email to the court dated 7 July 2023, Karim states,

A

‘I wish to confirm that since the date of 18 November 2022, I have not engaged any legal representation with the United Kingdom. Furthermore, there has been no shadow representation on my behalf during this period.’

B

“In Kareem's recent disclosure of costs incurred with respect to legal advice and divorce and financial proceedings and Wyoming litigation, it is, however, clear that Karim was represented by Camilla Baldwin during that time.”

And then there are a list of figures and the periods to which they reference and its:

C

“Account billed £130,000. Account paid: £130,229. Throughout this litigation, I have been trying to persuade the court to make orders to preserve assets of liquidity whilst Karim has been dissipating assets.”

Focus on the first bit of that. What is incorrect about what Nadia says there?

D

- A. So Nadia says that I was represented for the hearing on November 17. On November 18, I signed the form to be self-represented from Camilla Baldwin. She -- and I have not paid her any money between that and post-LSPO MPS. What Nadia mischaracterised is the 1,400 credit, she thought that was a debit to her, and then the 19,000. She believed that the amount paid -- well, it is a negative sign of \$18,148 in January to June 30, 2020. It is Camilla telling me back what she owed me. And Nadia thought I was paying Camilla. She said that on two statements, but it is me getting back money from Camilla because I had overpaid her and was not using her services. So, we went through this in -- I think Justice McDonald and in the last -- in either September or November 1, there was a request because ----

E

F

Q. I can see the judge nodding. So it may be that we can move on, if we are already across this one.

G

- A. Yes, because I discovered ChatGPT, and if you can tell the difference between my writing before when I wrote to Nadia and the email you mentioned yesterday, and after that, there was a completely different change of language because ----

MR JUSTICE MacDONALD: I have the point.

H

MR MOLYNEUX: Just moving on now to a different topic, have you rectified the tax returns? Have they been submitted to the IRS, because there were a number of errors in them, were there not?

- A. Okay, so there is an email that I believe you have that was sent by my accountant.

Q. Zack?

- A. Zack.
- A Q. Yes. He said it is going to be done ----
- A. No, this is not controversial.
- Q. He said it is going to be done?
- A. No, the 2022 were done. They were fixed. The 2020 --so the tax return was 2020, 2021,
- B 2022. 2022 was done the way Nadia wanted to do. So, we fixed the -- and this is a glitch from the system. There is nothing untoward in what was done. 2020 and 2021 were sent from Zack to Jeff Wilkinson in August and Zack has asked Jeff: "Would you like us to refile?" I mean, "Please tell us what you think?" and there has been zero
- C answer. He's chased it. Zero answer. So there's a lack of desire on engagement for Zack to tell -- for Jeff to tell us whether he wants us to refile those taxes or not.
- Q. Mr Zahmoul ----
- A. My accountant ----
- D Q. -- let us make it uncontroversial, okay. I just want to understand which returns have been filed ----
- A. 2022 is the first return.
- Q. That is with the IRS now?
- E A. Yes.
- Q. All done.
- A. Yes.
- Q. 2022?
- F A. Yes.
- Q. Okay.
- A. And she has it and I mean -- and she was asked to check it, but we don't get answers back. So, I mean, I'm doing all the work. She's welcome to do the work if she wants to
- G return it to be the way she wants it. But I am doing all the work. I sent it to her for approval, and I don't get anything back.
- Q. So, are you saying that it has not yet been filed?
- A. No, it hasn't ----
- H Q. -- and it's Nadia's fault.
- A. The 2022 has been filed. 2021 and 2020 have been filed in the way she believes are incorrectly filed. These filings have no consequences. Refiling them raises the risk of audits, which my tax advisors suggest we don't do that, because they have no

A

consequences. We're talking about the filing of entities that have nothing to do with our personal filing. It's just the entities that own the property, which then gets fed into the personal tax return, whether it is hers or mine. Mine is a non-resident tax return so it is not relevant that it says that I have a US address which defaults into a US citizen person. It is not that relevant from a tax perspective now. You need a tax expert to tell you this.

B

So, to answer your question, 2022 has been filed the way she wants it. 50/50 on the mortgage and the right amount of -- a proportioning of the residual mortgage.

Q. Focus on the question, Mr Zahmoul. Listen to the question: 2022 has been filed?

A. Yes.

C

Q. Okay. 2020 and 2021 ----

A. But they ----

Q. -- have not yet been rectified because you say that rectifying them risks exposing ----

A. Risks ----

D

Q. -- exposing them ----

A. But we haven't ----

Q. -- and still reinvestigation.

E

A. Okay. We have -- we have redone the 2020 and 2021, sent them to Jeff Wilkinson for approval. He has never returned back to us with anything. So even if we wanted to refile them, we don't have the approval for her, that she's okay for us to refile them the way they are now.

F

Q. I will have to take instructions on that very briefly in a moment.

A. But the emails -- the emails are in the bundle.

Q. The position, Mr Zahmoul, you can tell his Lordship whether this is right, is that nothing in any of those returns would be relied upon you to thwart any order that his Lordship makes in relation to those properties?

G

A. They are tax returns.

Q. Can you just answer the question?

A. No.

H

Q. Nothing -- because in those tax returns, it misrepresents who the loans are attributable to, your respective partnership shares, who is the managing partner ----

A. No, it does not.

Q. -- your nationality.

A

A. No, it does not change the partnership shares of the ---- No, Mr Molyneux, you're saying things that are incorrect. You are repeating things that are being told that are incorrect. The partnership returns -- the percentage of the partnership ownership is the same. The only legal document that determines how much money we owe, and we are joint and several owners, is the legal document between us and the bank. The tax return, if they're false, okay; it's a mistake. They're false. We can fix them. They have been fixed in 2022, which is the only one that matters now. So, the latest one filed.

B

Q. Mr Zahmoul, this is meant to be really uncontroversial, okay? I just want you to be able to reassure your wife that you will not rely on anything. I know you say you could not anyway, but you will not rely on anything in those tax returns to thwart the implementation of any order that his Lordship makes. That would not be something that you would wish to do.

C

A. It is not possible even if I wanted to do it.

D

Q. Thank you. Look at 875 please.

A. 875?

MR JUSTICE MacDONALD: Yes.

A. I am there. I don't know what that is.

E

MR MOLYNEUX: Paragraph 69. It is about Ambulance.

A. I am trying to understand.

MR JUSTICE MacDONALD: 875?

A. Yes. 18 February 2020.

F

MR MOLYNEUX:

G

"I emailed Karim back with my view on the companies at Ambulance. A copy my email is enclosed at page 318. Shortly afterwards, I recall that Karim made a capital contribution of \$50,000 in Vas Venture Healthcare LLC, a special purpose vehicle set up for the sole purpose of investing in Ambulance. I remember him saying that he received a membership interest in the LLC. I recall that Mike Deeg invested in the start-up as well."

She is right about that, is she not?

H

A. Which aspect because she said three things. So I don't know which one she's right about. She said two things. Mike Deeg, me, and ----

Q. She is right about the entirety of that paragraph?

A. No, she's not right.

- A Q. Would you like to tell his Lordship which bit she is wrong about?
- A. No, she's not right.
- A. Mike Deeg invest... Okay. Ambulance was an investment that I was considering. I couldn't do it because I was based in the UK and the entity that was selling it was not allowed to solicit business from UK-based people. Because my wife is American, I offered that she becomes a shareholder instead of me. They said no because she lives in the UK, so we ended up not doing it. Then there was this infamous spreadsheet that I sent her on May 2017 that had Ambulance -- and the idea was me and Mike Deeg... I had invested in Blackstone Special Opportunity Fund, and Mike Deeg was going to give me \$25,000 of his Ambulance investment ----
- B
- C Q. Shall we looked at it?
- A. Say again?
- Q. Is it easier to look at it?
- D A. I mean, I remember it. To look at which one?
- Q. It would be easier for his Lordship if we look at it. Do it sequentially and then you can explain your position. 1079 please, 1-0-7-9. So 15 November, you to Nadia, "Ambulance".
- E A. 1079. No, sorry, say it again.
- Q. 1-0-7-9 is an email from you to Nadia in which you attach the investment summary in relation to Ambulance and you say: "Let me know what you think."
- A. Oh yes.
- F Q. And her response to that is at 1193. It is the following day. She says: "It looks very interesting."
- A. Yes.
- Q. "Large market, good demographic trend, fragmented and inefficient."
- G A. Yes.
- Q. "If I were you I'd also understand better the relationship with MedicAid and MediCare..." etcetera. Okay. Then at 1472 there are some emails passing between you and Doug Chertoff ----
- H A. From Vas Venture.
- Q. -- on 11 November 2016. He says -- "I am sorry, terribly sorry", This is 1472,
- "I am terribly sorry to report that unfortunately Vas Ventures Healthcare LLC legal compliance has determined it cannot accept the

IN PRIVATE

A subscription documents that you submitted because you are based in the UK. The Funds Council has advised the Fund cannot accept any investments from potential investors based in EU countries due to the AIFMD.”

And then your response overleaf is:

B “I just saw this email after Mike mentioned something from a conversation with Nikhil. I am not sure I understand/follow what you are saying. What exactly is the recipe for investing here? I am not compliant, but I want to approve the investment if that helps. I work for an AIMF. I am not sure I understand your explanation. My wife is a citizen. I can put it under her name.”

C He replies on 15 November -- sorry, you then -- he replies on 14th,

“Karim, can you give me a quick call and we can sort this out ASAP.”

D You say, “Apologies, I was already asleep.” “Please call me when you wake up.” He says,

“Hi Karim, I will be able to talk if you have not contacted with Nikhil, or have questions.”

E And that is pretty much it in relation to Ambulance until we get to -- and there will be a question at the end of this -- until we get to the spreadsheet at 1387. At 1387 we see a spreadsheet that you produced and gave to Nadia in the May of 2017?

A. Excellent.

F Q. In which you say there at the bottom, “Ambulance, US \$25,000”, which is half of the 50. “VC investment via TRS”, which is “total return swap”. I think is what “TRS” stands for, “with Mike Deeg. Contact Mike Deeg.”

A. Mmh.

G Q. So six months later, after this exchange, where you are looking for a solution, you include that on a spreadsheet. You say you got half interest in the \$50,000 which were invested. You say this is being done via a total return swap. That is what happened, is it not?

H **A.** No.

Q. You do or did have an interest in it?

A. No.

Q. Why? Explain to his Lordship why.

A

A. So the total return swap that I was -- so basically this link to a spreadsheet that was on my Google Drive was sent to Nadia on May 17. Just above -- this was a subject to -- this was presented to his Lordship on the first hearing by Simon Webster. We went through this in detail at that time.

B

Q. So, this is the first time that evidence has been adduced and you are being cross-examined on it, so I am going to ----

A. Oh okay. No, no. I am not saying this to stop you cross-examining me on it.

Q. -- continue to ask questions.

C

A. I am telling you so I'm giving you background. So just above that investment is a \$75,000 Coinbase FF series FF, just so we are clear. This is the spreadsheet that I sent a link to Nadia in 2017, that she sent back to me in March 2022. to say that I hadn't disclosed this investment. Now, the total return swap that Mike was going to do with me was for me to take \$25,000 of Ambulance and he was going to take from me, because the total return swap to be cashless so that we can both share the same thing, was against the Blackstone Special Opportunity Fund that is a little -- just 2016, just four lines above this, "Blackstone Special Opportunity Fund," which has been disclosed. I haven't given \$25,000 to Mike Deeg, and this has been basically the difficulty in putting between two individuals, something that we did at work all the time between institutions, which is a total return swap, turned out to be a lot more complicated for tax purposes because American I'm not; what would have happened to me if I moved; if I didn't move etc.

D

E

So, we decided after six months of consideration not to do it. Now, Mike Deeg has written an email to the court to Judge Cope on May, on July 13th, explaining exactly what happened, explaining that the total amount of money that he made for his \$50,000 investment was \$100,000, or for his \$100,000 investment -- it was liquidated a year ago or two years ago, where he doubled his money. And so there is an email that I am sure we can show later that dates back from an email from Mike Deeg on July 13, 2020, just before the hearing, in front of Judge Cope with you, Mr Molyneux, where he actually states what he made with the investments. This is public information when they went public. So, it's also public at what valuation he went in. So, he doubled his money and there was no... And I did not participate in it because I couldn't.

F

G

H

Q. Just a couple of questions in relation to lifestyle. During the course of your marriage, you had a very, very high lifestyle, did you not you?

A. Yes, unfortunately, yes.

A

Q. I mean, I think the spending was 942,000 is what AG tax ----

A. Yeah, it was -- we have seen.

Q. You have an ability to generate in the future money, whether that is from earnings or from investment, in a way that Nadia does not.

B

A. I don't think that's true.

Q. And at 50-50, which is ----

A. I am a white -- I am a white 58-year-old male that is not employable anymore. And Nadia is a woman that is basically being seeked(sic) after. One of her best friends is from UCL, as you mentioned yesterday. He's on the board -- he is a CEO of one of the largest publicity companies in the world. I forgot his name.

C

Q. Mr Zahmoul, is it really your case that Nadia is going to be able to ----

A. She could.

D

Q. -- self-generate income. Is that really your evidence to his Lordship? That she can get a full-time job ----

A. Nadia ----

Q. Just listen to the question?

E

A. Yes.

Q. That she can get a full-time job and be entirely self-sufficient through earning money. 40 hour a week, whatever it is, more.

A. I believe that Nadia can generate revenues, yes. Nadia is very smart.

F

Q. What is your case? How much do you say she can earn and what do you say she should be doing?

A. So, I can compare it to women peers of mine that have been in the industry that have reinvented through universities or through -- and gotten jobs. Marsha Kutkevitch is my partner with Emviry. She hasn't worked for some time.

G

Q. But she is not Nadia. Focus on Nadia. You know Nadia. You have seen Nadia. His Lordship has seen Nadia. Do you think that she can get a job now, full-time, working, be self-sufficient through income -- because I am going to be saying to his Lordship that (a) she cannot, and that (b) she is going to need more than 50 per cent of the assets in any event to meet her income needs and her housing needs. And you have an ability to do that by working and doing stuff that she does not. Is that a fair submission for me to make?

H

A. No, I don't believe so.

A

Q. Why not?

A. Because Nadia is a lot, a lot smarter than you think.

B

Q. One of the things that you seek an adjustment in relation to is the loss which you made on Coinbase and on your cryptocurrencies by not selling when higher. I am paraphrasing. You ask his Lordship to make what you describe as “an appropriate adjustment”. What is that adjustment?

A. This is what his Lordship says.

C

Q. Well, it is for you to help his Lordship by identifying what you think a fair manifestation of that bad conduct, as alleged by you, would be. You made the judgment call to sell this, did you not you? Nadia had no input at all in the sale of that.

A. Because she didn't that.

Q. She did you not want you to sell it.

D

A. Or did she not? She didn't say that. When did she say that? If she did not, she didn't say anything. I was trying to get any engagement from her -- any engagement. Hello.

Q. Sorry. I am being asked something.

MR JUSTICE MacDONALD: Yes.

E

MR MOLYNEUX: (To the witness) The circumstances in which you sold them in the autumn of 2022, that was without any notice at all, was it not, to Nadia?

A. It was without any notice. I won't deny it.

F

Q. You also seek an adjustment in relation to the wear and tear on the property, because you did you not get all of the deposit back. You say that that should be, I think, £20,000 because you say that Nadia did not look after the property? You have been in that property, or the children have been in that property, for nine years, had they not?

A. Not quite.

G

Q. It is reasonable wear and tear.

H

A. No, no. Actually, I haven't had a chance to look at the bill's properly, and as I resend them to Nadia last time around in the conduct statement, I realised that the landlord was taking advantage of some of this stuff. So I'm going to be pushing back hard. He was asking us to pay for (inaudible) that have never worked -- that was never used, that Nadia never actually used on the walls. He was asking us to do things that are true wear and tear, and so I'm going to be pushing back on some of that.

Q. So, can I push back on that conduct allegation? Is that something which you are pursuing? You have set out the money that you want from Nadia.

A

A. What I have set out is that she was given -- his Lordship had provided for MPS that was meant to cover certain things. And none of them -- Nadia was not only using that, not only sold my watches, not only didn't tell us that she had borrowed 40,000 pounds from Detach, was continuing to borrow money, which we do not know how much, from her father. It was £2,000 pounds a week, but it increased and increased. It was supposed to be "*aid de famille*", which means help, which means gift money. But I don't know if she's not giving us -- she's telling us nights are long because on the US tax, it's a fraud to say that you don't have -- if you receive gifts from foreign parties, it is illegal not to report it.

B

C

Q. We are moving on to a pretty narrow question?

A. I understand but ----

D

Q. I do not think you do understand because you are dealing with something entirely different. There is £19,950 which you say is bad conduct and that that should be paid by Nadia because you say that she did not look after the property before ----

A. Well, I guess ----

E

Q. Just pause. As I understand it, you are now telling his Lordship that you want to push back against the landlord -- or you feel that their retention of those monies has been unfair?

A. Yes, some of it, some of it.

F

Q. Please listen. I want you to tell his Lordship whether you are still persisting with seeking £19,950.

A. I am persisting in... What you -- how did you say in ----

Q. £19,950.

A. No - what's the word that I was -- persisting in trying to get 12 of 19 because I believe 7 of 19 are an overcharge.

G

Q. Fine, that is the answer to the question?

A. Sorry.

H

Q. £144,000 in relation to continuing interest on the litigation loan. Can you agree with me that the costs, the bulk of the costs in this litigation are costs for which you -- Nadia's costs -- are costs for which you are responsible because you did not make proper ongoing, adequate and complete disclosure in these proceedings. You are the one who is responsible for that, are you not?

A. I do not believe so.

A

Q. You do not believe so. In relation to *Imerman*, you say that reviewing the *Imerman* documents cost £25,000 and was unnecessary and that £25,000 should be paid by Nadia. Could you look at page 87 please?

A. 87. Yes, I am there.

B

Q. It is a transcript from one of the earlier hearings, I think, in front of HHJ Cope. In fact, it was August 2021, and there, half-way down, it is talking about *Imerman* or the *Imerman* documents. Mr Rainer makes a submission and half-way down Mr Blatchley says:

C

“It is wrong, is it not? I mean you have got law on this, the *Lucas* directions. Someone is not necessarily lying because they take a different view of when someone is separated.”

The Judge says:

“Actually, how do you say it should be dealt with, Mr Blatchley”

D

-- and you(sic) said:

E

“Well credibility for each party is always an issue. I am not going to ask the wife to produce a birth certificate to confirm when she was born. I am going to assume she is probably right about that because it is not going to affect an iota of the case. The correct way to do this is the laptop goes back to HFC, as it may already have done. We conduct our own independent assessment of what is disclosable and relevant and we disclose it. If Withers are unhappy with that, there is authority on this. They can make an application for the court to instruct special counsel to review those documents and take a view of it. It happened in two cases before Coleman J.”

F

The treatment of the *Imerman* documents was the treatment that you, through your barrister, was contending for as long ago as August 2021. So, for you to criticise Nadia for the costs incurred in that exercise, is unfair, is it not?

G

A. I don't understand what you are saying, I'm sorry.

Q. What I am saying is you ----

A. I don't understand ----

Q. -- were inviting the judge ----

H

A. I don't understand any of these things. This is quite beyond me, I'm sorry to say.

Q. So it is not meant to be beyond you. If I am expressing it unfairly, I can try and recast it in a more user-friendly way.

MS CAMPBELL: My Lord, if I may say this is a legal argument and it is clearly set in terms of what should happen, and Mr Zahmoul should not be expected to understand that.

A MR MOLYNEUX: Well, I do not think that is fair because he is able ----

MR JUSTICE MacDONALD: Have one more go, Mr Molyneux.

B MR MOLYNEUX: I will. (To the witness) You were saying through your barrister that the *Imerman* documents should be reviewed by HFC, and then HFC could disclose back whatever was required. So, that was the approach which you were contending for?

A. Mmh.

C Q. Okay. There were other things that could have -- other approaches that could have been taken in relation to this, in terms of relevance, etc, but that was what happened. If the judge agrees with that submission, I am going to be saying it is unfair for you to suggest that Nadia is responsible, because it was your side's idea. Is that fair -- or can you not comment?

A. I don't understand.

D Q. Okay. I am not going to press that again. I can see it is exactly 3 o'clock. Can I just see whether there is anything very urgent that I need to deal with.

MR JUSTICE MacDONALD: Thank you.

E MR MOLYNEUX: (After a pause) Just two very, very quick points. The first one in relation to you saying that you would dispose of or that you would sell. So I think you said: look, I said to Nadia, in November of 2021, we sell everything now at this high point in the market and then we lock in the gains, and she did not engage with that. And her response is that other correspondence passing at that point was talking about dividing everything *in specie*. So, it did not seem so pressing to lock in because she did not want to lock in. She wanted to ride the market, which was one of the proposals that you were making. So it is unfair to criticise her for the losses incurred by her adopting your approach or your alternative approach, which is divide *in specie*. That is fair, yes?

F A. No, not at all. So we are talking about crypto and Coinbase, just two very specific assets, not everything *in specie* -- not VC, venture capital. Nadia -- I have WhatsApp messages from 2016 when Nadia wanted me to sell Bitcoin. So I don't agree with this, what you are saying at all. This was the all-time high in Bitcoin and the all-time high in Coinbase. It went back to the level that pre-IPO, or just about the IPO level. So it was the optimal time to sell it. And I reached out to her to sell these two assets, not everything that we have, not *in specie*, not my Apple shares, not my oil shares -- just these two assets.

A

Q. But you only know that it is the all-time high three years later, do you not, or two and a half years later? That is the great thing about investing, is it not? You can look back at the graph now and see that was a great time to sell.

B

A. No, but there was also a big divorce going on where a lot of money was spent. So, it was just like -- and then we had a 5.72 million mortgage that, you know, I was -- it seemed I was the only one responsible for in her mind.

C

Q. And then finally, Nadia tells me that in relation to the *Imerman* documents -- I am not going to spend too much time on this -- but in relation to the *Imerman* documents, the extent of the inquiry carried out by HFC was greater than that which she was suggesting should be carried out, because I think there were three or four ----

D

A. No.

Q. Just listen; there were three or four files and she was suggesting that one should be reviewed by the lawyers and she did not require the others to be reviewed because she knew the contents.

E

A. And is that my fault?

Q. And HFC insisted on examining all of them, so the costs were not costs that she required.

F

A. I think HFC felt they had to the court. They had to do what they had to do, is what they told me. Nadia told me that they shouldn't -- Nadia had agreed that, for instance, she talked to the court about the computer yesterday, which is just a small phone computer I had given my daughter. There was nothing on it. She told me: oh, I never said they shouldn't look at that. And then we should take it back. I mean, I have a voice conversation with her when she said that. And now yesterday it became like one of the core centrepiece of the hidden assets. So, I do not know what to understand by what you are saying.

G

Q. You will understand, I am not criticising Mr Zahmoul at all for this, but I have not been able to cover everything that I might have wanted to cover. I think Ms Campbell nods when she references the discussion we had about not holding that against each other in terms of submissions.

H

MR JUSTICE MacDONALD: Yes.

A. Again I -- I don't want this to, I guess, hurt me ----

MR JUSTICE MacDONALD: It will not, Mr Zahmoul.

A. Thank you.

A MR MOLYNEUX: Thank you. I do not have any other questions.

MR JUSTICE MacDONALD: Mr Zahmoul did mention to me, *sotto voce*, that he would appreciate a comfort break.

A. But I can hold it.

B MR JUSTICE MacDONALD: Okay, well, I think then we will keep going. We will keep going.

Re-examined by Ms CAMPBELL

Q. Go back to page 2369 please, Mr Zahmoul?

A. Yes.

C Q. This is just in relation to that last point Mr Molyneux put to you about Mrs Zahmoul was confused. Did you want to sell everything or split everything *in specie*. And as you indicated in reply, you were saying here, "Do you realise that between the two..." -- and you are talking about Coinbase and Bitcoin, "... the appreciation we have experienced over the last month..." -- and you talked about \$10 million. And that is the letter that you have just referenced to Mr Molyneux. What was Mrs Zahmoul's reply to this?

D A. No reply. There was no reply whatsoever.

Q. Would you have a look at 2856, please?

E A. Sure.

MR JUSTICE MacDONALD: Two eight ----

MS CAMPBELL: Five-six.

MR JUSTICE MacDONALD: Thank you.

F MR MOLYNEUX: (To the witness) You have a letter there from your solicitors and Mr Molyneux put this to you to reference your request to access the Penn Mutual. Can you have a look at the very final paragraph on that page? There is an alternative way forward, it says on your behalf. "... and on the basis that there appear to be no issues referable to the identity and scope of the party's real property, my client is making the following open offer on an interim basis dealing only with the transfers of property..." I know his Lordship will be familiar with this, there you were proposing that one party takes one property in Wyoming and one the other; and you are talking about a gift fair, so there would be no tax on that, and then the Frost Street apart would split in half. And what was Mrs Zahmoul response to that proposal as a way of accessing liquidity in her own property.

A

A. So I made that offer as early as before the meeting with -- the first meeting in the High Court through Withers first on October 21 and explained to Dan Bloomgard many times that we had Nadia Harry, who was our 20 year real estate lawyer who said it could be done within a week. And just Nadia believed that I was trying to siphon away property.

B

Q. So just in answer to my question, here was the proposal. What was her response?

A. That it was that I was trying to do something nefarious.

Q. She thought it was nefarious, so she did you not take you up on that. Would you have a look at 1599, please? 1599.

C

A. Yes.

Q. You explained just now that you had made that first offer about splitting the properties, so I think you could mortgage them earlier on in the litigation. But you also made this proposal -- this was back in 2021 when the discussions of the loan were being aired.

D

You said this after the Fidelity account had been used.

“Thereafter, once the total balance of the accounts is reduced to say 20,000, my client will agree that your client can draw funds from the Bank of Jackson Hole account to discharge bills monthly, up to the cap of the legal fees incurred by my client for the equivalent period on a pound-for-pound basis.”

E

What was Mrs Zahmoul’s response to that offer?

A. I think, Mr Molyneux read it: “Too little too late.”

Q. Too little too late. Would you have a look at 2283, please? I probably do not need to worry about you getting to the page and ask the question if you are happy.

F

A. Yes, I am.

Q. So at 2283, this was the reference to the Bitcoins that you discovered in the Xapo account?

G

A. Yes.

Q. And Mr Molyneux put to you that effectively, how could you forget three or four hundred thousand dollars’ worth of bitcoins? But when you left those bitcoins in the account, and we have seen it was November 2017, what were the Bitcoins worth in 2017? Was it for three or four hundred thousand dollars?

H

A. Seven thousand per Bitcoin.

Q. So seven thousand per Bitcoin.

A

A. A hundred thousand -- a hundred and twenty thousand. But the true -- the reality and mentality of this is that it is the same Bitcoin I gave my daughter, I gave Nadia -- I got this Bitcoin for 150 to \$300. So this is kind of the source of these Bitcoins. They come from mined Bitcoin, and Bitcoin that I bought very early on when I had these PayCoins - - this PayCoins account, and they were obtained at an extremely low dollar price. So, it is not like I looked at them as worth how they're worth today.

B

Q. Thank you. And have a look at 2838, please?

A. Yeah, 2838?

C

Q. 2838.

A. Yes.

Q. Mr Molyneux specifically asked you about this transaction on 29 July 2017. And this reads across on that date -- I do not know if you can see it, it is about the middle of the page. It is 07/29/2017?

D

A. Yes.

Q. "My wallet". You sent Bitcoin -- and then it gives the address, and we can see minus one bitcoin at about \$2,706. Have a look at 3651 please, and that was your Zahmoul.net address we were just looking at. Now look at 3651, which is the Zahmoulka@gmail address?

E

A. Yes.

Q. And can you see the fifth item down, 29 July 17?

A. Yes.

F

Q. You received Bitcoin. There is the one Bitcoin and we can see there \$2,705. Is that in and out? Is that what we have just looked at?

A. Yes.

G

Q. Yes. Would you also look at 3651? On this page we have already identified -- and Mr Molyneux took you to this -- at the top it says "deleted".

A. Yes.

Q. "Deleted" -- do you have any idea what that might be?

H

A. No, I think it -- I believe it means that Coinbase deleted it. It means that it has been -- it is an account that because I told him to close it down on January 24th, I think.

Q. All right. And then looking at the account statement period, we can see that is from 18 October '14 through to 15 January '24. If we just look down, start on page 3652, so over to the page ----

- A. Yeah.
- A Q. -- when the wallet is first activated, the bottom line there, because these run up in reverse, you see 19 October, there is the Bitcoin coming in, and we can just see some activity through '14, and go back to 3651; a little bit of activity in '15 and then some more in '17. And then the last activity on this account, as you answered to Mr
- B Molyneux, is on the 31 July 2017. That is the entirety of that account, is it?
- A. Correct.
- Q. Now have a look for me, please, at 2816?
- A. Yes.
- C Q. The same document that we can see. This is the French and UK address, Zahmoul.net. You have explained that because you have a French passport there are the letters "FR" there. Again, statement period we can see is from 2014 up to September 2023. And then if you look at page 2839, we can see where this begins, because they run in reverse
- D order. So, if we start at 2839, we can see the first entry there. Do you have that?
- A. Yes.
- Q. And then I want you to just scroll through these pages in reverse, so going forward in time, to the front of the bundle I think for you?
- E A. Yes.
- Q. When we scroll up we can see the dates going through to 2017, various different types of activity. And this carries on into 2018 and then by page 2835 we are into '19. And this
- F is all the activity through the Coinbase with all those various different wallets but through the same account carrying on and right back up to page 2816. And that is the complete account sent direct from Coinbase, right up to the most recent activity on that balance as the 4 September 2023?
- A. Yes.
- G Q. And that is the other wallet, the new wallet, as it were.
- A. Yes. There should be -- this was obtained right after the hearing that we had on September 7 here.
- Q. Yes.
- H A. It's the first time I updated that format, but I have obtained since then to January 10, 2024 because there is a one that is more up to date.
- Q. And you have explained that to his Lordship, yes. I just want to ask you some general questions in response to what Mr Molyneux put to you. Would you look at page 1338?

A

On paragraph 5, you have already explained to the judge about your explanation that you spoke to your solicitors in April about Coinbase. You mentioned to Mr Molyneux, in answer to one of his questions, that you believe your solicitors have not always understood the difference between Coinbase and cryptocurrency. Can you just elaborate on how you think that has been an issue?

B

A. Yes. So, I think it has been an issue in what Mr Molyneux has said in the letter of July 5 that he read out where he said that I was willing to not -- to exchange information only for the crypto assets, and so the crypto assets for them, just like for Nadia, she said that Coinbase was crypto and crypto was Coinbase. That is why she got confused in some of the emails with the bank. I believe that my solicitors may have been writing that letter, because it was very clear the instructions whether we were going to change -- we were going to change information on what had become Topanga Canyon.

C

MR JUSTICE MacDONALD: Yes we know this.

D

MR MOLYNEUX: This does risk a real unfairness to my client because you can say anything, can you not, if you say: well, I told my solicitor X, Y, and Z. They are obviously confused. I am telling the truth. They know that I am telling the truth because they have ----

E

MS CAMPBELL: I accept that. I will not pursue it.

MR JUSTICE MacDONALD: Thank you.

F

MS CAMPBELL: Mr Zahmoul, turn to page 1380 please -- 1-3-8-0. We have looked at this before, but I want to get the chronology in order. This is 2017, so we are on the 29 November 2017. This is you and your friend Mr Deeg. And you are talking about the Coinbase. And just remind me, who is in green here? Who is speaking in green?

G

A. Me in green.

Q. So this is you. "I've just invested in the Series D Coinbase, showing me numbers that they're making." And then the conversation goes on and ----

A. I do not think it's "I have just invested". I think it's just -- I don't know what's behind the 29th. It is not me investing. I didn't invest in '17 in anything.

H

Q. Okay, that is something else.

A. No, no, it is related to Coinbase, but series -- "showed me numbers that they are making".

Q. Let me ask this. Underneath, you say, "It's not right that we are not getting any info." What does that relate to?

A

A. So that relates to -- so basically we invested into Vas Venture, the entity that provided us with the Topanga Canyon access to Coinbase. And normally, when we invest in a venture capital, at an early stage, you will get financials, you will get information every so often, six months, a year. You basically get information. And here, throughout the life of the investments we never got any information. Which is why when Addidi(?), who was the wife of Mike Deeg, when she met with this guy Steve Jiang at a party in San Francisco, she was like, is this a real investment? I (inaudible) my husband and his friends that invested in this. That is why there was like an uncertainty as to whether this was a reinvestment or not a reinvestment. That is why I described this as being not a traditional residence.

B

C

Q. Okay, have a look at 1377.

A. Yes.

D

Q. This is July 2020, and you are writing to Rachel at Buena Vista. Just remind us, who is Rachel at Buena Vista?

A. She was, I guess, the associate of -- Buena Vista was the name of -- I do not know how they were related, but they were doing the back office work for Steve Yang, I guess.

E

Q. Steve Yang is.

A. The guy who sourced -- the company who sourced the half a million dollars of Coinbase series that he then distributed to people.

Q. Steve Yang organised the Coinbase purchase that went through to Pandora and Buena Vista, were giving you information related to that.

F

A. Exactly, and they are the ones who are producing the K-1 every year.

Q. Okay, you write, on 1 July 2020, "Also is there any update on the investment, as I received on only one update since making the investment in 2014?" Did you get any material response to that?

G

A. No, because it was very hush hush. They were not supposed to give us because it was -- they were the shares of the CEO of Coinbase when he was trying to get liquidity. Armstrong was his first name. And so there was no real information, ever.

H

Q. Go to 1384, please. Again, we are in 2020, we are now 13 July 2020, so a couple of weeks after the email we have just been looking at with Rachel at Buena Vista. And again, you are in conversation with Mike Deeg, and Mike says to you on the insert there, half-way down, "I think I have already told you, but Aditi ran into Steve at a party the

A

other night. She was in SF last year.” “Who?” And then you say, “Where she asked him if the investment was fake, better not be.” What does that relate to?

A. This related to Coinbase. This was what I was just saying.

B

Q. That was in July 2020. Now look at 898, please. Mrs Zahmoul has alleged that you were effectively trying to cheat her and hide that information, and in September 2021, as a request, as a result of a request made by Withers, you carried out a search of your computer and your devices. Can you just explain to his Lordship what that was?

A. So that was -- we were trying to -- I guess she wanted to know every single conversation I had with something to do with Coinbase of the Topanga Canyon.

C

Q. Mr Zahmoul, I am sorry, but your voice has dropped slightly.

A. No, sorry, it was about... Sorry. All the emails that were related, the correspondence that I had received between Topanga Canyon and myself throughout -- since from February to April 14, 2021.

D

Q. So just before the flotation to the date that you received your Coinbase shares?

A. Yes.

Q. And the documents we have been looking --0 how did we find those documents? Where did these documents come from? The conversations with Mike Deeg ----

E

A. These were just conversations that I provided to show that I wasn't sure of the investment. I mean, it is not necessarily related to this. This was email... They wanted email from Topanga Canyon to me to show that there was a lot of communication between me and them around the IPO or ahead of the IPO.

F

Q. And was there any?

A. There were some, yeah. There were some that I missed. There were some, but as I said, I was in Morocco. I was overwhelmed and I missed some.

G

Q. And everything that you had, was that sent to Mrs Zahmoul's lawyers?

A. I believe so, yes.

Q. Okay. Have a look at 1387, please?

A. 13?

H

Q. 1387. This is a document that has popped up several times, and I noticed in Mr Molyneux's questions to you, he accepted that this was a document that was given to your wife in May 2017 ----

A. Yes.

A

Q. -- and you said to his Lordship that she then gave it back to you in I think May '20 sometime later. When did it come back to you?

A. Correct. So, basically this was in May -- in March 2, 2022 Withers sent us an email saying there is another asset that you have not disclosed which is this Ambulance that Mr Molyneux just went through ----

B

Q. Yes?

A. -- and in trying to prove that I hadn't disclosed Ambulance, they sent us this document that was put together by me in 2017. In case something happened to me in one of my travels, Nadia wanted to know who she should call on some of these, all the esoteric investments I had made over the years. So Sebacco(?) was a (inaudible) of my company, so she had to call a video ----

C

Q. All right. We are short of time, Mr Zahmoul, so I am just going to ask you this. When this document was sent to her in 2017, was there any discussion about it?

D

A. I don't recall. I don't think so.

Q. And would you have a look at 1389? I put these documents to Mrs Zahmoul to suggest to her that she knew about Coinbase. This is a document in 2018 from you to her, again listing assets and there in the middle we can see investments, and there are perhaps what you have referred to as your "esoteric investments", and Coinbase is listed. What did you understand Mrs Zahmoul would do with this document? What was it for?

E

A. It was for her to know. From time to time, I guess she wanted to know what assets I had, and this was something that I produced for her. And what's also relevant here is when you see an all -- some of the investments have been all around them, which means offshore versus onshore. This is "O" for onshore. And I had invested in TON. TON was also another exchange that was going to be a potentially extremely big exchange, but it was shut down by the SSC and it was done through our common friend, Ed Isler. And this is a similar change to Coinbase. So there was no way that this could have been misunderstood as being cryptocurrencies as opposed to an actual venture capital investments of private investments?

F

G

Q. Okay. And then again look at 1392 please.

H

A. Yes.

Q. We have looked at this a few times over the last few days. Mrs Zahmoul suggested, in response to my question, that this emoji from her when she saw your message about

A

Tiger Global investing in Coinbase was “good luck to the world”. What did you think her emoji was for?

A. She was congratulating me for a good investment because I had invested an effective valuation of Coinbase of half a million dollars and this was now worth \$8 million.

B

Q. It has been suggested to you generally that your intention was to hide or deceive Mrs Zahmoul about the \$5 million windfall in the Coinbase listing. We have seen the letter that your solicitors wrote on 16 July setting out the details about the Coinbase. Why was that letter sent?

C

A. To inform her about the change in the matrimonial assets -- to inform her about the Coinbase listing. It should have been sent earlier on.

Q. Would you have a look in the supplemental bundle please at page 13?

A. 13, yes.

Q. Yes. One three?

D

A. I guess there's two numbers on the page.

Q. I am sorry, Mr Zahmoul. I did not hear you?

A. I believe there are two numbers on. There is 12 in big and 13 ----

Q. Okay yes. I think it is the one on the side, so 13. The one in the bottom corner?

E

A. Yes.

Q. This is an email from you to Mr Burgess, of Burgess Mee, in November 2022?

A. Yes.

Q. What was the purpose of you proposing to meet?

F

A. This is when -- I mean I -- when he -- This is when I first heard he was representing her, I wanted to meet to basically suggest that I was willing to answer any question on anything with anyone. And I did the same thing with Ms Bloom when she was -- on August 1, when she sent me the email that she wanted me to send her the money.

G

Q. Okay. Go to page -- again, bottom corner if you would. Page 26. This is an email in French from you to Nadia, to your wife and to her father copied in. And that is the French. There is a letter that is covered in. If you go to page 29, we have the English translation.

H

A. Yes.

Q. Can you see there the third paragraph on page 29?

A. Yes.

Q. Did you get a response to that proposal?

A. No.

Q. Could you turn to page 2929 in the main bundle?

A. Yes, I'm there.

Q. This is a CV, it looks like, of Monica McGregor. Just remind his Lordship who she is?

A. Monica McGregor, I believe his Lordship ----

MR JUSTICE MacDONALD: I am aware of who Monica McGregor is.

MS CAMPBELL: Thank you. My Lord, I am conscious of the time. I still have got at least 20 minutes, and I do not want to put you or Mr Zahmoul under pressure, but I really would not be doing it justice if I did not finish.

MR MOLYNEUX: My Lord, a number of these questions, a number of these documents I have not even taken him to, so it needs to be re-examination, would be my principal observation.

MS CAMPBELL: I still need 20 minutes.

MR JUSTICE MacDONALD: Well, I would like to finish Mr Zahmoul today, but it does need to be, Ms Campbell by 10 to.

MS CAMPBELL: Let me try and focus so that that is not going to be difficult. (To the witness) Mr Zahmoul, it was suggested to you that you were putting Mrs Zahmoul under significant pressure to effectively enable you to get a deal done when she was without representation or without adequate representation. And I just want to have a look please, if we can, at the schedule you submitted to the court about expenses. You will find that at page 858, please. Can you just explain where the information came from to complete the schedule?

A. So this was a pretty painstaking exercise to take every single bank account and put each one of the entries in a spreadsheet. And I actually -- I believe I had sent a spreadsheet to the court as well on the ----

Q. Okay, so you have taken it from the core documents. Has Mrs Zahmoul had all of those core documents?

A. Correct, she has.

Q. And can we just look at the summaries, because there is some outside sources of funding here, but in relation to the amount spent on your daughters, what is the relevance of the period, January 2021 through to September 2023?

A. The beginning of the -- when I was first served by Ms -- Withers.

Q. Proceedings, thank you.

A. Can I, sorry.

MR JUSTICE MacDONALD: That is fine, thank you.

MS CAMPBELL: In relation to Gemini, we have an affidavit from your sister that is in the bundle. I am just going to put one question to you about this, Mr Zahmoul. Mr Molyneux's case is that effectively you were either parking assets with Layla, your sister, or you were trying to hide the asset that remains with her. I think that is the suggestion. Can you explain to his Lordship what the position is about the Bitcoins with your sister?

A. My sister got married for the first time when she was 56 years old.

MR JUSTICE MacDONALD: Again, Ms Campbell ----

MS CAMPBELL: You have explained the background.

MR JUSTICE MacDONALD: -- we have been over this ground. A lot of this I am aware of, and a lot of the documents I can look at for myself.

MS CAMPBELL: I will come back to those in submissions then, my Lord. Thank you. (To the witness) Would you please turn to page 4183, Mr Zahmoul -- and I am conscious that might be at the end of the bundle.

A. Yes.

Q. These documents that we are looking at, there are a number of tables here, but these are all accompanying the letter from your Portuguese advisors, and I think it is the 21 document advice that we are looking at. Mr Molyneux asked for tables of income that were referred to in the letter. Are they here in these documents?

A. I think he asked for bank accounts.

Q. Okay. Oh, I misunderstood, I am sorry.

A. But they are here. Some of them are here in the documents, yes. Some of them are in the 2020 and 2021 tax returns, where it is the same UBS bank account that I was accused not to have disclosed, but we showed in the response to the conduct statement that it was there, and it was always there, and it was in my Form E . So it is the same bank account number that Mr Luis had put into the tax authorities.

Q. Alright, have a look at 3593 please. Mrs Zahmoul has raised a number of questions about the Portuguese tax returns, and Mr Molyneux was able to put some of them to you. This is a document again provided by the Portuguese advisor. Can you just explain to his Lordship what this document is?

A

A. So this was a response to table 2 that Valeria had painstakingly helped me put together, where she basically went through... I had responded very generically using ----

Q. Just so we are clear, a response to what?

A. To Nadia's accusation of figure 2 of her... Was it the conduct pleading?

B

Q. So in the conduct statement, where her second table refers to all of the amounts that she says you were hiding under the Portuguese tax return ----

A. Yes.

Q. -- this is a line-by-line response.

A. Correct.

C

Q. I misrepresented it as something prepared by the accountant?

A. No, no.

Q. This is prepared by you.

A. By me, yes.

D

Q. And it is a detailed response to each of the lines in Mrs Zahmoul's ----

A. Yes.

Q. -- table.

A. Yes.

E

Q. Mr Zahmoul, are you hiding money?

A. No.

Q. Are you hiding cryptocurrencies or wallets?

A. No.

F

Q. Is there anything that you are trying to hide from Mrs Zahmoul in these proceedings?

A. I am not trying to hide anything from Mrs Zahmoul.

Q. Thank you, my Lord. I am grateful.

G

MR JUSTICE MacDONALD: Thank you very much. Ms Campbell, I do not have any further questions. Mr Zahmoul, Thank you for your evidence. I can release you from oath and I will allow you to return to your seat?

A. Thank you.

(The witness withdrew)

H

MR JUSTICE MacDONALD: I propose, Ms Campbell, unless the position has changed, to now leave leading and junior counsel to give consideration to closing submissions tomorrow and to hear them on Wednesday.

MS CAMPBELL: Very well, my Lord.

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MR JUSTICE MacDONALD: At 10.30.

MS CAMPBELL: Really helpful. Thank you.

MR JUSTICE MacDONALD: Thank you very much.

(Adjourned until 10.30 a.m. on Wednesday 28 February 2024)

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Case No: BV20D01752

IN THE HIGH COURT OF JUSTICE
FAMILY DIVISION

Royal Courts of Justice
Strand, London
WC2A 2LL

Date of hearing: 28 February 2024

Start Time: 11.26 Finish Time: 16.00

Before:

MR JUSTICE MACDONALD
(Sitting in Private)

Between:

NADIA ZAHMOUL

Applicant

- and -

KARIM ZAHMOUL

Respondent

MR BRENT MOLYNEUX KC (instructed by AFP Bloom LLP) for the **Applicant**
MISS ALEXIS CAMPBELL KC and **MISS SASSA-ANN AMAOUCHE**
(instructed by Stowe Family Law) for the **Respondent**

PROCEEDINGS – DAY 6
IN PRIVATE

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A

(Transcript prepared without access to case documentation)

B

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: My Lord, it falls to me, I think, to make submissions to you, unless Mr Molyneux ----

MR MOLYNEUX: (To Miss Campbell): May I address the judge?

MISS CAMPBELL: Yes, of course.

C

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: I need some more time, my Lord, in order to clarify how things are going to progress today on my side.

D

MR JUSTICE MACDONALD: How long, Mr Molyneux?

MR MOLYNEUX: That I do not know, but I am doing my very best to ensure that I have the clarity of instructions to know whether I can best represent the submissions which my client would like to have put before you, or whether there is another way we should be dealing with this morning.

E

MR JUSTICE MACDONALD: I understand, Mr Molyneux. I would be grateful of course for as much expedition as possible.

MR MOLYNEUX: Of course. I entirely understand that. Can I just ask one question on behalf of my client?

F

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Because I know this is something which might inform her approach. Are there any circumstances in which you would permit part of the advocacy to be performed by me, at which point she then concludes the submissions in relation to other matters that she wishes to deal with that she maybe feels that she has a grasp of that is not currently possessed by other members of her team?

G

MR JUSTICE MACDONALD: No, Mr Molyneux.

MR MOLYNEUX: So either Mrs Zahmoul does it or I do it?

H

MR JUSTICE MACDONALD: Indeed.

MR MOLYNEUX: I understand.

MR JUSTICE MACDONALD: Yes. Yes, thank you very much. I will rise.

MR MOLYNEUX: I am grateful.

(Short break)

A

MR JUSTICE MACDONALD: Yes, Miss Campbell.

MISS CAMPBELL: If there are no applications, then I will proceed.

MR JUSTICE MACDONALD: Yes. Thank you.

B

MISS CAMPBELL: Thank you, my Lord. I have got some documents which Miss Amaouche will hand out.

MR JUSTICE MACDONALD: Yes.

C

MISS CAMPBELL: These are available on email, and I have sent them already to Ms Knight, and I will send them after I have finished to Mr Molyneux and his team.

(Counsel conferred) Oh, sorry. (After a pause)

MR MOLYNEUX: My Lord, I apologise, not for the first time this morning, to Miss Campbell.

D

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: And I apologise to you, probably for the first time. My client would like to re-open the evidence in relation to evidence that was given by Mr Zahmoul about UBS. You will recall that his evidence was that the 12 million sterling that had been removed from the UBS account ----

E

MR JUSTICE MACDONALD: Yes.

F

MR MOLYNEUX: -- was entirely visible in the sense that, first of all, it had been used for investments; secondly, it had been used on living expenses and, thirdly, there was a very significant element of double, if not triple, accounting, because, for example, money would go out of the account and then money, the same money, would then come back into the account. And so adding those figures up and coming to an aggregate of 12 million of withdrawals he said was entirely misleading, in the same way if one had a £50,000 treasury deposit that each month left an account, went into a treasury deposit, earned interest, and then was returned to the account. If you added up those 12 £50,000 leaving and returning, it would look like there was £600,000, but actually he was saying £50,000. I hope I am not doing an injustice or disservice to the way that he was presenting his evidence.

H

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Mrs Zahmoul does not accept that, and she wants me to tell you in the clearest terms that she does not accept that. She has overnight spoken to UBS, and wishes to share with you, and to be tested on this, the product of what she has been told, which she says categorically confirms that Mr Zahmoul's presentation is wrong and -- and she had always thought this to be so obvious as not to require any further

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- A** clarification, namely you just add up the aggregate outflows over the course of this 10/12 year period, and that is necessarily the money that has left the account, all of it separate, all of it differentiated. She, because she feels so strongly that you --
- B** reasonably so, I would say, because she feels so strongly that you must understand the reality of this, so as not to lose £15 million from the matrimonial balance sheet, she would wish to be able to tell you about this in person and, as I said, to be tested on it. That is why I make this application at this late stage for the evidence to that limited degree to be re-opened.
- C** MR JUSTICE MACDONALD: Thank you, Mr Molyneux. Yes?
MISS CAMPBELL: My Lord, I object to that application in the strongest terms. During the course of the evidence you may remember questions were asked about UBS, and Mr Zahmoul agreed to provide everything and anything that was needed.
- D** MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: He consequently put together this bundle of all the UBS material that has been exchanged during these proceedings, which I can tell you goes back to 2019, and this has been made available again in a clear and easily digestible format so that
- E** there could be no question about full and proper disclosure being given again.
MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: To hear that after the close of evidence Mrs Zahmoul has been in touch with UBS fills me with absolute disappointment and concern, because I do not know
- F** what is being said. We have not been copied in. This process has to stop.
MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: The evidence has closed. There should be no more questions because when information is given, it just leads to another round of questions, and there will be
- G** no end. We have to now close the evidence part and move on to the submissions.
MR JUSTICE MACDONALD: Yes, thank you.
MISS CAMPBELL: Thank you, my Lord.
MR JUSTICE MACDONALD: Any reply, Mr Molyneux?
- H** MR MOLYNEUX: Only to say that it is a question of not the underlying data so much as the methodology. Mrs Zahmoul says that the material which she is now in possession of and will be able to explain to the court, in circumstances in which it has not been possible to explain that previously -- that the methodology, namely adding up all the outflows to give a total figure of money which has left the account, all of which is separate money, so all of which in aggregate tells the total outflow -- that the total outflow of 15 million, rather than 50,000 or a million, has been recycled. She says that

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- A** that methodology is so clear and could be made so transparent by her, that it would be an injustice were she not to be able to make submissions in the court -- to give evidence in relation to it, and then have submissions made.
- B** MR JUSTICE MACDONALD: Thank you. Mr Molyneux, for reasons I will explain in the judgment in due course, I am not prepared at this late stage of the proceedings to re-open the evidence. I am satisfied that I heard the evidence I require to determine the matters before me and, in those circumstances, I will proceed to hear Miss Campbell's submissions.
- C** MR MOLYNEUX: My Lord, thank you.
MR JUSTICE MACDONALD: Thank you. Yes, Miss Campbell.
MISS CAMPBELL: Thank you, my Lord. As I began to explain, Miss Amaouche is going to provide documents to the parties.
- D** MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: I have a hard copy for your Lordship. (Same handed)
MR JUSTICE MACDONALD: Thank you. Yes.
MISS CAMPBELL: These are three documents. One is an updated version of a document
- E** you had in mine and Miss Amaouche's opening note, which was a schedule showing breaches.
- MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: This has been now shared with Mrs Zahmoul's team throughout the last
- F** nearly a fortnight.
MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: There has been a couple of amendments because we have gone through and updated the recent disclosure, and Miss Amaouche is going to speak to this shortly,
- G** and I will hand over to her.
MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: Otherwise I have updated the ES2, and there are some concessions made in this which I will elaborate upon later.
- H** MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: And then some closing submissions. My Lord, these are relatively full, and I am very hopeful it will make my submissions to you much shorter.
MR JUSTICE MACDONALD: Yes. Thank you very much.
MISS CAMPBELL: This is obviously available for everybody so they can have a look at it, and I am hopeful that that will give you a record of my client's full case and without me taxing more of the court's time.

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- A** MR JUSTICE MACDONALD: Yes. Thank you.
- MISS CAMPBELL: So I am going to hand over to Miss Amaouche who will just explain the schedule of orders.
- MR JUSTICE MACDONALD: Thank you. Yes, Miss Amaouche.
- B** MISS AMAOUCHE: My Lord, I am grateful. There have been limited amendments to the schedule of breaches. Where there have been amendments, we have highlighted those amendments, and the amendments are in the fourth column. Unfortunately, on the hard copies, the highlights are not in yellow, but when we provided the PDF version, we see
- C** the highlights.
- MR JUSTICE MACDONALD: So they are in grey ----
- MISS AMAOUCHE: They are in grey, I am afraid, on this document.
- MR JUSTICE MACDONALD: Yes. Do not worry.
- D** MISS AMAOUCHE: My Lord, I am not going to speak to the detail of this document. You will recall that your Lordship joined this case and made the first substantive directions orders on 17 November 2022.
- MR JUSTICE MACDONALD: Yes.
- E** MISS AMAOUCHE: That is the order in the bundle at 3397. You gave further directions on 1 March 2023, and the order is at 386.
- MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: Again, further directions on 7 September 2023, the order being at 557.
- F** MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: My Lord, one order I do ask you to turn to now very briefly, please, is your order of 1 November 2023 at p.590.
- MR JUSTICE MACDONALD: Just give me a moment. Yes.
- G** MISS AMAOUCHE: I turn to this order -- Mrs Zahmoul was represented by Mr Southgate KC.
- MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: -- because it encapsulates two points. One, at p.593 you will see at
- H** paras.6, 7 and 8 substantial re-timetabling.
- MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: That order speaks for itself as to the breaches of orders that you had previously made.
- MR JUSTICE MACDONALD: Yes.

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A MISS AMAOUCHE: The second paragraph I draw your attention to is para.9. This was a direction that each party has permission to serve a pleading of the other's alleged conduct on which they intend to rely by 4.00 p.m. on 12 December 2023.

MR JUSTICE MACDONALD: Yes.

B MISS AMAOUCHE: My Lord, in the note that we have prepared and has been provided to you, at para.55(k) you will find, with emphasis added, excerpts from your published and reported judgments in this case. In July 2023, you were warning the wife that she had failed to itemise with any particularity deficiencies in disclosure, even though directed
C to do so by the court. You noted that:

"After some 30 months of litigation, the wife has not provided a schedule of alleged non-disclosure of assets, notwithstanding the extensive costs expended."

D Then over the page, travelling forward to November 2023, again you warned both parties that "fundamental tasks required to achieve an effective final hearing remain undone", and warning the wife again, at the bottom of the page, that her allegations remained to be definitively particularised and determined.

E MR JUSTICE MACDONALD: Yes.

MISS AMAOUCHE: So the wife was given fair warning. You made a very clear order in November, and in fact what happened, as you may or may not recall, is that at the PTR on 16 January when Mr Duncan Brooks represented Mrs Zahmoul, it was at 7.00 a.m.
F that morning that the conduct statement was provided by Mrs Zahmoul.

MR JUSTICE MACDONALD: Yes.

MISS AMAOUCHE: If I could ask you to travel in the bundle to the PTR order, please, at p.636.

G MR JUSTICE MACDONALD: Yes.

MISS AMAOUCHE: And in this order I ask you to please note three paragraphs: a disclosure paragraph at para.6 directed against the wife, with compliance due by 30 January.

H MR JUSTICE MACDONALD: Yes.

MISS AMAOUCHE: Paragraph 7, a provision as to the whereabouts of watches, again by 30 January 2024. And at para.14 a direction for section 25 statements by 30 January 2024, and again an extension and a re-extension.

MR JUSTICE MACDONALD: Yes.

- A** MISS AMAOUCHE: My Lord, the point that we make is, having served the conduct statement late on the morning of the PTR, we have a repeat of that litigation conduct in this case. The section 25 of Mrs Zahmoul is provided to Mr Zahmoul's team on the morning not of day 1 but of day 2. You will recall, my Lord, that you were required ----
- B** MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: -- to make judicial rulings on the contents of that statement and indeed the exhibits to that statement.
- MR JUSTICE MACDONALD: Yes.
- C** MISS AMAOUCHE: My Lord, we say that when you consider that statement as against the conduct statement, there is a morphing of the conduct case and a morphing of the numbers that Mrs Zahmoul articulates.
- My Lord, finally, having referenced paras.6 and 7 of your order at the PTR, I ask you to
- D** have a look, please, at two pages in the supplementary bundle, and those are pp.322 and 323.
- MR JUSTICE MACDONALD: 322?
- MISS AMAOUCHE: And 323.
- E** MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: Your attention has rarely been directed to these pages. This was provided on day 3 of the final hearing, so 21 February. This is Mrs Zahmoul's solicitor's index of the updating disclosure that she provides.
- F** MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: You will note, contrary to your direction of 16 January, "all of those directed documents are to follow, save for documents in respect of liability", and even in respect of those liabilities, save for what one might term professional legal funding
- G** costs, all of those documents remain to follow. You will recall that when Miss Campbell was cross-examining Mrs Zahmoul, her response was "in due course". To pick up Mr Molyneux's criticisms of Mr Zahmoul, this is not a dress rehearsal.
- Finally on this point, and it may seem a small point in the context of this case and the
- H** costs expended but it was only during cross-examination that Mr Zahmoul learned for the first time that the watches had been pawned. We still do not have any of the documents demonstrating that Mrs Zahmoul did receive £50,000 or how or what costs are required to be expended by Mr Zahmoul to retrieve those watches.
- MR JUSTICE MACDONALD: Yes.
- MISS AMAOUCHE: Finally, my Lord, there is no ES2. My Lord, in your published judgments you have referenced the absence of a Form ES2 provided by the wife on

A multiple occasions. The ES2 that you have, that we have just handed up, is an ES2 constructed by Mr Zahmoul's team, provided to Mrs Zahmoul's team, and on which they have made no comment.

MR JUSTICE MACDONALD: Yes.

B MISS AMAOUCHE: That is a woeful failure not just of orders that you have made but clear practice directions. My Lord, to answer Mr Molyneux's point, and his eloquence:
"Well, given the wife's case, what is the point? What is the point of adding to a Form
C ES2 because of the totality of the non-disclosure?", we say if the wife would not even properly engage in the computation exercise, that is a clear failure, and evidence of her litigation conduct, and we also say it reflects that which we submit in the opening paragraphs of the written submissions at para.2 - a reflection that this wife has failed to articulate with any clarity her case and the findings she asks you to make. My Lord,
D thank you.

MR JUSTICE MACDONALD: Thank you very much indeed. Yes, Miss Campbell.

MISS CAMPBELL: Thank you, my Lord. I am going to just touch upon a couple of overarching points, which I have referred to in this note as an overview.

E MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: I am anticipating the case that my learned friend Mr Molyneux is going to put to you, because it seems to me that without any question the wife's case of non-disclosure of £141 million has simply not been made in any shape or form. There is not
F a clear argument about how the figures are made; the calculations do not add up; there are no underlying documents. The arguments do not make sense.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: And it is very difficult to even follow. So the basic premise of what the arguments are has not been made. So it seems to me that Mr Molyneux's task is going to be to make submissions to your Lordship which have to recognise that. There is not any way he can invent the evidence at this stage. I am not suggesting he would even try to, but it has simply not got off the ground.
G

H MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: So what we have is an asset pool of about £12 million, and Mr Molyneux has to try and get his client's case, to satisfy her instructions, as close to the 12 million that she aspires to obtain.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: And how will he do that? Well, he can only do it by saying to my Lord:
"This sorry mess is Mr Zahmoul's fault. We are here because of his non-disclosure",

A and he is going to refer to the three aspects that seem to me to be arguments that have been properly put.

MR JUSTICE MACDONALD: Yes.

B MISS CAMPBELL: Coinbase/Topanga disclosure came late; the Gemini wallet legally in my client's name, and he says he gifted it; and Xapo, the lost wallet. These are the only three substantive claims that Mr Molyneux can rely on. In doing so, he will no doubt say to you if those three things had not happened, if Mr Zahmoul had not erred in his latest disclosure, having hidden his sister's account, which is really his and so on, we would not have got in this mess. Now, superficially, my Lord, that is an attractive argument, and in some cases a little nub of suspicion, a little acorn of mistrust, can grow into the monumental oak tree. But this is not that case, my Lord. No matter how persuasive the arguments may be that Mrs Zahmoul feels concern, needs reassurance, has suspicions, has concerns, repeated time and time again, that does not come from those three actions. That is Mrs Zahmoul's character. I ask my Lord to always, in the rest of the submissions both from myself and from Mr Molyneux, bear in mind that those three actions -- all the other claims that Mr Molyneux will no doubt make about financial pressure and so on, I will come on to those. These things happen in cases. They do not end up in this mess. This case has ended up in this mess because of Mrs Zahmoul's conduct and her litigation behaviour which has been - and I will adopt a word Mr Molyneux used - monstrous.

F MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: Those effectively are the overarching comments, and I am not going to go through them point by point, but just to direct my Lord to para.5. It is Mrs Zahmoul's conduct in, firstly ----

G MR JUSTICE MACDONALD: Yes.

H MISS CAMPBELL: -- the petition issued in January 2020, served piecemeal in June 2020 but not opened, whipped away, and then the parties encourage -- Mrs Zahmoul was very keen to buy a property in Wyoming, presenting as happy families, whilst in the background it is absolutely clear from her evidence she was using every opportunity to look through devices, look on screens. She tracked Mr Zahmoul. It was deliberate. There was no question of a genuine attempt to foster an ongoing relationship. This was an opportunity to examine his financial data and try and find out about his financial history.

MR JUSTICE MACDONALD: Yes.

A MISS CAMPBELL: Secondly, she did not disclose those *Imerman* documents until April. Now, her solicitors acted entirely properly. The rules require disclosure before questionnaires.

MR JUSTICE MACDONALD: Yes.

B MISS CAMPBELL: But in the spirit of the rules, you should hand them back as soon as you know about them. Mrs Zahmoul obviously did not give them to her solicitors until very late in the day. I have no doubt her solicitors would have acted properly. These were held back, and that was to catch -- or in the hope of catching Mr Zahmoul in a lie. But
C the reality is that it did not. Apart from those three points (to which I will return) there was no lie, and there was quite a complicated asset schedule, lots of investments, lots of detail. Mr Molyneux at one point criticised Mr Zahmoul for giving explanations about some assets but nothing about Topanga and Coinbase. My Lord, if you go back to that
D Form E, you will notice the explanation is given about assets that have lost value.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: There is general explanation, and if Mr Zahmoul says: "I invested this but I think is worth less", that is where the explanation is given. There are 26 different
E investments, and I think there are explanations for three or four. Mr Zahmoul was not hiding the Topanga Coinbase investment.

Mrs Zahmoul's overarching obsession with disclosure - this is conduct which needs to be taken into account. No matter what discovery is given, and today has been a prime
F example, the more that is given, the more Mrs Zahmoul entrenches herself and starts to ask questions in a new direction. At the beginning of this trial, we were all on the cryptocurrency, then we were on Barclays. Now, having given all of those statements in a neat, chronological order, we are now on to UBS. Since this hearing, it continued
G over the weekend, and I understand that Mrs Zahmoul has written directly by herself to Coinbase, writing to Ms Marsh asking her for documents. It is not the request that is offensive, it is the narrative that goes with the request about how she has been cheated and how her husband is not telling the truth, and how the court needs to know the truth.

H This kind of spurious, unnecessary, damaging, slanderous material is sent out in all directions whilst she has a legal team acting for her. She knows not to do this. She did it to Mr Pinto, and her legal team were asked, and no doubt told her: "You cannot go directly to professionals when you have a legal team". She completely disregards it. And volume does not mean disclosure. Mr Molyneux is absolutely right, you can produce thousands and thousands of pages and still hide millions and millions of pounds.

- A** MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: But at some point, if your questions are very broad, demand an inordinate amount of material, and that is provided, you cannot also be criticised for trying to swamp someone with paper and hide the materialities. Mr Zahmoul has been pushed, throughout this trial and throughout the proceedings leading up to it, to disclose and disclose and disclose, and it will never satisfy Mrs Zahmoul. She will never be satiated.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: And no meaningful dialogue. I do not expect Mrs Zahmoul to talk to Mr Zahmoul, that would not be appropriate, but she has had legal advisers, professional advisers, accountants, tax advisers, all of whom Mr Zahmoul has repeatedly asked to enter into a dialogue, and that goes not just to settlement, which might be ambitious, but to please understand the assets. You may have detected from the evidence, Mr
- D** Zahmoul is genuinely happy to offer any disclosure. I can say on his behalf that it is sometimes unnecessary for him to keep giving disclosure because of the impact that disclosure has, and at some point we have to stop. Mr Zahmoul is actually an open
- E** book. One of the reasons he was attracted to cryptocurrency is because it is all public. He has, as you know from all of his exchanges with Mrs Zahmoul, offered up information to her. Every year she has had his tax returns. She described herself as the public family administrator.
- F** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: She has had full access, and we looked at some of those examples of him writing to her: "What do you think of this? Do you know where this document is?"
- G** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: The pursuit of litigation in the States and complaints to the criminal board of the IRS - this is vexatious. There is no other word for it. It is unnecessary, it is useless to her. She applied to the English jurisdiction to have her divorce determined
- H** here. This is not the natural place. Although she has a home here when the girls are here, all the assets are elsewhere. We have spent thousands of pounds trying to work out what the tax implications are, because we are in England, of moving assets from the States. The easy, natural place would have been America, but Mrs Zahmoul went to great lengths to adopt this jurisdiction, and yet continued to litigate over the same material in the Bank of Jackson Hole. My Lord, you may remember at one of the hearings I appeared at, we pursued initially an Hemain injunction.

- A** MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: The court was completely overwhelmed with all the other applications of the day, there was no time, there was no point. I genuinely hoped, on behalf of Mr Zahmoul's case, that Mrs Zahmoul would just take notice and take a reasonable, proportionate approach. Yes, she might have said to herself: "The judge here does have power to move the houses and the debt. I actually do not need to worry about the Bank of Jackson Hole". But, no. And you heard Mrs Zahmoul's evidence. Her evidence was: "I will never be satisfied until all the Is are dotted and the Ts are ticked".
- C** It does not matter if it does not make any difference to her financially, any benefit to her, other than pursuing what I say is vexatious and intended to prejudice and cause as much havoc as possible for Mr Zahmoul.
- D** Then we have the breaches which Miss Amaouche has already taken you through - the breaches which have been ----
- MR JUSTICE MACDONALD: Yes.
- E** MISS CAMPBELL: -- in my submission, very unusual in terms of number and severity. The law. My Lord, I know you will be very familiar with the law. Sometimes in cases it helps, I know, because when I sit where you do, or not quite as high up but further down, that if you take yourself back to the statutes ----
- MR JUSTICE MACDONALD: Yes.
- F** MISS CAMPBELL: -- it is very useful, because that is what we are here for, and we have to sort of ignore the noise and focus on the needs. The needs of the statute are principally in three areas: section 25(1) obviously with regard to any children, the first consideration is children under the age of 18.
- MR JUSTICE MACDONALD: Yes.
- G** MISS CAMPBELL: Section 25(2) dealing with the checklist, and then section 25A which deals with the requirement to consider a clean break.
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: Those are principally the matters which the court must take into account. Let me deal with those in order.
- Children. Of course Jade Mia is an adult. She is at university.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: A very prestigious university - Madeleine Albright, Hillary Clinton. This is not a college where she is left to fend for herself. This is a very prestigious, caring, sociable university, and we know that is the case because Mrs Zahmoul has not moved herself to Massachusetts.

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- A** MR JUSTICE MACDONALD: No.
- MISS CAMPBELL: She has stayed right on the other side of the country in Wyoming because she trusts Jade Mia to be in a caring environment, and she is. Similarly, Lila May, Cheltenham Ladies' College, one of the best educational institutes for young
- B** women.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Again, full-time boarding. Mrs Zahmoul obviously has confidence because, similarly, she has not established herself back in Cheltenham, she is happily
- C** over the Atlantic in Wyoming.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Mr Zahmoul has proposed that a lump sum of £700,000 is taken from his pension fund and set aside as an education fund for the children's tertiary education.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Cheltenham is already paid for. That is covered, so it is really tertiary.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: In terms of expectations and maintenance for the children, well, you
- E** have not heard any evidence about the children in this case. These are young women who are entitled to have a relationship with both parents. Both parents clearly love them.
- MR JUSTICE MACDONALD: Yes.
- F** MISS CAMPBELL: There is no question of that. And this court must presume that the children will have a close and loving relationship with both.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I am sure it has been incredibly difficult for them, for all manner of
- G** reasons, to see their parents in this position.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And it may not be easy for them to share the relationship that they would like all the time with both of them, but the court must proceed on the basis that
- H** the children will spend extended time during their school holidays or university holidays with both. So, my Lord, because of their ages and because of their educational commitments, each party will make their own expenditure for the children when they are with them.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So there is no question of child maintenance. It has not arisen, but it should not.

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- A** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Let us then go to resources. Capital resources first.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: You have my ES2. Again, Mrs Zahmoul, distracted as she has been
- B** with her own agenda, has not allowed her legal team to even comment on this schedule. So it remains principally the figures that Mr Zahmoul's team have put together. I am afraid it is very tiny on this page, and you have an electronic version.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: But I will not trouble you with this, except to show you the points in green which are the changes.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I can tell you that in the investments there was a figure there of
- D** £345,000 for tax.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I have taken it off this schedule because it appears on the net effect in terms of money coming out of the pension. So I did not want to double count it.
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So it has gone. The other two green items are *de minimis* but, to be clear, both relate to chattels. We are hopeful now that Mrs Zahmoul will return the appropriate documentation so my client can collect his watches.
- F** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And although she spent £50,000, or thereabouts, of that money, I am going to add that to my add-back argument.
- MR JUSTICE MACDONALD: Yes.
- G** MISS CAMPBELL: But it does not need to feature here otherwise, again, it will be double counting.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And I have amended the value of the car that is left, £10,000 apparently
- H** being held by a friend. So that is that.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Over the page, slightly more. During the trial, again we were given evidence by Mrs Zahmoul that there had been increases to the legal fees she owed to third parties. So we have there Burgess Mee - who were really bit parts in this production ----
- MR JUSTICE MACDONALD: Yes.

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- A** MISS CAMPBELL: -- who apparently are owed £265,000.
MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: Taylor Wessing are owed 168, and there are new figures for Saffery LLP, presumably accountants, of just over £11,000.
- B** MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: And MRW Consulting. Those were the tax experts, who were not advising on the actual incidence of tax that the parties will pay; they were advising on whether or not Mr Zahmoul's tax returns were properly complied with.
- C** MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: Then you will see there are two further entries -- sorry, one further entry, FTI Consulting, which again is either some accountancy or some cyber/crypto - I think Mr Zahmoul tells me it is crypto - at £38,000. These are new and these came to
- D** us over the course of the trial so I have added them in.
MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: And you will see that I have ignored the loan from Mrs Zahmoul's father, which she has yet to evidence. We understand Mrs Zahmoul's father to be a
- E** generous father who has throughout many years now given money to his daughter.
MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: It appears on her bank statements as (inaudible), which is family help, and it looks like a gift. So I have left that as zero. Finally, I alerted the court to this
- F** earlier, the lifetime allowance on the pension since these proceedings started, that has now gone.
MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: And as long as we are able to put your Lordship's order into effect, we
- G** should still get the benefit of that.
MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: So if, my Lord, you turn over to the final page, it is in legible print, I am pleased to say. So you can navigate through this document, the first column obviously
- H** identifies the assets. The second column is an exact lift from the ES2.
MR JUSTICE MACDONALD: Yes.
MISS CAMPBELL: So everything you see here in legible print is replicated, and you can see that the net effect of the first column at 12.769 million is the same as the net effect on the ES2.
MR JUSTICE MACDONALD: Yes.

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- A** MISS CAMPBELL: So that is consistent. What I will be saying to you, my Lord, is there need to be some adjustments for you to be able to come to your point of quantification before the distribution.
- MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: As you know, I say that the inherited properties are not significant but, in any event, have come from Mr Zahmoul's father, and those should not be added into the matrimonial pot.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: Similarly, Norsar(?), which is the family business that has again come from his father and held with his sister ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- should be excluded. Oxus is the business that my client assisted in an
- D** advisory role, as you may remember. He lost his job with Oxus when they were merged with Borealis.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: He had some shares with them. They are not worth anything at the
- E** moment. They are illiquid, they cannot be traded. They may be in the future, but at the moment they are of no value.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: The most significant feature which my Lord will want to focus on is
- F** under liabilities.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: You will see there the amendment that I have made, and I will explain this in greater detail, but so my Lord can follow: Mrs Zahmoul says she owes her
- G** lawyers and advisers 1.483 million.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I say that Mrs Zahmoul should not have spent that much money and she should not have spent, on any account, more than the husband. The fact that he spent
- H** the best part of £1 million is monstrous.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And so matching £1 million is already, in my submission, being generous ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- to Mrs Zahmoul. That is done, and so if we add back that £913,000, which is the difference between what he has incurred and what she has incurred.

- A** MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: She spent 1.9 and he has spent just under a million, so there we have 913, and I say, my Lord, because of the authorities (and I will come back to it shortly), you should add that back before considering penalties, just because it is not a reasonable figure. If you do not add it back, the distribution exercise becomes distorted because Mr Zahmoul is picking up 50% of a bill which should not have been incurred.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: I will need to make representations to you about whether or not that is fair. I also say that Mrs Zahmoul should pay for the Hill Villa debt and the Outpost debt. Those are debts owed in respect of the Wyoming property. She had a significant maintenance provision and those debts should not have been incurred, and I will come back to that.
- D** Then you will see we have the Malta pension. That is the money held in Malta. The advice that Mr Zahmoul has been given is that because of his non-habitual residence status in Portugal he can draw down on that Maltese pension and, by paying 10% on effectively a drawdown the whole, it becomes liquid.
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Now, there are benefits. If he can draw that down over a three-year period, he may not have to pay any tax, but that requires some cooperation with Mrs Zahmoul.
- F** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: If the parties are able to cooperate, they will be able to save themselves some money. I am working on the premise that there will be none. So if we allow tax to be deducted from that pension, and you will see it is 233 ----
- G** MR JUSTICE MACDONALD: Miss Campbell, can I just pause? Whoever ----
- MISS CAMPBELL: I do not know where it is coming from.
- MR JUSTICE MACDONALD: I am not sure whose phone is pinging, but if we could avoid it, it is slightly distracting. Thank you. Yes?
- H** MISS CAMPBELL: So you will see from the pension ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- I deduct £345,750 for the Coinback -- Coin ----
- MR JUSTICE MACDONALD: Coinbase.
- MISS CAMPBELL: Coinbase tax. Thank you, my Lord. Again, that needs to be held for four years.
- MR JUSTICE MACDONALD: Yes.

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- A** MISS CAMPBELL: And if Mr Zahmoul is able to avoid the tax because of his non-habitual residence status, then that can be shared between the parties.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: There is no question of anybody not benefiting. If the tax has to be
- B** paid, it will, but any balance will be shared equally.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: There is £700,000 which will be for school. The tertiary fund will be held in the joint account.
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: It seems inevitable that the parties will have to cooperate, but there should not be any draw on the account without both parties' signatures and so it would have to relate to educational expenses that they are both content with.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And then there is the tax at 10%, the 233,000.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: If those are drawn from the pension, the parties will each get a
- E** minimum of £529,000 and, as I say, if the tax is not demanded for Coinbase, then that will be supplemented by those funds.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: The US pensions can be shared. There is no difficulty. Those will be
- F** shared in America and they will each get £323,000.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: My Lord, that is what I say the court should take into account. The first lot is 12.769, the matrimonial resources -- sorry, the total resources.
- G** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And then deductions of 713,000 which are for non-matrimonial tax and the add-back on spending ----
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: -- for the lawyers, which gives us a net fund of 12,055,000.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And you will see from the way that the figures are apportioned between the parties how Mr Zahmoul's open proposal makes sense.
- MR JUSTICE MACDONALD: Yes.

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- A** MISS CAMPBELL: And I will just run through that while we are on this document. He says 3100 West Arrowhead should come to him. That is not the one he wants. He would prefer the other property. His open proposal was for the other property.
- MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: But he has taken the view, and because Mrs Zahmoul is already in the other property that she wants, 3093, he has conceded that she should keep that property.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So she does not have to move. If she wants to, she can stay there.
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: He will take on 3100, and he will take with it 100% of the mortgage.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And he will take the property with the higher in-built CGT and taxes.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Now, Mrs Zahmoul will no doubt tell you that it is preposterous to suggest that the two of them should be able to each retain a property, but I ask you to take that with a pinch of salt, my Lord.
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: This is a holiday town. It is a skiing town. It is sort of a bit like Whistler. I do not ski, I do not know, but I am told that it is very popular ----
- MR JUSTICE MACDONALD: I have been there, Miss Campbell.
- F** MISS CAMPBELL: Okay. I am told it is very popular.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: There are lots of these elegant chalets that families rent, and it is absolutely realistic for them each to have one. It would also be a convenient place for Mr Zahmoul to be if he were to spend time with his daughters. Now, I do not know what will happen in the next months and years, and where Mrs Zahmoul will be.
- G** MR JUSTICE MACDONALD: No.
- MISS CAMPBELL: But he likes to ski, his daughters ski. This would be a very good place for him to have, if he can keep it.
- H** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Those are both expensive properties and the realities are that maybe neither of them will be able to do so, but they are adults, they are capable of arranging their affairs in the best way that suits them. So he would like to keep that. I accept that if he is not able to have the mortgage removed from Mrs Zahmoul's name after a decent period of time - I propose six months - then the property will have to be sold ----

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- A** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- so that Mrs Zahmoul is released from her covenants on the mortgage.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Because Mrs Zahmoul is getting by far the more valuable property with
- B** no mortgage and smaller taxes. To balance the books, Mr Zahmoul will keep the Frost Street units.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And take with it all of the tax. So that pregnant tax travels over to him.
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: That would give Mrs Zahmoul a property in the place she says she wants to live, West Arrowhead, that is worth the best part of £6 million. She can sell it if she wants to.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: If she wants to pay off her legal fees, and so forth, if she needs to, that is what she can do. She can keep it and rent it. We know from the parties' evidence that, net of expenses, and there will be no mortgage, that produces \$150,000 a year. So it is
- E** a good income if ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- the other expenses can be accommodated. But if she wishes to sell it, paying off all the pregnant taxes, she will still have close to £5 million worth of liquid
- F** cash in her hand.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Travelling down the proposal, the joint accounts will be divided equally.
- G** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: The parties will retain their own savings. The private equity investments, those will be divided *in specie*.
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: 50% of any costs, 50% of any transfer expenses, and each will get half. Mrs Zahmoul will keep her Fidelity investments.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Then looking at the business, these are figures that are included, 46,000 for Emviry Ltd, and 25 for Trading. The money is not really there, but on the accounts it is shown. And there is some Kia investment or Chia investment in the trading company. Mr Zahmoul will keep that. As you see, I have excluded the non-

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- A** matrimonial Norsar shares. The Range Rover appears then just as £10,000 of equity held by a friend.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Then we look at the crypto. That will be shared *in specie*. Mr Zahmoul
- B** will keep the loan with his friend, that Hajimi has owed for some time now.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: 60,000. Again, not real money, but that is his responsibility and he will bear it.
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: He has a rental deposit owing to him, and Mrs Zahmoul has a tax refund owing to her.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: We then look at the liabilities. My client has credit card debts and other expenses of just under 60,000. Mrs Zahmoul has allowable outstanding legal costs of 570. She has to pay the EDF bill, her credit cards, and the debts owed on the property in Cheltenham and the property expenses associated with her West Arrowhead
- E** property.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Then the parties get half of the pensions. This is the net effect of my proposal: that Mrs Zahmoul will receive 5.589 million, and my client will retain 6.465.
- F** It is a 54/46% split.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: But, my Lord, you will want to know what does that actually mean in cash.
- G** MR JUSTICE MACDONALD: Indeed, yes.
- MISS CAMPBELL: So I will explain how we get to that figure and why the add-back is expressed in the way it has been and how it features in the final figures.
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: Mrs Zahmoul -- you will see in relation to the litigation costs argument, Mrs Zahmoul owes her advisers 1.428 million.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: She has £570,000 which we have allowed for above the line, so that has already been taken into account.
- MR JUSTICE MACDONALD: Yes.

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- A** MISS CAMPBELL: So in terms of cash, what my offer does not take into account is that Mrs Zahmoul is going to be left owing her lawyers £858,000.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: In my submission, Mrs Zahmoul should not be given credit for that on
- B** the balance sheet. You should add it back, and you should also add back the money that Mrs Zahmoul wasted with the Bank of Jackson Hole, £104,000.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I have removed the Detach interest because that is included now in the
- C** 858. That is part of the unpaid fees. So, my Lord, previously I had had 168,000 as money charged by Detach, which I say is excessive.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: But it is contained within the 858 in any event.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So it is there but already covered. I have added back the £50,000 that Mrs Zahmoul spent from Mr Zahmoul's jewellery.
- MR JUSTICE MACDONALD: Yes.
- E** MISS CAMPBELL: My Lord, she did not need to do that. She could have pawned her own jewellery. She pawned his, and that was not fair.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I have added back the EDF bill, the Hill Villa liabilities, and the Outpost
- F** liabilities. My Lord, I have done that because Mrs Zahmoul has had maintenance pending suit, significant sums from her own accounts, and monies from the parties' rental income, and I will take my Lord to the spending figures later on, but I say that all of these figures should be added back.
- G** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And I have not quantified the adjustments in relation to her conduct generally - all the points I have made.
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: But if we just add back those hard figures, if Mrs Zahmoul had behaved reasonably, she would have had, on my proposal, £6.8 million ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- which would have been more than half.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So, my Lord, in reality, your job is to consider whether the 5.589, less the 858, which is the real payment, is fair ----

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- A** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- in the circumstances. My Lord, I am going to address you about that now.
- MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: Can I turn to my note at p.15? I just want to cancel, and I hope put to bed, any remaining arguments about hidden assets. The cryptocurrency - there are no hidden Bitcoins. We have had an incredible examination of cryptocurrency trading going back, unbelievably, nine years.
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Nearly 10 in fact. Some of it goes back to 2014. That is unheard of in these proceedings.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: But although the court only ordered to 2019, Mr Zahmoul took the decision to just trace it all, and actually it was a wise one because in doing so Mr Pinto was clear he had examined 100%, and even the queries that CipherBlade popped up, many of which were complete red herrings ----
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- because CipherBlade were using an unreliable system. Having examined everything, Mr Zahmoul was, unusually, able to prove the negative: "It is all here". Although Mrs Zahmoul does not like the answers: "Well, it went to Olivia", or:
- F** "It went to a lost wallet", or: "It went to my sister", it is all explained by Mr Pinto and it is all covered in his report.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: The Gemini account. Well, my Lord, you have to look at the evidence.
- G** I say first of all Mr Zahmoul's oral account is incredibly plausible. He went to his sister at her wedding and gave her five Bitcoins, which at the time -- and let us keep this in perspective. Mr Molyneux referred many times to being worth hundreds of thousands of dollars, but at the time it was worth \$22,000. Actually the documents produced
- H** through these proceedings have shown that to be the case, and we can see the Gemini statements - I have given you the page reference there.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: It was 22,124. We can also see from the Gemini statements - and again I have given you the reference - that there was no trading. From around 2017 there was absolutely nothing happening to that account, which again is contemporaneous evidence

A consistent with what Mr Zahmoul told you: "This was an old wallet. I was not using it. I gave her the account. I never touched it again".

MR JUSTICE MACDONALD: Yes.

B MISS CAMPBELL: We know that he always had a Gemini account. Mrs Zahmoul knew that because she had seen that in the *Imerman* disclosure. So she knew there was one there. And in the *Imerman* letter from HFC back to Withers, it is listed, and the solicitor writes: "My client no longer holds a Gemini account" - not that he never held one, no longer. I accept Mr Molyneux's criticism that, technically, having legal title to
C an account should have been included in the Form E.

MR JUSTICE MACDONALD: Yes.

D MISS CAMPBELL: Mr Zahmoul was wrong, but many people do that. I am not excusing it, I am explaining that often if you consider something that was given as long ago as three years ago, in 2021, "Oh, I gave that to my sister. I have never touched it", no, you would not refer to it. Mrs Zahmoul has made a big ordeal about getting the subpoenas in February 2023 and it blew open Mr Zahmoul's lies, she said. But in 2022 he explained to the cryptocurrency expert: "I have given this wallet to my sister".

E MR JUSTICE MACDONALD: Yes.

F MISS CAMPBELL: Mr Molyneux will take you to the timing of when that was transferred. There is no secret. My client was anxious about what would happen to his sister's money, and Layla, his sister, filed an affidavit. It has not been referenced by any of us, but it is in the bundle, and she makes that clear, that her brother thought there would be trouble and transferred the coins to her. Again, it is not the best thing to do in financial remedy proceedings. I accept that. It is not uncommon, and it was not hidden.

MR JUSTICE MACDONALD: Yes.

G MISS CAMPBELL: That information was given before the subpoena was applied for. Then we have the Xapo accounts. Well, that is perhaps the one thing where Mr Sibenik was worthwhile. The research enabled my client to identify this account. Again, the contemporaneous documentary evidence is entirely consistent with what he told you
H and what he said in his statements. The account was closed -- one of the accounts was closed in October 2020 for inactivity.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: And there was an internal exchange. It became, as I understand it, a bank. Mr Zahmoul explained that as a transaction platform, it moved. And you can see on the statements the internal transactions, nothing external. And all of the

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A correspondence with Xapo makes it clear that they had no contact with him and that the Bitcoins were there, processed, and given back to him.

MR JUSTICE MACDONALD: Yes.

B MISS CAMPBELL: So, my Lord, this is the figure that you will see that I have already taken you to in my schedule. I say that when you go to the computation exercise, my Lord, that you should make a finding that the total assets are 12.769 million.

MR JUSTICE MACDONALD: Yes.

C MISS CAMPBELL: And then you should make the adjustments which I have travelled through in the Form ES2, net effect.

MR JUSTICE MACDONALD: Yes.

D MISS CAMPBELL: Take off the inherited money, take off the Coinbase tax, the education fund, the Portuguese tax, and at para.23 I identify the £913,000 to be added back. My Lord, I will just deal with that in a little bit more depth.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: In my opening note at pp.13 and 18, I referred my Lord to the cases of *TT v CDS*, which was a Court of Appeal case ----

E MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: -- and *YC v ZC*, which was a case of His Honour Judge Hess; the former in 2020 and the latter in 2022. The Court of Appeal -- and I will read this out, my Lord. It is appended in the notes, so you will not need to note this down.

F MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL:

G "The general approach is that litigation conduct *within* the financial remedy proceedings will be reflected, if appropriate, in a costs order."

That is what we expect. This is para.46, my Lord.

H "However, there are cases in which the court has determined that one party's litigation conduct has been such that it should be taken into account when the court is determining its award."

So at this stage. So the Court of Appeal approved this approach, and they say that not only should you take it, or might take it, into account at this stage, but you could also do so and make a costs order. At para.78 of the authority, the quote reads:

"The depletion of matrimonial assets through litigation misconduct will plainly not always be remedied by an order for costs."

A That is where I say we are.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL:

B "As I have said, such an order simply reallocates the remaining assets between the parties and does not necessarily remedy the effect of there being less wealth to be distributed between the parties."

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL:

C "What is important is that, whether by taking the effect of the conduct into account when determining the distribution of the parties' financial resources ... and/or by making an order for costs, the outcome which is achieved is a fair outcome which properly reflects all the relevant circumstances and gives first consideration to the welfare of any minor children."

MR JUSTICE MACDONALD: Yes.

E MISS CAMPBELL: His Honour Judge Hess did exactly that in a case where he said one party's costs were grossly disproportionate. In this case, my Lord, we have exactly that. Nearly £1 million.

MR JUSTICE MACDONALD: Yes.

F MISS CAMPBELL: It is a phenomenal sum, and we are used to hearing these big figures in these courts. We only have to think about what it would do to our own finances to lose £1 million.

MR JUSTICE MACDONALD: Yes.

G MISS CAMPBELL: It changes people's lives. It means that you cannot live at the standard of living you may want to.

MR JUSTICE MACDONALD: Yes.

H MISS CAMPBELL: It means that you have to tighten your belt because it has gone. If it were a couple of hundred thousand pounds, although that is still a lot of money, we might not look in this way. But I say, my Lord, £913,000 on top of a million. A million, as I have mentioned earlier, is already, I say, a disproportionate sum to be spent, but nearly two?

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: So, my Lord, then looking back to my submission on para.23, these are the specific reasons I say you should add it back, and I have listed them here.

MR JUSTICE MACDONALD: Yes.

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- A** MISS CAMPBELL: Ordinarily, the respondent to a financial remedy claim bears the burden of the greater work. He holds the assets.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: He has to justify what has been done. He has to source lots of
- B** information, answer questions. It takes time to read the information, I do not deny that, but to find the answers and explain it is a much more burdensome task, and we are used to seeing in these courts the earner, the asset holder, having a bigger bill.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: That is the standard end result. Not so in this case. And we know that Mrs Zahmoul has not even bothered with most of the directions attached to her that this court thought was important, not what she thought was important. We do not have any of her updating disclosure, except debts. She has been quick to update those.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: She is very quick to let us know the third party people who are likely to sue her as well. We have got evidence of that. But her bank statements or her credit cards, her tax returns?
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: She still has not provided the F File documents. The F File documents and the US tax returns show the list of foreign accounts. She has just point blank refused. This morning there was a discussion, and overnight and through this morning
- F** my client has been again chasing evidence to show the Coinbase disclosure, chasing evidence to show the Portuguese tax returns. You will remember Mr Molyneux wanted to see the foreign table that was referred to as missing.
- MR JUSTICE MACDONALD: Yes.
- G** MISS CAMPBELL: My client has spent the best part of a day and a half obtaining and producing that information. We asked for the FBAR form with Mrs Zahmoul's list of foreign banks. She simply said no. So why are her costs even as much as Mr Zahmoul's?
- H** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: We know that Mrs Zahmoul has spent just shy of £220,000 on third-party costs. 168 paid -- sorry, 168 still due, and 51 paid to Nick Warr. Now, had that resulted in a consensus about the tax position, it might have been worthwhile, but we do not. We do not have any. Mrs Zahmoul challenges Mr Zahmoul, even now. She was spending more money getting TACS(?) to complain about his US tax return than even

- A** resolve this issue. My Lord, you might remember that certainly since September this has been a big issue. The court obviously wants to know what is the bottom line.
- MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: What we have done, which is not economic for the parties, we have taken costs at the worst case scenario on the basis of liquidation, because we cannot get consensus with Mrs Zahmoul about how to treat it.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: If Mrs Zahmoul at the end of these proceedings chooses to cooperate with Mr Zahmoul, they can both save tax. It will be of benefit to them both. But because we have no confidence that that will be done, we have looked at the worst case scenario.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: But Nick Warr was not only instructed to try and sort out the tax, he was actually instructed to negotiate. My Lord, you will remember the document that Nick Warr wrote when he said: "I am instructed not to communicate".
- MR JUSTICE MACDONALD: Yes.
- E** MISS CAMPBELL: Mrs Zahmoul told her advisers, with whom she had spent the best part of £200,000: "I do not want you to talk to Mr Zahmoul or his team".
- MR JUSTICE MACDONALD: Yes.
- F** MISS CAMPBELL: That is destructive, not just wasteful. CipherBlade. CipherBlade Mrs Zahmoul tried to bring in right at the beginning in front of Her Honour Judge Cope, and there were real concerns about CipherBlade. It has now gone and Mr Sibenik has moved on.
- MR JUSTICE MACDONALD: Yes.
- G** MISS CAMPBELL: His methodology raised serious concerns that Mr Pinto was concerned about. And yet Mrs Zahmoul has paid -- we do not know how much but he has produced two reports. He has been engaged throughout months and months of discussions. I dread to think what he has been paid. Again, no application for his
- H** report to be relied on. It was slid in, not used, another waste of money.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: The breaches. Countless breaches. We counted over 50 important breaches, so that you, my Lord, did not have an ES2 and Mr Zahmoul did not have a section 25 statement to answer, and there was no open offer. It was only when Mr Molyneux stood and addressed the court that we knew Mrs Molyneux(sic) wants it all.
- MR JUSTICE MACDONALD: Yes.

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- A** MISS CAMPBELL: How can you plan a case ----
- MR JUSTICE MACDONALD: Mrs Zahmoul, not Mrs Molyneux.
- MR MOLYNEUX: She has had it all. (Laughter).
- MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: (Inaudible).
- MR JUSTICE MACDONALD: It was, yes.
- MISS CAMPBELL: I am embarrassed, my Lord. I apologise.
- Burgess Mee - this is really interesting, my Lord, because I say this is another classic
- C** example of how money has been burned away. Burgess Mee have a bill of unpaid costs of £265,000. We know they have had £40,000 because they got the Detach loan extension, so that is on top of 40.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: And we know that Mr Zahmoul in the first LSPO order that my Lord made, £110,000, if you remember -- it was paid to Burgess Mee. They took the money and then were not instructed.
- MR JUSTICE MACDONALD: Yes.
- E** MISS CAMPBELL: They kept 20 of that. So they have had 60 and they say they are owed 265. That is a bill for Burgess Mee of £325,000.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Do you remember what Mrs Zahmoul told you in her evidence, and
- F** indeed in her written evidence? "I had no legal support", she said, "for 12 months since Withers stopped acting in September 2022".
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: She said: "Oh, Burgess Mee came on the record for the brief period to
- G** help me with my application". It turns out that brief period was actually October 2022 through to March 2023. We only learned about that later. At the time when she was making her LSPO application, she said: "I have been on my own for 12 months".
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: But somehow Burgess Mee have racked up a bill of £325,000. Where has that gone?
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: What have they done? Well, we will never know but, again, very good evidence, my Lord, of this money being burned for no good purpose, and this is hard-earned money, and one can understand, when you see the money disappearing like that, why Mr Zahmoul did what he did with the mortgage.

- A** MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: It is ironic that he was accused of dissipating funds by paying down that mortgage. He did not breach the orders. Perhaps it was not within the spirit of the original Her Honour Judge Cope order, but he was permitted to do it. He could use money to pay the mortgage, which is exactly what he did. But, standing back, had he not, imagine what would have been spent. Certainly that \$700,000 or \$800,000 that was sitting in the reserve account. Actually it has been saved. We know Mrs Zahmoul came to court time and time again looking for liquidity, burning through assets, and even when, ironically, she asked for the Penn (inaudible) to be frozen, the last liquid asset - a complete lack of focus, misdirection, "save and secure because Mr Zahmoul is not to be trusted, he is dissipating my assets" - what she really wanted to do was spend it. In fact he offered her half, but half was not enough, she wanted it all.
- D** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: So that is why I say that 913,000 should be added back, and Mrs Zahmoul should bear the lion's share of the balance. It is 858 when everything else is washed through.
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: And I say that that is right. My Lord, in para.25 I deal with income resources.
- MR JUSTICE MACDONALD: Yes.
- F** MISS CAMPBELL: Mr Zahmoul has not been a higher earner since 2014. My Lord, it is worth looking at the table at 2228 and 9 in the bundle, because this is actually illustrative of the parties' finances. It has caused some consternation for Mrs Zahmoul but she is simply not reading the document.
- G** MR JUSTICE MACDONALD: Sorry, which page?
- MISS CAMPBELL: 2228. 22-28.
- MR JUSTICE MACDONALD: Thank you. Yes.
- H** MISS CAMPBELL: Because what this shows -- and we have to remember, this was prepared to try and persuade the authorities what was clean capital so that there would be no tax to pay, because Mr Zahmoul had put himself offshore, and if he came back onshore all the money that he had spent that had been kept offshore would have been taxed. So he had to show as much clean capital as he could to limit that tax if he came back onshore. He actually stayed offshore for tax purposes, again saving thousands of -- hundreds of thousands of pounds, millions. But what his adviser has done here, as you will see, the very first column on 2228, this is all income.

- A** MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: Everything from Barclays, everything from the shares from Barclays, the (inaudible) AP rewards, that is the Barclays shares. Then you have got the overseas relief. We have got profit from self-employment, profit from partnerships, dividends, income, foreign income. This is not just offshore income or onshore income, this is everything. Mrs Zahmoul completely missed that.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: This is everything that has ever been earned up to 2018, and then '18 to '20 we have got the Sphere Digital money, about \$300,000, which, because he was in Morocco and it was offshore, was not taxed. So that has to be added on. 600,000 is added on. But that is everything.
- MR JUSTICE MACDONALD: Yes.
- D** MISS CAMPBELL: And you can see all of the tax. My Lord, just look at the headlines, 2005, '6, '7. You can see the Barclays income is good, as you can see in 2010, getting really high in 2011. If you scroll down to the next page, my Lord, you see how that diminishes. 2015 is obviously the year that includes the final salary.
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Then it goes down to nothing in 2018. All the shares are paid in. Then all we have left is the foreign income, and these are modest figures, my Lord.
- MR JUSTICE MACDONALD: Yes.
- F** MISS CAMPBELL: Those last figures, ignoring the Barclays award, look at the bottom three lines, and you can see the other income that Mr Zahmoul has had from 2014 onwards. We are talking about £22/23,000, 28 and a bit, 77. This is modest. So Mr Molyneux will tell you, my Lord, that Mr Zahmoul has a high income capacity. It is nonsense.
- G** There are two things to remember. When he left Barclays he earned modestly. He had for two years a reasonable income from Sphere Digital, but that ended up in litigation in Morocco. He had to go to a foreign country to earn that.
- MR JUSTICE MACDONALD: Yes.
- H** MISS CAMPBELL: He has capacity to work and he can earn, and that will supplement his basic needs. He is 58. One might think that after earning this sort of money and experiencing this sort of event in his life, that he may choose not to, and live more modestly, and he should be entitled to do that as long as the parties' basic needs are covered.
- MR JUSTICE MACDONALD: Yes.

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- A** MISS CAMPBELL: Mrs Zahmoul, I accept she has not got capacity to earn enough money to support herself but, like Mr Zahmoul, she can earn to supplement her income needs.
- MR JUSTICE MACDONALD: Yes.
- B** MISS CAMPBELL: She will have enough from my proposal, £150,000 net per annum, to live on, and she can choose to stay in bed, go skiing, do whatever she likes, hopefully not sue my client.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: And if she wants to earn more, she can, because she has a number of skills. She is a tenacious individual. She shows absolute commitment to a cause. She is obviously engaging, attractive. She is a woman who will be available in the work force of many industries that would love all of those attributes. Mrs Zahmoul may not work, and she too is entitled not to. She has had a long life of contributing to the family and to her husband, and she too may choose not to, as long as her basic needs are met.
- D** But they both have the capacity, in my submission, to supplement. So when you look at income resources, I ask you to accept that their resources, their income capacity is similar, and neither should need to exercise it unless they want to, and that is a matter
- E** for them at their ages.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: My Lord, I turn over to accommodation needs.
- MR JUSTICE MACDONALD: Yes.
- F** MISS CAMPBELL: Another aspect of section 25(2)(b), their accommodation needs and income needs. Accommodation first. Both parties are entitled to a roof over their heads obviously, but, remember, my Lord, this is a family that has rented their home since 2011.
- G** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: They do not need to buy unencumbered freehold property. Our proposal assumes that they will, but that again is a matter for election. They can choose. What sum is the right figure that your Lordship should alight upon? I say £2
- H** million. What does the evidence say? Well, my Lord, you have been given scant evidence, I am afraid to say.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Mrs Zahmoul said in her section 25 statement -- and obviously we did not get this until late in the trial so I did not know what was coming.
- MR JUSTICE MACDONALD: No.

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A MISS CAMPBELL: But she says she wants a home in Wyoming, London, Boston and New York City, Upper East Side Manhattan. No property particulars. We have got no idea what £2 million, or 3 million or 4 million or 5 million will buy. I am sure Mr Molyneux will be instructed to tell you. But the 3 million she referred to in her statement as

B modest. There is no evidence. Your Lordship will look at the fact she has elected to stay in Wyoming ----

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: -- and actually, looking at the 12 accommodation property she is in at

C £6 million, one would assume that a decent small home for a family could be acquired in perhaps the less attractive tourist areas for 2 million.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: But, my Lord, you should not really need to speculate about what you

D can you buy overseas. The court can take judicial knowledge of what happens in this country, and in this country in Cheltenham, where Mrs Zahmoul has lived, you can buy a palace for £2 million. My Lord, we know, you can buy decent family home in most of the good boroughs in London for £2 million. My Lord, in the void that you have

E been given, I invite you to accept that for a couple who have always rented, £2 million is more than sufficient to meet their housing needs.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: What about income needs then, my Lord? I have already said that my

F proposal would give Mrs Zahmoul about £3 million, depending on what she does with the rest of her money. That will, on a Duxbury fund, give her £150,000 per annum for life.

MR JUSTICE MACDONALD: Yes.

G MISS CAMPBELL: We know that often in these courts judges will alight on the here and now, and then frequently reduce it by a third - the common approach - on retirement.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: Because the parties spend less money as they get older.

H MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: I am conscious that Mrs Zahmoul will say 150 is not enough anyway, so, my Lord, I have proposed 150 which is a flat figure. It might not be enough now, but it will be more than enough later. My Lord, you will want to ask yourself: is this enough for this family?

MR JUSTICE MACDONALD: Yes.

A MISS CAMPBELL: This is an important aspect of my submissions, my Lord, because I anticipate Mr Molyneux will say to you: "This is a family that has lived on £1 million a year. Mrs Zahmoul needs £600,000". That is what she has put in her statement. If he is sensible, he will say to you: "Well, I am not even going to press that on my Lord, but
B 250, that is a reasonable figure, or 300".

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: My Lord, that is not needs. Needs are what you require to furnish and keep your home, to keep warm, to have food on the table, to have clothes, to have
C holidays.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: The standard of living during the marriage was not the benchmark of needs. That was the benchmark of profligate spending.

D MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: And Mr Zahmoul alerted his wife to it throughout the marriage. This was never a consensual way of spending. My Lord, I took Mrs Zahmoul to these documents, and I have referred to them in para.36. We have got contemporaneous
E records in 2014, '15, '18, '19 and '20, that is before the divorce got going ----

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: -- of him saying: "We cannot really afford what you are spending. Can you cut back?", and Mrs Zahmoul saying: "Oh, I am sorry, I know I should not have
F done that". This spending is not needs and it should not be used to reflect the standard of living. It was never affordable because from 2018 onwards this has come from capital. Now, if this couple had stayed together and carried on spending like that, there would be nothing left, and they might have done that. We will now dissect their
G resources and, my Lord, you need to be sure that Mrs Zahmoul's needs can be met, not that her election to plough through capital is respected at a cost to Mr Zahmoul. Do not be tempted if Mr Molyneux says to you: "Well, look, there is 12 million here. Give 5 to him because he can go out and work, and give 7 to her because she has got very high
H expenses". That is not right. The court needs to first of all identify: is there a maintenance provision here? Well, maintenance is paid when someone is working. Mr Zahmoul is not avoiding work. This family's lifestyle choice is he has not really worked since 2020. For four years they have been living off capital so there is not a maintenance claim. Is there - the next question - enough capital to meet her needs?

MR JUSTICE MACDONALD: Yes.

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A MISS CAMPBELL: Well, stepping back, £5 or £6 million, of course there is. Is there enough to meet her spending at the level she wants to spend? No.

My Lord, that takes me to the authorities, and while I am on this, I am slightly out of sync in terms of the note. But if I can ask you to turn to p.64, I will talk about the authorities because I have come to that point sooner than I had anticipated.

B MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: I take my Lord to *SS v NS*, which is a famous case about maintenance which is trotted out time after time.

C MR JUSTICE MACDONALD: It is.

MISS CAMPBELL: But it asks some useful questions, and I have included it here so that you can see the context, and I have highlighted it in bold.

MR JUSTICE MACDONALD: Yes.

D MISS CAMPBELL:

"Assuming that the marital choices have given rise to hard needs [this is what you need to feed and clothe yourself] which have to be met by a spousal maintenance order, the next questions that arise are: how much and for how long?"

E MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: He, Mostyn J, then went on to quote the Law Commission, and the Law Commission looked at that, and at para.34 of the authority, Mostyn J quotes, in answer to the first question, how much:

"Exactly how, and at what level, needs will be met will depend on the resources available ..."

G So, my Lord, point number one: what is there?

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL:

H "... and usually [usually if you would] the marital standard of living."

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: In brackets: the affordable marital standard of living. He goes on to quote the Law Commission:

"Replicating the marital standard of living in two homes, after divorce, will be rare ... "

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A This is exactly that. It is not just poor families who do not have enough. Wealthier families do not have enough to continue in the way they want to.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL:

B "... most parties will not be able, in the short to medium term, to live at the standard they enjoyed during the marriage."

Exactly where we are here.

C MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: He goes on to quote:

D "That said, their former standard of living will be relevant in so far as any reduction in standard of living as a consequence of the financial settlement made on divorce should not fall disproportionately on one party."

E So do not be lured by Mr Molyneux into giving Mrs Zahmoul much more capital so she can live at 250,000 or more per year because Mr Zahmoul could work. That would be disproportionately unfair, that he would have to work to try and catch up, to even get halfway, and she would still have the excess. That is exactly why the invitation to give more to meet needs at an inflated level appears attractive ----

MR JUSTICE MACDONALD: Yes.

F MISS CAMPBELL: -- but it is so dangerous, because what is fair for one is fair for the other. He says in para.35, again a much quoted phrase but one worth remembering:

"I would emphasise the final sentence. It is a mistake to regard the marital standard of living as the lodestar."

G And that is exactly where we are.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: So, my Lord, going back to para.34 ----

H MR JUSTICE MACDONALD: Miss Campbell, I am aware of the time.

MISS CAMPBELL: I am so sorry. I am very sorry. I will be about five more minutes.

MR JUSTICE MACDONALD: Then I think we will conclude your submissions before I rise. Yes.

MISS CAMPBELL: The income needs, you will want to fix a figure for Mrs Zahmoul's reasonable needs, and at para.38 I refer to the figures that Mr Zahmoul has said in his budget, and I have given you the reference there, about 12,000 a month, which has

A some resonance because the MPS budget that you made, the order you made in June, was for £11,762, which is similar, and in fact what had Mrs Zahmoul been spending through the marriage, £2,000 a week-plus, but basics ----

MR JUSTICE MACDONALD: Yes.

B MISS CAMPBELL: -- £2,000 a week, which is 104. 150,000 will cover all of that. It is not necessary to provide for costs in Wyoming, Brooklyn, Manhattan, a housekeeper. Where would the housekeeper go? So £150,000 per annum, and a capital fund of 3 million.

C My Lord, para.46, this is a long marriage, the parties are of a similar age but nearing later middle age where they will be thinking about retirement.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: They have had an unusual marriage but I accept going on till 2020.

D MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: The fact that Mr Zahmoul continued to share so much financial information does not mean that Mrs Zahmoul's conduct in stealing his confidential information is acceptable. That was unlawful. It was a breach of his privacy and his confidential documents. She knew it was not right because she did it secretly and she kept back the documents and she tricked him.

E Disabilities, mental or physical. My Lord, there is no evidence of either save for the letter from Gerald Libby, and I ask you to treat that with caution, my Lord. That is para.50.

F MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: It refers to PTSD in 2013. We have got no details of that report, no surrounding medical records, no information, except a letter which appears, on the face of it, to be pretty self-serving, referring to coercive and controlling behaviour that has crippled Mrs Zahmoul. Well, that is not consistent, I say, with her own case and the letters we looked at, which were full of love. Of course relationships have their ups and downs, but this is not one that would, in my submission, require the court to treat Mrs Zahmoul as somebody with a mental deficiency of any form.

H MR JUSTICE MACDONALD: No.

MISS CAMPBELL: Because she has been -- and she has shown commitment, as I have said, tenacity, and I would add, my Lord, that my submission to you, as an observer in these proceedings, is that Mrs Zahmoul has shown an ability to be very strong, determined, not to be cowed. This is a woman who you might say is fully in control. It may not be

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A the control that I would have or would take, maybe not ones that your Lordship might take, but it is certainly a woman who is not being bullied by anyone.

MR JUSTICE MACDONALD: Yes.

B MISS CAMPBELL: My Lord, I have also referred over the page on para.55 to the fact that Mrs Zahmoul had no hesitation in bringing and threatening proceedings against Mike Deeg, Bitwyre, Tifern(?), the Bank of Jackson Hole. This is a tenacious, strong and independent woman.

MR JUSTICE MACDONALD: Yes.

C MISS CAMPBELL: Do not feel that her conduct and behaviour through these proceedings is such that should either justify the historic conduct or such that you need to give her greater allowance, because I can assure you, my Lord, and this is an important submission I want to make, this has been a difficult time for Mr Zahmoul. He has not
D displayed his anxiety, his concerns in the same way, but both parties have found this difficult. My instructions are that Mrs Zahmoul is very adept at playing to the audience when it suits her, because when she has wanted to, she has been able to give very defiant, very clear and very obstinate instructions throughout.

E My Lord, I have referred to your judgment, which I know you will be aware of.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: I want to just deal with the last point about the mortgage.

MR JUSTICE MACDONALD: Yes.

F MISS CAMPBELL: That was paid down, my Lord, and at para.63 I have a table there which sets out the costs that increased over the period of time that the court was dealing with this application.

MR JUSTICE MACDONALD: Yes.

G MISS CAMPBELL: It is a point I have made orally, but here are the figures. You will see where the yellow line is. The parties' costs were pretty similar.

MR JUSTICE MACDONALD: Yes.

H MISS CAMPBELL: That was back in August 2021. But for the first time it was apparent to Mr Zahmoul that his wife was proposing to spend another £318,000, compared to his 145. It was already going to be double. By the hearing in May, the costs had gone up to 248 -- sorry, 393 incurred. So more than double in that period.

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: And by June up again to 586, with a proposal to spend nearly another 500.

MR JUSTICE MACDONALD: Yes.

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- A** MISS CAMPBELL: My Lord, by July, look at the figures. I mean, these were huge increases. It is perhaps not surprising that in September, on the 15th, when Mrs Zahmoul revealed her third-party costs, that Mr Zahmoul went straight out to the bank and paid off the mortgage.
- B** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I ask that that is put in context. My Lord, I have given you the quotes already in respect of the authorities.
- MR JUSTICE MACDONALD: Yes.
- C** MISS CAMPBELL: And at para.66 I set out the stages of the order that we seek. I ask my Lord to look in particular at para.(m) - I am asking for £150,000 to be retained from the pension proceeds as a war chest to defend any proceedings that Mrs Zahmoul may bring against Mr Zahmoul. I had initially in my opening note asked for a contingent lump
- D** sum, but it seems very open and it requires more litigation to get. If there is a sum set aside for any litigation that touches upon the issues that have been resolved in this court, I say that that is vexatious and Mr Zahmoul should have some money to defend himself.
- E** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: If Mrs Zahmoul is prepared to give an undertaking not to pursue that action - because Mr Zahmoul was asked to give an undertaking to protect her from his conduct, which he could give - she should, if she was reasonable, do the same. Then, if
- F** that undertaking is forthcoming, we do not need a war chest.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: But if she refuses, in my submission, it is right that Mr Zahmoul has some protection. My Lord, I have taken more time than I promised, and I apologise.
- G** MR JUSTICE MACDONALD: Do not worry. Thank you very much, Miss Campbell.
- Thank you. Mr Molyneux, I will hear your submissions at 2.15. I believe you might have been told that I need to rise at 4.00. In fact I managed to write the speech that I was due to be giving at 5.00 whilst I was waiting for this case to come on, so you now
- H** do have until 4.30, possibly slightly longer.
- MR MOLYNEUX: I am hoping I do not need it.
- MR JUSTICE MACDONALD: Thank you very much.
- MISS CAMPBELL: Thank you, my Lord.

(Adjourned for a short time)

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- A** MISS CAMPBELL: My Lord, over lunch I have had instructions from my client that the litigation in the US is continuing ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- at a pace. There is actually a hearing on 4 March.
- B** MR JUSTICE MACDONALD: I see.
- MISS CAMPBELL: And at that stage there will be directions for a fully-blown hearing ----
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: -- as I understand it, if my client (inaudible).
- C** MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: I would like to add an amendment to my final position.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: That the transfer of the property at 3100 does not take place until the
- D** litigation is brought to an end.
- MR JUSTICE MACDONALD: Yes.
- MISS CAMPBELL: Because it seems that that would be more effective, if your Lordship considers it appropriate, in trying to bring about a resolution to that litigation.
- E** MR JUSTICE MACDONALD: Indeed, yes.
- MISS CAMPBELL: Thank you, my Lord.
- MR JUSTICE MACDONALD: Thank you very much. Yes, Mr Molyneux. (After a pause)
- MR MOLYNEUX: My Lord, just one second while I get a glass of water.
- F** MR JUSTICE MACDONALD: Yes. (After a pause)
- MR MOLYNEUX: Well, my Lord, this is it. This is the end ----
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: -- of this litigation. After the best part of four years, a bundle that now
- G** extends to 4300 pages.
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: And many, many thousands of other pages that did not make the final cut although they auditioned for the final bundle.
- H** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: And what is this case ultimately about? I think it was Justice Potter Stewart in the US Supreme Court in a very well-known case called *Jacobellis v Ohio*, which was all about obscenity and the issue in the case was: what is obscene, what is obscenity? And he said: "Well, I know it when I see it". It is a very similar notion in the Hound of the Baskervilles where Sherlock Holmes is presented with a picture and he is asked whether that is good art, and he says: "Well, I know good when I see it".

- A** And you should know a non-disclosure case when you see it, because that is what this case is all about. It is about non-disclosure. It is about whether or not Mr Zahmoul has deliberately and dishonestly sought to - and, if so, whether he succeeded in so doing - not make proper disclosure of his financial resources.
- B** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: And we say, my client says that, looked at in its entirety, the issue for you is not has he tried to do that, because obviously he has tried not to make full disclosure. We are going to look at the details of that in closer examination shortly.
- C** The real issue is: has he succeeded in relation to other things about which we do not yet know? I mean, it is pure happenstance that we have stumbled across - or, as he was would have it, that he has stumbled across - US\$800,000. I mean, that would never have seen the light of day if it had not been for the enquiries which put him on notice
- D** that it was about to be discovered, the Xapo account. Otherwise we would be sitting here today with no visibility at all about that asset. The same pretty much in relation to Gemini, and who knows what the position would have been in relation to the Coinbase equity.
- E** So I do not want you to think -- and it is easy, in a way, to characterise Mrs Zahmoul as this, because she feels passionately about this case and the way that she has been treated, but she feels passionately but at the same time rationally about it. I do not want you to -- not that you would do this of course. But I do not want anyone to dismiss her
- F** as someone who is gripped by some insane desire for pointless disclosure by way of punishment of Mr Zahmoul without regard to the costs or the consequences or anything else, because it is just not like that. I said at an earlier hearing (probably self-indulgence of the advocate) that she was in the position of Cassandra in Greek
- G** mythology whereby she was condemned to know the truth but have no one believe her, as she sought disclosure in relation to cryptocurrency, as she sought the appointment of a single joint expert. There she was saying: "He is not telling the truth. He has not made full disclosure", and the answer was coming back: "Well, we are not getting a
- H** single joint expert quite yet and you are not having this disclosure quite yet".
- And of course we now know that at the point where she was making those submissions, which were being pilloried, which were being rejected by Mr Zahmoul and his team, there was a million dollars of crypto. A million dollars of crypto which he had not disclosed which were in accounts in his name. So when at the beginning of 2022 -- and this is an important data point. When, at the beginning of 2022, she was saying to the court: "He has not made disclosure. There are assets which he has not told the court

- A** about", she was right, and everybody was saying she was wrong. I pause there. If that was referable to £100,000 or £200,000 or £300,000, it would be bad enough. But at today's values, we have 20/21 Bitcoins worth - what? - the fat end of \$1.1 million, all at that point, in the spring of 2022, in his name, none of which he was owning up to.
- B** Now, of course his explanation is: "Well, some of them were not actually mine. They were in an account in my name, but they were not mine. Others I had forgotten about. Easily done, 16 Bitcoins, just forgotten about them". But the reality is -- and we will explore the plausibility of those explanations, but the reality is that he had those crypto
- C** assets, and the court did not know about it, and Mrs Zahmoul was saying they existed and she was right.
- Now, this is a case in which there can be no dispute that the husband's Form E was deficient, grossly deficient.
- D** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: It is a case in which there can be no dispute that it entirely omitted what in today's money is worth \$1.1 million of cryptocurrency which was in his legal name and for the most part, 16 out of those 21 undisclosed Bitcoins, in his beneficial
- E** ownership. With good reason does Mrs Zahmoul look back at that time and the way that she was being treated, and reference it using the now popular expression of gaslighting, because he was denying what was ultimately shown to be true, that he had not made a proper, frank, full fist of his disclosure obligations.
- F** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: In the light of that, because it is very hard when someone is not telling the truth and you know they have not told the truth and they have got form for not telling the truth -- it is very hard to quantify the assets because ultimately this whole
- G** exercise is dependant, broadly speaking, on the honesty and integrity of the litigants that participate in it, and when you strip away that honesty and integrity, what are you left with? Well, not very much at all, and it is for that reason that she seeks the entirety of the visible resource on the reasonable likely working assumption that it represents only
- H** a fraction of the total divisible resource. In those circumstances, she should not be the one who suffers any penalty arising from non-disclosure. I say that at para.5. In fact I should have handed these out, because it will save people taking a note. (Same handed) I should have done that at the outset. (After a pause)
- MR JUSTICE MACDONALD: Yes, thank you.
- MR MOLYNEUX: I can send a soft copy of this, as I am sure Miss Campbell will as well, so you have got a complete record of everything that has been said.

A MR JUSTICE MACDONALD: Thank you.

B MR MOLYNEUX: You see at para.5 of that, that I have set out what the position is vis-à-vis the order that Mrs Zahmoul seeks. I do not shy away from saying that in most cases it would be a pretty bold submission, would it not, to say: "I want everything"? I am not saying that Mrs Zahmoul wants everything, far from it. She chances upon, she alights upon the visible resource because that will be the most easily enforced and enforceable set of resources, but she does not for a minute believe that that equates to even 50% of the total resource.

C MR JUSTICE MACDONALD: Yes.

D MR MOLYNEUX: The law. I am going to canter through the law, because you will know it and because it is set out both by Miss Campbell and by myself in our respective position statements, but we should look briefly at the case of *Moher v Moher*, a case in which I came second in the Court of Appeal.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: It starts as para.83, the bottom of p.2:

E "In my view, Mr Molyneux's submission is, in its effect, the same as the submission which was rejected by the Court of Appeal in *Baker v Baker*, namely that 'unless assets can be shown positively to be available an order cannot be made' ..."

At para.84, Moylan LJ continues:

F "I also consider that to impose the proposed requirement on the court in all cases of non-disclosure would be inconsistent with the overriding objective which requires the court to deal with a case in a proportionate manner, to save expense and to allocate to a case an appropriate share of the court's resources."

G Overleaf, at the very top of this page, para.85:

H "Further, it would seem to me likely not to assist but to impede the court's task of achieving a fair outcome if the court was *required* to seek to fill in the gaps created by a party's failure to comply with their disclosure obligations. This failure will already have impeded the court's task and, again, imposing this requirement would be to compound the consequences. I emphasise required because there will be many cases in which the court, despite the non-disclosure, will be able to and will need to make specific findings (as in *Prest v Petrodel*). But this is very different from saying that the court must always do this."

Paragraphs 87, 88, 89 and 90 set out some conclusions:

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A "87. (i) It is clearly appropriate that generally, as required by section 25, the court should seek to determine the extent of the financial natural resources of the non-disclosing party.

B 88. (ii) When undertaking this task the court will, obviously, be entitled to draw such adverse inferences as are justified having regard to the nature and extent of the party's failure to engage properly with the proceedings. However, this does not require the court to engage in a disproportionate enquiry. Nor, as Lord Sumption said, should the court 'engage in pure speculation'."

C MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX:

"As Otton LJ said in *Baker v Baker* ... [as] reiterated by Lady Hale in *Prest v Petrodel*:

D '... the court is entitled to draw such inferences as can properly be drawn from all the available material, including what has been disclosed, judicial experience of what is likely to be concealed and the inherent probabilities, in deciding what the facts are.'

E 89. (iii) This does not mean, contrary to Mr Molyneux's submission, that the court is required to make a specific determination either as to a figure or a bracket. There will be cases where this exercise will not be possible because the manner in which a party has failed to comply with their disclosure obligations means that the court is 'unable to quantify the extent of his undisclosed resources', to repeat what Wilson LJ in *Behzadi v Behzadi*.

F 90. (iv) How does this fit within the application of the principles of need and sharing? The answer, in my view, is that, when faced with uncertainty consequent on one party's non-disclosure and when considering what Lady Hale and Lord Sumption called 'the inherent probabilities' the court is entitled, in appropriate cases, to infer that the resources are sufficient or are such that the proposed award does represent a fair outcome."

H Which is what happened in *Al-Khatib v Masry*.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX:

"91. This approach is both necessary and justified to limit the scope for what Butler-Sloss LJ accepted could otherwise be a 'cheat's charter'. As Thorpe J [as he then was] said in *F v F*, although not the court's intention, better an order which may be unfair to the non-disclosing party than an order which is unfair to the other party.

A This does not mean, as Mostyn J said in *NG v SG*, at [7], that the court should jump to conclusions as to the extent of the undisclosed wealth simply because of some non-disclosure. It reflects ... that the court must be astute to ensure that the non-discloser does not obtain a better outcome than that which would have been ordered if they had complied with their disclosure obligations."

B MR JUSTICE MACDONALD: Yes.

C MR MOLYNEUX: The court should be astute to ensure that the non-discloser does not obtain a better outcome than that which would have been ordered if they had complied with their disclosure obligations.

D Let us go back in time. Let us imagine we are trying to settle this at the first appointment, or before the first appointment on the basis of Form Es. My client would have been encouraged to reach a deal on the basis of an asset schedule shorn of at least 800,000 of beneficially owned cryptocurrency, quite possibly another 200,000-and-something of certainly legally held, and we say beneficially owned, cryptocurrency, and an asset that was shortly to become 7 million. And of course if Mrs Zahmoul had succumbed to the blandishments of Mr Zahmoul and done a deal in the month that followed that first appointment, she would have been doing a deal on the basis of what then would have been disclosed assets of 10, 11, 12 million sterling, as opposed to what would have been the resource of a much higher figure had not so much money been spent as a consequence -- I underscore this, as a consequence of the way that Mr Zahmoul has behaved. She would have been doing a deal to draw those threads together on the basis of fraud and dishonesty and misrepresentation. And she did not, because she pressed on because she knew that something did not smell right.

E And of course now we come to the end game. We come to the final night of the performance and we see Mrs Zahmoul being criticised for all the money that she has had to spend in order to have any hope of getting anything like a fair and just outcome on the basis of transparent disclosure on the basis of trying to understand what the true resources are, and that is unfair on her. That is why she has fought so hard for fairness.

G Now, para.7 deals more expansively with the law on conduct in *OG v AG*, drawing those threads together, although the Court of Appeal did not agree with Mostyn J that the court is obliged to quantify the hidden funds because of course in *Moher* my submission on behalf of the appellant in that case was that unless the court was able to identify in broad terms and put a figure on the totality of the undisclosed resources, then the court was falling into error, and the Court of Appeal said, no, there will be cases where that is just not possible where someone's absence of engagement or the depth of

A their failure to disclose is such that it would an unfairness to the applicant to require the court to limit itself to that which it can try and identify.

MR JUSTICE MACDONALD: Yes.

B MR MOLYNEUX: And visibility is not everything. There are some cases where it is better that the non-discloser suffers any injustice than the other receiving party, and of course this is one of those cases.

C So those threads are brought together by Mostyn J in *OG v AG* at 1 through to 4. The court is duty bound to consider, by the process of drawing adverse inferences, whether funds have been hidden. We say tick in this case. 2. But such inferences must be properly drawn and reasonable. It would be wrong to draw inferences that a party has assets which, on an assessment of the evidence, the court is satisfied he has not got.

D Well, that gets a tick here when we look at the way that the parties have lived, the standard of living which they have enjoyed, the standard of living which the husband has continued through these proceedings, Mrs Zahmoul says, to enjoy, and nobody would have spent as he has been spending absent the existence of those undisclosed resources. 4. In making its judgment as to quantification, the court will look first to direct evidence such as documentation and observation about the other party. And then the point that I have just touched upon, the court will then look to the scale of business activity and lifestyle.

Then, just in this romp through the law, a final references to *GW v RW*.

F MR JUSTICE MACDONALD: Yes.

G MR MOLYNEUX: This is Mostyn J - Nicholas Mostyn QC (as he then was) - who draws the court's attention to an immutable truth in this type of proceedings, that there is an obligation on someone filling in a Form E to make that Form E comprehensive and comprehensible, so the other party is not cast in the role of some sort of forensic detective, some sort of forensic ferret trying to get to the bottom and understand and piece together the documentation that has been provided. That is not the role of Mrs Zahmoul, or should not have been the role that she had to fulfil.

H MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: And yet it has been the role that she has had forced upon her because right from the get-go - right from the get-go - Mr Zahmoul did not tell the truth, did not make proper disclosure. Everything that has flowed from that date, all of the costs that have been incurred, the costs that have been wasted, are down to him. If he had adopted a different approach, if he had adopted a more honest approach right at the beginning of these proceedings, we would not be where we are now, and nobody would

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- A** be looking at 2.8 or 2.9 (or whatever the final bill comes in at) of costs. You would be looking at a much smaller figure, a much smaller figure, and that is not my client's fault. Now, what is Mr Zahmoul's non-disclosure and how did it inform Mrs Zahmoul's case? I say there that a lie leads a man from a grove into a jungle, and ain't that the truth in a
- B** case such as this? Because you start off with one thing and after that everything snowballs, and if you are caught out not telling the truth, not giving the full picture, then not only do you have to put your hands up immediately, but you also then have to make sure that the quality of your subsequent disclosure is absolutely spot on, that you are,
- C** like Ceasar's wife, beyond reproach, beyond suspicion. Mr Zahmoul of course did not do that, because it really has been death by a hundred cuts. We have moved on from Coinbase to try and get to the bottom of that, and we then go on to Gemini, we try and get to the bottom of that. We then go on to Xapo, we try to get to the bottom of that.
- D** We then go on to Ambience, we try and get to the bottom of that, and so on and so forth. And whose fault is this? Not my client's, but Mr Zahmoul's. So this case was set on course by that initial act of non-disclosure, that initial dishonesty because that, when we look at the evidence, is the only conclusion I say that the court
- E** can arrive at. Of course the way that Mrs Zahmoul has been treated subsequently is very, very unfair. I am not going to take you to every individual letter, but you will recall we looked at some of the letters, and the tone of the letters from HFC originally referencing her belief that there is some grand conspiracy or that she is pursuing a grand
- F** conspiracy, that is not just the only example of her being, if not ridiculed, then certainly having her approach severely questioned, is both unattractive and unfair. His Form E presented the court's dispositive powers as being 14.7 million less capital gains tax. In fact at that time he realised, or must have realised, because he did not make full and
- G** frank disclosure, that they were understated by \$7 million. It is really interesting to look at, in my respectful submission, the costs up to the end of the private FDR, because up to the end of the private FDR you will find -- the reference is p.1895.
- H** MR JUSTICE MACDONALD: Yes.
MR MOLYNEUX: You will find at 1895 -- I referenced it in evidence when asking questions of Mr Zahmoul. On 19 July 2021, so at the FDR, his total costs were £163,000 and Mrs Zahmoul's were £126,000. By the time we get to the PTR, the first PTR in July -- in fact I think it was described as a PTR, but it was actually a directions appointment, in March 2022, her costs are 393,000, and his costs are 247,000. Why have the costs grown in that way? Not because Mrs Zahmoul wanted to spend all that

A money, not because she was someone who required her hand holding, required a Rolls-
Royce service right from the beginning. Because had she been that type of litigant, had
B she been that sort of unreasonable character, that would have sounded in those initial
costs. We would have seen that up to the FDR, because there is plenty of scope for
C spending money up to an FDR. But she did not. She was spending less than he was
spending, and it is only his non-disclosure in relation to Coinbase - a very significant
feature in the case - that has encouraged her and led her to the conclusion, subsequently
validated by further non-disclosures, that she was being taken for a fool, and that the
court was being taken for a fool.

So what of these non-disclosures? It is very important to look at the chronology of the
Topanga and Coinbase disclosure.

MR JUSTICE MACDONALD: Yes.

D MR MOLYNEUX: That takes place -- all of this takes place against the overarching reality
that Mr Zahmoul was not some private equity hobbyist, some ingenue who purchased
this and then put it in a top drawer and forgot all about it. He was a keen and
enthusiastic devotee of the crypto sector, who happened to invest at a relatively early
E stage in Coinbase equity, and thereafter could not really believe his good fortune. As
we will see, it was not something that was then forgotten about and not commented and
not remarked in group chats involving him. It was something that was at the forefront
of his mind. On 17 March 2021 he deposed to a Form E, and at para.2.4 of that Form E
F he listed his investments. Eighth on that list, you will find at p.752 ----

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: -- what was said to be a holding in Topanga Holdings LLC, and the type
of investment, it reads simply "US company". There was no narrative gloss
G accompanying this unassuming entry, and its value, without further commentary, was
said to equal the \$75,000 holding. And there matters were left until the first
appointment, which took place a matter of weeks later. The first appointment was on 7
April 2021. Counsel for the wife produced an asset schedule. We have that asset
H schedule and we find it at p.881. In the asset schedule at 881 we can see in very small
print that it is prepared on behalf of the wife. It has got "Topanga Canyon Holdings
LLC, a US company. H paid \$75,000 for shares". It considers -- sorry, "some in capital
account, K1 2019. H has 7.109% shareholding. Company business unclear".
Company business unclear - well, that was not true. Now, that was produced of course
on behalf of the wife, but it was a document that was passed between the parties and
went before the judge. Everybody would have seen it. Everybody would have seen the

A narrative accompanying it, and how easy would it have been on 7 April, the very point at which the court is involved in the white heat of housekeeping, trying to make sure the parties have got a visible balance sheet to enable them to negotiate -- how easy would it have been for Mr Zahmoul to say on that day, or shortly thereafter but really on that day: "This holds equity in Coinbase and actually it is worth an awful lot of money. I do not quite know how much because it has not floated, but that is probably going to happen in the next few days, and this is a real windfall. So the figure there is not right at all. The figure should not be £1.118 million for private equity investments, it should probably be closer to 7 million, and it is important that I tell you now, Judge, and Mrs Zahmoul". But, no, he did not do that. He could have done it. He deliberately chose not to do it. That is the only explanation. If this was beyond a reasonable doubt, he would be bang to rights on that point, but of course you do not have to be that sure.

D MR JUSTICE MACDONALD: No.

E MR MOLYNEUX: Because we are dealing with things on a balance of probabilities. And the wife had of course made clear her concerns about the degree of transparency that she was being shown by the husband in advance of the FDA because she puts it in her statement of issues, and I say at 15(b), "whether the respondent has given a full, frank and clear account of his financial resources in his Form E". Again, it is an illustration that although she had those concerns, her costs were still pretty proportionate. She was not racking up costs. She was not behaving unreasonably. She was putting down a marker and she was seeking explanations and answers on the basis that she still hoped at that point that Mr Zahmoul would be a person who would tell the truth, or at least tell the truth when gently prodded.

F Of course what we now know, because he tells us, is that Mr Zahmoul knew of plans for a listing, and he must have known that on listing the value of the Coinbase equity held within the Topanga LLC would be many, many multiples of £75,000. And it is no good being coy and saying: "Well, I was a bit superstitious. I was adopting a literalist approach in Form E". It is no good saying: "Well, I told my solicitors", in G circumstances in which he has produced no evidence of that, and deliberately has not sought to draw back the veil of privilege. The court will draw its own inferences from that. None of that is good enough. Of course we know that he knew that he was sitting on something valuable because he says so at p.1343 in his statement.

H MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Just before he tells the court that he approached the Form E disclosure exercise literally -- of course he did not because in relation to other assets he values

A them at the current date, so it is only Topanga where he adopts this literalist approach,
and just above where he says that he claims to be quite conservative and superstitious
B about investments: "I have never considered a realisation or increase in value likely to
occur until it actually happens". I mean, really? And even if that were true, that does
not absolve him of the need to tell the truth so that everybody else can conclude
whether or not he is being reasonably conservative and reasonably superstitious, if
superstitious is ever reasonable. But we know all this because at para.24 he says:

C "I accept that I should have stated on my Form E dated 15 March
that there were discussions, plans for an upcoming Coinbase direct
listing, albeit these plans had not been finally confirmed, and, for
full clarity, explained that TCH was a vehicle for holding Coinbase
shares."

D MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: So he says in terms that he knew that there was going to be, or very
likely to be, because it had all been announced, a listing of these shares, and he chose
not to say it. Out of his own mouth, that is what he is telling the court. Now, of course
E he says: "Well, this all sounds very" -- perhaps he would not have said it quite in these
terms, but he might say: "This all sounds very damning. But, Mr Molyneux, you are
not telling the judge one important thing, and that is that my wife knew about this all
along so if I did not dot the Is and cross the Ts in relation to my Form E, it is because I
F thought this was a victimless crime because she knew. I told her, she knew all about it.
There was no real need to iterate and reiterate in my Form E or subsequently because --
well, because she just knew".

MR JUSTICE MACDONALD: Yes.

G MR MOLYNEUX: "So she is playing dumb now and saying, oh, well, she did not know, and
this is a sort of awful way to behave and it has caused all this cost and non-disclosure
on a gross scale, but actually she knew". There are a number of pointers as to whether
or not that has any plausibility at all. Of course the answer is it does not have any
H plausibility at all. She did not raise it in correspondence. I mean, the one thing that we
must have learnt over the course of the last eight days about Mrs Zahmoul is that had
she had a suspicion, had she thought that there was something that was in the Form E
that was not entirely true, had she thought that the Coinbase equity was missing, is it
really conceivable that she would not have raised it in a questionnaire? Is it really
conceivable that she would have signed off her counsel's asset schedule in which she
does not identify that as being an issue? I mean, she really would have to be playing a

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- A** very, very long game, would she not, to go along with this apparent non-disclosure, especially when she never raises it. She even agrees to mediate on the back of an entirely bogus asset schedule. She does not even raise it in advance of the FDR, because we know that it was only two working days before that it is mentioned at all,
- B** and the notion that she would have kept schtum in relation to this asset, told nobody, known about it but chosen not to raise it, is an absurdity, and the court should have no truck with it.
- Of course Mr Zahmoul, the husband, might have referenced the flotation of Coinbase to
- C** her. I say at 15(g) he might have commented to her about the flotation of Coinbase, as we saw that WhatsApp messages in which she replies. I cannot even -- this is where we have got to in relation to emojis, that although I understand what it means, I cannot convert it into language.
- D** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: I think that is what emojis are meant to do. I suppose if I were trying to do that, it would be a sort of excited, cheeky surprise.
- MR JUSTICE MACDONALD: Yes.
- E** MR MOLYNEUX: But it is doing an awful lot of heavy lifting, is it not? You could well imagine that that is the type of thing that Mr Zahmoul might convey to Mrs Zahmoul as a manifestation of the rise and rise of cryptocurrency in which she knew that he was profoundly engaged, but it is a world away from drawing the conclusion that it proves
- F** that she knew that he had \$75,000 of equity in something called Topanga Canyon LLC, which was a holding company for a shareholding in Coinbase which was likely to generate many millions of dollars in the future. It is doing an awful lot of heavy lifting and it is not justified.
- G** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: Moreover, and importantly, we see these spreadsheets periodically being exchanged and it had the reference Coinbase, Coinbase FF on one occasion. But it is pretty apparent from all of their dealings that Coinbase and cryptocurrency was an
- H** interchangeable term. It became a synonym, and there are a number of examples where Coinbase is referred to and cryptocurrency is not. Even though she knew that he had cryptocurrency, she said she did not know that he had Coinbase. So one or the other is missing, and it is instructive, I say, to look at those documents. You will find them at 1386.
- MR JUSTICE MACDONALD: Yes.

A MR MOLYNEUX: 1389 and 1807. The one at 1386 -- I think it is 1387. 1387 has the reference Coinbase, without cryptocurrency, and then we see the document at 1807 which was exchanged with Mrs Zahmoul. It was provided to Mrs Zahmoul in advance of a mediation, so this is a document which dates from May 2021, more or less the same

B time that another asset schedule, the asset schedule that she had used at the first appointment, was also sent by him to her. And there at 1807 we actually see Coinbase as being the name of the investment. \$396,000, estimated mark to market, so the value \$2.327 million, and that was cryptocurrency. Mr Zahmoul said so. That was not a

C reference to Coinbase. Indeed, when that spreadsheet was produced, although it was sent over in May, Coinbase had not floated. So he was using and confusing those two terms, and it is no surprise, and she cannot be blamed, she cannot be taken as a peg on which to hang knowledge on her part -- she cannot be blamed if she did not understand

D that Coinbase was not Coinbase equity but a reference to cryptocurrency, because the two were being used interchangeably. So this proves nothing. The idea that handing over these spreadsheets, these documents, should be taken by you as a marker that Mrs Zahmoul knew that he had Coinbase equity does not stand up to any scrutiny at all. It

E simply does not, because here we have a very clear example of using the word Coinbase to connote possession of cryptocurrency, and no reference at all to Coinbase equity. I have said what I want to say in relation to the use of literally and the use of superstitious ----

F MR JUSTICE MACDONALD: Yes.

G MR MOLYNEUX: -- in connection with his valuation in his Form E. That does not stand up to any scrutiny at all. Indeed, if you look at 754 in the bundle, which is his Form E, where he seeks to ascribe a valuation to another product, the interest in ArtX, he says there: "This reflects what I paid for the shares in 2020 and remains my view of current value". So he was applying his mind to current value, something which he singularly did not do and did not annotate and did not describe in relation to Topanga Canyon. In his replies to questionnaire, we fast forward to 24 June. Again, there was no specific

H reference in the questions that were being asked by Mrs Zahmoul to Topanga Canyon. Is it really plausible that had she known about Coinbase she would have asked no questions in her questionnaire, or would not immediately have followed up on 25 June, having seen the replies to questionnaire, to say: "Hang on, you have told me you have got equity in Coinbase. It is not here. Where is it?" She did not ask those questions because of course she did not know. It is almost as if he is just feeling her out to see

A what she did know and what she did not know, before embarking on mediation, or
embarking on an attempt to resolve things, and we will look at that in a moment.
In replies to questionnaire on 24 June, no reference was made to Topanga Canyon
Holdings or the \$75,000 said to have originally been invested into the company, and
B 838 is the reference. Mr Zahmoul provided a list of private equity investments under
cover of those replies. It excluded entirely Topanga and confirmed, wrongly, at 843,
that all of his private equity investments had had their values explained and evidenced
C within the respondent's Form E. I mean, there is time and time again opportunity after
opportunity for him to come clean in relation to this, for him to tell Mrs Zahmoul that
there has been an omission or to ask her whether she wants any more information in
relation to Topanga Canyon Holdings because it is a container for Coinbase, and
Coinbase is about to float, and he is uncertain as to what the value will be when it does
D float, that she should know it. No, nothing. No explanation at all, and of course by the
time we get to 24 June it had floated two months earlier.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: He even says to his daughters on 14 April, the day that it floats, "14
E April, remember the date". Hubristic, but that is what he does. He does not say what
that is about. He does not say the same thing to Mrs Zahmoul. He does not give any
explanation at all but just this hubristic remark of "14 April, remember the date". There
is no doubt at all that he knew by the time we got to the first appointment that he was
F about to be in receipt of a significant windfall, and there is no doubt at all that from 14
April onwards he knew that he was sitting on an undisclosed resource of \$7 million
plus. He observed closely (inaudible) the business. He understood his equity was
increasing in value. His evidence of course was that he did not follow it, he did not
G know that this was untrue, at least he did not follow it in the sort of detail that I was
putting to him. But we know that that is not right, and we can tell that by looking at
1382 in the bundle.

MR JUSTICE MACDONALD: Yes. 1382?

H MR MOLYNEUX: 1382, which is the exchange with Mr Deeg.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: If you recall, the way that that -- in fact if we go back to 1380, because I
think probably the whole of this exchange is instructive. At 1380, Mr Zahmoul, who is
green ----

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: -- and Mr Deeg, who is black, starts: "I just met" ----

- A** MR JUSTICE MACDONALD: -- "a guy".
- MR MOLYNEUX: -- "a guy that has invested in Series D Coinbase". Of course the letters refer to the various stages of funding, so the funding rounds. So if you were a D investor, you got in earlier.
- B** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: "Show me the numbers they are making". This is Mr Zahmoul, "Show me the numbers that they are making", so obviously he knew this was a metaphorical goldmine. He goes on to say: "It is not right that we are not getting any info. We need to get those numbers". Deeg replied: "Is he a spread investor listed on the CAT table?"
- C** "No, I doubt it." "Happy to buy you out for \$75,000, lol." "A rich Costa Rican", continues Mr Zahmoul. This is the guy that he bumped into. Obviously as often happens with WhatsApp, you are not necessarily replying to the previous message.
- D** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: So what really is going on here is Deeg saying: "Happy to buy you out for \$75,000, lol, if you want an exit". He replies: "That is not the point, as I am sure you know". Deeg says: "Feeling generous, I might sweeten it to \$100,000". "Not funny" is the response on 1381 after Mr Zahmoul had said: "Get the guy to send us updated figures". Deeg says: "Not likely. You know you had access via a funny window". That is the Topanga Canyon Holdings.
- MR JUSTICE MACDONALD: Yes.
- F** MR MOLYNEUX: "Not funny". So "not funny" is the \$100,000 offer, because he knows this is a bit of banter between the financial lads in relation to their good fortune in getting in at an early stage to this investment in Coinbase. And it is so funny, the notion that he might accept \$75,000 for it, that it even gets a "lol". 100,000, not funny. It is not funny, and it really is not funny, because he knew that it was worth considerably more than that. They even joked about Deeg buying him out.
- G** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: He observed closely the (inaudible) of the business, he understood the equity was increasing in value, and you can see, can you not, they have got in at FF and there had been fund raising from D onwards. So anyone interested or engaged in this would be able to see the differential fund raisings and the way that the value of that was increasing over time, because with each raising of finance you get a different figure at which you are invited to participate, a different equity interest. So he would have seen that. I mean, it is preposterous that he did not keep a very close eye on this and the idea, I say, that the huge windfall came as a surprise to him is absurd.
- H**

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- A** MR JUSTICE MACDONALD: Yes.
- B** MR MOLYNEUX: Just as absurd as the notion that had Mrs Zahmoul known about it, she would not have asked him about it in detail. So what is his defence to this? Because he is, to use the metaphor, bang to rights. How does he try and escape the allegation that he was someone who had no intention of making any form of disclosure at all about this? Well, it is a pretty simple one, but it fails. He says: "First of all I told my solicitors", but he cannot rely on that because he will not waive privilege, and because his solicitors say in his statement: "He did not tell us. We have got no record of this conversation at all".
- C** MR JUSTICE MACDONALD: Yes.
- D** MR MOLYNEUX: So what does he do? He says: "Right, it was always my intention to tell my wife about it in advance of the private FDR. That was always my intention. I have done all these replies to questionnaire on 24 June. I was not going to duplicate or triplicate further rounds of updating disclosure so I thought before we go to the private FDR, I will tell her everything".
- E** MR JUSTICE MACDONALD: Yes.
- F** MR MOLYNEUX: The only problem with that is of course that it is completely untrue. We know that it is completely untrue because his solicitors wrote on 2 July and they said, in a letter from HFC:
- F** "Given the sheer number of our client's bank accounts and the fact that the statements provided with replies are up to date, I do not propose to provide updating disclosure in addition to this [that is in addition to replies to questionnaire] particularly given the costs involved, save for the up-to-date statements for my client's cryptocurrency accounts."
- G** Apparently the big assets in the case, apart from real property ----
- H** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: -- being the cryptocurrency.
- H** "There has of course been significant movement in the value of cryptocurrency since my client's Form E. On this basis my client is content to proceed with the private FDR without your client updating her disclosure also. Please confirm this is agreed."
- I say at the end of that paragraph, the only reasonable conclusion from this was that the husband's intention was to deceive the wife by not providing updating, and not telling her about the issue of all this equity and the \$7 million valuation that attached to them.

- A** You can imagine his perception of his good fortune by this stage because if he was wondering whether she might have cottoned on historically that he had this, he has got through the Form E, he has got through the first appointment, he has got through the questionnaire, he has got through replies to questionnaire - almost home without having
- B** to tell the truth about this asset. Of course he says there: "Shall we just agree not to have any updating disclosure?", and the answer comes back: "No, we have got to have updating disclosure".
- Of course other evidence points to him seeking to take advantage of the wife's ignorance
- C** about this. You will recall in the evidence he told the court that he was -- he said in correspondence, and we have no choice but to accept that this was what was going on, that he unilaterally reduced the financial support which he had previously been making, and of course he played the card of affordability. 1591 is the reference in the bundle.
- D** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: He reduced the amount that he had been paying. He said: "We are burning through capital. We need to try and preserve our capital". Of course he did not say, even though he would have known at the time that that correspondence was being
- E** exchanged, that he was sitting on this \$7 million windfall. He did not say anything about that at all, thus leading Mr Zahmoul to believe that this notion of burning through capital and having to tighten their belts might have something in it.
- And what else did he do at this time? Well, he did something which is reprehensible,
- F** and that is he encouraged Mrs Zahmoul to attend mediation and to negotiate on an entirely false premise. That does him no credit at all. He sent her an asset schedule with some figures updated, Topanga Canyon not updated.
- MR JUSTICE MACDONALD: Yes.
- G** MR MOLYNEUX: An asset schedule that does not reference the Coinbase equity at all, accompanied with an asset schedule that has a breakdown of the private equity which elides Coinbase and cryptocurrency. So it has got Coinbase there but it has got the cryptocurrency figure next to it.
- H** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: And he tells her that he wants to mediate, and that if she involves -- I am paraphrasing, but you will recall the letter, that if she wants to negotiate, she is taking this seriously, then not to involve her solicitors, "Do not involve your lawyers if you are serious about this". I mean, really, there is no defence to this. He was trying to procure a deal with her without her lawyers being involved in circumstances in which there was this inequality of information, when he had not made proper disclosure of a significant

A \$7 million asset, and he was even saying, to make it even worse: "Tell you what, for
the sake of simplicity, I will buy out your interest in the private equity". So that would
have been \$37,500 on the asset schedule that he was relying on, which was the asset
B schedule from the first appointment. That sort of tells you all you need to know when it
comes to his character, to his willingness to deceive, to his attitude towards his wife and
to these proceedings. He is not someone who has behaved honestly, and he is not
C someone whose word can be trusted, because the court has seen time and time again
that he has not told the truth. He has taken the court and he has taken his wife for fools,
and his evidence in relation to Coinbase should be entirely rejected. He is a non-
discloser.
But it is not just that, because of course everyone loves a redeemed or repented sinner,
so had he at that point come clean, made full and frank disclosure, not instructed his
D solicitors to write these moderately unkind letters trying to present the wife as someone
who was behaving unreasonably, and saying, effectively: "Nothing to see here, let us
move on. It has gone up in value". I think in one of the letters it says: "It has gone up
(inaudible), you know. If you have got any concerns about this, then you should
E articulate them". But he did not just do that, he did not just participate in that play
acting, he sat on other assets, at least one. We know two, but his defence to the other
one is that he did not even know about it, that he had forgotten about this significant
resource. But I say at para.18 that that initial bad conduct was compounded by his
F subsequent discovery (1) that he had a crypto account with Gemini, something which he
denied.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: We will look at the details of it in a moment. Holding five Bitcoins,
G which she discovered as a result of obtaining a subpoena in the USA. He tentatively
hinted to it when he spoke to Marlon Pinto, but that is very different from making
proper disclosure via solicitors, via HFC, who were continuing to act for him at that
point, identifying where it is, and saying: "This is the explanation for why it is in my
H name", or "why it was in my name", because of course by the time that he referenced it,
he has tried to distance himself by adding his sister's name to it. Then of course the
Xapo account containing 16 Bitcoins, which he promptly sold and deployed the
proceeds of in making himself illiquid - not illusion, illiquid - at a time when the wife
needed funding for this litigation.

MR JUSTICE MACDONALD: Yes.

A MR MOLYNEUX: (Inaudible) he said he had forgotten the Gemini account he denied was
his, saying that it was his sister's, that he had gifted the Bitcoin to her as a wedding
present. The reference at footnote 5, which is 886, is just one example of the HFC
B correspondence in which they try and finesse away the non-disclosure of Topanga
Canyon which I invite you -- I will not say at your leisure, but which I invite you
subsequent to these submissions ----

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: -- to read, my Lord. Now, what of Gemini? Because of the timing of
C this, I mean, Miss Campbell did her very best to finesse it away, but the timing does not
look good for him. This was in isolation, and it may be it might be more plausible but,
looked at in conjunction with his other non-disclosure, it really does not look good.
D Gemini. In March 2022, his Form E, which required him to:

"Identify investments you HOLD [my capitalisation] or have an
interest in."

He had a Gemini account. He knew he had a Gemini account. He did not mention it.
E On 25 May, 148 of the bundle, he was asked for:

"Details of any NFT cryptocurrency which your client has or holds
an interest in, either in his sole name or jointly with others."

F What is the reply? He says nothing about his sister. In the same questionnaire he was
asked for:

"Details of any trading activities undertaken by your client on behalf
of third parties, details of which have not already been disclosed."

G And the answer:

"My client has not undertaken trading activities on behalf of third
parties and/or institutional investors save for the Chia venture."

H And I suppose, if you were looking for loopholes, you might say: "Well, I was not
trading, I was just holding these for somebody else". But, I mean, is it in the spirit of
obligations, especially if you are a serial offender? No. He was asked at question 16
for:

"Details of any other relationships that your client has with
centralised exchanges that he has not yet disclosed."

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A What is his reply to that?

"My client does not understand the question but he has disclosed all his crypto assets."

B Again, for the umpteenth time in these submissions, what would have been easier than for him to say at that point: "I have five Bitcoins. They are in my name but they are my sister's. They have always been my sister's. They were gifted to her for her birthday but, just so everybody is clear, given the history of this, just so everybody is clear, they are nothing to do with me". Well, of course he did not say that because at
C this point he was not even confessing to his beneficial ownership of Topanga, or at least to the value of the equity which Topanga held.

On 25 February 2022, in her original questionnaire he was asked in terms:

D "To confirm whether the respondent had made any further investments which have not yet been disclosed either in his own name [etc. etc.]"

E The answer at p.861: "There are none", but of course there were, and he was not telling the truth.

On 24 June 2021, in a letter prompted by analysis of *Imerman* disclosure -- I should say in parenthesis that the degree of investigation in relation to the *Imerman* disclosure was not required by my client. She required only one folder to be analysed and considered.
F The others she invited nothing to be done with. The fact is that HFC made the decision themselves, the determination themselves, that they would do that, presumably on instructions or in agreement with their client, and the costs that were incurred are down to him, not to my client. On 24 June, the question at 51 -- or answer 51, the description
G of document 51, he says:

H "There is a printout relating to Coinbase, MultiBit Classic, and Gemini KZ, which is enclosed. Our client's Coinbase account is disclosed in his Form E. Our client no longer holds MultiBit or Gemini accounts and has not for many years. The MultiBit platform no longer exists."

But this was not true. It was another lie. He did hold an account, and he knew on that date that that account in his name with Gemini had five Bitcoins in it, of a value even then of over US\$100,000.

On 4 March, at the second or third time of asking, I think the second time of asking, Her Honour Judge Cope ordered a crypto expert. The husband opposed this, although,

A seeing the writing on the wall, relented, although in his evidence it was not clear
whether he knew he was relenting at the time that he relented, or whether he
subsequently found out that that was what everybody had agreed on his behalf. It was
one of those remote hearings where confusion is more available than when you are
B seeing someone in person at court. He contacted Gemini on 12 March. We see that at
2724.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Explaining that this was prompted by his move to Portugal, but of course
C he had moved there in 2020. I say here that there was a telling exchange at the very
beginning. You will recall in his statement where he criticises my client and juxtaposes
what he regards as being his propriety, his honesty and integrity, with the character of
Mrs Zahmoul. He says he used to find it distasteful when she would give people a few
D dollars in order to be able to jump the queue when they were at the airport. "It was not
my cup of tea". And then he tells you, almost the first question that he was asked, that
the address that he put in his tax return was not his address at all. The address that he
relied on for residence in Portugal was never his address. It was an entirely bogus
E arrangement whereby he paid somebody some money so he could pretend that he lived
there in order to get the tax advantages that flowed from that. What a thoroughly
dishonest way to behave. And the chutzpah of somebody criticising my client in the
way that he did in his statement, whilst holding himself out as a beacon of moral
F propriety, really takes the metaphorical biscuit.

So on 12 March he contacts Gemini, he says has just moved to Portugal. Of course he
had not, he had been there by then for two years. The sudden urgency of course is that
he can see that the fact that the crypto expert who he had opposed being appointed was
G being appointed would probably lead or at least may lead to the exposure of his holding
of Bitcoins at Gemini, and he did not want to do that. Of course confusion still remains
in relation to what actually was going on, because he gave his own phone number and
not his sister's when purporting to correspond with Gemini, and so the message, which
H we have looked at which again purports to come from her, is signed off by him. So this
overlap between who is actually getting involved and who is actually controlling these
communications with Gemini has never been properly explained.

And of course at around about the same time that he was covertly changing an asset
from his name into his sister's, he was seeking to undermine the efforts of the wife to
obtain disclosure, and you will see that at 3194 - at least I hope you will.

MR JUSTICE MACDONALD: 3194?

A MR MOLYNEUX: 3194.

MR JUSTICE MACDONALD: The Withers' letter?

MR MOLYNEUX: This is a letter from Withers.

MR JUSTICE MACDONALD: Yes.

B MR MOLYNEUX:

C "I wrote to you on 22 June with a number of questions in relation to
D your client's disclosure. His response was to write to my client with
the subject heading 'your lawyers are wasting money' and to attach a
link to a paper in relation to SPACs. It is characteristic of him to
allege, in the face of being asked perfectly legitimate questions, that
my client is running up costs or in some way not just justified in
posing them. My client wishes to have no further direct
communication with your client save insofar as it is necessary in
relation to our client's daughters. She finds this correspondence
oppressive and overbearing, and his vitriol towards our client,
including correspondence with the girls' school, is offensive. She
does not trust your client and has good reason not to, given the way
he has engaged in these proceedings to date."

E Again, it was a theme - a theme that has had real world costs consequences - of Mr
Zahmoul not only being difficult when it comes to disclosure and not only making it
hard for her to fund her litigation costs, but also subtly undermining the relationship
between her and her lawyers. We have seen an example where he tells her not to tell
her lawyers about possible negotiation, and we saw another example where he wrote to
F Burgess Mee inviting them to read a number of books which he said would give them
an insight into her medical condition and her poor mental health, and the PTSD which
he acknowledged that she suffered from - PTSD which he seems subsequently to have
tried to distance himself from. Miss Campbell tells you not to attach weight to
G Professor Libby's letter, even though that letter is one that he attached to his own
statement.

H It is not on, the way he has behaved, and it has had real world consequences because it
has led inexorably to an increase in the amount of costs that my client has been obliged
to incur and her ability to trust what he says. That is the terrible thing, is it not, about
trust in any relationship? When it is gone, it is very, very hard to get back. It is true in
a marriage, it is true in litigation. When you think someone is out to stiff you (to use
the colloquialism), when you think that someone is out to dishonestly prevent you
getting your fair share, and when you are proven right in relation to Coinbase, when you
are proven right in relation to Gemini, when you are proven right in relation to Xapo,
and all the time the answer is coming back: "Well, just talk to me, just negotiate with

A me, just accept what I am saying; you are being unreasonable if you do not do any of those things", how much harder is that to stomach? How much more likely is it that you will not negotiate, that you will want to get replies to questionnaire, that you will want to understand discrepancies, whether it is discrepancies in relation to the

B Portuguese tax return, which to the casual observer makes no sense at all, and indeed requires ILYA to try and act as some Rosetta Stone whereby ILYA can correct its own mistakes in the tax return and explain why an asset which we are told is Coinbase is said to be purchased in a year in which it was not purchased, and sold at a time when it

C was not purchase -- when it was not sold, and all for figures which barely make sense because they are converted into euros rather than dollars, and do not have any underlying documentation to support it in any event,. And she is provided with that and told to believe it, and if she does not believe it, she is some sort of fantasist who is

D recklessly damaging the family's wealth by asking more and more questions. And of course there are other examples of discrepancies - the tax return, the IRS tax return that my client regards as being the fraudulent tax return whereby liabilities are attributed and then reattributed in a way that does not tally with the true position, where

E she is misrepresented as being a US citizen -- she has been described as a UK citizen, and where he is essentially a US citizen rather than a French citizen. None of this seems to make any sense at all to my client, and yet she is told over the course of the last week and a half, and you are told on behalf of Mr Zahmoul, that she is the one who

F has behaved unreasonably for questioning these things and for not accepting at face value what she has been told. Well, nobody could, in my submission. No reasonable person could have been expected to accept what he has been saying, because so much of it has made no sense for so long. Then we move on to Xapo.

G MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: His Xapo disclosure illustrates this manifestation of "catch me if you can". She long contended that he had Bitcoins with Xapo. You can see that at 1992 of the bundle. I am not necessarily going to invite you to look at these pages right now,

H but so you have the references.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: At 1992 she contends that he had Bitcoins with Xapo, and with the assistance of Mr Sibenik, who was the expert who was helping her frame questions -- again a real imbalance of knowledge in this sector. It is inevitable that my client is going to incur money trying to understand cryptocurrency. I mean, even the professionals are, dare I say, feeling our way tentatively through this relatively new

A area. It is not like a bank account, where we all understand what a sort code means,
B what an account means, what the name on an account means, how things are transferred
C and tallied, the visibility, the KYC. She did not know all of these things. He did. So
she needed Mr Sibenik to help her, especially against the backdrop of the deficiencies in
his disclosure that she was aware of. So it was inevitable that she was going to spend
money with Mr Sibenik or somebody else. She was always going to have to do that in
order to try and understand his cryptocurrency disclosure. Even now, my client is very
sceptical - I am probably doing her a disservice when I say that, she would put it higher
- about the existence of a second Coinbase account. You will recall the one which is
said to be deleted, it has got FR, for France.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: She cannot makes sense of how you could have an account which has got
D a French reference going back to 2014 when they only received a licence to operate in
France in December 2023. None of this makes sense. Can she really be criticised?
Can she fairly be criticised for not being able to take at face value what is being said on
behalf of the husband in the circumstances that have played out over 4,000 pages and
E over the last eight days? It is a rhetorical question, because she cannot fairly be
criticised.

With the benefit of Mr Sibenik's help, she sought in June 2022 confirmation that the
MultiBit wallet, the 1LVSG that is associated with a self-custodial wallet belonging --
F or which previously belonged to Mr Zahmoul. That is the MultiBit wallet. She posed
the question that that wallet: is it the MultiBit wallet that he claims not to have memory
of, on which there is strong evidence that is an old self-custodial wallet belonging to Mr
Zahmoul? You will recall this being a MultiBit account that he had distanced himself
G from. I think he said that if he had one, it had been closed down some time before,
MultiBit having been in existence for a number of years. But you can see here that my
client is on the scent. She understands that this MultiBit wallet has transferred Bitcoins,
and she is asking: "Is that your MultiBit wallet?", in the teeth of his presentation that he
H had not had a MultiBit wallet for a long time, and certainly is not 'fessing up to any
Xapo Bitcoins.

So building on those questions in September 2022, Marlon Pinto raised the issue of
whether he might have an account at Xapo. September 2022, an important data point.
That is 3863 in the bundle. Further questions were raised on behalf of the wife in
November 2022 at p.2011:

IN PRIVATE

A "What became of the 10.9694 Bitcoins sent to Xapo from the MultiBit wallet? Where are those funds now?"

One of the questions which flowed from that was:

B "Please can I have the Xapo records from 2014 to current?"

Again all helped with by Mr Sibenik.

C "These records should include deposit and withdrawals from the account, with the blockchain transaction data associated with these deposits and withdrawals."

D She could not have done more to put him on notice that she did not trust his disclosure, that she believed that he had Bitcoins with Xapo, that they had not been disclosed and that he should tell her all about them. And what did he do? Nothing. He did not do anything at all until 10 March 2023, which is when it appears that he approached Xapo. Now, the only rational explanation for this is that he was hoping that he would not have to disclose it, but the complexity of the task in relation to cryptocurrencies, where there is this inequality of knowledge and where costs are being incurred, and where he is doing everything he can to prevent those costs being met by making himself illiquid and making the family illiquid, his aspiration was that this would somehow all get lost in the wash. That is the only rational explanation for doing nothing and saying nothing. If that could be translated into Latin, that would be Mr Zahmoul's philosophy, it would be his motto.

E On 14 March 2023 he was told he had 16.16 Bitcoin and \$500. On 15 March, so the very next day, he gave instructions as follows:

F "Given the volatility of Bitcoin, I would like to take the opportunity of this short hop to sell the balance, so the fastest you are able to do it, the better."

G On 10 April 2023 he retrospectively admitted that it had existed, but of course he had spent it before he had told her. And although I am not going to take you, because time will not permit us and the court's appetite might have been sated already -- there are so many examples, which we looked at in evidence and which Mr Zahmoul was asked questions about, of him doing what he can to reduce liquidity in the case. Now, of course it is presented by Miss Campbell on his behalf as prudent management of finances with one eye on Nadia's expenditure, one eye on Mrs Zahmoul's legal costs expenditure.

A MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: But we say that was not the motivation at all. The motivation was to make it so difficult for her to continue to litigate. It is the backdrop of the costs that have been incurred and his ongoing delinquency in relation to disclosure. He did not want her to have funds. It is the last thing he wanted. He wanted her to be in a position where she would either have to self-represent or she would run out of steam, and the best way to do that was to fire sale everything and, if you found any more liquidity, sell that as well, and pay down your mortgage. Pay down a mortgage at 3½% that does not expire until 2025, and you knew this at the beginning of 2023? It does not make any sense, and it was not his call to make, because it was her money as much as his. So he was able either to self-represent, which is always easier for the non-discloser because they know what there is and they know what they are not telling the truth about, and then he has the, again, chutzpah to criticise her for the costs which she has incurred and referenced the money that he had saved by self-representing. Of course she could not self-represent because she had already taken out a litigation loan, and the litigation loan had, as one of its conditions, that she had representation. That was one of the real obstacles she faced in relation to this final hearing, absent which, who knows, maybe I would not have been here. But she had to be represented because that was a condition that Detach had added to the terms of the loan when they gave it to her in the first place. So she did not have any choice but to have representation.

F We see time and time again, do we not, through the evidence, liquidity being removed, that then being held up as a reason why maybe maintenance would have to be reduced, why legal fees could not be met. We were told when came here for the pre-trial review that unless you acceded to the submissions to reduce the amount of money that would be made available by way of legal services funding, that Mr Zahmoul would not be represented and, hey presto, here are Miss Campbell and Miss Amaouche.

G Then on 17 May 2022, just by way again of illustration of what my client would describe as gaslighting but the court might describe in different terms as rather arrogant disdain for process and procedure and for honesty, he says on 17 May 2022, through his solicitors that the outcome of this very costly exercise was simply to -- in fact he says it in his own statements, because he is referencing back to the Coinbase disclosure and to the *Imerman* disclosure:

H

"The outcome of this very costly *Imerman* exercise was simply to underline that I had disclosed everything."

- A** And of course he had not. It just again was not true.
- What about cryptocurrency generally? I am not going to take you on probably an arid revisitation and textural comparison of the conduct statement that my client filed with the section 25 statement, because I understand that there are inconsistencies between
- B** those two documents.
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: And I understand that I cannot -- I have got obligations to the court as well as to my client. I cannot say to you there is \$140 million of cryptocurrency which
- C** has been evidenced within these proceedings.
- MR JUSTICE MACDONALD: No.
- MR MOLYNEUX: But what I can say is that, as Donald Rumsfeld might have put it, there are known unknowns and there are unknown unknowns. And one of the unknown
- D** unknowns in this case is the extent to which there is cryptocurrency which you do not know about because Mr Zahmoul has not told you. We know that that would be the position in relation to Gemini and Xapo if he had not been obliged to come clean in relation to it. Certainly in relation to Gemini. Xapo, he says: "Well, I forgot it". But
- E** the gap between being told that he was likely to have it and telling the court that he had it, and all the hearings that took place during that period of time when he was not saying that he had it, do tend to give the lie to that suggestion.
- So we are in a position where Mr Pinto says to you in evidence that this is a space in
- F** which if he does not want to tell the truth, it is probably easier here not to tell the truth than in other spheres because it is only really KYC that gives you a clue as to who is the beneficial owner, and KYC requires you to have a hosted wallet, it requires you to have a Coinbase account or have a Gemini account so that you can go and ask Coinbase or
- G** Gemini, as my client did in relation to Gemini: "Who is the true owner of this wallet?" But if you have got your own wallet, or if you were an early adopter and just have not told anybody anything, then it would be very, very easy to hide assets, just as assets have not been disclosed in this case.
- H** My client's case is that if you look at the totality of the evidence in this case, if you look at the way that Mr Zahmoul has made, and not made, disclosure, if you look at what we now know about his cryptocurrency holding, that it is more likely than not that he has not made full disclosure in relation to other cryptocurrency assets, that it is a reasonable inference for the court to draw, an inference that should be drawn, that he has not made full disclosure. Because otherwise we are in this situation whereby, by chance, he has now made full disclosure by dint of the questions which have been asked, and we have

A exhausted all of the non-disclosure, and that is inherently, in this case, unlikely. It is far more likely that we know about what we know about, and that we do not know about what we do not know about.

B I deal with that more extensively at paras.22 and 23. There is one good example of this, in relation to which, in my submission, Mr Zahmoul really had nothing constructive, nothing intelligent, to say, and that is in relation to Ms Molina. Because you will recall that there was a question mark in relation to the true owner of a wallet which Mr Pinto raised, 3DAJTD.

C MR JUSTICE MACDONALD: Yes.

D MR MOLYNEUX: And his evidence was that, by dint of who he had been with at the time that that transaction had taken place, he assumed, he believes that it was Ms Molina. There matters might have rested, except Ms Molina produced a very clear email in which she asserts positively that that wallet was her wallet. She said the same in relation to two others. Now, she could not possibly have said that unless she had a reason to believe it or unless she was told to say it. I mean, it is exactly the same in this context as a bank account. If somebody asks you, my Lord, whether you had a bank account and gave you the numbers and the sort code and said: "Is this your bank account?", you would be able to tell them whether or not it was your bank account, and you would be highly unlikely to say categorically: "This is my bank account" in circumstances in which patently it was not. And he as good as said, when giving evidence, that she had said that it was hers because he told her to say that. Of course then he comes up with an entirely contradictory different explanation, which is to say that, no, this is actually now someone at Forte Securities in Australia, or possibly not Forte Securities the employee, but Forte Securities the organisation and -- well, really.

G MR JUSTICE MACDONALD: Yes.

H MR MOLYNEUX: It is hopeless and smacks of dishonesty, and it smacks of him procuring an account from Ms Molina that he knew or ought to have known was not accurate. So at the very, very best, if you were minded to ascribe a benign motivation, it would be: "I am pretty sure it is yours. You have not got the records but can you just confirm that it is? It is just easier". But that is not the way to make disclosure in the context of these proceedings, certainly not in October 2022 when you have already been caught out about Coinbase, you have already been caught out about Gemini, you have been asked about Xapo. You must then be on notice that there is something going on with Xapo which you need to look into, and then you tell someone to tell the court in a written document that a cryptocurrency wallet is theirs when they obviously cannot know that

- A** because it is not theirs, and when you (inaudible) for an expert. It is terrible behaviour. Terrible. And it explains again, if further explanation is needed, why we have got to where we have got to, why the costs are what the costs are, and it is not down to my client.
- B** I deal at some length with the conduct heading, and I am not going to read this out to you, but I do invite you, my Lord, to look at this when you have a moment because this is what Mr Zahmoul says, because again he is seeking an adjustment in relation to costs, which effectively will give him more than 50% of the resulting assets and reduce my
- C** client, were he to succeed in this, to £5.something million, £5.8 million, £5.7 million. Miss Campbell has very helpfully done the maths. We have not engaged with the maths because we say there are no maths to engage with. That is our ES2 explanation. We do not dignify the ES2 with figures which are, we say, pretty manifestly unreliable,
- D** and if there is criticism to be levelled, that is an explanation that should not lead to that criticism, and I invite you not to hold that against my client because it is very hard to engage with figures that you honestly believe and reasonably believe represent only a fraction of the total resource.
- E** In red is my client's response in relation to the various allegations which are made against her and the various costs which are sought, including an adjustment for the fact that Mr Zahmoul sold assets at a point where he now knows that he probably should not have sold them. If he had held on to them, they would be worth more. But he was not
- F** asked to sell them. Indeed, he was being discouraged from selling them, and he certainly was not being asked to pay down the mortgage. There was a *sotto voce* acknowledgement on the part of Miss Campbell that whilst it might not be a technical breach, it was certainly not in the spirit of the injunction or of the undertaking which
- G** was given in relation to the mortgage, where there was permission to use funds at the Bank of Jackson Hole to meet mortgage payments. That is a world away, and anybody would have known it, from using all of those resources to pay down the mortgage. He knew what he was doing, and what he was doing was trying to eliminate liquidity, again
- H** to try and prevent my client either receiving the maintenance that she needed and deserved or the legal fees that she required in order to prosecute her case and reveal his non-disclosure. It is an onion of unattractive, reprehensible behaviour. As you peel back one layer, you see another thing that he really should not have done. So I do invite you to read the observations which I made in red.

MR JUSTICE MACDONALD: Of course, yes.

- A** MR MOLYNEUX: You understand what I say in relation to his behaviour. I am not going to egg, over-egg or re-over-egg the observations which I have made about that.
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: But there are other aspects we say you need to take into account. The
- B** UBS account is one of them, and I just want to iterate what my client reasonably believes in relation to this. It is set out at p.16.
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: Mr Zahmoul says to her that withdrawals from UBS are not to be taken
- C** in aggregate as being £12 million, as if £12 million has been taken from that account. I should rewind, just to contextualise the case as put by Mrs Zahmoul in this regard. She says: "Our UK expenses were met by Barclays money and by onshore money, such that
- D** we spent probably pretty much everything that was being earned in the UK and that is how we lived, and we lived on £900,000 a year", and there is an AG Tax memo which illustrates this, how there was more or less £11 million of sterling which was spent, £11 million net. That is really easily understood. You are based in the United Kingdom and that is where the money was coming from.
- E** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: He was not remitting money to this country because that would have had adverse tax consequences. You looked at the other documents and the schedule, the
- F** tables that Miss Campbell in her submissions made to you earlier, and showed you earlier. And then there is another pocket of money, which is the UBS money. She says, and she says she knows this from her lived experience, that that money, that UBS
- G** money, did not meet the parties' living expenses, that it did not meet their capital needs in America to buy properties because those properties already existed in 2005, or 2004, and were rolled over on these, I think, 1301 transactions whereby you defer a capital
- gain by rolling over one sale to ----
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: -- the purchase of another. So she says we have got America, and the
- H** assets in America, self-contained, quarantined bubble. We have got expenses in the United Kingdom, another self-contained quarantined bubble met by income in the United Kingdom, predominantly from Barclays, tax in the United Kingdom, £900,000 a year, living the good life, living their best lives. And then we have got UBS which has got £12 million going out of this account and nothing to show for it. Now, of course Mr Zahmoul can point to some things to show for it, because he has made some investments, but there is a hole in his explanation, my client says, from her lived

A experience, from the instructions which she gives me, which is not found anywhere on
the balance sheet, not found in assets in America, not found in assets in the United
Kingdom, not found anywhere, and she does not accept at all the evidence which Mr
Zahmoul gives, which is to say, effectively: "Well, it looks like a big number but it is
B not a big number because that same money is sort of being recycled. It would be
withdrawn from one account and then it would be paid back into UBS and so if you
look at the aggregate figure, it looks like 12 million, but actually it is a fraction of that".
She says that is not true. She says she knows that from their time together, that that 12
C million was not a recycled sum, that 12 million is a separate, freestanding, almost a
second balance sheet - that is the expression she uses ----

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: -- in her statement. Then elsewhere on that page I invite you to read
D 3297 to 3298, which is the AG tax memo.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Overleaf I make some further references in relation to his dealing with
cryptocurrency that I have elaborated on already. Let me try and summarise some of
E these points.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: The following matters, we say, are going to be material to the court's
consideration in relation to whether or not this is - to return to where I started - a non-
F disclosure case. There is already, point 1, evidenced non-disclosure: Coinbase,
Gemini, Xapo. So we are not asking really: is it a non-disclosure case? We are asking,
more properly: is the non-disclosure continuing? His approach to crypto illustrates, my
client says, his approach to the case - he responds to what is known rather than
G volunteer what ought to be disclosed. It is this approach, I say at para.27 - a pattern of
denial by Mr Zahmoul, industrious research and work by Mrs Zahmoul and then
ultimate acknowledgement of default again by Mr Zahmoul - that has made these
proceedings so acutely painful for my client, so enervating, so exhausting, the feeling
H (subsequently borne out time and time again to be true) that he has not been candid, that
he has not been fair to her, with her, at the end of this 26-year relationship, and during
which, throughout its ups and downs, she has supported him. I should say there, and I
think I referenced this as being one of the more important documents, and took you to it
at some length -- there is this letter that was referred to and put to ----

MR JUSTICE MACDONALD: Yes.

A MR MOLYNEUX: -- my client when she was giving her evidence, in which she praises his generosity and writes, in the terms of modern therapy, about their current relationship. But do, I ask your Lordship, read the entirety of that, because you will see just how troubled their relationship was, how traumatic many aspects of their relationship were, **B** how easy it would be to imagine that this is a couple who had had their problems, had had their troubles and how this is not now to be seen as some post-divorce hardening of heart whereby my client unreasonably turns on a man who has been a paragon of generosity and kindness to her and, out of spite, determines that she will make life **C** difficult for him by raising all sorts of questions. It is clear that there were issues and troubles in their relationship spanning intimacy, spanning honesty during that relationship. This is a product of non-disclosure, not of unkindness or of spite. It is my client's quest for the truth.

D MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: No wonder she is concerned about this asymmetry of knowledge that I refer to at para.29. No wonder she has had to demonstrate tenacity. But do not read across that tenacity to her being someone who could walk out and get a job, because if **E** you have seen anything in this case, you will have seen that there is good reason why Professor Libby wrote what he wrote, why the husband acknowledged that she had PTSD, why she had to struggle within these proceedings, and the notion that she will be able to walk into a self-supporting, high-paying job is, in my respectful submission, for **F** the birds.

There are of course other aspects of non-disclosure, other question marks in relation to his disclosure that the court should be alive to in giving judgment. I deal with that at para.30. Why would a man who is concerned about a lack of liquidity make an **G** unsecured loan of \$500,000 to a friend who had owed him £60,000 for the previous 15 years? Why would someone who was anxious about their financial future do such a thing? Mr Kobayashi has got form for not paying back his debts. So who in their right mind would extend further credit of \$500,000 in the hope that this time he will have a change of heart and pay it? He did not pay 50% of the first loan. You would only do **H** that if you were confident about your financial future, or you do it if you were trying to do everything you can to destroy the appearance of liquidity, so that when your wife comes to court and says: "Can I have maintenance pending suit? Can I have legal services fees?", you can say: "The cupboard is bare".

I make some observations in relation to his equity in Bitwyre and to the Norsar power plant which I invite you to read.

A MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: I also make reference at para.33 to failure, on my client's instructions, to disclose credit cards which she knows he would have had the use of, and also to the standard of living which he enjoyed during the course of the period post-separation: buying properties, the kitesurfing, the high expenditure on hotels. It is all particularised in my client's statement and I do invite you before you give judgment to remind yourself of how she expresses that part of her case.

MR JUSTICE MACDONALD: Yes.

C MR MOLYNEUX: I say at para.35:

D "Are the multiple errors and deficiencies in the disclosure, the initial Form E disclosure, the tax returns, the crypto investments, etc, etc, likely to be innocent or are they indicative of a litigant who is cavilling at his disclosure obligations and someone who is in fact hiding the truth?"

And we have not even got on to Ambience, which you will recall, and indeed I have dealt with it as a footnote.

E MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: I am not going to use your time trawling through that, but if you remind yourself, my Lord, I respectfully ask before you give judgment, of what my client said in relation to Ambience. That is the investment that he denies having, that he tried to invest in in November 2016, and that, miraculously and inexplicably, appears in a May 2017 list of his assets with TRS, total return swap, with Mike Deeg.

MR JUSTICE MACDONALD: Yes.

G MR MOLYNEUX: So six months after he is saying that he is not able to make an investment in that, it has somehow managed to survive into a line on an asset schedule, which he relies upon in these proceedings as being evidence of just how candid he was about the nature and quality of his disclosure during the marriage. Far more likely, my client says, that he still had that investment and that is one that she simply has not been able to get to the bottom of.

H MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: Paragraph 37 deals with points I have already made in relation to inadequacies of the tax returns, his involvement in the life of Ms Molina, the \$780,000- something which goes through Ms Molina's account -- I can pause ----

MR JUSTICE MACDONALD: No, it is all right. I think ----

MR MOLYNEUX: I am almost at the end actually.

- A** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: Paragraph 38 deals with \$816,000, which is the value of the 16 Bitcoins, in today's money. Obviously it was less at the point that they were sold.
- MR JUSTICE MACDONALD: Yes.
- B** MR MOLYNEUX: And again I draw those threads together to say that the only fair and just conclusion for the court to arrive at is that this is a gentleman who has not made during the course of these proceedings full disclosure, and it would be wrong to conclude that everything that could have been found out has been found out, because it really has
- C** been like pulling teeth trying to get to the bottom of this man's financial position. Where does that leave us in relation to costs?
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: You have seen what my client says in relation to needs, and I invite you
- D** to re-read the paragraphs in relation to needs. Her position in relation to needs is perfectly reasonable. This is a case in which, whilst I seek the entirety of the assets, whatever the outcome would be or would have been if he had made full disclosure, it would not be a 50/50 case, because her needs would not be met on the basis of an equal
- E** division, because an equal division would effectively mean an unequal future where her needs are not properly met. This is a family who were spending £900,000 a year until relatively recently, certainly throughout the 10s. He has an earning capacity that he can utilise. She demonstrably does not have a meaningful earning capacity that she can
- F** utilise, so 50% of the totality of the resource will not meet her needs. She needs the entirety of the resource. She certainly needs more than 50% on any view, even if non-disclosure was not an issue, which it most definitely is. But what about costs?
- MR JUSTICE MACDONALD: Yes.
- G** MR MOLYNEUX: He has applied unreasonable pressure to my client in the conduct of these proceedings. He has prevented her from using their money, not his money their money, to fund her costs. There is a letter at 1621 which says that pretty much in terms. He has paid down the mortgage on the Wyoming properties in order to stymie her efforts to
- H** access liquidity. He has sold the Xapo coins and paid down the mortgage in order to stymie her efforts to get access to liquidity. He has done the same in relation to the cryptocurrency itself to stymie her efforts to get access to liquidity. He has obliged her to take out a litigation loan and then blamed her when she takes out a litigation loan. And all the time he has pressured her to accept less than she should, in circumstances in which he has not been making full disclosure as he should have. Of course the cardinal example of that is in May 2021, "I know you are cross" ----

- A** MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: -- when he was trying to procure a settlement with her whilst declining to tell her about the existence of the equity in Coinbase. We assert that it is the husband, not the wife, who is responsible for the huge expenditure on costs on this litigation. I
- B** know no one doing a money case should ever describe something as being sad, especially in the presence of those people who do serious children work, so I do circumspectly remind myself of that.
- MR JUSTICE MACDONALD: Yes.
- C** MR MOLYNEUX: But there is something sad about this case, and that sadness is the costs which have unnecessarily been incurred because, whatever the assets are - and we say that they are significantly higher than 12 million, but whatever they were - whether 30 million, 40 million, £3 million, or the best part of, is an awful lot of family money to be
- D** spent on lawyers.
- MR JUSTICE MACDONALD: Yes.
- MR MOLYNEUX: But that is not my client's fault. Much as she has been painted in those terms, it is not her fault. She has done her very best to resolve these things as cost-
- E** efficiently as she could, but she could only do that against the backdrop of truth. Now, how can I say that she has shown herself to be someone who wanted to settle? Well, it is easy. She agreed to mediate in May 2021. Now, if she was a recalcitrant, hard-nosed litigator who was behaving unreasonably, motivated by spite, determined at all costs to
- F** see this to the bitter end, she would not have contemplated mediation, especially when there were still lacunae in the husband's disclosure. But she did, and she did that because at heart she is someone who has always wanted to try and resolve this in cost-
- G** effective, proportionate ways, but someone who could not tolerate, reasonably could not tolerate, having the wool pulled over her eyes, as has happened time and time again. She explains this at para.42 in her statement of 25 February, and I cannot really improve upon it.
- MR JUSTICE MACDONALD: Yes.
- H** MR MOLYNEUX: So I am going to read these three paragraphs:

"The respondent's failure to comply with his sworn duty to provide full and frank disclosure has been the pivotal driver of the exorbitant legal fees incurred in this case. He has leveraged his asymmetrical knowledge of finance, taxes and cryptos to intentionally deceive me and the court. His disclosures, when made, have been selective and obfuscated the true value of the marital assets. His lack of transparency has required month-long efforts to obtain what ultimately consist of deficient disclosures. He will reference the

A number of pages of disclosure he has provided, and the many questions he has answered. Neither of these have been addressed with honesty but, rather, with false statements and intentional obfuscation. He has been adept at providing reams of information on immaterial items whilst ensuring the information provided on material assets remains incomplete."

B I cannot improve on that. That is her case.

MR JUSTICE MACDONALD: Yes.

MR MOLYNEUX: On 23 February, Withers wrote in similar terms:

C "When it comes to the question of costs, it is your client himself who has caused costs to be wasted by producing inadequate, disproportionate and deliberately misleading disclosure, delaying providing answers to fundamental questions asked, and purposely obscuring the true nature of the transactions he has carried out. The audacity your client displays in continuing to assign the failure to reach a financial settlement to my client is farcical. It is long past its shelf life."

E This is not a case about whether or not my client has not strictly complied with orders that were made - hard for her to comply with because of the absence of funding - or whether she could have done better in relation to certain aspects of procedure. This is a case about non-disclosure and about the costs that flow when one litigant does not tell the truth to the other litigant. That is the story, the thread that is found connecting all of the aspects of this £3 million of expenditure. It has been costs created by the husband's initial and enduring dishonesty and lack of full and frank disclosure, and that is something for which he, and he alone, is responsible. Can I just pause in case I have missed something?

G MR JUSTICE MACDONALD: Yes. (After a pause)

MR MOLYNEUX: My Lord, thank you.

MR JUSTICE MACDONALD: Thank you, Mr Molyneux. Mr Molyneux I am most grateful to you and your team. Yes, Miss Campbell?

H MISS CAMPBELL: My Lord, I have no right of reply and do not seek one, but there are ----

MR JUSTICE MACDONALD: Yes.

MISS CAMPBELL: -- a few points that I want to correct, without making submissions about them. The first is in relation to the suggestion that Mrs Zahmoul said my client behaved fraudulently with using the wrong tax address -- giving the wrong address on his US tax returns. My Lord, I would ask you to look at p.2479.

MR JUSTICE MACDONALD: Yes.

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- A** MISS CAMPBELL: Which is the communication and correspondence between the tax advisers, where Mrs Zahmoul's tax adviser accepts it is not a problem.
- Secondly, in relation to the WhatsApp message you were taken to at 1381, where Mr Molyneux has said Mr Deeg was saying: "It is not funny" -- sorry, my client was
- B** saying: "That is not funny", relating to the purchase offer or the sale price, and Mr Deeg said: "I will buy you out for 100", he is actually referring to the aspect of how they obtained the shares, and Mr Deeg says: "It is through a funny window", and he says "Not funny" so ----
- C** MR MOLYNEUX: That is a submission, is it not?
- MR JUSTICE MACDONALD: It is.
- MR MOLYNEUX: You have got the material.
- MR JUSTICE MACDONALD: Miss Campbell, it is really, yes.
- D** MISS CAMPBELL: All right. My Lord, I am not going to make any submissions about this but could I ask you to read my -- I did not read through the note because we were getting behind in terms of time, but my para.58(f) makes the point about legal privilege, and Mr Molyneux made a submission in which he said he has not waived privilege and
- E** you can effectively draw an adverse inference against him from that. You may not. Privilege is a right, and you must not draw adverse inferences because someone does not waive privilege against the whole of their solicitors' file. Similarly, at para.22, it is there, and I simply ask you, my Lord, to ----
- F** MR JUSTICE MACDONALD: Well, I will revisit both parties' written submissions as I consider my judgment.
- MISS CAMPBELL: Thank you, my Lord.
- MR JUSTICE MACDONALD: Yes.
- G** MR MOLYNEUX: My Lord, I should say that the inference is that he has not said what he says he said, because you will understand, his case was: "I told my solicitors something".
- MR JUSTICE MACDONALD: Yes. I understand the point. Yes, thank you very much
- H** indeed. I am grateful to both of you for your comprehensive submissions and your assistance in this matter. It is my intention to reserve judgment. I will endeavour to hand down judgment by the end of term, or judgment by the end of term. There is a possibility, given other work that is in the list, that might not be possible, but I will do my best to hand it down by the final day of term. I am very conscious, Miss Campbell, that both parties will wish to have an answer as soon as possible.
- MISS CAMPBELL: Thank you, my Lord.

IN PRIVATE

A MR JUSTICE MACDONALD: Yes. Thank you very much. I will rise.

(The court adjourned)

B

Marten Walsh Cherer hereby certifies that the above is an accurate and complete record of the proceedings or part thereof.

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